A national cosmetics retailer incorporated and headquartered in State A bought makeup manufactured by a company incorporated and headquartered in State B. The contract contained a forum-selection clause providing that any dispute between the parties would be resolved in a state or federal court located in State B. After delivery, the retailer discovered that the makeup was contaminated and could not be sold.

The retailer filed a complaint against the company for breach of contract in a state court in State B for $1 million. The company filed a notice of removal with the federal court in State B 14 days after being served with process. The retailer immediately filed a motion to remand.

Is the federal court likely to grant the retailer's motion?

A. No, because the forum-selection clause allows the parties to file suit in state or federal court.

B. No, because the parties are diverse and the amount in controversy exceeds $75,000.

C. Yes, because the company is a citizen of State B.

D. Yes, because the manufacturer's notice of removal was untimely.

Explanation:

A **defendant can remove** a suit from **state court to federal court** if the case falls within the federal court's original subject-matter jurisdiction. Original jurisdiction arises from either:

- federal-question jurisdiction – when a claim arises under the U.S. Constitution, a treaty, or federal law (not seen here) *or*
- diversity jurisdiction – when the amount in controversy exceeds $75,000 and the opposing parties are citizens of different states.

A party (usually the plaintiff) can seek to return the case to state court by filing a motion to remand.* One basis for remand is the **home-court-advantage rule** (ie, forum-defendant rule). This rule **prohibits removal** when (1) subject-matter jurisdiction arises from **diversity jurisdiction** and (2) a **defendant is a citizen** of the state **where the case was filed**.

Here, diversity jurisdiction exists since the amount in controversy is $1 million and the retailer and company are citizens of different states (States A and B, respectively). But since the company is a citizen of State B—where the case was filed—the home-court-advantage rule prohibits removal to federal court **(Choice B)**. Therefore, the federal court will likely grant the retailer's motion to remand the case to state court.

*A motion for remand places the burden on the defendant to prove by a preponderance of the evidence that removal was proper.

(Choice A) A forum-selection clause is a contractual provision that designates the location and/or court where any dispute between the parties must be adjudicated. Although such clauses are generally enforceable, federal courts strictly follow the rules regarding removal—including the home-court-advantage rule—over these clauses.**

(Choice D) The defendant must file a notice of removal in federal court within 30 days after receiving the initial complaint or service of the summons—whichever period is shorter. Therefore, the company timely filed the notice of removal 14 days after being served with process.

**To enforce a forum-selection clause requiring that a dispute be resolved in federal court, a defendant would need to move to dismiss the state court action. If the state court dismisses the action, the plaintiff would then need to refile the case in federal court.

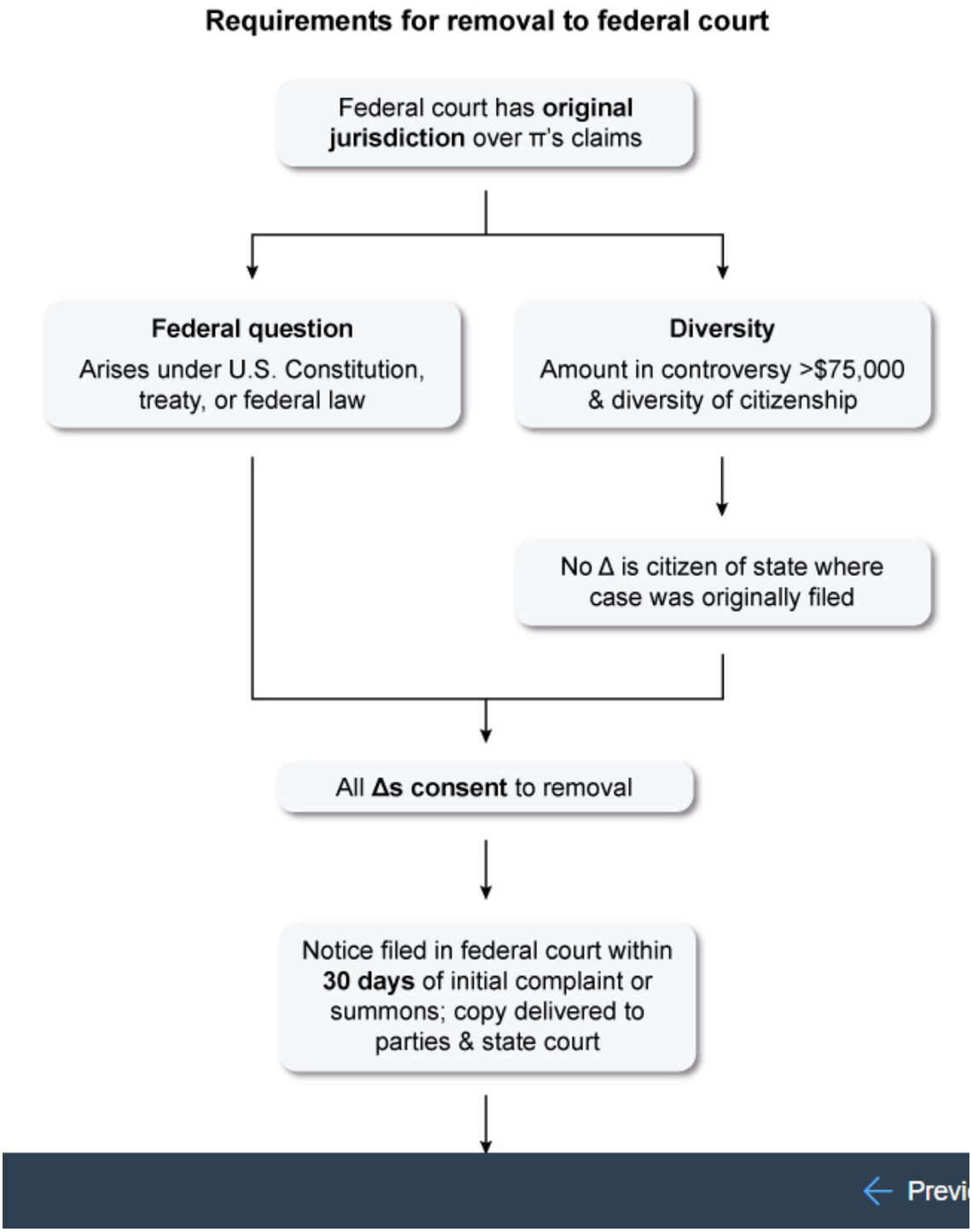
Educational objective:

The home-court-advantage rule prohibits removal from state to federal court when (1) the federal court's subject-matter jurisdiction arises from diversity jurisdiction and (2) a defendant is a citizen of the state where the case was filed.

References

- 28 U.S.C. § 1441(b)(2) (forum-defendant rule for removal).

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A bank from State A filed a debt-collection action against a man from State B in a state court located in State A. The bank alleged that the man was liable for credit card charges totaling $80,000. The man filed an answer in which he asserted a counterclaim against the bank. He also joined a credit card company from State A to his counterclaim. The credit card company filed a notice of removal with the federal court in State A. The man moved to remand the action.

How will the court likely rule on the man's motion to remand?

A. Deny the motion, because the federal court has exclusive jurisdiction over the action.

B. Deny the motion, because the federal court has subject-matter jurisdiction over the action.

C. Grant the motion, because the credit card company is not qualified to remove the action.

D. Grant the motion, because the man did not consent to the action's removal.

Explanation:

A **defendant** has the **power to** remove a case from **state court to federal court** when the case falls within the federal court's original (ie, subject-matter) jurisdiction. **Original jurisdiction**—which must be established on the face of the *plaintiff's* complaint—can arise from either:

- **federal-question jurisdiction** – when a claim arises under the U.S. Constitution, a treaty, or federal law (not seen here) *or*
- **diversity jurisdiction** – when the amount in controversy exceeds $75,000 and the opposing parties are citizens of different states.*

However, the federal court should remand the case back to state court if there was a procedural error in the removal. Since only defendants listed in the complaint may remove a case, a procedural error occurs when a case is removed by a party other than a defendant. This includes a party joined to the suit by a defendant's counterclaim.

Here, diversity jurisdiction exists because (1) the amount in controversy is $80,000 and (2) the man is from State B while the bank and credit card company are from State A **(Choice B)**. But since the credit card company was joined by the man's counterclaim, it is not qualified to remove the action to federal court. Therefore, the court will likely grant the man's motion to remand the case.

*After removal, if a plaintiff seeks to join additional defendants who would destroy diversity jurisdiction, the federal court may deny joinder and proceed with the case OR permit joinder and remand the case to state court.

(Choice A) Federal and state courts have concurrent jurisdiction over state and federal law claims unless the Constitution or Congress expressly provides federal courts with exclusive jurisdiction (not seen here).

(Choice D) When a case has more than one defendant, the consent of all defendants must be obtained before the case can be removed from state to federal court. But here, the man is the only defendant, so the fact that he did not consent to the action's removal is irrelevant.

Educational objective:

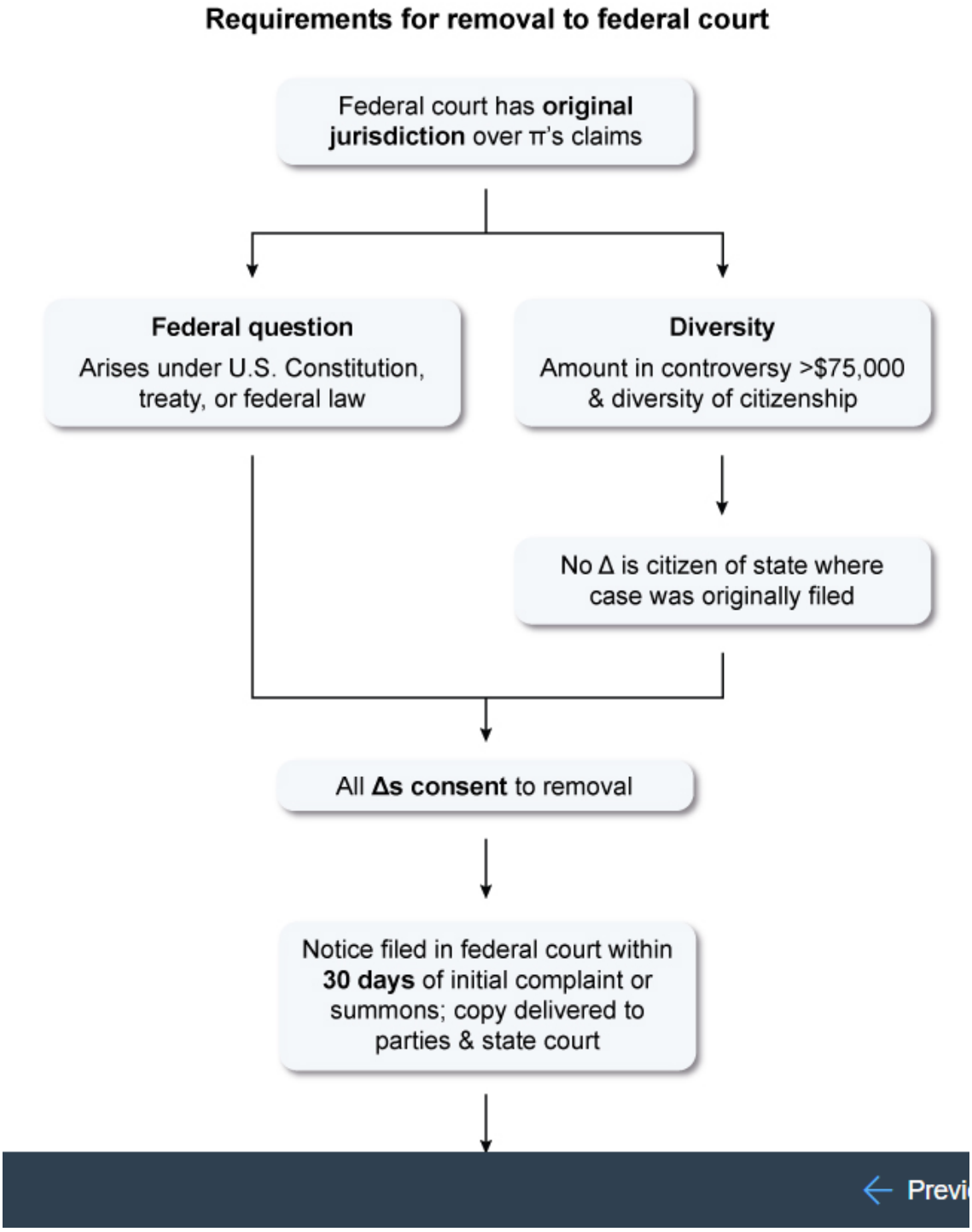
Only defendants listed in the plaintiff's complaint have the power to remove a case from state to federal court. A party joined to the suit through a counterclaim is not considered a defendant for removal purposes.

References

- 28 U.S.C. § 1441 (removal requirements).

- Home Depot U.S.A., Inc. v. Jackson, 139 S. Ct. 1743, 1748–50 (2019) (holding that only defendants listed in the plaintiff's complaint may remove a case from state to federal court).

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A woman sued her former employer in state court, asserting age and sex discrimination claims under both state and federal law. The woman's attorney had recently been embarrassed in court by the judge to whom the case was assigned. Wishing to avoid difficulties with the judge, the woman's attorney promptly removed the case to federal court on the basis of federal-question jurisdiction. The employer's attorney has timely moved to remand.

How is the federal court likely to proceed?

A. Remand the entire case.

B. Remand the state claims but keep the federal claims.

C. Retain the case, because it was timely removed and the woman alleges federal claims.

D. Retain the case to avoid the risk of bias and impropriety in having it proceed before a judge who has shown clear hostility toward the woman's attorney.

Explanation:

Remand based on improper removal

Basis	Example	Result
No subject-matter jurisdiction	• No subject-matter jurisdiction over *any* claim • No subject-matter jurisdiction over *some* claims	• Remand entire case • Retain removable claims • Sever & remand nonremovable claims
Procedural error	• Defendant filed notice of removal more than 30 days after receiving complaint • Not all defendants consented to removal • Case removed by plaintiff (not defendant) • Notice not delivered to parties or state court • Removal violates forum-defendant rule	• Remand entire case

A ***defendant*** can **remove a case** originally filed in state court **to federal court** if:

- the federal court has subject-matter jurisdiction over the plaintiff's claims—eg, when a claim arises under the U.S. Constitution, a treaty, or federal law
- all defendants consent to removal
- the defendant files a notice of removal within 30 days of receiving the plaintiff's initial complaint or service of the summons (whichever period is shorter) *and*
- a copy of the notice of removal is delivered to the state court and the other parties.

A party can challenge removal by filing a motion to remand (ie, return) the case to state court. This motion must generally be filed in federal court within 30 days after the notice of removal is filed, but a motion based on lack of subject-matter jurisdiction can be filed at any time. The burden is then on the party seeking removal to prove by a preponderance of the evidence that removal is proper. If there was a **procedural error** in the removal, the federal court should **remand the *entire* case** to state court.*

Here, the woman sued her former employer in state court, and her attorney promptly removed the case to federal court. However, there was a *procedural error* in that removal since the woman is the plaintiff—not the defendant. Therefore, the federal court will likely remand the entire case.

*The federal court clerk must mail a certified copy of the remand order to the state court clerk. The order may require payment of costs, including attorney's fees. But if a remand is based on procedural error (as in this case), attorney's fees can only be awarded if there was no objectively reasonable basis for removal.

(Choice B) Had the federal court lacked subject-matter jurisdiction over some of the woman's claims (eg, her state claims), it would have remanded those claims but kept the removable claims (eg, her federal claims).

(Choice C) Although the case may have been timely removed and the woman alleges federal claims, removal is improper because she is the plaintiff.

(Choice D) A plaintiff cannot remove a case, even if there is a risk of bias and impropriety in having the case proceed before a hostile state-court judge.

Educational objective:

If a procedural error occurs in the removal of a case from state to federal court (eg, removal by the plaintiff), the federal court should remand the entire case.

References

- 28 U.S.C. §§ 1441, 1446 (removal of civil actions).

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An artist living in State A entered into a contract with a gallery from State A that allowed the gallery to display and sell the artist's paintings, with the artist to receive a commission for any paintings sold. Shortly thereafter, the artist moved to State B, where he joined a local artists' collective. The gallery sold several of the artist's paintings but refused to provide the commission the artist thought he was due under the contract. The artist sued the gallery in a federal court in State A for breach of contract and requested $100,000 in damages. The day after filing his complaint, the artist moved back to State A, claiming artistic differences with the artists' collective.

The gallery filed an answer that did not include a defense of a lack of subject-matter jurisdiction. The gallery then moved to dismiss the artist's complaint for lack of subject-matter jurisdiction.

How will the federal court most likely rule on the gallery's motion to dismiss?

A. Deny the motion, because the gallery waived its subject-matter jurisdiction defense by failing to include it in its answer.

B. Deny the motion, because there is diversity of citizenship and the amount in controversy is $100,000.

C. Grant the motion, because both parties are citizens of State A.

D. Grant the motion, because state courts have exclusive jurisdiction over state-law claims.

Explanation:

A federal court can only hear the merits of a lawsuit if the court has subject-matter jurisdiction, which can arise under:

- federal-question jurisdiction – when a claim arises under the U.S. Constitution, a treaty, or federal law (not seen here) *or*
- **diversity jurisdiction** – when the amount in controversy exceeds $75,000 and the opposing parties are citizens of different states (ie, are diverse).

Citizenship is **determined on the date** that the plaintiff's **complaint is filed** with the court.

Here, the artist's breach-of-contract suit against the gallery for $100,000 in damages satisfies the amount-in-controversy requirement. And though both parties were State A citizens when they entered the contract and are currently State A citizens, the artist was a State B citizen when he filed the complaint. As a result, the parties were diverse when the filing occurred—satisfying the requirements for diversity jurisdiction **(Choice C)**. The federal court therefore has subject-matter jurisdiction to hear this suit and will likely deny the gallery's motion to dismiss.

(Choice A) Most defenses are waived if they are not asserted in a defendant's answer. But a defense based on lack of subject-matter jurisdiction is *never* waived and can be asserted by a party or raised by the court at any time—including after an answer has been filed.

(Choice D) State and federal courts have concurrent (ie, shared) jurisdiction over most state-law claims. The only substantive areas over which state courts have exclusive jurisdiction are probate matters (eg, authenticating a will) and domestic relations (eg, issuing a divorce).

Educational objective:

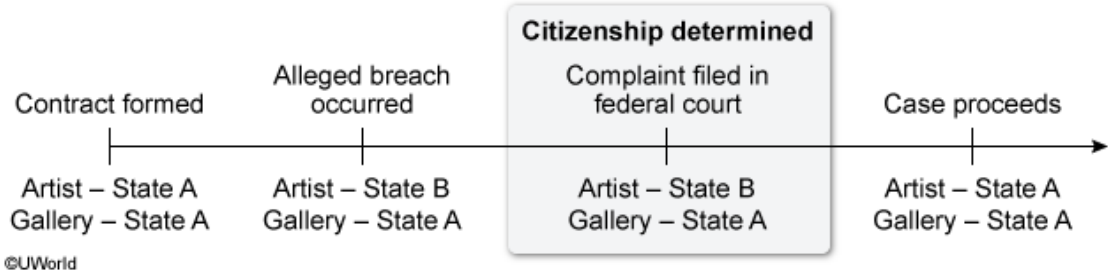
Subject-matter jurisdiction arises under diversity jurisdiction when (1) the amount in controversy exceeds $75,000 and (2) the opposing parties are citizens of different states on the date the complaint is filed.

References

- 28 U.S.C. § 1332 (requirements for diversity jurisdiction).
- Grupo Dataflux v. Atlas Global Group, Ltd. P'ship, 541 U.S. 567, 570–71 (2004) (holding that the citizenship of the parties in a lawsuit is determined at the time the suit is filed).

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Determining diversity of citizenship



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A university student, a citizen of State A, believes that her university violated federal law when it eliminated funding for the women's varsity volleyball team. She has sued the university, a nonprofit corporation located and incorporated in State B, and the university's athletic director, a citizen of State B, in federal court in State B.

What is the best method of serving the defendants?

A. Service as required by State B's rules of civil procedure.

B. Service by a process server's leaving copies of the summons and complaint with secretaries in the respective offices of the athletic director and the university president.

C. Service by emailing copies of the summons and complaint to the athletic director and the university president.

D. Service by the student herself on the athletic director and the university president.

Explanation:

Methods of serving process in U.S.

Individual

- Following state law where district court is located or where service is made
- Personally serving defendant with summons & complaint
- Leaving summons & complaint at defendant's dwelling with someone of suitable age & discretion who resides there
- Delivering summons & complaint to defendant's authorized agent

Organization

- Following state law where district court is located or where service is made
- Delivering summons & complaint to officer, managing or general agent, or authorized agent & mailing those documents to defendant if required by statute

Due process prohibits a court from adjudicating a defendant's rights before the defendant has received **proper notice** of the plaintiff's complaint. A defendant receives proper notice when someone who is at least 18 years old and not a party to the suit serves the defendant with a summons and complaint. And under Federal Rule of Civil Procedure (FRCP) 4, **any defendant** (an individual or organization) can be served for a federal suit by following the **state law for serving process** in the state **where the court is located** or where service is made.

Here, the student sued the university (organization) and its athletic director (individual) in federal court in State B. Since the defendants can be served under the civil procedure rules of State B (where the court is located), this is the best method of serving both defendants.

(Choice B) Individuals and organizations can be served by delivering a copy of the summons and complaint to an agent authorized to receive service on the defendant's behalf. But since there is no indication that the secretaries were authorized agents of either defendant, this is not the best method for serving the defendants.

(Choice C) Service of process by email is not expressly authorized under FRCP 4. Therefore, absent some indication that State B's rules allow this method of service, email is not the best method of serving the defendants.

(Choice D) The student herself cannot serve process because she is a party to the lawsuit. However, any nonparty who is at least 18 years old can serve process. If service was not waived and occurred within the U.S., the process server must typically file a proof of service affidavit.*

*Service in a foreign country can be proved (1) pursuant to an applicable treaty or convention, (2) by a receipt signed by the addressee, or (3) by other evidence that satisfies

the court. However, failure to prove service in the U.S. or abroad does not affect the validity of the service.

Educational objective:

Any defendant (individual or organization) can be served by (1) following the service-of-process laws of the state where the court is located or where service is made or (2) delivering a copy of the summons and complaint to an agent authorized to receive service on the defendant's behalf.

References

- Fed. R. Civ. P. 4(c), (e), (h) (service of process upon an individual and an organization).

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A consumer domiciled in State A sued a manufacturer and a retailer in a federal district court in State B for strict products liability. The complaint alleged that the manufacturer and the retailer are jointly and severally liable for $70,000 and $30,000 in damages, respectively, for harm caused by a defective kitchen appliance manufactured and sold by the defendants. The manufacturer and the retailer are both incorporated and headquartered in State B.

The retailer has asserted a $50,000 crossclaim against the manufacturer for breach of contract. The retailer claims that the manufacturer sent the retailer nonconforming power tools in its last shipment. The manufacturer has moved to dismiss the crossclaim for lack of subject-matter jurisdiction.

Should the manufacturer's motion be granted?

A. No, because there is diversity of citizenship between the consumer and the manufacturer.

B. No, because there is supplemental jurisdiction over the crossclaim.

C. Yes, because the compulsory crossclaim failed to satisfy the amount-in-controversy requirement.

D. Yes, because the crossclaim is unrelated to the consumer's claims.

Explanation:

Federal district courts have **original subject-matter jurisdiction** to hear disputes that arise from:

- **federal-question jurisdiction** – when the dispute arises under the U.S. Constitution, a treaty, or a federal law (not seen here) *or*
- **diversity jurisdiction** – when the opposing parties are citizens of different states and the amount in controversy exceeds $75,000.

To meet the amount-in-controversy requirement, a single plaintiff may only aggregate (ie, combine) claims against multiple defendants if the plaintiff alleges that they are jointly liable.

Here, the consumer (State A citizen) is diverse from the retailer and the manufacturer (State B citizens). And since the consumer seeks a total of $100,000 from the defendants ($70,000 + $30,000) under joint and several liability, diversity jurisdiction exists over the consumer's strict products liability claims.* However, no diversity jurisdiction exists over the retailer's crossclaim against the manufacturer since they are both State B citizens and only $50,000 is in controversy.

When a dispute involves multiple claims and one falls outside of the court's original jurisdiction, the court may exercise **supplemental jurisdiction** over that claim. However, the court can only do so if the claims are **so related** that they share a **common nucleus of operative facts**. Here, the consumer's claim concerning a kitchen appliance is *unrelated* to the retailer's crossclaim concerning power tools, so the court lacks supplemental jurisdiction over the crossclaim **(Choice B)**. Therefore, the court should grant the manufacturer's motion to dismiss it.

*The consumer's strict products liability claim constitutes two claims because it is asserted against two separate entities. The defendants can only be held jointly liable for the total damages if the elements of strict products liability are established against both defendants.

(Choice A) Diverse citizenship between the *consumer* and the *manufacturer* does not change the lack of diversity between the *retailer* and the *manufacturer* or create supplemental jurisdiction over the retailer's crossclaim against the manufacturer.

(Choice C) Crossclaims are *permissive* and can be asserted only if they arise from the same transaction or occurrence as another claim (not seen here). Had the retailer's crossclaim done so, its amount in controversy would be irrelevant since supplemental jurisdiction would exist.

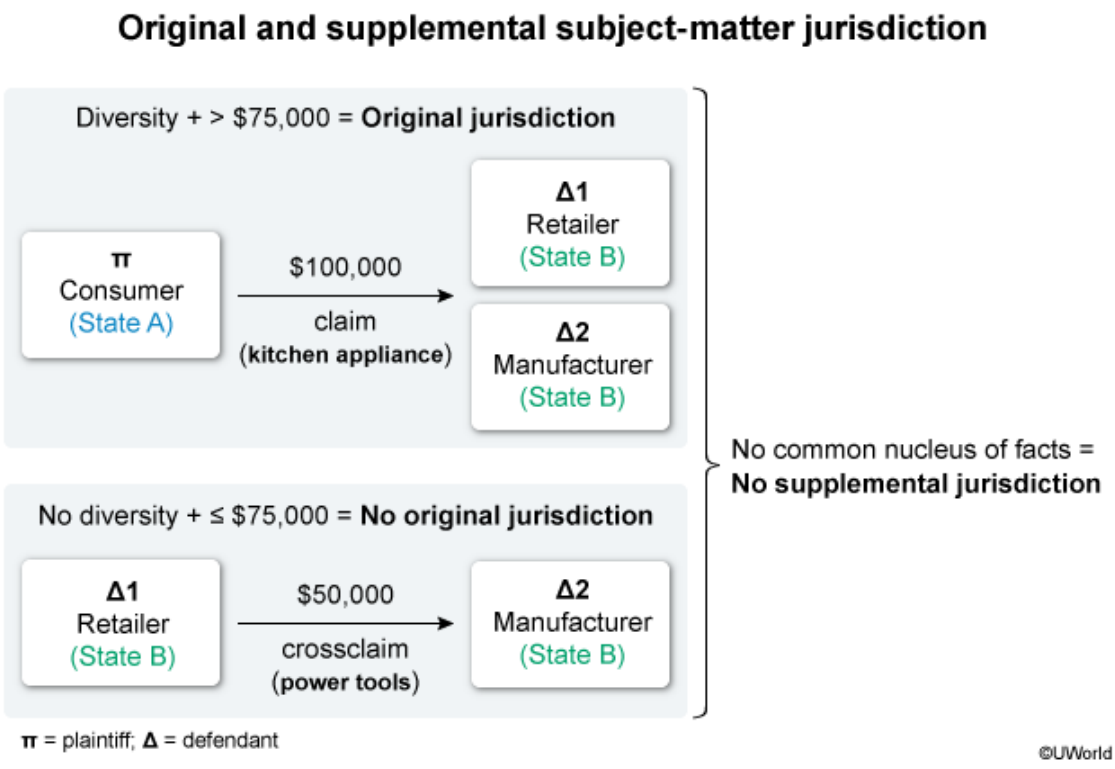
Educational objective:

A federal court may exercise supplemental jurisdiction over a claim outside of the court's original subject-matter jurisdiction if it shares a common nucleus of operative facts with an original-jurisdiction claim.

References

- 28 U.S.C. § 1367 (supplemental jurisdiction).
- United Mine Workers v. Gibbs, 383 U.S. 715, 725 (1966) (establishing that a supplemental claim must derive from a common nucleus of operative facts as a claim within the court's original subject-matter jurisdiction).

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With the advice and consent of the Senate, the President entered into a self-executing treaty with a foreign country. The treaty provided that citizens of both nations were required to pay whatever tort damages were awarded against them by a court of either nation.

A man and a woman who were U.S. citizens and residents of the same state were traveling separately in the foreign country when their cars collided. The foreign court awarded the woman a judgment for $500,000 in damages for her injuries from the accident.

The woman filed suit against the man in federal district court in their home state to enforce the judgment. The man filed a motion to dismiss for lack of jurisdiction.

Should the court grant the motion to dismiss?

A. No, because the case falls within the federal question jurisdiction of the court.
B. No, because the treaty power is plenary and not subject to judicial review.
C. Yes, because the citizenship of the parties is not diverse.
D. Yes, because the traffic accident was a noncommercial transaction outside interstate commerce.

Explanation:

Subject-matter jurisdiction

(a court's authority to hear a particular type of case)

Federal-question jurisdiction	• Case arises under the Constitution, federal law, or federal treaty
Diversity jurisdiction	• Amount in controversy exceeds $75,000 (exclusive of interest & costs) *and* • Parties are citizens of different states

A federal court's **subject-matter jurisdiction** (ie, authority to hear a case) arises under either:

- **federal-question jurisdiction** – when the case arises under the **Constitution**, a **federal law**, or a **treaty** *or*
- **diversity jurisdiction** – when the amount in controversy exceeds $75,000 and the parties are citizens of different states.

Here, the woman filed suit in federal district court to enforce the foreign court's judgment against the man, which he was required to pay pursuant to a valid treaty. Since the case falls within the court's federal-question jurisdiction, the court has subject-matter jurisdiction to hear it. Therefore, the court should *deny* the man's motion to dismiss.

(Choice B) The President has plenary (ie, exclusive) authority to enter into treaties with the Senate's advice and consent. But federal courts have the power to decide cases that arise under such treaties (as seen here).

(Choice C) The district court lacks diversity jurisdiction because the parties are citizens of the same state. But the court nevertheless has federal-question jurisdiction because the case arises under a treaty.

(Choice D) The accident's relationship to interstate commerce is relevant to Congress's legislative power under the Article I commerce clause—but not to the jurisdiction of federal courts pursuant to Article III.

Educational objective:

Subject-matter jurisdiction can stem from federal-question jurisdiction (ie, the case arises under the Constitution, a federal law, or a treaty) OR diversity jurisdiction (ie, the amount in controversy exceeds $75,000 and the parties are citizens of different states).

References

- 28 U.S.C. § 1331 (federal-question jurisdiction).

- 28 U.S.C. § 1332 (diversity jurisdiction).

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A man domiciled in State A died from complications during surgery at a hospital incorporated and with its principal place of business in State A. The medical license of the surgeon performing the operation was suspended at the time the surgery was performed. The man's legal representative, who was domiciled in State B, sued the hospital on behalf of the man's estate in a state court in State B. The complaint asserted a negligence claim to recover $60,000 and a breach-of-contract claim to recover $40,000. The hospital removed the case to a federal court in State B. The representative filed a motion to remand.

Under State B law, claims for negligence and breach of contract survive the death of a person.

How is the federal court likely to proceed?

A. Remand the case, because the amount-in-controversy requirement is not satisfied.

B. Remand the case, because the parties are not diverse.

C. Retain the case, because the case was properly removed to federal court.

D. Retain the case, because the federal court has supplemental jurisdiction over the claims.

Explanation:

A defendant has the power to remove a case from state court to federal court if the case falls within the federal court's **original subject-matter jurisdiction**. If such jurisdiction does not exist, the federal court must remand the case back to state court. Original jurisdiction can be established through federal-question jurisdiction (not seen here) or **diversity jurisdiction**, which requires:

- an amount in controversy exceeding $75,000 *and*
- complete **diversity of citizenship** between the opposing parties.

Citizenship is usually determined by the domiciles of the named parties to the suit. However, the citizenship of a legal representative is **determined by** the **domicile of** the **minor**, **legally incompetent** person, or **decedent** on whose behalf the legal representative acts.

Here, the deceased man's legal representative sued the hospital on behalf of the man's estate in state court. The hospital removed the case to federal court. The representative is a citizen of State A because that is where the man was domiciled. The hospital is also a citizen of State A because it is incorporated and has its principal place of business there. Since the opposing parties are both State A citizens, the court lacks diversity (and subject-matter) jurisdiction. Removal was therefore improper, and the federal court will likely remand the case **(Choice C)**.

(Choice A) To satisfy the amount-in-controversy requirement, a single plaintiff can aggregate (ie, combine) claims asserted against a single defendant. Here, the legal representative's complaint satisfies this requirement because the aggregated claims amount to $100,000 ($60,000 for negligence + $40,000 for breach of contract).

(Choice D) When a dispute involves multiple claims and only some fall within the court's original subject-matter jurisdiction, supplemental jurisdiction may exist over the remaining claims. Here, no claim satisfies original subject-matter jurisdiction, so supplemental jurisdiction is irrelevant.

Educational objective:

For purposes of diversity jurisdiction, the citizenship of a legal representative is determined by the domicile of the minor, legally incompetent person, or decedent on whose behalf the legal representative acts.

References

- 28 U.S.C. § 1332(c)(2) (citizenship of legal representative).
- 28 U.S.C. § 1441 (removal requirements).
- 28 U.S.C. § 1447(c) (remand requirements).

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A shoe company was incorporated in State A, maintains its headquarters in State B, and stores most of its inventory in State C. At a sales convention in a foreign country, one of the shoe company's corporate officers allegedly assaulted an employee of a shoe distributor. This employee is domiciled in State C.

The employee sued the shoe company in a federal court in State C for the actions of its corporate officer. The shoe company filed a motion to dismiss for lack of personal jurisdiction.

Will the court likely grant the shoe company's motion?

A. No, because the shoe company has minimum contacts with State C.

B. No, because the shoe company is domiciled in State C.

C. Yes, because no state has personal jurisdiction over this claim since it is based on events that occurred in a foreign country.

D. Yes, because the employee's claim does not arise out of the shoe company's contacts with State C and the shoe company is not domiciled in State C.

Explanation:

A court must have **personal jurisdiction**—ie, authority over the parties (or property) before it—to hear a dispute. Personal jurisdiction can be established through **specific jurisdiction**, which exists when:

- the plaintiff's **claim arises** from or is **closely related** to the defendant's **minimum contacts** with the forum state *and*
- the exercise of jurisdiction complies with notions of **fair play and substantial justice**.

These requirements are met if the defendant's contacts with the forum state were so **purposeful and substantial** that the defendant could have reasonably anticipated being sued in that state (ie, purposeful availment). Here, the State C federal court lacks specific jurisdiction because the employee's claim arises from the corporate officer's actions in the foreign country—not the company's minimum contacts (storing inventory) with State C **(Choice A)**.

However, personal jurisdiction can also be established through **general jurisdiction**. This exists when the defendant has **continuous and systematic contacts** with the forum state that are so substantial that the defendant is **essentially "at home"** in that state. Home is where the defendant is **domiciled**. For a corporation, this is (1) the state where it was incorporated and (2) the state where it maintains its principal place of business.

Here, the shoe company was incorporated in State A and has its principal place of business in State B. And though the company conducts business and stores inventory in State C, this is not where the company is domiciled **(Choice B)**. Therefore, the State C federal court lacks general jurisdiction over the company and will likely grant its motion to dismiss.

(Choice C) No state has *specific* jurisdiction over this claim because it is based on events that occurred in the foreign country. But States A and B would have *general* jurisdiction over this claim since the shoe company is domiciled there.

Educational objective:

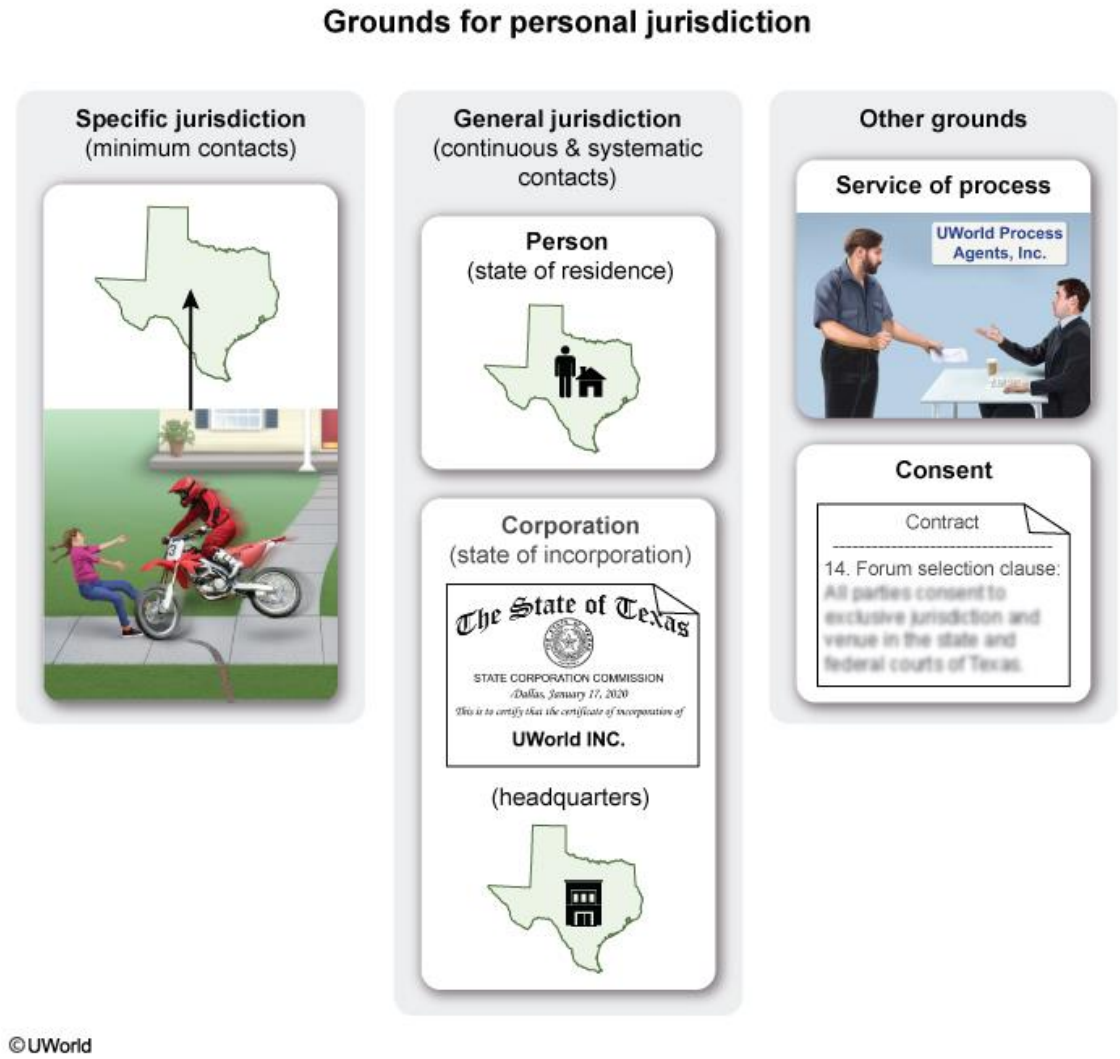
Specific jurisdiction exists when the claim arises from or is closely related to the defendant's contacts with the forum state such that the exercise of personal jurisdiction complies with fair play and substantial justice. General jurisdiction exists when the defendant's contacts with the forum state make the defendant "at home" there.

References

- Bristol-Myers Squibb Co. v. Super. Ct. of Cal., 137 S. Ct. 1773, 1780–82 (2017) (explaining the requirements for specific jurisdiction).

- Goodyear Dunlop Tires Operations, S.A. v. Brown, 564 U.S. 915, 926–29 (2011) (discussing the continuous and systematic contacts required for general jurisdiction).

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A singer, a citizen of State A, believes that her former record label violated federal law when it sold the rights to her songs to another company. The singer has brought a suit in federal court in State A against the record label, which is headquartered and incorporated in a foreign country, and the record label's president, who resides in the foreign country.

What is the best method of serving the defendants?

A. Service as required by State A's rules of civil procedure.

B. Service by having a process server personally deliver copies of the summons and complaint to the record label's headquarters and its president.

C. Service by mailing copies of the summons and complaint to the record label and its president.

D. Service pursuant to an international agreement that is reasonably calculated to give notice.

Explanation:

Methods of serving process in foreign country

Individual or organization	• Following international agreement reasonably calculated to give notice • If no international agreement & not prohibited by federal law: – following foreign country's rules – as foreign country directs in response to letter rogatory *or* – unless prohibited by foreign country, by personal delivery* or mail with request for signed return receipt • Following court order, unless prohibited by international agreement
Foreign government	• Following special arrangement between plaintiff & foreign state • If no special arrangement, by international convention • If no convention, by mail to head of foreign affairs ministry with request for signed return receipt • If service by mail cannot be made within 30 days, by sending two copies to U.S. Secretary of State via mail requiring signed receipt

*Organizations cannot be served by personal delivery in foreign countries.

Due process requires that a plaintiff notify the defendant of a lawsuit through **service of process**—ie, delivery of the summons and complaint. **Individuals and organizations** located in a **foreign country** can be served with process by any **internationally agreed method** of service that is reasonably calculated to give notice under the circumstances. Therefore, the singer's best method of serving the foreign record label and its president is service pursuant to an applicable international agreement that meets that standard.

(Choice A) An individual or organization can be served with process in the U.S. as required by the rules of civil procedure of the forum state—ie, the state in which the court is located. However, this is not a proper method to serve an individual or organization in a foreign country (as seen here).

(Choice B) An individual in a foreign country can generally be served with process by having a process server personally deliver a copy of the summons and complaint to the individual. However, organizations located abroad cannot be served in this manner.

(Choice C) A plaintiff can generally serve process on individuals and organizations in foreign countries through mail requiring a signed receipt (eg, certified mail), but only when there is no internationally agreed means of service.

Educational objective:

Individuals and organizations in foreign countries can be served with process by any internationally agreed method of service that is reasonably calculated to give notice.

References

- Fed. R. Civ. P. 4(f) & (h)(2) (service of process on individuals and organizations in foreign countries).
- 4B Charles Alan Wright et al., Federal Practice and Procedure § 1134 (4th ed. 2020) (explaining how process can be served on individuals and organizations located abroad).

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A corporation has been the subject of several news reports charging that the pollution emitted by its factory endangers the health of hundreds of residents in a subdivision. The corporation filed an action in federal court against the residents to obtain a declaratory judgment that it complied with environmental regulations and is not responsible for any subsequent harm. A federal statute authorizes this suit.

The state in which the federal court is located permits service of process by mail or by publishing notice of the suit in a newspaper. The corporation obtained the name and address of each resident in the subdivision from the county tax assessor. To avoid the expense of mailing service to each resident individually, the corporation published notice of the suit in the subdivision's community newspaper pursuant to the state's procedural rules.

Did the corporation properly serve the residents with process?

A. No, because service by publication was unreasonable since the corporation knew the name and address of each resident.

B. No, because the residents were not personally served with process.

C. Yes, because service by publication was reasonable due to the expense associated with mailing service to each resident.

D. Yes, because the newspaper publication provided the residents with reasonable notice of the action.

Explanation:

A plaintiff must provide the defendant with **adequate notice** of a lawsuit through **service of process**, which must comply with both **procedural rules** and **due process**. In a federal court action, Federal Rule of Civil Procedure 4 permits service of process on a defendant-individual located in the U.S. by any of the following methods:

- Personal service – when process is delivered in person to the defendant
- Substituted service – when process is delivered to the defendant's agent or left at the defendant's dwelling with a resident of suitable age and discretion
- State procedural rules – when process is served pursuant to the rules of the state where the court sits or service is attempted (as seen with the newspaper publication here) **(Choice B)**

However, attempted service must also satisfy due process. Under this constitutional requirement, service must **reasonably apprise** the **defendant of the pending suit** so that the defendant may appear and present objections. This means that the plaintiff must notify the defendant of the lawsuit by the **most reasonable means** under the circumstances.

Service by publication is the most reasonable means in the ***rare* instance** when the defendant's **identity or address** is **unknown and unobtainable**. But if the plaintiff knows or can reasonably obtain this information, a more reasonable means of service must be used (eg, service by mail). Here, the corporation had obtained the residents' names and addresses from the county tax assessor, so service by publication was unreasonable. Therefore, the residents were *not* properly served with process **(Choices C & D)**.

Educational objective:

A plaintiff must provide the defendant with adequate notice of a lawsuit that reasonably apprises the defendant of the suit so that the defendant may appear and present objections. Service by publication is permitted only when the defendant's identity or address is unknown and unobtainable.

References

- Fed. R. Civ. P. 4(e) (service of process on individual in the United States).
- Mullane v. Cent. Hanover Bank & Trust Co., 339 U.S. 306, 319 (1950) (holding that a plaintiff cannot provide notice by publication when the identities and addresses of the defendants are known or easily ascertainable).
- 62B Am. Jur. 2d Process § 206 (2020) (explaining service by publication).

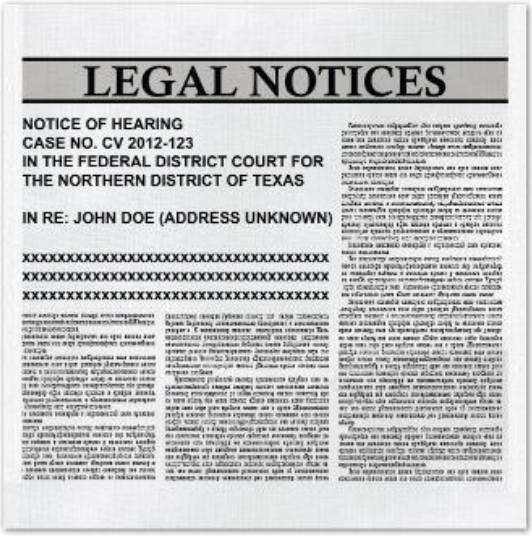
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Service of process under state procedural rule
(reasonable notice under due process)

Identity and address known / obtainable
= Service by publication unconstitutional



Identity and address unknown / unobtainable
= Service by publication constitutional



LEGAL NOTICES

NOTICE OF HEARING
CASE NO. CV 2012-123
IN THE FEDERAL DISTRICT COURT FOR
THE NORTHERN DISTRICT OF TEXAS

IN RE: JOHN DOE (ADDRESS UNKNOWN)

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A shop owner domiciled in State A sued a distributor in a federal district court in State A for breach of a contract. The shop owner sought $100,000 in damages for allegedly defective goods that the distributor had provided under the contract. The distributor is incorporated in State B, with its principal place of business in State C. The distributor brought in as a third-party defendant the wholesaler that had provided the goods to the distributor, alleging that the wholesaler had a duty to indemnify the distributor for any damages recovered by the shop owner. The wholesaler is incorporated in State B, with its principal place of business in State A.

The wholesaler has asserted a $60,000 counterclaim against the distributor for payment for the goods at issue, and the distributor has moved to dismiss the counterclaim for lack of subject-matter jurisdiction.

Should the motion to dismiss be granted?

A. No, because the wholesaler's and the distributor's principal places of business are diverse.

B. No, because there is supplemental jurisdiction over the wholesaler's counterclaim.

C. Yes, because there is no diversity of citizenship between the distributor and the wholesaler.

D. Yes, because there is no diversity of citizenship between the shop owner and the wholesaler.

Explanation:

Subject-matter jurisdiction generally arises from either:

- **federal-question jurisdiction** – when the claim arises under the U.S. Constitution, a treaty, or a federal law (not seen here) *or*
- **diversity jurisdiction** – when the opposing parties are citizens of different states and the amount in controversy exceeds $75,000.

Here, the court has diversity jurisdiction over the shop owner's (citizen of State A) $100,000 claim against the distributor (citizen of States B and C). But the court lacks diversity jurisdiction over the distributor's indemnity claim against the wholesaler because they are both incorporated in State B **(Choice A)**. And it lacks diversity jurisdiction over the wholesaler's counterclaim since it seeks only $60,000.

When a claim does not satisfy subject-matter jurisdiction, supplemental jurisdiction may exist if the claim shares a **common nucleus of operative facts** as a claim originally within the court's subject-matter jurisdiction. Here, the distributor's indemnity claim and the wholesaler's counterclaim arise from the *same* defective goods as the shop owner's original diversity claim. But when the **original claim** is based solely on **diversity jurisdiction**, supplemental jurisdiction is ***not* permitted** if the **supplemental claim**:

- would **contaminate diversity** of citizenship between the *opposing* plaintiffs and defendants *or*
- seeks **$75,000 or less** and is **made by a *plaintiff*** (1) against parties added through joinder, intervention, or impleader or (2) seeking to join through compulsory joinder or intervention.

Here, the distributor's and wholesaler's lack of diversity would not contaminate the diversity between the shop owner and the distributor **(Choice C)**. Although the shop owner and the wholesaler are both citizens of State A, they are not opposing parties because they have asserted no claims against each other **(Choice D)**. And since the wholesaler's $60,000 counterclaim was asserted by a third-party *defendant*, the court has supplemental jurisdiction over it and should deny the distributor's motion to dismiss.

Educational objective:

A court is generally permitted to exercise supplemental jurisdiction over a claim that does not satisfy subject-matter jurisdiction when that claim shares a common nucleus of operative facts as a claim originally within the court's subject-matter jurisdiction.

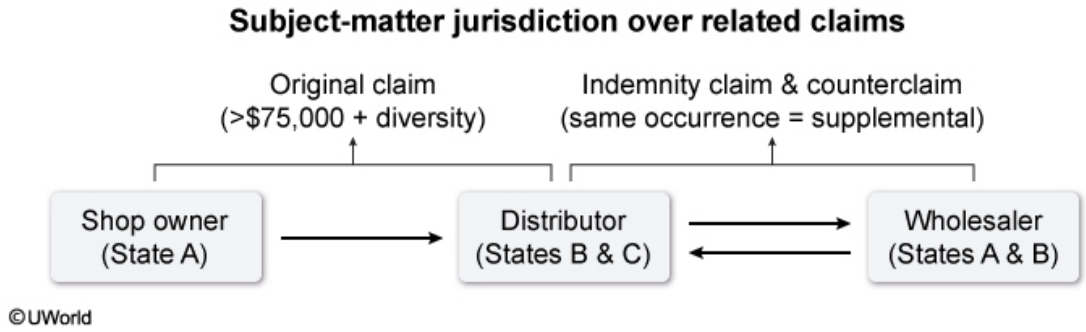
References

- 28 U.S.C. § 1367 (supplemental jurisdiction).
- 28 U.S.C. § 1332 (diversity jurisdiction).

- 28 U.S.C. § 1331 (federal-question jurisdiction).

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A salesman met two investors in a large city located in State A, where both investors work. One of the investors lives there as well. The other investor lives in State B, which shares a border with State A. The salesman is a resident of State C and never does business in State B.

At the meeting, the salesman pitched the investors on an opportunity to invest in his native country's oil wells. The investors thought about the salesman's proposal overnight, and the following morning each investor called the salesman to confirm the investment. The investors then went to their respective banks located near their homes, and each wired $500,000 to an offshore account.

Six months later, the investors learned that the oil wells did not exist. As a result, the investors seek to file a joint complaint against the salesman in federal district court to recover their $1,000,000 investment.

Each state is composed of only one federal judicial district.

Which of the following federal district courts have both personal jurisdiction over the salesman and proper venue over the investors' suit?

A. The district court of State A only.

B. The district court of State C only.

C. The district courts of State A and State C.

D. The district courts of State A, State B, and State C.

Explanation:

A federal court must have personal jurisdiction over a defendant and be a proper venue to hear a dispute. **Personal jurisdiction** can be established through:

- **general jurisdiction** – when the defendant has continuous and systematic contacts with the forum state and is essentially "at home" there *or*
- **specific jurisdiction** – when the plaintiff's claim arises from or is closely related to the defendant's contacts with the forum state.

Here, State C has *general* jurisdiction over the salesman because he resides there. And State A has *specific* jurisdiction over the salesman because the investors' claim arises from their meeting with the salesman there. However, State B cannot exercise personal jurisdiction over the salesman because he has no contacts there. Therefore, only the district courts of States A and C have personal jurisdiction over the salesman **(Choice D)**.

The next consideration is which of these courts is also a proper venue where the case can be heard. **Venue** is proper in any district where:

- any defendant resides, if all defendants reside in the same state (ie, **residency-based venue**)
- a substantial part of the events that gave rise to the suit occurred (ie, **events-based venue**) or a substantial part of the property is located (ie, property-based venue) *or*
- any defendant is subject to the court's personal jurisdiction—but only if neither of the above provisions applies (ie, **fallback provision**).

Here, venue is proper in the district court of State C, where the salesman (the sole defendant) resides. A substantial part of the events giving rise to the investors' claim occurred in the districts of State A (where the meeting occurred) and State B (where the investor wired money), so venue is also proper there. But since State B lacks personal jurisdiction over the salesman, only the district courts of States A and C have both personal jurisdiction over the salesman *and* venue over the investors' suit **(Choices A & B)**.

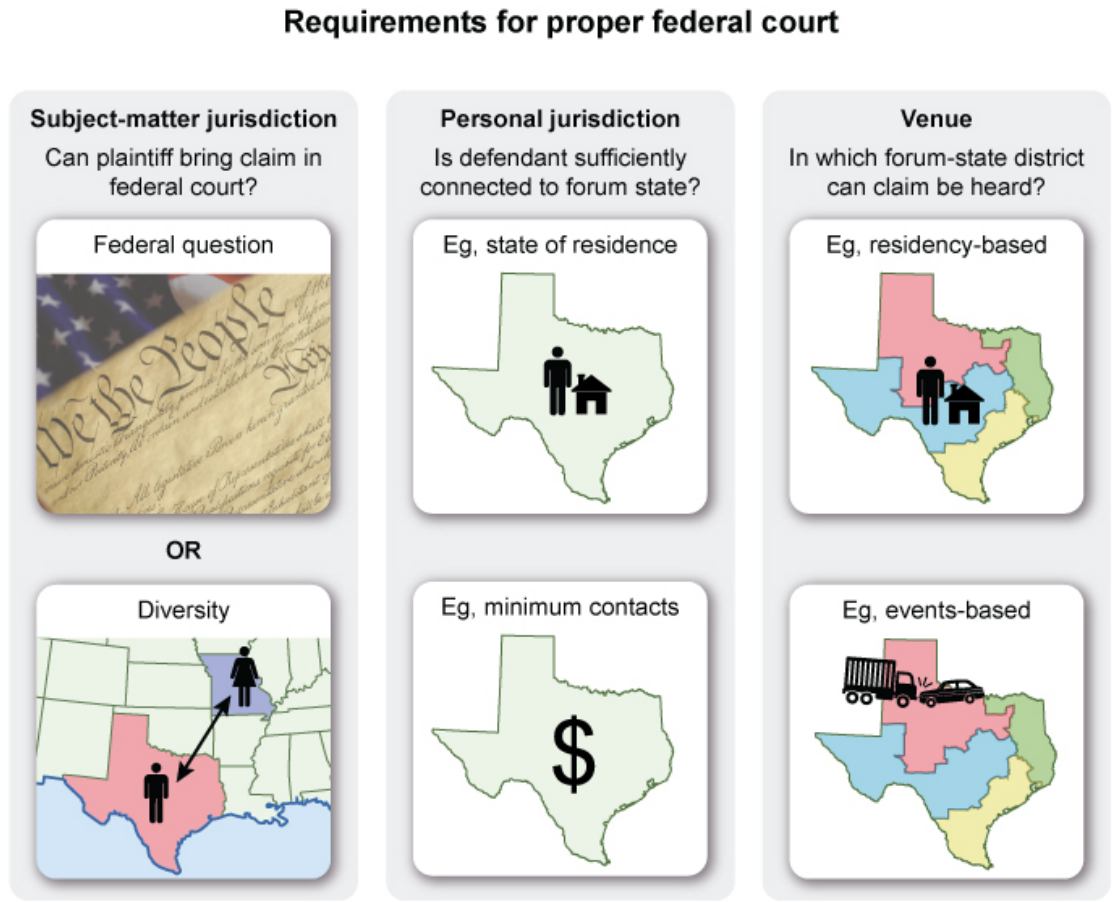
Educational objective:

To hear a dispute, a federal court must have personal jurisdiction over the defendant and be a proper venue in which the case can be heard.

References

- 28 U.S.C. § 1391(b) (venue).
- Bristol-Myers Squibb Co. v. Super. Ct. of Cal., 137 S. Ct. 1773, 1780-82 (2017) (explaining the requirements for general and specific jurisdiction).

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A farmer from State A purchased farmland from a woman who lives in State B. Prior to the purchase, a private land inspector from State B tested the soil and concluded that it was adequate for farming operations. Upon taking possession of the land, however, the farmer realized that the woman had polluted the soil to such an extent that he could not maintain farming operations.

The farmer sued the woman in federal court under a federal environmental statute for $300,000. The farmer also joined the inspector to this suit to recover $50,000 for the inspector's negligent inspection of the land.

The inspector filed a motion to dismiss the farmer's claim against him for lack of subject-matter jurisdiction.

How will the court likely rule on the inspector's motion?

A. Deny the motion, because although there is no federal-question or diversity jurisdiction over the farmer's claim against the inspector, there is supplemental jurisdiction over this claim.

B. Deny the motion, because there is federal-question jurisdiction over the farmer's claim against the inspector.

C. Grant the motion, because a federal court can never hear a claim over which it does not have federal-question or diversity jurisdiction.

D. Grant the motion, because there is no federal-question, diversity, or supplemental jurisdiction over the farmer's claim against the inspector.

Explanation:

Subject-matter jurisdiction refers to a federal court's authority to hear a type of dispute. This requirement is met when a dispute falls within either:

- **federal-question jurisdiction** – the dispute arises under the U.S. Constitution, a treaty, or a federal law *or*
- **diversity jurisdiction** – the opposing parties are citizens of different states and the amount in controversy for each claim exceeds $75,000.

Here, federal-question jurisdiction exists over the farmer's claim against the woman because it arises under the *federal* statute. But such jurisdiction does not exist over his *state* law negligence claim against the inspector **(Choice B)**. And though the opposing parties reside in different states (States A and B), the federal court lacks diversity jurisdiction over this claim since the amount in controversy is merely $50,000.

When only some claims in a dispute fall within the court's original subject-matter jurisdiction (as seen here), the court can exercise **supplemental jurisdiction** to hear the remaining claims in some instances **(Choice C)**. This is permitted when a supplemental claim shares a **common nucleus of operative facts** with a claim within the court's original subject-matter jurisdiction. But if the **original claim** is based on **federal-question jurisdiction**, the court can decline to exercise supplemental jurisdiction for any of the following **discretionary reasons**:

- the supplemental claim raises a novel/complex state law issue
- the supplemental claim predominates over the original claims
- the original claims have been dismissed *or*
- another compelling reason exists.

Here, the farmer's claims share a common nucleus of operative facts because they arise from the same polluted soil. And since the farmer's claim against the woman is based on federal-question jurisdiction—and none of the discretionary reasons apply—the court may exercise supplemental jurisdiction over his claim against the inspector. As a result, the court will likely deny the inspector's motion to dismiss **(Choice D)**.

Educational objective:

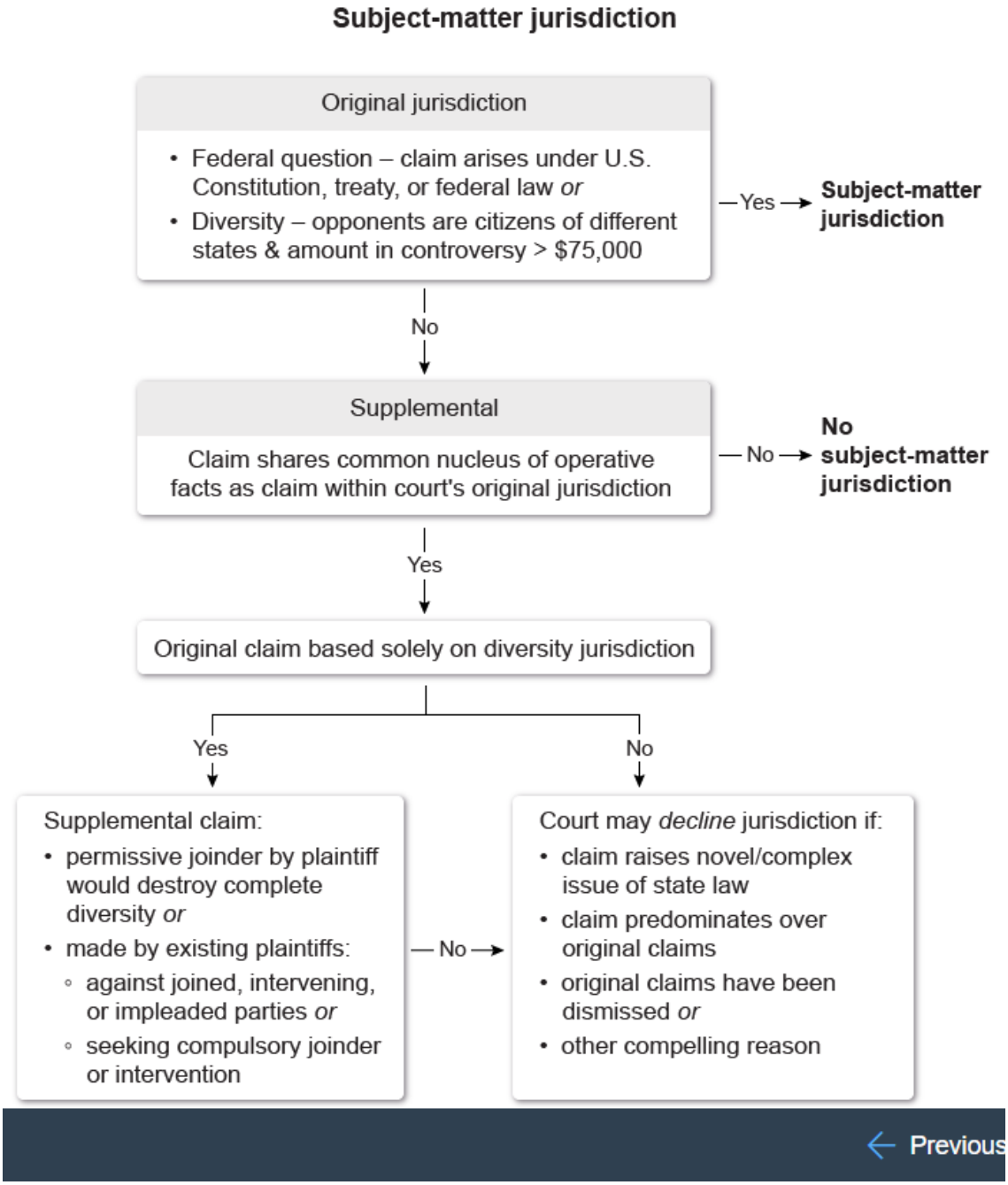
A federal court will generally exercise supplemental jurisdiction over a claim that falls outside of its original subject-matter jurisdiction if it shares a common nucleus of operative facts with a claim that arises under federal-question jurisdiction—unless it declines to do so for a discretionary reason.

References

- 28 U.S.C. § 1367 (supplemental jurisdiction).

- Exxon Mobil Corp. v. Allapattah Servs., 545 U.S. 546, 557–60 (2005) (explaining supplemental jurisdiction).

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A small commercial airplane crashed in State A. The passengers and pilot, all citizens of State B, were killed in the crash. The airline that owned and operated the airplane is incorporated and has its maintenance facilities and principal place of business in State C.

One day before the statute of limitations on their claims would have run, the estates of the pilot and each of the passengers filed a wrongful death action against the airline in federal court in State A. The airline was served one week later and wants to prevent the State A federal court from hearing the action.

Which of the following motions is most likely to accomplish the airline's goal?

A. A motion to dismiss the action for improper venue.

B. A motion to dismiss the action for lack of personal jurisdiction.

C. A motion to dismiss the action under the doctrine of forum non conveniens.

D. A motion to transfer the action to a federal court in State C.

Explanation:

Under 28 U.S.C. § 1404, a district court can **transfer venue** for the **convenience of parties and witnesses**, and in the **interest of justice**, to any judicial district (1) where the **suit could have been originally brought** or (2) to which **all the parties have consented**. Venue is proper in a district where:

- any defendant resides, if all defendants reside in the same state
- a substantial part of the **events that gave rise to the suit occurred** (or a substantial part of the property that is the subject of the suit is located) *or*
- any defendant is subject to the court's personal jurisdiction (if neither of the above provisions applies).

Here, the airline was sued in federal court in State A—where the airplane crash giving rise to the suit occurred (proper venue) **(Choice A)**. But the airline can likely prevent the State A federal court from hearing the suit by filing a motion to transfer venue to State C since:

- the suit could have originally been filed in State C—the airline's state of incorporation and principal place of business (ie, residence)
- none of the parties reside in State A *and*
- State C is likely more convenient for the witnesses since the airline has its maintenance facilities there.

(Choice B) A federal court has personal jurisdiction over a defendant (eg, the airline) if the plaintiff's claim arises from the defendant's minimum contacts with the state where the court is located (ie, the forum state). Since this suit arises from the airline's minimum contacts with State A—flying and crashing its plane there—it will not be dismissed for lack of personal jurisdiction.

(Choice C) The doctrine of forum non conveniens allows a federal court to dismiss or stay a case—even when venue is proper in that court—if a state or foreign judicial system is better suited to hear the dispute (not seen here).

Educational objective:

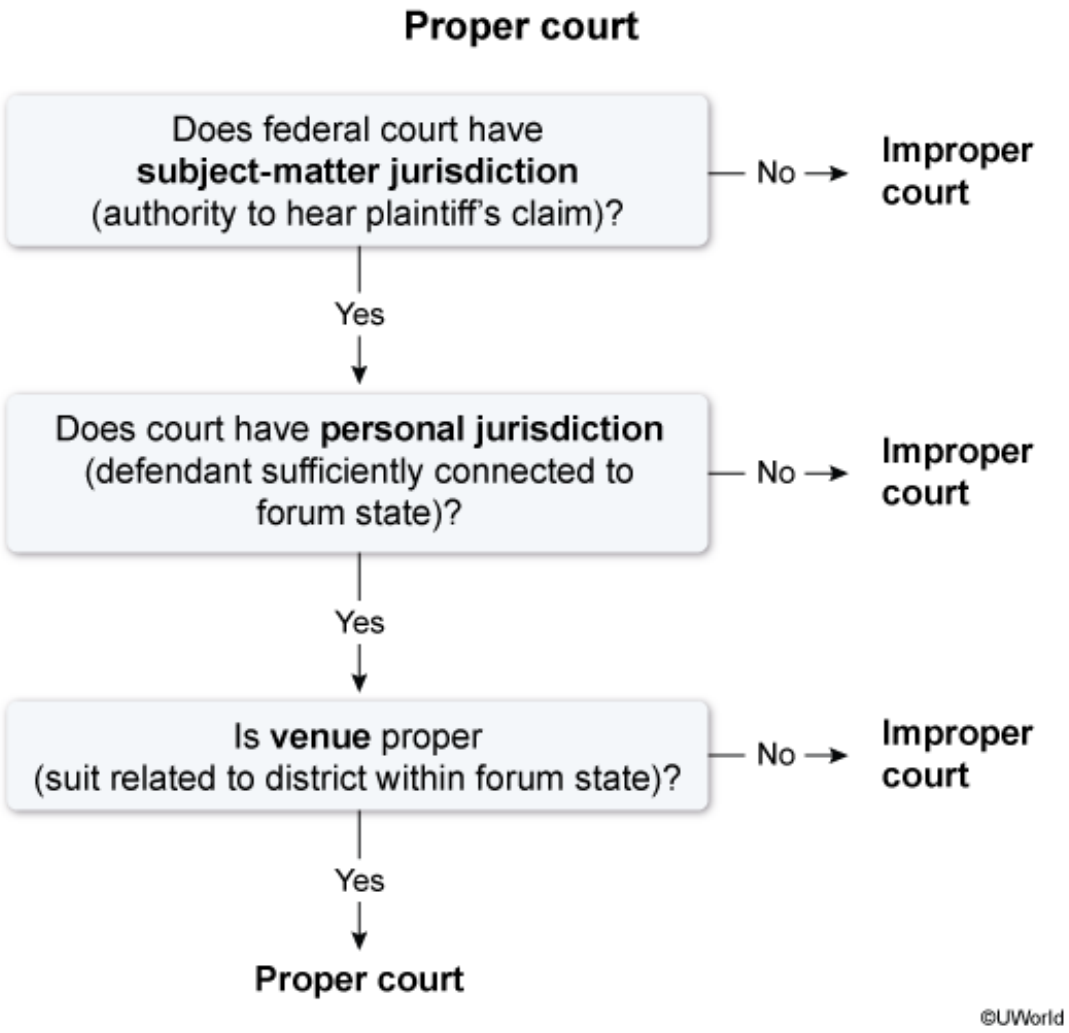
A district court can transfer venue for the convenience of parties and witnesses, and in the interest of justice, to any judicial district (1) where the suit could have been originally brought or (2) to which all of the parties have consented.

References

- 28 U.S.C. § 1391 (venue).
- 28 U.S.C. § 1404 (change of venue).

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The police searched a woman's home without probable cause or a warrant. Based on the evidence discovered during the search, the woman was charged with first-degree murder in state court. At trial, the woman objected to the admission of the evidence on the grounds that the police unconstitutionally searched her home and seized the evidence. After a hearing on the issue, the court overruled the woman's objection and admitted the evidence. Immediately after this ruling, the woman filed a complaint in federal court to enjoin the state court from proceeding with her prosecution because the police violated her constitutional rights.

Should the federal court hear the woman's claim?

A. No, because the federal court does not have subject-matter jurisdiction over the case.
B. No, because the federal court must abstain from hearing the case.
C. Yes, because the woman was prosecuted in bad faith.
D. Yes, because the woman's claim arises under the U.S. Constitution.

Explanation:

A federal court generally must adjudicate a suit over which it has **subject-matter jurisdiction**. This jurisdictional requirement can be satisfied through diversity jurisdiction or **federal-question jurisdiction**—ie, when the plaintiff's claim arises under the U.S. Constitution, federal law, or a treaty. Here, the woman's complaint asserts a constitutional violation, so subject-matter jurisdiction exists **(Choice A)**.

However, a federal court with subject-matter jurisdiction may or must abstain from hearing a case in limited situations. One situation arises under the ***Younger* abstention doctrine**, which applies when declaratory or injunctive relief is sought in federal court. This doctrine *requires* abstention when such relief would interfere with a **pending state proceeding** on any criminal matter or a particular civil matter* that:

- involves an important state interest *and*
- provides an **adequate opportunity to litigate** the federal issue(s).

Here, the woman is asking the federal court to enjoin the pending state criminal proceeding against her. However, the state has an important interest in enforcing its own criminal law, and the woman was given an opportunity to litigate her constitutional claim at the hearing. As a result, the federal court must abstain from hearing her claim **(Choice D)**. If the woman is convicted, she can raise her constitutional challenge through the state's appellate process.

*Only certain civil proceedings qualify for Younger abstention, including enforcement proceedings akin to a prosecution (eg, termination of parental rights) and proceedings that further a state court's ability to perform judicial functions (eg, contempt).

(Choice C) There are several exceptions to the *Younger* abstention doctrine, including when the state initiates a criminal prosecution in bad faith because there was no reasonable expectation of conviction. This exception does not apply here because, while the police may have acted unconstitutionally, there is no indication that the state prosecuted the woman in bad faith.

Educational objective:

The *Younger* abstention doctrine requires a federal court to abstain when a declaratory judgment or injunction by that court would interfere with a pending state criminal, or particular civil, proceeding that (1) involves an important state interest and (2) provides an adequate opportunity to litigate federal issues.

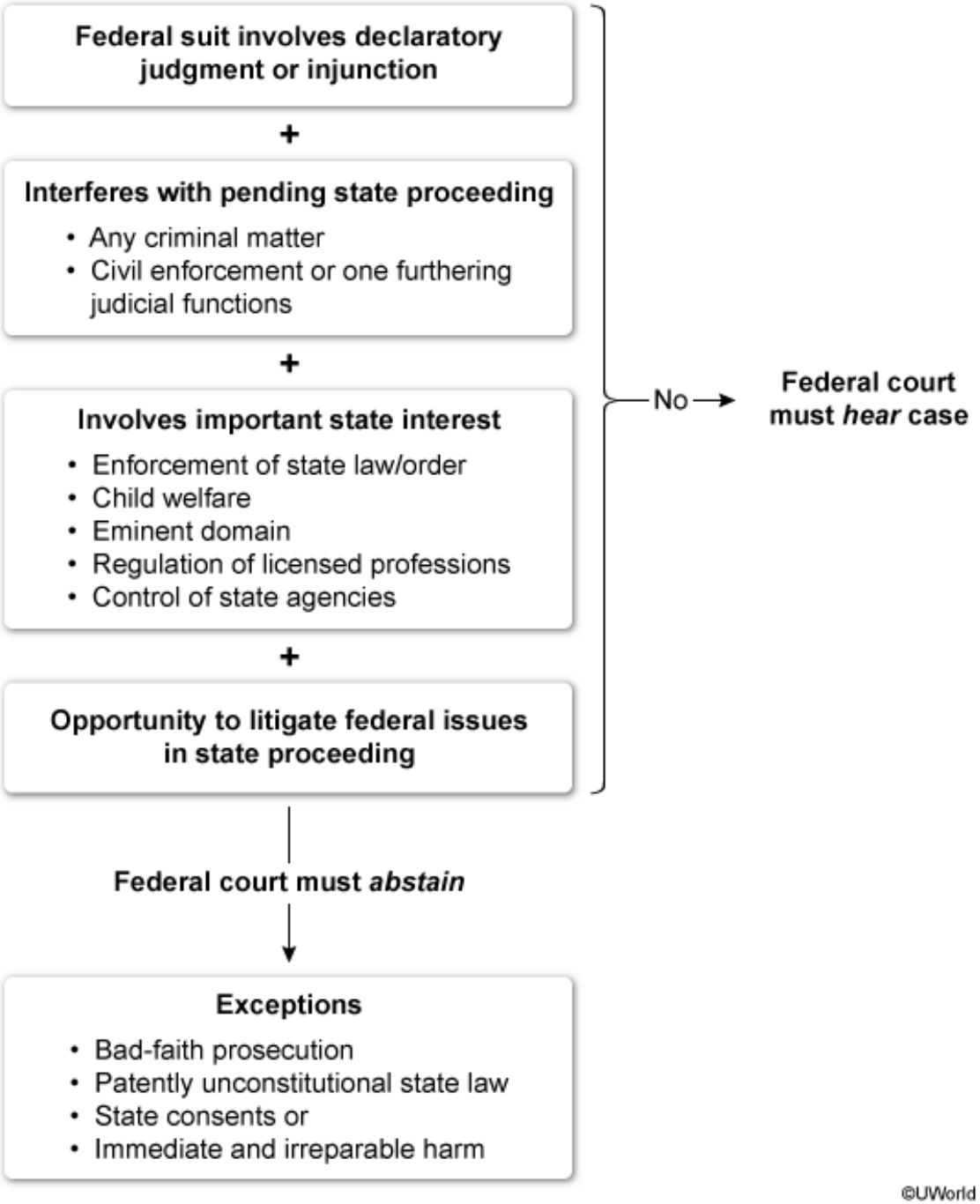
References

- Younger v. Harris, 401 U.S. 37, 40 (1971) (establishing the Younger abstention doctrine).

- Sprint Commc'ns, Inc. v. Jacobs, 571 U.S. 69, 81 (2013) (listing the requirements for Younger abstention).
- 32A Am. Jur. 2d Federal Courts § 1035 (2020) (explaining Younger abstention).

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Younger abstention doctrine



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A woman from State A was hit in State B by a driver who is a citizen and resident of a foreign country. The driver frequently visited family in State A. Each state is composed of only one federal judicial district.

If the woman files a diversity action against the driver in the federal court in State A, which of the following is the woman's strongest argument that venue is proper?

A. Venue is proper in any judicial district because the driver resides in a foreign country.

B. Venue is proper in any judicial district because the Federal Tort Claims Act applies.

C. Venue is proper in State A because that is where the woman resides.

D. Venue is proper in State A because the driver is subject to personal jurisdiction there.

Explanation:

Special rules for where venue is proper

Removal	• Federal district where state action was pending
Foreign resident	• Any judicial district
Federal official sued in official capacity	• Where defendant resides • Where substantial events occurred or property is located • Where plaintiff resides if no real property is involved in suit
Foreign government	• Where substantial events occurred or property is located • In federal district court of Washington, D.C.
Multiparty, multiforum litigation	• Where defendant resides • Where substantial part of accident occurred
Federal Tort Claims Act	• Where plaintiff resides • Where act/omission occurred

Venue is the geographic location of a federal district court where a case may be heard. Under the ***general*** **venue statute**, venue is proper in a judicial district where:

- any defendant resides—but only if all defendants reside in the same state
- a substantial portion of the events occurred or a substantial part of the property at issue is located *or*
- any defendant is subject to the court's personal jurisdiction—but only if venue cannot be established under the above provisions.

However, ***special*** **venue rules** apply in certain situations, including when a defendant is a **nonresident of the U.S.** In this situation, venue is **proper in *any* judicial district**.* And since the driver is a resident of a foreign country, this is the woman's strongest argument that venue is proper in State A.

*Additionally, when a non-U.S. resident is joined (ie, added) as a defendant, the non-U.S. resident is disregarded when determining proper venue as to the other defendants in the action.

(Choice B) The Federal Tort Claims Act applies to suits brought against the U.S. government for the tortious conduct of a federal employee—not suits against a nonresident for his/her tortious conduct (as seen here). But had the Act applied, venue would be proper

only in the judicial district where the plaintiff resides (State A) or where the act or omission occurred (State B).

(Choice C) Venue is never based on the plaintiff's residence unless the Federal Tort Claims Act applies or a federal officer or employee is sued in his/her official capacity or under color of legal authority—none of which is seen here. Therefore, the woman cannot successfully argue that venue is proper based on where she resides.

(Choice D) Since venue is proper in any judicial district in an action against a non-U.S. resident, personal jurisdiction has no bearing on where venue is proper.

Educational objective:

Venue is the geographic location of a federal district court where a case may be heard. When a defendant is a nonresident of the U.S., venue is proper in *any* federal judicial district.

References

- 28 U.S.C. § 1391(c)(3) (setting forth the proper venue for non-U.S. residents).

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A woman from State A contacted an attorney after she developed a lung disorder, which she claims was caused by e-cigarettes. After researching the woman's claim, the attorney discovered that other individuals across the country developed similar lung disorders from the use of the same brand of e-cigarettes manufactured by a company incorporated and with its principal place of business in State B.

The attorney filed a class action in federal court in State A on behalf of 70 individuals against the company. The woman was the only named plaintiff. Each class member's claim amounted to $100,000, and the damages on behalf of the entire class amount to $7 million. Ten of the unnamed plaintiffs live in State B.

The company filed an answer denying responsibility. Twenty days later, it filed a motion to dismiss the class action for lack of subject-matter jurisdiction.

How will the court likely rule on the company's motion?

A. Deny the motion, because diversity jurisdiction exists.

B. Deny the motion, because the company waived its claim for lack of subject-matter jurisdiction by filing its motion after its answer.

C. Grant the motion, because members of the class and the company are citizens of State B.

D. Grant the motion, because the class only contains 70 members.

Explanation:

Subject-matter jurisdiction in class actions

Type	Requirements
Federal question	• Class action arises under U.S. Constitution, treaty, or federal law
Diversity	• Amount in controversy for any named plaintiff's claim exceeds $75,000* *and* • named opposing parties are citizens of different states
Class Action Fairness Act	• Class contains ≥ 100 members • at least one class member & one defendant are diverse *and* • amount in controversy for aggregated claims exceeds $5 million

*A federal court can acquire subject-matter jurisdiction over class members' claims that do not exceed $75,000 through supplemental jurisdiction.

A class action is a suit filed by one or more named plaintiffs (ie, class representatives) on behalf of similarly harmed unnamed plaintiffs. As in any other lawsuit, a federal court can obtain **subject-matter jurisdiction over a class action** through either:

- federal-question jurisdiction – when the class action arises from the U.S. Constitution, a treaty, or federal law (not seen here) *or*
- **diversity jurisdiction** – when the ***named* opposing parties** are citizens of different states (ie, are **diverse**) and the **amount in controversy** for any named plaintiff's claim **exceeds $75,000**.*

Here, the woman from State A (named plaintiff) and the company incorporated and headquartered in State B (named defendant) are diverse. The fact that 10 *unnamed* plaintiffs are also citizens of State B does not destroy diversity **(Choice C)**. Additionally, the woman—and every other class member—asserted a claim for $100,000, which satisfies the amount-in-controversy requirement. Therefore, the federal court has diversity jurisdiction and will likely deny the company's motion to dismiss.

*A federal court can acquire subject-matter jurisdiction over class members' claims that do not exceed $75,000 through supplemental jurisdiction.

(Choice B) Under Federal Rule of Civil Procedure 12(h), a defendant waives certain defenses if they are not asserted in a pre-answer motion or an answer—whichever occurs first. But a defense based on lack of subject-matter jurisdiction is *never* waived and can be asserted at any time.

(Choice D) The Class Action Fairness Act provides an alternate basis for subject-matter jurisdiction when (1) the class contains at least 100 members, (2) any member is diverse from at least one defendant, and (3) the aggregated amount in controversy exceeds $5 million. This Act does not apply here because the class has only 70 members, but the court still has subject-matter jurisdiction based on diversity.

Educational objective:

A federal court has diversity jurisdiction over a class action when (1) the *named* opposing parties are citizens of different states and (2) the amount in controversy for any *named* plaintiff's claim exceeds $75,000.

References

- Fed. R. Civ. P. 23 (class actions).
- 28 U.S.C. § 1332(a) (diversity jurisdiction).
- Supreme Tribe of Ben-Hur v. Cauble, 255 U.S. 356, 366 (1921) (holding that only the named opposing parties in a class action need to be diverse to satisfy diversity jurisdiction).

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A foreign exchange student from Germany was on vacation in State B with his host family, all citizens of State A, when their car collided with a truck owned by a company headquartered and incorporated in Germany. The truck was driven by a citizen of State B.

The student and the host family brought a negligence suit against the company and the truck driver in a federal court in State B. The student seeks to recover $200,000 and the family seeks $500,000 in damages. The company and the truck driver have filed a motion to dismiss for lack of subject-matter jurisdiction.

Is the court likely to grant the motion?

A. No, because actions involving foreign citizens pose a federal question.

B. No, because the requirements for diversity jurisdiction are satisfied.

C. Yes, because the doctrine of forum non conveniens requires that the action be heard in Germany.

D. Yes, because the foreign exchange student and the company are citizens of the same country.

Explanation:

Subject-matter jurisdiction refers to a federal court's authority to hear a particular type of case. This jurisdictional requirement can be established through federal-question jurisdiction or diversity jurisdiction. **Diversity jurisdiction** is established when (1) the amount in controversy exceeds $75,000 and (2) **complete diversity of citizenship** exists between the opposing parties. As a result, diverse citizenship exists if the **suit is between**:

- U.S. citizens domiciled in the U.S. and foreign citizens
- U.S. citizens and permanent residents domiciled in different states *or*
- **U.S. citizens** domiciled in **different states** with **foreign citizens as additional parties**.

Here, the host family from State A and the German exchange student brought a negligence suit against the truck driver from State B and the German company. Since the suit is between U.S. citizens domiciled in different states with foreign citizens as additional parties, diverse citizenship exists. Additionally, the amount-in-controversy requirement is met because the student seeks $200,000 and the family seeks $500,000 in damages. Therefore, the requirements for diversity jurisdiction are satisfied.

(Choice A) Judicial actions involving foreign citizens do not automatically pose a federal question. The cause of action must arise from the U.S. Constitution, a treaty, or a federal statute. Since the negligence action asserted here arises from state law, federal-question jurisdiction does not exist.

(Choice C) The doctrine of forum non conveniens allows, but does not require, a federal court to dismiss or stay a lawsuit if a state or foreign judicial system provides a more convenient forum to hear the case. Additionally, this doctrine is unrelated to subject-matter jurisdiction.

(Choice D) The fact that the foreign exchange student and the company are both German citizens is irrelevant. Diverse citizenship is established since the host family and the truck driver are U.S. citizens domiciled in different states and the foreign citizens are additional parties.

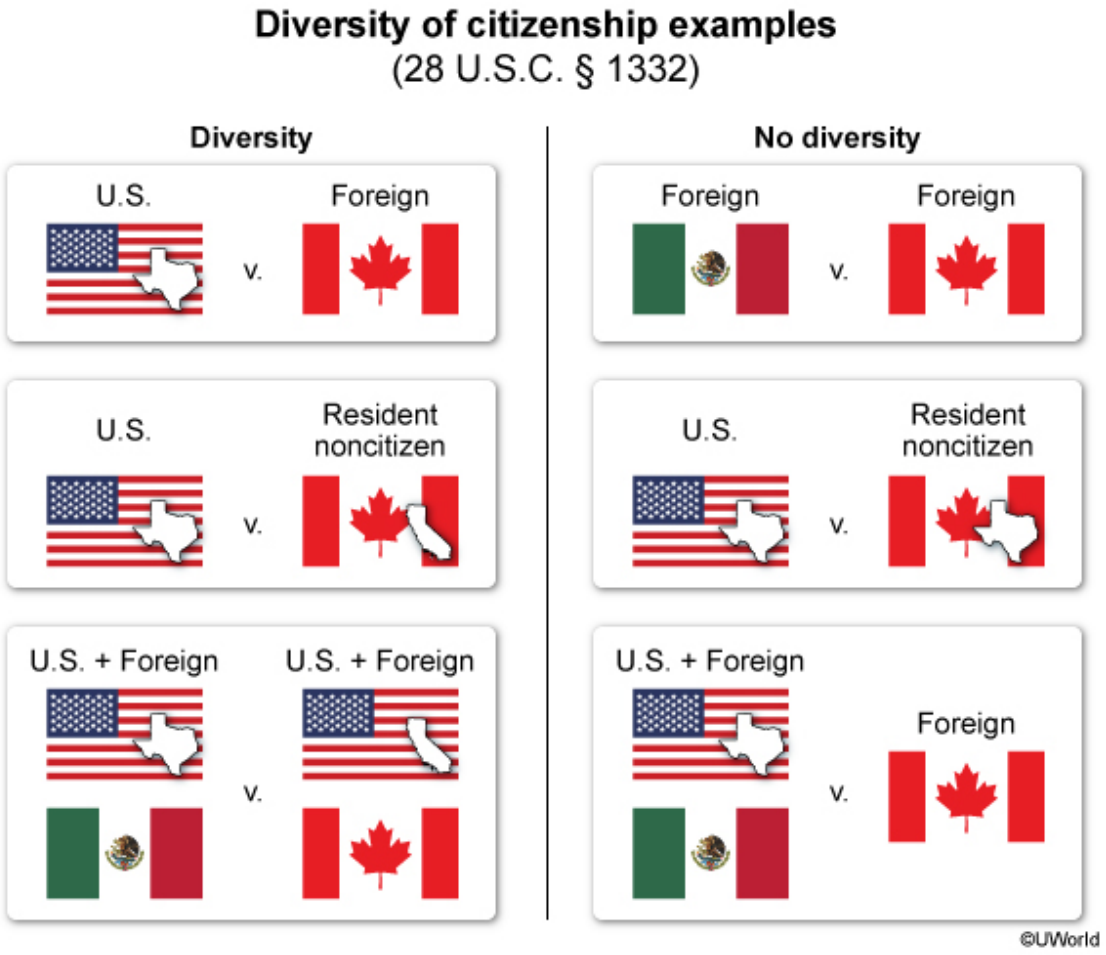
Educational objective:

Diverse citizenship exists in a suit between (1) U.S. citizens domiciled in the U.S. and foreign citizens, (2) U.S. citizens and permanent residents domiciled in different states, or (3) U.S. citizens domiciled in different states with foreign citizens as additional parties.

References

- 28 U.S.C. § 1332(a) (diversity jurisdiction).
- 32A Am. Jur. 2d Federal Courts § 628 (2020) (explaining that diverse citizenship exists in a suit between U.S. citizens domiciled in different states with foreign citizens as additional parties).

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A senior executive domiciled in State B brought an action in a state court in State A against her former employer, a corporation that is incorporated and has its principal place of business in State A. In her complaint, the executive alleges that she was wrongfully terminated after 17 years of employment and seeks $100,000 in lost wages and benefits.

The corporation filed an answer two weeks after it received service of process. The answer claimed that the executive was terminated for attempting to license a patent owned by the corporation without its permission, in violation of patent law. The corporation contemporaneously filed a notice of removal in federal court. Twenty-three days later, the executive filed a motion to remand.

Should the federal court grant the motion to remand?

A. No, because federal courts have exclusive jurisdiction over patent-law violations.

B. No, because the motion to remand was due within 21 days after the notice of removal was filed.

C. Yes, because the corporation, as a citizen of State A, cannot remove the case to federal court.

D. Yes, because the corporation should have filed its notice of removal in state court.

Explanation:

A **defendant may remove** a case from **state to federal court** if the case falls within the federal court's original **subject-matter jurisdiction**. Original jurisdiction arises from either:

- **federal-question jurisdiction** – when a claim arises under the U.S. Constitution, a federal treaty, or federal law *or*
- **diversity jurisdiction** – when the amount in controversy exceeds $75,000 and the opposing parties are citizens of different states.

Diversity jurisdiction seeks to protect out-of-state defendants from potential bias in state courts. However, in-state defendants do not face the same risk of bias. Therefore, the **forum-defendant rule** (ie, home-court advantage rule) **prohibits removal** when (1) subject-matter jurisdiction arises from **diversity jurisdiction** and (2) the defendant is a **citizen of the state** in which the **case was filed**.

Here, diversity jurisdiction exists because the amount in controversy is $100,000 and the executive and the corporation are citizens of different states (States B and A, respectively). But since the corporation is a citizen of State A—where the case was filed—the forum-defendant rule prohibits removal. Therefore, the federal court should grant the executive's motion to remand the case to state court.

(Choice A) Federal courts have exclusive jurisdiction over patent claims, and any party that asserts a patent claim can remove the case to federal court. But here, the corporation has not asserted a patent claim—it merely raised the alleged patent violation to explain why the executive was terminated.

(Choice B) A motion to remand must be filed within 30 days after the notice of removal was filed. Therefore, the executive timely filed her motion 23 days after the corporation filed its notice of removal.

(Choice D) A notice of removal must be filed in the federal court located in the same district in which the suit is pending—as the corporation did here. A copy of the notice of removal should then be delivered to the parties and the state court.

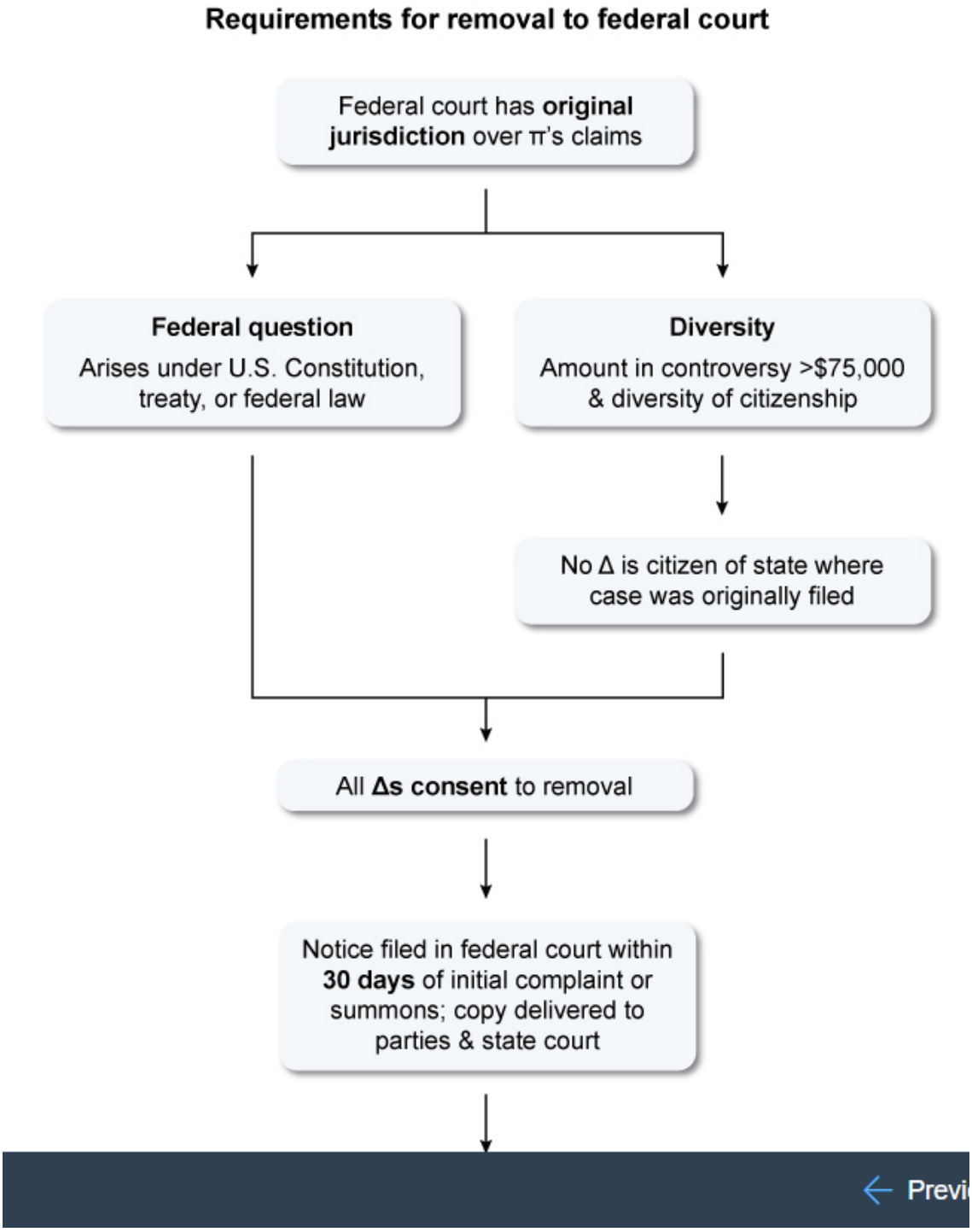
Educational objective:

The forum-defendant rule prohibits removal when (1) subject-matter jurisdiction arises from diversity jurisdiction and (2) the defendant is a citizen of the state in which the case was filed.

References

- 28 U.S.C. § 1441(b)(2) (forum-defendant rule).

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A beneficiary of a trust, who is a citizen of State A, has sued the trustee in federal court in State A for failing to correctly distribute the income from the trust, seeking an accounting. The trustee was personally served with process and the complaint by the beneficiary's attorney while the trustee was vacationing in State A. The trustee is a citizen of State B, and the accounts that are the subject of the trust are located in State B.

What is the trustee's best response to the complaint?

A. Answer the complaint and counterclaim for abuse of process.

B. File an action in a State B court and move to enjoin the State A action.

C. Move to dismiss for improper service by the attorney.

D. Move to dismiss for improper venue.

Explanation:

Venue

Proper venue (28 U.S.C. § 1391)	Case may be brought in any federal district where: • any defendant resides, if defendants all reside in same state • substantial part of events giving rise to claim occurred or property at issue is located • any defendant is subject to court's personal jurisdiction (if neither of the above provisions applies)
Transfer from proper venue (28 U.S.C. § 1404)	When venue is proper, district court may transfer case to any other proper venue for convenience of parties/witnesses & in interest of justice
Transfer or dismissal from improper venue (28 U.S.C. § 1406)	When venue is improper, district court must either: • dismiss case • transfer case to proper venue (if interest of justice requires)

Venue can be established in any federal judicial district where:

- any defendant resides (only applies when all defendants reside in the same state)
- a substantial part of the **events** that gave rise to the suit **occurred** or a substantial part of the **property at issue is located** *or*
- any defendant is subject to the court's personal jurisdiction (only applies if neither of the above provisions applies).

Here, the trustee resides and the trust accounts are located in State B. Additionally, the events giving rise to the suit likely occurred in State B since that is where the trust is administered. This means that venue is proper in State B—not State A, where the suit was filed. Therefore, the trustee's best response is to move to dismiss for improper venue.

(Choice A) Abuse of process is a tort claim alleging that a party intentionally misused the legal process for an ulterior, improper purpose. Since there is no indication that the beneficiary sued the trustee for an improper purpose, a counterclaim for abuse of process is not the trustee's best response.

(Choice B) If the trustee filed an action in State B, the State B court would only enjoin an action in another court in the extremely rare circumstance in which the party seeking the injunction has no adequate alternative remedy. But here, the trustee does not need

injunctive relief since the trustee could raise the same issues in the State A action as in a State B action.

(Choice C) Service of process is proper if it is personally delivered to the defendant by a person who is at least 18 years old and *not a party* to the suit (eg, the beneficiary's attorney).

Educational objective:

Venue is proper in any district where (1) any defendant resides, if all defendants reside in the same state, (2) a substantial part of the events giving rise to the suit occurred or the property at issue is located, or (3) any defendant is subject to the court's personal jurisdiction, if the first two provisions do not apply.

References

- 28 U.S.C. § 1391(b) (proper venue).

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An entrepreneur from State A sued a website owner from State B in a State A federal court. The complaint alleges that the owner breached an advertising contract by failing to prominently display the entrepreneur's latest product on the website's homepage, resulting in lost profits totaling $50,000. The entrepreneur also asserted a defamation claim against the owner for $20,000 in damages. Additionally, the complaint includes a request for the court to award the entrepreneur $7,000 in costs related to the action.

The website owner has moved to dismiss the case for lack of subject-matter jurisdiction.

How will the court likely rule on the motion?

A. Deny the motion, because the court has supplemental jurisdiction over the claims.

B. Deny the motion, because the parties are diverse and the amount-in-controversy requirement is satisfied.

C. Grant the motion, because the action does not present a federal question and the amount-in-controversy requirement is not satisfied.

D. Grant the motion, because the action should have been asserted in a State B federal court.

Explanation:

Subject-matter jurisdiction can be established through either:

- **federal-question jurisdiction** – when a claim arises under the U.S. Constitution, a federal treaty, or a federal statute (not seen here) *or*
- **diversity jurisdiction** – when the opposing parties are citizens of different states (as seen here) and the **amount in controversy exceeds $75,000**.

The amount in controversy refers to the amount demanded in the plaintiff's complaint. To meet the required amount, a single plaintiff may aggregate (ie, combine) joined claims asserted against a single defendant. However, **costs and interest are excluded** from the amount-in-controversy calculation.

Here, the entrepreneur asserted a $50,000 breach-of-contract claim and a $20,000 defamation claim ($70,000 total) against the website owner. Although the complaint also requested $7,000 in costs related to the action, such costs are excluded from the amount-in-controversy calculation. Since the $70,000 amount in controversy is inadequate, the federal court lacks diversity jurisdiction **(Choice B)**. Therefore, the court will likely grant the owner's motion to dismiss.

(Choice A) When a dispute involves multiple claims and only some fall within the court's original subject-matter jurisdiction, supplemental jurisdiction may exist over the remaining claims. Here, no claim falls within the court's original subject-matter jurisdiction, so supplemental jurisdiction does not exist.

(Choice D) Whether the action should have been commenced in a State B federal court is irrelevant for determining subject-matter jurisdiction. The location of the federal court is relevant when venue is challenged.

Educational objective:

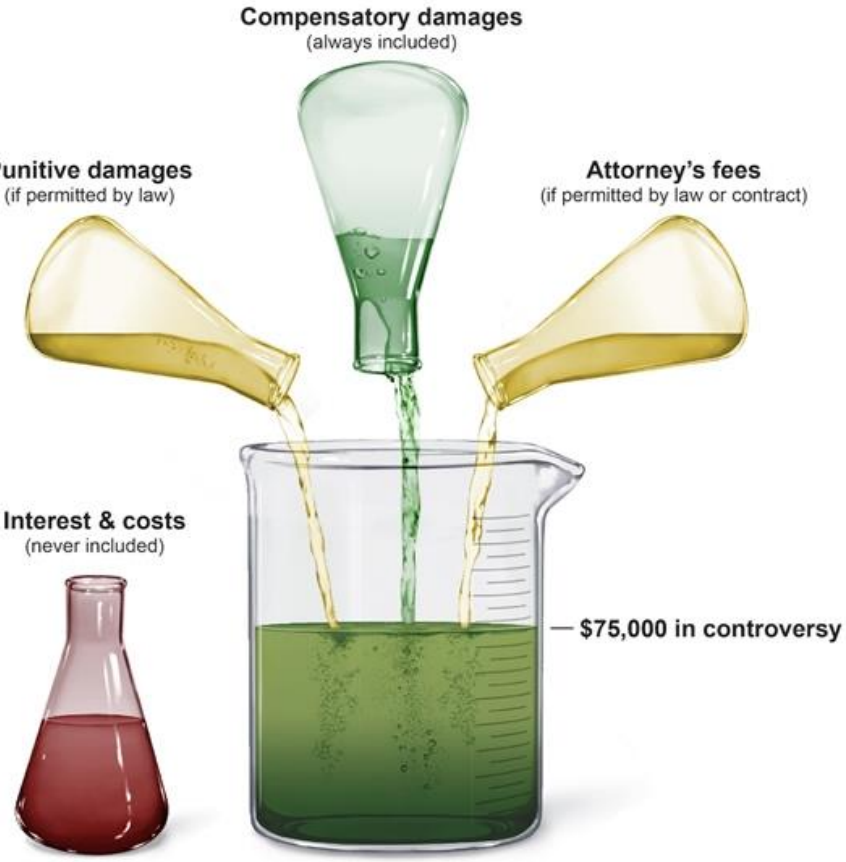
Diversity jurisdiction requires that the opposing parties be citizens of different states and the amount in controversy exceed $75,000. The amount in controversy refers to the amount demanded in the plaintiff's complaint (excluding costs and interest).

References

- 28 U.S.C. § 1332 (diversity jurisdiction).
- 32A Am. Jur. 2d Federal Courts § 959 (2020) (explaining that costs are excluded from the amount-in-controversy calculation).

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Calculating amount in controversy



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Before filing a federal civil action against a seller, a buyer's attorney unsuccessfully tried to settle with the seller's attorney. Three days before the limitations period on the buyer's claim expired, the buyer's attorney told the seller's attorney that she would file a complaint that day and asked the seller's attorney whether he would accept service of the summons and complaint. The seller's attorney agreed to do so. The buyer's attorney promptly filed the complaint but forgot to serve the seller's attorney.

Four months later, the buyer's attorney received a voicemail from the seller's attorney asking whether she had ever filed the buyer's complaint. The buyer's attorney immediately mailed a copy of the complaint to the seller's attorney.

The following week, the seller's attorney moved to dismiss the complaint for failure to effect timely service of process.

Is the court likely to grant the seller's motion to dismiss?

A. No, because under the Federal Rules of Civil Procedure, the filing of the complaint commences an action and the buyer's complaint was timely filed.
B. No, because the seller's attorney had notice of the complaint and agreed to accept service.
C. Yes, because the buyer's attorney did not show good cause for her failure to effect timely service.
D. Yes, because the limitations period expired without timely service.

Explanation:

A plaintiff must provide a defendant with notice of a lawsuit through **service of process**—ie, the delivery of a summons and a complaint. Process must be served on a **defendant in the U.S. within 90 days** after the **complaint is filed**.* Here, service of process was untimely because the buyer's attorney failed to effectuate service until four months (120 days) after filing the complaint. When this occurs, the court generally must either:

- **dismiss the action** without prejudice *or*
- **order service** of process **within a specified time**.

However, if the plaintiff provides **good cause** for why service was untimely, the court must **extend the time** for service for an **appropriate period**. Good cause exists if service was delayed due to **matters outside of the plaintiff's control**—not the plaintiff's own mistake or ignorance. Since the buyer's attorney simply forgot to serve the seller's attorney, good cause does not exist. Therefore, the court will likely grant the seller's motion to dismiss.

*The 90-day deadline for service of process applies to defendants in the U.S. For defendants in a foreign country, most federal courts require that process be served with due diligence.

(Choice A) FRCP 3 provides that an action is commenced when the plaintiff files the complaint. However, the plaintiff still must timely serve process or provide good cause for failing to do so (neither seen here).

(Choice B) The fact that the seller's attorney had informal notice of the complaint and agreed to accept service of process does not excuse the untimely service of process. This formal notice is required so that a defendant has definitive knowledge that the plaintiff intends to litigate the action in court.

(Choice D) A statute of limitations is the statutory deadline for a plaintiff to *file* that claim in court—not *serve* process on the defendant. Since the buyer's attorney filed the complaint three days before the limitations period on the claim expired, this is not a reason justifying dismissal.

Educational objective:

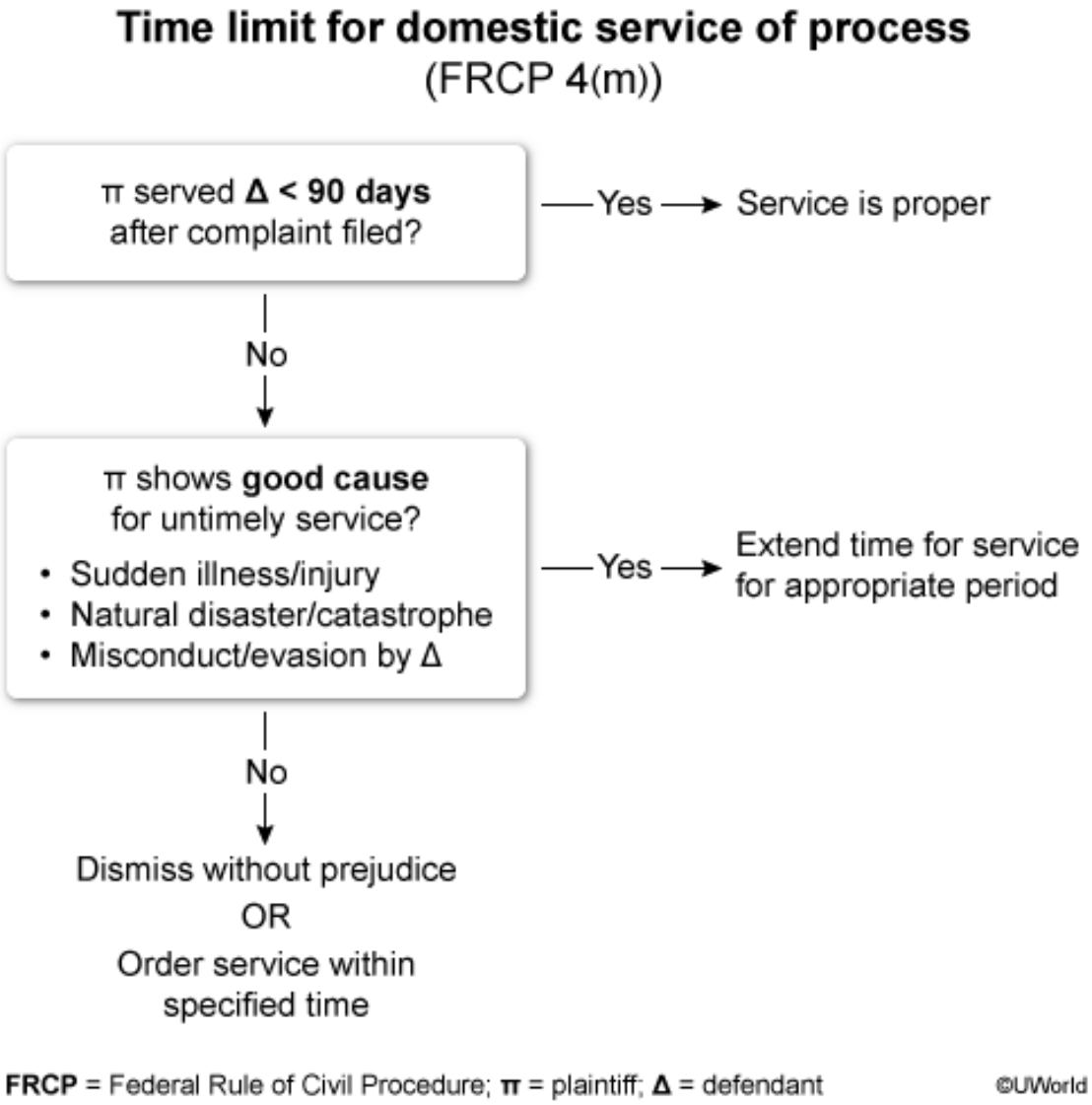
A court must extend the time for a plaintiff to serve the defendant with process when the plaintiff provides good cause for failing to timely effectuate service. Good cause exists if service was delayed due to matters outside of the plaintiff's control.

References

- Fed. R. Civ. P. 4(m) (deadline for service of process).
- 4B Charles Alan Wright et al., Federal Practice and Procedure § 1137 (4th ed. 2020) (explaining the general time limit for service of process and the good-cause exception).

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An investor from State A filed an action against his State B stockbroker in federal court in State A. The summons and complaint were served at the stockbroker's office in State B, where the process server handed the documents to the stockbroker's administrative assistant.

The stockbroker has answered the complaint, asserting the defense of improper service of process. Assume that both states' requirements for service of process are identical to the requirements of the Federal Rules of Civil Procedure.

Is the court likely to dismiss the action for improper service of process?

A. No, because service was made on a person of suitable age found at the stockbroker's place of employment.

B. No, because the stockbroker waived her claim for improper service of process by asserting it in her answer.

C. Yes, because an individual defendant may not be served by delivering process to a third party found at the defendant's place of employment.

D. Yes, because the process of State A courts is not effective in State B.

Explanation:

A defendant receives notice of a lawsuit through service of process—ie, delivery of a summons and complaint. Under FRCP 4, a defendant who is an individual in the U.S. can be **properly served with process** within 90 days after the original complaint* is filed by:

- following the **rules** for serving process in the **state where the court is located** or the **state where service is made**
- delivering process to the **defendant personally** (or to an **agent authorized** by appointment or law to receive service of process) *or*
- leaving process at the **defendant's dwelling** with a **resident of suitable age and discretion**.

Here, the service-of-process requirements for State A (where the court is located) and State B (where service was made) are identical to those of FRCP 4. But the process server delivered the summons and complaint to the stockbroker's administrative assistant—not to the stockbroker personally or to her authorized agent. And though the assistant was likely of suitable age and discretion, the documents were left at the stockbroker's office—not her dwelling **(Choice A)**. Therefore, the court will likely dismiss the action for improper service of process.

*Copies of other pleadings (eg, amended complaint, answer), motions, and other papers must also be served (ie, delivered) on the opposing party; however, a summons is not required and the deadline for service is governed by other procedural rules.

(Choice B) A claim for improper service of process is waived if it is not asserted in a pre-answer motion or answer, whichever occurs first. Therefore, the stockbroker preserved this claim by asserting it in her answer since no pre-answer motion had been filed.

(Choice D) Service of process is proper if it complies with the rules of the state where service is made or where the court is located—even when service is made in a different state. Therefore, service of process under the rules of State A courts can be effective in State B.

Educational objective:

Process can be served by (1) following the rules of the state where the court is located or where service is made, (2) delivering the summons and complaint to the defendant personally (or to his/her authorized agent), or (3) leaving the summons and complaint at the defendant's dwelling with a resident of suitable age and discretion.

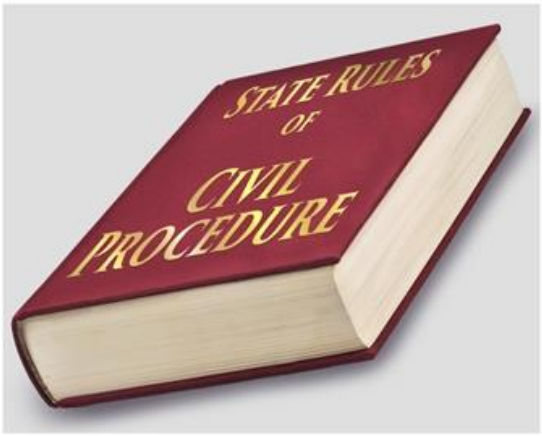
FRCP = Federal Rule of Civil Procedure

References

- Fed. R. Civ. P. 4(e) (serving process on an individual in the U.S.).

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Serving process on individual



Following state rules



Delivery to defendant



Delivery to defendant's authorized agent



Delivery to suitable resident at defendant's dwelling

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A bank sued a foreign investor for fraud in a federal court in State A. The bank was unable to ascertain the investor's primary address for 120 days after filing its complaint, but immediately thereafter mailed the investor a copy of the summons and complaint through certified mail to that address. The investor, upon receipt of the summons and complaint, retained counsel in State A.

State A permits service of process on an individual outside its borders by mailing the summons and complaint to the individual's primary residence. The foreign country where the investor resides is not a signatory to any international agreement that provides service-of-process rules, and there is no applicable federal statute. The foreign country does not permit service by mail.

The investor has moved to dismiss the suit for improper service of process.

What is the investor's best argument in support of the motion to dismiss?

A. The bank did not request that the federal court send a letter rogatory.
B. The bank served the summons and complaint more than 45 days after filing its complaint with the court.
C. The foreign country does not permit service by mail.
D. The investor can only be served by an internationally agreed method of service.

Explanation:

Methods of serving process in foreign country

Individual or organization	• Following international agreement reasonably calculated to give notice • If no international agreement & not prohibited by federal law: – following foreign country's rules – as foreign country directs in response to letter rogatory *or* – unless prohibited by foreign country, by personal delivery* or mail with request for signed return receipt • Following court order, unless prohibited by international agreement
Foreign government	• Following special arrangement between plaintiff & foreign state • If no special arrangement, by international convention • If no convention, by mail to head of foreign affairs ministry with request for signed return receipt • If service by mail cannot be made within 30 days, by sending two copies to U.S. Secretary of State via mail requiring signed receipt

*Organizations cannot be served by personal delivery in foreign countries.

A plaintiff must give a defendant notice of a lawsuit through **service of process**—ie, delivery of the summons and complaint. Under Federal Rule of Civil Procedure 4(f), a **defendant** who is an individual can be served in a **foreign country** by any **internationally agreed method** of service that is reasonably calculated to give notice **(Choice D)**. However, if there is no such method and no applicable federal law (as seen here), then the defendant can be served:

- by following the **foreign country's rules** for service of process
- as the **foreign country directs** in response to a letter rogatory—ie, a letter from a domestic court asking a foreign court for assistance *or*
- by delivering the summons and complaint to the defendant **personally or by mail** with a request for a signed return receipt (eg, certified mail)—**unless prohibited** by the **foreign country**.*

Here, the bank served the investor with a copy of the summons and complaint by certified mail. However, this method of service is *prohibited* by the foreign country. Therefore, this is the investor's best argument in support of the motion to dismiss.

*An individual in a foreign country can also be served by any other court-ordered method that does not violate an international agreement.

(Choice A) While asking the foreign country for assistance through a letter rogatory is one method to properly serve a foreign defendant, it is not the only method.

(Choice B) Absent good cause, a defendant located in the U.S. must be served with process within 90 days (not 45 days) after the complaint is filed. However, this 90-day deadline does not apply to a defendant located in a foreign country. Instead, most federal courts require that the plaintiff exercise due diligence in attempting to serve such a defendant.

Educational objective:

When no internationally agreed method of service or applicable federal law exists, an individual defendant in a foreign country can be served (1) by following the foreign country's service-of-process rules, (2) as the foreign country directs in response to a letter rogatory, or (3) by delivering process to the defendant personally or by mail—if permitted by the foreign country.

References

- Fed. R. Civ. P. 4(f) (service on individual in foreign country).

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A journalist domiciled in State A entered into a contract to write an article about a professor who works in State B and is domiciled in State C. The journalist and the professor negotiated and signed the contract in State A. When the journalist failed to produce the article by the deadline stated in the contract, the professor sued the journalist for breach of contract in a federal district court in State B.

The following week, the journalist traveled to State B for a court proceeding unrelated to the professor's suit. The professor had the journalist served with process while the journalist walked into the courthouse. The journalist had never traveled to State B prior to this court appearance and has no other contacts with State B. The journalist has moved to dismiss the professor's suit, asserting that the federal court lacks personal jurisdiction over him.

Is the journalist's assertion correct?

A. No, because the journalist established minimum contacts with State B by traveling to the state.

B. No, because the professor had the journalist served with process in State B.

C. Yes, because the journalist was in State B to attend an unrelated court proceeding.

D. Yes, because the professor is domiciled in State C.

Explanation:

Personal jurisdiction is a court's authority over the parties or property before it. One way a federal court can establish personal jurisdiction over a defendant is through **tag jurisdiction** (ie, transient jurisdiction). Tag jurisdiction exists when the **defendant is served with process** while **voluntarily present** in the **forum state**. As a result, tag jurisdiction **does *not* exist when** the defendant was:

- **fraudulently or forcefully brought** into the forum state to be served with process *or*
- present in the forum state to **attend an unrelated judicial proceeding**.

Here, the professor had the journalist served with process in State B, the forum state where the federal court is located. But since the journalist was in State B for an unrelated judicial proceeding, tag jurisdiction does not exist **(Choice B)**. Therefore, the journalist is correct that the federal court lacks personal jurisdiction over him.

(Choice A) Personal jurisdiction is established through specific jurisdiction when the plaintiff's claim arises from or is closely related to the defendant's minimum contacts with the forum state. In the unlikely event that the journalist's single trip to State B established minimum contacts, specific jurisdiction does not exist because the claim does not arise from nor is it closely related to that trip.

(Choice D) The fact that the professor (plaintiff) is domiciled in State C is irrelevant in determining whether the State B federal court has personal jurisdiction over the journalist (defendant). Because a *plaintiff* consents to personal jurisdiction by filing the suit, only a *defendant's* domicile is relevant in determining whether personal jurisdiction can be established through general jurisdiction.

Educational objective:

A federal court obtains personal jurisdiction over a defendant served with process while voluntarily present in the forum state unless the defendant was (1) fraudulently or forcefully brought into the state to be served with process or (2) present in the state to attend an unrelated judicial proceeding.

References

- Burnham v. Super. Ct. of Cal., 495 U.S. 604, 613 (1990) (explaining that tag jurisdiction exists unless the defendant was fraudulently or forcefully brought into the forum state or is present for another judicial proceeding).

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Grounds for personal jurisdiction

Specific jurisdiction
(minimum contacts)



General jurisdiction
(continuous & systematic contacts)

Person
(state of residence)



Corporation
(state of incorporation)



(headquarters)

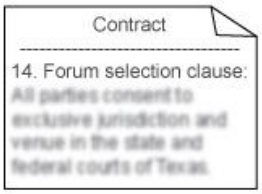


Other grounds

Service of process



Consent



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A tire company is incorporated and has its principal place of business in Asia. The company assembles all its tires in Asia and sells them throughout the world. The company purchases tire valves from a manufacturer incorporated and headquartered in Europe. All of the valves are manufactured in Europe and sold exclusively to tire companies in Asia. The manufacturer was aware that tires with its valves were sold in State A, but it never contemplated that its sales to the company would subject it to suit there.

A tire assembled by the company exploded when a motorcyclist from State A was driving on a road in State A. The motorcyclist sued the company in a federal court in State A to recover $225,000 in medical expenses and property damage. The motorcyclist alleged that the valve in the tire was defective and caused the accident. The company impleaded the manufacturer for indemnification.

The motorcyclist settled his claim with the company, which left the company's indemnity claim against the manufacturer. In its answer, the manufacturer moved to dismiss the indemnity claim for lack of personal jurisdiction.

State A has a long-arm statute that gives its courts personal jurisdiction to the full extent allowed under the U.S. Constitution.

How will the federal court likely rule on the manufacturer's motion to dismiss?

A. Deny the motion, because the manufacturer has continuous, systemic, and substantial contacts with State A.

B. Deny the motion, because the manufacturer waived any objection to personal jurisdiction by failing to assert it in a pre-answer motion.

C. Grant the motion, because the manufacturer did not purposefully avail itself of State A and exercising jurisdiction would offend notions of fair play and substantial justice.

D. Grant the motion, because the manufacturer never contemplated that its sales to the company would subject it to suit in State A.

Explanation:

Requirements for specific jurisdiction

Long-arm statute		Forum state statute must authorize jurisdiction under specific circumstances
Due process	**Minimum contacts**	Purposeful availment of forum state's laws so suit is foreseeable: • Stream of commerce test – defendant places goods in stream of commerce & takes action that intentionally targets forum state • Effects test – defendant commits intentional tort in one state with intent that effects will be felt in forum state
	Fair play & substantial justice	Reasonableness factors: • Burden on defendant to appear & defend in forum state • Plaintiff's interest in obtaining relief in forum state • Forum state's interest • Interstate judicial system's interest in obtaining most efficient resolution of disputes • Interest of several states in furthering fundamental substantive social policies

Long-arm statutes specify when a court within the forum state can exercise ***specific* personal jurisdiction** over a **nonresident defendant** (eg, European manufacturer). However, **due process** only permits application of that statute when:

- the plaintiff's claim arises from or is closely related to the defendant's minimum contacts with the forum state *and*
- the exercise of jurisdiction complies with notions of fair play and substantial justice.

Minimum contacts exist when the **defendant purposefully avails** itself of the state's protections and benefits so that it should reasonably foresee being sued there. For a defendant-manufacturer, this occurs when it places goods in the **stream of commerce *plus* purposefully targets** the forum state (eg, advertises there). Here, the manufacturer's valves happened to be (but were not *purposely*) sold in State A, so no minimum contacts exist.

Even if minimum contacts existed, the court would still dismiss the company's indemnity claim since exercising jurisdiction would offend notions of **fair play and substantial justice**. That is because:

- adjudicating the claim in State A would *significantly* burden the European manufacturer
- the company has *minimal* interest in adjudicating its claim there since it can be asserted in a foreign judicial forum
- State A has *no* interest in this dispute since the motorcyclist (State A citizen) has already been compensated through the settlement *and*
- the interstate judicial system and other states have *little* interest in the indemnity dispute since neither party resides in the U.S.

(Choice A) General personal jurisdiction exists when the defendant's continuous and systematic contacts with the forum state are so substantial that the defendant is "at home" there. Here, the manufacturer has no such contacts with State A because it is domiciled in Europe.

(Choice B) An objection to personal jurisdiction must be asserted in a pre-answer motion or answer, whichever occurs first. Therefore, the manufacturer's objection was not waived.

(Choice D) Minimum contacts only require that the defendant reasonably foresee—not actually contemplate—that it could be sued in the forum state.

Educational objective:

A defendant-manufacturer has minimum contacts with the forum state when it places goods in the stream of commerce *plus* purposefully targets that state.

References

- Asahi Metal Indus. Co. v. Super. Ct. of Cal., 480 U.S. 102, 114–16 (1987) (holding that the exercise of personal jurisdiction over a suit between foreign parties offended notions of fair play and substantial justice).
- J. McIntyre Mach., Ltd. v. Nicastro, 564 U.S. 873, 886–87 (2011) (Kennedy, J., plurality) (reaffirming that purposeful availment requires a defendant-manufacturer to purposefully target the forum state).

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A woman from State A drove to visit her friend in a foreign country. During the visit, the brakes on the woman's car began to squeal, so she took the car to a nearby auto repair shop. The shop is owned by a company incorporated in State B and headquartered in the Eastern District of State C. The shop replaced her brakes with a set made by a brake manufacturer incorporated in State C and headquartered in State D. In State C, articles of incorporation must be filed with the Secretary of State's office located in the Western District of State C.

Two days later, the woman was driving her car in the foreign country when her brakes failed. This caused her to lose control of the car and crash. She suffered over $500,000 in injuries and property damage.

The woman seeks to file a joint complaint against the auto repair company and the manufacturer in federal court in State C.

In which federal judicial district would venue be proper?

A. No judicial district.

B. The Eastern District of State C only.

C. The Western District of State C only.

D. The Eastern and Western Districts of State C.

Explanation:

Venue is the geographical location of specific federal districts in which a plaintiff's claim may be heard. A state can have multiple federal districts within its borders. And venue may be **proper in more than one district** because it is proper in any district where:

- any defendant resides—so long as all defendants reside in the same state (ie, **residency-based venue**)
- a substantial part of the events that gave rise to the suit occurred (ie, events-based venue) or a substantial part of the property at issue is located (property-based venue) *or*
- any defendant is subject to the court's personal jurisdiction—but only if neither of the above provisions applies (ie, fallback provision).

A **defendant corporation resides** in any district in which it is **subject to** personal jurisdiction. In a state with **multiple judicial districts** (as seen here), each district is treated as a separate state. And the defendant is deemed to reside in any district in which its contacts would create personal jurisdiction—eg, where the defendant filed its **articles of incorporation** or has its **principal place of business**. If no such district exists, then the defendant resides in the district where it has the most significant contacts.

Here, the auto repair company's headquarters (ie, principal place of business) are in the Eastern District of State C, and the manufacturer filed its articles of incorporation in the Western District of State C. As a result, both defendants are subject to personal jurisdiction in, and are therefore residents of, State C. This means that venue would be proper in any district in State C where one of the defendants resides—ie, the Eastern and Western Districts of State C **(Choices A, B & C)**.

Educational objective:

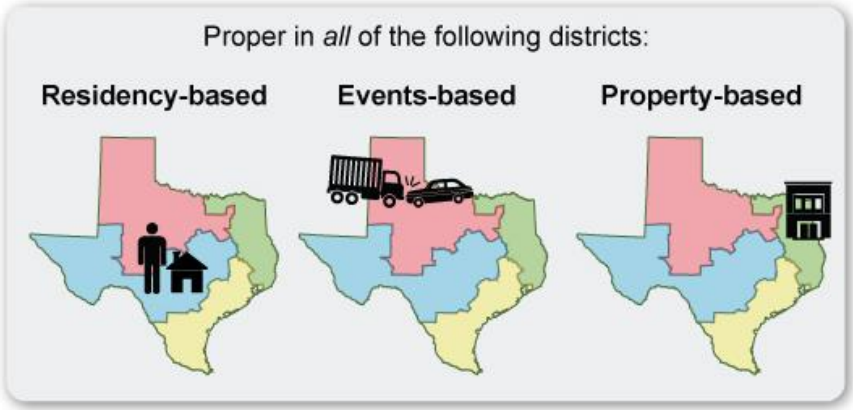
Residency-based venue is proper in any judicial district where a defendant resides—as long as all defendants reside in the same state. And a defendant corporation only resides in judicial districts where it would be subject to personal jurisdiction if each district were a state.

References

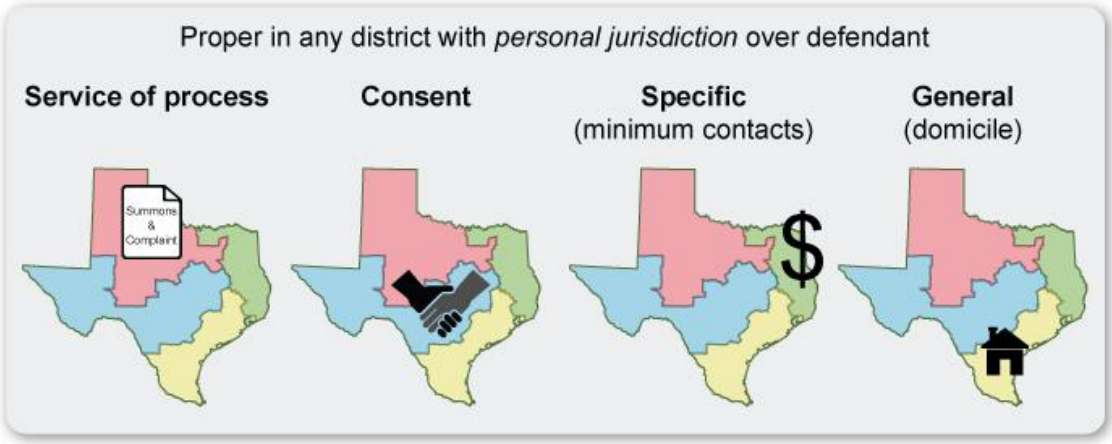
- 28 U.S.C. § 1391(b)–(d) (residency-based venue for corporate defendants).

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Proper venue
(28 U.S.C. § 1391)



OR



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A photographer sued a foreign publisher in a federal district court in State A for copyright infringement. The photographer followed the foreign country's service of process rules to serve the publisher with a copy of the summons and complaint. The publisher has never been to State A and conducts no business there.

The publisher filed a pre-answer motion to dismiss the case for improper service of process. The district court denied this motion. Twelve days after receiving notice of the denial, the publisher filed and served an answer that included a motion to dismiss the case for lack of personal jurisdiction.

Is the court likely to grant the publisher's motion?

A. No, because the publisher failed to file and serve his answer within 10 days after receiving notice of the court's denial of his pre-answer motion.

B. No, because the publisher waived any objection to personal jurisdiction.

C. Yes, because the publisher has never physically traveled to State A and conducts no business there.

D. Yes, because the publisher properly filed and served his answer.

Explanation:

Waiver of defenses

Defenses	Waiver
• Lack of subject-matter jurisdiction	Never waived
• Lack of personal jurisdiction • Improper venue • Insufficient process or service of process	Waived if not asserted in pre-answer motion or answer (whichever occurs first)
• Failure to state claim • Failure to join required party	Waived if not asserted before end of trial
• All other legal defenses	Waived if not asserted in answer or amended answer

Personal jurisdiction is a court's authority over the parties or property before it. One way to establish **personal jurisdiction** is through the parties' consent. A plaintiff consents to the court's jurisdiction by filing the complaint in that court. In contrast, a **defendant can consent** in any of the following ways:

- **Express** consent – by contractually agreeing to the court's jurisdiction (eg, forum-selection clause)
- **Implied** consent – by engaging in an activity that the forum state has a substantial interest in regulating (eg, driving on public roads)
- **Waiver** – by **failing** to assert a **personal-jurisdiction objection** in a pre-answer motion or answer, whichever occurs first

Here, the publisher filed a pre-answer motion to dismiss for improper* service of process. But he previously waived any objection to personal jurisdiction by failing to assert this objection in his pre-answer motion. As a result, the publisher consented to the court's jurisdiction, and the court will likely deny his motion to dismiss.

*Service of process is proper here because a foreign defendant can be served by following the foreign country's rules for service of process.

(Choices A & D) If the defendant files a pre-answer motion, the defendant must file and serve an answer within 14 days after receiving notice of the court's denial or postponement of that motion—as the publisher did here. Nevertheless, the publisher waived his personal-jurisdiction defense by failing to assert it in his pre-answer motion.

(Choice C) The fact that the publisher has never physically traveled to State A and conducts no business there shows that the court cannot establish personal jurisdiction over him through specific jurisdiction. However, it can still establish personal jurisdiction through the publisher's consent.

Educational objective:

A court can acquire personal jurisdiction through the defendant's consent—ie, express consent, implied consent, or waiver. A defendant waives a personal-jurisdiction objection by failing to assert it in a pre-answer motion or answer, whichever occurs first.

References

- Fed. R. Civ. P. 12(h)(1) (waiver of personal-jurisdiction defense).

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An accounting firm incorporated and headquartered in State A advertised its estate-planning services. An attorney in State A saw the firm's advertisement and wrote a newspaper editorial claiming that the firm violated State A's statute on the unauthorized practice of law by not employing licensed attorneys. After the editorial was published, demand for the firm's estate-planning services significantly declined. The firm then sued the attorney for defamation in a State A federal court to recover $150,000.

In his answer, the attorney asserted that the editorial contained truthful statements protected by the free speech clause of the First Amendment. The attorney also asserted a $100,000 counterclaim to recover damages suffered as a result of the firm's suit. The attorney did not object to venue or jurisdiction. After the pleadings were filed and served, the court dismissed the case for lack of subject-matter jurisdiction. The firm appealed.

Is the appellate court likely to reverse the dismissal?

A. No, because the final-judgment rule prevents the appellate court from considering the appeal.

B. No, because the firm failed to establish subject-matter jurisdiction.

C. Yes, because the attorney did not object to the court's jurisdiction.

D. Yes, because the suit involves a federal question.

Explanation:

Subject-matter jurisdiction is a federal court's authority to hear the merits of a particular case or controversy. This is a pure legal issue that an appellate court reviews de novo, giving no deference to the legal conclusions made by the lower court. This jurisdictional requirement can be established through:

- diversity jurisdiction – when the amount in controversy in the plaintiff's complaint exceeds $75,000 and the opposing parties are citizens of different states (not seen here) *or*
- federal-question jurisdiction – when the plaintiff asserts a claim that arises under the Constitution, a federal law, or a federal treaty.

Federal-question jurisdiction must be **established on the face** of the ***plaintiff's*** **well-pleaded complaint**—as opposed to the defendant's answer or counterclaim.* This means that the complaint must show that the federal issue is a necessary element of the plaintiff's cause of action. If the asserted federal issue is frivolous or later abandoned, then federal-question jurisdiction ceases to exist.

Here, the firm sued the attorney for defamation, a state-law claim. The attorney defended on the ground that his editorial contained truthful statements protected by the First Amendment. Since this federal issue arose in the attorney's answer—not the firm's complaint—the court lacks federal-question jurisdiction **(Choice D)**. Therefore, the appellate court is *not* likely to reverse the dismissal.

*Congress created an exception that authorizes federal-question jurisdiction when a defendant (1) asserts a counterclaim arising from a federal patent or copyright statute and (2) removes the case from state to federal court.

(Choice A) The final-judgment rule generally precludes federal appellate courts from hearing an appeal until the federal district court has entered a final judgment—ie, a decision that fully resolves a dispute on the merits and leaves nothing for the court to do but enforce the judgment. A dismissal for lack of subject-matter jurisdiction is a final judgment, so the appellate court here can consider the appeal.

(Choice C) Subject-matter jurisdiction cannot be waived or consented to, so it is immaterial that the attorney did not object to the court's jurisdiction. Instead, a court must dismiss a case on its own initiative (ie, sua sponte) if, at any time, it determines that it lacks subject-matter jurisdiction.

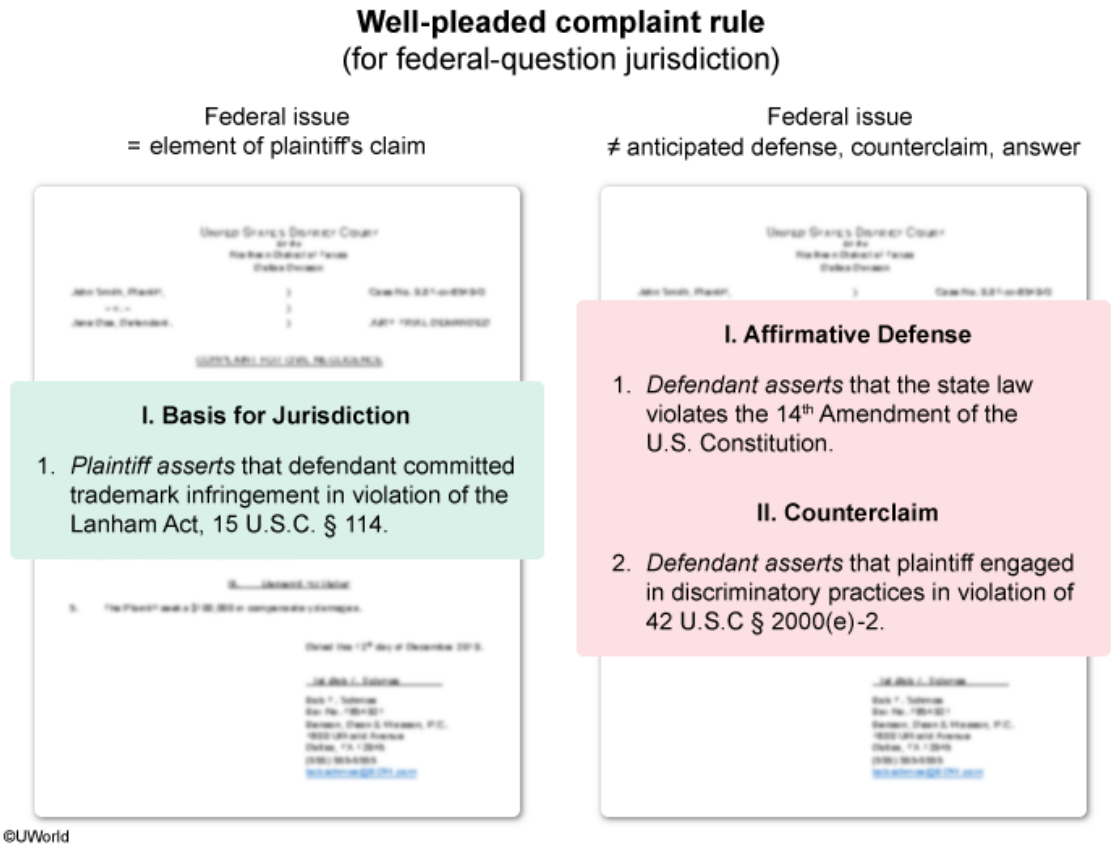
Educational objective:

Federal-question jurisdiction exists when a claim arising under the Constitution, a federal law, or a federal treaty appears on the face of the plaintiff's complaint. A federal issue raised in the defendant's answer or counterclaim does not establish federal-question jurisdiction.

References

- 28 U.S.C. § 1331 (federal-question jurisdiction).
- Louisville & Nashville R.R. Co. v. Mottley, 211 U.S. 149, 152 (1908) (establishing the well-pleaded complaint rule).
- Holmes Group, Inc. v. Vornado Air Circulation Sys., Inc., 535 U.S. 826, 831 (2002) (holding that a defendant's answer or counterclaim does not establish federal-question jurisdiction).

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A bus passenger from State A was injured when a bus owned by a company incorporated and headquartered in State B negligently collided with another vehicle on a road in State A. The passenger agreed to release the company from liability in exchange for a free lifetime bus membership valued at $60,000. Two years later, Congress passed a law that prohibited bus companies from providing free lifetime bus memberships, so the company revoked the passenger's membership.

The passenger sued the company in federal court for breach of contract. In his complaint, the passenger stated that the company would likely argue that its breach was necessary to comply with the federal statute. The passenger claimed that this defense is invalid because the statute violates the U.S. Constitution.

The company filed a motion to dismiss the passenger's suit for lack of subject-matter jurisdiction before filing an answer.

How will the court likely rule on the company's motion?

A. Deny the motion, because the company failed to challenge subject-matter jurisdiction in its answer.

B. Deny the motion, because the passenger's claim presents a federal issue.

C. Grant the motion, because state courts have exclusive jurisdiction over state-law claims.

D. Grant the motion, because the court lacks subject-matter jurisdiction.

Explanation:

Subject-matter jurisdiction is a court's authority to hear a case on the merits. The party seeking to invoke a federal court's subject-matter jurisdiction (generally the plaintiff) has the burden to prove by a preponderance of the evidence that the court has either:

- **diversity jurisdiction** – when the parties are citizens of different states and the amount in controversy *exceeds* $75,000 (not $60,000, as seen here) *or*
- **federal-question jurisdiction** – when the plaintiff asserts a cause of action that arises under the **Constitution**, a **treaty**, or a **federal law**.

For federal-question jurisdiction to be invoked, the federal issue must appear on the face of the plaintiff's **well-pleaded complaint**—not the defendant's answer or counterclaim. The jurisdictional statement in the complaint must show that the **federal issue** is a **necessary element** of the plaintiff's **cause of action**.* Merely mentioning a federal issue that may be asserted in the defendant's answer is insufficient.

Here, the passenger's complaint asserts a breach of contract claim. It also states that the company would likely argue that it breached the contract to comply with a federal statute, which the passenger alleges is unconstitutional. Since this federal issue arises from an anticipated defense—not the cause of action—the complaint fails to establish federal-question jurisdiction **(Choice B)**. Therefore, the court will likely grant the company's motion.

*In rare situations, the complete-preemption doctrine allows a state-law claim to be considered a federal-law claim when Congress clearly intended for a federal statute to completely preempt (ie, supersede) state law.

(Choice A) A party or the court can challenge subject-matter jurisdiction at any time, including in a pre-answer motion.

(Choice C) State and federal courts have concurrent (ie, shared) jurisdiction over most state-law claims. The only substantive areas over which state courts have exclusive jurisdiction are probate matters (eg, authenticating a will) and domestic relations (eg, issuing a divorce).

Educational objective:

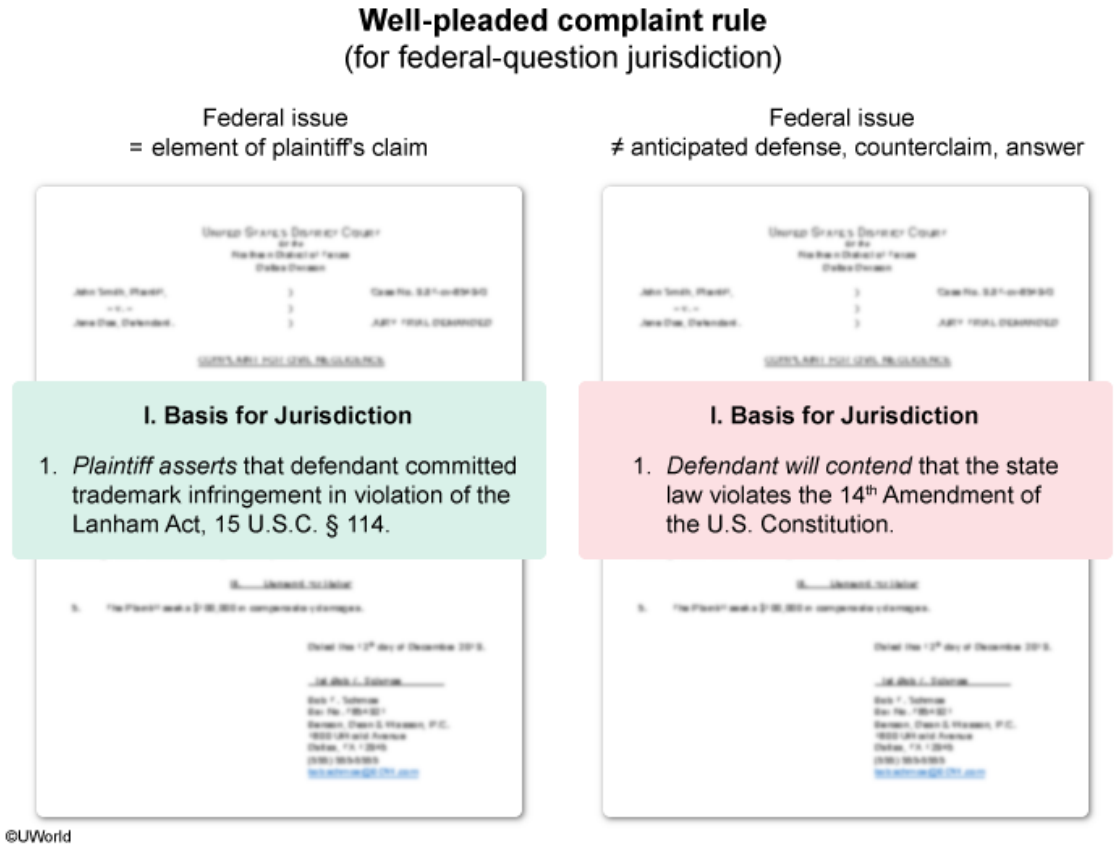
Federal-question jurisdiction exists when the face of the plaintiff's well-pleaded complaint asserts a claim arising under the Constitution, a federal law, or a treaty. A complaint is well-pleaded when its jurisdictional statement shows that the federal issue is a necessary element of the plaintiff's cause of action.

References

- 28 U.S.C. § 1331 (federal-question jurisdiction).

- Louisville & Nashville R.R. Co. v. Mottley, 211 U.S. 149, 152 (1908) (establishing the well-pleaded complaint rule).
- 32A Am. Jur. 2d Federal Courts § 854 (2020) (explaining that anticipated defenses cannot be the basis for federal-question jurisdiction).

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A business incorporated in State A hired an advertiser living in State B and a lawyer living in State C to help the business's advertising efforts in a foreign country. The contract was signed in the foreign country, and all work to be performed under the contract was to be done in that country. The advertiser and the lawyer failed to arrange for the advertising in the foreign country as required by the contract.

The business sued the advertiser and the lawyer in State B federal court for breach of contract, requesting $400,000 in damages. The advertiser was properly served with process at his residence, and the lawyer was properly served with process while conducting business in State B. The two defendants have timely filed a pre-answer motion to dismiss the case for improper venue.

How should the federal court rule on the defendants' motion to dismiss?

A. Deny the motion, because the advertiser resides in State B.

B. Deny the motion, because the defendants are subject to personal jurisdiction in State B.

C. Grant the motion, because a substantial portion of the events giving rise to the breach of contract claim did not occur in State B.

D. Grant the motion, because the lawyer does not reside in State B.

Explanation:

Under 28 U.S.C § 1391(b), **venue is proper** in any **federal district where**:

- any defendant resides—as long as all defendants reside in the *same* state (ie, **residency-based venue**)
- a substantial part of the events that gave rise to the suit occurred (ie, **events-based venue**) or a substantial part of the property at issue is located (ie, **property-based venue**) *or*
- ***any* defendant is subject** to the court's personal jurisdiction—but only when venue cannot be established under the first two provisions (ie, **fallback provision**).

Here, there is no residency-based venue because the defendants reside in different states—States B and C **(Choice A)**. Additionally, there is no events-based venue because the events—where the contract was signed and to be performed—occurred in the foreign country. And since this case does not concern property, there is no property-based venue.

However, venue is proper in State B under the fallback provision because the State B federal court has personal jurisdiction over the advertiser who resides (ie, is domiciled) there. The court also has personal jurisdiction over the lawyer because he was served with process while voluntarily in State B on business. Therefore, the defendants' motion to dismiss for improper venue should be denied **(Choices C & D)**.

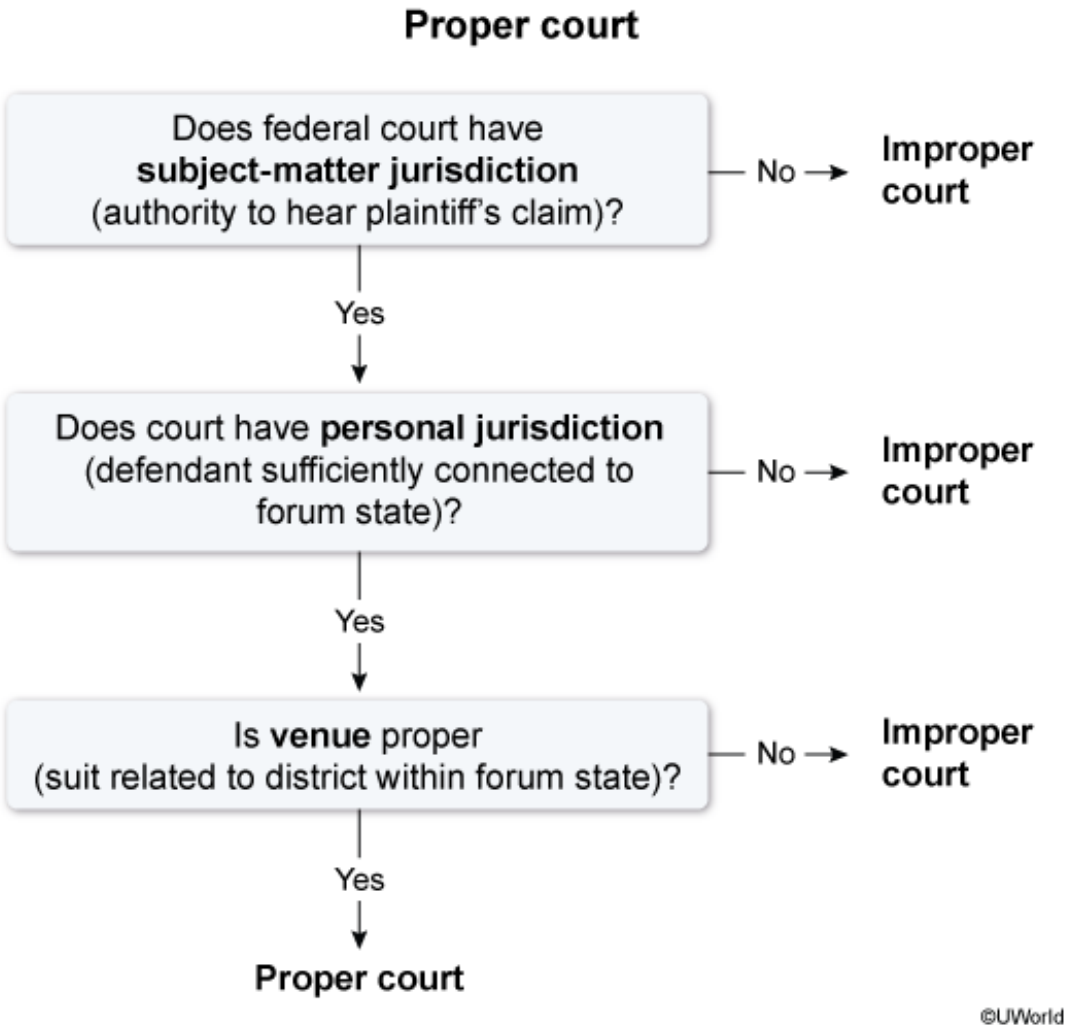
Educational objective:

Venue is proper in any federal district where: (1) any defendant resides, so long as all defendants reside in the same state, (2) a substantial part of the events occurred or the property at issue is located, or (3) any defendant is subject to personal jurisdiction—but only if the first two provisions do not apply.

References

- 28 U.S.C. § 1391(b) (proper venue).

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Proper court
Does federal court have **subject-matter jurisdiction** (authority to hear plaintiff's claim)?
No
Improper court
Yes
Does court have **personal jurisdiction** (defendant sufficiently connected to forum state)?
No
Improper court
Yes
Is **venue** proper (suit related to district within forum state)?
No
Improper court
Yes
Proper court
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A bicyclist from State A collided with a hiker from State B on a trail in State A. The hiker sued the bicyclist for negligence in a federal district court to recover $75,000 in medical expenses. The case was tried to the court. After the close of evidence, the judge announced findings of fact and conclusions of law from the bench and entered a judgment in favor of the hiker. The bicyclist appealed.

Is the appellate court likely to reverse the judgment?

A. No, because the judge properly issued findings and conclusions on the record.

B. No, because the judge's findings and conclusions are the law of the case.

C. Yes, because federal appellate courts do not have jurisdiction to decide issues of state law.

D. Yes, because the judge had no authority to hear the case.

Explanation:

A federal court has authority to hear a case that falls within the court's **subject-matter jurisdiction**. This jurisdictional requirement, unlike personal jurisdiction, cannot be waived or established by the parties' consent. As a result, a challenge to subject-matter jurisdiction can be **raised** by a party or **on the court's own initiative** (ie, sua sponte) **at any time**—including **on appeal*** (as seen here).

Subject-matter jurisdiction can be established through either:

- federal-question jurisdiction – when a claim arises under the U.S. Constitution, a treaty, or federal law (not seen here) *or*
- diversity jurisdiction – when the opposing parties are citizens of different states and the amount in controversy *exceeds* $75,000 (not seen here).

Since the hiker's claim does not satisfy federal-question or diversity jurisdiction, the district court judge had no authority to hear the case. Therefore, the appellate court will likely reverse the judgment and remand with instructions to dismiss the case for lack of subject-matter jurisdiction.

*If a party had an opportunity to challenge the court's subject-matter jurisdiction at some point during the proceedings, that party cannot collaterally attack the court's jurisdiction in subsequent litigation (eg, in a proceeding to enforce the court's judgment).

(Choice A) In a bench trial, the judge acts as the finder of fact and interpreter of the law. This dual role requires the judge to issue (orally or in writing) findings of fact and conclusions of law on the record. Although the judge did so here, she lacked authority to hear the case and so the judgment should be reversed.

(Choice B) The law-of-the-case doctrine prohibits the relitigation of legal (not factual) issues decided by a higher court in the same case. This means that a district court must apply an appellate court's legal determinations on remand, but an appellate court is not bound by a district court's conclusions.

(Choice C) Federal appellate courts do have jurisdiction to decide issues of state law appealed from a federal district court. However, federal courts (except the U.S. Supreme Court) lack jurisdiction over an appeal from a state's highest court pursuant to the Rooker-Feldman doctrine.

Educational objective:

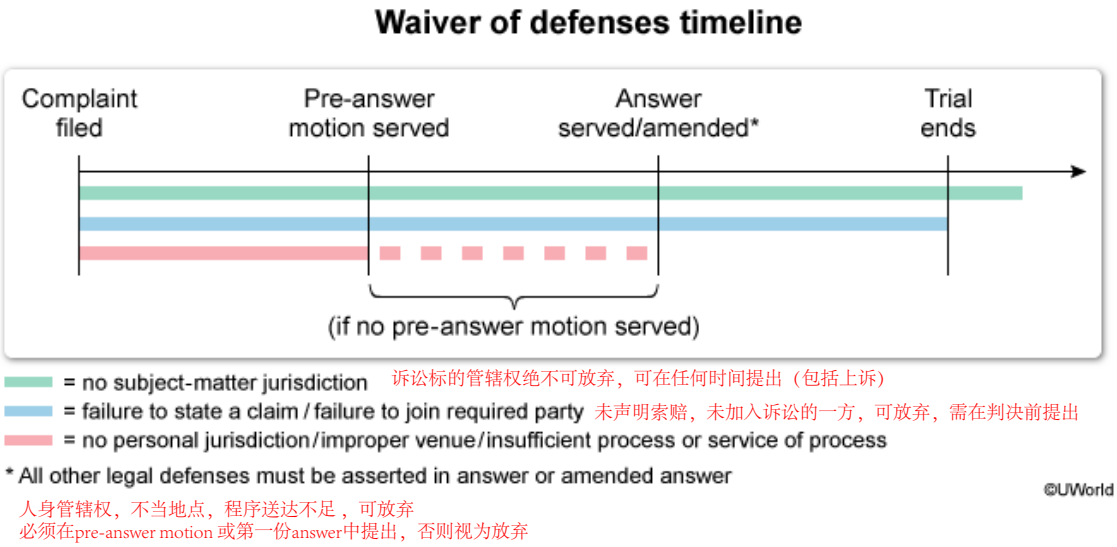
A challenge to subject-matter jurisdiction cannot be waived. It can be raised by the parties or by the court on its own initiative at any time, including on appeal.

References

- Fed. R. Civ. P. 12(h)(3) (stating that a court must dismiss an action once it determines, at any time, that it lacks subject-matter jurisdiction).

- Ins. Corp. of Ir., Ltd., et al. v. Compagnie des Bauxites de Guinee, 456 U.S. 694, 702 (1982) (explaining that an appellate court has the power to raise lack of subject-matter jurisdiction on its own initiative).

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诉讼标的管辖权绝不可放弃，可在任何时间提出（包括上诉）

未声明索赔，未加入诉讼的一方，可放弃，需在判决前提出

人身管辖权，不当地点，程序送达不足 ，可放弃

必须在pre-answer motion 或第一份answer中提出，否则视为放弃

A bank located in State A sued a homeowner who resides in State B in a federal court in State A to recover $200,000. The bank's complaint alleges that the homeowner failed to pay his mortgage on a vacation home located in State A. The homeowner's answer admits that he completed and signed an online preapproval application for the mortgage but never finished the mortgage-application process because he decided to rent a time-share in State A instead. The homeowner claims that his signature on the mortgage was forged. The homeowner also included in his answer a motion to dismiss for lack of personal jurisdiction. The preapproval application contained a clause that states: "All disputes between the parties involved in this mortgage-application process are to be resolved in a state or federal court in State A."

How should the federal court rule on the homeowner's motion to dismiss?

A. Deny the motion, because the forum-selection clause gives the court personal jurisdiction over the homeowner.

B. Deny the motion, because the homeowner's time-share is in State A.

C. Grant the motion, because forum-selection clauses are unenforceable in federal court.

D. Grant the motion, because the homeowner resides in State B.

Explanation:

Personal jurisdiction

(court's authority over defendant)

Type	Requirements
Service of process	• Serving process on defendant voluntarily in state where court is located (ie, forum state)
Consent	• Express – contractual agreement (eg, forum-selection clause) • Implied – engaging in specific activity that state has substantial interest in regulating (eg, driving on public roads) • Waiver – untimely objection to personal jurisdiction • Appearance – voluntarily appearing in court to litigate merits of case
Specific (case-linked)	• Plaintiff's claim arises from or is closely related to defendant's minimum contacts (ie, purposeful availment) with forum state AND • Exercise of jurisdiction complies with notions of fair play & substantial justice
General (all-purpose)	• Defendant has continuous & systematic contacts with forum state so substantial that defendant is essentially "at home" (ie, defendant's domicile)

Personal jurisdiction refers to a court's authority over the parties (or property) in a lawsuit. Since a plaintiff consents to the court's jurisdiction by filing the lawsuit, the exercise of personal jurisdiction focuses on the defendant. A defendant can **consent** to the court's jurisdiction in any of the following ways:

- **Waiver** – by failing to assert an objection to personal jurisdiction in a pre-answer motion or answer (whichever occurs first)
- **Implied consent** – by engaging in an activity that the forum state has a substantial interest in regulating
- **Express consent** – by **contractually agreeing** to the court's jurisdiction (eg, **forum-selection clause**)

A forum-selection clause is a provision in a contract that designates the location and/or court where any dispute between the parties must be adjudicated. Such clauses are generally enforceable in state and federal courts so long as a party's agreement was not induced by fraud **(Choice C)**.

Here, the mortgage-preapproval application has a forum-selection clause stating that "[a]ll disputes between the parties involved in this mortgage-application process are to be resolved in a state or federal court in State A." Since there is no indication that the homeowner was fraudulently induced to complete the preapproval application, he expressly consented to personal jurisdiction in State A. Therefore, the court should deny his motion to dismiss.

(Choice B) The fact that the homeowner's time-share is in State A does not establish personal jurisdiction. This is because the claim arises from the vacation home—not the time-share (no specific jurisdiction)—and the homeowner's domicile is State B (no general jurisdiction).

(Choice D) Although the homeowner resides in State B, he expressly consented to the State A court's personal jurisdiction by signing the mortgage-preapproval application with a forum-selection clause.

Educational objective:

Personal jurisdiction can be established through the defendant's waiver, implied consent, or express consent—eg, a forum-selection clause.

References

- Nat'l Equip. Rental, Ltd. v. Szukhent, 375 U.S. 311, 316 (1964) (stating that "parties to a contract may agree in advance to submit to the jurisdiction of a given court").

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A federal government employee, a citizen of State A, was driving home after his shift in State B when he lost control of his automobile and hit a pedestrian, a citizen of State C. The employee has never been to State C.

The pedestrian filed a negligence suit against the employee in federal court in State C to recover $80,000 in damages. The employee filed a motion to dismiss the action based on improper venue. The pedestrian responded that venue was proper in State C, where she resides, because the employee works for the federal government.

If the court grants the employee's motion, what is the likely explanation?

A. A federal government employee cannot be sued where the plaintiff resides.

B. The employee must be sued in State A, where he resides.

C. The pedestrian sued the employee in his individual capacity.

D. The suit does not arise under a federal statute.

Explanation:

Proper venue for suit against federal officer or employee

Official capacity	*Special* venue rules permit suit in district where:
(recovery from government)	• any Δ resides • substantial portion of events occurred or property located • π resides if no real property involved
Individual capacity	*General* venue statute permits suit in district where:
(recovery from officer/employee)	• any Δ resides, if all Δs reside in same state • substantial portion of events occurred or property located • any Δ subject to personal jurisdiction if neither of above applies

π = plaintiff; **Δ** = defendant.

Venue refers to the federal judicial district where a case may be heard. When a plaintiff sues a **federal officer or employee**, proper venue depends on whether the defendant is sued in his/her official or individual capacity. When an officer or employee is sued in an ***official* capacity**, recovery is sought from the federal government and **special venue rules** apply. Under one such rule, venue is proper where the plaintiff resides.

In contrast, when an officer or employee is sued in an ***individual* capacity**, recovery is sought from the officer or employee. In these suits, the **general venue statute** applies, and venue is proper only where:

- any defendant resides, so long as all defendants reside in the same state (residency-based venue)
- a substantial portion of the events giving rise to the suit occurred (events-based venue) or a substantial part of the property at issue is located (property-based venue) *or*
- any defendant is subject to the court's personal jurisdiction, but only if neither of the above provisions applies (fallback provision).

Here, the pedestrian (plaintiff) sued the federal employee (defendant) in State C, where the pedestrian resides. Therefore, venue would only be proper in State C if the employee was sued in his *official* capacity **(Choice A)**. So, if the court dismisses the action for improper venue, it is likely because the pedestrian sued the employee in his *individual* capacity.

(Choice B) The employee could have been sued in State A, where he resides. However, he also could have been sued in State B, where the accident giving rise to the suit occurred.

(Choice D) The fact that the suit does not arise under a federal statute relates to subject-matter jurisdiction, not venue. Additionally, subject-matter jurisdiction exists through diversity jurisdiction since the employee and pedestrian are citizens of different states and the amount in controversy exceeds $75,000.

Educational objective:

When a federal officer or employee is sued in his/her official capacity, *special* venue rules apply—eg, venue is proper where the plaintiff resides. However, the *general* venue statute applies when a federal officer or employee is sued in his/her individual capacity.

References

- 28 U.S.C. § 1391(e)(1) (proper venue for federal officer or employee sued in official capacity).
- Stafford v. Briggs, 444 U.S. 527, 542 (1980) (holding that the general venue statute applies when a federal officer or employee is sued in his/her individual capacity).

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An entrepreneur from State A decided to sell hot sauce to the public, labeling it "Best Hot Sauce."

A company incorporated in State B and headquartered in State C sued the entrepreneur in federal court in State C. The complaint sought $50,000 in damages and alleged that the entrepreneur's use of the name "Best Hot Sauce" infringed the company's federal trademark. The entrepreneur filed an answer denying the allegations, and the parties began discovery. Six months later, the entrepreneur moved to dismiss for lack of subject-matter jurisdiction.

Should the court grant the entrepreneur's motion?

A. No, because the company's claim arises under federal law.

B. No, because the entrepreneur waived the right to challenge subject-matter jurisdiction by not raising the issue initially by motion or in the answer.

C. Yes, because although the claim arises under federal law, the amount in controversy is not satisfied.

D. Yes, because although there is diversity, the amount in controversy is not satisfied.

Explanation:

Subject-matter jurisdiction refers to a court's authority to hear a particular type of case or controversy. A federal court* should presume that it lacks subject-matter jurisdiction until the party seeking to invoke the court's jurisdiction (generally the plaintiff) proves that the court has either:

- **federal-question jurisdiction** – the case arises under the Constitution, a federal law, or a treaty *or*
- **diversity jurisdiction** – the amount in controversy exceeds $75,000 and the parties are citizens of different states.

Here, the company alleges that the entrepreneur infringed upon the company's federal trademark, which involves federal law. As a result, the court has federal-question jurisdiction (and therefore subject-matter jurisdiction) to hear the case. Accordingly, the court should deny the entrepreneur's motion to dismiss.

*Most civil actions invoking federal subject-matter jurisdiction are brought before a federal district court and reviewed by the federal appellate court encompassing that district. However, Congress also created special federal courts with jurisdiction over specific types of cases.

(Choice B) A lack of personal jurisdiction (ie, a court's authority over a defendant) must be raised at the start of a case or it is waived. In contrast, the right to challenge subject-matter jurisdiction is never waived. Instead, this issue can be raised at any time by the parties or on the court's own initiative (ie, sua sponte). As a result, the timing of the entrepreneur's motion challenging subject-matter jurisdiction is immaterial.

(Choice C) Federal-question jurisdiction does not have an amount-in-controversy requirement.

(Choice D) Although the company and the entrepreneur are citizens of different states, the court lacks diversity jurisdiction because the amount in controversy is only $50,000 (less than $75,000). However, the court still has subject-matter jurisdiction because the case involves a federal question.

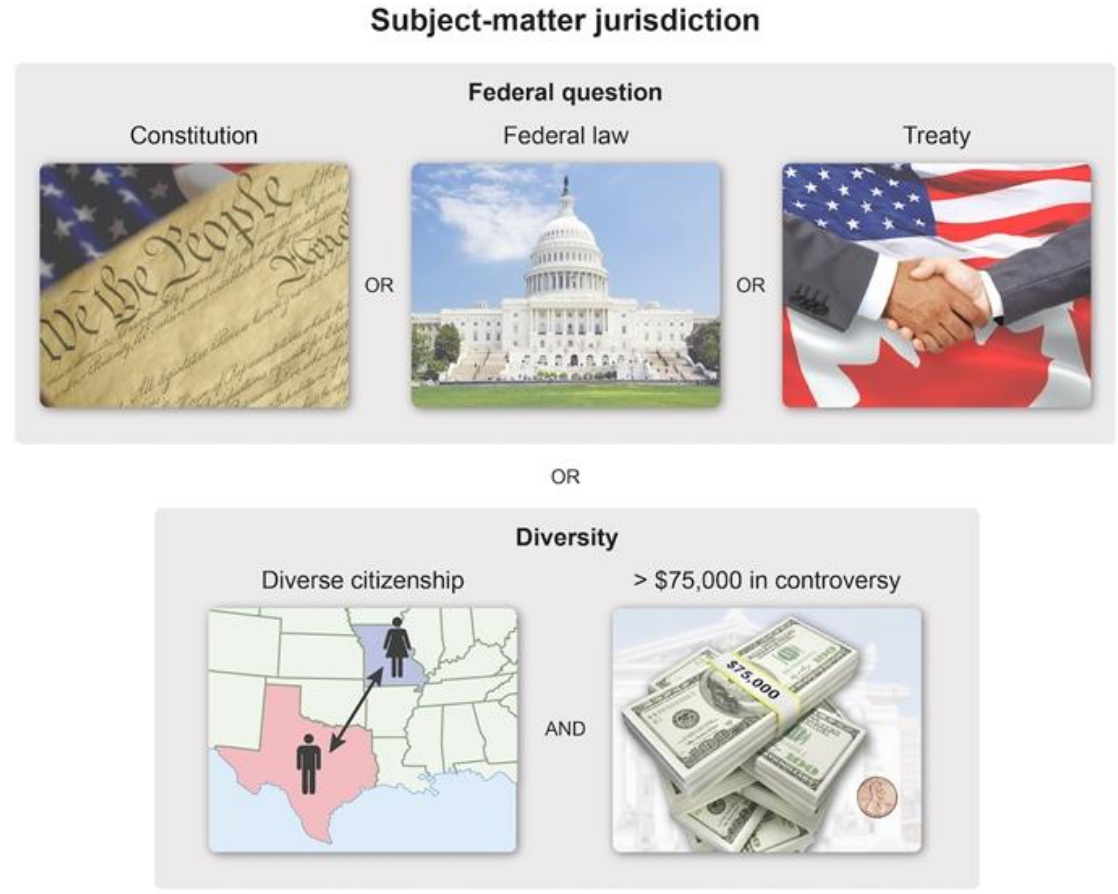
Educational objective:

Subject-matter jurisdiction exists if there is federal-question jurisdiction—ie, the case arises under the Constitution, a federal law, or a treaty—or diversity jurisdiction—ie, the amount in controversy exceeds $75,000 and the parties are citizens of different states.

References

- 28 U.S.C. § 1331 (federal-question jurisdiction).
- 28 U.S.C. § 1332 (diversity jurisdiction).

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Plaintiff, a new homeowner, entered into a contract with the defendants, a designer and an architect. The contract required the defendants to remodel the plaintiff's home in State A. The designer resides in the Eastern District of State B, and the architect resides in the Western District of State B.

The defendants failed to do any of the work, so the plaintiff sued them together in a federal court in the Eastern District of State B.

The defendants filed a motion to dismiss for improper venue.

Will the federal court likely grant the motion?

A. No, because both defendants are subject to personal jurisdiction in State B.
B. No, because the designer resides in the Eastern District of State B and the architect resides in the Western District of State B.
C. Yes, because the contract was to be performed at the plaintiff's home in State A.
D. Yes, because the architect resides in the Western District of State B.

Explanation:

Venue—ie, the geographical location of the federal court that can hear a lawsuit—is proper in *any* judicial district where:

- any defendant resides—so long as all defendants reside in the same state (ie, **residency-based venue**)
- a substantial portion of the events that gave rise to the suit occurred (ie, **events-based venue**) or a substantial part of the property at issue is located (ie, **property-based venue**) *or*
- any defendant is subject to the court's personal jurisdiction—but only if neither of the above provisions applies (ie, **fallback provision**).

Here, both defendants reside in State B. And since the designer resides in the Eastern District of State B, residency-based venue exists there. The fact that venue would also be proper in the Western District of State B (since the architect resides there) does not negate the proper venue in the Eastern District of State B **(Choice D)**. Therefore, the court will likely deny the defendants' motion to dismiss.

(Choice A) Whether a defendant is subject to personal jurisdiction will only be considered for venue purposes if (1) the defendant is a corporation (since it resides where it is subject to personal jurisdiction) or (2) the fallback provision applies because residency, events, and property-based venue cannot be shown. Neither instance is seen here.

(Choice C) State A is a proper, events-based venue because the contract giving rise to the suit was to be performed there. But venue can be proper in multiple judicial districts—including the Eastern District of State B.

Educational objective:

Venue is proper in any federal district where (1) any defendant resides so long as all defendants reside in the same state, (2) a substantial portion of the events occurred or a substantial part of the property is located, or (3) any defendant is subject to personal jurisdiction—but only if the first two provisions do not exist.

References

- 28 U.S.C. § 1391(b) (proper venue).

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Requirements for proper federal court

Subject-matter jurisdiction

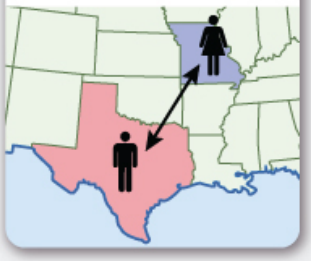
Can plaintiff bring claim in federal court?

Federal question



OR

Diversity



Personal jurisdiction

Is defendant sufficiently connected to forum state?

Eg, state of residence



Eg, minimum contacts



Venue

In which forum-state district can claim be heard?

Eg, residency-based



Eg, events-based



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After being fired, an executive from State A sued her former employer in state court in State B for $100,000 in damages. The executive's complaint alleged that her former employer, a citizen of State B, violated a federal statute that prohibits gender discrimination in the workplace.

The employer timely filed a notice of removal in the federal court in State B and delivered copies to the state court in State B and the executive. Twenty-two days later, the executive filed a motion to remand.

How will the federal court likely rule on the executive's motion to remand?

A. Deny the motion, because the federal court has subject-matter jurisdiction over the case.
B. Deny the motion, because the plaintiff did not consent to the removal.
C. Grant the motion, because it was timely filed.
D. Grant the motion, because the employer is a citizen of State B.

Explanation:

A plaintiff can choose to file certain lawsuits in state or federal court. When a suit is **filed in state court**, the **defendant can remove** the suit to the federal court located in the same district as the state court if the suit falls within the federal court's original (ie, subject-matter) jurisdiction. **Original jurisdiction** can arise from either:

- **diversity jurisdiction** – when the amount in controversy exceeds $75,000 and the opposing parties are citizens of different states *or*
- **federal-question jurisdiction** – when a claim arises under the U.S. Constitution, a treaty, or federal law (as seen here).

Removal requires the consent of all other defendants (if any) but not the plaintiff **(Choice B)**. The defendant must then file a notice of removal in federal court within **30 days** of receipt of the initial complaint or service of the summons—whichever period is shorter. A copy of the notice must also be delivered to the state court and the other parties.

The ***plaintiff*** can then **seek to return** the case to state court by filing a motion to remand in federal court within 30 days* after the notice of removal is filed. But the plaintiff's motion will be denied when, as here, subject-matter jurisdiction exists and the requirements for removal are met **(Choice C)**.

*A motion to remand for lack of subject-matter jurisdiction does not need to meet this 30-day deadline and can be filed at any time.

(Choice D) The home-court advantage (ie, forum-defendant) rule prohibits removal when the federal court's original jurisdiction arises from *diversity* jurisdiction and a defendant is a citizen of the state in which the case was filed. Here, the State B federal court's original jurisdiction arises from *federal-question* jurisdiction, so the fact that the employer is a citizen of State B is irrelevant.

Educational objective:

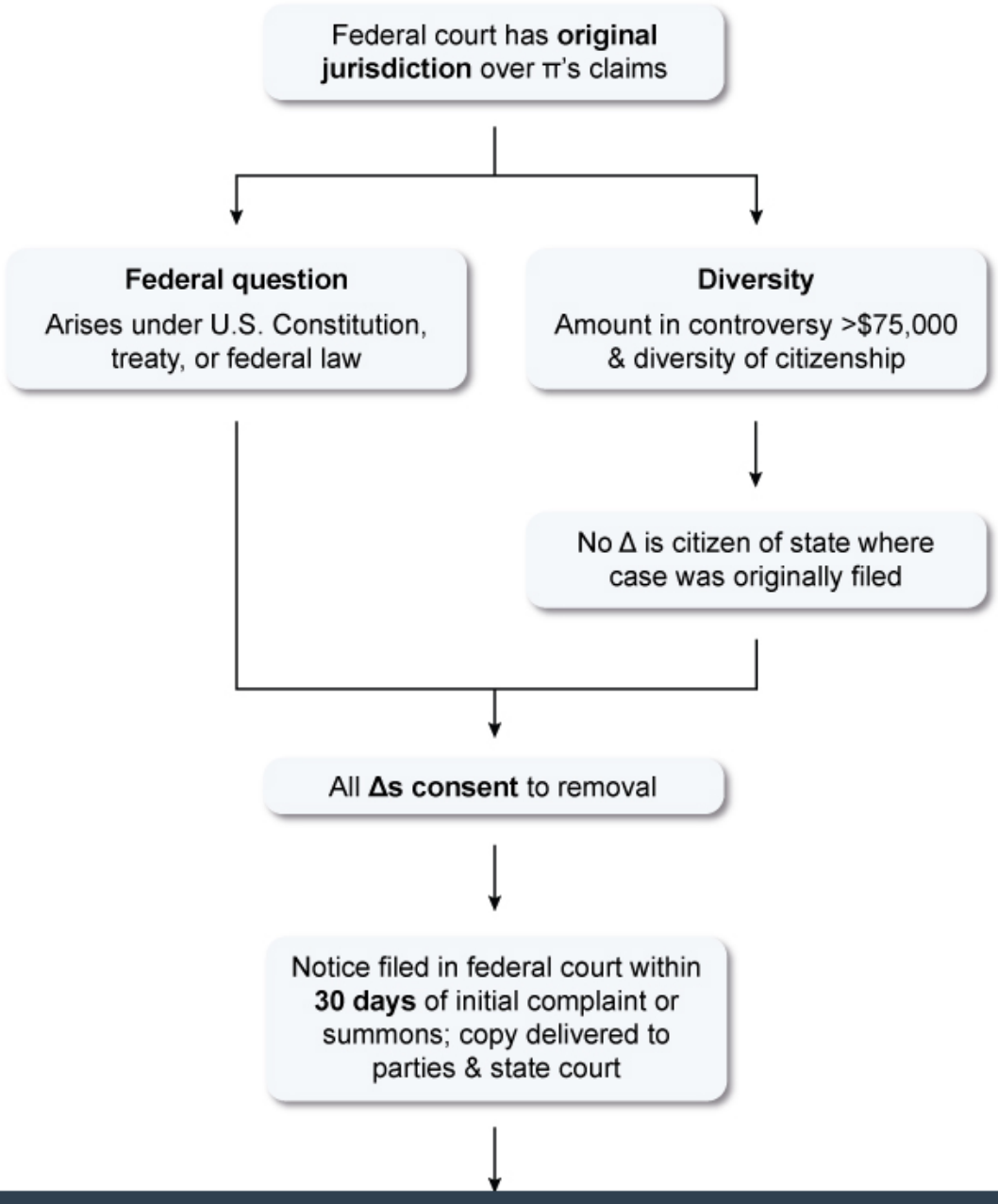
A defendant can remove a case to federal court if (1) the case falls within that court's original jurisdiction, (2) all other defendants consent to removal, (3) the defendant files a notice of removal in federal court within 30 days of receiving the summons or complaint, and (4) a copy of the notice is provided to the state court and other parties.

References

- 28 U.S.C. § 1441 (removal requirements).
- 28 U.S.C. §§ 1446–1447 (removal procedures).

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Requirements for removal to federal court



An investor from State A purchased a house in State B for $300,000 and immediately rented it out. Shortly thereafter, a company incorporated and headquartered in State B sued the investor in a federal court in State B for breaching a shareholder's agreement. The investor signed and allegedly breached the agreement in State C and was served with process at his home in State A. The company sought to attach the investor's house in State B to satisfy any judgment in case the investor could not pay. The investor moved to dismiss the suit for lack of personal jurisdiction.

State B has a long-arm statute that gives its courts personal jurisdiction over property located within the state.

Is the court likely to grant the investor's motion?

A. No, because State B's long-arm statute establishes personal jurisdiction.

B. No, because the presence of the house in State B confers personal jurisdiction over the investor.

C. Yes, because ownership of property cannot establish minimum contacts.

D. Yes, because the company's claim is unrelated to the investor's ownership of the house.

Explanation:

Personal jurisdiction refers to a court's authority over the parties or property before it. A federal district court has the same personal jurisdiction as the courts of the state in which it is located. Therefore, a federal district court can use the forum state's long-arm statute to acquire personal jurisdiction over an out-of-state defendant—so long as the exercise of personal jurisdiction comports with **due process**. This constitutional requirement is met when:

- the plaintiff's claim arises from the defendant's minimum contacts with the state *and*
- the exercise of jurisdiction complies with notions of fair play and substantial justice.*

A defendant's ownership of **property** in the forum state **establishes minimum contacts** in an **action *related* to that property**—ie, in rem and quasi in rem type 1 actions **(Choice C)**. However, this does *not* establish minimum contacts in an **action *unrelated* to that property**—ie, a quasi in rem type 2 action in which the property is attached to satisfy a judgment against the defendant.

Here, the company sued the investor and attached his house in State B to satisfy any judgment. The house cannot serve as the basis for minimum contacts since this suit for breach of a shareholder's agreement is unrelated to the house. And there is no indication that the investor has any other contacts with State B since he resides in State A and the agreement was signed and allegedly breached in State C **(Choice B)**. Therefore, the court will likely grant the investor's motion.

*Due process is also satisfied if the defendant consented to jurisdiction or was served with process within the forum state.

(Choice A) State B's long-arm statute gives state and federal courts in State B personal jurisdiction over property in the state. But since the investor lacks minimum contacts with State B, using the long-arm statute would violate due process.

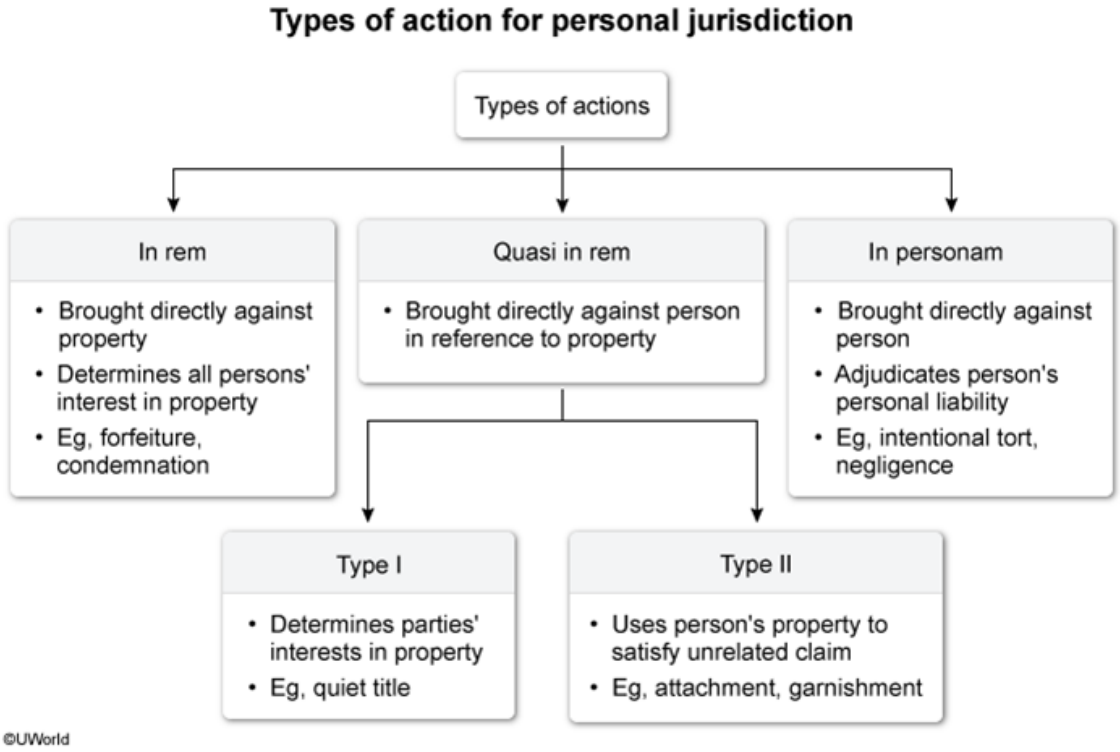
Educational objective:

Property located within the state can establish the minimum contacts necessary for personal jurisdiction if the property is *related* to the dispute—ie, in rem or quasi in rem type 1 action. However, minimum contacts are not established if the property is *unrelated* to the plaintiff's claim—ie, quasi in rem type 2 action.

References

- Shaffer v. Heitner, 433 U.S. 186, 212 (1977) (holding that personal jurisdiction over an out-of-state defendant must always satisfy the minimum contacts requirement).

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A plaintiff brought a diversity action against a defendant in a federal court in State A to quiet title to a farm. The plaintiff attempted to serve the defendant with process through certified mail, but the letter was returned to the plaintiff marked "unclaimed." The plaintiff attempted service through certified mail a second time, but the letter was returned to the plaintiff in the same fashion. The plaintiff did not attempt to contact the defendant again. At trial, the defendant did not appear and defend. As a result, the court entered a default judgment in the plaintiff's favor.

Two months later, the defendant discovered the plaintiff on the farm and learned about the default judgment. The defendant immediately moved for relief from the default judgment in the federal court in State A on the ground that the plaintiff failed to provide him with adequate notice of the suit.

State A's rules of procedure permit service of process by certified or ordinary mail.

Will the federal court likely grant the defendant's motion for relief?

A. No, because the plaintiff attempted to serve the defendant with process twice.

B. No, because the plaintiff complied with State A's service-of-process rules.

C. Yes, because the defendant did not receive actual notice of the lawsuit.

D. Yes, because the plaintiff failed to take additional reasonable steps to provide notice.

Explanation:

Service-of-process requirements

Procedural rules (FRCP 4(e))	Process may be served on defendant-individual located in U.S. by: • delivering process to defendant personally or authorized agent • leaving process at defendant's dwelling with resident of suitable age & discretion *or* • following rules of state where court sits or service is made
Due process	• Notice must reasonably apprise defendant of pending suit & afford opportunity to present objections • If plaintiff knows defendant did not receive notice, plaintiff must take additional reasonable steps to provide notice

FRCP = Federal Rule of Civil Procedure.

A defendant can obtain relief from a default judgment when the defendant's failure to timely serve an answer was due to excusable neglect. Excusable neglect can arise when the defendant failed to receive adequate notice of the suit through **service of process** as required by procedural rules and **due process**.

FRCP 4 provides several procedures for serving process on a defendant-individual in the U.S., including:

- delivering process to the defendant personally (or to an agent authorized to receive process)
- leaving process at the defendant's dwelling with a resident of suitable age and discretion *or*
- following the rules of the state where the court sits or service is made.

Here, the plaintiff complied with the service-of-process rules for State A (where the federal court sits) by attempting to serve the defendant with process twice through certified mail. However, her attempt to provide adequate notice must also comply with due process.

Under this constitutional requirement, actual notice is not required **(Choice C)**. Instead, notice must **reasonably apprise** the **defendant of the pending suit** and afford the defendant an **opportunity to present objections**. So if the plaintiff **knows** that the defendant **did not receive notice** (eg, because the letter was returned "unclaimed"), then the plaintiff must take **additional reasonable steps** to provide notice. The plaintiff here failed to take such steps, so the court will likely grant the defendant's motion for relief **(Choices A & B)**.

Educational objective:

Notice, as required by due process, means that a defendant must be reasonably apprised of the pending suit and afforded an opportunity to present objections. So if the plaintiff knows the defendant did not receive notice through service of process, then the plaintiff must take additional reasonable steps to provide notice.

FRCP = Federal Rule of Civil Procedure.

References

- Jones v. Flowers, 547 U.S. 220, 234 (2006) (explaining that when the plaintiff knows that the defendant has not received notice, additional reasonable steps need to be taken to provide such notice).
- Mullane v. Cent. Hanover Bank & Trust Co., 339 U.S. 306, 314 (1950) (stating that due process requires notice apprising the defendant of the action and affording an opportunity to be heard).

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Two tourists from State A planned a trip to a foreign country. Before leaving, one of the tourists saw a television advertisement for a guided hike in the foreign country. The tourist called the company responsible for the advertisement, which is incorporated and has its principal place of business in the foreign country. During the phone call, the tourist told the company's representative that neither of the tourists had ever been on a professional hike. The representative ensured the tourist that all of the company's guides were properly trained. The tourist then hired a guide from that company.

In the foreign country, the guide led the tourists on a steep and dangerous mountain trail meant for expert hikers. During the hike, the tourists fell into a deep ravine and died. Another group of hikers, all of whom reside in the foreign country, witnessed the event.

The deceased tourists' personal representatives joined together to sue the company in federal court in State A for false advertisement and wrongful death. The company wants the suit to be heard in its own country instead of State A.

Which of the following motions gives the company its best chance to achieve its goal?

A. A motion to dismiss the lawsuit for improper venue.

B. A motion to dismiss the lawsuit for lack of personal jurisdiction.

C. A motion to dismiss the lawsuit under the doctrine of forum non conveniens.

D. A motion to transfer the lawsuit to a court located in the foreign country.

Explanation:

Doctrine of forum non conveniens

Definition	• Power of federal court to dismiss or stay lawsuit when state or foreign judicial system is better suited to hear case
Private interest factors	• Accessibility of evidence • Availability of witnesses • Burden on defendant • Enforceability of judgment
Public interest factors	• Ability to comprehend substantive law • Choice of law • Interest of jury/community • Functionality of foreign judicial system

The **doctrine of forum non conveniens** allows federal courts to **dismiss or stay** a lawsuit if a **state or foreign judicial system** is **better suited** to hear the case. This is permitted even when subject-matter jurisdiction, personal jurisdiction, and venue are proper—but should rarely be applied. As a result, the court must consider several **private and public interest factors**, including the accessibility of the evidence and the witnesses.

Here, the foreign company wants the lawsuit to be heard in its own country instead of in State A. Several factors weigh in the company's favor since much of the evidence and all the witnesses are in the foreign country. Therefore, the company's best chance to have the suit heard in its own country is to file a motion to dismiss under the doctrine of forum non conveniens.

(Choices A & B) Venue is proper in any federal district where a defendant resides as long as all the defendants reside in the same state. A defendant business resides in every district where it is subject to personal jurisdiction. Here, the company is subject to personal jurisdiction in any State A district since its minimum contacts with State A—the advertisement, business phone call, and agreement—gave rise to the tourists' claims. Therefore, motions to dismiss for improper venue or lack of personal jurisdiction would fail.

(Choice D) A federal court can only transfer a suit to another *federal* court. Therefore, a suit can only be moved to a state or foreign judicial system if the federal court dismisses or stays the suit under the doctrine of forum non conveniens so that the plaintiff can refile the suit in an alternative judicial system.

Educational objective:

Under the doctrine of forum non conveniens, a federal court can dismiss or stay a lawsuit if a state or foreign jurisdiction is better suited to hear it. When making this decision, the court will examine several factors, including accessibility of evidence and witnesses.

References

- Am. Dredging Co. v. Miller, 510 U.S. 443, 447–48 (1994) (explaining the doctrine of forum non conveniens).
- Gulf Oil Corp. v. Gilbert, 330 U.S. 501, 508–09 (1947) (listing private and public interest factors to consider in a forum non conveniens analysis).

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After 10 years of marriage, a husband and wife decided to separate. The husband remained in the family home in State A, while the wife moved into an apartment in State B.

Seven months later, the wife filed for divorce in a state court in State B. She knew that her husband would be attending a professional conference in State B the following week, so she hired a process server to personally hand-deliver a copy of the divorce petition and the State B summons to him at the conference.

The husband moved to dismiss for lack of personal jurisdiction.

Should the court grant the husband's motion to dismiss?

A. No, because the husband was personally served with process in State B.

B. No, because there is no other state that is more convenient for both of the parties than State B.

C. Yes, because State A was the couple's home state for 10 years.

D. Yes, because the husband was in State B for a matter unrelated to the marriage.

Explanation:

Personal jurisdiction

(court's authority over defendant)

Type	Requirements
Service of process	• Serving process on defendant voluntarily in state where court is located (ie, forum state)
Consent	• Express – contractual agreement (eg, forum-selection clause) • Implied – engaging in specific activity that state has substantial interest in regulating (eg, driving on public roads) • Waiver – untimely objection to personal jurisdiction • Appearance – voluntarily appearing in court to litigate merits of case
Specific (case-linked)	• Plaintiff's claim arises from or is closely related to defendant's minimum contacts (ie, purposeful availment) with forum state AND • Exercise of jurisdiction complies with notions of fair play & substantial justice
General (all-purpose)	• Defendant has continuous & systematic contacts with forum state so substantial that defendant is essentially "at home" (ie, defendant's domicile)

Due process requires that a court have **personal jurisdiction** over all of the parties in a dispute before it. One way to establish personal jurisdiction is through **tag jurisdiction** (ie, transient jurisdiction). Under this method, personal jurisdiction is acquired by **serving the defendant*** with formal process while the defendant is **voluntarily in the forum state**—even if briefly and for a purpose **unrelated to the plaintiff's claim**.

Here, the husband was served with the divorce petition and State B summons while he was in State B for a conference—a matter unrelated to the marriage **(Choice D)**. Therefore, the court has personal jurisdiction over the husband and should deny his motion to dismiss.

*Personal jurisdiction is always focused on the defendant because the plaintiff consents to personal jurisdiction by filing the suit in that court.

(Choice B) Whether another state or court is a more convenient forum for the parties is only considered when a change of venue is requested.

(Choice C) Although State A was the couple's home state for 10 years, State B has personal jurisdiction since the wife initiated the suit there and the husband was served with process there.

Educational objective:

Personal jurisdiction can be established by serving the defendant with formal process while the defendant is voluntarily in the forum state even if briefly and for a purpose unrelated to the plaintiff's claim.

References

- Burnham v. Super. Ct. of Cal., 495 U.S. 604, 619 (1990) (holding that personal jurisdiction is established when the defendant is served with process in the forum state).

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A businesswoman sued a website owner in federal court for violating federal copyright law. The businesswoman sent a copy of the complaint and a form requesting waiver of service of process to the website owner's residence via first-class mail. The request named the court where the complaint was filed and the date when the request was sent.

The businesswoman did not receive anything back from the website owner, so 31 days after mailing the request, she had a process server hand-deliver a copy of the summons and complaint to the website owner.

Is the website owner liable for the expenses associated with the process server?

A. No, because the businesswoman did not include all that was necessary for a waiver request.

B. No, because the businesswoman did not wait 60 days before hiring the process server.

C. Yes, because a court must impose the cost of service upon a defendant who fails to waive service.

D. Yes, because a defendant has a duty to avoid unnecessary service-of-process expenses.

Explanation:

Waiving service of process

(FRCP 4(d))

Request for waiver	• In writing • Addressed to defendant (or authorized agent) • Names court where complaint filed • Provides copy of complaint, two waiver forms & prepaid means to return form • Informs defendant about consequences of waiving & not waiving • Lists date request is sent • Sent via first-class mail or other reliable means • Allows 30 days (or 60 days for defendant abroad) from date sent for defendant to return waiver
Benefits of waiver	• Defendant's time to file answer extended to 60 days (or 90 days if abroad) from date sent
Consequences of failing to waive	• Defendant pays expenses of future service of process • Defendant pays reasonable expenses of any motion required to collect service expenses (eg, attorney's fees)

FRCP = Federal Rule of Civil Procedure.

A plaintiff must provide the defendant with adequate notice of a lawsuit through service of process—ie, by delivering a copy of the summons and complaint. Since this can be expensive and burdensome, defendants are encouraged to **waive service of process** upon the **plaintiff's written request**. That request must:

- be sent to the defendant via **first-class mail** or other reliable means
- **name the court** where the complaint was filed and the **date the request** was sent *and*
- contain one copy of the **complaint**, ***two*** **copies** of the waiver form, and a **prepaid means** for returning the signed waiver form (eg, a self-addressed and stamped envelope).

If the defendant waives service of process, the defendant receives extra time to respond to the complaint—60 days from the date the request was sent instead of 21 days from the date of service (the carrot). But if the defendant (1) **fails to waive service** and (2) **lacks good cause** for doing so, the defendant must pay the **expenses of future service** and of any motion required to collect those expenses (the stick).

Here, the businesswoman's waiver request only contained *one* copy of the waiver form and did not include a prepaid means to return the signed form. Therefore, the website owner is not liable for the process-server expenses **(Choices C & D)**.

(Choice B) A plaintiff must give a defendant reasonable time to return the waiver—ie, at least 30 days when the defendant is in the U.S. (as seen here) or at least 60 days if the defendant is abroad.

Educational objective:

A plaintiff must send a written waiver-of-service request to the defendant via first-class mail or other reliable means. The waiver must state the name of the court and the date the request was sent. It also must contain a copy of the complaint, two copies of the waiver form, and a prepaid means to return the signed form.

References

- Fed. R. Civ. P. 4(d) (waiving service of process).

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A technology company incorporated and headquartered in State A hired an engineer domiciled in State B. The employment contract between the company and the engineer stated that all work product produced by the engineer was owned by the company. While employed by the company, the engineer developed a software program that was unrelated to the company's business. When the engineer left the company, she attempted to sell her program for $50,000.

The technology company sued the engineer in a federal court in State A to enjoin the sale and for a declaratory judgment that the company owned the rights to the software program. The company claimed that it could incorporate the program into its business and increase profits by $100,000. The engineer defended on the ground that the contract does not apply to work that is unrelated to the company's business.

The case proceeded to trial. After the close of evidence, the engineer moved to dismiss the case for lack of subject-matter jurisdiction.

Should the court grant the engineer's motion?

A. No, because the engineer waived this defense by failing to assert it before the close of evidence.

B. No, because the parties are diverse and the value of the requested relief exceeds $75,000.

C. Yes, because the company failed to demand damages in addition to the requested relief.

D. Yes, because the cost to the engineer to comply with the requested relief is only $50,000.

Explanation:

Subject-matter jurisdiction is established when a federal court has federal-question jurisdiction (not seen here) or diversity jurisdiction over a particular case. **Diversity jurisdiction** exists when the opposing parties are citizens of different states and the amount in controversy **exceeds $75,000**.

The amount in controversy is generally determined by the monetary damages requested in the plaintiff's complaint. However, it can also be determined when a plaintiff requests **equitable relief**—eg, declaratory judgment, injunction (both requested here). Since equitable relief has no explicit monetary value, its **implicit monetary value** is **calculated by** the larger of the following:

- the **cost to the defendant** if forced to comply with the requested equitable relief (eg, lost sales) *or*
- the **worth to the plaintiff** if the requested equitable relief is granted (eg, expected profits).

Here, the parties are diverse because the company is incorporated and headquartered in State A and the engineer is domiciled in State B. The cost to the engineer if forced to comply with the requested equitable relief is only the $50,000 she would lose if her sale is barred. However, the requested equitable relief is worth $100,000 in expected profits to the company, so the amount-in-controversy requirement is satisfied **(Choice D)**. Therefore, diversity jurisdiction exists, and the court should deny the engineer's motion to dismiss.

(Choice A) The right to challenge subject-matter jurisdiction is never waived. Instead, this issue can be raised at any time by the parties or on the court's own initiative (ie, sua sponte).

(Choice C) A plaintiff need not demand damages to satisfy the amount-in-controversy requirement. The reason is that a request for equitable relief can satisfy the amount-in-controversy requirement on its own if the value of the relief—based on its cost to the defendant or worth to the plaintiff—exceeds $75,000.

Educational objective:

In a diversity action, a request for equitable relief satisfies the amount-in-controversy requirement if the value of the relief exceeds $75,000 based on its (1) cost to the defendant or (2) worth to the plaintiff—whichever is larger.

References

- Hunt v. Wash. State Apple Advert. Comm'n, 432 U.S. 333, 347–48 (1977) (holding that the amount in controversy in an action requesting equitable relief is measured by the value of the object of the litigation).
- 32A Am. Jur. 2d Federal Courts § 962 (2020) (explaining how the amount in controversy is determined in actions that request equitable relief).

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Calculating monetary value of equitable relief



Two ranchers, both citizens of State A, brought an action in a state court in State A against a developer, a citizen of State B. The ranchers alleged a state-law tort claim for water runoff damage to their properties caused by construction on the developer's neighboring property. The first rancher claimed $250,000 in damages and the second rancher claimed $50,000. In their complaint, the ranchers cited federal law regarding the calculation of damages due to water runoff. The developer timely removed the action to federal court.

Is removal proper?

A. No, because the ranchers are not diverse from each other.

B. No, because the second rancher's claim does not meet the amount-in-controversy requirement.

C. Yes, because the complaint includes a federal question.

D. Yes, because the ranchers are diverse from the developer and both ranchers' claims arise from the same facts.

Explanation:

A defendant can **remove a case** from state to federal court if the claims fall within the federal court's subject-matter jurisdiction. **Original jurisdiction** can be established through either:

- **federal-question jurisdiction** – when a claim arises under the U.S. Constitution, a treaty, or federal law *or*
- **diversity jurisdiction** – when the amount in controversy exceeds $75,000 and the opposing parties are citizens of different states.

Here, the ranchers' complaint cited federal law regarding the calculation of damages. But since their *claim* is based on a state-law tort, there is no federal-question jurisdiction **(Choice C)**. Instead, diversity jurisdiction exists over the first rancher's claim because it seeks $250,000 and the ranchers (State A citizens) are diverse from the developer (State B citizen). However, there is no diversity jurisdiction over the second rancher's claim since it seeks only $50,000.

When a claim fails to satisfy original jurisdiction, **supplemental jurisdiction** generally exists over that claim if it shares a common nucleus of operative facts with a claim within the court's original jurisdiction. But when the original claim is based on **diversity jurisdiction** (as seen here), supplemental jurisdiction is **barred if** the **supplemental claim**:

- would **contaminate diversity of citizenship** between the opposing parties *or*
- seeks **$75,000 or less** and is made by a plaintiff (1) against **parties added through joinder**, intervention, or impleader or (2) seeking to join through ***compulsory* joinder or intervention**.

Here, the ranchers' claims arise from the *same* construction on the developer's property. Although the ranchers are not diverse from each other, this does not contaminate diversity between the ranchers and their opponent—the developer **(Choice A)**. Additionally, the second rancher's $50,000 claim is asserted against the original defendant and the second rancher *permissibly* joined the suit. Therefore, the court has supplemental jurisdiction over this claim and removal is proper **(Choice B)**.

Educational objective:

A case can be removed to federal court if a claim falls within that court's original jurisdiction. A claim that does not satisfy original jurisdiction generally can also be removed through supplemental jurisdiction if that claim shares a common nucleus of operative facts with a claim within the court's original jurisdiction.

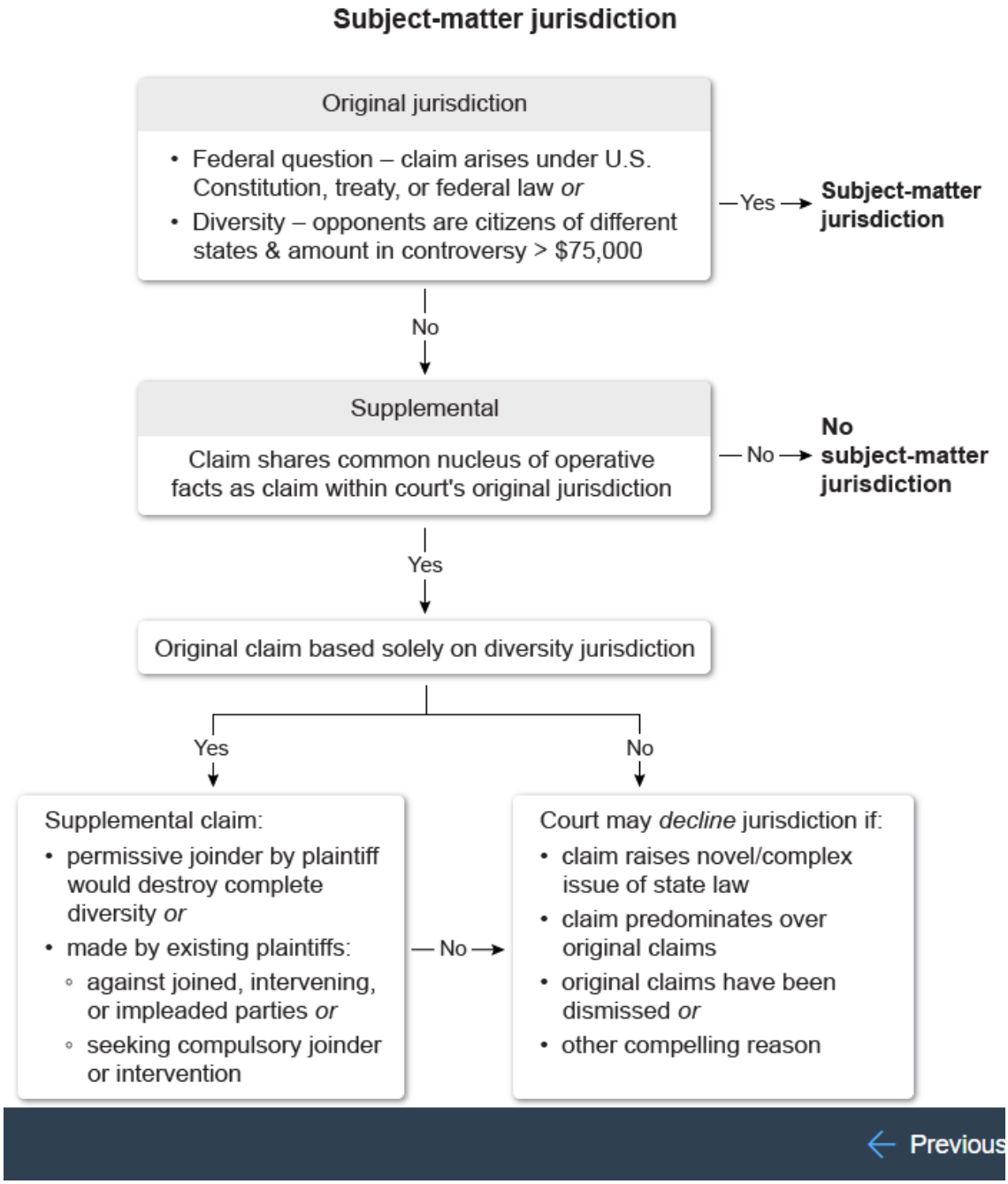
References

- 28 U.S.C. § 1441 (removal requirements).
- 28 U.S.C. §§ 1331–32 (federal-question & diversity jurisdiction).

- 28 U.S.C. § 1367 (supplemental jurisdiction).
- Exxon Mobil Corp. v. Allapattah Services, 545 U.S. 546, 560 (2005) (explaining when the exercise of supplemental jurisdiction is barred).

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A bicyclist who was a citizen of a foreign country and a permanent resident of State A was riding on a road in State B when she was hit by a car driven by a man domiciled in State A. The bicyclist sued the man for negligence in a federal court in State B to recover $80,000 in damages. The man moved to dismiss the bicyclist's complaint for lack of subject-matter jurisdiction.

How will the federal court likely rule on the man's motion?

A. Deny the motion, because the bicyclist and the man are citizens of different countries and the amount in controversy is $80,000.

B. Deny the motion, because the collision occurred in State B.

C. Grant the motion, because a foreign citizen cannot sue a U.S. citizen in federal court.

D. Grant the motion, because the parties are domiciled in the same state.

Explanation:

Subject-matter jurisdiction can be based on federal-question jurisdiction (not seen here) or diversity jurisdiction. **Diversity jurisdiction** is established when the amount in controversy exceeds $75,000 and there is diverse citizenship between the opposing parties. **Diverse citizenship** exists in a suit between U.S. citizens domiciled in different states. It also exists when the **suit is between**:

- U.S. citizens domiciled in the U.S. and foreign citizens
- U.S. citizens domiciled in different states, in which foreign citizens are additional parties *or*
- **U.S. citizens** and **permanent residents domiciled in *different* states**.*

Here, the bicyclist (permanent resident domiciled in State A) sued the man (U.S. citizen domiciled in State A) in federal court for $80,000. Since the bicyclist and the man are domiciled in the *same* state, there is no diversity of citizenship. As a result, the court lacks diversity (and subject-matter) jurisdiction and will likely grant the man's motion to dismiss **(Choice A)**.

*Diverse citizenship also exists in the rare instance when a foreign government sues a U.S. citizen.

(Choice B) The location of the collision is irrelevant in analyzing subject-matter jurisdiction. Instead, this fact is relevant in determining whether other federal court requirements—ie, personal jurisdiction and venue—are satisfied.

(Choice C) A foreign citizen *can* sue a U.S. citizen in federal court if subject-matter jurisdiction is established through diversity or federal-question jurisdiction (not seen here).

Educational objective:

Diverse citizenship exists when a suit is between (1) U.S. citizens domiciled in the U.S. and foreign citizens, (2) U.S. citizens domiciled in different states, in which foreign citizens are additional parties, or (3) U.S. citizens and permanent residents domiciled in different states.

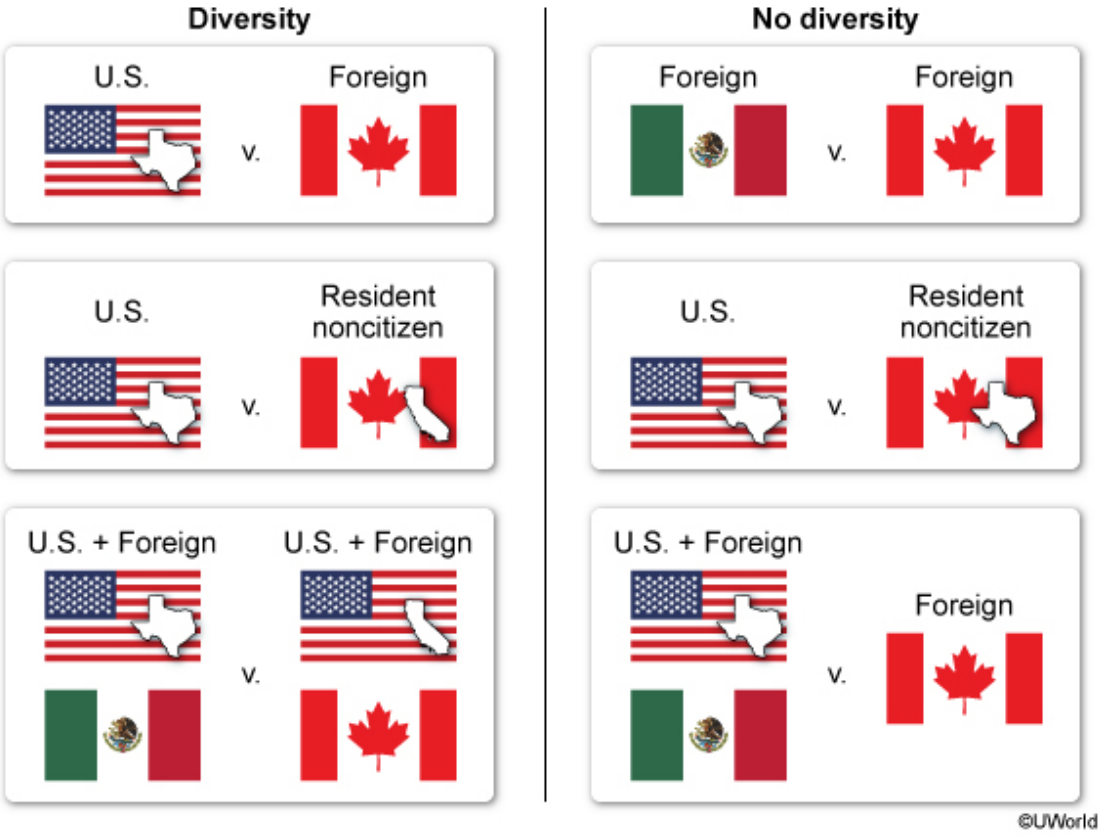
References

- 28 U.S.C. § 1332 (diversity jurisdiction).
- 32A Am. Jur. 2d Federal Courts § 616 (2020) (explaining when diverse citizenship exists between U.S. citizens and foreign citizens).

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Diversity of citizenship examples

(28 U.S.C. § 1332)



A popular food blogger from State A got into a heated online argument with the owner of a successful vegan restaurant located in State B about the merits of veganism. To get back at the owner, the blogger wrote a review of the owner's vegan restaurant in which she falsely claimed that the restaurant was infested with vermin and used animal products in its cuisine. The blogger had never eaten at the owner's restaurant or traveled to State B. The blog post had over 500,000 views from people around the United States. Within one month of the post, the restaurant shut down.

The owner sued the blogger in a federal court in State B for defamation. Based on the allegations in the owner's complaint, the blogger filed a motion to dismiss for lack of personal jurisdiction.

State B has a long-arm statute that gives its courts personal jurisdiction over out-of-state defendants that intentionally harm State B residents or businesses.

How will the federal court likely rule on the blogger's motion to dismiss?

A. Deny the motion, because the blogger knew that her review would negatively impact the restaurant in State B.

B. Deny the motion, unless the blogger failed to attach an affidavit to the motion demonstrating why personal jurisdiction does not exist.

C. Grant the motion, because the blogger has never traveled to State B.

D. Grant the motion, because the blogger wrote the review in State A.

Explanation:

Requirements for specific jurisdiction

Long-arm statute	Forum state statute must authorize jurisdiction under specific circumstances	
Due process	**Minimum contacts**	Purposeful availment of forum state's laws so suit is foreseeable: • Stream of commerce test – defendant places goods in stream of commerce & takes action that intentionally targets forum state • Effects test – defendant commits intentional tort in one state with intent that effects will be felt in forum state
	Fair play & substantial justice	Reasonableness factors: • Burden on defendant to appear & defend in forum state • Plaintiff's interest in obtaining relief in forum state • Forum state's interest • Interstate judicial system's interest in obtaining most efficient resolution of disputes • Interest of several states in furthering fundamental substantive social policies

A federal court* has **specific personal jurisdiction** over a nonresident defendant if (1) the forum state has a long-arm statute that authorizes jurisdiction under the specific circumstances and (2) applying that statute complies with due process. This due process requirement is met when:

- the plaintiff's claim arises from or is closely related to the defendant's **minimum contacts** with the forum state *and*
- the exercise of jurisdiction complies with notions of **fair play and substantial justice**.

Minimum contacts exist when the defendant purposefully avails him/herself of the state's protections and benefits so that the defendant should reasonably foresee being sued there. **Purposeful availment** can occur even if the defendant never physically enters the forum state—eg, committing an intentional tort in one state with the intent that the effects will be felt in the forum state **(Choices C & D)**.

Here, State B's long-arm statute authorizes jurisdiction over out-of-state defendants (the blogger) who intentionally harm a State B business or resident (the owner). Applying the statute complies with due process because the blogger purposefully availed herself of State B's benefits when she wrote a review to harm the owner in State B—making this defamation suit foreseeable there. And since there is no indication that exercising jurisdiction would offend notions of fair play and substantial justice, the State B federal court has specific jurisdiction over the blogger. Therefore, her motion to dismiss will likely be denied.

*Federal courts have the same jurisdictional reach as courts of the state in which they sit.

(Choice B) When a defendant asserts lack of personal jurisdiction in a pre-answer motion to dismiss (as seen here), the defendant can use the allegations in the pleadings *or* an attached affidavit to show why personal jurisdiction does not exist.

Educational objective:

A defendant has minimum contacts with a forum state when he/she purposefully avails him/herself of the state's protections and benefits, so that a lawsuit is reasonably foreseeable there. This can occur when the defendant commits an intentional tort in one state with the purpose or knowledge that the effects will be felt in the forum state.

References

- Calder v. Jones, 465 U.S. 783, 789–90 (1984) (holding that out-of-state defendants were subject to specific jurisdiction because their libelous article intentionally targeted the forum state's resident).
- Bristol-Myers Squibb Co. v. Super. Ct. of Cal., 137 S. Ct. 1773, 1780–82 (2017) (explaining the minimum contacts required for specific jurisdiction).

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A company incorporated and with its principal place of business in State A sued a partnership located in State B in a State A federal court to recover $30,000 for a breach of contract claim and $60,000 for a misrepresentation claim.

After the partnership filed an answer denying liability, the partnership's attorney learned that one of the partners had permanently moved to State A before the company filed its complaint. The attorney moved to dismiss the suit for lack of subject-matter jurisdiction.

How should the court rule on the motion?

A. Deny the motion, because the company and the partnership are diverse and the amount in controversy is satisfied.

B. Deny the motion, because the partnership waived its subject-matter jurisdiction defense by failing to include it in its answer.

C. Grant the motion, because neither of the company's claims independently exceeds $75,000.

D. Grant the motion, because the company and the partnership are not diverse.

Explanation:

Citizenship for diversity jurisdiction

Person	Citizen of state where domiciled—ie, physically present with intent to remain indefinitely
Corporation	Citizen of every state where it (1) has been incorporated and/or (2) has its principal place of business
Unincorporated association	Citizen of every state where its members are domiciled

A federal court can only hear a suit over which it has **subject-matter jurisdiction**—ie, authority to hear a particular type of case or controversy. The burden is on the party seeking to invoke the court's subject-matter jurisdiction (ie, the claimant) to prove by a preponderance of the evidence that the court has either:

- federal-question jurisdiction – the claim arises under the U.S. Constitution, a treaty, or federal law (not seen here) *or*
- **diversity jurisdiction** – the amount in controversy exceeds $75,000 and the **opposing parties** are **citizens of different states** (ie, are diverse) **at the time** the **complaint is filed**.

A corporation (eg, the company) is a citizen of every state where it is incorporated and/or has its principal place of business (here, State A). In contrast, an **unincorporated association** (eg, the partnership) is a **citizen** of every state where its **members are domiciled**—ie, where they reside and intend to remain indefinitely. Since a partner moved to State A *before* the complaint was filed, the partnership is a State A citizen*—just like the corporation. Therefore, the parties are not diverse and the partnership's motion to dismiss should be granted **(Choice A)**.

*The partnership is also a citizen of any other state where other partners are domiciled.

(Choice B) Most defenses are waived if they are not asserted in a defendant's answer. But a defense based on lack of subject-matter jurisdiction is *never* waived and can be asserted by a party or raised by the court at any time.

(Choice C) Although neither of the company's claims independently exceeds $75,000, the company can aggregate (ie, combine) them to $90,000 to satisfy the amount-in-controversy requirement for diversity jurisdiction.

Educational objective:

For purposes of diversity jurisdiction, a corporation is a citizen of every state where it is incorporated and/or has its principal place of business. An unincorporated association is a citizen of every state where its members are domiciled—ie, where the members reside and intend to remain indefinitely.

References

- 28 U.S.C. § 1332 (diversity jurisdiction).
- Carden v. Arkoma Assocs., 494 U.S. 185, 195–96 (1990) (holding that an unincorporated association, such as a partnership, is a citizen of every state where its members are domiciled).

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The legislature of an oil-rich state enacted a statute that created a complex regulatory scheme to manage drilling in the state's numerous oil fields. The statute created a commission that was authorized to approve oil-drilling permits after an extensive review process. The statute also established a system of judicial review of the commission's decisions by the state's courts.

The commission approved an in-state firm's application for a permit to drill in the eastern part of the state but denied an out-of-state company's application for a permit to drill in the same area. The company then filed two suits against the commission. One suit was filed in a federal court; the other was filed in a state court. In both suits, the company sought to enjoin enforcement of the commission's decision on the ground that the commission violated the company's federal constitutional rights by misapplying the state's regulations.

How is the federal court likely to proceed?

A. Abstain from hearing the case, because the federal court should defer to the state's regulatory scheme.

B. Dismiss the case, because the federal court lacks subject-matter jurisdiction.

C. Hear the case on the merits, because it is unlikely that the federal litigation will interfere with the state's regulatory scheme.

D. Hear the case on the merits, because the state court lacks jurisdiction over the company's First Amendment claim.

Explanation:

A federal court must generally hear the merits of a case over which it has subject-matter jurisdiction. Subject-matter jurisdiction can be established through diversity or federal-question jurisdiction. Federal-question jurisdiction exists when the plaintiff's claim arises under a federal law, a treaty, or the U.S. Constitution (as seen here). Therefore, the federal court has subject-matter jurisdiction over this case **(Choice B)**.

However, a federal court with subject-matter jurisdiction may or must abstain from hearing a case in limited circumstances. One such circumstance arises under the ***Burford* abstention doctrine**, which applies when **declaratory or injunctive relief** is sought in federal court. In this situation, the federal court has the *discretion* to abstain when such relief would **interfere** with a **complex state regulatory scheme** that:

- serves an **important state policy** (eg, regulation of natural resources) *and*
- provides for timely and adequate **judicial review by the state's courts**.

Here, the company asks the federal court to enjoin enforcement of the state commission's denial of the permit. The commission furthers the state's important interest in oil drilling by extensively reviewing permit applications, and its decisions are subject to judicial review by state courts. An injunction would likely interfere with this complex regulatory scheme since the federal court would have to determine whether the regulations were properly applied **(Choice C)**. Therefore, the federal court should defer to this scheme and abstain from hearing the case.

(Choice D) State courts are courts of "general jurisdiction," so they have the power to hear any type of case that is not under the exclusive jurisdiction of federal courts (including the First Amendment claim here).

Educational objective:

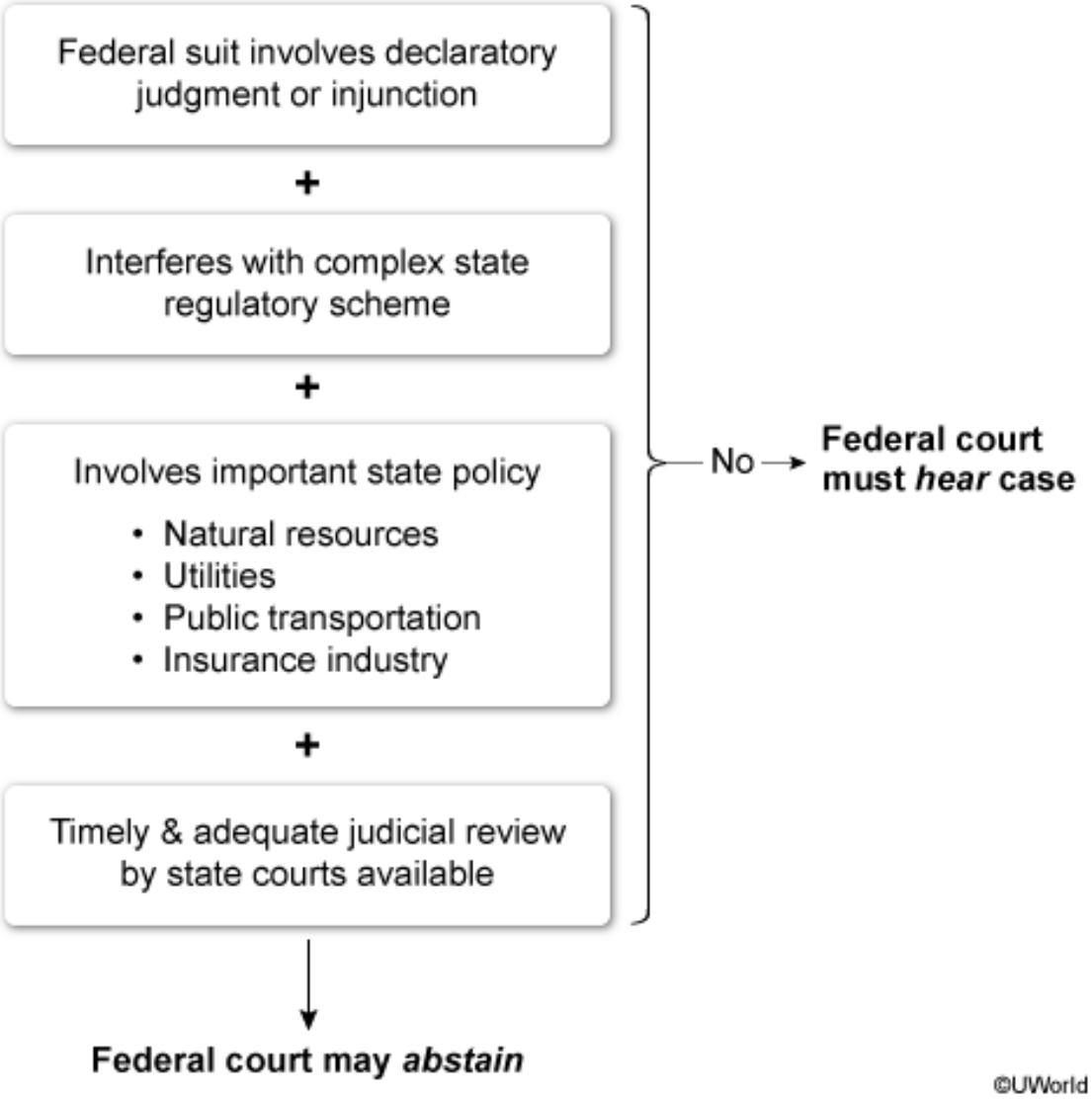
The *Burford* abstention doctrine allows a federal court with subject-matter jurisdiction to abstain when a declaratory judgment or an injunction by that court would interfere with a complex state regulatory scheme that (1) serves an important state policy and (2) provides timely and adequate judicial review by the state's courts.

References

- Burford v. Sun Oil Co., 319 U.S. 315, 317–18 (1943) (establishing the Burford abstention doctrine).
- 32A Am. Jur. 2d Federal Courts § 1024 (2020) (explaining Burford abstention).

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Burford abstention doctrine



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A driver from State A was texting and driving when she hit a pedestrian from State B in a crosswalk in State B. The pedestrian suffered multiple injuries and sued the driver for gross negligence in a federal district court in State B. In his complaint, the pedestrian sought compensatory damages of $75,000 for lost wages and medical expenses, $10,000 for attorney's fees, and $100,000 for punitive damages.

At the conclusion of trial, the jury awarded the pedestrian $35,000 for lost wages and medical expenses and $30,000 for punitive damages. The driver immediately moved to dismiss the case, arguing that the amount in controversy was insufficient to establish subject-matter jurisdiction.

State B permits the recovery of punitive damages but not attorney's fees in a gross negligence action.

Should the court grant the driver's motion?

A. No, because the total amount in controversy was $185,000.

B. No, because the total amount in controversy was $175,000.

C. Yes, because the total amount in controversy was $75,000.

D. Yes, because the total amount in controversy was $65,000.

Explanation:

Subject-matter jurisdiction is established when a case satisfies either federal-question jurisdiction (not seen here) or diversity jurisdiction. **Diversity jurisdiction** exists when the opposing parties are completely diverse—eg, the plaintiff and defendant are citizens of different states—and the **amount in controversy exceeds $75,000**.

The amount in controversy is **determined at the time** the plaintiff files the complaint and includes all amounts asserted in good faith except interest, costs, and damages that are not legally recoverable. As a result, the following sums may be included in the amount in controversy:

- **Compensatory damages** – money sought to compensate the plaintiff for his/her actual loss or harm (eg, pain and suffering, lost wages) that is **always included** in the amount in controversy
- **Punitive damages** – money sought to punish and deter outrageous, malicious, and evil conduct that is included **if permitted by state law**
- **Attorney's fees** – amount billed to a client for legal services provided that is included **if permitted by state law or contract**

Here, the complaint requested $75,000 in compensatory damages, $100,000 in punitive damages, and $10,000 in attorney's fees. State B permits the recovery of punitive damages but not attorney's fees in this gross negligence action, so the amount in controversy was $175,000 ($75,000 + $100,000). Therefore, the amount-in-controversy requirement was met and the driver's motion should be denied **(Choices A & C)**.

(Choice D) The fact that the jury awarded the pedestrian only $65,000 is irrelevant in calculating the amount in controversy. The reason is that this amount is determined at the time the complaint is filed—not by later events.

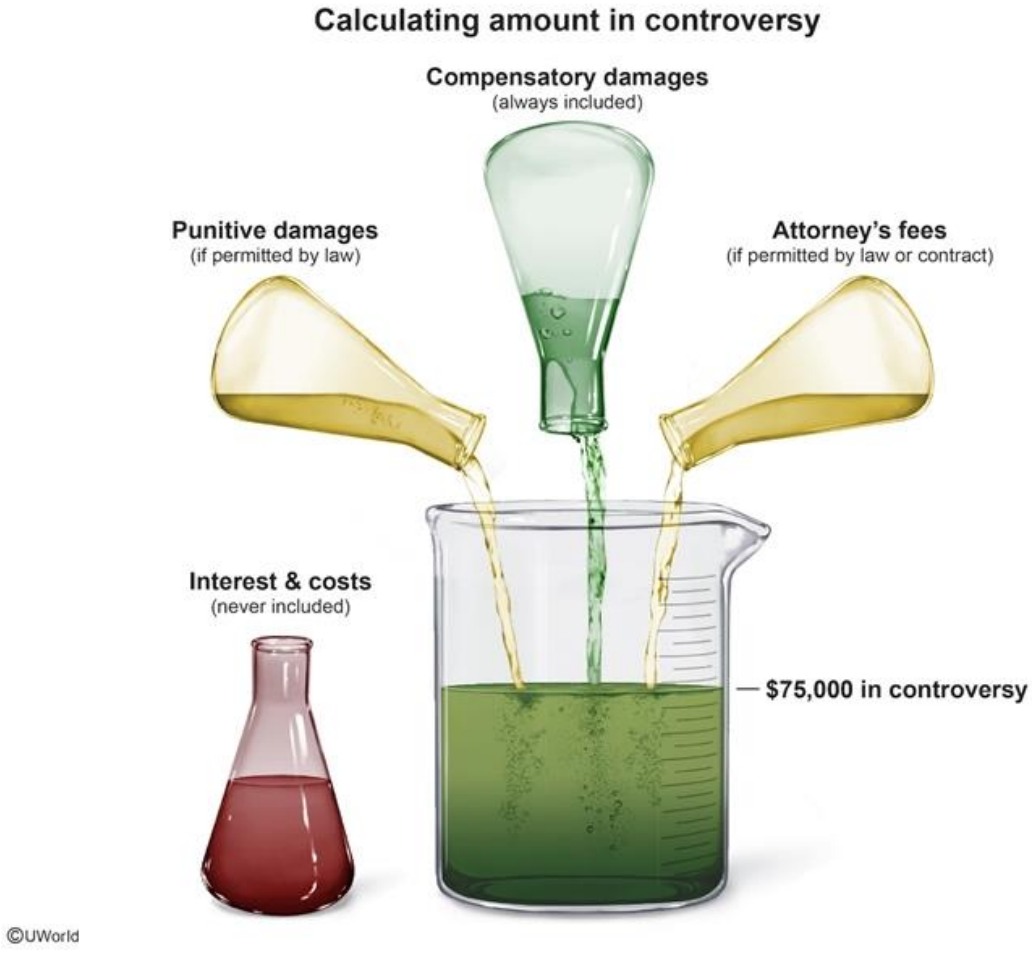
Educational objective:

Diversity jurisdiction exists when the opposing parties are completely diverse and the amount in controversy exceeds $75,000. The amount in controversy always includes compensatory damages and includes punitive damages (if permitted by state law) and attorney's fees (if permitted by state law or contract).

References

- 28 U.S.C. § 1332 (diversity jurisdiction).
- 32A Am. Jur. 2d Federal Courts § 952 (2020) (explaining that punitive damages are included in the amount in controversy if permitted by law).
- 32A Am. Jur. 2d Federal Courts § 960 (2020) (describing that attorney's fees are included in the amount in controversy if permitted by law or contract).

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An artist from State A sold his paintings over the internet to an art collector from State B. The total purchase price amounted to $80,000. The collector sent $20,000 to the artist as a down payment but claims that she never received any of the paintings. As a result, the collector sued the artist in a state court in State B for breach of contract to recover her down payment.

The artist filed an answer in which he alleged that all of his paintings were properly delivered to the collector and that the collector is attempting to defraud him. He also filed a counterclaim to recover $60,000 based on a federal statute that prohibits fraud in sales across state lines.

If the collector seeks to remove the case to a federal court in State B, is she likely to succeed?

A. No, because the collector is attempting to remove an action that has been filed in her home state.

B. No, because the collector is not qualified to remove the case to federal court.

C. Yes, because the artist's counterclaim is based on an alleged violation of a federal statute.

D. Yes, because the total amount in controversy is $80,000 and the parties are citizens of different states.

Explanation:

Only a defendant has the **power to remove** a case from **state to federal court** when the case falls within the federal court's original subject-matter jurisdiction. Original jurisdiction, which must be established on the face of a plaintiff's complaint, can arise from either:

- diversity jurisdiction – when the amount in controversy exceeds $75,000 and the opposing parties are citizens of different states *or*
- federal-question jurisdiction – when the plaintiff asserts a claim that arises under the U.S. Constitution, a treaty, or federal law.

Here, the collector (plaintiff) sued the artist (defendant) in state court. The artist then filed a counterclaim that alleged a violation of a federal statute prohibiting fraud in sales across state lines. But as the Supreme Court held in *Shamrock Oil & Gas Corp. v. Sheets*, a defendant's **counterclaim does not transform a plaintiff into a defendant** for removal purposes.* Since the collector remains the plaintiff for removal purposes, she is not qualified to remove the case to federal court **(Choice C)**.

Even the artist, as the defendant, could not remove this case since the collector's complaint did not establish original jurisdiction. Her breach-of-contract claim arises under state (not federal) law, so the federal court lacks federal-question jurisdiction. And though the artist and collector are citizens of different states, the federal court lacks diversity jurisdiction since the collector demanded only $20,000 in damages. The $60,000 demanded in the artist's counterclaim is not counted in determining whether the amount in controversy is satisfied **(Choice D)**.

*Congress created a narrow exception to this rule when it enacted 28 U.S.C. § 1454, a special removal rule that permits removal by any party (including a plaintiff) when a federal patent or copyright claim is asserted.

(Choice A) The home-court advantage (ie, forum-defendant) rule prohibits removal when the federal court's original jurisdiction is based on diversity jurisdiction and a *defendant* is a citizen of the state where the case was filed. But since the collector is the *plaintiff*, her residence in State B has no bearing on whether removal is proper.

Educational objective:

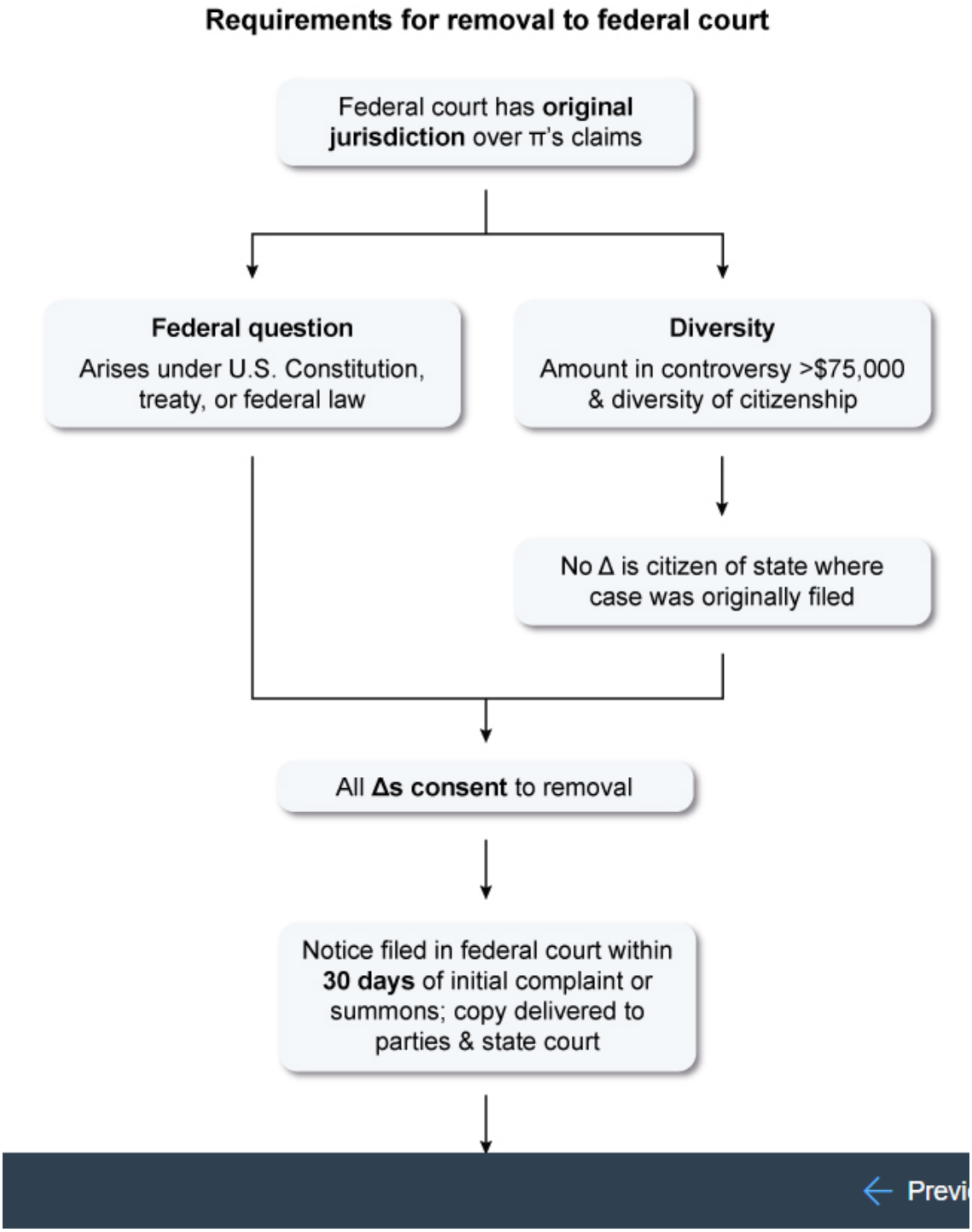
Only a defendant has the power to remove a case from state to federal court. A defendant's counterclaim does not transform a plaintiff into a defendant for removal purposes.

References

- 28 U.S.C. § 1441 (removal requirements).
- 28 U.S.C. § 1446 (removal procedure).

- Shamrock Oil & Gas Corp. v. Sheets, 313 U.S. 100, 107–08 (1941) (holding that a counterclaim does not change a plaintiff to a defendant for removal purposes).

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A limited liability company and a corporation entered into a contract in which the corporation agreed to deliver 100 tons of refined ore to the limited liability company in State A. The company maintains its principal place of business in State A. It has two members: one lives in State A and the other lives in State B. The corporation is both incorporated and keeps its principal place of business in State B. The corporation frequently conducts business in State A and keeps a refinery there to service its State A customers.

After the corporation failed to deliver 100 tons of refined ore, the company sued the corporation for breach of contract in a federal court in State A, seeking $1 million in damages. Sixty-one days after the company filed suit, a professional process server personally served the summons and complaint on the corporation's chief operating officer while she was touring the refinery, and copies of the summons and complaint were mailed to the corporation. Upon receiving service of process, the corporation moved to dismiss the lawsuit.

If the court grants the motion, which is the most likely reason?

A. Improper venue, because the corporation's principal place of business is in State B.
B. Lack of personal jurisdiction, because the corporation is domiciled in State B.
C. Lack of subject-matter jurisdiction, because the opposing parties are not diverse.
D. Untimely service of process, because the summons and complaint were served more than 60 days after the complaint was filed.

Explanation:

A lawsuit should be dismissed if the court lacks **subject-matter jurisdiction**—ie, the authority to hear a particular type of case. This breach-of-contract case does not present a federal question, so subject-matter jurisdiction must be established through **diversity jurisdiction**. Diversity jurisdiction exists when the **amount in controversy exceeds $75,000** and the opposing parties are **citizens of different states**. A party's citizenship is determined as follows:

- **Individual** – the state where the individual **resides** and **intends to remain indefinitely** (ie, state of domicile)
- **Corporation** – the state(s) where it is **incorporated** and/or has its **principal place of business**
- **Unincorporated association** (eg, partnership, limited liability company) – every state where its **partners or members are domiciled**

Here, the corporation is a citizen of *State B*, where it is incorporated and has its principal place of business. The limited liability company is a citizen of State A and *State B*, where its two members are domiciled. Since both parties are citizens of State B, there is no diversity of citizenship. Therefore, the motion to dismiss was likely granted on this basis.

(Choice A) Venue is proper in the federal district where a substantial part of the events giving rise to the claim occurred—eg, where a contract was to be performed. Therefore, venue is *proper* in State A, where the ore was to be delivered.

(Choice B) A federal court acquires personal jurisdiction over an out-of-state corporation when a corporate officer (here, the chief operating officer) is served with process while voluntarily in the state where the court sits. Therefore, the State A court has personal jurisdiction over the State B corporation.

(Choice D) Service of process is timely if the summons and complaint are served within 90 days after the complaint is filed. Therefore, process was timely served 61 days after the complaint was filed.

Educational objective:

Individuals are only citizens of their state of domicile. In contrast, corporations are citizens of the state(s) where they are incorporated and/or have their principal place of business, and unincorporated associations are citizens of every state where their members are domiciled.

References

- 28 U.S.C. § 1332 (diversity jurisdiction).

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An airline incorporated and with its principal place of business in State A contracted with a manufacturer incorporated and headquartered in State B to buy a new series of planes. The manufacturer bought the planes' engines from a company incorporated and with its principal place of business in State C. The manufacturer delivered the planes to the airline. After six months, all of the planes' engines failed.

The airline filed a complaint against the manufacturer and the company in a state court in State A for breach of contract, seeking $500 million in damages. The manufacturer and the company were served with process, and the company immediately filed a notice of removal. The manufacturer filed a motion to remand.

Will the federal court likely grant the manufacturer's motion to remand?

A. No, because due process requires that a federal court hear cases involving diverse parties.
B. No, because the parties are diverse and the amount in controversy is $500 million.
C. Yes, because the airline is based in State A.
D. Yes, because the manufacturer did not consent to removal.

Explanation:

A plaintiff can choose to file suit in state or federal court. However, a **defendant may remove** a suit filed in **state court to federal court** if the case falls within the federal court's **subject-matter jurisdiction**. This can arise from either:

- federal-question jurisdiction – when a claim arises under the U.S. Constitution, a treaty, or federal law (not seen here) *or*
- diversity jurisdiction – when the amount in controversy exceeds $75,000 and the opposing parties are citizens of different states.

A defendant must **file a notice of removal** in federal court **within 30 days** after receipt of the initial complaint or service of the summons—whichever period is shorter.* The defendant must also obtain the **consent of *all* other defendants** to the removal. If these requirements are not met or some other procedural error occurs, the federal court should grant a motion to remand (ie, return) the entire case to state court.

Here, diversity jurisdiction exists because the airline from State A sued the manufacturer from State B and the company from State C for $500 million in damages. The company timely filed a notice of removal after being served with process but failed to obtain the manufacturer's consent to the removal. As a result, removal is improper, and the federal court will likely grant the manufacturer's motion to remand **(Choice B)**.

*If a suit later becomes removable based on an amended pleading or motion, notice must be filed within 30 days after receipt of the amended pleading or motion. But if more than one year has passed since the suit was commenced and removal is based on diversity jurisdiction, then the suit can only be removed if the plaintiff acted in bad faith.

(Choice A) Due process does *not* require that federal courts hear cases involving diverse parties. State courts may also hear such cases unless Congress grants federal courts exclusive jurisdiction (not seen here).

(Choice C) The fact that the airline (plaintiff) is from State A does not provide a basis to remand the case. The home-court advantage (ie, forum-defendant) rule prohibits removal in a diversity case when a *defendant* is a citizen of the state in which the case was filed.

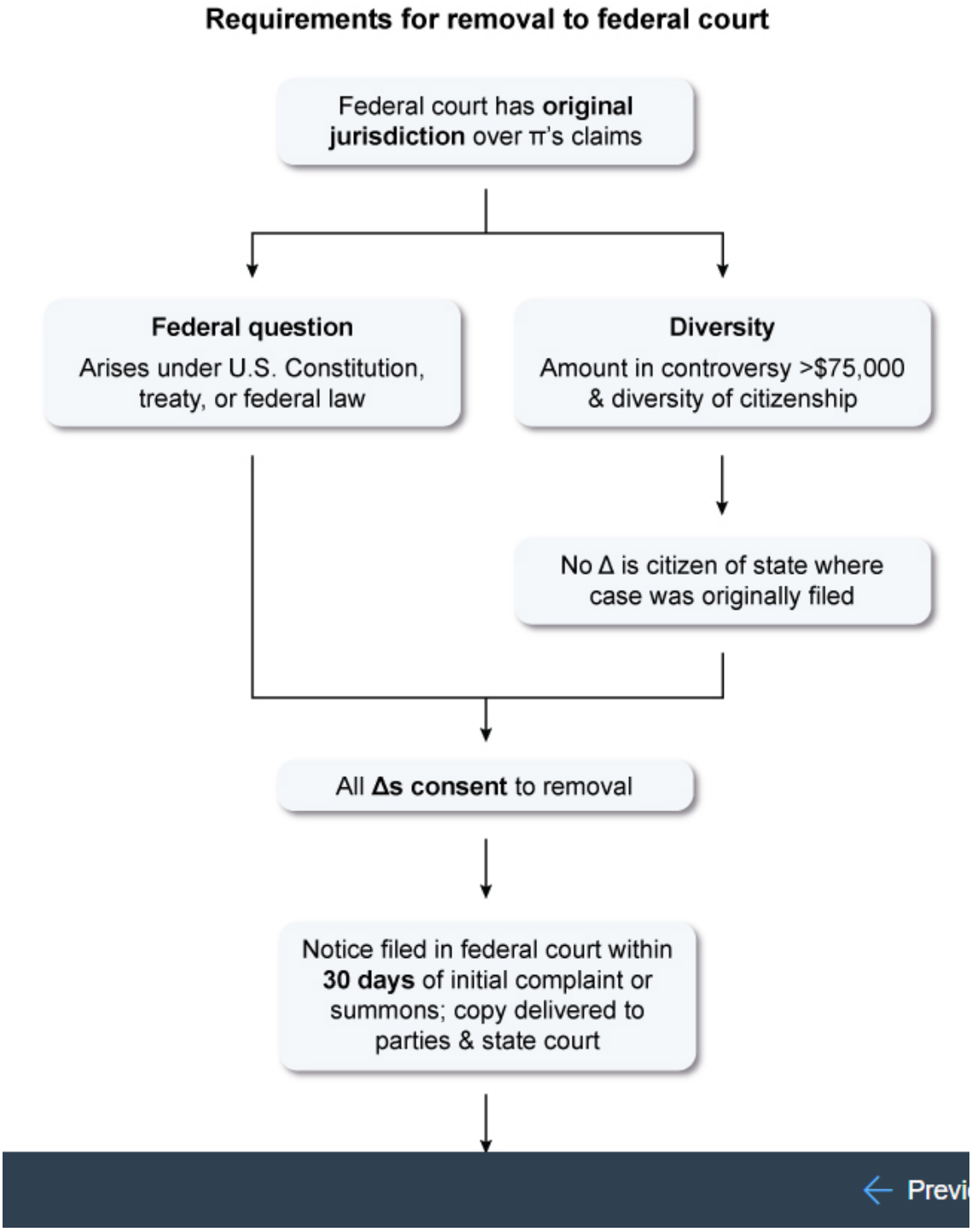
Educational objective:

A defendant must obtain the consent of all the other defendants to remove the suit from state to federal court.

References

- 28 U.S.C. § 1441 (removal requirements).
- 28 U.S.C. § 1446(b)(2)(A) (consent requirement for removal).

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A bakery from State A sued a company from State B for breach of contract in a state court located in State A for $1 million. The bakery alleged that the company violated the contract by selling a rival bakery's products in State C. The company does no business in State A, and the contract between the two parties was signed in State B. Each state is composed of one federal district.

After being served with process, the company removed the suit to the federal district court in State A. The company then moved to dismiss the suit for improper venue.

How will the federal court likely rule on the company's motion to dismiss?

A. Deny the motion, because the bakery is from State A.

B. Deny the motion, because the company removed the suit.

C. Grant the motion, because the alleged breach occurred in State C.

D. Grant the motion, because the company is from State B and the contract was signed there.

Explanation:

Special rules for where venue is proper

Removal	• Federal district where state action was pending
Foreign resident	• Any judicial district
Federal official sued in official capacity	• Where defendant resides • Where substantial events occurred or property is located • Where plaintiff resides if no real property is involved in suit
Foreign government	• Where substantial events occurred or property is located • In federal district court of Washington, D.C.
Multiparty, multiforum litigation	• Where defendant resides • Where substantial part of accident occurred
Federal Tort Claims Act	• Where plaintiff resides • Where act/omission occurred

Venue is the geographic location of a federal district court where a case may be heard. Under the ***general*** **venue statute**, venue can be established in any of the following ways:

- Residency-based venue – a district where any defendant resides (but only if all defendants reside in the same state)
- Events-based venue – a district where a substantial part of the events that gave rise to the suit occurred
- Property-based venue – a district where a substantial part of the property at issue is located
- Fallback provision – a district where any defendant is subject to the court's personal jurisdiction (only applies if none of the above provisions can be established)

Venue can also be established through ***special*** **venue rules** in certain situations, including when a **suit is removed** from state court to federal court. In that situation, **venue is proper** in the federal district encompassing the state court from which the suit was removed—even if venue cannot be established under the general venue statute. This is because the defendant has consented to venue by removing the suit to that federal district court.

Here, the company (defendant) removed the suit from state to federal court in State A, so venue is proper there. Therefore, the court will likely deny the company's motion to dismiss for improper venue.

(Choice A) The fact that the bakery (plaintiff) is from State A does not establish proper venue since residency-based venue is predicated on the *defendant's* residence.

(Choices C & D) Venue could have been established in State C under events-based venue since the alleged breach of contract occurred there. It also could have been established in State B since that is where the company resides and the contract was signed. However, venue is also proper in the federal district court in State A because the company removed the suit there.

Educational objective:

When a suit is removed from state to federal court, venue is proper in the federal district encompassing the state court from which the suit was removed. This is true even if venue cannot be established under the general venue statute.

References

- 28 U.S.C. § 1391(b) (proper venue).
- 28 U.S.C. § 1441(a) (venue in removal actions).
- Polizzi v. Cowles Magazines, Inc., 345 U.S. 663, 665–66 (1953) (explaining that venue is proper in the federal district court to which a suit was removed from state court).

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A man was fired from a company for refusing to work on Saturday mornings because his religious beliefs require him to attend worship services during that time. The man sued the company in federal court in State A for violating a federal law that prohibits religious discrimination in the workplace. State A's rules of procedure permit service of process on an organization by leaving a copy of the summons and complaint at the organization's headquarters with an employee of suitable age and discretion. The company has designated its receptionist as an agent authorized to receive service of process on its behalf.

The man hired an 18-year-old process server to deliver a copy of the summons and complaint to the company's headquarters. The receptionist was not in the office on the day the process server arrived, so the process server left the summons and complaint with a 16-year-old employee who was filling in for the receptionist.

The company filed an answer, which included a motion to dismiss for improper service of process.

Will the court likely grant the motion?

A. No, because process was served in conformance with State A's rules of service.

B. No, because the company waived its claim for improper service of process.

C. Yes, because process was not delivered to the company's authorized agent.

D. Yes, because the process server was not of suitable age to serve process.

Explanation:

Methods of serving process on defendant-organization

In United States	• Follow state law where district court is located or where service is made • Deliver summons & complaint to officer or managing / general / authorized agent & mail to defendant if required by statute
In foreign country	• Follow international agreement reasonably calculated to give notice • If no international agreement & not prohibited by federal law: – follow foreign country's rules – serve as foreign country directs in response to letter rogatory *or* – unless prohibited by foreign country, serve by mail with request for signed return receipt • Follow court order, unless prohibited by international agreement

Before a federal district court can adjudicate a suit, the plaintiff must properly **serve the defendant with process**—ie, deliver a copy of the summons and complaint. Under Federal Rule of Civil Procedure (FRCP) 4(h), a **defendant-organization** can be properly served in the United States by either:

- following the service-of-process rules of the state where the court is located (ie, the forum state) or where service is made *or*
- delivering process to an officer, managing or general agent, or agent authorized by appointment or law to receive service AND, if required by statute, mailing process to the defendant.

Here, State A (the forum state) permits service of process on an organization by leaving a copy of the summons and complaint at the organization's headquarters with an employee of suitable age and discretion. Such an employee is one who is old enough to possess the limited capacity necessary to comprehend the situation (eg, a 16-year-old employee). Therefore, the court will likely deny the company's motion to dismiss.

(Choice B) Under FRCP 12(h), a defendant waives the defense that process was improperly served if it is not asserted in a pre-answer motion or the defendant's answer—whichever occurs first. Here, the company did not waive this defense because it asserted the defense in its answer and no pre-answer motion had been filed.

(Choice C) Although process was not delivered to the receptionist, the company's authorized agent for service of process, service was still valid since it complied with the forum state's law.

(Choice D) Under FRCP 4(c), process can be delivered by any person who is *at least* 18 years old and not a party to the suit (eg, the 18-year-old process server).

Educational objective:

An organization can be served by (1) following the service-of-process rules of the state where the district court is located or where service is made *or* (2) delivering process to an officer or agent authorized to receive it and, if required by statute, mailing process to the organization.

References

- Fed. R. Civ. P. 4(h) (service on organizations).

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Members of a nonprofit organization sued the Department of Homeland Security in federal court for posting a statement that "faith in God is essential to the security of the United States of America" on a wall in one of its offices. The nonprofit members claim that the posted statement violates the First Amendment establishment clause. The complaint does not mention the Secretary of Homeland Security.

The nonprofit members sent a copy of the complaint and summons by certified U.S. mail to the civil-process clerk at the U.S. attorney's office and the Attorney General of the United States.

The Department of Homeland Security maintains that service was inadequate.

Must the nonprofit members do anything else to perfect service of process in this case?

A. No, because all of the necessary entities were properly served.
B. No, because the federal rules allow the complaint and summons to be sent by certified mail.
C. Yes, they must serve the Department of Homeland Security.
D. Yes, they must serve the Secretary of Homeland Security.

Explanation:

Special service-of-process rules

Incompetent or minor	Plaintiff must follow rules of state where service is made
Federal government/agency	Plaintiff must deliver summons & complaint to all of the following: • (1) U.S. attorney for district where action is brought or designated employee *or* (2) civil-process clerk at U.S. attorney's office via registered or certified mail • U.S. Attorney General via registered or certified mail AND • agency or officer whose conduct is challenged via registered or certified mail
Foreign government	Plaintiff must deliver summons & complaint: • by special arrangement between plaintiff & foreign state • if no special arrangement, by international convention • if no convention, by sending to head of ministry of foreign affairs via mail requiring signed receipt OR • if no notice by mail within 30 days, by sending two copies to U.S. Secretary of State via mail requiring signed receipt
State or local government	Plaintiff must either: • deliver notice to chief executive officer OR • follow rules of state where government is located

A defendant must receive notice of a lawsuit through **service of process**—ie, proper delivery of the summons and complaint. Federal Rule of Civil Procedure (FRCP) 4(i) has special service-of-process requirements when the **defendant is** the **United States** or a federal **agency or employee** acting within an official capacity. This rule requires that the plaintiff **deliver a copy** of the summons and complaint **to all of the following**:*

- the **U.S. attorney** (or designated agent) for the district where the suit is filed OR the **civil-process clerk** at the U.S. attorney's office by registered or certified mail
- the **U.S. Attorney General** by registered or certified mail *and*
- any **agency or officer** whose official conduct is being challenged by registered or certified mail.

Here, the nonprofit members sued the Department of Homeland Security in federal court. They properly sent a copy of the complaint and summons by certified mail to the

civil-process clerk at the U.S. attorney's office and the U.S. Attorney General **(Choice A)**. But to perfect service of process, they must also serve the Department of Homeland Security—the agency whose official conduct is being challenged.

*Process must be served on the appropriate U.S. attorney and the U.S. Attorney General because these individuals are responsible for representing the United States, federal agencies, and federal employees acting in their official capacity.

(Choice B) Although FRCP 4(i) permits the plaintiff to serve the summons and complaint by certified mail, service of process is not perfected unless *all* of the entities requiring service receive it (not seen here).

(Choice D) A nonparty agency or employee (eg, the Secretary of Homeland Security) need only be served if the suit challenges the nonparty's order (not seen here).

Educational objective:

When suing the United States, its agencies, or its employees, the plaintiff must serve process on (1) the U.S. attorney (or designated agent) for the district where the suit is filed or the civil-process clerk at the U.S. attorney's office, (2) the U.S. Attorney General, and (3) any agency or officer whose official conduct is being challenged.

References

- Fed. R. Civ. P. 4(i) (serving the United States and its agencies or employees).

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A plaintiff from State A sued his State B business accountant in a state court in State A for breach of contract. The plaintiff sought $100,000 in damages. The accountant promptly removed the case to the federal district court in State A. Immediately after the case was removed, the district court entered an order remanding the case back to state court on the ground that the district court lacked subject-matter jurisdiction. One day later, the accountant appealed the remand order.

Should the federal appellate court hear the merits of the accountant's appeal?

A. No, because the appellate court lacks jurisdiction over the appeal of the remand order.

B. No, because the plaintiff did not raise subject-matter jurisdiction in a motion to remand.

C. Yes, because the accountant timely filed the appeal.

D. Yes, because the district court committed clear error when it remanded the case.

Explanation:

A **defendant** can **remove a case** from state to federal court if the case falls within the federal court's original subject-matter jurisdiction. Such jurisdiction arises from either:

- federal-question jurisdiction – when a claim arises under the U.S. Constitution, a treaty, or federal law *or*
- diversity jurisdiction – when the amount in controversy exceeds $75,000 and the opposing parties are citizens of different states.

A party, usually the plaintiff, can request that the federal district court return the case to state court by filing a motion to remand based on a lack of subject-matter jurisdiction or a procedural error in the removal. The federal district court may also remand a case sua sponte—but only if it concludes that it lacks subject-matter jurisdiction (as the court did here) **(Choice B)**.

A district court's **order to remand** the case is typically **not appealable** because Congress has explicitly forbidden these appeals to expedite litigation and avoid drawn-out removal disputes. As a result, federal **appellate courts lack jurisdiction** over such appeals absent limited exceptions (see image above). None of these exceptions apply here, so the appellate court should not hear the merits of the accountant's appeal.

(Choice C) The fact that the accountant timely filed the appeal within 30 days after the remand order was entered does not give the appellate court jurisdiction to review that order.

(Choice D) The clearly-erroneous standard of review is used to review factual findings in a bench trial—not a district court's order remanding a case back to state court (as seen here). Regardless, the appellate court lacks jurisdiction to review the district court's decision to order a remand since Congress explicitly forbade such review.

Educational objective:

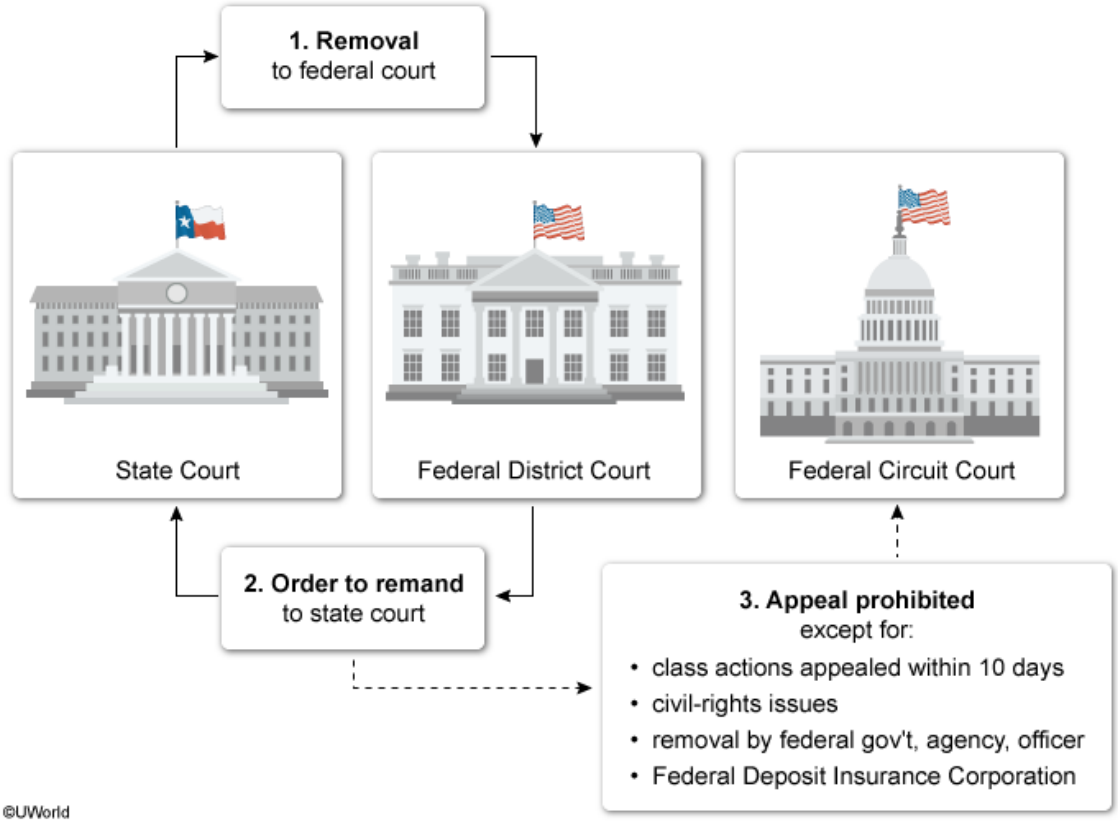
A federal district court's order to remand a case to state court—whether for a lack of subject-matter jurisdiction or procedural error in the removal—cannot be appealed absent limited exceptions.

References

- 28 U.S.C. § 1447(d) (prohibition against appeal of remand order).
- 14C Charles Alan Wright et al., Federal Practice and Procedure § 3740 (4th ed. 2020) (explaining the appealability of order remanding case to state court).

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Appealability of remand orders



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Two siblings inherited their $250,000 family home located in State A after their parents died in a car accident. The brother is 20 years old and lives in State A. The sister is 13 years old and now lives with her uncle, who has not yet been appointed her legal guardian. The brother wants to sell the home, while the uncle wants to use the home as a rental property.

The brother filed a lawsuit against his sister in a federal court in State A, requesting that the court order the sale of the home and split the proceeds between the children. The brother hired a process server, who hand-delivered a copy of the summons and complaint to the uncle at his apartment in State B.

A State A statute provides that process may be served on a minor by "leaving a copy of the summons and complaint with the minor's parent or legally appointed guardian." A State B statute allows service of process on a minor by "leaving a copy of the summons and complaint with the minor's parent or legally appointed guardian, an adult family member with whom the minor resides, or a married-minor's adult spouse."

The sister's lawyer filed a motion to dismiss the suit for insufficient service of process.

Will the court likely grant the motion?

A. No, because the brother complied with the State B service-of-process statute.

B. No, because the federal rules allow a family member to receive process on a minor's behalf.

C. Yes, because minors cannot be sued in federal court.

D. Yes, because the brother did not comply with the State A service-of-process statute.

Explanation:

Special service-of-process rules

Incompetent or minor	Plaintiff must follow rules of state where service is made
Federal government/agency	Plaintiff must deliver summons & complaint to all of the following: • (1) U.S. attorney for district where action is brought or designated employee *or* (2) civil-process clerk at U.S. attorney's office via registered or certified mail • U.S. Attorney General via registered or certified mail AND • agency or officer whose conduct is challenged via registered or certified mail
Foreign government	Plaintiff must deliver summons & complaint: • by special arrangement between plaintiff & foreign state • if no special arrangement, by international convention • if no convention, by sending to head of ministry of foreign affairs via mail requiring signed receipt OR • if no notice by mail within 30 days, by sending two copies to U.S. Secretary of State via mail requiring signed receipt
State or local government	Plaintiff must either: • deliver notice to chief executive officer OR • follow rules of state where government is located

A plaintiff must give a defendant **notice of a lawsuit** by properly **serving the defendant** with a summons and complaint (ie, service of process). Like all defendants located in the U.S. who are sued in federal court, a minor or legally incompetent defendant must be served within 90 days after the complaint is filed. But under FRCP 4(g), a **minor or legally incompetent** defendant *must* be served in accordance with the **service-of-process rules** of the **state where service is made**. Here, those are the rules of State B.

State B allows a minor to be served by leaving process with "an adult family member with whom the minor resides." Here, the brother's process server hand-delivered the summons and complaint to the uncle at his apartment in State B. And since the 13-year-old sister resides with that uncle, service of process was sufficient. Therefore, the court will likely deny the sister's motion to dismiss.

(Choice B) A family member can receive process on a minor's behalf *only* if the state where service is made allows such service of process—eg, here, allowed in State B but not State A.

(Choice C) Minors *can* be sued in federal court—as anticipated by FRCP 4's provision for serving a minor.

(Choice D) A minor must be served with process pursuant to the service-of-process rules of the state where service is made (State B)—not the state where the suit is filed (State A).

Educational objective:

Under Federal Rule of Civil Procedure 4(g), a minor or legally incompetent defendant can only be served with process by following the service rules of the state where service is made.

FRCP = Federal Rule of Civil Procedure.

References

- Fed. R. Civ. P. 4(g) (service on minor or incompetent person).

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A celebrity from State A sued a reporter from State B in a State A federal court for defamation, invoking diversity jurisdiction. The celebrity hired a 20-year-old process server to deliver a copy of the summons and complaint to the reporter's home in State B.

The process server went to the reporter's home and left the summons and complaint with the reporter's nephew, who had answered the door while staying at the reporter's home for a family reunion. The nephew is a 14-year-old honors student. He placed the documents on the reporter's kitchen table, but the reporter did not discover the documents until two weeks later.

The reporter immediately filed a motion to dismiss for insufficient service of process. Assume that both states' requirements for service of process are identical to the requirements of the Federal Rules of Civil Procedure.

Should the court grant the motion?

A. No, because the nephew was of suitable age and discretion.

B. No, because the reporter did not comply with the service-waiver provisions.

C. Yes, because the nephew did not reside in the reporter's home.

D. Yes, because the process server was not of suitable age to deliver process.

Explanation:

Serving process on defendant-individual

(FRCP 4(e))

Type of service	**Requirements**
State rules	Follow rules of state where court sits or service is made
Actual delivery	Deliver process to defendant personally
Substituted delivery	Deliver process to: • defendant's agent authorized by appointment or law to receive process *or* • resident of defendant's dwelling who is of suitable age & discretion

FRCP = Federal Rule of Civil Procedure.

A defendant must receive notice of a lawsuit through **service of process**—ie, delivery of the summons and complaint. Under Federal Rule of Civil Procedure (FRCP) 4, a plaintiff can **properly serve** a defendant who is an individual located in the United States by:

- following the **rules of the state** where the **court sits** or **service is made**
- having process delivered to the **defendant personally** (or to an **agent authorized** to receive process) *or*
- having process delivered to the **defendant's dwelling** and left with a **resident of suitable age and discretion**—ie, old enough to possess the limited capacity necessary to comprehend the situation.

Here, the service rules for State A (where the court sits) and State B (where service was attempted) are identical to FRCP 4. The summons and complaint were left with the reporter's nephew, but there is no indication that he was the reporter's authorized agent. And though the nephew was likely of suitable age (14 years old) and discretion (honors student), he was merely a guest (not a resident) at the reporter's home **(Choice A)**. Therefore, the motion to dismiss for insufficient service of process should be granted.

(Choice B) A plaintiff can request that the defendant waive service in exchange for more time (60 days) to respond to the complaint. But since the celebrity did not request a waiver, the reporter did not need to comply with the waiver requirements.

(Choice D) FRCP 4 allows process to be served by any person who is at least 18 years old and not a party to the suit (as seen here).*

*The process server (other than a U.S. or deputy marshal) must then file a proof-of-service affidavit if service was made in the U.S. and not waived. In contrast, proof of service in a foreign country can be made pursuant to an applicable treaty or convention, by a receipt signed by the addressee, or by other evidence that satisfies the court. However, providing proof of service does not affect the validity of service.

Educational objective:

A plaintiff can serve an individual defendant located in the U.S. by (1) following the rules of the state where the court sits or service is made, (2) having process delivered to the defendant personally (or his/her authorized agent), *or* (3) having process delivered to the defendant's dwelling and left with a resident of suitable age and discretion.

References

- Fed. R. Civ. P. 4(e) (service of process on an individual in the United States).

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A computer company, incorporated in State A and with its principal place of business in State B, manufactured a laptop that would overheat if left on for over 24 hours. A college student purchased this laptop in State B, where she resided. While at her apartment, the student left the laptop on for over 24 hours. The laptop exploded, causing her to sustain severe injuries.

After recuperating from her injuries, the student moved to State C and sued the computer company in State C federal court to recover $200,000 for her injuries.

The computer company filed a motion to transfer the lawsuit to the State B federal court on the ground that State C is an improper venue.

How will the State C federal court likely rule on the computer company's motion?

A. Deny the motion, because the court only has the power to dismiss the student's lawsuit.

B. Deny the motion, because venue is proper in State C.

C. Grant the motion, because the doctrine of forum non conveniens allows for such a transfer.

D. Grant the motion, because venue is improper in State C.

Explanation:

Venue

Proper venue (28 U.S.C. § 1391)	Case may be brought in any federal district where: • any defendant resides, if defendants all reside in same state • substantial part of events giving rise to claim occurred or property at issue is located • any defendant is subject to court's personal jurisdiction (if neither of the above provisions applies)
Transfer from proper venue (28 U.S.C. § 1404)	When venue is proper, district court may transfer case to any other proper venue for convenience of parties/witnesses & in interest of justice
Transfer or dismissal from improper venue (28 U.S.C. § 1406)	When venue is improper, district court must either: • dismiss case • transfer case to proper venue (if interest of justice requires)

Venue—ie, the geographic location of the specific federal district in which suit may be brought—is proper in ***any* federal district where**:

- any **defendant** resides—eg, where a company is incorporated or maintains its principal place of business—so long as all the defendants reside in the same state
- a **substantial** part of the **events that gave rise to the suit occurred** or the property at issue is located *or*
- any defendant is subject to the court's personal jurisdiction (if neither of the above provisions applies).

Here, the computer company resides in State A (state of incorporation) and State B (principal place of business)—not State C. And the events giving rise to the suit—the computer purchase and the explosion—occurred only in State B. Therefore, venue is improper in State C **(Choice B)**.

When **venue is improper**, the federal court must either (1) **dismiss** the lawsuit or (2) **transfer** it to a federal court with **proper venue (Choice A)**. Federal courts prefer transfer over dismissal for judicial efficiency. Therefore, the State C federal court will likely grant the computer company's motion to transfer the student's lawsuit to the State B federal court—where venue is proper.

(Choice C) The doctrine of forum non conveniens allows a federal court to dismiss or stay a lawsuit—even when venue is proper in that court—if a *state* or *foreign* judicial system is better suited to hear the dispute (not seen here).

Educational objective:

A federal court with improper venue must either transfer the suit to a federal court with proper venue (preferred) or dismiss the case.

References

- 28 U.S.C. § 1391 (venue).
- 28 U.S.C. § 1406 (transfer when venue is improper).

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A driver from the Western District of State A was involved in a traffic collision in the Northern District of State B with a truck owned and operated by a shipping company incorporated in the Eastern District of State B. The shipping company does the bulk of its business in the Southern District of State B, where its headquarters are located. The employee who drove the truck was terminated by the shipping company. The employee is a resident of State C, which has one federal judicial district.

If the driver files a joint complaint against the shipping company and its former employee, in which federal judicial district(s) would venue be proper?

A. The Western District of State A.

B. The Northern District of State B.

C. The Western District of State A and the Northern District of State B.

D. The Eastern District of State B, the Southern District of State B, and the District of State C.

Explanation:

Venue refers to the federal judicial districts where a case may be heard and can be established in the following ways:

- **Residency-based venue** – a district where any defendant resides, if *all* of the defendants reside in the same state
- **Events-based venue** – a district where a substantial part of the events that gave rise to the suit occurred
- **Property-based venue** – a district where a substantial part of the property at issue is located (not seen here)
- **Fallback provision** – a district where any defendant is subject to the court's personal jurisdiction (only applies if none of the above provisions can be established)

For venue purposes, a corporate defendant (eg, the shipping company) is a resident of any judicial district where it is subject to personal jurisdiction—eg, where it is incorporated or maintains its headquarters.

Here, venue is improper in the Western District of State A (where the driver resides) because venue is never based on the plaintiff's residence **(Choices A & C)**. And residency-based venue does not apply here because the defendants are residents of *different* states—the company is incorporated and headquartered in State B, while the former employee is a resident of State C **(Choice D)**. However, events-based venue is always available, so venue is proper in the Northern District of State B—where the accident occurred.

Educational objective:

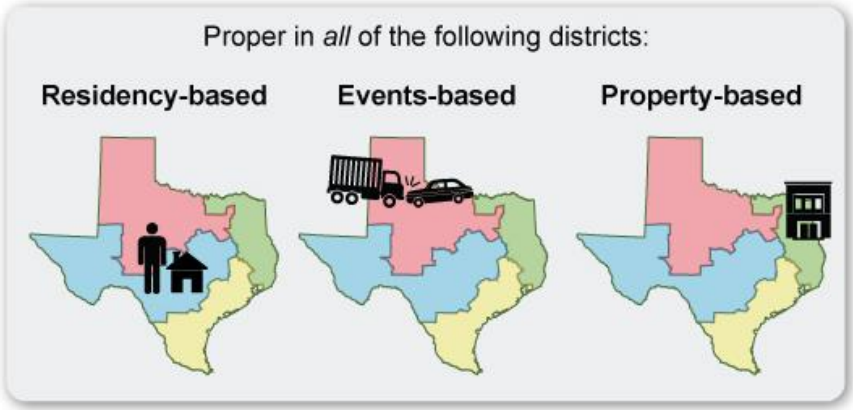
Venue is proper in any federal district where (1) any defendant resides, as long as all defendants reside in the same state, (2) a substantial part of the events occurred, (3) the property at issue is located, or (4) any defendant is subject to personal jurisdiction—but only if venue does not arise under the preceding provisions.

References

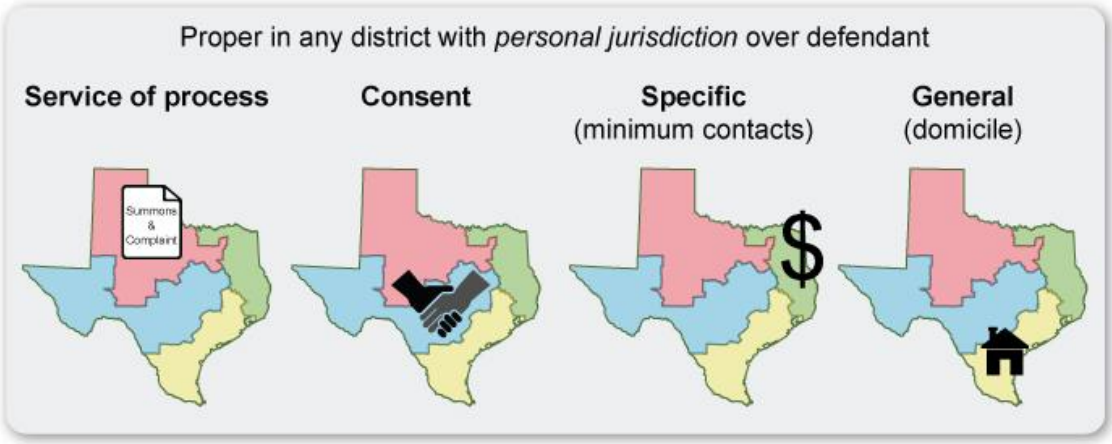
- 28 U.S.C. § 1391(b) (proper venue).

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Proper venue
(28 U.S.C. § 1391)



OR



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An attorney filed a class action in federal court on behalf of thousands of individuals against a cell phone company that is incorporated and has its principal place of business in State C. The two named plaintiffs are citizens of State A and State B, respectively, and the unnamed plaintiffs reside in every other state. The complaint alleges that the company violated a law enacted by states nationwide by overcharging its customers $3.50 per month for the past 20 months. The damages on behalf of the entire class are alleged to be $10 million.

The cell phone company moved to dismiss for lack of subject-matter jurisdiction.

Will the federal court likely grant the motion?

A. No, because federal courts have exclusive jurisdiction over class actions.
B. No, because the amount in controversy is sufficient in the aggregate.
C. Yes, because at least one of the unnamed plaintiffs is not diverse from the company.
D. Yes, because the amount in controversy is insufficient individually.

Explanation:

Subject-matter jurisdiction in class actions

Type	Requirements
Federal question	• Class action arises under U.S. Constitution, treaty, or federal law
Diversity	• Amount in controversy for any named plaintiff's claim exceeds $75,000* *and* • named opposing parties are citizens of different states
Class Action Fairness Act	• Class contains ≥ 100 members • at least one class member & one defendant are diverse *and* • amount in controversy for aggregated claims exceeds $5 million

*A federal court can acquire subject-matter jurisdiction over class members' claims that do not exceed $75,000 through supplemental jurisdiction.

A federal district court's **subject-matter jurisdiction** over a class action, like any other lawsuit, can arise from either:

- **federal-question jurisdiction** – the class action arises from the U.S. Constitution, a treaty, or federal law (not state law, as seen here) *or*
- **diversity jurisdiction** – the *named* opposing parties are citizens of different states and the amount in controversy for any named plaintiff's claim exceeds $75,000.

Here, no single plaintiff can individually satisfy the amount-in-controversy requirement because the complaint alleges that the cell phone company overcharged each plaintiff only $70 ($3.50 × 20 months). And individual claims generally cannot be aggregated (ie, added together) unless an alternate basis of subject-matter jurisdiction over the class action exists. The **Class Action Fairness Act** (CAFA) provides such a basis when:

- the class contains at least **100 members**
- any class member is diverse from at least one defendant (ie, **minimal diversity**) *and*
- the **amount in controversy** exceeds **$5 million** when the **members' claims are aggregated**.

Here, the class contains over 100 members. And since unnamed plaintiffs live in each state, at least one member of that class is diverse from the defendant cell phone company **(Choice C)**. Furthermore, the amount in controversy—based on the class members' *aggregated*

damages—is $10 million. Therefore, the CAFA does apply, and the court will likely *deny* the company's motion to dismiss for lack of subject-matter jurisdiction **(Choice D)**.

(Choice A) Federal courts do *not* have exclusive jurisdiction over class actions. The reason is that state and federal courts have concurrent jurisdiction over claims arising from state or federal law unless the Constitution or Congress expressly states otherwise (not seen here).

Educational objective:

The Class Action Fairness Act gives a federal court an alternative basis for subject-matter jurisdiction over a class action when (1) the class contains 100 members, (2) at least one class member is diverse from at least one defendant, and (3) the amount in controversy of the aggregated claims exceeds $5 million.

References

- 28 U.S.C. § 1331 (federal-question jurisdiction).
- 28 U.S.C. § 1332 (diversity jurisdiction and the Class Action Fairness Act).

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A woman, domiciled in State A, entered into a contract with an art dealer, domiciled in State B, to purchase several pieces of artwork for the woman's office in State C. The parties negotiated and signed the contract in State C. The contract required the dealer to deliver the artwork to the woman's office on a specified date. The woman paid the dealer the contract price. When the specified date arrived, the dealer refused to deliver the artwork because he wanted to keep the pieces for himself. He also refused to return the woman's money. The dealer stored the artwork in a warehouse he owned in State A and returned home.

The woman sued the dealer in a federal district court in State A, seeking a declaratory judgment that she lawfully owns the artwork. The dealer filed an answer and asserted a motion to dismiss for lack of personal jurisdiction.

Should the court grant the dealer's motion?

A. No, because the artwork is located in State A.

B. No, because the dealer waived this defense by failing to assert it in a pre-answer motion.

C. Yes, because the contract was negotiated, signed, and allegedly breached in State C.

D. Yes, because the dealer is domiciled in State B.

Explanation:

Personal jurisdiction is a court's authority over the parties or property before it. The exercise of personal jurisdiction over all actions—in rem, quasi in rem, and in personam—must comport with **due process**. This occurs when the plaintiff's claim arises from the defendant's minimum contacts with the forum state and the exercise of jurisdiction complies with notions of fair play and substantial justice.

A **quasi in rem type 1 action** is brought directly against an individual to determine the named parties' interests in property located in the forum state. This includes a request for a declaratory judgment that the plaintiff, not the defendant, owns personal property in the forum state. These actions typically comport with due process because:

- **minimum contacts** almost always exist since the **action relates to** the defendant's interest in **property in the forum state*** (eg, the artwork in State A) *and*
- exercising jurisdiction complies with **fair play and substantial justice** so long as the plaintiff did **not fraudulently bring** the property **into the forum state**.

As a result, due process is satisfied in this case and the court has jurisdiction over the dealer. The dealer's motion to dismiss should therefore be denied.

*Minimum contacts almost always exist for in rem actions as well. These actions are brought directly against property to determine all persons' interests in that property (eg, condemnation).

(Choice B) A challenge to personal jurisdiction is waived if it is not asserted in a pre-answer motion or answer, whichever occurs first. Here, the dealer preserved this defense by asserting it in his answer since no pre-answer motion had been filed.

(Choices C & D) Personal jurisdiction over a defendant can exist in multiple jurisdictions. Although personal jurisdiction over the dealer likely exists in State C (where the contract was negotiated, signed, and breached) and State B (where the dealer is domiciled), personal jurisdiction in State A is still valid.

Educational objective:

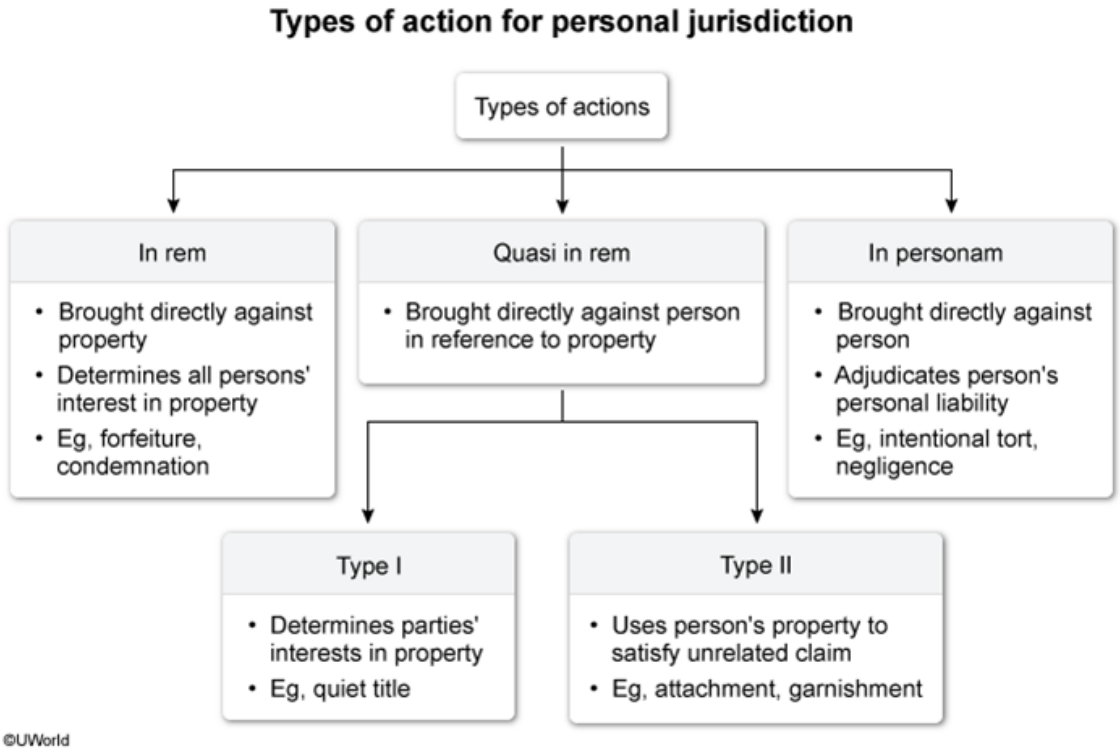
In a quasi in rem type 1 action, minimum contacts almost always exist because the action relates to the defendant's interest in property in the forum state. And the exercise of personal jurisdiction complies with fair play and substantial justice so long as the plaintiff did not fraudulently bring the property into the forum state.

References

- Shaffer v. Heitner, 433 U.S. 186, 207–08 (1977) (stating that a court generally has personal jurisdiction when property in the forum state is the source of the underlying controversy between the plaintiff and the defendant).

- Restatement (Second) of Judgments §§ 5–6 (Am. Law Inst. 1982) (explaining in personam, in rem, and quasi in rem actions).

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Two individuals, both domiciled in State A, created an unincorporated nonprofit organization and promised investors that their monetary contributions would be donated to charities focused on ending world hunger. The contributions were instead used to purchase several properties in State B. The individuals have never physically traveled to and have no other connections with State B, as the properties are approximately 100 miles away from State A.

The federal government filed a civil forfeiture action in a federal district court in State B to seize the properties located there. After being properly served with notice and the complaint, the individuals filed a motion to dismiss for lack of personal jurisdiction.

Should the court grant the motion to dismiss?

A. No, because a court where the property is being seized always has jurisdiction over the civil forfeiture action.
B. No, because the action is related to the properties located in State B.
C. Yes, because it would be unfair to hale the individuals to court in State B.
D. Yes, because the individuals lack minimum contacts with State B.

Explanation:

Personal jurisdiction refers to a court's authority over the parties or property in the action before it. There are three types of actions that can be asserted: in rem, quasi in rem, and in personam (see above image). Regardless of the type of action, a federal court's exercise of personal jurisdiction **must comport with due process**. This constitutional requirement is satisfied when:

- the plaintiff's claim arises from or is closely related to the defendant's minimum contacts with the forum state *and*
- the exercise of jurisdiction complies with notions of fair play and substantial justice.

Civil forfeiture is an **in rem action** initiated by the government to seize property used in illegal activity. For in rem actions, **minimum contacts almost always exist** since these actions relate to property located in the forum state **(Choice D)**. Therefore, the federal court has personal jurisdiction over the individuals' properties in State B and should deny their motion to dismiss.

(Choice A) A court where the property is being seized may not have jurisdiction over the civil forfeiture action in the rare instance that the exercise of jurisdiction does not comply with fair play and substantial justice. This issue typically arises if the seized property was fraudulently brought to the forum state (not seen here).

(Choice C) In civil forfeiture and other in rem actions, the property itself is the defendant. As a result, minimum contacts for personal jurisdiction depend on the location of the property and its relation to the action. Jurisdiction does not depend on the individuals' domicile or their minimum contacts with the forum state (eg, whether it would be unfair to hale them to court in the state).

Educational objective:

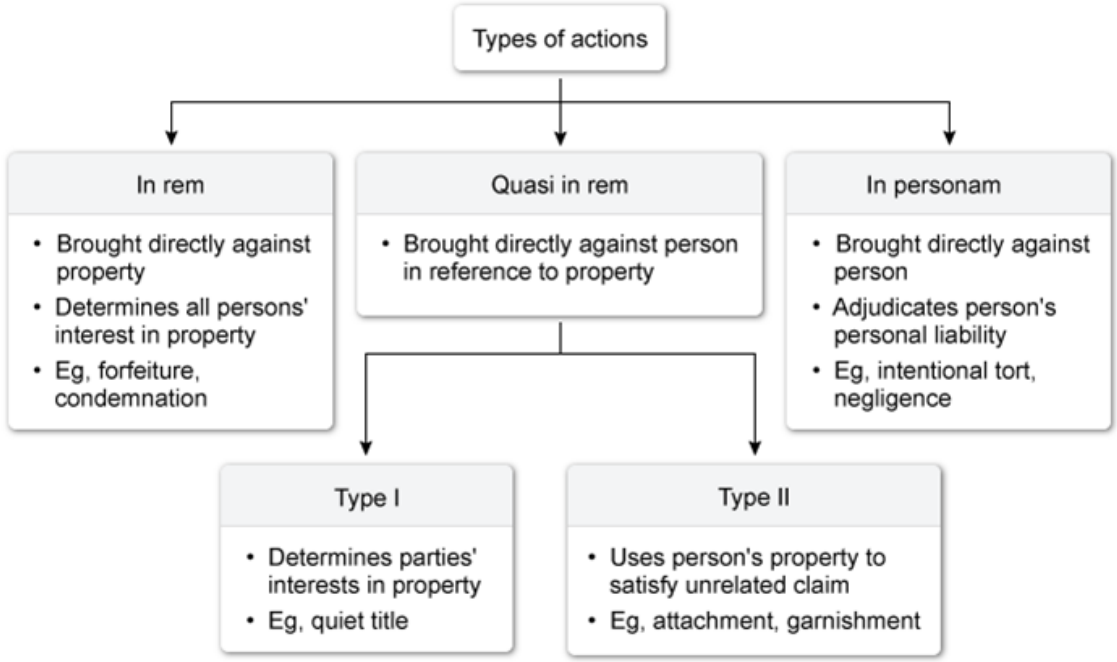
A court almost always has personal jurisdiction in an in rem action (eg, civil forfeiture action). Minimum contacts exist because an in rem action relates to property in the forum state. And exercising jurisdiction complies with fair play and substantial justice so long as the plaintiff did not fraudulently bring the property into the forum state.

References

- Shaffer v. Heitner, 433 U.S. 186, 207–08 (1977) (stating that a court generally has personal jurisdiction when property in the forum state is the source of the underlying controversy between the plaintiff and the defendant).
- Restatement (Second) of Judgments §§ 5–6 (Am. Law Inst. 1982) (explaining in personam, in rem, and quasi in rem actions).

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Types of action for personal jurisdiction



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A husband and wife were walking in their neighborhood when an out-of-state driver failed to stop at a crosswalk and struck the wife. The husband, who had jumped out of the way of the vehicle, and the driver got into an argument, which resulted in the driver punching the husband in the face.

The wife brought a negligence action against the driver in federal court to recover $185,000 for her injuries. The husband joined his wife's suit and asserted a battery claim against the driver to recover $5,000 in damages he suffered from being punched.

The driver files a pre-answer motion to dismiss the husband's claim for lack of subject-matter jurisdiction.

Should the court grant the driver's motion?

A. No, because the court has absolute discretion to exercise supplemental jurisdiction over the husband's claim.

B. No, because the husband's claim arises out of the same common nucleus of operative facts as his wife's claim.

C. Yes, because the husband's claim does not meet the amount-in-controversy requirement.

D. Yes, because the husband's claim would contaminate diversity of citizenship.

Explanation:

Subject-matter jurisdiction—ie, a federal court's authority to hear a type of dispute—exists when a dispute satisfies either:

- **federal-question jurisdiction** – the dispute arises under the U.S. Constitution, a treaty, or a federal law (not seen here) *or*
- **diversity jurisdiction** – the opposing parties are citizens of different states and the amount in controversy exceeds $75,000.

Here, the couple and the driver live in different states, but only the wife's $185,000 claim meets the amount-in-controversy requirement. Therefore, the federal court has diversity jurisdiction over the wife's claim—but not the husband's claim.

However, when a dispute involves multiple claims—and only some fall within the court's original subject-matter jurisdiction (as seen here)—the court may exercise **supplemental jurisdiction** to hear the remaining claims. This is generally permitted when these supplemental claims share a **common nucleus of operative facts** with a claim within the court's original subject-matter jurisdiction. But when the **original claim** is based solely on **diversity jurisdiction**, supplemental jurisdiction is ***not* permitted** if a supplemental claim:

- would **contaminate diversity** of citizenship *or*
- seeks **$75,000 or less** and is **made by a plaintiff** (1) against parties added through joinder, intervention, or impleader or (2) seeking to join through ***compulsory* joinder** or intervention **(Choice A)**.

Here, the couple's claims arise from the same failure to stop. The wife's claim is based on diversity jurisdiction, but the husband's claim would not contaminate diversity of citizenship since he and the driver are from different states **(Choice D)**. And though the husband's claim seeks only $5,000, it is asserted against the *original* defendant and the husband *permissibly* joined the suit. Therefore, the court has supplemental jurisdiction over his claim, and the driver's motion to dismiss should be denied **(Choice C)**.

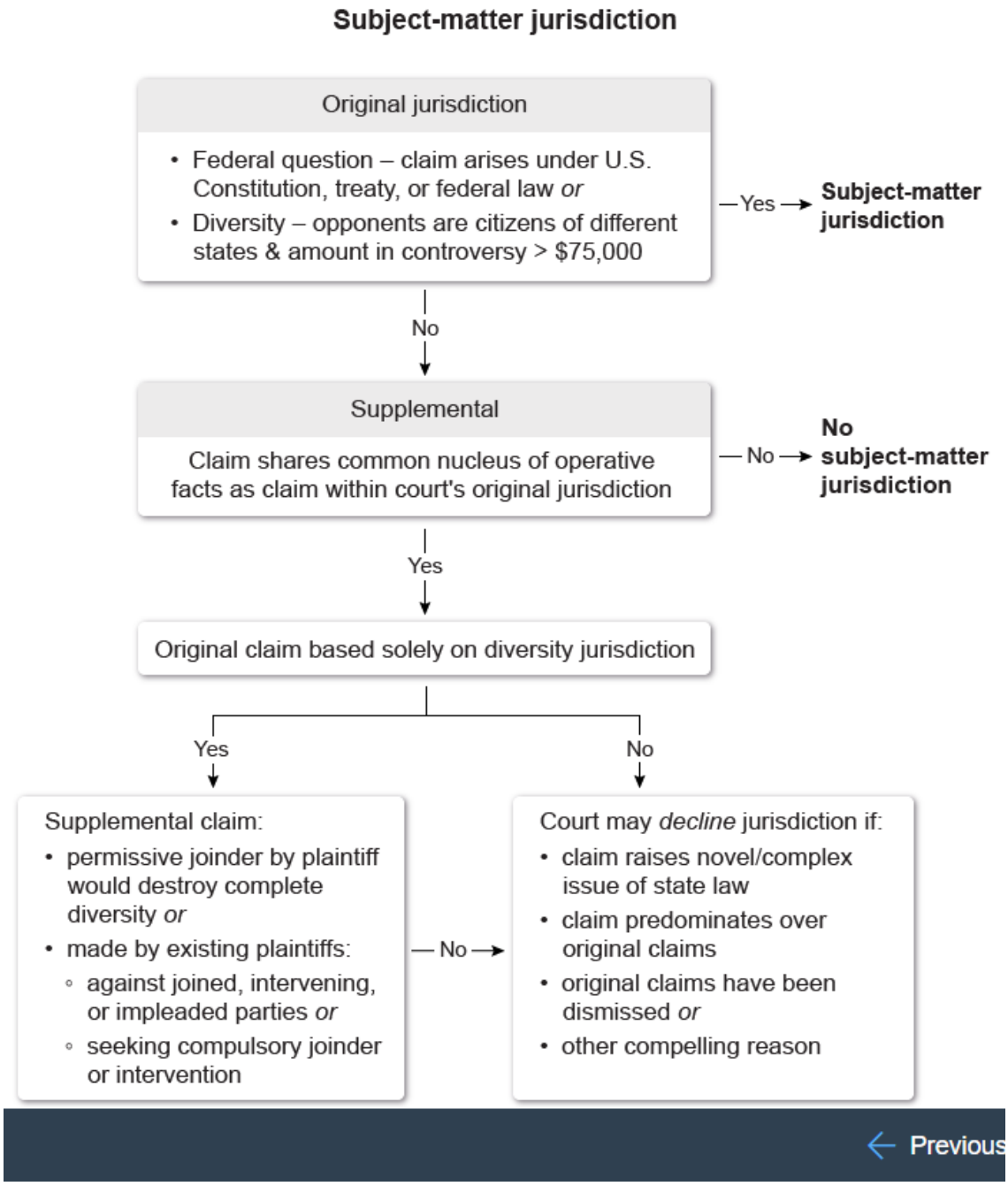
Educational objective:

Supplemental jurisdiction is not permitted when an original claim satisfies diversity jurisdiction and another claim (1) would contaminate diversity of citizenship or (2) seeks $75,000 or less and is made by a plaintiff against a joining, intervening, or impleaded party OR a plaintiff seeking to join through compulsory joinder or intervention.

References

- 28 U.S.C. § 1367 (supplemental jurisdiction).
- Exxon Mobil Corp. v. Allapattah Servs., 545 U.S. 546, 557–60 (2005) (explaining supplemental jurisdiction).

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A poet living in State A sued a publisher from State B in a federal court in State B for failing to pay the poet $150,000 in royalties. The publisher joined an agent to the suit through third-party practice, claiming that the agent sold the poems to the publisher without disclosing that the poet was the true author.

The federal court in State B is located within 50 miles of the State C border. The agent was served with process at her home in State C, which is located 75 miles from the federal court. The agent filed a motion to dismiss the publisher's third-party complaint for lack of personal jurisdiction.

State B has a long-arm statute that gives its courts personal jurisdiction over out-of-state defendants that are served with process within its borders.

Is the court likely to grant the agent's motion to dismiss?

A. No, because a court does not need personal jurisdiction over an impleaded party.

B. No, because the court has personal jurisdiction over the agent.

C. Yes, because personal jurisdiction cannot be established through the State B long-arm statute.

D. Yes, because the publisher must file a separate lawsuit against the agent in State C.

Explanation:

Due process requires that a court have **personal jurisdiction** over *all* the parties in a dispute **(Choice A)**. Federal courts have the same jurisdictional reach as the courts of the state in which they sit. Additionally, Federal Rule of Civil Procedure (FRCP) 4(k) provides a special rule—the "**100-mile bulge rule**"—for federal courts to acquire personal jurisdiction over a party:

- added to the suit through **impleader** (ie, third-party practice) or **required joinder** *and*
- served with process **within 100 miles of the federal court** where the suit is pending—even if the party is served in another state.*

Here, the publisher joined the agent to the suit through third-party practice. The agent was served with process at her home in State C, which is 75 miles from the federal court in State B. As a result, the "100-mile bulge rule" establishes personal jurisdiction over the agent, and the court will likely deny her motion to dismiss.

*FRCP 4(k) contains another special rule granting a federal court personal jurisdiction over a defendant served with process outside the forum state when (1) the plaintiff's claim arises from federal law, (2) the defendant is not subject to personal jurisdiction in any state, and (3) the exercise of jurisdiction complies with the U.S. Constitution and federal laws.

(Choice C) A long-arm statute is a state statute that gives courts within the state (including federal courts) personal jurisdiction over nonresident defendants. But federal courts can also establish personal jurisdiction in other ways—eg, through the "100-mile bulge rule" (as seen here).

(Choice D) Since the federal court in State B has personal jurisdiction over the agent through the 100-mile bulge rule, the publisher need not file a separate suit in State C.

Educational objective:

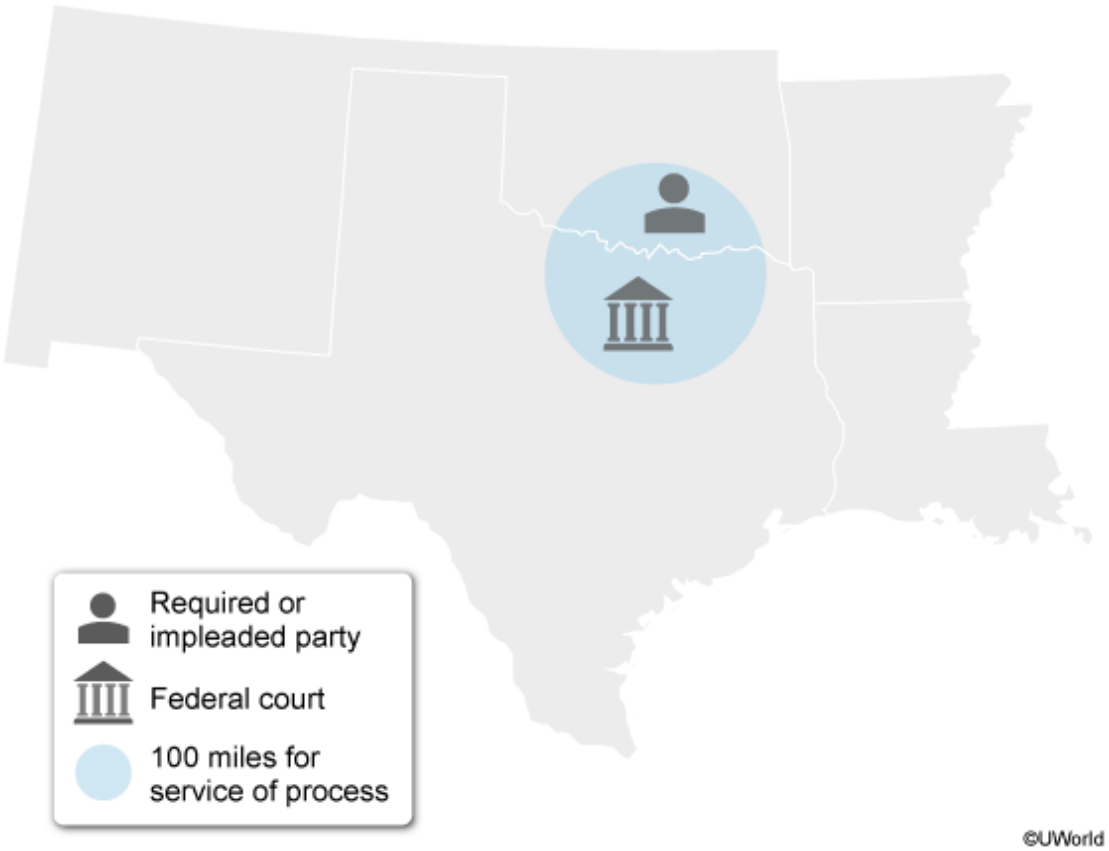
The "100-mile bulge rule" establishes personal jurisdiction over a party (1) added to the suit through impleader or required joinder *and* (2) served with process within 100 miles of the federal court where the suit is pending.

References

- Fed. R. Civ. P. 4(k)(1)(B) (100-mile bulge rule).

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Personal jurisdiction through 100-mile bulge rule



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A taxpayer alleged that she overpaid her federal taxes and attempted on numerous occasions to get a refund from the Internal Revenue Service (IRS). An IRS agent refused to grant the taxpayer a refund without auditing her tax returns. The taxpayer, after exhausting all administrative remedies, sued the agent in his individual capacity in federal court to recover damages pursuant to a federal statute permitting this type of action. The agent was personally served with process at his residence 30 days after the complaint was filed. The United States government also received process.

Can the agent successfully argue that service of process was improper?

A. No, because the agent was personally served at his residence.

B. No, because the taxpayer still had time to cure any defect with service of process.

C. Yes, because the agent, as a government employee, cannot be served with process at his residence.

D. Yes, because the taxpayer should have served the IRS instead of the agent.

Explanation:

In most lawsuits, only the defendant(s) named in the plaintiff's complaint need to be served with process. However, FRCP 4(i) provides special service rules when the plaintiff sues a **federal government officer or employee** for actions related to his/her government duties. The requisite service of process depends on whether the officer or employee is sued in an:

- official capacity – when recovery is sought from the U.S. government's treasury *or*
- individual capacity – when recovery is sought from the officer's or employee's own pocket.

When the officer or employee is **sued in an individual capacity**, the officer or employee must be **served with process** pursuant to the rules for serving an individual—eg, personal delivery of process. If these rules are not followed, then the action should be dismissed without prejudice. Process must also be **served on the U.S. government**. If it is not, then the court must allow the plaintiff a **reasonable time to cure** that failure.

Here, the taxpayer sued the IRS agent in his individual capacity for actions related to his government employment. The agent was properly served with process since it was personally delivered to him at his residence **(Choice C)**. And since the taxpayer also served the U.S. government, the agent cannot successfully argue that service of process was improper.

(Choice B) Process was properly served here. But had the taxpayer failed to serve the U.S. government, she would have had a reasonable amount of time to cure that failure—not *any* defect with service of process.

(Choice D) A federal agency must be served with process when the agency is sued or a lawsuit challenges the agency's orders—not when, as here, the agency's officer or employee is sued in an individual capacity.

Educational objective:

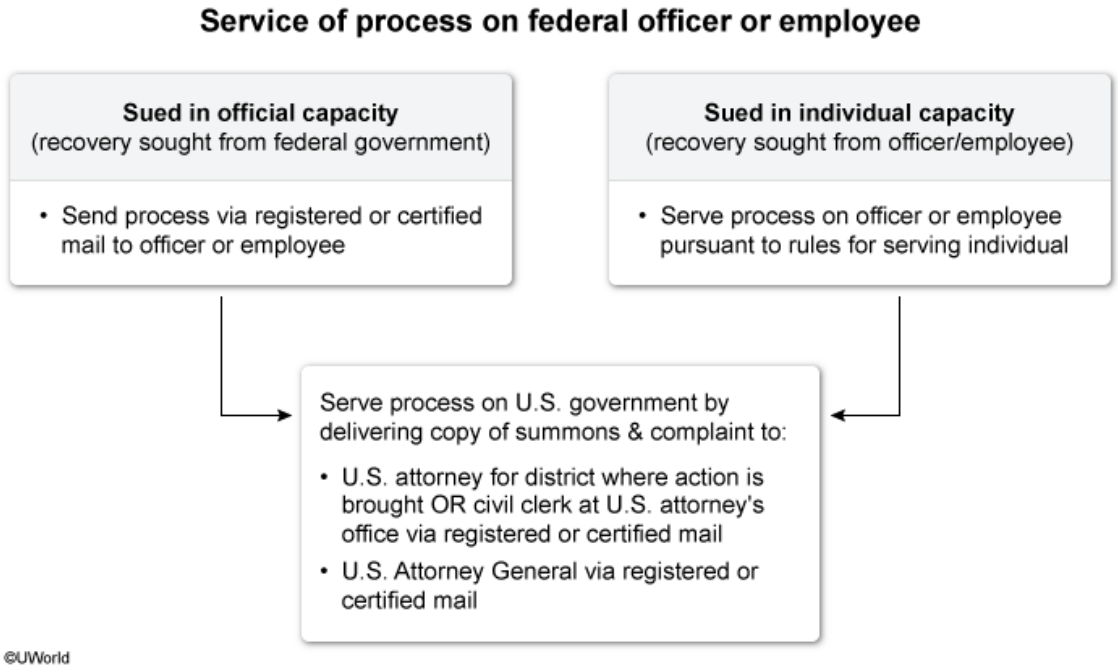
A federal officer or employee sued in an individual capacity for actions related to his/her government duties must be served with process pursuant to the rules for serving an individual. Process must also be served on the U.S. government, but if the plaintiff fails to do so, the court must allow a reasonable time to cure that failure.

FRCP = Federal Rule of Civil Procedure.

References

- Fed. R. Civ. P. 4(i)(2)–(3) (service of process on federal officer or employee).
- Kentucky v. Graham, 473 U.S. 159, 165–66 (1985) (explaining the difference between suing a federal employee in his/her individual and official capacities).

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A man domiciled in State A sued a corporation in a federal court in State A for violating a federal law that prohibits collaboration with terror organizations. The man alleged that the corporation's South American subsidiary provided funds to a notorious terror group that carried out an attack in South America, resulting in the deaths of the man's parents. The man claims that the corporation is vicariously liable for the subsidiary's actions.

The corporation is incorporated and has its headquarters in Europe. The corporation also has a United States subsidiary that maintains an office in State A.

The corporation has moved to dismiss the lawsuit for lack of personal jurisdiction.

How will the court likely rule on the corporation's motion to dismiss?

A. Deny the motion, because general jurisdiction exists in State A.

B. Deny the motion, because specific jurisdiction exists in State A.

C. Grant the motion, because foreign corporations are never subject to personal jurisdiction in the United States.

D. Grant the motion, because neither specific nor general jurisdiction exists in State A.

Explanation:

Courts must have **personal jurisdiction** over the parties to satisfy the constitutional guarantee of due process. Personal jurisdiction can be established through a defendant's consent or by serving process while the defendant is physically present in the state where the court is located (ie, the forum state)—not seen here. Personal jurisdiction can also be established through:

- **specific jurisdiction** – when the plaintiff's **claim arises from or is closely related to** the defendant's **minimum contacts** with the forum state such that the exercise of jurisdiction would not offend notions of fair play and substantial justice *or*

- **general jurisdiction** – when the defendant has **continuous and systematic contacts** with the forum state that are so substantial that the defendant is **essentially "at home"** there (ie, the defendant's domicile).

A **corporation** is domiciled in the state where it is **incorporated** and where it maintains its principal place of business (eg, its headquarters). However, the location and activities of a corporation's subsidiary have **no effect** on its domicile.

Here, the State A federal court lacks *specific* jurisdiction since the claim arises from and is closely related to the corporation's contacts with South America—where its subsidiary allegedly funded the terror group and the attack occurred **(Choice B)**. The State A federal court also lacks *general* jurisdiction because the corporation is domiciled in Europe—where it is incorporated and maintains its headquarters **(Choice A)**. Therefore, the court will likely grant the corporation's motion to dismiss.

(Choice C) Foreign corporations *can* be subject to personal jurisdiction in the United States—eg, through consent or minimum contacts.

Educational objective:

General jurisdiction exists when a defendant has continuous and systematic contacts with the forum state that are so substantial that the defendant is essentially "at home" there. A corporation is at home (ie, domiciled) in the state where it is incorporated and maintains its principal place of business—not where its subsidiary has an office.

References

- Bristol-Myers Squibb Co. v. Super. Ct. of Cal., 137 S. Ct. 1773, 1780–82 (2017) (explaining the requirements for specific jurisdiction).

- Daimler AG v. Bauman, 571 U.S. 117, 138–39 (2014) (holding that a subsidiary's activities do not subject a parent corporation to general jurisdiction).

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Grounds for personal jurisdiction

Specific jurisdiction
(minimum contacts)



General jurisdiction
(continuous & systematic contacts)

Person
(state of residence)



Corporation
(state of incorporation)



(headquarters)

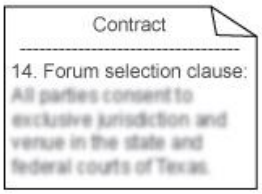


Other grounds

Service of process



Consent



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A custom car owner domiciled in State A agreed to drive across the country to State B to deliver a car to a buyer pursuant to the contract between the two parties. The buyer had agreed to purchase the car after seeing the owner's advertisement for buying and selling used, custom cars on a website that was accessible across the nation.

As the owner drove toward State B, he got into a car accident in State C. The driver of the other car was domiciled in State D and was vacationing in State C. The owner did not suffer any physical harm, but the other driver was taken to the nearest hospital to be treated for her injuries. After being released from the hospital, the driver returned home to State D, where she continues to receive treatment for her injuries.

Three months after the accident, the driver sued the owner in a federal district court in State D to recover $1 million for the personal injuries she suffered. After the owner was properly served with process in State A, he immediately moved to dismiss the suit for lack of personal jurisdiction.

State D has a long-arm statute that gives its courts personal jurisdiction to the full extent allowed under the Fourteenth Amendment due process clause.

How should the federal court rule on the owner's motion to dismiss?

A. Deny the motion, because it is foreseeable that vacationers from State D will drive in State C.

B. Deny the motion, because the owner's website was accessible in State D.

C. Grant the motion, because the claim does not arise from and is not closely related to the owner's minimum contacts with State D.

D. Grant the motion, because the claim may only be brought in a court located in State C.

Explanation:

Personal jurisdiction

(court's authority over defendant)

Type	Requirements
Service of process	• Serving process on defendant voluntarily in state where court is located (ie, forum state)
Consent	• Express – contractual agreement (eg, forum-selection clause) • Implied – engaging in specific activity that state has substantial interest in regulating (eg, driving on public roads) • Waiver – untimely objection to personal jurisdiction • Appearance – voluntarily appearing in court to litigate merits of case
Specific (case-linked)	• Plaintiff's claim arises from or is closely related to defendant's minimum contacts (ie, purposeful availment) with forum state AND • Exercise of jurisdiction complies with notions of fair play & substantial justice
General (all-purpose)	• Defendant has continuous & systematic contacts with forum state so substantial that defendant is essentially "at home" (ie, defendant's domicile)

A court must have **personal jurisdiction**—ie, authority over the parties (or property) before the court—to hear a case. A federal court has the same personal jurisdiction as the courts of the state in which it is located (ie, the forum state). If a defendant has not consented to a court's personal jurisdiction or been served with process within the forum state, personal jurisdiction must be established through:

- **general jurisdiction** – when the defendant has **continuous and systematic contacts** with the forum state that are so substantial that the defendant is **essentially "at home"** (ie, **where a defendant is** domiciled) *or*
- **specific jurisdiction** – when the plaintiff's claim arises from or is closely related to the defendant's **minimum contacts** with the forum state and the exercise of jurisdiction would comply with notions of **fair play and substantial justice**.

Here, the federal court in State D lacks general jurisdiction over the owner since he is domiciled in State A. The court also lacks specific jurisdiction because the driver's claim arises from and is closely related to the owner's minimum contacts with State C (where the

accident occurred)—not State D (the forum state). Therefore, the court should grant the owner's motion to dismiss.

(Choice A) Whether it is foreseeable that drivers from other states (including State D) will drive in *State C* is irrelevant since personal jurisdiction turns on the defendant's contacts with the forum state—*State D*.

(Choice B) The driver's claim arises out of the car accident in State C—not the owner's nationwide, online advertisement that was accessible in State D.

(Choice D) A court in State C could have exercised *specific* jurisdiction over the claim since the accident occurred there. But a court in State A could also have exercised *general* jurisdiction since the owner is domiciled there.

Educational objective:

Specific personal jurisdiction exists when (1) the plaintiff's claim arises from or is closely related to the defendant's minimum contacts with the forum state and (2) the exercise of jurisdiction would comply with notions of fair play and substantial justice.

References

- Bristol-Myers Squibb Co. v. Super. Ct. of Cal., 137 S. Ct. 1773, 1780–82 (2017) (explaining the minimum contacts required for specific jurisdiction).
- Goodyear Dunlop Tires Operations, S.A. v. Brown, 564 U.S. 915, 926–29 (2011) (discussing the continuous and systematic contacts required for general jurisdiction).

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A woman domiciled in a foreign country brought a wrongful discharge action in federal court in State A against her former employer. The employer is incorporated in State A and headquartered in State B. The woman had worked at the employer's office in the foreign country. Her on-site manager, who had sole discretion over personnel matters, had made the decision to discharge her. The manager has now retired and continues to live in the foreign country.

Under the employment laws of the foreign country, if the woman succeeds in her action, her damages would be limited to two years' salary. If the woman succeeds in her action under State A employment law, her damages could be much greater and could include emotional distress and punitive damages.

The employer filed a motion to dismiss the action for insufficient service of process, which the court denied. The employer then moved to dismiss the action for forum non conveniens.

Is the court likely to dismiss the action for forum non conveniens?

A. No, because the employer waived its right to challenge the forum by failing to include that challenge in its first motion to dismiss.

B. No, because the remedies available to the woman under the foreign country's laws are less favorable than those available under State A law.

C. Yes, because the foreign country is the more appropriate forum given that the discharge occurred there and the evidence is located there.

D. Yes, because the woman is a foreign citizen and therefore her choice of forum is not entitled to deference.

Explanation:

Doctrine of forum non conveniens

Definition	• Power of federal court to dismiss or stay lawsuit when state or foreign judicial system is better suited to hear case
Private interest factors	• Accessibility of evidence • Availability of witnesses • Burden on defendant • Enforceability of judgment
Public interest factors	• Ability to comprehend substantive law • Choice of law • Interest of jury/community • Functionality of foreign judicial system

The doctrine of **forum non conveniens** allows a federal court to **dismiss or stay** a lawsuit if a **state or foreign judicial system** provides a **more convenient forum** to hear the case. In making this determination, the federal court must weigh several **private and public interest factors** (see table above)—none of which are determinative on their own.

Here, one factor that weighs *against* dismissing the woman's action is that the remedies available under the foreign country's laws are less favorable than those available under State A law. However, the following factors weigh *in favor* of dismissal:

- The foreign country has a heightened interest in having its courts adjudicate the action since the events occurred and the parties are located there.
- There is only a slight burden on the employer to litigate in the foreign country because it has offices there.
- The witnesses are readily available in the foreign country since the woman is domiciled there and the manager who discharged her lives there.
- The evidence is more easily accessible in the foreign country since the events leading to the discharge occurred there.

Therefore, the federal court is likely to dismiss the action for forum non conveniens **(Choice B)**.

(Choice A) A defendant waives certain defenses that are not asserted in a pre-answer motion or an answer, whichever occurs first. Unlike challenging the forum based on improper venue, forum non conveniens is not one of these waivable defenses.

(Choice D) A federal court generally gives less deference to a foreign plaintiff's choice of forum. However, the fact that the woman is a foreign citizen, by itself, does not determine whether the court should dismiss for forum non conveniens. Instead, the court must weigh private and public interest factors to determine the most convenient forum for the parties.

Educational objective:

Under the doctrine of forum non conveniens, a federal court can dismiss or stay a lawsuit if a state or foreign jurisdiction is a more convenient forum. To make this decision, the court will examine several factors, including the accessibility of evidence and witnesses.

References

- Piper Aircraft Co. v. Reyno, 454 U.S. 235, 257–60 (1981) (explaining how a court weighs private and public factors to make a forum non conveniens determination).

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A plaintiff domiciled in State A brought a wrongful death action in a federal court in State A against a State B parent corporation and one of its foreign subsidiaries. The plaintiff alleged that a tire manufactured by the subsidiary in Europe had caused his wife's death in an automobile accident in Europe.

The parent corporation does significant business throughout the United States, including in State A. The subsidiary conducts no business and has no employees or bank accounts in State A. The subsidiary manufactures its tires for the European market, but 2% of its tires are distributed in State A by the parent corporation. The subsidiary has moved to dismiss for lack of personal jurisdiction.

Should the court grant the subsidiary's motion?

A. No, because 2% of the subsidiary's tires entered State A through the stream of commerce.

B. No, because of the general personal jurisdiction established over the parent corporation.

C. Yes, because the accident did not occur in the United States.

D. Yes, because the subsidiary lacks continuous, systematic, and substantial contacts with State A.

Explanation:

Personal jurisdiction

(court's authority over defendant)

Type	Requirements
Service of process	• Serving process on defendant voluntarily in state where court is located (ie, forum state)
Consent	• Express – contractual agreement (eg, forum-selection clause) • Implied – engaging in specific activity that state has substantial interest in regulating (eg, driving on public roads) • Waiver – untimely objection to personal jurisdiction • Appearance – voluntarily appearing in court to litigate merits of case
Specific (case-linked)	• Plaintiff's claim arises from or is closely related to defendant's minimum contacts (ie, purposeful availment) with forum state AND • Exercise of jurisdiction complies with notions of fair play & substantial justice
General (all-purpose)	• Defendant has continuous & systematic contacts with forum state so substantial that defendant is essentially "at home" (ie, defendant's domicile)

Personal jurisdiction is established when the defendant consents or is served with process in the forum state (not seen here). It can also be established through specific or general jurisdiction. **Specific jurisdiction** exists when:

- the plaintiff's claim arises from or is closely related to the defendant's **minimum contacts** with the forum state *and*
- the exercise of jurisdiction complies with notions of fair play and substantial justice.

A defendant manufacturer (eg, the subsidiary) has minimum contacts with the forum state if it places a product in the **stream of commerce *plus* purposefully targets** that state. Here, 2% of the subsidiary's tires entered State A through the stream of commerce. But the subsidiary did not purposefully target State A because it did not conduct business or have employees or bank accounts there. Therefore, the court lacks specific jurisdiction **(Choice A)**.

In contrast, **general jurisdiction** exists when the defendant has **continuous and systematic contacts** with the forum state that are so substantial that the defendant is essentially "at home" (ie, **domiciled**) there. Here, the subsidiary has no such contacts with

State A because it is domiciled in Europe. Therefore, the court also lacks general jurisdiction over the subsidiary, and it should grant the motion to dismiss for lack of personal jurisdiction.

(Choice B) The court's general jurisdiction over the parent corporation would not give it jurisdiction over the subsidiary unless the subsidiary was acting as the parent corporation's agent or alter ego. Here, the subsidiary did not act as an agent or alter ego because its business (manufacturing tires) is separate from the parent corporation's (distributing tires).

(Choice C) Although the accident occurred outside the United States, the court could have had general jurisdiction over the subsidiary had it had continuous and systematic contacts with State A.

Educational objective:

General jurisdiction over a defendant exists when the defendant has continuous and systematic contacts with the forum state that are so substantial that the defendant is essentially "at home" (ie, domiciled) there.

References

- Bristol-Myers Squibb Co. v. Super. Ct. of Cal., 137 S. Ct. 1773, 1780–82 (2017) (explaining the minimum contacts required for specific jurisdiction).
- Goodyear Dunlop Tires Operations, S.A. v. Brown, 564 U.S. 915, 926–29 (2011) (discussing the continuous and systematic business contacts required for general jurisdiction).

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An investor from State A sued a company from State B in a federal court. The investor's complaint asserted a misrepresentation claim for $40,000 and a breach-of-contract claim for $40,000. The claims arose from unrelated investments that the investor made in the company.

The company moved to dismiss the complaint for lack of subject-matter jurisdiction.

Is the court likely to grant the motion?

A. No, because original jurisdiction exists over the claims.

B. No, because supplemental jurisdiction exists over the claims.

C. Yes, because neither claim independently satisfies the amount-in-controversy requirement.

D. Yes, because the claims arose from unrelated investments.

Explanation:

Amount in controversy

(aggregation of claims)

Procedural posture	Claims asserted	Outcome
One π v. one Δ	• Negligence – $40K • Battery – $60K	• Aggregation allowed • Amount in controversy = $100K
One π v. multiple Δs	• Negligence against Δ1 – $40K • Battery against Δ2 – $60K	• Aggregation *not* allowed unless Δs jointly liable • Amounts in controversy = $40K & $60K
Multiple πs v. one Δ	• π1 asserts negligence – $40K • π2 asserts battery – $60K	• Aggregation *not* allowed unless πs enforcing common or undivided interest • Amounts in controversy = $40K & $60K
	• π1 asserts negligence – $40K • π1 asserts breach of contract – $40K • π2 asserts battery – $60K	• Aggregation allowed for π1's claims • Aggregation *not* allowed for π2's claim • Amounts in controversy = $80K & $60K

π = plaintiff; **Δ** = defendant.

A federal court has the authority to hear a case or controversy if it falls within the court's **original subject-matter jurisdiction**. Original jurisdiction is established through either:

- federal-question jurisdiction – when a claim arises under the U.S. Constitution, a treaty, or federal law (not seen here) *or*
- **diversity jurisdiction** – when the **opposing parties** are citizens of different states (ie, **are diverse**) and the **amount in controversy exceeds $75,000**.

The amount in controversy is the amount demanded in the plaintiff's complaint, excluding interest and costs. To meet the required amount, a **single plaintiff** can **aggregate** (ie, combine) any claims asserted against a **single defendant**. This is true even if those claims are legally and/or factually unrelated—eg, the investor's claims that arose from unrelated investments **(Choice D)**.*

Here, the investor and the company are diverse since they are from States A and B, respectively. Neither of the investor's claims independently exceeds $75,000. But since the claims are asserted against a single defendant, they can be aggregated to $80,000 to satisfy the amount-in-controversy requirement **(Choice C)**. As a result, original jurisdiction exists over the claims, and the federal court will likely deny the company's motion to dismiss.

*FRCP 42 allows a federal court to order separate trials of related and/or unrelated claims for convenience, to avoid prejudice, or to expedite and economize.

(Choice B) A federal court may exercise supplemental jurisdiction to hear certain claims that do not arise under the court's original jurisdiction—ie, federal-question or diversity jurisdiction. But here, supplemental jurisdiction need not be analyzed since the court has diversity jurisdiction over the aggregated claims.

Educational objective:

To meet the amount-in-controversy requirement for diversity jurisdiction (excess of $75,000), a single plaintiff can aggregate (ie, combine) his/her claims against a single defendant—even if those claims are unrelated.

References

- 28 U.S.C. § 1332 (diversity jurisdiction).

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A plane crashed in State C, killing all 120 passengers on board. The deceased passengers were domiciled in States A, B, and C. The plane was owned by an airline incorporated in State A, headquartered in State B, and licensed to do business in State C. The plane's manufacturer is incorporated, headquartered, and licensed to do business in State C.

The estates of the deceased passengers brought an action against the airline and the manufacturer in a State B federal court. The estates assert wrongful death claims on behalf of the deceased passengers to recover $120 million in damages. The airline and the manufacturer have moved to dismiss for lack of subject-matter jurisdiction.

Should the court grant the defendants' motion?

A. No, because the court has original jurisdiction under the Multiparty, Multiforum Trial Jurisdiction Act.

B. No, because the court may exercise supplemental jurisdiction over the claims.

C. Yes, because the crash giving rise to the dispute occurred in State C.

D. Yes, because the parties lack complete diversity of citizenship.

Explanation:

This case does not present a federal question, so **original subject-matter jurisdiction** must be established through **diversity jurisdiction**. This requires an amount in controversy exceeding $75,000 and *complete* diversity of citizenship. The diversity requirement is typically met if the opposing parties are citizens of different states (not seen here).

However, the **Multiparty, Multiforum Trial Jurisdiction Act** (MMTJA) relaxes these requirements for cases arising from an accident in which at least 75 people died at a discrete location. Under this act, original jurisdiction exists when there is ***minimal* diversity**—ie, at least one plaintiff and one defendant are citizens of different states—and one of the following is established:

- A **defendant resides* in a different state from** where a substantial part of the **accident occurred**, even if that defendant also resides in the same state as the accident (here, the airline resides in States A, B, and C, while the crash occurred in State C)
- Any **two defendants reside in different states**, even if the defendants also reside in the same state (here, the airline resides in States A, B, and C, while the manufacturer resides in State C)
- Substantial **parts of the accident** occurred **in different states** (not seen here)

Since the MMTJA requirements are satisfied and there is no basis for abstention (see image above), the court has original subject-matter jurisdiction over this minimally diverse action **(Choice D)**. Therefore, the court should deny the defendants' motion to dismiss.

*For purposes of the MMTJA, a corporation is deemed to reside in any state(s) in which it is incorporated, licensed to do business, or doing business.

(Choice B) When a dispute involves multiple claims and only some fall within the court's original subject-matter jurisdiction, supplemental jurisdiction may exist over the remaining claims. Here, all the claims fall within the court's original subject-matter jurisdiction, so supplemental jurisdiction is irrelevant.

(Choice C) The fact that the crash occurred in State C may provide a basis to dismiss for improper venue but not for lack of subject-matter jurisdiction.

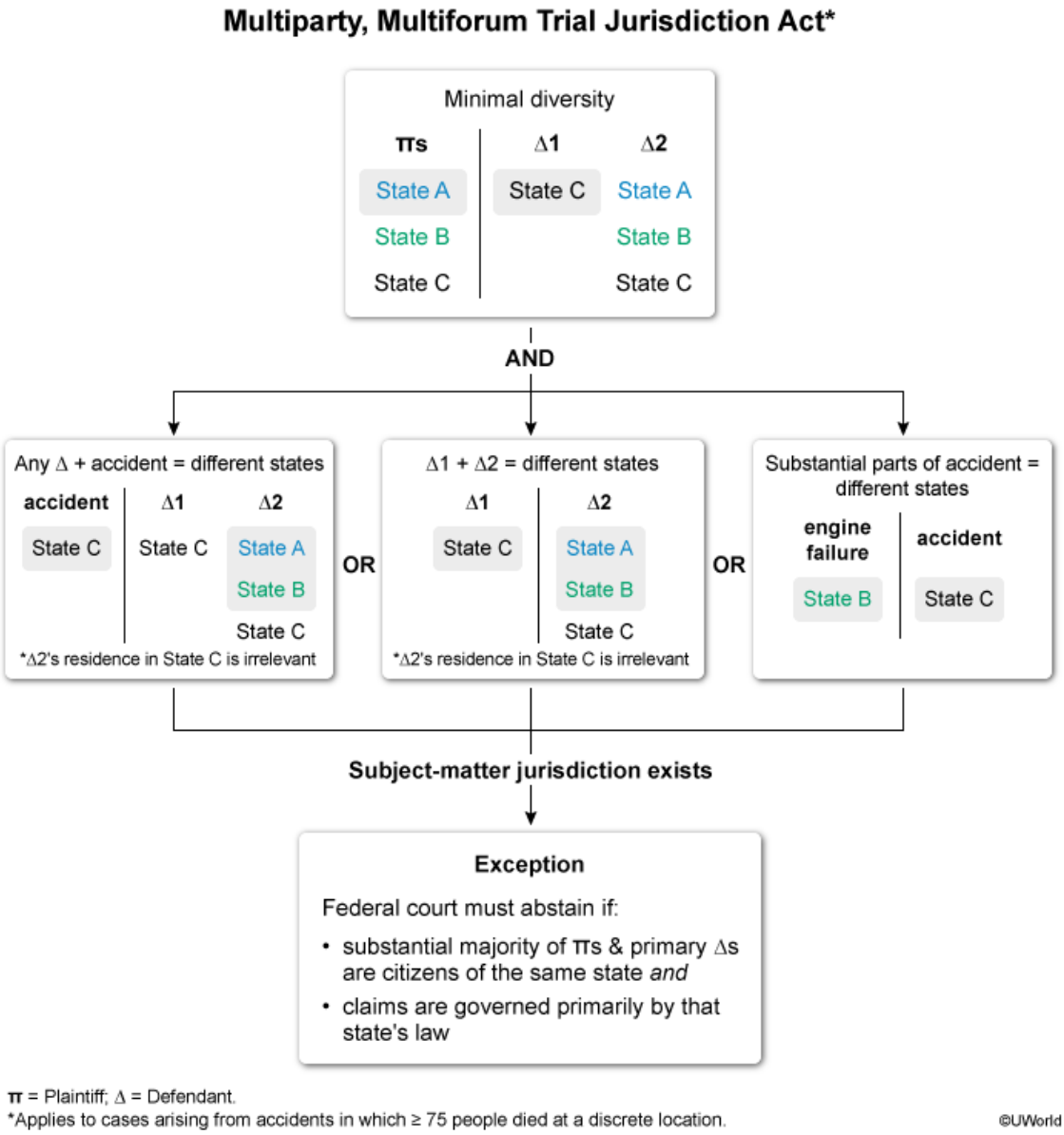
Educational objective:

A federal court has original subject-matter jurisdiction over an action in which *minimal* diversity of citizenship exists when the requirements of the Multiparty, Multiforum Trial Jurisdiction Act (MMTJA) are satisfied.

References

- 28 U.S.C. §1369 (Multiparty, Multiforum Trial Jurisdiction Act).

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A husband and wife were married in State A and lived there for 10 years before separating. One month later, the wife permanently moved to State B and immediately filed for divorce in a federal court in State B. The wife claims that she is entitled to $300,000 in alimony. The husband appeared in the action and has filed a motion to dismiss for lack of subject-matter jurisdiction.

Should the court grant the motion?

A. No, because the court has diversity jurisdiction over the case.

B. No, because the husband waived a subject-matter jurisdiction challenge by appearing in the case.

C. Yes, because state courts have exclusive jurisdiction over this type of action.

D. Yes, because the wife did not establish a domicile in State B.

Explanation:

Federal diversity jurisdiction exceptions

Federal courts cannot exercise diversity jurisdiction over cases involving:

- probate matters (eg, authenticating wills, administering estates) *or*
- domestic relations (eg, issuing divorce, alimony, or child-custody decrees)

A federal court must possess **subject-matter jurisdiction** to hear the merits of a case before it. Subject-matter jurisdiction can be established through either:

- **federal-question jurisdiction** – when a claim arises under the U.S. Constitution, a treaty, or federal law (not seen here) *or*
- **diversity jurisdiction** – when the amount in controversy exceeds $75,000 and the opposing parties are citizens of different states.

Here, diversity jurisdiction is established since the wife claims that she is entitled to $300,000 and the parties are citizens of different states (States A and B). However, federal courts **cannot exercise diversity jurisdiction** over cases involving **probate matters** or **domestic relations**. Instead, state courts have exclusive jurisdiction over these types of actions **(Choice A)**.* Therefore, the husband's motion to dismiss should be granted.

*The probate and domestic-relations exceptions exist because states have a strong interest in these substantive areas and are more qualified to deal with the constant judicial involvement these types of cases require.

(Choice B) A challenge to subject-matter jurisdiction is never waived. However, a challenge to personal jurisdiction is waived if the defendant has voluntarily appeared in the case, unless it was a special appearance for the express purpose of objecting to personal jurisdiction.

(Choice D) An individual is a citizen of the state where he/she is domiciled—ie, physically present with the intent to remain indefinitely. Since the wife permanently moved to State B, she has established her domicile there.

Educational objective:

Federal courts cannot exercise diversity jurisdiction over cases involving probate matters or domestic relations. Instead, state courts have exclusive jurisdiction over these types of cases.

References

- Ankenbrandt v. Richards, 504 U.S. 689, 703–04 (1992) (explaining the domestic-relations exception to diversity jurisdiction).

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A man and a woman bicycling on a road were both struck by a driver who was texting on his phone. The man and the woman filed a negligence action in federal district court. The man, who suffered severe injuries, claimed $80,000 in medical damages. The woman suffered minor injuries and requested $2,000 in medical damages. The man and the woman are citizens of State A, and the driver is a citizen of State B. The driver moved to dismiss the woman's claim for lack of subject-matter jurisdiction.

Should the driver's motion be granted?

A. No, because the court has absolute discretion to exercise supplemental jurisdiction over the woman's claim.

B. No, because the woman's claim arises out of a common nucleus of operative facts with the man's claim.

C. Yes, because the woman's claim does not meet the amount-in-controversy requirement.

D. Yes, because the woman's claim would contaminate diversity of citizenship.

Explanation:

Federal district courts have **original subject-matter jurisdiction** over disputes that fall within either:

- **federal-question jurisdiction** – the dispute arises under the U.S. Constitution, a federal treaty, or a federal law (not seen here) *or*
- **diversity jurisdiction** – the opposing parties are citizens of different states and the amount in controversy exceeds $75,000.

Here, the man and the woman (State A citizens) are diverse from the driver (State B citizen), but only the man's $80,000 claim meets the amount-in-controversy requirement **(Choice C)**.* Therefore, the federal court has diversity jurisdiction over the man's claim—but not the woman's claim.

However, when a dispute involves multiple claims and only some fall within the court's original subject-matter jurisdiction (as seen here), the court may exercise **supplemental jurisdiction** over the other claims **(Choice A)**. This is generally permitted when these supplemental claims share a **common nucleus of operative facts** (here, the automobile accident) with a **claim within** the court's **original subject-matter jurisdiction**. But when that claim is based solely on **diversity jurisdiction**, supplemental jurisdiction is ***not* permitted** if a supplemental claim:

- would **contaminate diversity** of citizenship—not seen here because the woman and the driver are citizens of different states **(Choice D)**—*or*
- seeks **$75,000 or less** and is **made by a plaintiff** (1) against parties added through joinder, intervention, or impleader or (2) **seeking to join** through compulsory joinder or intervention—neither of which is seen here.

Therefore, the court has supplemental jurisdiction over the woman's claim, and the driver's motion to dismiss that claim should be denied.

*The woman cannot satisfy the amount-in-controversy requirement by aggregating (ie, combining) her claim with the man's claim. That is because multiple plaintiffs cannot aggregate their claims to meet this requirement unless they seek to enforce a single title or right to a common or undivided interest (eg, wrongful death action by surviving beneficiaries).

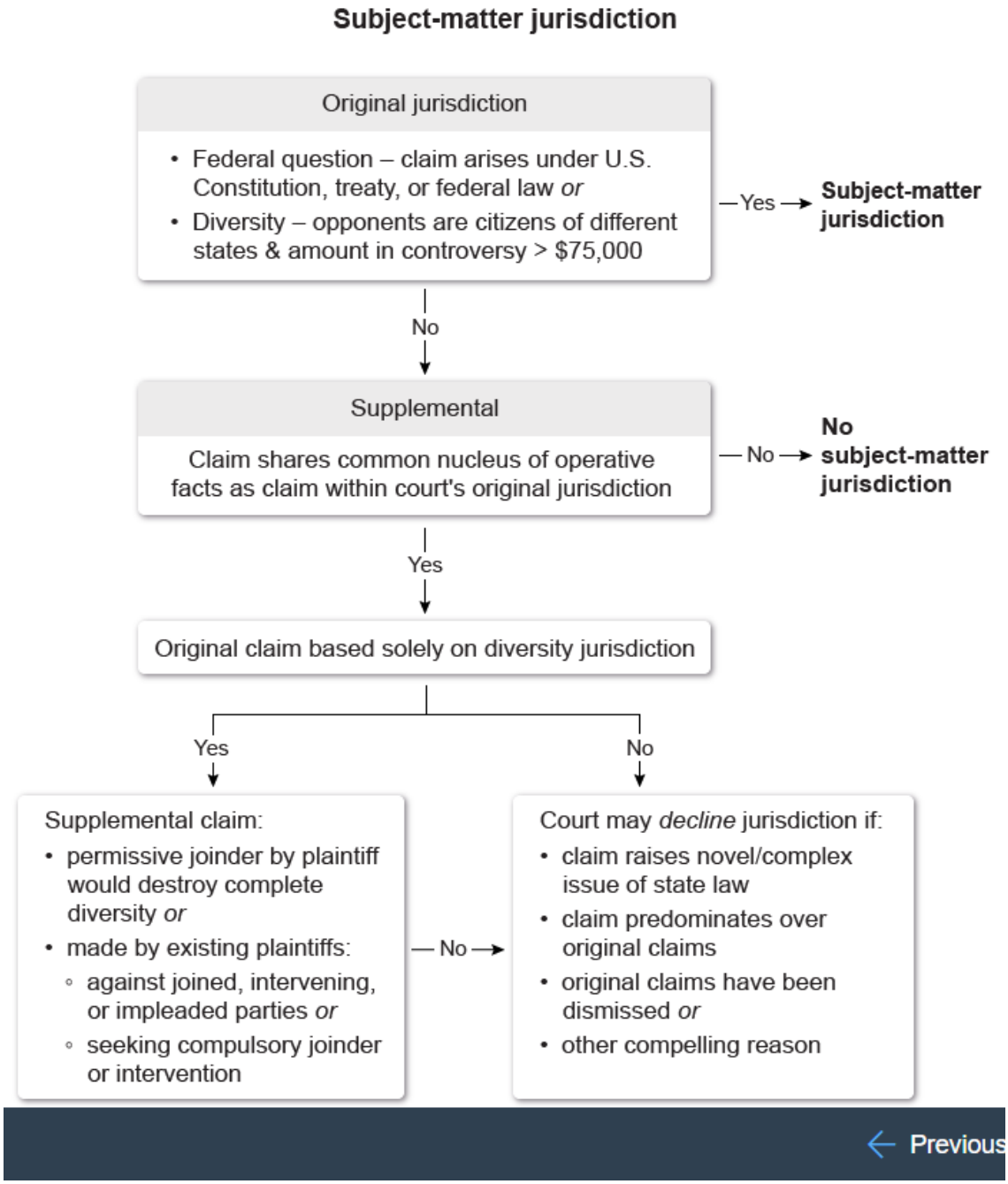
Educational objective:

A federal court may generally exercise supplemental jurisdiction over claims that fall outside its original subject-matter jurisdiction when those claims share a common nucleus of operative facts with a claim that falls within its original subject-matter jurisdiction.

References

- 28 U.S.C. §1367 (supplemental jurisdiction).
- Exxon Mobil Corp. v. Allapattah Servs., 545 U.S. 546, 560 (2005) (explaining supplemental jurisdiction).

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An employee filed an employment discrimination suit in federal court against a corporation without the assistance of an attorney. After filing suit, the employee was severely injured in a car accident and hospitalized for three months. Immediately upon being released from the hospital, the employee hired an attorney to represent her in the discrimination suit. The attorney then had the corporation served with process 100 days after the employee's complaint had been filed. The corporation moved to dismiss for improper service of process.

Is the court likely to grant the corporation's motion?

A. No, because the corporation was served with process within 90 days after the employee hired an attorney.

B. No, because the employee can show good cause for the untimely service of process.

C. Yes, because the corporation was not served with process within 90 days after the complaint was filed.

D. Yes, because the delay in service of process was not caused by the corporation's misconduct.

Explanation:

A plaintiff must provide a defendant with notice of a lawsuit through service of process. A **defendant in the U.S.** must be served with process **within 90 days** after the plaintiff's **complaint is filed**.* Here, service of process was untimely because the corporation was served 100 days after the employee filed her complaint. This would generally require the court—by motion or on its own initiative after notifying the plaintiff—to dismiss the action without prejudice OR order service of process within a specified time.

However, if the plaintiff provides **good cause** as to why service was untimely, the court must **extend the time** for service for an **appropriate period**. Good cause exists if service was delayed due to matters outside of the plaintiff's control (eg, sudden illness or injury)—not the plaintiff's own mistake or ignorance. Since the employee here was severely injured and hospitalized for three months after filing the complaint, good cause exists. Therefore, the court will likely deny the corporation's motion to dismiss **(Choice C)**.

*The 90-day deadline for service of process applies to defendants in the U.S. For defendants in a foreign country, most federal courts require that process be served with due diligence.

(Choice A) The deadline for service of process is measured from the date the complaint is filed—not the date the plaintiff hires an attorney. That is because parties are not required to hire an attorney and can proceed pro se (ie, without legal counsel).

(Choice D) A defendant's misconduct provides good cause for untimely service of process. Although there is no indication that the corporation engaged in any misconduct, good cause exists since the employee's serious injury and hospitalization prevented her from serving the corporation within 90 days.

Educational objective:

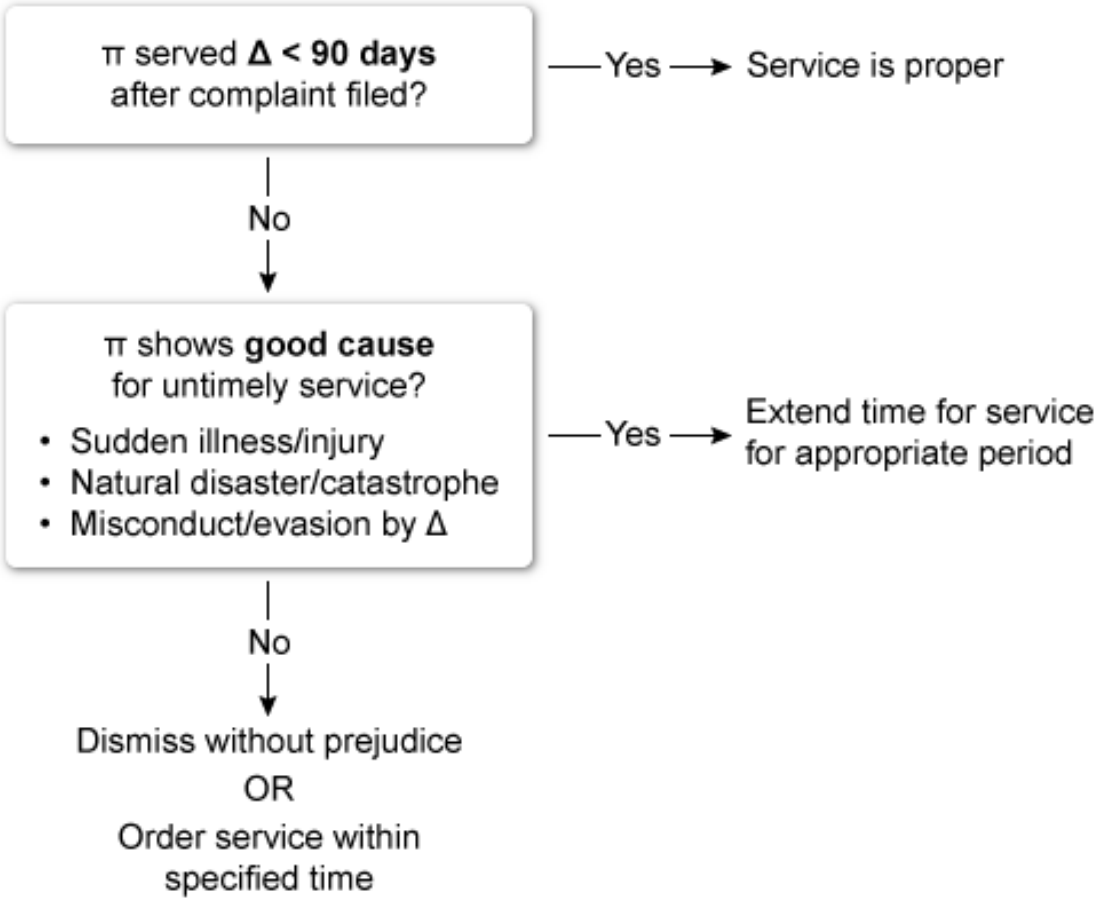
A defendant in the U.S. must be served with process within 90 days after the plaintiff files the complaint unless good cause exists for missing this deadline. If good cause is shown, the court must extend the time for service of process for an appropriate period.

References

- Fed. R. Civ. P. 4(m) (deadline for service of process).
- Floyd v. United States, 900 F.2d 1045, 1047 (7th Cir. 1990) (explaining that good cause exists for untimely service of process when extenuating factors such as a sudden illness occur).

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Time limit for domestic service of process
(FRCP 4(m))



FRCP = Federal Rule of Civil Procedure; **π** = plaintiff; **Δ** = defendant

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After being forcibly ejected from a casino, a tourist brought a federal diversity action against the casino, seeking $105,000 in damages. The tourist claimed that the casino's security guard had used excessive force when ejecting him from the casino, causing severe personal injuries.

At trial, the tourist's attorney attempted to introduce testimony of the security guard's ex-wife, who had filed several complaints of spousal abuse against the security guard. The casino's attorney objected that the evidence was irrelevant and unfairly prejudicial. The court overruled the objection, and the ex-wife testified. The jury returned a verdict for the tourist, awarding him $82,000 in damages.

The casino's attorney believes that the ex-wife's testimony was unfairly prejudicial and should not have been admitted.

What is the best way for the casino's attorney to attack the verdict?

A. Appeal, arguing that the trial court erred in admitting the testimony, which was so prejudicial that the judgment should be reversed.

B. Move for a new trial, arguing that the court erred in admitting the testimony and that a new trial without the testimony is necessary.

C. Move for judgment as a matter of law, arguing that the court erred in admitting the testimony and that without the testimony, the evidence was legally insufficient to find for the tourist.

D. Move for relief from judgment, arguing that the court's admission of the testimony was a mistake.

Explanation:

Grounds for new trial

- Prejudicial trial error (eg, erroneous evidentiary ruling)
- Prejudicial misconduct by judge, attorney, party, or juror
- Verdict not supported by clear weight of evidence
- Verdict based on false/nonexistent evidence
- Excessive or inadequate damages
- Newly discovered evidence

Within 28 days after entry of a final judgment, a party can **move for a new trial** on several grounds (see above image)—including that a **prejudicial trial error** occurred because the court **erroneously admitted evidence**. Here, the casino's attorney believes that the testimony by the security guard's ex-wife was unfairly prejudicial and should have been excluded. Therefore, the best way to attack the jury's verdict is to move for a new trial, arguing that the court erred in admitting the testimony and that a new trial without the testimony is necessary.

(Choice A) A party may appeal to the federal appellate court encompassing the federal district court that issued an adverse finding, conclusion, or ruling (eg, erroneously admitted evidence). But since the appellate process is time-consuming and expensive, the most immediate way to obtain the desired relief is to move for a new trial.

(Choice C) A judgment as a matter of law (JMOL) is a judgment entered in favor of the movant because the evidence is legally insufficient for a reasonable jury to find in the nonmovant's favor. However, once the jury has returned its verdict, a party can only move for a renewed JMOL if that party had moved for JMOL before the case was submitted to the jury (not seen here).

(Choice D) A party may move for relief from a final judgment in limited circumstances, including when the judgment was due to a mistake by the parties or the court. Judicial mistakes that qualify for such relief include mistakes in the entry of judgment, but not in admitting evidence. Therefore, this is not the best way to attack the verdict.

Educational objective:

A motion for a new trial can be made on several grounds, including that a prejudicial trial error occurred because the trial court erroneously admitted evidence that should have been excluded.

References

- Fed. R. Civ. P. 59 (motion for a new trial).

- 11 Charles Alan Wright et al., Federal Practice and Procedure § 2805 (4th ed. 2020) (explaining the grounds to move for a new trial).

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An investor purchased stock through a corporation's initial stock offering. When the price of the stock plummeted soon after the purchase, the investor sued the company in a federal district court, claiming that the company's offering materials violated federal securities laws and seeking $1 million in damages. The investor's suit proceeded to a bench trial. At the end of trial, the judge announced his findings of fact and conclusions of law and entered final judgment in favor of the corporation.

Four years later, the U.S. government brought charges against current and former members of the corporation's board for bribing judges and jurors in suits involving the corporation. The charges described how the corporation had bribed the judge in the investor's case to find in its favor. The investor now seeks relief from the judgment.

What is the best way for the investor to seek relief from the judgment?

A. Move for a new trial.

B. Move for judgment as a matter of law.

C. Move for relief from a void judgment.

D. Move to set aside the judgment for fraud on the court.

Explanation:

A party may use a variety of posttrial motions to **challenge a final judgment** entered by a federal court. Posttrial motions generally have fixed deadlines (see image above). However, a federal court may ***at any time***:

- **entertain an independent action** to relieve a party from a judgment, order, or proceeding
- **grant relief** as Congress directs in a **federal statute** *or*
- **set aside** a judgment due to **fraud on the court**.

Fraud on the court occurs when the integrity of the court is corrupted due to egregious conduct by judicial officers—eg, fabrication of evidence by an attorney, bribery of a judge or juror (as alleged here). Therefore, the best way for the investor to seek relief from the judgment four years after it was entered is to move to set it aside for fraud on the court.

(Choice A) A motion for new trial must be made within 28 days after entry of the judgment—not four years later (as seen here).

(Choice B) A motion for judgment as a matter of law must be made *before* a case is submitted to a jury—not four years *after* a bench trial (as seen here). In a bench trial, a party should instead move for a judgment on partial findings if the plaintiff has failed to prove his/her case.

(Choice C) A party can seek relief from judgment on the ground that the judgment is void. This occurs when the court lacked subject-matter jurisdiction or violated due process by failing to give notice or an opportunity to be heard. Here, subject-matter jurisdiction existed because the claim arose under federal securities laws, and due process was satisfied since the investor could participate. Therefore, the judgment is not void.

Educational objective:

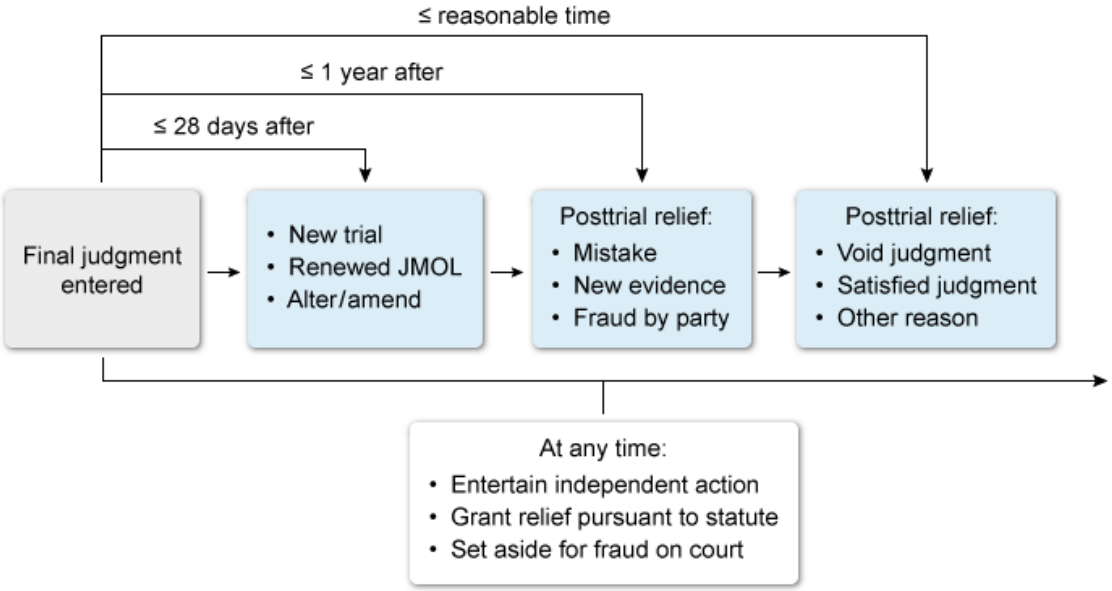
At any time, a federal court may (1) entertain an independent action to relieve a party from a judgment, order, or proceeding, (2) grant relief pursuant to a federal statute, or (3) set aside a judgment for fraud on the court.

References

- Fed. R. Civ. P. 60(d) (other powers to grant relief).
- 11 Charles Alan Wright et al., Federal Practice and Procedure § 2870 (3d ed. 2020) (explaining fraud on the court).
- Kupferman v. Consol. Research & Mfg. Corp., 459 F.2d 1072, 1078 (2d Cir. 1972) (defining the scope of fraud on the court).

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Deadlines for posttrial motions



JMOL = Judgment as a matter of law.

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A car manufacturer sued one of its competitors for infringing the manufacturer's patented technology for its self-driving cars. During discovery, the manufacturer requested that the competitor produce all documents related to the competitor's research into self-driving technology. The competitor turned over millions of documents, none of which contained any information related to the manufacturer's patented technology.

The case proceeded to trial, and the jury returned a verdict in favor of the competitor. Six months after the court entered a judgment consistent with this verdict, the competitor's CEO was charged with criminal negligence after several of the competitor's self-driving cars caused accidents. During a search of the competitor's research labs, the police discovered several documents containing information about the manufacturer's patented self-driving technology. The documents had been saved to the competitor's computers three years earlier.

What action may the manufacturer take upon discovering this new evidence?

A. Move for a new trial.

B. Move for judgment as a matter of law.

C. Move for relief from the prior judgment.

D. Move for summary judgment.

Judgment on the Pleadings (rule 12c)	只看诉状直接裁判	双方已提交完complaint 和answer
Summary Judgment (rule 56)	no genuine dispute of material fact and, entitled to judgment as a matter of law 事实无争议，仅法律判断	任何时间提出，但不迟于发现程序结束后30天内 非动议方提供具体证据，或请求延期
Default Judgment (rule 55)	双方未答辩/未出庭	被告缺席，请求直接判胜

Posttrial relief

Relief	Grounds	Timing
Attorney's fees	• Statute or rule allows recovery 法律规定索赔律师费	≤ 14 days after entry of final judgment
Judgment as matter of law (rule 50) **New trial** (rule 59a) rule 50(a) 审判中判决 对方举证后 rule 50(b)陪审团裁决后 28天内推翻裁定 renewed 有a才能有b, 无a不能提b	• Evidence legally insufficient to find for nonmovant 对方证据完全不够支持其胜诉 • Prejudicial trial error • Prejudicial misconduct by judge, attorney, party, juror • Verdict not supported by clear weight of evidence • Verdict based on false/nonexistent evidence • Excessive or inadequate damages	≤ 28 days after entry of final judgment 偏见审判（程序或证据上错误） 司法人员,陪审员,当事人不当行为（陪审员私下调查）→疏忽 判决与证据严重不符 基于虚假，不存在的证据 赔偿金额不合理
审理已完成，新审重来 **Alter/amend judgment** (rule 59e) 已作出判决，可补入判决	• Newly discovered evidence • Manifest error of law or fact is basis for judgment • Intervening change in controlling law • Newly discovered evidence	新发现证据(重开庭审程序) 明显的法律或事实错误 适用法律发生重大变更 新发现证据（修改已有判决内容）
Correction of mistake (rule 60a)	• Clerical mistake • Mistake arising from oversight or omission	Freely OR with appellate court's leave if docketed 文字错误；疏忽或遗漏错误
Extraordinary relief (rule 60b) 判决已生效，撤销重新来	• Mistake, inadvertence, surprise, excusable neglect 错误，意外疏忽 • Newly discovered evidence • Fraud, misrepresentation, misconduct by opposing party	≤ 1 year after entry of final judgment 新发现证据(推翻判决,寻求实质性撤销) 对方欺诈，误导或不正当行为
	• Void judgment 无效判决 • Judgment satisfied, released, discharged • Other reason justifying relief	Within reasonable time 判决已履行，解除或废止 其他足以构成救济的原因
***Relief** (rule 60d)*	• Independent action to relief • defendant not notified • set aside a judgment for fraud	独立诉讼撤销原判决 被告未收到案件通知 法官受贿（法院系统本身欺诈）→故意

Federal Rule of Civil Procedure 60(b) allows a party to move for **extraordinary relief** from a final judgment or court order on **limited grounds**. This motion may generally be made within a reasonable time, but it must be made **within one year** from the entry of a final judgment or order when based on any of the following grounds:

- The judgment was due to mistake, inadvertence, surprise, or excusable neglect by the parties or the court.
- The moving party **discovered new evidence** that (1) existed at the time of the trial and (2) could not have reasonably been discovered in time to move for a new trial (ie, within 28 days of the entry of final judgment).
- The **opposing party** engaged in fraud, misrepresentation, or **misconduct**.

Here, the competitor engaged in *misconduct* during discovery when it failed to disclose the documents containing information about the manufacturer's patented technology. This *newly discovered* evidence existed at the time of trial but could not have reasonably been discovered until now. And since only six months have passed since the court entered a final judgment, the manufacturer can move for relief from this prior judgment.

(Choice A) A motion for a new trial must be filed within *28 days* after the final judgment is entered. Therefore, this motion would be untimely and likely denied.

(Choice B) A party can renew a motion for judgment as a matter of law (JMOL) within *28 days* after the court enters final judgment as long as that party moved for JMOL before the case was submitted to the jury.

(Choice D) A motion for summary judgment must be filed within 30 days after the end of discovery (ie, before trial).

Educational objective:

A party can move for extraordinary relief within one year from the entry of a final judgment or court order that is based on (1) mistake, inadvertence, surprise, or excusable neglect, (2) newly discovered evidence, or (3) the opposing party's fraud, misrepresentation, or misconduct.

References

- Fed. R. Civ. P. 60(b)–(c) (extraordinary relief from judgment).

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A consumer from State A sued a fireworks manufacturer from State B in federal court. The consumer claimed that she suffered severe burns when the fuses on the manufacturer's fireworks malfunctioned. At the conclusion of trial, the jury awarded the consumer $200,000 for her medical bills, $50,000 for her lost wages, and $5 million for her pain and suffering. The court entered judgment consistent with this verdict.

The consumer then filed a motion claiming that the amount of damages awarded for her medical bills and lost wages are inadequate and requesting that the court increase these awards. The manufacturer filed a motion claiming that the amount of damages awarded for pain and suffering is excessive and requesting that the court decrease that amount or order a new trial on damages. The court agrees with both parties' contentions.

How will the court likely rule on the parties' motions?

A. Deny both motions.

B. Deny the consumer's motion and grant the manufacturer's motion.

C. Grant both motions.

D. Grant the consumer's motion and deny the manufacturer's motion.

Explanation:

Altering jury's award of damages

(FRCP 59(e))

Type of alteration	Definition	Applicability
Remittitur	Defendant's request to *reduce* jury award of *excessive* damages	Plaintiff must be offered choice between: • reduced damages *or* • new trial on damages
Additur	Plaintiff's request to *increase* jury award of *inadequate* damages	Never allowed in federal court

FRCP = Federal Rule of Civil Procedure.

Additur is a request that a court **increase** an allegedly ***inadequate*** **jury award** of damages. Additur is permitted in many state courts, but it is **not allowed in federal court** because it violates the Seventh Amendment right to a jury trial.* That is because additur allows the court to grant an award of damages that was not found by the jury—the ultimate finder of fact. Therefore, the court will *deny* the consumer's request to increase the jury award of damages for medical bills and lost wages **(Choices C & D)**.

Remittitur, in contrast, is a request that the court **reduce** an allegedly ***excessive*** **jury award** of damages. If the request is granted, the opposing party must choose between (1) a **reduction in damages** or (2) a **new trial on damages**. Remittitur does *not* violate the Seventh Amendment because the jury has already determined the damages and the court is simply trimming the excess. Since the court agrees that the damages for pain and suffering are excessive, it will likely *grant* the manufacturer's motion regarding those damages **(Choices A & D)**.

*The Seventh Amendment has never been applied to the states, so states need not provide a jury trial to civil litigants.

Educational objective:

A federal court cannot grant a request to *increase* an allegedly inadequate jury award of damages (ie, additur), but it can *reduce* an allegedly excessive jury award or order a new trial on damages (ie, remittitur).

References

- Fed. R. Civ. P. 59 (motions for additur and remittitur).

- Dimick v. Schiedt, 293 U.S. 474, 486–87 (1935) (holding that additur violates the Seventh Amendment).
- Hetzel v. Prince William Cty., 523 U.S. 208, 211–12 (1998) (explaining the requirements for remittitur).

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A group of parents sued a public school district in a federal district court to enjoin the school district from using public funds and resources for educational programs at religious schools. The judge presiding over the case concluded that the programs violated the establishment clause and issued a permanent injunction against the school to prevent it from continuing with these programs.

Twenty years later, the school district filed a motion in the federal district court to obtain relief from the injunction. The school district argued that establishment clause law had changed so significantly that the programs are now constitutional.

May the court consider this motion?

A. No, because only an appellate court may provide relief from the judgment.
B. No, because the motion was not filed within one year from the entry of final judgment.
C. Yes, because the motion concerns a constitutional issue.
D. Yes, because the motion concerns law that may have significantly changed.

Explanation:

Relief from final judgment

(FRCP 60(b))

Grounds for relief	**Time to file**
• Mistake, inadvertence, surprise, excusable neglect • Newly discovered evidence • Fraud, misrepresentation, misconduct	Within one year
• Void judgment (eg, lack of jurisdiction) • Judgment: – satisfied, released, discharged – based on reversed or vacated judgment *or* – will violate equity if applied prospectively • Other reason justifying relief (rare)	Within reasonable time

FRCP = Federal Rule of Civil Procedure.

Under Federal Rule of Civil Procedure (FRCP) 60(b), a party may move for **extraordinary relief** from a court's final judgment or order on **limited grounds**. The motion *must* be made within one year from the court's judgment for any of the following reasons:

1. The judgment was based on the parties or the court's mistake, inadvertence, surprise, or excusable neglect.
2. The moving party discovered new evidence.
3. An opposing party engaged in fraud, misrepresentation, or misconduct.

All other FRCP 60(b) motions can be **made within a reasonable time** under the circumstances. This includes FRCP 60(b)(5), which authorizes relief from a judgment that:

- has been satisfied, released, or discharged
- is based on an earlier judgment that has been reversed or vacated *or*
- will **violate equity if applied prospectively**.

In *Agostini v. Felton*, the Supreme Court held that it violates equity to prospectively apply a judgment that was based on facts or law that have significantly changed since the court issued it. The school district's motion for relief challenges the permanent injunction on this ground, so the one-year deadline does not apply. And the motion was made within a reasonable time because the school district needed to wait until the law had significantly changed before requesting relief. As a result, the court may consider the school district's motion **(Choice B)**.

(Choice A) An appellate court may only provide relief from a judgment under FRCP 60(b) *after* a district court has entered a final order pertaining to such relief, which has yet to occur here.

(Choice C) The mere fact that the motion concerns a constitutional issue (ie, the establishment clause) does not provide a basis to consider this motion for relief.

Educational objective:

Under Federal Rule of Civil Procedure 60(b)(5), a party may file a motion within a reasonable time to obtain relief from a judgment that (1) has been satisfied, released, or discharged, (2) is based on an earlier judgment that has been reversed or vacated, or (3) will violate equity if applied prospectively.

References

- Fed. R. Civ. P. 60(b)–(c) (relief from judgment).
- Agostini v. Felton, 521 U.S. 203, 237 (1997) (holding that it is inequitable to prospectively apply an injunction that is based on law that has significantly changed since the injunction was issued).

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A plaintiff brought a diversity action in a federal district court and served process on the defendant. After thoroughly reviewing the plaintiff's complaint, the defendant's attorney could not reasonably identify the grounds upon which the plaintiff's claims for relief rest. The defendant's attorney moved for a more definite statement, and the court ordered the plaintiff's attorney to file a more definite statement.

What should the plaintiff's attorney do?

A. File a reply within 21 days.

B. File a supplemental complaint within 14 days.

C. File an amended complaint within 14 days.

D. File an answer within 21 days.

Explanation:

Motion for more definite statement

(FRCP 12(e))

Request Motion must:

- specify pleading's defects & details needed to cure defects *and*
- be made before filing responsive pleading (eg, answer)

Response Defect must be cured:

- by filing amended pleading within 14 days after court order granting motion

FRCP = Federal Rule of Civil Procedure.

A party should file a **motion for a more definite statement** of a pleading (eg, complaint) if the pleading is so vague or ambiguous that the party cannot reasonably prepare a responsive pleading (eg, answer). Here, the defendant's attorney could not reasonably identify the grounds upon which the plaintiff's claims for relief rest after thoroughly reviewing the complaint. Therefore, a motion for a more definite statement was appropriate.

When the court grants such a motion, the nonmovant must provide a more definite statement in an **amended pleading** within **14 days** after receiving notice of the **order or a time otherwise set** by the court. Failure to do so allows the court to strike the pleading or issue another appropriate order. Therefore, the plaintiff's attorney should file an amended complaint within 14 days of the court order.

(Choice A) A reply is a response to an answer that is made only when the court orders it. If the court orders a reply, the party must serve it within 21 days after being served with the court order (unless the order states otherwise). Here, the plaintiff cannot file a reply since the defendant has not yet filed an answer and no court order authorizes a reply.

(Choice B) A supplemental pleading (eg, supplemental complaint) sets forth a transaction, occurrence, or event that arose *after* the pleading to be supplemented was filed. Conversely, an amended pleading sets forth a transaction, occurrence, or event that arose *before* the pleading to be amended was filed (as seen here).

(Choice D) An answer is a pleading that addresses the merits of the dispute and presents defenses and counterclaims. This pleading is appropriate only in response to a plaintiff's complaint or a defendant's counterclaim. Since neither is being responded to here, the plaintiff cannot file an answer.

Educational objective:

When a court grants a motion for a more definite statement, the nonmovant must provide a more definite statement in an amended pleading within 14 days after receiving notice of the order or a time otherwise set by the court.

References

- Fed. R. Civ. P. 12(e) (motion for a more definite statement).
- 5C Charles Alan Wright et al., Federal Practice and Procedure § 1379 (3d ed. 2020) (explaining that the nonmovant must file an amended pleading within 14 days after a court orders a more definite statement).

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A construction worker sued an insulation manufacturer in federal court, claiming that he had developed a chronic health condition as a result of 20 years of exposure to the manufacturer's insulation at his work sites. The manufacturer answered, denying all liability and stating that it had never supplied its insulation to the worker's employer.

The worker's attorney deposed the manufacturer's president, and the manufacturer's attorney deposed the worker. Immediately thereafter, the manufacturer moved for summary judgment on the ground that the worker had no evidence showing that the insulation had ever been used by the worker's employer.

What would be the worker's best response to the motion for summary judgment?

A. Argue that more time is needed for additional discovery to show the manufacturer's liability, and attach a declaration describing the desired discovery.

B. Argue that the motion should be denied, because a central issue in the case will be the manufacturer's credibility on the question of its distribution of the insulation, and only a jury can decide questions of credibility.

C. Argue that the motion should be denied, because the manufacturer failed to attach any evidence to its motion to show that the insulation was not used by the worker's employer.

D. Make a cross-motion for summary judgment arguing that the manufacturer has introduced no evidence to show that its insulation did not harm the worker.

Explanation:

Motion for summary judgment

(FRCP 56)

Time to file	• Motion may be filed until 30 days after close of discovery OR time set by local rule or court
Burden of proof	• Movant has initial burden to establish standard – may support by relying on pleadings, affidavits, declarations, discovery, or other materials containing admissible facts • If initial burden is met, burden shifts to nonmovant to either: – show specific disputed facts through affidavits, declarations, discovery, or other materials containing admissible facts (cannot rely on pleadings) *or* – request postponement for additional discovery & support with affidavit or declaration
Standard for grant	• No genuine dispute as to any material fact AND movant entitled to judgment as a matter of law – evidence must be viewed in light most favorable to nonmovant – all doubts must be resolved in nonmovant's favor

FRCP = Federal Rule of Civil Procedure.

A motion for **summary judgment** requests that the court enter judgment without a full trial because (1) there is no genuine dispute of material fact and (2) the movant is entitled to judgment as a matter of law. The movant can meet this burden by asserting that the **nonmovant lacks evidentiary support** for any issue that the nonmovant has the burden to prove—eg, no evidence that the manufacturer's insulation had been used by the worker's employer. If this occurs, the nonmovant can **avoid summary judgment by** either:

- presenting evidence to support that issue through affidavits, declarations, discovery, or other materials containing admissible evidence *or*
- requesting that the court **postpone consideration** of the motion until **additional discovery** can take place and including an affidavit or declaration that describes the desired discovery and why it is needed.

Since the manufacturer moved for summary judgment after only two depositions, the worker likely needs additional discovery to obtain evidence showing that its employer *had* used the manufacturer's insulation. Therefore, the worker should argue that more time is

needed for additional discovery and attach a declaration or affidavit describing the desired discovery.

(Choice B) Although the manufacturer's credibility will be an important issue at trial, a court never considers the credibility of evidence when making a summary judgment determination. Instead, it will assume that the manufacturer's no-evidence assertion is true unless the worker (nonmovant) presents evidence creating a genuine dispute of material fact. That evidence will then be viewed in the light most favorable to the worker.

(Choices C & D) Since the worker has the burden to prove that the insulation was used by his employer and harmed him, the manufacturer is not required to provide evidence negating these assertions. It need only claim that the worker lacks evidence to support those elements of his claim.

Educational objective:

After receiving a motion for summary judgment, the nonmovant can request that the court postpone considering it until additional discovery can take place. This request must include an affidavit or declaration specifying why the evidence has not been obtained and describing the desired discovery.

References

- Fed. R. Civ. P. 56 (summary judgment).
- Celotex Corp. v. Catrett, 477 U.S. 317, 323–24 (1986) (explaining when summary judgment is proper).

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A patient filed a medical malpractice action against a hospital in federal court, alleging that hospital staff had failed to diagnose the patient's cancer based on an X-ray that had been taken at the hospital. The patient's cancer was diagnosed six months later, based on the same X-ray, when he sought a second opinion. In the interim, the cancer had spread.

Fact and expert discovery have been completed in the action. The hospital has moved for summary judgment. In support of its motion, the hospital has submitted a memorandum identifying facts that it claims are not in dispute. It has also cited and attached supporting exhibits, including a declaration signed under penalty of perjury from the hospital's radiologist, who found no signs of cancer on the X-ray.

What is the best way for the patient to raise a genuine dispute of material fact?

A. Submit a report from the patient's expert radiologist contradicting the findings in the declaration of the hospital's radiologist.

B. Submit an affidavit from the patient's attorney detailing his conversations with the patient's expert radiologist.

C. Submit an affidavit from the patient's expert radiologist with findings that contradict the declaration of the hospital's radiologist.

D. Submit the patient's medical records showing his current cancer diagnosis.

Explanation:

Motion for summary judgment

(FRCP 56)

Time to file	• Motion may be filed until 30 days after close of discovery OR time set by local rule or court
Burden of proof	• Movant has initial burden to establish standard – may support by relying on pleadings, affidavits, declarations, discovery, or other materials containing admissible facts • If initial burden is met, burden shifts to nonmovant to either: – show specific disputed facts through affidavits, declarations, discovery, or other materials containing admissible facts (cannot rely on pleadings) *or* – request postponement for additional discovery & support with affidavit or declaration
Standard for grant	• No genuine dispute as to any material fact AND movant entitled to judgment as a matter of law – evidence must be viewed in light most favorable to nonmovant – all doubts must be resolved in nonmovant's favor

FRCP = Federal Rule of Civil Procedure.

A court should grant **summary judgment** in lieu of a full trial when (1) there is no genuine dispute of material fact and (2) the movant is entitled to judgment as a matter of law. The nonmovant can **raise a genuine dispute of material fact** through affidavits, declarations, discovery, or other materials containing admissible facts. **Affidavits** are written statements sworn in the presence of a notary public, and **declarations** are written statements signed under penalty of perjury. They can be used in determining a summary judgment if they:

- are based on the affiant's or declarant's **personal knowledge**
- contain **admissible facts** *and*
- show that the affiant or declarant is **competent to testify** to the matters stated therein.

Here, the hospital's radiologist stated in his declaration that he found no signs of cancer on the patient's X-ray. The patient can genuinely dispute this material fact by submitting an affidavit from his expert radiologist with findings that contradict the declaration. This affidavit can be used since the patient's radiologist has personal knowledge of the patient's X-ray, the findings are likely admissible, and the radiologist is competent to testify about this subject.

(Choice A) Most courts will not consider expert reports in deciding summary judgment motions because they are not sworn or signed under penalty of perjury and therefore contain inadmissible facts.

(Choice B) An affidavit from the patient's attorney detailing his conversations with the patient's radiologist is not valid since it (1) is not based on the attorney's personal knowledge of the patient's X-ray, (2) contains inadmissible hearsay, and (3) does not show that the attorney is competent to testify on medical issues.

(Choice D) The patient's medical records showing his *current* cancer diagnosis do not dispute whether there were signs of cancer on the X-ray taken *before* his diagnosis.

Educational objective:

In a motion for summary judgment, the nonmovant can raise a genuine issue of material fact through affidavits and declarations that (1) are based on the affiant's or declarant's personal knowledge, (2) set out admissible facts, and (3) show the affiant's or declarant's competency to testify to the matters stated therein.

References

- Fed. R. Civ. P. 56(c) (support for factual positions on summary judgment).

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A consumer brought a federal diversity action against a manufacturer, alleging strict products liability. After the parties presented their evidence at trial, the judge instructed the jury to return a special verdict providing written answers to specific questions about each factual issue but refraining from finding in favor of a party.

The jury returned its special verdict, specifically finding that the manufacturer's product was defectively designed and caused the consumer foreseeable harm. Before the judge entered a judgment consistent with the jury's findings, the manufacturer moved for judgment as a matter of law, arguing that the evidence was insufficient to support the jury's determinations.

Should the judge consider the manufacturer's motion?

A. No, because the case has already been submitted to the jury.

B. No, because the jury is the conclusive determiner of the sufficiency of the evidence.

C. Yes, because the consumer has had the opportunity to present evidence to the jury.

D. Yes, because the court has not yet entered a final judgment.

Explanation:

A motion for **judgment as a matter of law** (JMOL) is a request that the court issue a judgment in the movant's favor because the **evidence is legally insufficient** for a reasonable jury to find in favor of the nonmovant. A party may move for JMOL **after the nonmovant** has had the opportunity to **present evidence** to establish a claim or defense. However, this motion **must be made *before*** the case is **submitted to the jury** or the motion is waived.

Here, the manufacturer moved for JMOL after the jury returned its special verdict. Although the consumer has had the opportunity to present evidence to the jury, the manufacturer failed to timely move for JMOL *before* the case was submitted to the jury **(Choice C)**. Therefore, the judge should not consider the manufacturer's motion for JMOL.

(Choice B) The jury is not the conclusive determiner of the sufficiency of the evidence because a judge may assess whether the evidence was legally sufficient to support the verdict in ruling on a properly filed motion for JMOL.

(Choice D) A party must move for JMOL before the case is submitted to the jury—not before the court enters a final judgment. However, a party may file a *renewed* motion for JMOL within 28 days after the entry of final judgment so long as the party properly moved for JMOL (not seen here).

Educational objective:

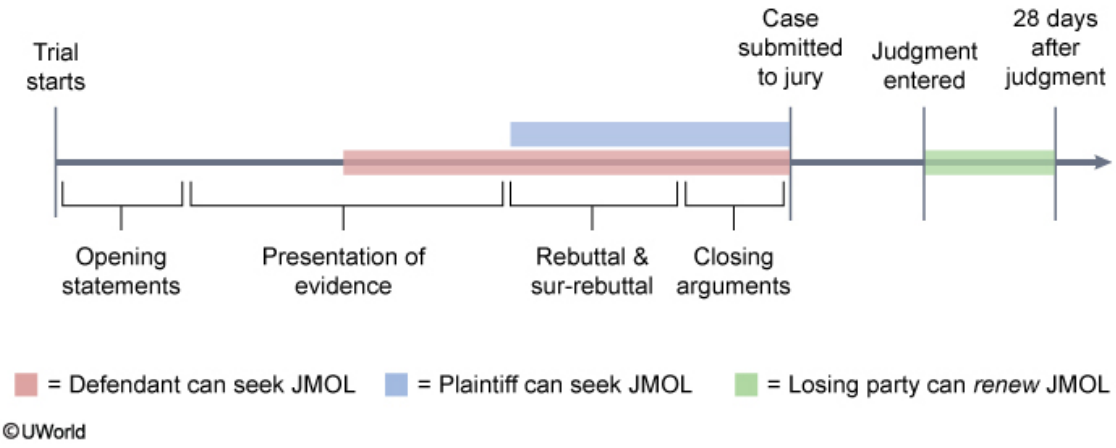
A party may move for judgment as a matter of law after the nonmovant has had an opportunity to present its case to the jury. However, this motion must be asserted before the case is submitted to the jury or the motion is waived.

References

- Fed. R. Civ. P. 50 (judgment as a matter of law).

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Timeline for seeking judgment as a matter of law (JMOL)



= Defendant can seek JMOL = Plaintiff can seek JMOL = Losing party can *renew* JMOL

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A plaintiff sued a defendant for fraud in federal court. The complaint contained a short and plain statement of facts giving rise to the claim. One week after being served with process, the defendant filed and served an answer that denied the plaintiff's allegations. Five days later, the defendant filed and served a motion for a more definite statement. The motion alleged that the complaint failed to state the circumstances giving rise to the claim with particularity and specified the details that needed to be included.

Should the court grant the defendant's motion?

A. No, because the complaint contained a short and plain statement of the facts giving rise to the claim.

B. No, because the motion was filed after the defendant's responsive pleading was filed.

C. Yes, because the circumstances giving rise to the claim must be stated with particularity.

D. Yes, because the motion was filed within 21 days after the defendant was served with process.

Explanation:

FRCP 12 motions

12(b) Motion asserting any of the following defenses:

- Lack of subject-matter or personal jurisdiction
- Improper venue
- Insufficient process or service of process
- Failure to state claim upon which relief can be granted
- Failure to join required party

12(c) Motion for judgment on the pleadings

12(e) Motion for more definite statement in pleading

12(f) Motion to strike insufficient defense or immaterial matter from pleading

FRCP = Federal Rule of Civil Procedure.

Federal Rule of Civil Procedure 12(e) allows a party to move for a more definite statement of a pleading that is so vague or ambiguous that the party cannot reasonably draft a responsive pleading. This motion is appropriate when a complaint does not contain the requisite specificity—eg, fails to state the circumstances giving rise to a fraud claim with particularity. A **motion for a more definite statement** must:

- specify the **pleading's defects** and the **details needed to cure** these defects *and*
- be made ***before*** **filing a responsive pleading** (eg, answer).*

If the court grants the motion, the nonmovant must provide a more definite statement within 14 days after receiving notice of the order or a time otherwise set by the court. Failure to do so allows the court to strike the pleading or issue another appropriate order.

Here, the defendant's motion for a more definite statement alleged that the plaintiff's complaint failed to state the circumstances giving rise to the fraud claim with particularity and specified the details sought to cure this defect. However, the motion was not timely since it was filed *after* the answer. Therefore, the court should deny the defendant's motion.

*Since the purpose of a motion for a more definite statement is to help a party adequately answer a vague pleading, the motion must be made before the answer is filed.

(Choices A & C) A complaint generally need only contain a short and plain statement of the claim showing that the plaintiff is entitled to relief. However, the circumstances giving rise to a fraud claim must be stated with particularity.

(Choice D) A defendant generally must file an answer within 21 days after being served with process. Here, the defendant timely filed and served an answer one week after being served with process. But the motion for a more definite statement was untimely since it was made *after* the defendant filed an answer.

Educational objective:

A party may move for a more definite statement of a pleading that is so vague or ambiguous that the party cannot reasonably draft a responsive pleading. This motion must (1) specify the pleading's defects and the details sought that will cure these defects and (2) be made before filing a responsive pleading.

References

- Fed. R. Civ. P. 12(e) (motion for a more definite statement).
- 61A Am. Jur. 2d Pleading § 416 (2019) (explaining that a motion for a more definite statement must be made before an answer is filed).

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A jury sitting in a federal court case returned a verdict that found in favor of the plaintiff and awarded her $100,000. The federal district court entered a final judgment consistent with the jury's verdict.

The defendant immediately filed a notice of appeal, alleging that the district court erred by failing to exclude several pieces of evidence from the jury's consideration. The appellate court docketed the case. The day after the appeal was docketed, the district court discovered that the final judgment listed a $1,000,000 award for the plaintiff.

May the district court correct the mistake?

A. No, because both parties must receive notice and an opportunity to be heard on this action.

B. No, because leave of the appellate court is required once an appeal is docketed.

C. Yes, because a district court may correct clerical mistakes on its own initiative.

D. Yes, because a district court may freely alter and amend final judgments in the interest of justice.

Explanation:

Posttrial correction of mistakes

(FRCP 60(a))

Type of mistake	Definition	Time of correction
Clerical	Misstatement of court's intent • Eg, court entered judgment for "$10,000" instead of "$100,000"	• Before appeal docketed: on court's own initiative or by motion • After appeal docketed: with appellate court's leave
Oversight/omission	Exclusion misrepresents court's intent • Eg, judgment failed to include required interest in award	

FRCP = Federal Rule of Civil Procedure.

A district court may **correct a clerical mistake** or a mistake arising from an **oversight or omission** in a judgment, order, or other part of the record. The court may do so on its own initiative or pursuant to a party's motion *before* an appeal from the judgment or order is docketed. But *after* an **appeal is docketed**, the district court can correct the mistake only with the **appellate court's leave** (ie, permission).

Here, a clerical mistake occurred since the jury's verdict awarded the plaintiff $100,000 but the final judgment awarded her $1,000,000. Since the appeal has been docketed, the district court cannot correct the mistake without leave of the appellate court.

(Choice A) A district court need not provide the parties with notice or an opportunity to be heard before it corrects a mistake.

(Choice C) The district court could have corrected the mistake on its own initiative had the appeal not been docketed.

(Choice D) A district court *cannot* freely alter or amend final judgments. It may do so only when (1) the judgment is based on a manifest error of law or fact, (2) the controlling law has changed, or (3) new evidence is discovered.

Educational objective:

Before an appeal is docketed in the appellate court, a district court can correct a mistake in a judgment, order, or other part of the record on its own initiative or pursuant to a party's

motion. But after an appeal has been docketed, the district court can correct the mistake only with the appellate court's leave.

References

- Fed. R. Civ. P. 60(a) (correction of mistake in judgment or order).

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A stockbroker was convicted in federal court of criminal fraud in the sale of certain securities. A former client then sued the stockbroker in a federal civil action, alleging fraud in the sale of the same securities for which the stockbroker had been criminally convicted. The client's attorney moved to preclude the stockbroker from relitigating the liability issues that were common to the criminal and civil actions. The court granted the motion and, after a bench trial on damages, entered judgment against the stockbroker for $100,000.

On appeal from the stockbroker's criminal conviction, the appellate court reversed and vacated the conviction. The stockbroker promptly moved for relief from the final judgment in the civil action. The motion was filed 15 months after entry of the final judgment in the civil action.

Should the court grant the motion?

A. No, because it is untimely.

B. No, because the stockbroker did not appeal the civil judgment.

C. Yes, because the court in the civil action should not have based the civil judgment on the criminal judgment before it had been reviewed on appeal.

D. Yes, because the criminal judgment on which the civil judgment was based has been reversed and vacated.

Explanation:

Relief from final judgment

(FRCP 60(b))

Grounds for relief	**Time to file**
• Mistake, inadvertence, surprise, excusable neglect • Newly discovered evidence • Fraud, misrepresentation, misconduct	Within one year
• Void judgment (eg, lack of jurisdiction) • Judgment: – satisfied, released, discharged – based on reversed or vacated judgment *or* – will violate equity if applied prospectively • Other reason justifying relief (rare)	Within reasonable time

FRCP = Federal Rule of Civil Procedure.

Federal Rule of Civil Procedure (FRCP) 60(b) allows a party to **move for extraordinary relief** from a court's final judgment on **limited grounds**. The motion must be made within one year from the court's judgment if the motion is based on any of the grounds listed in FRCP 60(b)(1)–(3) (see image above). All other FRCP 60(b) motions can be made **within a reasonable time** under the circumstances. This includes a motion under FRCP 60(b)(5), which authorizes relief from a judgment that:

- has been satisfied, released, or discharged
- is **based on an earlier judgment** that has been **reversed or vacated** *or*
- will violate equity if applied prospectively.

Here, the federal court granted the client's motion in the civil fraud action to prevent the stockbroker from relitigating the liability issues that had been decided in the stockbroker's criminal fraud action. An appellate court then reversed and vacated the criminal fraud conviction, and the stockbroker promptly moved for relief in the federal civil action pursuant to FRCP 60(b)(5). As a result, the one-year deadline does not apply, and the court should grant the stockbroker's timely motion for relief **(Choice A)**.

(Choice B) A party need not appeal before moving to set aside a judgment under FRCP 60(b). Had the stockbroker appealed the civil judgment, the appeal likely would have been unsuccessful since the court properly applied issue preclusion to prevent the relitigation of identical issues decided in the criminal action.

(Choice C) A final judgment entered in a civil or criminal action is entitled to *immediate* preclusive effect. This means that the court in the civil action validly based the civil judgment on the criminal judgment before it had been reviewed on appeal.

Educational objective:

Under FRCP 60(b)(5), a party may file a motion within a reasonable time to obtain relief from a judgment that (1) has been satisfied, released, or discharged, (2) is based on an earlier judgment that has been reversed or vacated, or (3) will violate equity if applied prospectively.

References

- Fed. R. Civ. P. 60(b)–(c) (relief from judgment).
- 11 Charles Alan Wright et al., Federal Practice and Procedure § 2863 (3d ed. 2020) (explaining that a party may move for relief from a judgment that is based on an earlier judgment that has been reversed or vacated).

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A boutique sued a dressmaker in federal court for breach of contract. The boutique's complaint alleged that the dressmaker violated the contract between the parties by delivering the wrong dresses. The dressmaker immediately filed an answer, in which he admitted to delivering the wrong dresses. The answer also contained an affirmative defense that the boutique failed to file its complaint within the applicable statute of limitations.

The dressmaker wants the court to decide the case based solely on the information contained in the complaint and answer.

Which motion will best accomplish the dressmaker's goal?

A. A motion for default judgment.

B. A motion for judgment as a matter of law.

C. A motion for judgment on the pleadings.

D. A motion for summary judgment.

Explanation:

Pretrial motions

Motion	Grounds
Default judgment	• Defendant failed to timely serve answer • Any party failed to comply with court order
Pre-answer	• No subject-matter or personal jurisdiction • Improper venue • Insufficient process or service or process • Failure to join required party • Failure to state claim upon which relief can be granted
Judgment on the pleadings	• Pleadings, attached exhibits & matters of public record show (1) no genuine dispute of material fact & (2) movant entitled to judgment as a matter of law
Voluntary dismissal	• Plaintiff requests dismissal
Involuntary dismissal	• Defendant requests dismissal because plaintiff failed to (1) prosecute action or (2) comply with rule/court order
Summary judgment	• Pleadings, affidavits, declarations, discovery & other materials show (1) no genuine dispute of material fact & (2) movant entitled to judgment as a matter of law

A motion for **judgment on the pleadings** can be used to dismiss a suit once the pleadings have closed—ie, when all required pleadings have been served. Since the court's consideration of this motion is **limited to** the contents of the **pleadings** (including attached exhibits) and matters of **public record**, this motion will best accomplish the dressmaker's goal.

The motion will likely be granted if the pleadings show that the statute of limitations has expired because there would be no issues of material fact and the dressmaker would be entitled to judgment as a matter of law.

(Choice A) A default judgment is appropriate (1) when a defendant fails to timely serve an answer or (2) as a sanction when a party fails to comply with a court order—neither of which applies here.

(Choice B) A party can move for judgment as a matter of law *during trial* once the nonmovant has presented its case.

(Choice D) The standards to grant a motion for summary judgment are identical to those required for a judgment on the pleadings, but a court can consider materials *outside* the pleadings (eg, discovery materials). Since the dressmaker seeks a resolution based solely on the pleadings, a judgment on the pleadings is more appropriate.

Educational objective:

A party may move for judgment on the pleadings once the pleadings are closed. In considering such a motion, the court is limited to the contents of the pleadings (including exhibits) and matters of public record.

References

- Fed. R. Civ. P. 12(c) (motion for judgment on the pleadings).
- 61A Am. Jur. 2d Pleading § 560 (2019) (explaining the requirements for judgment on the pleadings).

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A customer sued a retailer in federal court, claiming that the retailer had intentionally engaged in trade practices that violated federal law. At the close of evidence, the retailer filed a motion for judgment as a matter of law, which was denied. The jury returned a verdict for the customer.

Twenty-five days after the court entered judgment on the verdict, the retailer filed a renewed motion for judgment as a matter of law. The trial court determined that the evidence was legally insufficient to find in the customer's favor because the customer's main witness was not credible. The trial court then issued an order granting the retailer's motion. Twenty-eight days later, the customer appealed.

Is the appellate court likely to uphold the trial court's ruling?

A. No, because the retailer renewed its motion for judgment as a matter of law more than 21 days after the trial court entered judgment on the verdict.

B. No, because the trial court considered the credibility of the customer's main witness when granting the retailer's renewed motion.

C. Yes, because the appellate court must give great deference to the trial court's ruling.

D. Yes, because the customer appealed more than 30 days after the trial court entered judgment on the verdict.

Explanation:

Motion for judgment as a matter of law

(FRCP 50)

Time to file	• May be filed after nonmovant presents its case but before case is submitted to jury • May be renewed within 28 days after entry of final judgment
Procedural requirements	• Movant must: – specify judgment sought & law/facts entitling movant to judgment • Court must: – view evidence & draw all reasonable inferences in nonmovant's favor – disregard evidence favorable to movant that jury is not required to believe – not consider credibility of witnesses or evaluate weight of evidence
Standard for grant	• Evidence is legally insufficient for reasonable jury to find in nonmovant's favor

FRCP = Federal Rule of Civil Procedure.

A motion for **judgment as a matter of law** (JMOL) is a request that the court enter a judgment in favor of the movant because the evidence is legally insufficient for a reasonable jury to find in the nonmovant's favor. An initial motion for JMOL must be filed before the case is submitted to the jury. If that motion is denied, the movant can file a renewed motion within 28 days after the entry of final judgment on the jury's verdict.*

When considering an initial or renewed motion for JMOL, the trial court must:

- **view the evidence** and draw all reasonable inferences in the **light most favorable to the nonmovant**
- **disregard any evidence** favorable to the movant that the **jury is not required to believe** *and*
- ***not* consider the credibility of witnesses** or evaluate the weight of evidence.

Here, the retailer timely renewed its motion for JMOL 25 days after the trial court entered judgment on the jury's verdict **(Choice A)**. The trial court granted this motion after determining that the evidence was legally insufficient to find in the customer's

favor. However, the appellate court will likely overturn that ruling because the trial court improperly considered the credibility of the customer's main witness.

*A trial court can grant the renewed motion even if the initial motion was denied. This is often done so that the jury's verdict can be reinstated if the trial court's decision is overturned on appeal.

(Choice C) A trial court's discretionary rulings (eg, admissibility of evidence) are reviewed for abuse of discretion and are given great deference. However, a trial court's legal rulings (eg, granting or denying JMOL) are reviewed de novo and are given *no* deference.

(Choice D) A notice of appeal must be filed within 30 days after entry of a final judgment OR an order disposing of a posttrial motion. Therefore, the customer timely appealed 28 days after the trial court entered a posttrial order granting the renewed motion for JMOL.

Educational objective:

When considering a motion for JMOL, a court must (1) view the evidence and draw all reasonable inferences in favor of the nonmovant, (2) disregard evidence favorable to the movant that the jury is not required to believe, and (3) *not* consider the credibility of witnesses or evaluate the weight of evidence.

References

- Fed. R. Civ. P. 50(a) (motion for judgment as a matter of law).
- Reeves v. Sanderson Plumbing Prods., Inc., 530 U.S. 133, 150–51 (2000) (explaining the procedural requirements for considering a JMOL motion).

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A man from State A sued a woman from State B in a proper federal district court to recover $250,000 for the damage to his car and personal injuries he suffered when the two were involved in a car accident at a four-way intersection. The man requested a jury trial. The only issue in dispute is who had the green light as the cars approached the intersection.

At trial, the man called his 18-year-old son to the stand. The son testified that he was sitting in the passenger seat of the man's car and that his father was driving reasonably. On cross-examination, the son admitted that he did not see the light as the man's car approached the intersection. The man called no other witnesses and presented no other evidence.

In her defense, the woman called five witnesses to the accident. All five testified that the woman had the green light as she approached the intersection.

At the close of evidence, the woman's attorney moved for judgment as a matter of law. The court denied this motion and allowed the case to go to the jury. After deliberating for twenty minutes, the jury returned a verdict in favor of the man.

If the woman seeks to overturn the jury's verdict and obtain a judgment in her favor, which of the following actions would most effectively and efficiently accomplish her goal?

A. Move for a judgment on partial findings.

B. Move for a new trial.

C. Petition for writ of mandamus.

D. Renew her motion for judgment as a matter of law.

Explanation:

A motion for **judgment as a matter of law** (JMOL or directed verdict) is a request that the court issue a judgment in favor of the movant because the **evidence is legally insufficient** for a reasonable jury to find in the nonmovant's favor. This motion can only be filed after the nonmovant has presented its case but before the case is submitted to the jury. That is because the motion, if granted, **removes the case from the jury's** consideration.

If a motion for JMOL is denied during trial (as seen here), the movant can file a **renewed motion for JMOL** no later than **28 days after the entry of judgment**. A judge can grant the renewed motion even if the original motion was denied. This is often done so that, if the trial court's decision is overturned on appeal, the jury's verdict can simply be reinstated instead of a new trial being required. The motion also provides an effective and efficient means to overturn a jury verdict—especially here, since the evidence on the green light overwhelmingly favors the woman.

(Choice A) A judgment on partial findings is analogous to a JMOL but is used when a case is tried before a judge—not a jury (as seen here).

(Choice B) The losing party can file a motion for new trial within 28 days after the court enters a final judgment. But a second trial would be expensive and time-consuming, so this motion would not provide the most efficient means to obtain a favorable judgment.

(Choice C) A petition for writ of mandamus is a *rare* procedure that allows a party to seek appellate review before a final judgment is issued—but only when no other remedy (eg, JMOL) is available.

Educational objective:

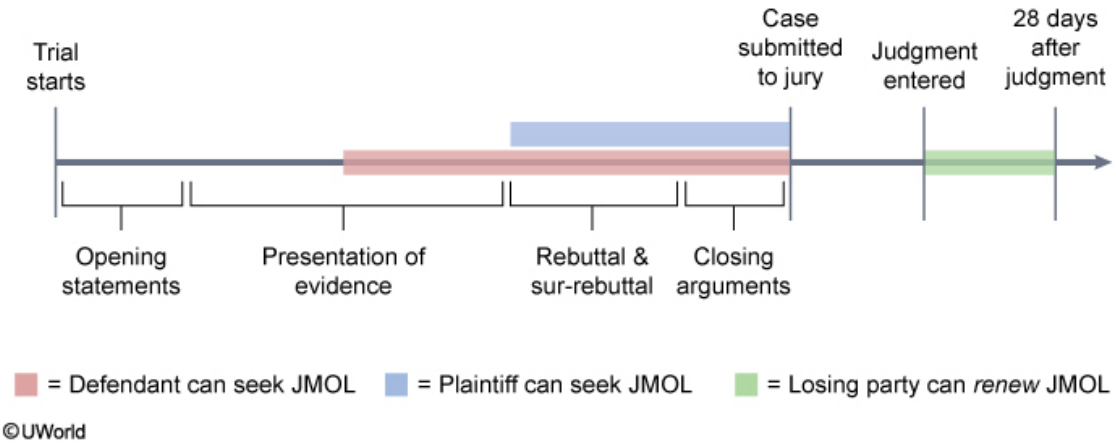
A motion for judgment as a matter of law is used to remove a case from the jury's consideration when there is legally insufficient evidence for a reasonable jury to find in the nonmovant's favor. The motion can be renewed within 28 days after the entry of judgment to seek to overturn an adverse verdict.

References

- Fed. R. Civ. P. 50 (judgment as a matter of law).

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Timeline for seeking judgment as a matter of law (JMOL)



= Defendant can seek JMOL = Plaintiff can seek JMOL = Losing party can *renew* JMOL

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A firm sued a corporation in a federal district court for allegedly engaging in unfair trade practices in violation of a federal statute. The firm sought $100,000 and an injunction. At the conclusion of a bench trial, the judge announced her findings of fact and conclusions of law on the record, and judgment was entered in favor of the corporation.

Twenty-eight days later, the firm discovered a legal theory it initially overlooked that entitles it to relief. That same day, the firm filed a motion for a new trial based on this newly discovered legal theory.

Is the court likely to grant the firm's motion?

A. No, because the legal theory could have been asserted at trial.

B. No, because the motion was not timely made.

C. Yes, because the judge's factual findings and legal conclusions were not in writing.

D. Yes, because the legal theory shows that the firm is entitled to relief.

Explanation:

Grounds for new trial

- Prejudicial trial error (eg, erroneous evidentiary ruling)
- Prejudicial misconduct by judge, attorney, party, or juror
- Verdict not supported by clear weight of evidence
- Verdict based on false/nonexistent evidence
- Excessive or inadequate damages
- Newly discovered evidence

A party can **move for a new trial** within 28 days after the entry of final judgment, as the firm did here **(Choice B)**. A court may grant a new trial on several grounds. But it will ***not*** **grant** a new trial based on a **newly discovered legal theory** that the party **could have raised at trial**—even if the theory entitles the party to relief **(Choice D)**. This encourages attorneys to fully investigate their case before trial is over so that the case can be resolved without perpetual reexamination.

(Choice C) After the close of evidence in a bench trial, the judge must provide—orally or in writing—findings of fact and conclusions of law on the record.

Educational objective:

A new trial cannot be granted based on a newly discovered legal theory that could have been raised at trial.

References

- Fed. R. Civ. P. 59 (motion for a new trial).
- 58 Am. Jur. 2d New Trial § 320 (2019) (explaining that a new legal theory or defense is not a basis for a new trial).

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A man sued his employer in federal court for sexual harassment in violation of a federal statute. The man planned to have several of his coworkers testify that they witnessed the employer make sexual advances toward the man on several occasions. However, at their depositions, the coworkers testified that they never witnessed the employer engage in inappropriate behavior. The man had no other evidence to support his claim, so the court entered summary judgment in favor of the employer.

Two years later, one of the coworkers who was supposed to testify on the man's behalf told the man that the employer had paid the coworkers a sum of money to lie at their depositions. The man immediately filed a motion in the same federal court to obtain relief from the entry of summary judgment.

How is the court likely to rule on his motion?

A. Deny the motion, because it was not made within one year of the entry of summary judgment.
B. Deny the motion, because the man failed to appeal.
C. Grant the motion, because it was made within a reasonable time.
D. Grant the motion, because the employer engaged in misconduct.

Explanation:

Relief from final judgment

(FRCP 60(b))

Grounds for relief	**Time to file**
• Mistake, inadvertence, surprise, excusable neglect • Newly discovered evidence • Fraud, misrepresentation, misconduct	Within one year
• Void judgment (eg, lack of jurisdiction) • Judgment: – satisfied, released, discharged – based on reversed or vacated judgment *or* – will violate equity if applied prospectively • Other reason justifying relief (rare)	Within reasonable time

FRCP = Federal Rule of Civil Procedure.

A court's final judgment and orders will typically not be disturbed. This promotes confidence in their finality so they can be enforced without perpetual reexamination of the case. However, Federal Rule of Civil Procedure (FRCP) 60(b) allows a party to obtain **extraordinary relief** from a judgment or order in **limited circumstances**. An FRCP 60(b) motion may generally be made within a reasonable time, but three of the grounds for relief must be raised **within one year** of the court's judgment:

- The judgment was due to mistake, inadvertence, surprise, or excusable neglect by the parties or the court.
- The moving party discovered new evidence that (1) existed at the time of the trial and (2) could not have reasonably been discovered in time to move for a new trial (ie, within 28 days of the entry of final judgment).
- An **opposing party engaged in** fraud, misrepresentation, or **misconduct**.

Here, the man's motion seeks relief from the judgment due to the employer's *misconduct* in paying the coworkers to lie at their depositions. As a result, this motion was due within *one* year after the court entered summary judgment in the employer's favor. Since the motion was filed *two* years later, it was untimely and will likely be denied **(Choices C & D)**.

(Choice B) A party need not file an appeal to request relief under FRCP 60(b).

Educational objective:

Federal Rule of Civil Procedure 60(b) allows a party to obtain extraordinary relief within *one* year of the entry of a final judgment or order based on (1) mistake, inadvertence, surprise, or excusable neglect, (2) newly discovered evidence, or (3) an opposing party's fraud, misrepresentation, or misconduct.

References

- Fed. R. Civ. P. 60(b)–(c) (extraordinary relief from judgment).

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A mechanic sued his former employer in federal court, claiming that the employer had discharged him because of his age in violation of federal law. The employer answered, denying the claims and promptly moving for summary judgment. In support of the motion, the employer attached the mechanic's employment evaluations for the past three years, which rated his skills and performance as poor and culminated in a recommendation for his discharge.

What is the mechanic's best argument to defeat the summary judgment motion?

A. The allegations in the complaint conflict with the mechanic's employment evaluations, raising a genuine dispute as to material facts.

B. The employer cannot rely in his motion on matters outside the pleadings.

C. The essential facts are unavailable to the mechanic and therefore discovery is required.

D. The motion was filed before the close of discovery.

Explanation:

A **motion for summary judgment** requests that the court enter judgment without a full trial because (1) there is no genuine dispute of material fact and (2) the movant is entitled to judgment as a matter of law. This motion may be filed at *any* time until 30 days after the close of discovery **(Choice D)**.* The movant must support this motion with admissible facts contained in any of the following: pleadings, affidavits, declarations, discovery, or other materials containing admissible evidence (eg, employment evaluations) **(Choice B)**.

Once the movant satisfies this initial burden, the **burden shifts** to the nonmovant to **avoid summary judgment by** either:

- showing specific disputed facts through affidavits, declarations, discovery, or other materials containing admissible evidence *or*
- **requesting** that the court **postpone consideration** of the motion until **additional discovery** can take place, and including an affidavit or declaration that describes the desired discovery and why it is needed.

Since the employer promptly moved for summary judgment after submitting an answer, no discovery has taken place and the mechanic has not had time to acquire the essential facts needed to avoid summary judgment. Therefore, the mechanic's best argument to defeat this motion is that the essential facts are unavailable and discovery is required. The mechanic must also attach an affidavit or declaration describing the discovery needed to obtain these facts.

*The court or a local rule may set a different deadline for filing a motion for summary judgment.

(Choice A) The nonmovant cannot rely on the pleadings in response to a motion for summary judgment because pleadings contain *general* allegations. Instead, the nonmovant must show *specific* disputed facts or request that the court postpone consideration.

Educational objective:

The nonmovant can request that the court postpone considering a motion for summary judgment until additional discovery can take place. This request must include an affidavit or declaration describing the desired discovery and why it is needed.

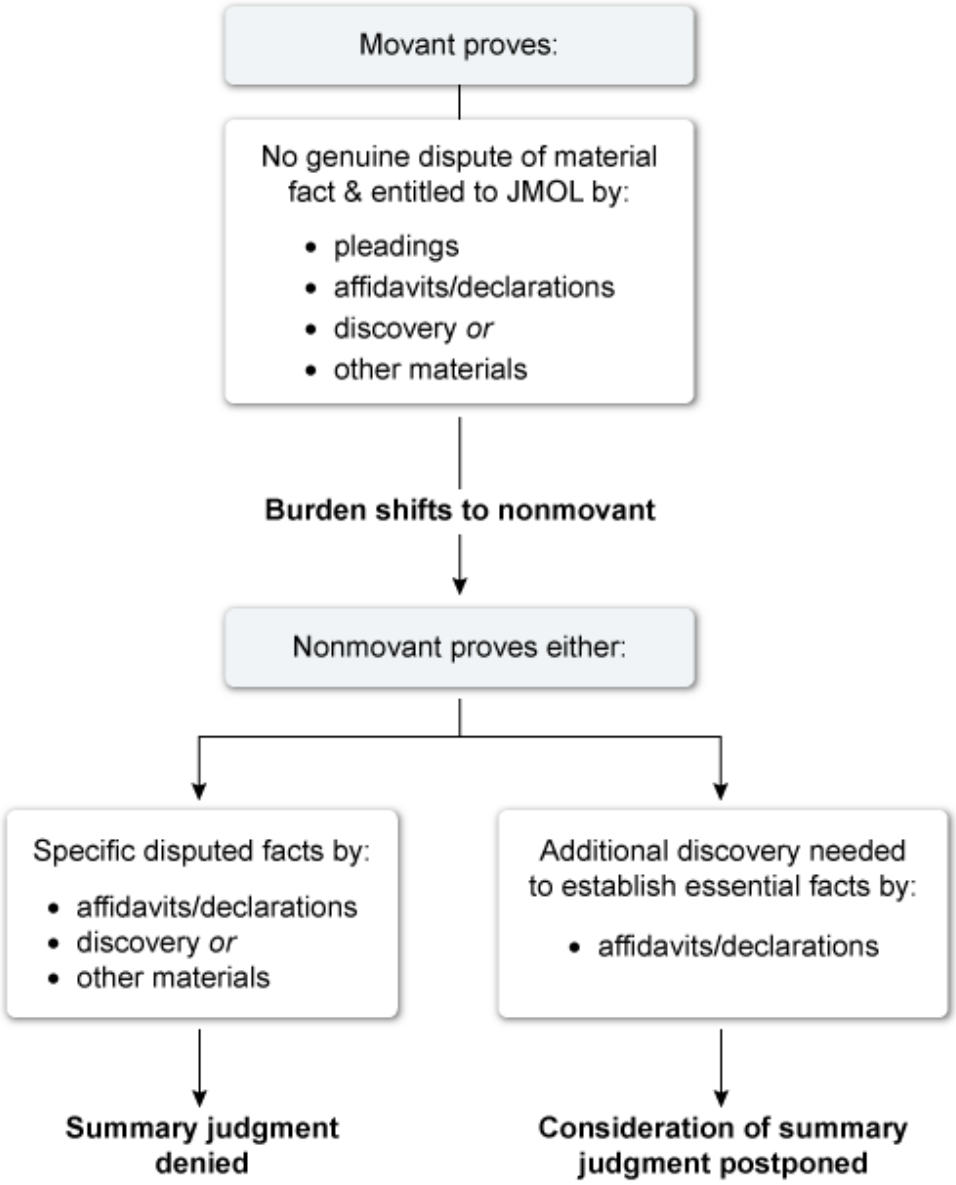
References

- Fed. R. Civ. P. 56 (summary judgment).
- 73 Am. Jur. 2d Summary Judgment § 27 (2020) (explaining summary judgment procedure when facts are unavailable to the nonmovant).

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Burden of proof for summary judgment



JMOL = Judgment as a matter of law.

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A plaintiff sued a defendant in federal court for trademark infringement. At the conclusion of trial, the judge instructed the 10-member jury. In the jury deliberation room, one of the jurors pulled out his cell phone and searched for "trademark infringement." He read aloud from an article that said, "trademark infringement hurts the U.S. economy." The jury foreman directed the juror to stop reading and sent a note to the judge describing the incident.

The judge brought the jury back to the courtroom and reminded the members of their obligation not to consult outside sources during deliberations. She confiscated their phones, instructed them to ignore the juror's misconduct, and directed them to continue deliberating. The jury returned to the deliberation room. After three hours, the jury returned a verdict in favor of the defendant. The court entered a final judgment consistent with the verdict.

The plaintiff moved for a new trial based on the juror's conduct 21 days after the entry of the final judgment.

How will the judge likely rule on the plaintiff's motion?

A. Deny the motion, because the juror's misconduct was harmless.

B. Deny the motion, because the plaintiff waived its right to challenge the juror's conduct by filing an untimely motion for new trial.

C. Grant the motion, because the judge should have removed the juror from the jury.

D. Grant the motion, because the juror engaged in misconduct by consulting outside information.

Explanation:

Grounds for new trial

- Prejudicial trial error (eg, erroneous evidentiary ruling)
- Prejudicial misconduct by judge, attorney, party, or juror
- Verdict not supported by clear weight of evidence
- Verdict based on false/nonexistent evidence
- Excessive or inadequate damages
- Newly discovered evidence

A court can grant a **new trial** if a juror (or judge, party, or attorney) engaged in ***prejudicial* misconduct** during the trial. Misconduct is prejudicial when it **affects** a **party's substantial rights**. This requires the court to determine with fair assurance whether the jury's verdict was influenced by the misconduct. If there was **no improper influence**, then the misconduct was **harmless** and does not provide a basis for a new trial. For example, misconduct can be made harmless (ie, "cured") if the judge admonishes the jury to disregard that conduct.

Here, a juror read aloud from an article that "trademark infringement hurts the U.S. economy." This misconduct may have initially prejudiced the defendant who had allegedly engaged in trademark infringement. But it did not prejudice the plaintiff because the statement *supported* the plaintiff as the holder of the trademark.* Therefore, the court will likely find that the misconduct was harmless and deny the plaintiff's motion for a new trial **(Choice D)**.

*Even if this misconduct had prejudiced the plaintiff, the prejudice was likely cured when the judge confiscated the jurors' phones, instructed them to ignore the juror's misconduct, and directed them to continue deliberating.

(Choice B) A party must file a motion for a new trial within 28 days after the entry of a final judgment. Therefore, the plaintiff's motion for new trial—filed 21 days after the court entered the final judgment—was timely.

(Choice C) A juror *may* be removed during trial if the juror can no longer capably serve on the jury (eg, due to medical issues) or if the juror engaged in misconduct (as seen here). However, the judge has considerable discretion to decide whether removal is warranted.

Educational objective:

A new trial is warranted when a juror engaged in prejudicial misconduct—ie, misconduct that affects a party's substantial rights by influencing the jury's verdict. If misconduct is *not* prejudicial, then it is merely harmless error that does not warrant a new trial.

References

- Fed. R. Civ. P. 61 (harmless error).
- 58 Am. Jur. 2d New Trial § 143 (2019) (explaining that a juror's misconduct must be prejudicial to warrant a new trial).

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A woman brought a diversity action against a pharmaceutical company in a federal court in State A for strict products liability arising under State A law. The woman claims that the company defectively manufactured her medication, which caused her to suffer a stroke that led to complete paralysis of the left side of her body.

The company moved for summary judgment, arguing that a State A statute forbids strict products liability lawsuits against pharmaceutical companies. The federal court granted the motion and entered summary judgment dismissing the woman's action with prejudice.

Fourteen days after the federal court entered summary judgment, the highest court in State A held that the State A statute granting immunity to pharmaceutical companies only applies to strict products liability actions alleging a design defect.

What is the best course of action the woman's lawyer could take?

A. File a motion for judgment as a matter of law.

B. File a motion to amend the summary judgment.

C. File a motion to correct the mistake in the summary judgment.

D. Refile the strict products liability action against the pharmaceutical company.

Explanation:

Motion to alter or amend final judgment

Motion must be made within 28 days on any of following grounds:

- Judgment based on manifest error of law or fact (eg, court applied wrong law)
- Necessary to prevent manifest injustice (eg, attorney or juror misconduct)
- Discovery of new evidence that was unavailable during trial
- Intervening change in controlling law

A party can file a **motion to alter or amend** a final judgment (eg, a summary judgment) within 28 days after entry of that judgment. This motion can be based on several grounds (see image above), including an **intervening change** in the **controlling law**.

Here, a State A federal district court entered summary judgment in favor of the pharmaceutical company because a State A statute forbade strict products liability lawsuits against pharmaceutical companies. Fourteen days later, the highest court in State A held that the statute only grants such immunity in strict products liability actions alleging a *design* defect. Since the woman alleges a *manufacturing* defect, the best course her lawyer could take is to quickly file a motion to amend the summary judgment. This will allow her case to proceed in federal court.

(Choice A) A party can move for judgment as a matter of law (JMOL) only after the nonmovant has had an opportunity to present evidence at trial (not seen here). Additionally, there is no indication that the woman has offered proof that the company defectively manufactured the medication at issue that would entitle her to JMOL.

(Choice C) A motion to correct a mistake is appropriate when a judgment contains a clerical mistake or a mistake arising from an oversight or omission. However, no such mistakes exist in the summary judgment at issue here. Instead, the summary judgment was based on substantive controlling law that has since changed.

(Choice D) The woman could refile her strict products liability action against the pharmaceutical company. However, this would not be the best way to challenge the summary judgment since this would likely be more expensive and time-consuming than moving to amend the judgment.

Educational objective:

A party can move to alter or amend a final judgment, including a summary judgment, within 28 days after entry of the judgment. One ground for such a motion is that there has been an intervening change in the controlling law.

References

- Fed. R. Civ. P. 59(e) (motion to alter or amend a judgment).

- 47 Am. Jur. 2d Judgments § 636 (2020) (explaining the grounds for a motion to alter or amend a final judgment).

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A plaintiff has brought a federal diversity action against a defendant, alleging that the defendant defamed and inflicted emotional distress on the plaintiff. The plaintiff had the summons and complaint delivered to the defendant's home by the plaintiff's 18-year-old nephew. The nephew handed the documents to the defendant's 16-year-old daughter who resides there. She placed the documents on the kitchen table, and the defendant reviewed those documents later that week. After reading the complaint, the defendant could not determine what conduct the plaintiff was claiming had caused the emotional distress.

What is the defendant's best response to the plaintiff's complaint?

A. File a motion for a more definite statement.

B. File a motion for judgment on the pleadings.

C. File a motion to dismiss for improper service of process.

D. File a motion to strike the emotional distress claim.

Explanation:

FRCP 12 motions

12(b) Motion asserting any of the following defenses:

- Lack of subject-matter or personal jurisdiction
- Improper venue
- Insufficient process or service of process
- Failure to state claim upon which relief can be granted
- Failure to join required party

12(c) Motion for judgment on the pleadings

12(e) Motion for more definite statement in pleading

12(f) Motion to strike insufficient defense or immaterial matter from pleading

FRCP = Federal Rule of Civil Procedure.

When a party believes that a pleading (eg, complaint) is **so vague or ambiguous** that the party **cannot reasonably draft a response**, the **party should file** an FRCP 12(e) **motion for a more definite statement**. If the court grants this motion because the pleading lacks the requisite specificity, the nonmovant must provide a more definite statement (eg, amended complaint) that will allow the movant to file a responsive pleading (eg, answer).

Here, the defendant could not determine what conduct the plaintiff was claiming had caused the emotional distress. Therefore, a motion for a more definite statement is the defendant's best response to the plaintiff's unclear complaint.

(Choice B) Under FRCP 12(c), a party may move for a judgment on the pleadings after the pleadings have closed—ie, once the plaintiff's complaint and the defendant's answer have been served. Since the defendant has not yet served an answer, a motion for judgment on the pleadings would be improper.

(Choice C) An individual can be served with process if the summons and complaint are delivered to the individual's dwelling and left with a resident of suitable age and discretion (16-year-old daughter). Process can be served by any person who is at least 18 years old and not a party to the suit (18-year-old nephew). As a result, a motion to dismiss for improper service of process would be unsuccessful.

(Choice D) A party may move to strike an insufficient defense or any redundant, scandalous, impertinent, or immaterial matter from an opposing party's pleading under FRCP 12(f). Since the plaintiff's complaint contains none of these matters, a motion to strike the emotional distress claim would not be the defendant's best response.

Educational objective:

A party should move for a more definite statement when a pleading is so vague or ambiguous that the party cannot reasonably draft a responsive pleading.

References

- Fed. R. Civ. P. 12(e) (motion for a more definite statement).

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A plaintiff sued a defendant in federal court for injuries arising out of an accident involving the parties. The plaintiff alleged and presented evidence at trial demonstrating that her injuries had left her legs permanently paralyzed. The jury found in favor of the plaintiff and awarded her $5 million in damages. Two months after the court entered judgment, the defendant was given a video made that day showing the plaintiff jogging with her doctor.

What is the best way for the defendant to seek relief from the judgment?

A. Move for a new trial or in the alternative for remittitur to reduce the award in light of the shortened duration of the plaintiff's injuries.

B. Move for relief from the judgment on the ground that the judgment was based on the jury's mistaken belief that the plaintiff's injuries would be permanent.

C. Move for relief from the judgment on the ground that the plaintiff committed a fraud in obtaining damages for permanent injuries.

D. Move for relief from the judgment on the ground that there is newly discovered evidence that the plaintiff's injuries were not permanent.

Explanation:

Relief from final judgment

(FRCP 60(b))

Grounds for relief	**Time to file**
• Mistake, inadvertence, surprise, excusable neglect • Newly discovered evidence • Fraud, misrepresentation, misconduct	Within one year
• Void judgment (eg, lack of jurisdiction) • Judgment: – satisfied, released, discharged – based on reversed or vacated judgment *or* – will violate equity if applied prospectively • Other reason justifying relief (rare)	Within reasonable time

FRCP = Federal Rule of Civil Procedure.

Under Federal Rule of Civil Procedure (FRCP) 60(b), a party can seek **extraordinary relief** from a district court's final judgment in **limited circumstances**. This motion may generally be made within a reasonable time, but it *must* be made **within *one* year** from the entry of the final judgment when the motion asserts any of the following grounds for relief:

- The judgment was due to mistake, inadvertence, surprise, or excusable neglect by the *parties* or the *court* **(Choice B)**.
- The party has discovered new evidence that existed at the time of the trial and could not have reasonably been discovered in time to move for a new trial—ie, within 28 days of the final judgment.
- The **opposing party** engaged in misrepresentation, misconduct, or **fraud**.

Here, the court entered a final judgment awarding the plaintiff $5 million for injuries that allegedly left her legs *permanently* paralyzed. Two months later, the defendant received a video showing the plaintiff jogging. Since this video shows that the plaintiff committed a *fraud* in obtaining damages, the defendant should move for relief from the judgment on this ground.

(Choice A) Motions for new trial and motions for remittitur must be filed within *28 days* after a final judgment is entered. Since this deadline has passed, the defendant cannot obtain relief through these motions.

(Choice D) Evidence is "newly discovered" if it existed at the time of the trial and could not have reasonably been discovered in time to move for a new trial. Therefore, the video created two months *after* trial is not newly discovered evidence within the meaning of FRCP 60(b).

Educational objective:

A party may obtain extraordinary relief from a final judgment within one year from the entry of a judgment that is based on (1) mistake, inadvertence, surprise, or excusable neglect by the parties or court, (2) newly discovered evidence, or (3) the opposing party's fraud, misrepresentation, or misconduct.

References

- Fed. R. Civ. P. 60(b)–(c) (extraordinary relief from judgment).

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A man brought a federal diversity action against his insurance company, alleging that the company had breached its duty under his insurance policy by refusing to pay for his medical expenses resulting from a mountain-biking accident.

At the jury trial, the man presented evidence that he had paid all premiums on the insurance policy and that the policy covered personal-injury-related medical expenses arising from accidents. After he rested his case, the company presented evidence that a provision of the policy excluded payment for injury-related expenses resulting from an insured's "unduly risky" behavior. The company also presented a witness who testified that the accident had occurred in an area where posted signs warned bikers not to enter. The man did not cross-examine the witness.

After resting its case, the company moved for judgment as a matter of law.

Should the court grant the motion?

A. No, because a motion for judgment as a matter of law must first be made at the close of the plaintiff's case-in-chief.

B. No, because whether the man's behavior was unduly risky is a question of fact for the jury to resolve.

C. Yes, because the company's uncontradicted evidence of the man's unduly risky behavior means that no reasonable jury could find that the policy covers his injuries.

D. Yes, because the man waived his right to rebut the company's evidence by not addressing the "unduly risky" policy provision in his case-in-chief.

Explanation:

Motion for judgment as a matter of law

(FRCP 50)

Time to file	• May be filed after nonmovant presents its case but before case is submitted to jury • May be renewed within 28 days after entry of final judgment
Procedural requirements	• Movant must: – specify judgment sought & law/facts entitling movant to judgment • Court must: – view evidence & draw all reasonable inferences in nonmovant's favor – disregard evidence favorable to movant that jury is not required to believe – not consider credibility of witnesses or evaluate weight of evidence
Standard for grant	• Evidence is legally insufficient for reasonable jury to find in nonmovant's favor

FRCP = Federal Rule of Civil Procedure.

A motion for **judgment as a matter of law** (JMOL) is a request that the court enter a judgment in favor of the movant because the **evidence is legally insufficient** for a reasonable jury to find in the nonmovant's favor. This means that the court should deny the motion for JMOL and allow the **jury to decide** the case if reasonable persons could reach different conclusions based on the evidence.

Here, the issue is whether the man's actions constituted "unduly risky" behavior. The company presented evidence that the man went mountain biking in an area where posted signs warned bikers not to enter. But since it did not present evidence showing *why* these signs were posted, a reasonable jury could conclude that they were meant to keep bikers out for multiple reasons (eg, to protect wildlife). As a result, whether the man's behavior was unduly risky is a question of fact for the jury to resolve, and the company's motion for JMOL should be denied.

(Choice A) A motion for JMOL may be filed *any* time after the nonmovant has had an opportunity to present evidence supporting a claim or defense and before the case is submitted to the jury. Therefore, the company did not need to move for JMOL at the close of the man's case-in-chief.

(Choice C) Although the man submitted no evidence to contradict the company's evidence, a reasonable jury could still conclude that his actions were not "unduly risky."

(Choice D) The man had no duty to address the "unduly risky" policy provision in his case-in-chief because the company raised it as a defense. The man could have rebutted the company's evidence through cross-examination but was not required to do so.

Educational Objective:

A court may grant a motion for judgment as a matter of law when the evidence is legally insufficient for a reasonable jury to find in the nonmovant's favor. As a result, the court should deny the motion and allow a jury to decide the case if reasonable persons could reach different conclusions based on the evidence.

References

- Fed. R. Civ. P. 50 (judgment as a matter of law).

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The parents of a teenager from State A sued a construction company from State B for negligence on behalf of the teenager in a federal district court. The parents requested $100,000 in damages and demanded a jury trial. The construction company denied liability. At trial, the parents presented evidence that the construction company failed to sufficiently warn about the excavation pit on its worksite, these insufficient warnings caused the teenager to fall into the pit, and the teenager suffered severe injuries as a result.

Immediately after the parents presented their case and before offering any evidence in its defense, the construction company moved for judgment as a matter of law.

May the court consider the construction company's motion?

A. No, because the construction company has not presented any evidence in its defense.
B. No, because the construction company may only move for judgment as a matter of law after the court enters a final judgment.
C. Yes, because the construction company may move for judgment as a matter of law at any time before the case is submitted to the jury.
D. Yes, because the parents had an opportunity to present their case.

Explanation:

A motion for **judgment as a matter of law** (JMOL) is a request that the court issue a judgment in the movant's favor because the **evidence is legally insufficient** for a reasonable jury to find in favor of the nonmovant. This motion may be filed before the case is submitted to the jury but only **after the nonmovant** has had the opportunity to **present evidence** to establish a claim or defense **(Choice C)**. That means that a defendant may move for JMOL after the plaintiff presents its case.

Here, the parents (plaintiffs) had an opportunity to present evidence that the construction company (defendant) was negligent. Since the construction company moved for JMOL after the parents had that opportunity, the court may consider the motion. The court will then grant the motion if the parents failed to present legally sufficient evidence for the jury to reasonably conclude that the construction company is liable for negligence—eg, if the parents failed to present evidence establishing the construction company's duty of care.

(Choice A) The construction company may move for JMOL even though it has presented no evidence in its defense. That is because the parents, as the plaintiffs, have the burden to prove their claim.

(Choice B) A party may *renew* its motion for JMOL within 28 days after the court enters a final judgment consistent with the jury's verdict if that party moved for JMOL before the case was submitted to the jury and the court denied it.

Educational objective:

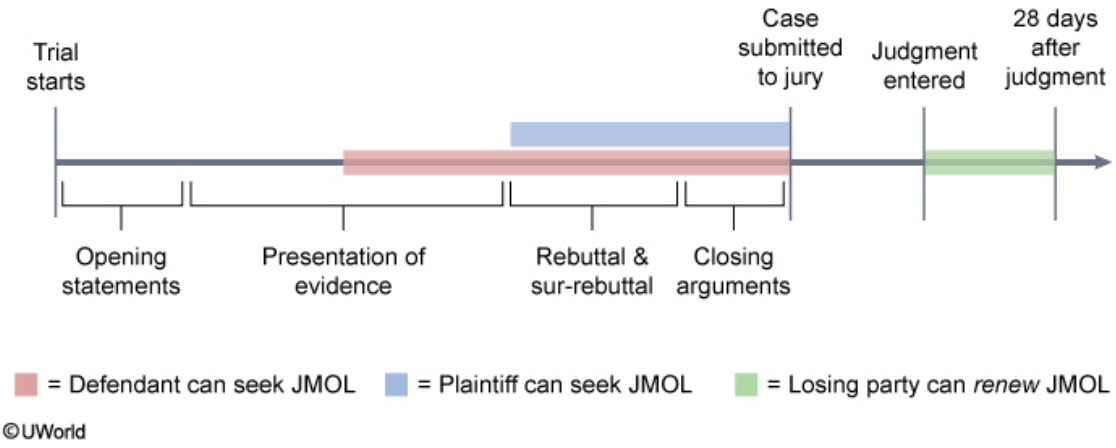
A motion for judgment as a matter of law requests that the court issue a judgment in favor of the movant because the evidence is legally insufficient for a reasonable jury to find in the nonmovant's favor. This motion may be filed before the case is submitted to the jury but only after the nonmovant has had the opportunity to present its case.

References

- Fed. R. Civ. P. 50 (judgment as a matter of law).

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Timeline for seeking judgment as a matter of law (JMOL)



= Defendant can seek JMOL = Plaintiff can seek JMOL = Losing party can *renew* JMOL

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A retailer brought a federal diversity action against a wholesaler, alleging breach of contract and fraudulent misrepresentation. After the parties presented their evidence at trial, the court instructed the jury on the law. Neither party filed a motion for judgment as a matter of law before the case went to the jury.

The jury found for the retailer on both claims. After the court entered judgment on the verdict, the wholesaler moved for a new trial and for judgment as a matter of law, arguing that the evidence was insufficient to support the jury verdict on either claim. The court acknowledged that there had been problems with some of the evidence, but it denied the motions. The wholesaler appealed, challenging the sufficiency of the evidence.

Should the appellate court consider the wholesaler's challenge?

A. No, because a determination of the sufficiency of the evidence is solely within the jury's province.

B. No, because the wholesaler did not raise the sufficiency-of-the-evidence issue in a motion for judgment as a matter of law before the case went to the jury.

C. Yes, because, as the trial court acknowledged, the wholesaler has strong arguments on the challenge.

D. Yes, because the challenge was raised and ruled on by the trial court before the wholesaler filed the appeal.

Explanation:

A party may **challenge on appeal** the **sufficiency of the evidence** supporting the jury's verdict so long as that party made the appropriate motions during and after trial. To preserve a sufficiency-of-the-evidence issue for appeal, Federal Rule of Civil Procedure (FRCP) 50 **requires** that a party do the following:

- Before the case is submitted to the jury, **move for judgment as a matter of law** (JMOL)—ie, a judgment entered in favor of the movant because the evidence is legally insufficient for a reasonable jury to find in the nonmovant's favor
- Within 28 days after the entry of final judgment, file a **renewed motion for JMOL**—the party may also include an alternative or joint request for a new trial with this motion

Here, the wholesaler moved for JMOL and a new trial *after* the court entered judgment on the jury's verdict. However, the wholesaler did *not* raise the sufficiency-of-the-evidence issue in a motion for JMOL *before* the case went to the jury as required by FRCP 50. As a result, the wholesaler did not preserve this issue for appeal, and the appellate court should not consider the wholesaler's challenge.

(Choice A) A determination of the sufficiency of the evidence is not solely within the jury's province because the trial and appellate court may assess whether the evidence was legally sufficient to support the verdict.

(Choices C & D) The trial court acknowledged that the wholesaler has strong arguments for challenging the sufficiency of the evidence and ruled on the wholesaler's posttrial motions.* However, the appellate court cannot consider that challenge because the wholesaler failed to move for JMOL before the case was submitted to the jury.

*Technically, the trial court erred in considering the merits of the wholesaler's motion for JMOL since the motion was not made before the case was submitted to the jury.

Educational objective:

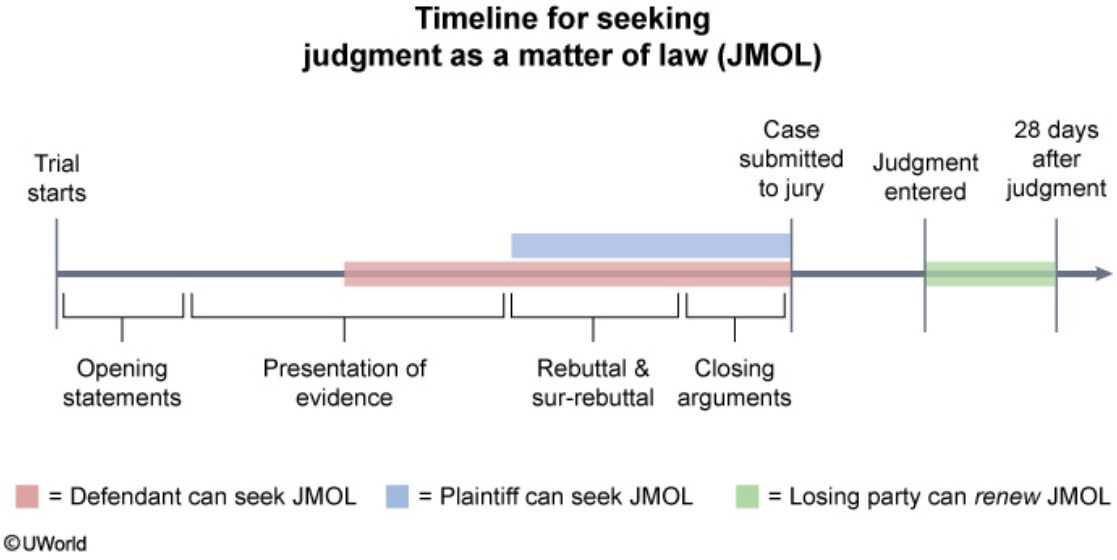
A party may challenge on appeal the sufficiency of the evidence supporting the jury's verdict if that party (1) moved for judgment as a matter of law (JMOL) before the case was submitted to the jury and (2) renewed its motion for JMOL within 28 days after the entry of judgment.

References

- Fed. R. Civ. P. 50(a) (motion for judgment as a matter of law).
- Unitherm Food Sys., Inc. v. Swift-Eckrich, Inc., 546 U.S. 394, 399–402 (2006) (explaining the procedural requirements to challenge the sufficiency of evidence supporting a jury verdict).

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After being fired, a woman sued her former employer in federal court, alleging that her supervisor had discriminated against her on the basis of her sex. The woman's complaint included a lengthy description of what the supervisor had said and done over the years, quoting his telephone calls and emails to her and her own emails to the supervisor's manager asking for help.

The employer moved for summary judgment, alleging that the woman was a pathological liar who had filed the action and included fictitious documents in revenge for having been fired. Because the woman's attorney was at a lengthy out-of-state trial when the summary judgment motion was filed, he failed to respond to it. The court therefore granted the motion in a one-line order and entered final judgment. The woman has appealed.

Is the appellate court likely to uphold the trial court's ruling?

A. No, because the complaint's allegations were detailed and specific.

B. No, because the employer moved for summary judgment on the basis that the woman was not credible, creating a factual dispute.

C. Yes, because the woman's failure to respond to the summary judgment motion means that there was no sworn affidavit to support her allegations and supporting documents.

D. Yes, because the woman's failure to respond to the summary judgment motion was a default giving sufficient basis to grant the motion.

Explanation:

Motion for summary judgment

(FRCP 56)

Time to file	• Motion may be filed until 30 days after close of discovery OR time set by local rule or court
Burden of proof	• Movant has initial burden to establish standard – may support by relying on pleadings, affidavits, declarations, discovery, or other materials containing admissible facts • If initial burden is met, burden shifts to nonmovant to either: – show specific disputed facts through affidavits, declarations, discovery, or other materials containing admissible facts (cannot rely on pleadings) *or* – request postponement for additional discovery & support with affidavit or declaration
Standard for grant	• No genuine dispute as to any material fact AND movant entitled to judgment as a matter of law – evidence must be viewed in light most favorable to nonmovant – all doubts must be resolved in nonmovant's favor

FRCP = Federal Rule of Civil Procedure.

A motion for **summary judgment** is a request that the court enter judgment without a full trial. A trial court can only grant summary judgment if the movant shows that:

- there is ***no* genuine dispute of material fact** (ie, a fact of consequence to the outcome of the case) *and*
- the evidence is legally insufficient for a reasonable jury to find in the nonmovant's favor, so the movant is entitled to **judgment as a matter of law**.

Therefore, an appellate court will uphold a trial court's grant of summary judgment only if these elements are met.

Here, the employer's motion for summary judgment alleged that the woman was a pathological liar who used fictitious documents to support her sex discrimination claim. By challenging the woman's credibility in this manner, the employer disputed all the factual allegations set forth in her complaint. Since this created a genuine dispute of material fact, the appellate court will likely reverse (ie, not uphold) the trial court's grant of summary judgment.

(Choice A) The detail and specificity of the woman's allegations do not automatically prevent the court from entering summary judgment. Instead, the woman's allegations *and* the allegations raised in the employer's motion must show that there is a genuine dispute of material fact that bars summary judgment (as seen here).

(Choices C & D) The woman was not required to respond to the summary judgment motion until the man showed that he was entitled to such relief. Had this initial burden been met, the burden would have shifted to the woman to show the existence of a genuine dispute of material fact through affidavits, declarations, or other materials containing admissible facts. Only then would her failure to respond constitute a default.

Educational objective:

Summary judgment should be granted if the movant shows that (1) there is no genuine dispute as to any material fact and (2) the movant is entitled to judgment as a matter of law. A factual dispute exists if the movant challenges the credibility of the nonmovant's allegations.

References

- Fed. R. Civ. P. 56 (summary judgment).
- Celotex Corp. v. Catrett, 477 U.S. 317, 323–24 (1986) (explaining the summary judgment process and the support required from the moving and nonmoving parties).

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A plaintiff sued a defendant in a federal district court for breach of contract. After the trial, the jury returned a verdict in favor of the plaintiff and awarded her $1,000,000. The district court entered a final judgment consistent with the jury's verdict. The defendant then filed a notice of appeal, alleging that the district court abused its discretion by failing to exclude several pieces of evidence during trial. The day after the notice of appeal was filed, the district court discovered that the final judgment listed only a $1,000 award for the plaintiff. The appellate court has not docketed the appeal of the final judgment.

How is the district court likely to proceed?

A. Correct the mistake in the judgment on its own initiative.

B. Instruct the appellate court to correct the mistake in the judgment on appeal.

C. Provide the parties with notice and an opportunity to be heard before correcting the mistake in the judgment.

D. Request permission from the appellate court to correct the mistake in the judgment.

Explanation:

Posttrial correction of mistakes

(FRCP 60(a))

Type of mistake	Definition	Time of correction
Clerical	Misstatement of court's intent • Eg, court entered judgment for "$10,000" instead of "$100,000"	• Before appeal docketed: on court's own initiative or by motion • After appeal docketed: with appellate court's leave
Oversight/omission	Exclusion misrepresents court's intent • Eg, judgment failed to include required interest in award	

FRCP = Federal Rule of Civil Procedure.

FRCP 60 allows a district court to **correct a clerical mistake** or a mistake arising from an **oversight or omission** in a judgment, order, or other part of the record. The court may do so **on its own initiative** (ie, sua sponte) or pursuant to a party's motion ***before* an appeal** from the judgment or order **is docketed**—ie, added to the appellate court's schedule. The **appellate court's leave** (ie, permission) is only required ***after* the appeal has been docketed**.

Here, a clerical mistake occurred since the jury's verdict awarded the plaintiff $1,000,000 but the final judgment awarded her only $1,000. Although the defendant had filed a notice of appeal from the judgment, the appeal has not yet been docketed. Therefore, the district court does not need to obtain the appellate court's permission and likely will correct the mistake on its own initiative **(Choice D)**.

(Choice B) A district court does not have the power to instruct an appellate court how to act. Instead, appellate courts have the power to review the decisions of district courts within their boundaries and issue instructions that the district court must follow when a case is remanded.

(Choice C) A district court need not provide the parties with notice or an opportunity to be heard before it corrects a mistake in a judgment before an appeal is docketed. Instead, the court may do so on its own initiative.

Educational objective:

A district court may correct a mistake in a judgment, order, or other part of the record on its own initiative or pursuant to a party's motion before an appeal from the judgment or order is docketed. The district court need only obtain the appellate court's leave to correct the mistake after the appeal has been docketed.

References

- Fed. R. Civ. P. 60(a) (correction of mistake in judgment or order).
- 11 Charles Alan Wright et al., Federal Practice and Procedure § 2856 (3d ed. 2020) (explaining how a court may correct a mistake after an appeal has been taken).

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A group of consumers sued a company in federal court for violating federal antitrust laws. Immediately after presenting evidence in its defense, the company moved for judgment as a matter of law. The judge denied the motion. The jury returned a verdict in favor of the consumers. The court expressed surprise at the verdict, noting the scarcity of evidence in favor of the consumers, but nevertheless entered a judgment consistent with the verdict. Twenty days later, the company renewed its motion for judgment as a matter of law, challenging the sufficiency of the evidence. The motion was denied. The company then filed a notice of appeal, challenging the sufficiency of the evidence supporting the jury's verdict.

Is the appellate court likely to review the company's challenge?

A. No, because the company's motion for judgment as a matter of law at the close of its defense was untimely.

B. No, because the jury has complete discretion to determine the sufficiency of the evidence presented by the consumers.

C. Yes, because the company timely renewed its motion for judgment as a matter of law.

D. Yes, because the jury verdict based on scarce evidence was clearly erroneous.

Explanation:

Under Federal Rule of Civil Procedure 50, a party can challenge the sufficiency of the evidence supporting a jury verdict on appeal if it:

- **moved** for **judgment as a matter of law** (JMOL) **before** the case was **submitted to the jury** *and*
- filed a **renewed motion for JMOL** within **28 days after** the entry of **final judgment** that could have included an alternative or joint request for a new trial.*

Here, the company moved for JMOL after presenting its evidence and before the case was submitted to the jury, which the judge denied. The company then timely renewed its motion for JMOL within 28 days after final judgment was entered. This means that the company preserved its sufficiency-of-the-evidence challenge for appeal, and the appellate court is likely to review this challenge.

*If the court grants a renewed motion for JMOL, it also must conditionally rule on any motion for a new trial by determining whether a new trial would be warranted if the court's judgment is later reversed.

(Choice A) A defendant can move for JMOL any time after the plaintiff has presented its case but before the case is submitted to the jury. And since the defendant here moved for JMOL at the close of its defense and before the case was submitted to the jury, the motion was timely.

(Choice B) The jury, as the trier of fact, has complete discretion to weigh the evidence presented at trial to determine if a party has met its burden of proof. However, the appellate court may still review the legal sufficiency of a jury's determinations. When doing so, the appellate court must give great deference to and uphold the jury's determinations if they are supported by substantial evidence (ie, more than a scintilla).

(Choice D) Although the jury's verdict was based on scarce evidence, the clearly-erroneous standard of review is used to review factual findings in a bench (not jury) trial.

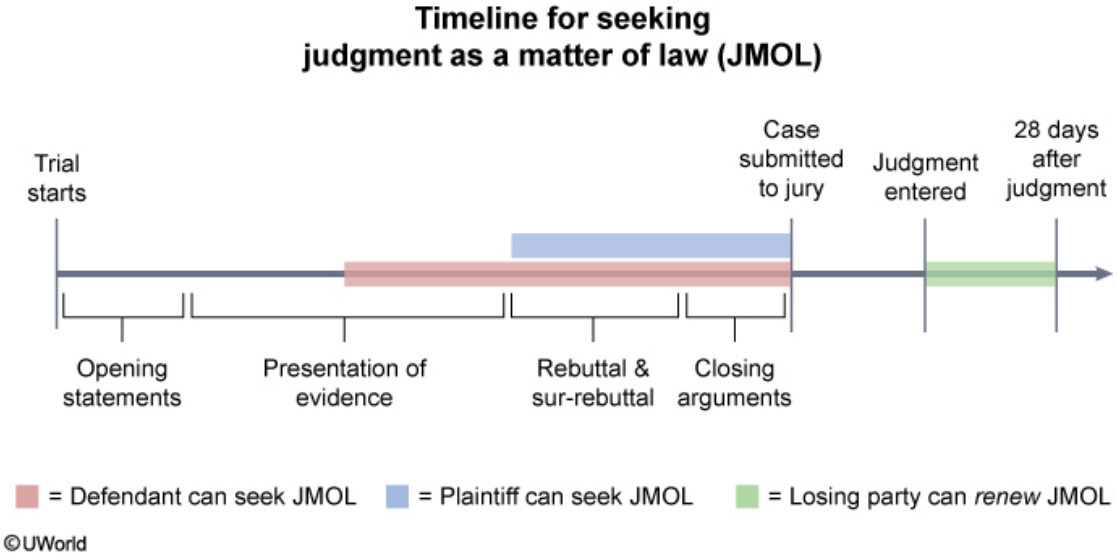
Educational objective:

A party may challenge the sufficiency of the evidence supporting the jury's verdict on appeal if that party (1) moved for judgment as a matter of law (JMOL) before the case was submitted to the jury and (2) renewed its motion for JMOL within 28 days after the entry of final judgment.

References

- Fed. R. Civ. P. 50 (judgment as a matter of law).
- Unitherm Food Sys., Inc. v. Swift-Eckrich, Inc., 546 U.S. 394, 399–402 (2006) (explaining the procedural requirements to challenge the sufficiency of evidence supporting a jury verdict).

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An artist from State A filed a federal diversity suit in State B against an art collector from State B for conversion. The complaint alleges that the collector stole a painting from the artist 50 years ago and requests a jury trial on this issue. The statute of limitations for conversion, measured from the time the plaintiff learns that the defendant possesses the property at issue, is 25 years in State A and 10 years in State B.

During discovery, the collector deposed the artist. At her deposition, the artist stated that she knew that the collector had purchased the painting 20 years ago at an auction, but she did not try to recover the painting at that time because she did not want the hassle of a court case to distract her from creating art. However, due to her advancing age, she now seeks to reclaim her painting.

The collector immediately moved for summary judgment. The collector stipulated to all of the facts alleged by the artist at her deposition and attached a transcript of her deposition testimony to the motion. The artist did not respond.

Is the federal court likely to grant the collector's motion?

A. No, because the collector failed to attach an affidavit to the motion.

B. No, because the statute of limitations has not expired.

C. Yes, because the artist did not respond to the motion.

D. Yes, because the collector is entitled to judgment as a matter of law.

Explanation:

Motion for summary judgment

(FRCP 56)

Time to file	• Motion may be filed until 30 days after close of discovery OR time set by local rule or court
Burden of proof	• Movant has initial burden to establish standard – may support by relying on pleadings, affidavits, declarations, discovery, or other materials containing admissible facts • If initial burden is met, burden shifts to nonmovant to either: – show specific disputed facts through affidavits, declarations, discovery, or other materials containing admissible facts (cannot rely on pleadings) *or* – request postponement for additional discovery & support with affidavit or declaration
Standard for grant	• No genuine dispute as to any material fact AND movant entitled to judgment as a matter of law – evidence must be viewed in light most favorable to nonmovant – all doubts must be resolved in nonmovant's favor

FRCP = Federal Rule of Civil Procedure.

A motion for **summary judgment** is a request that the court enter judgment without a full trial. A court may grant summary judgment if the movant shows that:

- there is **no genuine dispute of material fact** *and*
- the **evidence is legally insufficient** for a reasonable jury to find in the nonmovant's favor, so the movant is entitled to **judgment as a matter of law**.

Here, there is no genuine issue of material fact because the collector stipulated to all of the facts alleged by the artist at her deposition. The artist testified that she learned that the collector purchased the painting *20* years ago. Since the federal court must apply the substantive law of the state in which it is located, her claim was filed after State B's 10-year statute of limitations had expired **(Choice B)**. As a result, the collector is entitled to judgment as a matter of law, and the court should grant his motion for summary judgment.

(Choice A) The collector did not need to attach an affidavit to his motion. That is because he can rely on pleadings, discovery materials, and other materials containing admissible facts to support his request for summary judgment.

(Choice C) The artist is not required to respond to the motion since the collector has the burden to prove that he is entitled to judgment as a matter of law.

Educational objective:

A court should grant summary judgment if the movant shows that there is no genuine issue of material fact and he/she is entitled to judgment as a matter of law (eg, because the statute of limitations has expired).

References

- Fed. R. Civ. P. 56 (summary judgment).

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A basketball coach sued the university that employed her for violating a federal law that prohibits religious discrimination. The coach claimed that the university dismissed her due to her religious beliefs. The university denied this allegation and asserted that the coach was dismissed because she had a subpar coaching record.

At trial, the coach testified that the university's athletic director frequently disparaged the coach's religious beliefs when the two met to discuss the coach's employment status. The athletic director had died before the trial commenced. Based on this evidence, the jury returned a verdict in favor of the coach and awarded her $3 million in damages. Six months after the district court entered judgment consistent with the verdict, the university discovered that the coach had secretly recorded her meetings with the athletic director but never disclosed the existence of the recordings when the university requested that she turn over all relevant evidence before trial. In these recordings, the athletic director never mentioned the coach's religious beliefs and focused entirely on her subpar coaching record.

What is the best way for the university to seek relief from the judgment?

A. Move for a new trial based on the newly discovered evidence.

B. Move for relief from the judgment based on the newly discovered evidence.

C. Move to alter or amend the judgment based on the newly discovered evidence.

D. Move to correct the mistaken judgment based on the newly discovered evidence.

Explanation:

Relief from final judgment

(FRCP 60(b))

Grounds for relief	**Time to file**
• Mistake, inadvertence, surprise, excusable neglect • Newly discovered evidence • Fraud, misrepresentation, misconduct	Within one year
• Void judgment (eg, lack of jurisdiction) • Judgment: – satisfied, released, discharged – based on reversed or vacated judgment *or* – will violate equity if applied prospectively • Other reason justifying relief (rare)	Within reasonable time

FRCP = Federal Rule of Civil Procedure.

A party can seek **extraordinary relief** from a district court's final judgment in **limited circumstances** (see table above). This motion for relief may generally be made within a reasonable time, but it *must* be made **within one year** from the entry of the final judgment when the motion asserts any of the following grounds for relief:

- The judgment was due to mistake, inadvertence, surprise, or excusable neglect by the nonmovant or the court.
- The movant has **discovered new evidence** that existed at the time of the trial and could not have reasonably been discovered in time to move for a new trial—ie, within 28 days of the final judgment.
- The nonmovant engaged in misrepresentation, misconduct, or fraud.

Here, the university requested that the coach turn over all relevant evidence before trial. The coach's recordings of her conversations with the deceased athletic director existed at that time, but she did not disclose them. As a result, the university did not learn of the recordings until six months after entry of the final judgment. The university should therefore move for relief from the judgment based on this newly discovered evidence before the one-year deadline expires.*

*The university could also move to obtain relief on the ground that the coach engaged in misconduct by failing to disclose the existence of the recordings when all relevant evidence was requested before trial.

(Choices A & C) A motion for a new trial and a motion to alter or amend a judgment must be filed within 28 days after a final judgment is entered. Since this deadline has passed, the university cannot obtain relief through these motions.

(Choice D) A motion to correct a mistake is appropriate when a judgment contains a clerical mistake or a mistake arising from an oversight or omission. However, the district court made no such mistakes when entering the final judgment.

Educational objective:

A party may obtain extraordinary relief from a final judgment within one year from the entry of a judgment when the motion is based on (1) mistake, inadvertence, surprise, or excusable neglect by the parties or court, (2) newly discovered evidence, or (3) the opposing party's fraud, misrepresentation, or misconduct.

References

- Fed. R. Civ. P. 60(b)–(c) (extraordinary relief from judgment).

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A purchaser filed a federal diversity action against a seller, alleging breach of contract. The seller answered the complaint and included as a separate defense an allegation that the purchaser had brought and lost a similar contract claim against a different seller three years earlier, and that this history represented a pattern of filing frivolous lawsuits. The purchaser believes that the earlier lawsuit was factually completely different from the current one and is therefore irrelevant.

What is the purchaser's best response to the seller's answer?

A. File a reply that includes a denial of the separate defense.

B. Move for sanctions against the seller for asserting a frivolous defense.

C. Move to amend the complaint to add allegations about the differences between the lawsuits.

D. Move to strike the separate defense as irrelevant.

Explanation:

FRCP 12 motions

12(b) Motion asserting any of the following defenses:

- Lack of subject-matter or personal jurisdiction
- Improper venue
- Insufficient process or service of process
- Failure to state claim upon which relief can be granted
- Failure to join required party

12(c) Motion for judgment on the pleadings

12(e) Motion for more definite statement in pleading

12(f) Motion to strike insufficient defense or immaterial matter from pleading

FRCP = Federal Rule of Civil Procedure.

Under Federal Rule of Civil Procedure 12(f), a party may **move to strike** an **insufficient defense** or any redundant, scandalous, impertinent, or **immaterial matter** from an opposing party's pleading. A party must make this motion:

- before responding to the pleading if a response is allowed (eg, when the defendant's answer contains a counterclaim or the court orders a reply) *or*
- within 21 days after being served with the pleading if a response is not allowed.*

Here, the purchaser believes that the seller's separate defense is irrelevant (ie, immaterial). Therefore, the purchaser's best response is to move to strike this defense from the answer. The motion must be filed within 21 days after the seller's answer was served because the answer does not contain a counterclaim and the court has not ordered a reply.

*The court may also strike defenses and matters in pleadings at any time on its own initiative (ie, sua sponte).

(Choice A) A reply is a response to an answer that can only be filed pursuant to a court order (not seen here).

(Choice B) A court may impose sanctions on a party that asserts a *frivolous* claim or defense—ie, one that has no factual or legal basis and was asserted to harass, delay, or embarrass. Since there is no indication that the seller asserted the defense for any of these illegitimate purposes, the court is unlikely to grant a motion for sanctions.

(Choice C) A plaintiff may move to amend the complaint to correct errors and omissions, allege new claims, or change the defendant. However, an amendment to respond to allegations in the defendant's answer is not allowed.

Educational objective:

A party can move to strike from a pleading an insufficient defense or any redundant, scandalous, impertinent, or immaterial matter. A party must make this motion (1) before responding to the pleading or (2) within 21 days after being served with the pleading if a response is not allowed.

References

- Fed. R. Civ. P. 12(f) (motion to strike).

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A driver from State A and a bicyclist from State B were involved in a collision that caused the driver to incur $150,000 in medical expenses. The driver filed a federal diversity action in State B based on negligence. The summons and complaint were served at the bicyclist's home, where the process server handed the documents to the bicyclist's 16-year-old daughter. The daughter failed to share those documents with the bicyclist who, unbeknownst to the driver, was in a coma. No one else was informed about the lawsuit.

After three months, no response had been filed so the clerk entered the bicyclist's default into the record. The court then entered a default judgment in favor of the driver.

Ten months after the entry of default judgment, the bicyclist awoke from the coma and learned about the default judgment. The bicyclist immediately hired a lawyer who filed a motion to set aside the default judgment based on excusable neglect. An affidavit from an eyewitness to the accident, who stated that the bicyclist did not swerve into the driver's lane as the driver claimed, was attached to the motion.

Is the court likely to grant the bicyclist's motion?

A. No, because more than one year has passed since the driver filed his complaint.

B. No, because the driver did not engage in misconduct.

C. Yes, because service of process was improper.

D. Yes, because the attached affidavit provides a meritorious defense.

Explanation:

Relief from final judgment

(FRCP 60(b))

Grounds for relief	**Time to file**
• Mistake, inadvertence, surprise, excusable neglect • Newly discovered evidence • Fraud, misrepresentation, misconduct	Within one year
• Void judgment (eg, lack of jurisdiction) • Judgment: – satisfied, released, discharged – based on reversed or vacated judgment *or* – will violate equity if applied prospectively • Other reason justifying relief (rare)	Within reasonable time

FRCP = Federal Rule of Civil Procedure.

A **default judgment** is a final judgment that is entered when the defendant has failed to timely serve an answer. A party can move for **extraordinary relief** from a default judgment (or any other final judgment) in **limited circumstances**. The motion must typically be filed within a reasonable time, but it must be **filed within one year** from the entry of judgment when asserting any of the following grounds for relief:

1. The judgment was due to the court's or party's mistake, inadvertence, surprise, or excusable neglect.
2. The movant discovered new evidence.
3. The nonmovant engaged in misrepresentation, misconduct, or fraud.

A motion based on mistake, inadvertence, surprise, or **excusable neglect** will be granted if the movant also demonstrates a **meritorious defense**.

Here, the bicyclist's failure to timely serve an answer was excusable because he was in a coma. And the affidavit attached to the bicyclist's motion provides a meritorious defense. That is because the eyewitness statement challenges the substance of the driver's claim (rather than merely raising a technical or procedural issue). Therefore, the court will likely grant the bicyclist's motion to set aside the default judgment.

(Choice A) A motion for extraordinary relief based on excusable neglect must be made within one year after the judgment was entered—not after the complaint was filed.

(Choice B) The driver did not engage in misconduct since he was unaware that the bicyclist was in a coma. However, the bicyclist may still obtain relief since his failure to file a timely answer was excusable.

(Choice C) Service of process is proper if it is delivered to the defendant's dwelling and left with a resident of suitable age and discretion. Most teenagers are of suitable age and discretion since they possess the limited capacity necessary to comprehend the situation. Therefore, service of process on the bicyclist's 16-year-old daughter was proper.

Educational objective:

A motion for extraordinary relief from a final judgment (eg, default judgment) based on mistake, inadvertence, surprise, or excusable neglect will be granted if the movant demonstrates a meritorious defense.

References

- Fed. R. Civ. P. 60(b)–(c) (extraordinary relief from judgment).
- 47 Am. Jur. 2d Judgments § 663 (2019) (meritorious-defense requirement).

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A state opened a new park near a residential neighborhood. One of the residents sued the state in federal district court, claiming that the state took some of his property for the new park without providing him just compensation.

At trial, the resident entered an old, unrecorded document into evidence that supported his claim that he owned the disputed property. In its defense, the state entered hundreds of documents into evidence that showed that the disputed property was state-owned land. At the end of trial, the jury returned a verdict in favor of the state, and the court entered a final judgment consistent with the verdict.

The next day, the resident hired a professional researcher to meticulously search the state and county records relating to the property. The researcher discovered a misfiled document in the county records that conclusively showed that the resident, not the state, owned the disputed property. This document was not entered into evidence at trial. The resident immediately moved for a new trial based on this newly discovered evidence.

Is the court likely to grant the resident's motion for a new trial?

A. No, because the resident could have discovered the document before the end of trial had he exercised due diligence.

B. No, because the resident must present the document on appeal.

C. Yes, because the document is material to the resident's case.

D. Yes, because the document will likely produce a different result at a new trial.

Explanation:

Grounds for new trial

- Prejudicial trial error (eg, erroneous evidentiary ruling)
- Prejudicial misconduct by judge, attorney, party, or juror
- Verdict not supported by clear weight of evidence
- Verdict based on false/nonexistent evidence
- Excessive or inadequate damages
- Newly discovered evidence

Federal Rule of Civil Procedure 59 allows a party to **move for a new trial** after the entry of a final judgment on certain grounds, including when new evidence is discovered after trial. A court will grant a new trial based on **newly discovered evidence** if the movant shows that:

- the evidence was **unknown** to the movant at the time of trial
- the movant used **due diligence** to discover the evidence before the end of trial
- the evidence is **material**—not cumulative or impeaching—*and*
- a new trial considering the evidence will likely result in a **different outcome**.

Here, the researcher discovered a document after trial that had not been entered into evidence. This document conclusively shows that the resident owns the disputed property, so it is material to his case and would likely lead to a different result at a new trial. However, the resident did not use due diligence to discover the document because he could have hired the researcher or conducted his own search before the end of trial. As a result, the court will likely deny the resident's motion for a new trial on this ground **(Choices C & D)**.

(Choice B) When an appellate court reviews a decision by a lower court, it is limited to the facts and evidence contained in the record. Therefore, the resident cannot present the document for the first time on appeal.

Educational objective:

A court will grant a motion for a new trial based on newly discovered evidence if the movant shows that (1) the evidence was unknown to the movant at trial, (2) due diligence was used to discover the evidence before trial ended, (3) the evidence is material, and (4) a new trial with the evidence will likely have a different outcome.

References

- Fed. R. Civ. P. 59(a) (new trial).
- 58 Am. Jur. 2d New Trial § 291 (2019) (explaining the requirements for a new trial based on newly discovered evidence).

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A plaintiff domiciled in State A has brought a federal diversity action in State A against a defendant domiciled in State B, seeking damages for injuries the defendant allegedly caused the plaintiff in State B. The defendant has never been to State A and has no connections there. The defendant's attorney knows that the defendant was properly served but does not believe that the State A court has personal jurisdiction over her.

What is the best way for the attorney to raise the argument that the court lacks personal jurisdiction over the defendant?

A. Move for discovery on the issue of personal jurisdiction.

B. Move for judgment on the pleadings, seeking dismissal of the action for lack of personal jurisdiction.

C. Move for sanctions against the plaintiff and his attorney for filing the action in a court that has no personal jurisdiction over the defendant.

D. Move to dismiss the action for lack of personal jurisdiction based on the complaint allegations and an affidavit from the defendant about her lack of connection to State A.

Explanation:

FRCP 12 motions

12(b) Motion asserting any of the following defenses:

- Lack of subject-matter or personal jurisdiction
- Improper venue
- Insufficient process or service of process
- Failure to state claim upon which relief can be granted
- Failure to join required party

12(c) Motion for judgment on the pleadings

12(e) Motion for more definite statement in pleading

12(f) Motion to strike insufficient defense or immaterial matter from pleading

FRCP = Federal Rule of Civil Procedure.

The defendant's attorney believes that the State A federal court lacks personal jurisdiction over the defendant. A defendant* can assert a **lack of personal jurisdiction** in an FRCP 12(b) **pre-answer motion to dismiss** or an answer (whichever occurs first). A pre-answer motion can use the allegations in the pleadings and/or an attached **affidavit** that shows why personal jurisdiction does not exist—eg, that the defendant has no connection to the forum state. Therefore, this motion is the best way for the attorney to challenge the court's personal jurisdiction.

*Personal jurisdiction is always focused on the defendant because the plaintiff consents to personal jurisdiction by filing the suit in that court.

(Choice A) Lack of personal jurisdiction must be raised in a pre-answer motion or answer (whichever occurs first); otherwise this challenge is waived. Since a motion for discovery is not a pre-answer motion, it is not an effective means to challenge personal jurisdiction.

(Choice B) A party may move for judgment on the pleadings after the pleadings have closed—ie, once the plaintiff's complaint and the defendant's answer have been served. Since a personal-jurisdiction challenge must be raised before the pleadings have closed, this motion is improper.

(Choice C) Sanctions may be imposed against a party, attorney, or law firm for filing the action in a court with no personal jurisdiction over the defendant. However, the defendant must first move to dismiss the action and show that the court lacks personal jurisdiction.

Educational objective:

A defendant can raise a lack of personal jurisdiction in a pre-answer motion to dismiss or an answer (whichever occurs first). The motion can be supported by the allegations in the pleadings or an attached affidavit.

FRCP = Federal Rule of Civil Procedure.

References

- Fed. R. Civ. P. 12(b) (pre-answer motions).

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A railroad worker's widow brought a wrongful death action in federal court against the railroad, claiming that its negligence had caused her husband's death. At trial, the widow offered the testimony of a coworker of the husband. The coworker testified that he had seen the rail car on which the husband was riding slow down and the cars behind it gain speed. The coworker also stated that he later heard a loud crash, but did not turn around to look because loud noises were common in the yard. Three other railroad employees testified that no collision had occurred.

At the close of the evidence, the railroad moved for judgment as a matter of law, which was denied, and the case was submitted to the jury. The jury returned a verdict for the widow.

The railroad has made a renewed motion for judgment as a matter of law.

What standard should the court apply to determine how to rule on the motion?

A. Whether the evidence revealed a genuine dispute of material fact supporting the widow's claim.
B. Whether the verdict is against the weight of the evidence.
C. Whether the widow presented a scintilla of evidence to support the verdict.
D. Whether there is substantial evidence in the record to support the verdict, resolving all disputed issues in the widow's favor.

Explanation:

Motion for judgment as a matter of law

(FRCP 50)

Time to file	• May be filed after nonmovant presents its case but before case is submitted to jury • May be renewed within 28 days after entry of final judgment
Procedural requirements	• Movant must: – specify judgment sought & law/facts entitling movant to judgment • Court must: – view evidence & draw all reasonable inferences in nonmovant's favor – disregard evidence favorable to movant that jury is not required to believe – not consider credibility of witnesses or evaluate weight of evidence
Standard for grant	• Evidence is legally insufficient for reasonable jury to find in nonmovant's favor

FRCP = Federal Rule of Civil Procedure.

A motion for **judgment as a matter of law** (JMOL) may be filed before the case is submitted to the jury. If denied, a renewed motion for JMOL can be filed after trial—as the railroad did here. The standard the court will apply is whether the evidence is legally sufficient for a reasonable jury to find in the nonmovant's favor. This means that the motion will be denied if there is **substantial evidence** in the record to **support a verdict** for the **nonmovant**.

When making this determination, the court must **view the evidence** and draw all reasonable inferences in the light most **favorable to the nonmovant**. Therefore, all disputed issues must be resolved in the widow's favor.

(Choice A) Whether the evidence revealed a genuine issue of material fact would be pertinent to a motion for *summary judgment*, which must be made before trial.

(Choice B) A party may move for a *new trial* on several grounds, one of which is that the verdict is against the clear weight of the evidence.

(Choice C) Historically, a court would deny a motion for JMOL if a *scintilla* (ie, very small amount) of evidence supported a verdict for the nonmovant. Today, all federal courts and most state courts require that the verdict be supported by *substantial* evidence.

Educational objective:

The standard applied by a court in deciding a motion or renewed motion for judgment as a matter of law is whether there is legally sufficient (ie, substantial) evidence in the record to support a verdict for the nonmovant. The court must view the evidence and draw all reasonable inferences in the nonmovant's favor.

References

- Fed. R. Civ. P. 50 (judgment as a matter of law).
- 46 Am. Jur. 2d Judgments § 319 (explaining the standard for judgment as a matter of law).

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An actor brought a federal diversity action against a theater company for breach of contract. Twenty days after discovery closed, the company moved for summary judgment. The company attached to the motion affidavits of its managing director and artistic director and a verified copy of its contract with the actor. In their affidavits, the directors stated facts establishing that the company had fully performed the contract.

The actor's brief opposing the motion relied solely on the allegations of the complaint.

Should the court grant the summary-judgment motion?

A. No, because in deciding the motion, the court must take the allegations and inferences of the complaint as true.

B. No, because the company did not timely file the motion.

C. Yes, because the actor filed no evidence in opposition to the motion.

D. Yes, because there is no genuine dispute as to any material fact and the company is entitled to judgment as a matter of law.

Explanation:

In a **summary-judgment motion**, the **movant has the initial burden** to show that there is **no genuine dispute of material fact** and the movant is entitled to **judgment as a matter of law**. The movant must support this motion with admissible facts contained in pleadings, affidavits, declarations, discovery, or other materials. Once the movant satisfies its initial burden, the **burden shifts** to the nonmovant to **avoid summary judgment by** either:

- requesting that the court **postpone** consideration of the motion **until additional discovery** can take place (not seen here) *or*
- **showing specific disputed facts** through affidavits, declarations, discovery, or other materials containing admissible evidence, but ***not* through pleadings**.

Here, the company supported its summary-judgment motion through its directors' affidavits, which stated facts establishing that the company had fully performed its contract with the actor. The actor then failed to show specific disputed facts because his brief opposing the motion relied solely on allegations in the complaint. This means that there is no genuine dispute of material fact and the company is entitled to judgment as a matter of law. Therefore, the court should grant the company's motion.

(Choice A) In deciding a summary-judgment motion, a court must view the evidence in the light most favorable to the nonmovant. However, a court is not required to take the complaint's allegations and inferences as true.

(Choice B) A summary-judgment motion may be filed at any time until 30 days after the close of discovery. Therefore, the company timely moved for summary judgment 20 days after discovery closed.

(Choice C) The fact that the actor filed no evidence in opposition to the motion is not, by itself, sufficient for the court to grant the motion. Instead, the motion should be granted because the company satisfied its burden.

Educational objective:

The nonmovant can defeat a summary-judgment motion by showing specific disputed facts through affidavits, declarations, discovery, or other materials containing admissible evidence. However, the nonmovant cannot defeat the motion by relying on allegations in the pleadings.

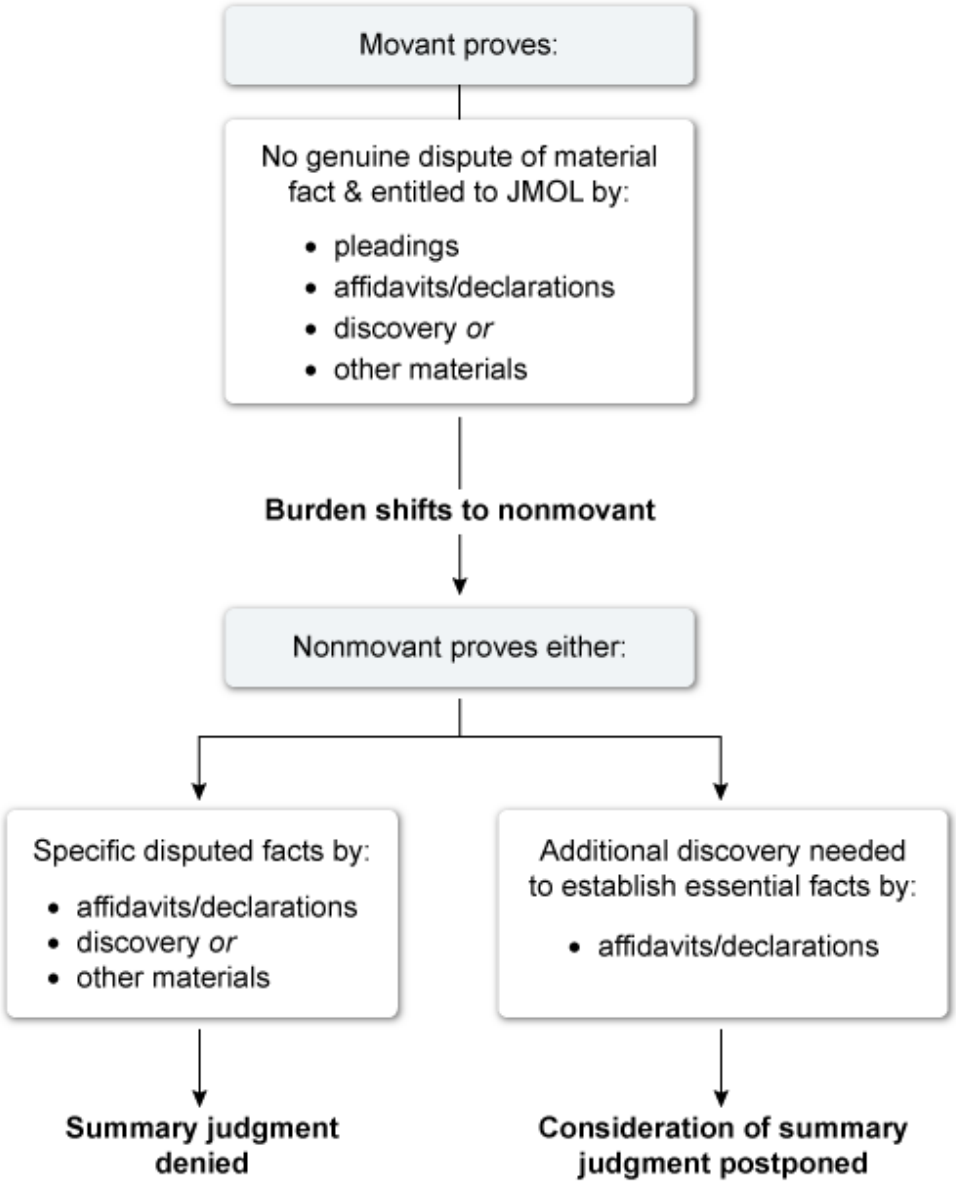
References

- Fed. R. Civ. P. 56 (summary judgment).
- 10A Charles Alan Wright et al., Federal Practice and Procedure § 2727 (4th ed. 2020) (explaining the burden-shifting process of a motion for summary judgment).

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Burden of proof for summary judgment



JMOL = Judgment as a matter of law.

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A patient from State A sued a doctor from State B in federal court for medical malpractice, seeking $100,000 in damages. During trial, the doctor's attorney presented a substantial amount of evidence that clearly demonstrated the doctor was not negligent, while the patient presented little evidence that showed the doctor was at fault.

Neither party filed any motions before the case was submitted to the jury. The jury returned a verdict in favor of the patient and awarded her $70,000 after deliberating for an hour, and the judge entered final judgment consistent with the jury's verdict that same day.

The doctor's attorney believes that the verdict was not supported by the clear weight of evidence and seeks to challenge the verdict before filing a notice of appeal.

What action should the doctor's attorney take?

A. Move for a new trial.

B. Move for a renewed judgment as a matter of law.

C. Move for summary judgment.

D. Move to dismiss for lack of subject-matter jurisdiction.

Explanation:

Posttrial relief

Relief	Grounds	Timing
Attorney's fees	• Statute or rule allows recovery	≤ 14 days after entry of final judgment
Judgment as matter of law	• Evidence legally insufficient to find for nonmovant	≤ 28 days after entry of final judgment
New trial	• Prejudicial trial error • Prejudicial misconduct by judge, attorney, party, juror • Verdict not supported by clear weight of evidence • Verdict based on false/nonexistent evidence • Excessive or inadequate damages • Newly discovered evidence	
Alter/amend judgment	• Manifest error of law or fact is basis for judgment • Intervening change in controlling law • Newly discovered evidence	
Correction of mistake	• Clerical mistake • Mistake arising from oversight or omission	Freely OR with appellate court's leave if docketed
Extraordinary relief	• Mistake, inadvertence, surprise, excusable neglect • Newly discovered evidence • Fraud, misrepresentation, misconduct by opposing party	≤ 1 year after entry of final judgment
	• Void judgment • Judgment satisfied, released, discharged • Other reason justifying relief	Within reasonable time

Within 28 days after entry of a final judgment, a party can move for a **new trial** on several grounds, including when the **jury's verdict** is **not supported by** the **clear weight of evidence**. Here, the doctor's attorney presented substantial evidence that showed the doctor did not commit malpractice, while the patient presented little evidence that the doctor was at fault. Since the jury's verdict in favor of the patient went against the clear weight of this evidence, the doctor's attorney should move for a new trial.

(Choice B) A judgment as a matter of law (JMOL) is a judgment entered in favor of the movant because the evidence is legally insufficient for a reasonable jury to find in the nonmovant's favor. But once the jury has returned its verdict, a party can only move for a renewed JMOL if that party had moved for JMOL before the case was submitted to the jury (not seen here).

(Choice C) A motion for summary judgment must be filed no later than 30 days after the close of discovery—not after the trial has concluded.

(Choice D) The court has subject-matter jurisdiction through diversity jurisdiction because (1) the patient and doctor are citizens of different states and (2) the amount in controversy—ie, the amount demanded in the patient's complaint—exceeds $75,000.

Educational objective:

A party can move for a new trial within 28 days after entry of a final judgment on several grounds, such as when the jury's verdict is not supported by the clear weight of evidence.

References

- Fed. R. Civ. P. 59 (motion for a new trial).

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A plaintiff filed a diversity action against a defendant in a federal court in State A. The plaintiff claims that the defendant caused extensive damage to the plaintiff's summer cottage in State B. The complaint also alleges that the defendant has a nefarious reputation in the community. The defendant resides in State B and has no contacts with State A.

Before filing an answer, the defendant moved to strike from the complaint the assertion that she had a nefarious reputation in the community. The court granted the motion, finding that the assertion was scandalous and immaterial to the case. The defendant now moves to dismiss the complaint for lack of personal jurisdiction and improper venue.

How will the court likely rule on the motion?

A. Deny the motion, because the defendant failed to include these defenses in her motion to strike.

B. Deny the motion, because the defendant must assert each defense in a separate motion.

C. Grant the motion for improper venue, because the defendant resides and the cottage is located in State B.

D. Grant the motion for lack of personal jurisdiction, because the defendant has no contacts with State A.

Explanation:

A defendant must respond to a plaintiff's complaint by filing an answer or a **pre-answer motion**. For example, under FRCP 12 a party may file a pre-answer **motion to strike** from an opposing party's pleading any insufficient defense or any redundant, impertinent, scandalous, or immaterial matter—as the defendant did here.

When the defendant files a pre-answer motion, the **omnibus motion rule** requires that **all FRCP 12 defenses** be **consolidated in a *single* motion** for efficiency purposes. This means that the defendant cannot file a subsequent pre-answer motion raising an omitted FRCP 12 defense, except for lack of subject-matter jurisdiction, that was available when the initial motion was filed. Because of the omnibus motion rule, the following FRCP 12 defenses are **waived** and cannot be asserted later **if omitted from a pre-answer motion**:

- Lack of personal jurisdiction, which generally requires the defendant to have minimum contacts with the forum state
- Improper venue, which is proper in any judicial district where the defendant resides or a substantial portion of the property at issue is located
- Insufficient process or service of process

Here, the State A federal court likely lacks personal jurisdiction over the defendant because she has no contacts with State A **(Choice D)**. Additionally, the State A federal court is likely an improper venue since the defendant resides and the cottage is located in State B **(Choice C)**. However, since the defendant's initial pre-answer motion to strike failed to include these defenses, they are waived. As a result, the court will likely deny the defendant's motion to dismiss for lack of personal jurisdiction and improper venue.

(Choice B) FRCP 12 defenses that are raised after a pre-answer motion has been filed are generally waived under the omnibus motion rule. Therefore, the defendant *cannot* assert her lack of personal jurisdiction and improper venue defenses in separate motions.

Educational objective:

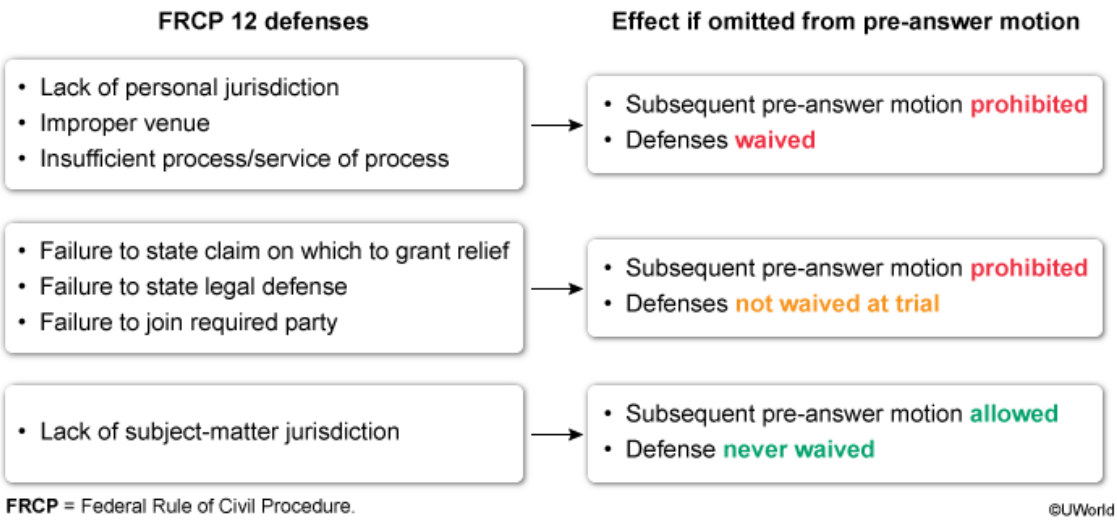
The defenses of (1) lack of personal jurisdiction, (2) improper venue, and (3) insufficient process or service of process are waived if they are not asserted in a *single* pre-answer motion or in an answer, whichever occurs first.

References

- Fed. R. Civ. P. 12(f)–(h) (motion to strike; consolidating and waiving pre-answer defenses).

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Omnibus motion rule



FRCP = Federal Rule of Civil Procedure.

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An inmate sued a private prison-management company in federal court for allegedly mistreating her in violation of federal law. During the jury trial, the inmate's attorney questioned one of the company's prison guards. When the guard repeatedly gave nonresponsive answers, the inmate's attorney became frustrated and accidentally complained out loud in the presence of the jury, "The guard obviously has something to hide." The company's counsel objected to the comment. The inmate's attorney immediately apologized and withdrew the comment from the record, and the judge admonished the jury to disregard the comment. The inmate's attorney did not make any other improper comments throughout the rest of the trial.

At the end of the trial, the jury returned a verdict in favor of the inmate, finding that the overwhelming amount of evidence supported her claim. The court entered a final judgment consistent with the verdict. The company immediately moved for a new trial on the ground that the inmate's attorney made the improper comment.

Will the court likely grant the company's motion for a new trial?

A. No, because the comment was harmless.

B. No, because the comment was unintentional.

C. Yes, because the comment was made in the presence of the jury.

D. Yes, because the comment was prejudicial.

Explanation:

Grounds for new trial

- Prejudicial trial error (eg, erroneous evidentiary ruling)
- Prejudicial misconduct by judge, attorney, party, or juror
- Verdict not supported by clear weight of evidence
- Verdict based on false/nonexistent evidence
- Excessive or inadequate damages
- Newly discovered evidence

A court can grant a **new trial** if an attorney (or judge, party, or juror) engaged in ***prejudicial*** **misconduct** during the trial. Misconduct is prejudicial when it **affects** a **party's substantial rights**. This requires the court to determine with fair assurance whether the jury's verdict was influenced by the error. If there was **no improper influence**, then the error was **harmless** and does not provide a basis for a new trial.

Here, the jury found that the overwhelming amount of evidence supported the inmate's claim. This shows that the attorney's improper comment likely did not influence the jury's verdict. Even if the comment initially affected the jury, any improper influence was cured when the attorney apologized and withdrew the comment from the record, and the judge admonished the jury to disregard it. As a result, the court will likely find the error was harmless and deny the company's motion for a new trial **(Choices C & D)**.

(Choice B) The fact that the inmate's attorney unintentionally made the comment has no bearing on the company's motion for a new trial. Had the comment influenced the jury's verdict, the motion likely would have been granted.

Educational objective:

A new trial is warranted when an attorney engaged in prejudicial misconduct—ie, misconduct that affects a party's substantial rights by influencing the jury's verdict. If misconduct is *not* prejudicial, then it is merely harmless error that does not warrant a new trial.

References

- Fed. R. Civ. P. 61 (harmless error).
- 58 Am. Jur. 2d New Trial § 101 (2019) (explaining that an attorney's misconduct must be prejudicial to warrant new trial).

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A woman sued her former employer in federal court for sexual discrimination in violation of federal law. At the jury trial, the woman presented evidence that she had been repeatedly passed over for promotions that went to her less-qualified male colleagues. After the woman rested her case, the employer presented evidence that the promotions were made pursuant to a merit-based system that did not take sex into account. To rebut the employer's evidence, the woman provided witness testimony that the system was just a pretext to discriminate against female employees.

At the conclusion of evidence, the employer moved for judgment as a matter of law. Viewing the evidence in the light most favorable to the employer, the court granted the employer's motion. Twenty-two days later, the woman appealed the district court's entry of judgment as a matter of law.

Is the appellate court likely to overturn the judgment as a matter of law?

A. No, because the entry of judgment as a matter of law was appropriate under the circumstances.

B. No, because the woman failed to timely appeal the district court's entry of judgment as a matter of law.

C. Yes, because the district court failed to follow the proper procedural requirements in assessing the motion for judgment as a matter of law.

D. Yes, because the employer failed to move for judgment as a matter of law at the close of the woman's case-in-chief.

Explanation:

Motion for judgment as a matter of law

(FRCP 50)

Time to file	• May be filed after nonmovant presents its case but before case is submitted to jury • May be renewed within 28 days after entry of final judgment
Procedural requirements	• Movant must: – specify judgment sought & law/facts entitling movant to judgment • Court must: – view evidence & draw all reasonable inferences in nonmovant's favor – disregard evidence favorable to movant that jury is not required to believe – not consider credibility of witnesses or evaluate weight of evidence
Standard for grant	• Evidence is legally insufficient for reasonable jury to find in nonmovant's favor

FRCP = Federal Rule of Civil Procedure.

A party may move for **judgment as a matter of law** (JMOL) at any time after the nonmovant has had an opportunity to present its case-in-chief but before the case is submitted to the jury. A motion for JMOL is a request that the court enter a judgment in favor of the movant because the evidence is legally insufficient for a reasonable jury to find in the nonmovant's favor. When considering such a motion, the **district court must**:

- **view the evidence** and draw all reasonable inferences in the **light most favorable to the *nonmovant***
- **disregard any evidence** favorable to the movant that the **jury is not required to believe** *and*
- ***not* consider** the **credibility of witnesses** or evaluate the weight of evidence.

Here, the employer timely moved for JMOL after the woman presented her case-in-chief and before the case was submitted to the jury **(Choice D)**. However, the district court improperly viewed the evidence in the light most favorable to the employer (movant). As a result, the entry of JMOL was *not* appropriate under the circumstances, and the appellate court will likely overturn it **(Choice A)**.

(Choice B) A party generally must appeal an adverse ruling, judgment, or order within 30 days after the entry of final judgment.* Therefore, the woman timely appealed the JMOL 22 days after it was entered.

*The time to appeal is extended to 60 days if one of the parties is (1) the United States, (2) a federal agency, or (3) a federal officer or employee sued for conduct that relates to government duties.

Educational objective:

When considering a motion for JMOL, the district court must (1) view the evidence and draw all reasonable inferences in the light most favorable to the nonmovant, (2) disregard any evidence favorable to the movant that the jury is not required to believe, and (3) not consider the credibility of witnesses or evaluate the weight of evidence.

References

- Fed. R. Civ. P. 50(a) (motion for judgment as a matter of law).
- Reeves v. Sanderson Plumbing Prods., Inc., 530 U.S. 133, 150–51 (2000) (explaining the procedural requirements for considering a JMOL motion).

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A man in State A posted his exotic car for sale on a website. He received an email with an offer to buy the car for $150,000 from a 16-year-old girl from State B. The man accepted the girl's offer but received a phone call from the girl's father rescinding the offer the following day.

The man filed a complaint in a federal court in State A against the girl for breach of contract. The girl timely filed an answer in which she admitted to the facts provided in the man's complaint but asserted the affirmative defense of accord and satisfaction. The man moved for judgment on the pleadings.

Statutes in both State A and State B treat contracts with persons below the age of 18 for items other than necessities as void. Necessities are defined as food, shelter, and clothing.

Is the court likely to grant the man's motion?

A. No, because plaintiffs cannot move for judgment on the pleadings.

B. No, because the man failed to state a claim upon which relief may be granted.

C. Yes, because accord and satisfaction is not a valid defense in this case.

D. Yes, because the girl admitted to the facts alleged in the man's complaint.

Explanation:

Pretrial motions

Motion	Grounds
Default judgment	• Defendant failed to timely serve answer • Any party failed to comply with court order
Pre-answer	• No subject-matter or personal jurisdiction • Improper venue • Insufficient process or service or process • Failure to join required party • Failure to state claim upon which relief can be granted
Judgment on the pleadings	• Pleadings, attached exhibits & matters of public record show (1) no genuine dispute of material fact & (2) movant entitled to judgment as a matter of law
Voluntary dismissal	• Plaintiff requests dismissal
Involuntary dismissal	• Defendant requests dismissal because plaintiff failed to (1) prosecute action or (2) comply with rule/court order
Summary judgment	• Pleadings, affidavits, declarations, discovery & other materials show (1) no genuine dispute of material fact & (2) movant entitled to judgment as a matter of law

Under Federal Rule of Civil Procedure 12(c), *any* party may move for **judgment on the pleadings** after the pleadings have closed—ie, once the plaintiff's complaint and the defendant's answer have been served **(Choice A)**. To succeed on this motion, the movant must show that (1) there is **no genuine issue of material fact** and (2) the movant is **entitled to judgment as a matter of law**.

Here, there are no genuine issues of material fact since the girl admitted to the facts alleged in the man's complaint for breach of contract **(Choice D)**. But since the girl is under the age of majority and a car is not a necessity under either state's statute, the contract was void. This means that the man failed to state a claim upon which relief may be granted and is *not* entitled to judgment as a matter of law. Therefore, the court will likely deny the man's motion for judgment on the pleadings.

(Choice C) An *accord* is a party's promise to relieve another person of contractual obligations in return for a specific act. Upon *satisfaction* of that act, that person is excused from further performance under the contract. Accord and satisfaction is not a valid

affirmative defense here since the contract was void. However, the man cannot succeed on his motion since he failed to state a valid claim.

Educational objective:

A court should enter judgment on the pleadings when the movant shows that (1) there is no genuine issue of material fact and (2) the movant is entitled to judgment as a matter of law.

References

- Fed. R. Civ. P. 12(c) (judgment on the pleadings).
- 61A Am. Jur. 2d Pleading § 560 (2020) (explaining that movant must allege some viable legal theory to succeed on motion for judgment on the pleadings).

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A public high school student was accused by a classmate of smoking marijuana on school grounds. The school resource officer detected no smoke aroma on the student and found no marijuana contraband in the student's pockets or bag. The officer then placed the student in a locked classroom and went to deal with another incident. The officer forgot about the student, who remained in the room for two hours doing homework until a teacher let him out.

The student sued the officer in federal court for violating a federal statute that allows recovery for false imprisonment by an officer of the law, which includes school resource officers. At trial, the student presented evidence that the experience required him to see a counselor twice a week and has caused him emotional harm. After the close of evidence, the judge properly instructed the jury that the statute allows an individual to recover compensatory damages for loss of liberty and physical or emotional injury. The jury returned a verdict in favor of the student and awarded him $5 million in compensatory damages, which is 100 times more than any other plaintiff has received under this statute.

The officer's attorney believes that this award of damages is not supported by the evidence.

What should the officer's attorney do to most efficiently challenge the damages award?

A. Move for a new trial of the entire case.

B. Move for additur.

C. Move for judgment as a matter of law.

D. Move for remittitur.

Explanation:

Altering jury's award of damages

(FRCP 59(e))

Type of alteration	Definition	Applicability
Remittitur	Defendant's request to *reduce* jury award of *excessive* damages	Plaintiff must be offered choice between: • reduced damages *or* • new trial on damages
Additur	Plaintiff's request to *increase* jury award of *inadequate* damages	Never allowed in federal court

FRCP = Federal Rule of Civil Procedure.

A losing party can challenge an allegedly **excessive jury award** of damages through a **motion for remittitur**. A court will grant the motion when the evidence presented at trial is insufficient to support the amount awarded by the jury. The plaintiff will then be given a choice between either (1) a **reduction in damages** *or* (2) a **new trial on damages**. Therefore, the officer's attorney should move for remittitur to efficiently challenge the damages award.

(Choice A) A motion for a new trial of the *entire* case would be inefficient since the officer's attorney only wants to challenge the award of *damages*, which can be done through a motion for remittitur.

(Choice B) Additur is a party's request that a trial judge increase an allegedly *inadequate* jury award of damages. Although additur is permitted in many state courts, it is not allowed in federal court because it violates the Seventh Amendment right to a jury trial.

(Choice C) A judgment as a matter of law (JMOL) is a judgment entered in favor of the movant because the evidence is legally insufficient for a reasonable jury to find in the nonmovant's favor. To make a motion for JMOL after a jury verdict, a party must have moved for JMOL before the case was submitted to the jury (not seen here).

Educational objective:

A motion for remittitur is used to challenge an allegedly excessive jury award of damages. If granted, the plaintiff must then choose between (1) a reduction in damages or (2) a new trial on damages.

References

- Fed. R. Civ. P. 59 (motion for remittitur).
- Hetzel v. Prince William Cty., 523 U.S. 208, 211–12 (1998) (explaining the requirements for remittitur).

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An investor from State A sued a man from State B in a federal court in State A for defrauding the investor of $100,000. The man filed a pre-answer motion to dismiss the investor's complaint for improper venue and lack of personal jurisdiction. The court denied this motion. The man then filed an answer denying liability. One month later, the man moved for judgment on the pleadings. The motion claims that the investor failed to state a claim on which relief can be granted.

Should the court consider the man's motion for judgment on the pleadings?

A. No, because the man waived the right to challenge the pleading by not raising the issue in his answer.

B. No, because the man waived the right to challenge the pleading by not raising the issue in his pre-answer motion.

C. Yes, because the man's right to challenge the pleading was not waived.

D. Yes, because the right to challenge a pleading can never be waived.

Explanation:

Most defenses are waived if they are not asserted in the defendant's answer.* However, a defendant has until the **end of trial** to assert the defenses of failure to join a required party OR failure to **state a claim** on which relief can be granted—as asserted in the man's motion for judgment on the pleadings. Since this motion was filed *before* the end of trial, the man has not waived his right to raise this challenge **(Choice A)**. Therefore, the court should consider his motion.

*Federal courts generally allow defendants to amend their original answer during and after trial to add defenses not previously asserted.

(Choice B) Lack of personal jurisdiction, improper venue, and insufficient process or service of process are the only challenges that are waived if not asserted in a pre-answer motion or answer, whichever occurs first.

(Choice D) Lack of subject-matter jurisdiction is the *only* defense that is never waived. All other defenses are subject to waiver.

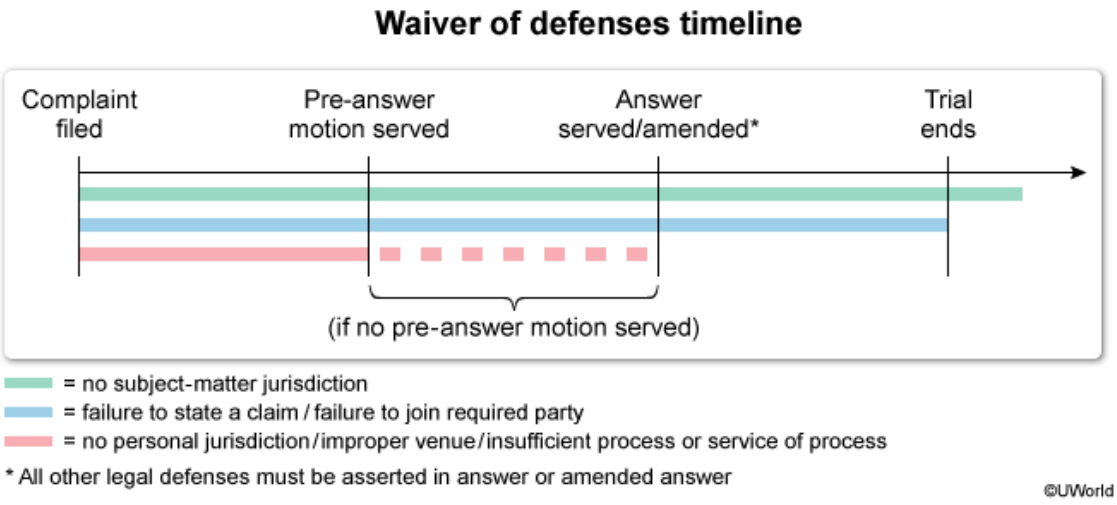
Educational objective:

A defense is generally waived if it is not asserted in the defendant's answer. But failure to join a required party and failure to state a claim on which relief can be granted are defenses that can be asserted at any time before the end of trial.

References

- Fed. R. Civ. P. 12(h)(2) (waiver of failure to state a claim defense).

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A woman domiciled in State A was driving in State B when the brakes on her car malfunctioned. As a result, she lost control of her car and hit a concrete traffic barrier. The woman later brought a strict products liability action against the brake manufacturer in a federal court in State A to recover $100,000 in damages. The manufacturer is incorporated and headquartered in State B. The manufacturer conducts no business and has no employees in State A.

The manufacturer filed a motion to dismiss for insufficient service of process, which was denied. The manufacturer has now filed an answer to the woman's complaint and asserted therein a motion to dismiss for improper venue. The woman failed to respond to the motion.

Is the court likely to dismiss the action for improper venue?

A. No, because the manufacturer waived its right to challenge venue.

B. No, unless the court determines that a federal court in State B is a more convenient forum under the doctrine of forum non conveniens.

C. Yes, because the manufacturer resides in State B and the accident occurred there.

D. Yes, because the woman failed to respond to the manufacturer's motion to dismiss.

Explanation:

Waiver of defenses

Defenses	Waiver
• Lack of subject-matter jurisdiction	Never waived
• Lack of personal jurisdiction • Improper venue • Insufficient process or service of process	Waived if not asserted in pre-answer motion or answer (whichever occurs first)
• Failure to state claim • Failure to join required party	Waived if not asserted before end of trial
• All other legal defenses	Waived if not asserted in answer or amended answer

The following **defenses are waived** if they are **not asserted** in a **pre-answer motion or answer**, whichever occurs first: (1) lack of personal jurisdiction, (2) improper venue, and (3) insufficient process or service of process. Here, the manufacturer filed a pre-answer motion to dismiss for insufficient service of process, but that motion failed to assert the defense of improper venue. The manufacturer therefore waived its right to challenge this issue, and the court is unlikely to dismiss the action for improper venue.

Had the manufacturer preserved its right to challenge venue, the court would have applied the general venue statute to determine if venue is proper in State A. Under this statute, venue is proper in any judicial district where:

- any *defendant* resides, so long as all defendants reside in the same state (here, the manufacturer resides in State B)*
- a substantial part of the events giving rise to the claim occurred or a substantial portion of the property at issue is located (here, the accident occurred in State B) *or*
- any defendant is subject to personal jurisdiction, but only if venue cannot be established under either of the above provisions (not applicable here).

Therefore, venue is proper in State B but improper in State A. However, the manufacturer waived its right to challenge venue by failing to do so in its pre-answer motion **(Choice C)**.

*An entity resides in any judicial district where it is subject to personal jurisdiction. As a result, the manufacturer resides in State B because it is incorporated and headquartered

there. But it does not reside in State A because it conducts no business and has no employees there.

(Choice B) The doctrine of forum non conveniens allows a federal court to dismiss or stay a case if a state or foreign judicial system, not another federal court, is better suited to hear the dispute.

(Choice D) The woman had no duty to respond to the manufacturer's answer containing the motion to dismiss for improper venue. That is because a plaintiff need only respond to a defendant's answer if the defendant asserted a counterclaim or the court orders a reply (neither seen here).

Educational objective:

The defenses of (1) lack of personal jurisdiction, (2) improper venue, and (3) insufficient process or service of process are waived if they are not asserted in a pre-answer motion or answer, whichever occurs first.

References

- Fed. R. Civ. P. 12(h) (waiver of defenses).

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A plaintiff brought a diversity action against a defendant in federal district court to determine liability in a fatal auto accident. During jury deliberations, a juror brought a highway manual that he had found at the local library into the jury room. The manual listed the skid mark distances created when a vehicle brakes at various speeds. The jurors used the manual's data to analyze the admitted photographic evidence of the skid marks from the accident scene. They determined that the plaintiff must have been traveling at a recklessly high speed, which caused the accident. Based on the data from the highway manual, the jury returned a verdict in favor of the defendant. The judge presiding over the case entered a final judgment consistent with that verdict on the same day. The plaintiff made no posttrial motions and did not file a notice of appeal.

Sixty days after the court entered final judgment, one of the jurors went to the presiding judge's chambers and told her about the highway manual. The juror then told the judge that the data from the highway manual was the primary reason why the jury found in favor of the defendant. The judge was concerned about this revelation and asked her clerk to research whether the court could order a new trial. After extensive research, the clerk determined that the judge may not order a new trial sua sponte in the action.

What is the most likely reason the clerk determined that the judge may not order a new trial sua sponte?

A. A court may not order a new trial sua sponte.

B. A court may not order a new trial sua sponte unless a party engaged in misconduct.

C. A court may not order a new trial sua sponte until an appeal from the judgment is filed.

D. A court may not order a new trial sua sponte when more than 28 days have passed since the entry of final judgment.

Explanation:

Posttrial relief

Relief	Grounds	Timing
Attorney's fees	• Statute or rule allows recovery	≤ 14 days after entry of final judgment
Judgment as matter of law	• Evidence legally insufficient to find for nonmovant	≤ 28 days after entry of final judgment
New trial	• Prejudicial trial error • Prejudicial misconduct by judge, attorney, party, juror • Verdict not supported by clear weight of evidence • Verdict based on false/nonexistent evidence • Excessive or inadequate damages • Newly discovered evidence	
Alter/amend judgment	• Manifest error of law or fact is basis for judgment • Intervening change in controlling law • Newly discovered evidence	
Correction of mistake	• Clerical mistake • Mistake arising from oversight or omission	Freely OR with appellate court's leave if docketed
Extraordinary relief	• Mistake, inadvertence, surprise, excusable neglect • Newly discovered evidence • Fraud, misrepresentation, misconduct by opposing party	≤ 1 year after entry of final judgment
	• Void judgment • Judgment satisfied, released, discharged • Other reason justifying relief	Within reasonable time

A court may **order a new trial** on its own initiative (ie, sua sponte) only under Federal Rule of Civil Procedure (FRCP) 59 **(Choice A)**. A court may do so on any ground that has previously provided a basis for a new trial in federal court. One such ground is when a juror (or a judge, attorney, or party) engaged in **prejudicial misconduct**.

Here, prejudicial misconduct occurred when a juror brought in, and the jury based its verdict on, evidence outside the record—the highway manual. However, FRCP 59 requires that a court's **sua sponte order** (or a party's motion) for a new trial be **filed within 28 days** after entry of the final judgment. Since 60 days have passed since final judgment was entered, this is the most likely reason the judge may not order a new trial sua sponte.

However, a party may still seek relief from final judgment under FRCP 60 if extraordinary circumstances exist and a motion for such relief is made within a reasonable time after the entry of final judgment. Here, the discovery of prejudicial juror misconduct after the deadline for the court to order a new trial had passed would warrant such relief, and the plaintiff may still timely file this motion. Therefore, the plaintiff is not without a remedy.

(Choice B) A court may order a new trial on several grounds—including, but not limited to, when a judge, attorney, party, or juror engaged in prejudicial misconduct.

(Choice C) A court may order a new trial sua sponte before a notice of appeal is filed so long as the order was filed within 28 days after the entry of final judgment.

Educational objective:

A party may move for a new trial—or a court may order a new trial on its own initiative—within 28 days after the entry of final judgment.

References

- Fed. R. Civ. P. 59 (explaining that a court may order a new trial sua sponte within 28 days after a final judgment is entered).
- Montgomery Ward & Co. v. Duncan, 311 U.S. 243, 251 (1940) (articulating grounds for a new trial).

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A recently enacted federal statute allows individuals to sue medical providers for fraudulent billing practices. A woman sued a hospital in a federal district court for allegedly violating this statute. The hospital did not challenge the woman's factual assertions but argued that its conduct was not "fraudulent" as defined by the statute.

After a bench trial, the district court issued its findings of fact and conclusions of law. The findings explained what the court believed to be the correct definition of "fraudulent" under the statute and concluded that the hospital's billing practices did not meet this definition. A final judgment in favor of the hospital was entered the same day.

Twenty-one days later, a federal appellate court, whose boundaries include the district court, issued an opinion in a different case that involved the same federal statute. In its opinion, the appellate court defined the term "fraudulent" differently than the district court. The appellate court's definition would have allowed the woman to prevail in her suit.

What is the most efficient action the woman can take to challenge the final judgment issued by the district court?

A. File a motion for a new trial.

B. File a motion to alter or amend the judgment.

C. File a motion to correct the mistaken judgment.

D. File a petition for writ of mandamus.

Explanation:

Posttrial relief

Relief	Grounds	Timing
Attorney's fees	• Statute or rule allows recovery	≤ 14 days after entry of final judgment
Judgment as matter of law	• Evidence legally insufficient to find for nonmovant	≤ 28 days after entry of final judgment
New trial	• Prejudicial trial error • Prejudicial misconduct by judge, attorney, party, juror • Verdict not supported by clear weight of evidence • Verdict based on false/nonexistent evidence • Excessive or inadequate damages • Newly discovered evidence	
Alter/amend judgment	• Manifest error of law or fact is basis for judgment • Intervening change in controlling law • Newly discovered evidence	
Correction of mistake	• Clerical mistake • Mistake arising from oversight or omission	Freely OR with appellate court's leave if docketed
Extraordinary relief	• Mistake, inadvertence, surprise, excusable neglect • Newly discovered evidence • Fraud, misrepresentation, misconduct by opposing party	≤ 1 year after entry of final judgment
	• Void judgment • Judgment satisfied, released, discharged • Other reason justifying relief	Within reasonable time

Under FRCP 59(e), a party can file a motion to **alter or amend a final judgment** within 28 days after entry of the judgment when:

- the judgment is based on a **manifest error of law or fact**
- the alteration or amendment is necessary to **prevent manifest injustice**
- **new evidence** that was unavailable during trial has been **discovered** *or*
- there has been an **intervening change** in the **controlling law**.

Appellate court decisions are binding on all district courts within the appellate court's boundaries. As a result, an intervening change in the controlling law occurs when an appellate court issues a decision that contradicts its district court's interpretation of the law.

Here, an intervening change in the controlling law occurred when the appellate court issued an opinion that defined "fraudulent" differently than the district court. Under the appellate court's definition, the woman would have prevailed in her suit. Therefore, the most efficient way to challenge the final judgment is to file a motion with the district court to alter or amend its judgment in accordance with the appellate court's definition.

(Choice A) Challenging the district court's definition of "fraudulent" by filing a motion for a new trial would not be the most *efficient* way to challenge the final judgment since a new trial would likely be expensive and time-consuming.

(Choice C) A motion to correct a mistaken judgment is appropriate when that judgment contains a clerical mistake or a mistake arising from an oversight or omission (not seen here).

(Choice D) A petition for writ of mandamus is a *rare* procedure that allows a party to seek appellate review *before* a final judgment is issued and only when no other remedy (eg, alter or amend judgment) is available.

Educational objective:

A party can move to alter or amend a final judgment within 28 days after the judgment is entered when (1) the judgment is based on a manifest error of law or fact, (2) it is necessary to prevent manifest injustice, (3) new evidence has been discovered, or (4) an intervening change in the controlling law has occurred.

FRCP = Federal Rule of Civil Procedure.

References

- Fed. R. Civ. P. 59(e) (motion to alter or amend a judgment).
- 47 Am. Jur. 2d Judgments § 636 (2019) (explaining the grounds for a motion to alter or amend a final judgment).

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A store owner from State A had a dispute with its supplier incorporated and headquartered in State B over the quality of the produce the supplier had delivered to the store. The store owner sued the supplier in a federal court in State A for breach of contract, seeking $200,000 in damages.

The supplier filed a pre-answer motion to dismiss the case based solely on lack of personal jurisdiction, which the court denied. The supplier now seeks to assert that the federal court is an improper venue and that the store owner failed to state a claim on which relief can be granted.

Which of the following statements best describes the effect of the supplier's pre-answer motion on these two defenses?

A. It has no effect on the supplier's "improper venue" or "failure to state a claim" defense.
B. It resulted in a waiver of the supplier's "failure to state a claim" defense.
C. It resulted in a waiver of the supplier's "improper venue" defense.
D. It resulted in a waiver of the supplier's "improper venue" and "failure to state a claim" defenses.

Explanation:

A defendant must respond to a plaintiff's complaint by filing an answer or a pre-answer motion. When the defendant files a pre-answer motion, the **omnibus motion rule** requires that all FRCP 12 defenses be **consolidated in a *single* motion** for efficiency purposes. This means that the defendant cannot file a subsequent pre-answer motion raising an omitted FRCP 12 defense—except for lack of subject-matter jurisdiction*—that was available when the initial motion was filed.

Because of the omnibus motion rule, the following FRCP 12 defenses are **waived** and cannot be asserted later if **omitted from a pre-answer motion**: (1) lack of personal jurisdiction, (2) improper venue, and (3) insufficient process or service of process. Here, the supplier's pre-answer motion failed to include the "improper venue" defense, so this defense was waived **(Choice A)**.

However, the following FRCP 12 defenses may still **be later asserted** in an **answer or post-answer motion** if omitted from a pre-answer motion: (1) failure to state a claim, (2) failure to state a legal defense, and (3) failure to join a required party. As a result, the supplier's omission of its "failure to state a claim" defense from the pre-answer motion did *not* waive this defense. It may still be asserted in the supplier's answer or in a post-answer motion **(Choices B & D)**.

*Lack of subject-matter jurisdiction is never waived and may be asserted at any time, including in a subsequent pre-answer motion.

Educational objective:

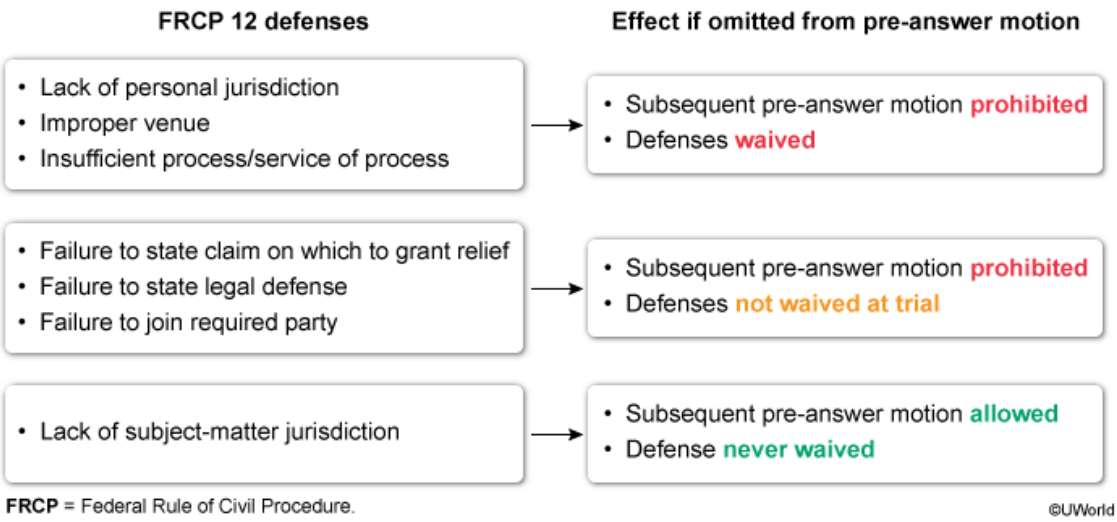
The omnibus motion rule requires that all FRCP 12 defenses be consolidated in a single pre-answer motion. Lack of personal jurisdiction, improper venue, and insufficient process or service of process are waived if omitted. But failure to state a claim, state a legal defense, or join a required party may still be asserted in an answer or post-answer motion.

References

- Fed. R. Civ. P. 12(g)–(h) (consolidating and waiving pre-answer defenses).
- 5C Charles Alan Wright et al., Federal Practice and Procedure § 1385 (3d ed. 2020) (explaining the omnibus motion rule).

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Omnibus motion rule



FRCP = Federal Rule of Civil Procedure.

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A gas station sued a supplier for breach of contract in an appropriate federal district court located in State A. The gas station alleged that it entered into a contract with the supplier for emergency gasoline delivery as a hurricane approached, but the supplier failed to deliver the gas. The gas station claimed that it lost $100,000 in profits as a result of the supplier's failure to deliver.

In its defense, the supplier asserted that the time frame specified in the contract was ambiguous, argued that the state of emergency excused its nondelivery, and disputed the amount of damages. The gas station maintains that the state of emergency is no defense because the contract was for an emergency delivery.

The parties submitted cross-motions for partial summary judgment on the issue of whether the state of emergency excused the supplier's failure to meet the delivery deadline. This is an issue of first impression under the law of State A, which controls this contract.

The judge ruled that the state of emergency did not excuse the supplier's failure to meet the delivery deadline. As a result, the judge granted the gas station's motion for partial summary judgment, denied the supplier's motion, and set discovery and trial dates.

The supplier immediately appealed the decision to the appropriate federal appellate court.

What is the proper response by the federal appellate court?

A. Certify the novel legal issue to the highest court of State A.

B. Dismiss the appeal for lack of jurisdiction.

C. Mandate that the district court judge certify the issue for appeal.

D. Reverse the district court judge's order.

Explanation:

Final-judgment rule

Rule Appeal only allowed after final judgment

- If multiple claims/parties, final judgment as to fewer than all claims/parties appropriate if court expressly determines no justifiable reason for delay

Exceptions Interlocutory appeals* concerning:

- **I**njunction (grant/denial)
- **C**ertification by district court
- **C**lass action certification
- **A**ppointment of receiver
- **A**dmiralty case
- **C**ollateral-order doctrine
- **B**ankruptcy cases (certain orders)
- **M**andamus (petition for writ)
- **P**atent infringement order (only accounting left)

Mnemonic: **I**n **C**ertain **C**ircumstances, **A**n **A**ppeal **C**an **B**e **M**ade **P**rematurely

*Appeal from trial court ruling that occurs before entry of final judgment.

*Appeal from trial court ruling that occurs before entry of final judgment

The **final-judgment rule** is a **jurisdictional requirement** that **bars** federal appellate courts from hearing an **appeal** until the district court has entered a **final judgment**. A final judgment **fully resolves a dispute** on the merits and leaves nothing for the court to do but enforce the judgment. Therefore, absent limited exceptions, an appellate court must dismiss an appeal for lack of jurisdiction if no final judgment has been entered. This promotes judicial economy and avoids undue delay caused by multiple appeals.

Here, the federal district court's ruling on the motions for partial summary judgment addressed whether the state of emergency excused the supplier's failure to meet the delivery deadline. But it did not fully resolve the dispute since the ambiguity of the contract terms and the amount of damages were not decided. As a result, the final-judgment rule requires that the appellate court dismiss the appeal for lack of jurisdiction.

(Choice A) Most states allow federal courts to certify (ie, request to assign) an unsettled issue of state law to the state's highest court, even if the decision would be an advisory opinion. But this cannot be done when, as here, the federal court lacks jurisdiction over the dispute.

(Choice C) A district court can certify (ie, approve) an issue for appeal *before* a final judgment when (1) there is a substantial difference of opinion on the controlling question of law and (2) an appeal will materially advance the ultimate termination of litigation. But an appellate court has no power to mandate that a district court do so.

(Choice D) The appellate court cannot reverse the district judge's order because the appellate court lacks jurisdiction.

Educational objective:

Under the final-judgment rule, a federal appellate court generally has no jurisdiction to hear an appeal until the district court has issued a final judgment—ie, a decision that fully resolves the dispute on the merits.

References

- 28 U.S.C. § 1291 (final-judgment rule).
- 28 U.S.C. § 1292 (exceptions to final judgment rule).
- Lauro Lines s.r.l. v. Chasser, 490 U.S. 495, 497 (1989) (defining final judgment).

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A worker was injured when a machine he was using on the job malfunctioned. The worker brought a federal diversity action against both the machine's manufacturer and the company responsible for the machine's maintenance. At trial, the worker submitted a proposed jury instruction on negligence. The court did not accept the proposed instruction and instead gave a negligence instruction that the worker's attorney believed was less favorable and legally incorrect. The attorney did not object to the negligence instruction before it was given. The jury returned a verdict for the defendants.

The worker has moved for a new trial on the ground that the court's negligence instruction was improper.

What argument has the best chance of persuading the court to grant the motion?

A. Issues of law can be raised at any time.

B. The court's negligence instruction was incorrect and the worker's objection to it was preserved when he submitted his proposed negligence instruction.

C. The court's negligence instruction was plain error that affected the worker's substantial rights.

D. The need for a formal objection to a judicial ruling in order to preserve an argument has been eliminated in the Federal Rules of Civil Procedure.

Explanation:

A party must generally raise a **formal objection at trial** to preserve and challenge an error in a post-trial motion (eg, motion for new trial) or on appeal. An error in the jury instructions is **preserved** if the objection was raised either:

- at the close of evidence – by filing a written request for a proposed instruction and obtaining a definitive ruling from the court on the record *or*
- before the court instructed the jury and before closing arguments – by clearly identifying, and stating the grounds for, the objection on the record.

If a party **failed to do so**, the challenged error can only be **reviewed for plain error (Choice D)**. Under a plain error review, a motion for new trial will be granted if the movant shows that an **obvious error affected a substantial right** and the fairness of judicial proceedings—eg, a jury instruction that misstated the law.

Here, the worker submitted a proposed jury instruction on negligence. That proposal was not accepted by the court, but it was not definitively denied on the record (no preserved error) **(Choice B)**. And though the worker's attorney disagreed with the court's instruction, the attorney did not object to it on the record (no preserved error). But since the attorney believed that the court's instruction was legally incorrect, the best argument to support the motion for new trial is that the instruction was plain error that affected the worker's substantial rights.

(Choice A) Most issues—including issues of law—must be raised at trial before they can be raised post-trial (eg, improper jury instruction). Only certain issues can be raised at any time (eg, lack of subject-matter jurisdiction or standing).

Educational objective:

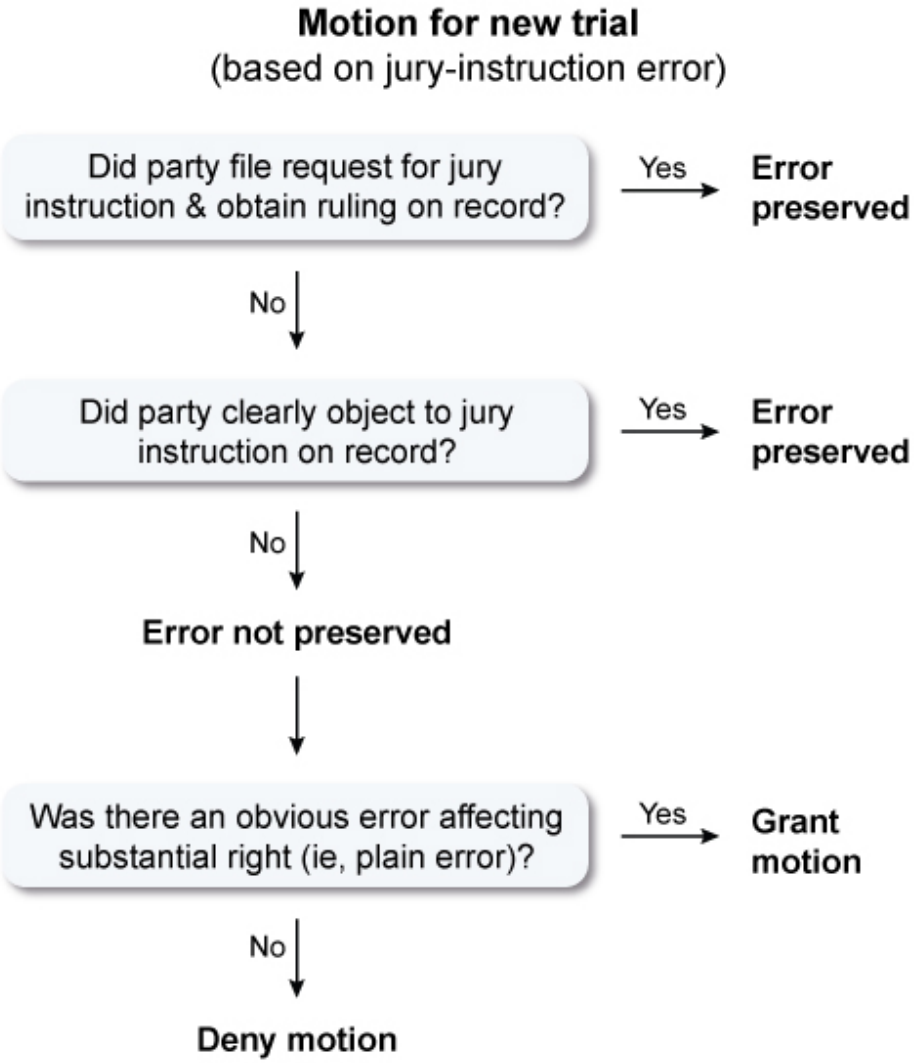
A party must generally raise a formal objection at trial to preserve his/her right to challenge an error in a post-trial motion or on appeal. But if a party fails to do so, the challenged error can still be reviewed for plain error—ie, an obvious error that affected a substantial right and the fairness of judicial proceedings.

References

- Fed. R. Civ. P. 51 (preserving error regarding requests for, and objections to, jury instructions).
- Fed. R. Civ. P. 59, 61 (motion and standard for new trial).

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Motion for new trial
(based on jury-instruction error)
Did party file request for jury instruction & obtain ruling on record?
Yes
Error preserved
No
Did party clearly object to jury instruction on record?
Yes
Error preserved
No
Error not preserved
Was there an obvious error affecting substantial right (ie, plain error)?
Yes
Grant motion
No
Deny motion

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A plaintiff brought a diversity action against a defendant in federal court in State A. At a pretrial conference, the attorneys stipulated to a jury of 14 jurors and 4 alternates and submitted this request to the judge. State courts in State A allow 14-person juries.

Is the judge likely to comply with the parties' request?

A. No, because a 14-person jury is not allowed in federal court.

B. No, because there must be half as many alternate jurors as selected jurors.

C. Yes, because state courts in State A allow 14-person juries.

D. Yes, because the parties stipulated to a 14-person jury.

Explanation:

Under Federal Rule of Civil Procedure 48(a), a **jury** in federal civil cases must have **at least 6** but **no more than 12 members**. The parties may stipulate to the size of the jury so long as the stipulation stays within the requisite range. Here, the parties asked the judge to seat 14 jurors, which exceeds the maximum amount of 12 possible jurors **(Choice D)**. Therefore, the judge is unlikely to comply with the parties' request.

(Choice B) An alternate juror is a person who steps in when a member of the jury is excused for good cause (eg, illness, family emergency). There is no requirement for the number of alternate jurors that must be selected, but federal courts generally select two or three.

(Choice C) Although state courts in State A allow 14-person juries, federal law controls procedural issues (eg, jury size) in diversity actions. Therefore, juries in federal civil cases must have 6 to 12 members.

Educational objective:

A federal civil jury trial must begin with at least 6 and no more than 12 members. The parties may stipulate to the size of the jury so long as the stipulation stays within the requisite range.

References

- Fed. R. Civ. P. 48(a) (number of jurors).

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A buyer brought a diversity suit in State A federal court against a seller for breach of contract. During the case, the seller engaged in fraudulent conduct, attempted to delay the proceedings, ignored several court orders, and unduly oppressed and harassed the buyer. The judge issued an order to show cause as to why the seller should not be held in contempt. After a hearing, the judge held the seller in contempt and ordered him to pay a fine to the court and the buyer.

At the conclusion of trial, the seller objected to this fine. The seller argued that State A law does not authorize a fine under these circumstances and that the federal court was bound to follow State A law. The seller also argued that no federal statute or rule authorizes this fine for contempt.

If the seller is correct in his arguments, will he likely succeed in his objection?

A. No, because federal common law allows the court to impose the fine for contempt.

B. No, because the case was brought in federal court.

C. Yes, because a federal court sitting in diversity must follow state law.

D. Yes, because no federal statute or rule authorized the imposition of this fine.

Explanation:

Federal courts sitting in diversity must apply **state law** to **substantive** issues and **federal law** to **procedural** issues **(Choice B)**. However, there are instances when it is **unclear** whether an issue is substantive or procedural (eg, a fine for contempt) and there is **no federal law** (ie, constitutional provision, statute, or rule) that ***directly*** **addresses** the issue. When this occurs, the ***Erie*** **analysis*** is used to determine if a federal court can supplant state law with federal common law (ie, judge-made rules).

Under the *Erie* analysis, **state law applies if** it is outcome determinative AND there is no federal countervailing interest. State law is **outcome determinative** if the failure to apply state law would result in:

- forum shopping – litigants will be encouraged to sue in federal court to take advantage of benefits not afforded in state court *or*
- inequitable administration of the laws – the application of substantially different rules in federal and state court would cause unfair outcomes.

Here, the contempt fine will not cause forum shopping or the inequitable administration of the laws. That is because contempt fines are ordered only if a party fails to abide by court rules and are not tied to substantive issues underlying the case. As a result, state law is *not* outcome determinative, and the court can apply federal common law to impose the contempt fine over the seller's objection **(Choice C)**.

*The Erie and federal-rule analyses seek to ensure that federal courts sitting in diversity apply federal law to procedural issues only. Therefore, the more substantive an issue appears to be, the more likely state law must be applied.

(Choice D) Although no federal statute or rule authorizes the fine, federal courts have *inherent* authority to hold a party in contempt of court.

Educational objective:

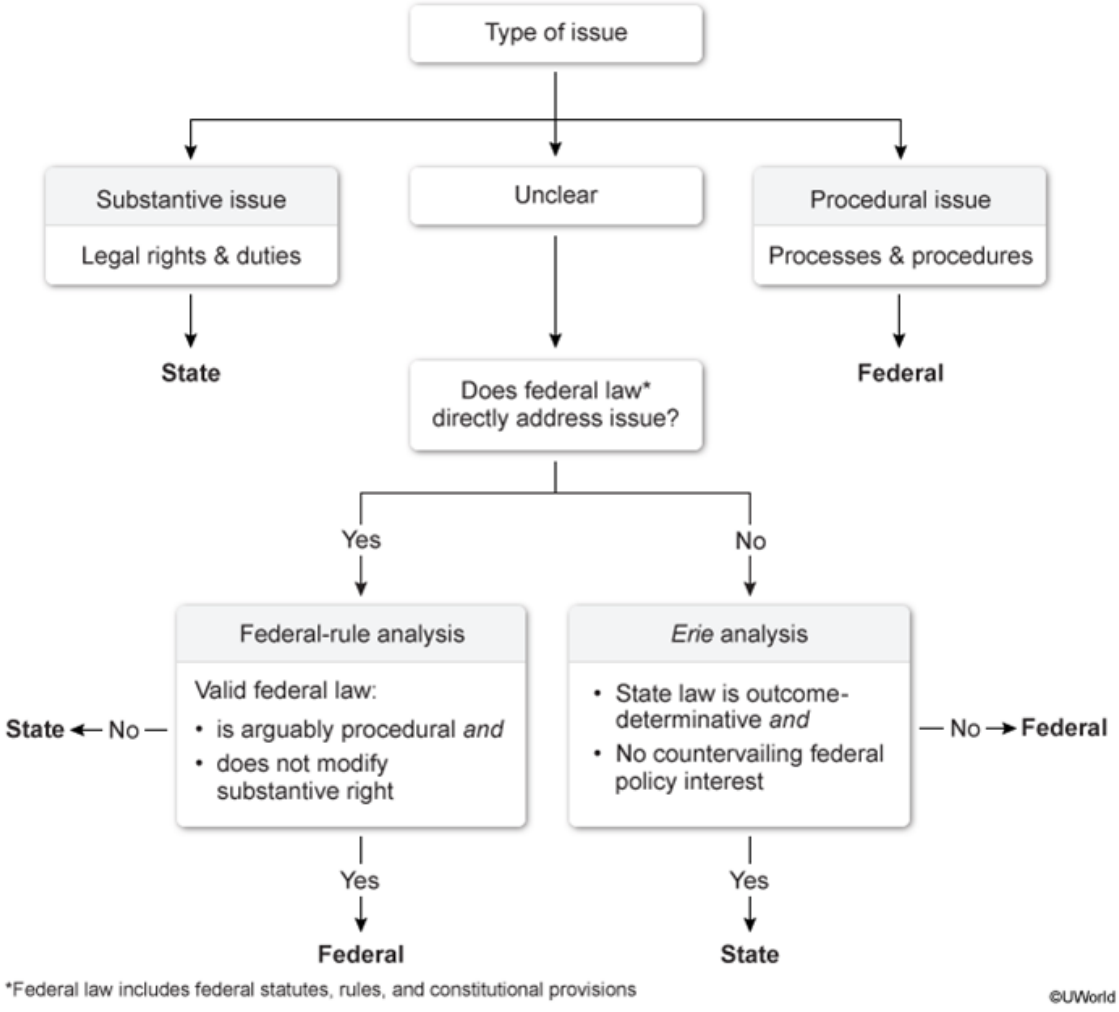
Under the *Erie* analysis, a federal court sitting in diversity must apply state law if (1) it would be outcome determinative—ie, failing to apply it would result in forum shopping or inequitable administration of the laws—and (2) there is no countervailing federal policy interest.

References

- Chambers v. NASCO, Inc., 501 U.S. 32, 51–53 (1991) (explaining that a federal court sitting in diversity has the inherent authority to impose a fine for contempt even if state law would not permit it).

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Choice of law in diversity cases



*Federal law includes federal statutes, rules, and constitutional provisions

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A retailer brought a federal diversity action against an architect, alleging fraudulent misrepresentations in the architect's design of the retailer's store. The complaint did not include a jury demand.

One week later, the architect timely moved to dismiss the action for failure to state a claim; he did not file an answer. Twenty days after being served with the motion, the retailer filed and served an amended complaint that added a defamation claim based on the architect's recent statements about the retailer in a local newspaper. In the amended complaint, the retailer demanded a jury on both claims.

Has the retailer properly demanded a jury trial?

A. No, because the retailer filed the demand more than 14 days after service of the motion to dismiss.

B. No, because the retailer filed the demand more than 14 days after service of the original complaint.

C. Yes, but on the defamation claim only, because the original complaint did not contain a jury demand.

D. Yes, on both claims, because the architect had not answered the original complaint when the retailer filed the amended complaint with the jury demand.

Explanation:

The retailer's original complaint did not demand a jury trial. But under Federal Rule of Civil Procedure (FRCP) 15, a party may **amend its original pleading** *once* as a matter of course (ie, without the court's permission) within **21 days after**:

- serving the original pleading (eg, complaint) *or*
- being served with a responsive pleading (eg, answer) or **motion** under FRCP 12(b), (e), or (f) (eg, motion to dismiss for **failure to state a claim**)—whichever occurs first.

The retailer amended its complaint more than 21 days after serving the original complaint. However, the amendment occurred within 21 days of the retailer being served with the architect's motion to dismiss for failure to state a claim. Therefore, the amendment—which added a defamation claim and jury trial demand—was timely and permissible.

And under FRCP 38, a written **jury trial demand** on any triable jury issue is **timely** when the demand is:

- served on the other parties **no later than 14 days after the last pleading** directed to the issue is served **(Choices A & B)** *and*
- filed with the court within a reasonable time after service of the jury trial demand.

An answer is typically the last pleading directed at the triable jury issue. Since the architect had not filed an answer when the retailer filed and served the amended complaint that demanded a jury trial, the demand was proper. Therefore, the retailer is entitled to a jury on both claims **(Choice C)**.

Educational objective:

A party may demand a jury trial on any triable jury issue by (1) serving the other parties with a written jury demand no later than 14 days after the last pleading directed to the issue is served and (2) filing the demand with the court within a reasonable time after service. An answer is typically the last pleading directed at the triable jury issue.

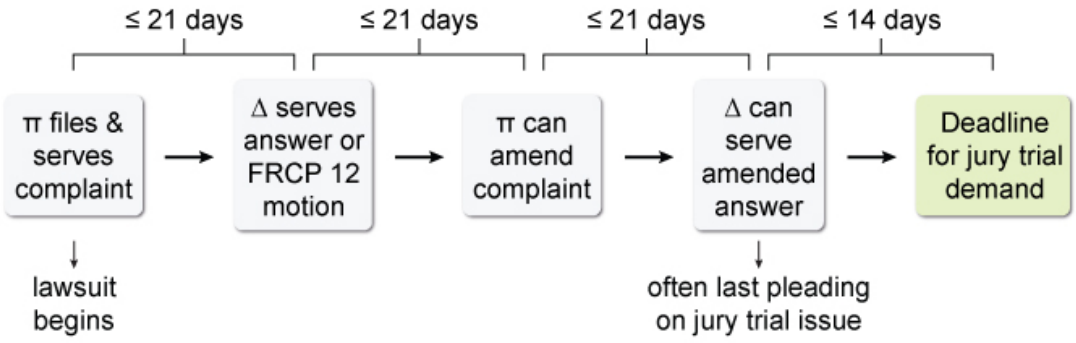
References

- Fed. R. Civ. P. 15(a) (amended pleadings).
- Fed. R. Civ. P. 38 (demand for a jury trial).

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Jury trial demand timeline



π = plaintiff; Δ = defendant

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A federal agency sued a corporation in a federal court in State A. The agency claimed that the corporation intentionally issued false and misleading advertisements in violation of federal law. At the conclusion of trial, the court found that the advertisements were false and misleading and entered a declaratory judgment in favor of the agency.

A group of consumers then filed a class action in a federal court in State B against the same corporation to recover damages suffered as a result of the false and misleading advertisements. The corporation demanded a jury trial. The group moved for partial summary judgment, asserting that collateral estoppel (issue preclusion) prevents the corporation from relitigating whether the advertisements were false and misleading.

How will the federal court likely rule on the group's motion for partial summary judgment?

A. Deny the motion, because the corporation is entitled to a jury trial on this factual issue.

B. Deny the motion, because the group was not a party to the first action.

C. Grant the motion, because offensive nonmutual collateral estoppel is permitted.

D. Grant the motion, because the law-of-the-case doctrine applies.

Explanation:

Collateral estoppel

(ie, issue preclusion)

Mutual v. Nonmutual	Mutual	*Parties* from first action assert collateral estoppel in subsequent action against other parties from first action
	Nonmutual	*Nonparties* from first action assert collateral estoppel in subsequent action against parties from first action
Defensive v. Offensive	Defensive	*Defendant* in second action asserts to *avoid* relitigating issue from first action
	Offensive	*Plaintiff* in second action asserts to *establish* issue from first action. Not permitted if: • plaintiff could have easily joined first action • defendant had little incentive to vigorously defend in first action • second action affords procedural opportunities unavailable in first action *or* • inconsistent findings on issue exist

Collateral estoppel (ie, issue preclusion) precludes the relitigation of an issue that was actually litigated, determined, and essential to a valid final judgment. There are two types of collateral estoppel:

- **Mutual** – where **parties** from the first action assert collateral estoppel in a subsequent action against other parties from the first action
- **Nonmutual** – where **nonparties** from the first action assert collateral estoppel in a subsequent action against parties from the first action **(Choice B)**

Both types are permitted in federal court, and both can be used in a defensive or offensive manner. ***Defensive* estoppel** is **used by a defendant** in the second action to ***avoid* relitigating an issue** from the first action. ***Offensive* estoppel** is **used by a plaintiff** in the second action to ***establish* an issue** from the first action—with limited exceptions (see table above).

Here, a federal court entered a declaratory judgment in favor of the federal agency after finding that the corporation's advertisements were false and misleading. A group of consumers then filed a class action against that corporation. The group (*nonparty* in first action) moved for partial summary judgment on the ground that the prior judgment

established that the advertisements were false and misleading. Since *offensive nonmutual* collateral estoppel is permitted in federal court, the motion will likely be granted.*

*None of the exceptions apply here since (1) it is difficult to join a federal agency's suit, (2) there is a great incentive to defend against allegations by the federal government, (3) both actions were brought in federal court, and (4) no inconsistent findings exist.

(Choice A) In Parklane Hosiery Co. v. Shore, the Supreme Court held that preventing the relitigation of factual issues through collateral estoppel does not violate the Seventh Amendment right to a jury trial.

(Choice D) The law-of-the-case doctrine prevents relitigating legal issues that have been decided at successive stages of the same case—eg, trial court must apply appellate court's legal determinations on remand—not *different* cases (as seen here).

Educational objective:

Collateral estoppel can be asserted by parties (mutual) or nonparties (nonmutual) to the first action against parties to the first action either (1) *defensively*, when used by a defendant in the second action to *avoid* an issue or (2) *offensively*, when used by a plaintiff in the second action to *establish* an issue.

References

- Parklane Hosiery Co. v. Shore, 439 U.S. 322, 329–31 (1979) (explaining how nonmutual collateral estoppel applies in federal courts).
- Restatement (Second) of Judgments § 27 (Am. Law Inst. 1982) (defining issue preclusion).

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An accounting firm brought a federal diversity action against a former client for failing to pay for the firm's audit of the client's financial statements. After the client answered, the parties settled, and the court dismissed the action with prejudice. The client subsequently sued the firm for negligently performing the audit. The firm moved to dismiss the negligence action on the basis of res judicata (claim preclusion).

Is the court likely to grant the motion?

A. No, because the firm's negligence was never raised or decided in the first action.

B. No, because the first action was resolved by settlement.

C. Yes, because the court dismissed the first action with prejudice.

D. Yes, because the negligence claim was transactionally related to the claim in the first action and should have been asserted as a counterclaim.

Explanation:

Res judicata (claim preclusion) provides that a valid final judgment on the merits precludes the relitigation of identical claims between **identical parties**. Parties are identical if they occupy the same roles in the first and subsequent actions—eg, the same party must be the plaintiff in both actions. But when the same parties occupy **different roles** (as seen here), claim preclusion will still apply if a party violated the first court's **compulsory-counterclaim rule**.

Here, the accounting firm brought the first action in federal court. Under FRCP 13, a counterclaim is compulsory (ie, must be asserted) if it:

- arises from the **same transaction or occurrence** as the opposing party's claim *and*
- does **not require adding a party** over whom the court cannot acquire jurisdiction.

The client's negligence claim against the accounting firm was transactionally related to the firm's claim in the first action since both concern the same audit. Since the client's claim does not require adding any parties, it should have been asserted as a counterclaim in the first action. By violating the compulsory-counterclaim rule, the client is precluded from asserting that claim in the second action. Therefore, the court in the second action will likely grant the firm's motion to dismiss based on res judicata.

(Choice A) Although the firm's negligence was never raised or decided in the first action, claim preclusion bars a claim that *should* have been asserted in a prior action (as seen here).

(Choice B) A judgment entered due to a settlement is entitled to claim-preclusive effect. However, such a judgment does not trigger issue preclusion, which requires actual litigation.

(Choice C) The fact that the first court dismissed the action with prejudice is insufficient by itself to trigger claim preclusion. That is because the claims in the first and second actions must also be transactionally related to trigger the compulsory-counterclaim rule.

Educational objective:

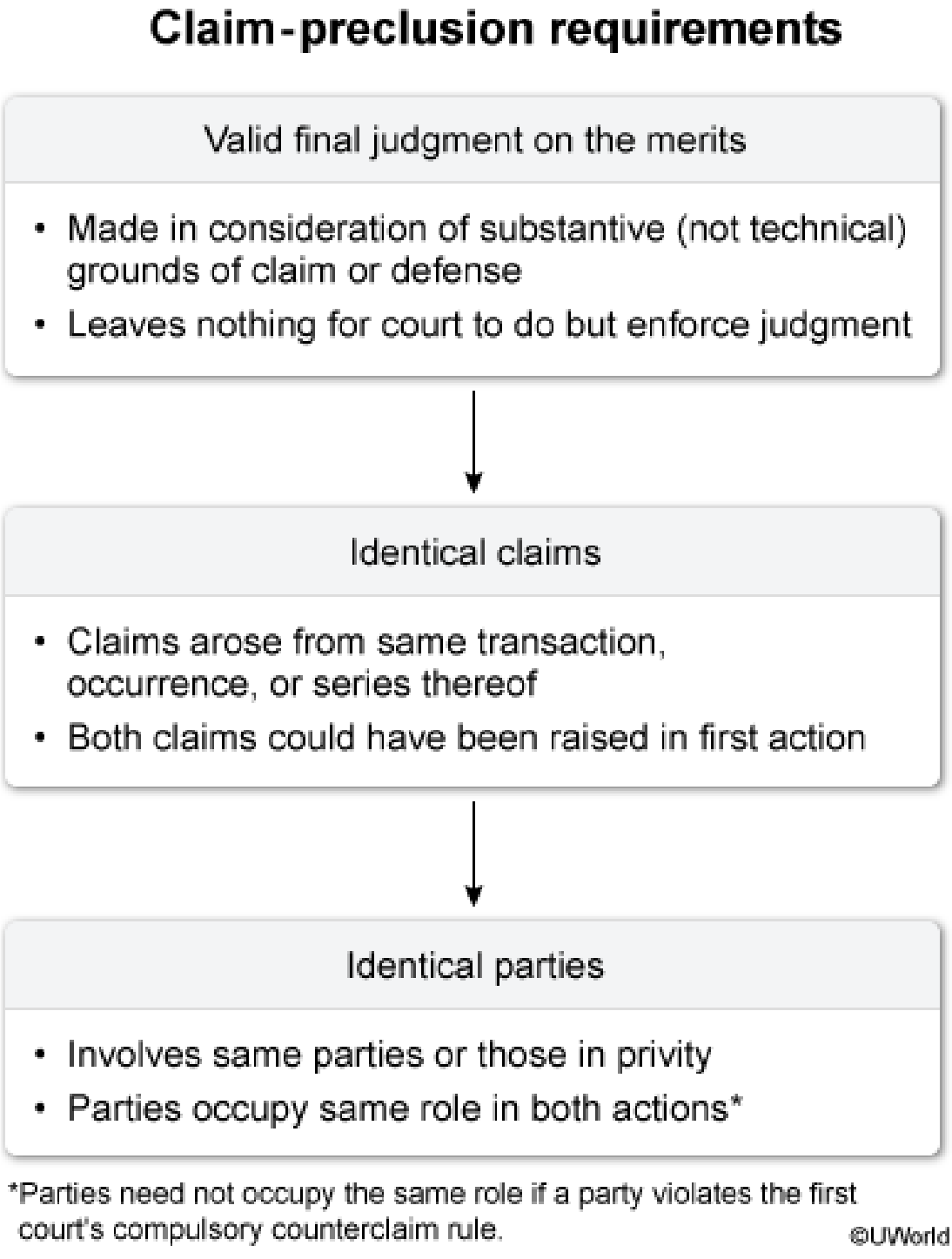
Claim preclusion applies if the parties occupy the same roles in the first and subsequent actions—ie, the parties are identical. If the parties are not identical, claim preclusion will still apply if a party violated the first court's compulsory-counterclaim rule.

FRCP = Federal Rule of Civil Procedure.

References

- Restatement (Second) of Judgments § 22 (Am. Law Inst. 1982) (explaining compulsory-counterclaim exception to identical-parties requirement).
- Fed. R. Civ. P. 13(a) (compulsory counterclaim).

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A wholesaler brought a federal diversity action against a large pharmaceutical company for breach of contract. During jury selection, one potential juror stated that five years earlier he had been an employee of the company and still owned several hundred shares of its stock. In response to questioning from the judge, the potential juror stated that he could fairly consider the evidence in the case.

The wholesaler's attorney has asked the judge to strike the potential juror for cause.

Should the judge strike the potential juror for cause?

A. No, because the potential juror said that he could fairly consider the evidence in the case.

B. No, because the wholesaler's attorney could use a peremptory challenge to strike the potential juror.

C. Yes, because other potential jurors still remain available for the jury panel.

D. Yes, because the potential juror is presumed to be biased because of his relationship to the company.

Explanation:

Challenges to potential jurors

(FRCP 47)

	Number allowed	Basis for disqualification
Peremptory	3 per party*	• Any basis other than race, ethnicity, or gender • No explanation needed
For cause	Unlimited	• For bias or lack of impartiality—eg: – relationship with party – financial stake in party

FRCP = Federal Rule of Civil Procedure.

*When a civil action involves multiple plaintiffs or defendants, the court may grant each side (1) three peremptory challenges or (2) more than three peremptory challenges that each side's parties exercise separately or jointly.

Federal Rule of Civil Procedure 47 permits the court, the parties, or the parties' attorneys to examine potential jurors. During this process, referred to as **voir dire**, the **prospective jurors are questioned** on their backgrounds and **potential biases** before being chosen to sit on the jury.* Each party is entitled to:

- three peremptory challenges – to disqualify a potential juror for any reason (other than race, ethnicity, or gender), without the need for an explanation *and*
- an **unlimited** number of **challenges for cause** – to disqualify a potential juror on the grounds that he/she is biased or otherwise cannot be impartial.

A peremptory challenge is granted automatically. But a **challenge for cause** will **only be granted** if the court finds **evidence of bias** (eg, **employment relationship** with a party, **financial stake** in a party). And here, there is sufficient evidence of bias since the potential juror is a former employee of the pharmaceutical company and still owns several hundred shares of company stock. Therefore, the judge should strike the potential juror for cause.

*The court may examine the jurors or allow the attorneys to do so. If the court examines the jurors, it must either (1) permit the parties or their attorneys to make any further inquiry the court deems proper or (2) ask any of their additional questions the court considers proper.

(Choice A) In deciding how to rule, the judge may consider the potential juror's statement that he could fairly consider the evidence in the case. But this statement alone is not sufficient for the judge to refuse to disqualify the potential juror for cause.

(Choice B) The judge cannot refuse to strike the potential juror for cause simply because the wholesaler's attorney could use a peremptory challenge to strike him. And since there is sufficient evidence that the potential juror cannot be impartial because of his relationship with the company, the judge must exclude him.

(Choice C) The fact that other prospective jurors still remain available for the jury panel is irrelevant in determining whether the judge should strike the potential juror for cause.

Educational objective:

During jury selection, each party is entitled to (1) three peremptory challenges—to disqualify a potential juror for any reason (other than race, ethnicity, gender) and without explanation—and (2) an unlimited number of challenges for cause—to disqualify a potential juror on the grounds that he/she is biased or otherwise cannot be impartial.

References

- Fed. R. Civ. P. 47 (jury selection process).
- 28 U.S.C. § 1870 (challenging prospective jurors).
- Darbin v. Nourse, 664 F.2d 1109, 1113 (9th Cir. 1981) (explaining that a challenge for cause is warranted when a prospective juror's relationships, pecuniary interests, or clear biases threaten impartiality).

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A manufacturer brought a patent infringement action in federal court against a company to recover $50,000. The complaint did not include a jury demand. The company timely filed and served its answer, which included a jury trial demand on the issue of damages. Ten days after being served with the answer, the manufacturer filed and served a written jury trial demand for all triable jury issues. The company immediately moved to strike the manufacturer's jury trial demand.

Is the court likely to grant the motion to strike?

A. No, because the manufacturer properly demanded a jury trial.

B. No, because the manufacturer's jury demand was served within 30 days after the company's jury demand.

C. Yes, because the manufacturer failed to include a jury demand in its complaint.

D. Yes, because the manufacturer's jury demand was untimely filed.

Explanation:

Under Federal Rule of Civil Procedure 38, a civil litigant (plaintiff or defendant) may properly demand a jury trial on any triable jury issue by:

- serving the other parties with a written jury demand within 14 days after the last pleading (usually the defendant's answer) is served *and*
- filing the demand with the court within a reasonable time after service of the demand.

When a party demands a **jury trial on specific issues**, another party may serve a **jury trial demand** for any **other triable jury issue** within **14 days after service** of the **original demand** or a shorter time ordered by the court **(Choice B)**.*

Here, the company timely filed and served its answer, which included a jury trial demand on the specific issue of damages. The manufacturer then served a written jury trial demand for all other triable jury issues 10 days after the company served its original demand, which was within the 14-day deadline. Therefore, the court likely will deny the company's motion to strike the manufacturer's jury trial demand **(Choice D)**.

*If a party does not specify the issues for which it is demanding a jury trial, the demand is treated as a request for a jury trial on all triable jury issues.

(Choice C) A jury trial demand may, but need not, be included in a pleading (eg, a complaint). The demand can also be made in a separate, stand-alone document (as seen here).

Educational objective:

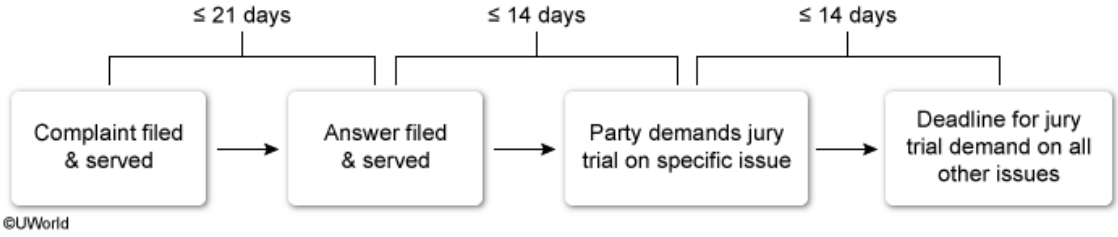
When a party demands a jury trial on specific issues, another party may serve a jury trial demand for any other triable jury issue within 14 days after service of the original demand or a shorter time ordered by the court.

References

- Fed. R. Civ. P. 38(c) (jury trial demand on specific issues).

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Jury trial demand on specific issues



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A distributor brought a diversity action against its competitor in a federal district court in State A. During discovery, the competitor moved for summary judgment. The court entered summary judgment in favor of the competitor after finding that there was no genuine dispute of material fact and that the competitor was entitled to judgment as a matter of law.

The distributor then filed the same claim against the competitor in a federal district court in State B. The competitor filed an answer in which it moved to dismiss the suit based on claim preclusion (res judicata).

Should the court grant the competitor's motion to dismiss?

A. No, because the first action did not result in a final judgment on the merits.

B. No, because the second action was brought in a different federal court.

C. Yes, because the distributor's claim is barred by the entry of summary judgment.

D. Yes, because the distributor's claim merged with the entry of summary judgment.

Explanation:

The doctrine of **claim preclusion** (ie, res judicata) prohibits identical parties from relitigating a claim after *any* court enters a valid final judgment on the merits on an identical claim **(Choice B)**. A **summary judgment** is **final** because it **fully resolves a dispute** and leaves nothing for the court to do but enforce the judgment. It is also issued **on the merits** because it is based on the **substantive elements** of a claim or defense. Entry of final judgment has two effects, both of which extinguish the plaintiff's ability to raise the claim in a later case:

- When final judgment is entered in favor of the *plaintiff*, the plaintiff's claim *merges* with the judgment and is extinguished.
- When final judgment is entered in favor of the *defendant*, the plaintiff's claim is *barred* by the judgment and is extinguished.

Here, the first action resulted in a valid final judgment on the merits when the federal court in State A entered summary judgment in favor of the competitor **(Choice A)**. The distributor then filed the same claim against the same competitor in a federal court in State B. Since summary judgment was entered in favor of the competitor (defendant) in the first action, the distributor's claim in the second suit is *barred* by the judgment **(Choice D)**. As a result, the court should grant the competitor's motion to dismiss the suit based on claim preclusion.*

*Instead of filing the same claim in a different court, the distributor should have appealed the grant of summary judgment. An appellate court has the power to review final judgments entered by district courts within its boundaries.

Educational objective:

Claim preclusion (ie, res judicata) provides that a valid final judgment on the merits precludes identical parties from relitigating identical claims. Summary judgment is a final judgment on the merits because it fully resolves a dispute (leaving only enforcement) and is based on the substantive elements of a claim or defense.

References

- Restatement (Second) of Judgments § 17 (Am. Law Inst. 1982) (defining claim preclusion).

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Claim-preclusion requirements

Valid final judgment on the merits

- Made in consideration of substantive (not technical) grounds of claim or defense
- Leaves nothing for court to do but enforce judgment



Identical claims

- Claims arose from same transaction, occurrence, or series thereof
- Both claims could have been raised in first action



Identical parties

- Involves same parties or those in privity
- Parties occupy same role in both actions*

*Parties need not occupy the same role if a party violates the first court's compulsory counterclaim rule.

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A company from State A filed a federal diversity action against its distributor, seeking $750,000 in damages. The company demanded a jury trial, and 10 jurors were selected to hear the case.

After closing arguments, the judge instructed the jury. The jury deliberated for three days until the foreman sent a note to the judge informing her that the jury could not reach a decision. The judge brought the jury back into the courtroom and instructed the jurors on their duty to carefully and deliberately consider the evidence to reach a decision.

The jury returned a verdict the next day in which nine jurors found in favor of the company for the full amount sought. The judge agreed with the jury and entered a final judgment in accordance with the verdict. The distributor has timely filed a motion for a new trial.

Should the court grant the distributor's motion?

A. No, because a super-majority of jurors agreed on the verdict.

B. No, because the judge agrees with the jury's verdict.

C. Yes, because the verdict was not unanimous.

D. Yes, because there were fewer than 12 jurors.

Explanation:

Under Federal Rule of Civil Procedure 48, a **jury** must consist of **at least 6** and **no more than 12** members **(Choice D)**. Unless otherwise stipulated, the jury must reach a **unanimous verdict**—ie, a formal decision on factual issues that is rendered at the conclusion of trial.* Here, only 9 out of the 10 jurors returned a verdict in favor of the company. Since there is no indication that the parties stipulated to a non-unanimous verdict, the court should grant the distributor's motion for new trial **(Choice A)**.

*In reaching a verdict, jurors must listen to the evidence presented in court and weigh it fairly. They should not consider matters not formally admitted into evidence or discuss the facts of the case with nonjurors.

(Choice B) Whether the judge agrees with the jury's verdict is irrelevant since it was not unanimous.

Educational objective:

A jury verdict must be unanimous and returned by a jury of at least 6 (but no more than 12) members unless the parties stipulate otherwise.

References

- Fed. R. Civ. P. 48 (number of jurors and unanimous-verdict requirements).

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A plaintiff filed a tort action in state court but then failed to prosecute the action. The defendant moved to dismiss the action, and the court granted the motion in an order that stated: "The defendant's motion to dismiss is granted, and this action is dismissed with prejudice." The court accordingly entered judgment for the defendant.

The plaintiff then filed the same claim against the defendant in federal court, invoking diversity jurisdiction. The defendant has asserted the defense of res judicata (claim preclusion) in its answer.

Should the federal court give preclusive effect to the state court judgment?

A. No, because the judgment was entered by a state court, not a federal court.

B. No, because the state court did not rule on the merits in its dismissal.

C. Yes, because a dismissal with prejudice operates as a judgment on the merits.

D. Yes, because a judgment for failure to prosecute operates as a judgment on the merits under the Federal Rules of Civil Procedure.

Explanation:

The doctrine of **res judicata** (ie, claim preclusion) provides that a valid **final judgment on the merits precludes** a party from **relitigating an identical claim** against the **same party**—regardless of whether the actions were filed **in state or federal court (Choice A)**. However, the court in which the judgment was entered determines which claim-preclusion rule applies:

- A judgment entered in *state* court means that *state's* law applies to the second action.
- A judgment entered in *federal* court means *federal* law applies to the second action.

Here, the plaintiff's first tort action was dismissed *with* prejudice by the state court. A dismissal with prejudice constitutes a final judgment on the merits, so the federal court must give preclusive effect to the state court judgment **(Choice B)**. And since the judgment was entered by a state court, that state's rule on claim preclusion should apply.

(Choice D) Under Federal Rule of Civil Procedure (FRCP) 41(b), a dismissal for failure to prosecute a case in federal court operates as a judgment on the merits in that federal court. But since the *state* court rendered the judgment dismissing the plaintiff's claim, state claim-preclusion law (not the FRCP) applies.

Educational objective:

Under the doctrine of res judicata (ie, claim preclusion), a valid final judgment on the merits precludes a party from relitigating an identical claim against the same party—regardless of whether the actions were filed in state or federal court.

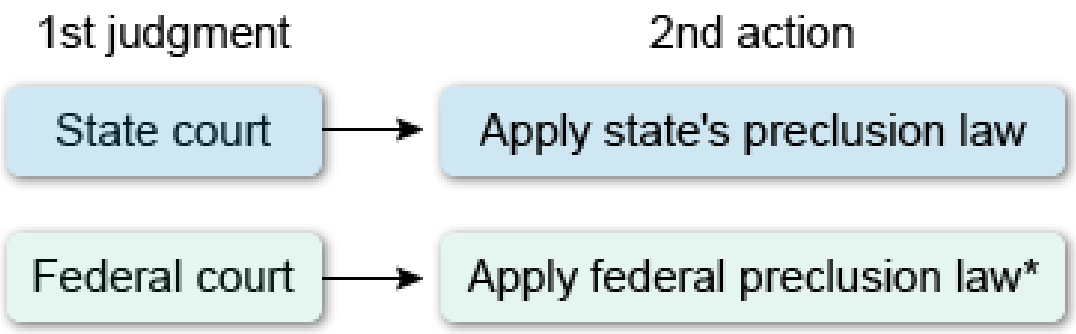
References

- 28 U.S.C. § 1738 (full faith and credit statute).
- Allen v. McCurry, 449 U.S. 90, 96 (1980) (stating that federal courts must give the same preclusive effect to state court judgments that courts in the judgment-rendering state would give).

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Choice of law for preclusion



*Federal court sitting in diversity will likely apply the law of the state where it sits

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An employee complained to his company's human resources department that the company employed undocumented immigrants. Unbeknownst to the employee, the company was currently engaged in a class action lawsuit in which it stood accused of conspiring to lower its employees' wages by hiring undocumented workers. The company's attorney met with the employee and pressured him to recant his complaint, so it would not be used against the company in the class action lawsuit. The employee refused, and he was subsequently fired.

The employee sued the company in federal court, alleging that his termination violated federal law. During discovery, the employee requested that the company turn over all documents and information concerning the company's decision to fire him. The company refused on the ground that the information was protected by the attorney-client privilege. The employee then filed a motion to compel production. The district court entered an order granting the employee's motion on the ground that the company waived this privilege. The company immediately filed a notice of appeal on the ground that the order constituted a collateral order.

Will the appellate court likely hear the appeal?

A. No, because the collateral-order doctrine is not expressly authorized by a federal statute.

B. No, because this issue can be effectively reviewed on appeal from the final judgment.

C. Yes, because an appellate court decision on this issue will likely resolve the dispute.

D. Yes, because due process requires that the appellate court immediately hear the appeal.

Explanation:

Absent narrow exceptions, 28 U.S.C. § 1291 limits appeals to **final judgments**—ie, decisions that fully resolve a dispute on the merits and leave nothing for the district court to do but enforce the judgment. One such exception is the **collateral-order doctrine**, which allows an interlocutory appeal when:

- a district court order **conclusively resolves an important issue**
- that issue is **separate from the merits** of the underlying claim *and*
- that order is **effectively unreviewable on appeal** from a final judgment.

In *Mohawk Indus., Inc. v. Carpenter*, the Supreme Court held that a district court's order rejecting a party's attorney-client privilege claim (as seen here) is not a collateral order. That is because this important issue, though separate from the merits, can be effectively reviewed on appeal from the final judgment. For example, if the appellate court finds the privilege applicable, it can remand the case for a new trial without the privileged evidence. Therefore, the appellate court likely will not hear the company's appeal under the collateral-order doctrine.

(Choice A) Most exceptions to the final-judgment rule are expressly authorized in 28 U.S.C. § 1292 (eg, district court certification) or other federal statutes (eg, certain orders in bankruptcy cases). Although the collateral-order doctrine is not expressly authorized by a federal statute, it is still a valid exception to the final-judgment rule because it was established by the Supreme Court.

(Choice C) Even if an appellate court decision on the privilege issue would resolve the parties' dispute, it would not provide a basis for an immediate appeal under the collateral-order doctrine.

(Choice D) Due process does not require the appellate court to immediately hear the appeal. Instead, appellate review will be available once the district court enters a final judgment.

Educational objective:

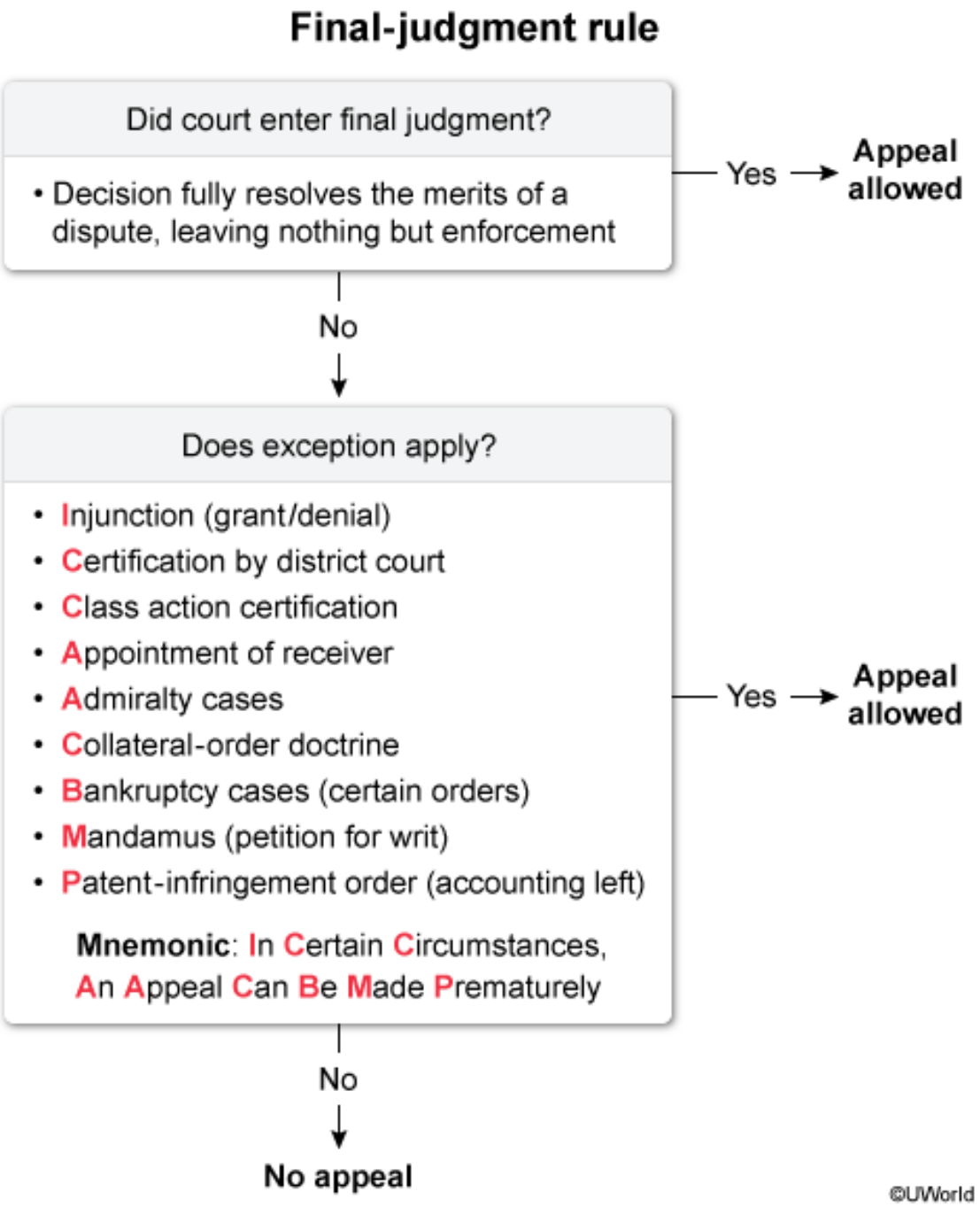
The collateral-order doctrine is an exception to the final-judgment rule. It allows an appeal before final judgment when (1) a district court order conclusively resolves an important issue, (2) that issue is separate from the merits of the underlying claim, and (3) that order is effectively unreviewable on appeal from a final judgment.

References

- 28 U.S.C. § 1291 (final-judgment rule).
- Cohen v. Beneficial Indus. Loan Corp., 337 U.S. 541, 545–46 (1949) (establishing the collateral-order doctrine).

- Mohawk Indus., Inc. v. Carpenter, 558 U.S. 100, 109 (2009) (holding that a district court order denying a party's attorney-client privilege claim is not a collateral order subject to immediate appeal).

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A motorcyclist was involved in a collision with a truck. The motorcyclist sued the truck driver in state court for damage to the motorcycle. The jury returned a verdict for the truck driver, and the court entered judgment. The motorcyclist then sued the company that employed the driver and owned the truck in federal court for personal-injury damages, and the company moved to dismiss based on the state court judgment.

If the court grants the company's motion, what is the likely explanation?

A. Claim preclusion (res judicata) bars the motorcyclist's action against the company.
B. Issue preclusion (collateral estoppel) establishes the company's lack of negligence.
C. The motorcyclist violated the doctrine of election of remedies.
D. The state court judgment is the law of the case.

Explanation:

Claim preclusion (ie, res judicata) provides that a valid final judgment on the merits precludes relitigation of an identical claim between identical parties in a subsequent action.* **Claims are identical** when they arise from the **same transaction or occurrence**. **Parties are identical** if they (or **those in privity** with them) occupy the **same roles** in both actions. Employers are in privity with their employees since they are vicariously liable for their employees' actions.

Here, the state court entered a valid final judgment consistent with the jury's verdict (ie, on the merits) in the motorcyclist's suit against the truck driver. The motorcyclist then sued the truck driver's employer in federal court. The claims in both suits are identical because they arose from the same collision. The parties are also identical since the defendants in both actions—company (employer) and driver (employee), respectively—are in privity. Therefore, the company's motion would likely be granted because claim preclusion bars the action.

*If the plaintiff wins in the first action, the claim merges with the judgment. If the plaintiff loses in the first action, the claim is barred by the judgment. Both preclude the plaintiff from asserting the same claim against the same party in future litigation.

(Choice B) Issue preclusion (ie, collateral estoppel) prohibits relitigating issues of law or fact that were actually litigated, determined, and essential to a valid final judgment. Here, the truck driver's negligence is the issue in both actions. But the jury may not have determined this issue in the first action since it could have found in the driver's favor based on the motorcyclist's contributory negligence.

(Choice C) The election-of-remedies doctrine was a common law rule that forbade plaintiffs from asserting alternative or inconsistent remedies. However, this doctrine does not apply in federal court.

(Choice D) The law-of-the-case doctrine prohibits the relitigation of legal issues decided at successive stages of the same case—eg, a trial court must apply an appellate court's legal determinations when a case is remanded. This doctrine does not apply here since there are two *different* cases.

Educational objective:

Under claim preclusion, a valid final judgment on the merits prohibits relitigating identical claims between identical parties. Claims are identical when they arise from the same transaction or occurrence. Parties are identical if they (or their privies) occupy the same roles in both actions.

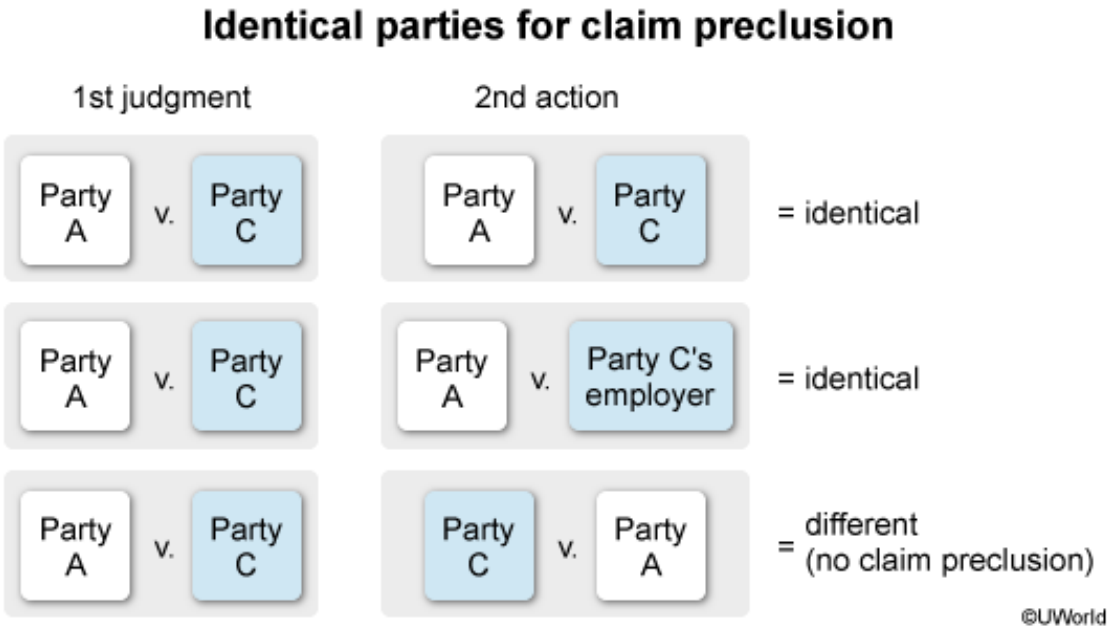
References

- Restatement (Second) of Judgments § 24 (Am. Law Inst. 1982) (explaining identical claims).

- Restatement (Second) of Judgments § 51 (Am. Law Inst. 1982) (explaining that employers are in privity with their employees and are identical parties for preclusion purposes).

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A restaurant owner sued its supplier in a federal district court for breach of contract and trademark infringement. The owner sought $80,000 in damages and a permanent injunction. The supplier filed an answer in which he denied the allegations set forth in the complaint and demanded a jury trial.

The district court denied the supplier's jury-trial demand on the ground that the equitable claim predominated the case. The supplier filed a motion to reconsider, laying out all the precedents clearly requiring a jury in the case. The court entered an order denying the supplier's motion.

What should the supplier do to best protect his right to a jury trial?

A. File a motion for a protective order.

B. File a motion for recusal.

C. File a motion to correct the mistake.

D. File a petition for a writ of mandamus.

Explanation:

Absent limited exceptions, a party cannot seek appellate review of a district court's order until a final judgment has been entered. A petition for a **writ of mandamus** is one such exception. It requests that an appellate court direct a district court to do or refrain from doing something when **exceptional circumstances** clearly exist and **no other adequate remedy** is available. As a result, this writ is appropriate only in *extremely* limited situations—eg:

- when a district court clearly exercises unlawful jurisdiction
- when a district court clearly usurps another branch's power and threatens separation of powers
- to protect a party's Seventh Amendment right to a jury trial

The supplier should therefore file a petition for a writ of mandamus to protect his jury-trial right.

(Choice A) Protective orders are primarily issued to protect a party from annoyance, embarrassment, or undue expense during discovery. A protective order would not protect the supplier's right to a jury trial.

(Choice B) A motion for recusal requests that the judge presiding over the case excuse him/herself from the case due to bias or prejudice against a party—neither of which is seen here.

(Choice C) A motion to correct a mistake is appropriate when a judgment or order contains a clerical mistake or a mistake arising from an oversight or omission—not an erroneous interpretation of law. Therefore, this is not a basis for the supplier to protect his right to a jury trial.

Educational objective:

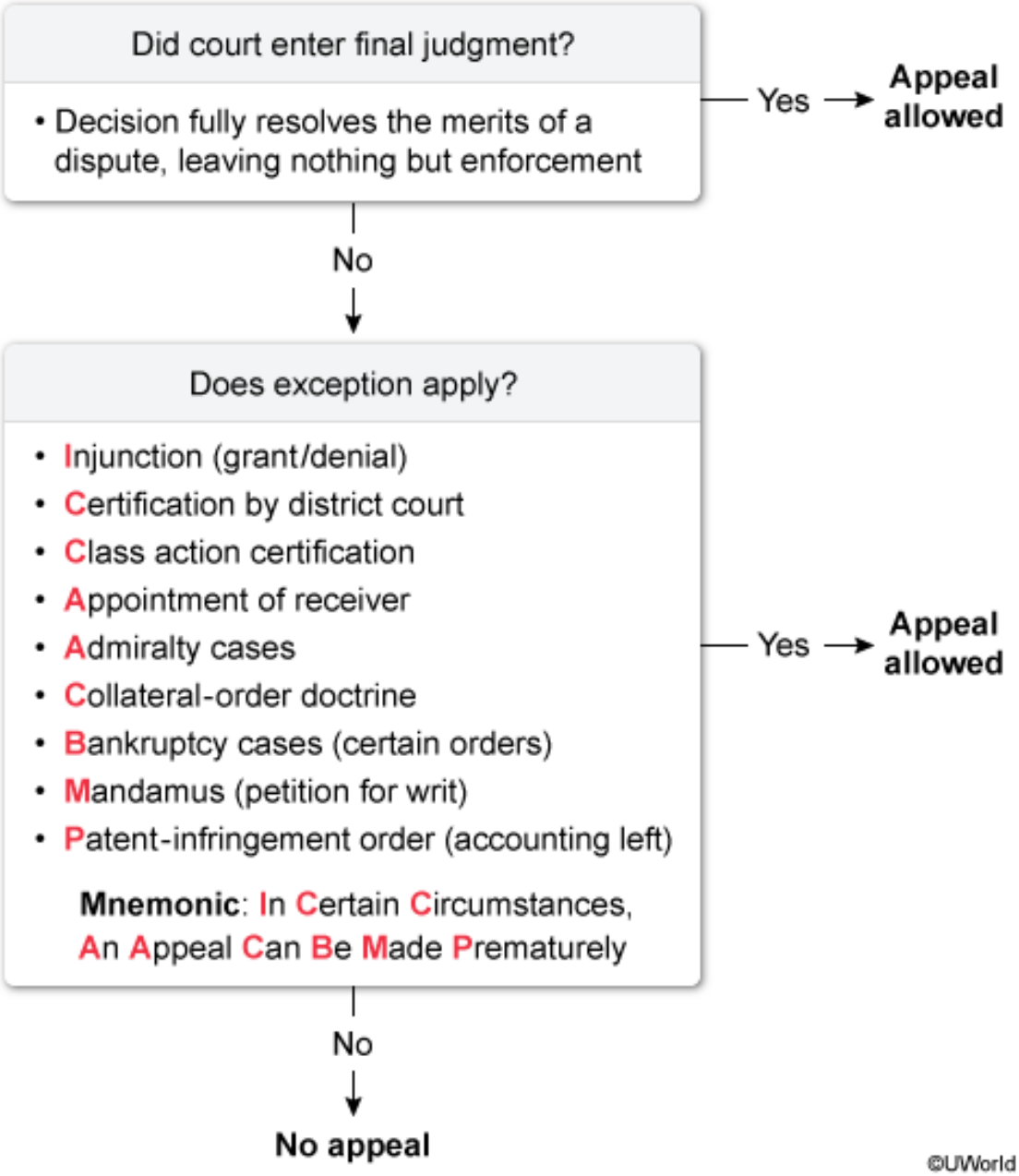
An appellate court may grant a petition for a writ of mandamus prior to entry of a final judgment when exceptional circumstances clearly exist—eg, denial of the right to a jury trial—and there is no other adequate remedy.

References

- 28 U.S.C. § 1651 (writ of mandamus).
- Dairy Queen, Inc. v. Wood, 369 U.S. 469, 472 (1962) (stating that appellate courts have an obligation to "grant mandamus where necessary to protect the constitutional right to trial by jury").

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Final-judgment rule



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A distributor brought a diversity action against a manufacturer in a federal court in State A for breach of contract. The contract was signed in State B and allegedly breached in State C. The distributor filed this action two years after the alleged breach occurred and nine months after discovering the alleged breach. The manufacturer immediately moved to dismiss the action on the ground that the statute of limitations has expired.

The statute of limitations in State A is one year from the date on which the alleged breach occurred, and State A applies the law of the state where the alleged breach occurred.

The statute of limitations in State B is six months from the date on which the alleged breach was discovered, and State B applies the law of the state where the alleged breach occurred.

The statute of limitations in State C is one year from the date on which the alleged breach was discovered, and State C applies the law of the state where the contract was signed.

Is the court likely to grant the manufacturer's motion to dismiss the action?

A. No, because the manufacturer failed to file an answer.

B. No, because the statute of limitations under State C law has not expired.

C. Yes, because the statute of limitations under State A law has expired.

D. Yes, because the statute of limitations under State B law has expired.

Explanation:

Examples of procedural & substantive issues

Procedural (processes & procedures)	• Filing deadlines • Court rules & procedures • Discovery practices • Rules of evidence
Substantive (legal rights & duties)	• Elements of claim or defense • Burdens of proof • Statutes of limitations

Federal courts sitting in diversity (as seen here) must apply **federal law** to **procedural issues** and **state law** to **substantive issues**. Substantive issues include the elements of a claim or defense, the applicable burden of proof, and the statute of limitations. Therefore, state law governs the statute of limitations for the distributor's breach-of-contract action against the manufacturer.

The federal court must then determine *which* state's law governs the issue by applying the **choice-of-law rules** of the **state where the court sits**. Here, the federal court sits in State A, so it must apply State A's choice-of-law rules. These rules require a court to apply the law of the state where the alleged breach occurred. Since the alleged breach occurred in State C, State C's law governs the statute of limitations in this action **(Choices C & D)**.

State C's statute of limitations for breach-of-contract claims is one year from the date that the alleged breach was discovered. Since the distributor filed this action nine months after discovering the manufacturer's alleged breach, the statute of limitations has not expired. Therefore, the federal court will likely deny the manufacturer's motion to dismiss the action.

(Choice A) FRCP 12(b) allows a defendant to file a motion to dismiss *before* filing an answer. One basis for such a motion is that the plaintiff failed to state a claim on which relief can be granted—eg, that the statute of limitations on the claim expired (as seen here).

Educational objective:

In a federal diversity action, the court must apply federal law to procedural issues and state law to substantive issues (eg, statute of limitations). To determine which state's substantive law applies, a federal court must apply the choice-of-law rules of the state where it sits.

FRCP = Federal Rule of Civil Procedure

References

- Guaranty Trust Co. v. York, 326 U.S. 99, 110 (1945) (holding that state statute of limitations applies in a federal diversity action).

- Klaxon Co. v. Stentor Elec. Mfg. Co., 313 U.S. 487, 496–97 (1941) (explaining that a federal court sitting in diversity must apply the choice-of-law rules of the state in which it sits).

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A woman domiciled in State A was using a rideshare program while traveling in State B when her driver from State B lost control of his vehicle and collided with a building. The woman suffered serious injuries. A police report determined that the driver was heavily intoxicated at the time of the crash.

The woman brought a diversity action against the driver in a federal district court in State A, alleging that the driver's negligence caused her $100,000 in damages. The driver filed a motion to transfer the case to a federal court in State B, which was granted.

What law of negligence should the federal court in State B apply in this action?

A. The court should apply the federal common law of negligence.

B. The court should consider the negligence law of both State A and State B and apply the law that the court finds most appropriate.

C. The court should determine which state's negligence law a state court in State A would apply and apply that law.

D. The court should determine which state's negligence law a state court in State B would apply and apply that law.

Explanation:

When a case is transferred from one federal court to another (as seen here), the receiving court must apply the appropriate **choice-of-law rules** to determine which substantive laws govern the action. The appropriate choice-of-law rules depend on whether **venue** was **proper or improper** in the **original court**. Venue is proper in any federal district where:

- any defendant resides, so long as all defendants reside in the same state
- a substantial portion of the events occurred or the property at issue is located *or*
- any defendant is subject to the court's personal jurisdiction—but only if neither of the above provisions applies.

Here, venue was *improper* in State A (original court) because the driver does not reside there and no events occurred there. Venue is *proper* in State B because the driver resides and the events occurred there.

Next, the receiving court must determine whether the case arises under federal-question or diversity jurisdiction. This case **arises under diversity jurisdiction** because the negligence claim arises under state law, the parties are citizens of different states (States A and B), and the amount in controversy exceeds $75,000. As a result, the **receiving court** (State B federal court) should **apply** the **choice-of-law rules** of the **forum state** (State B), determine which state's negligence law a **state court in State B** would apply, and apply that law in this action.*

*Had this case arisen under federal-question jurisdiction, federal choice-of-law rules would have applied.

(Choice A) There is no federal common law of negligence, so federal courts must adhere to state law on this substantive matter.

(Choice B) The court cannot review the negligence law of both states and select the law that the court finds most appropriate because the court would be improperly developing its own federal choice-of-law rules.

(Choice C) The choice-of-law rules of the *original* court would have applied upon transfer if venue had been proper in that court.

Educational objective:

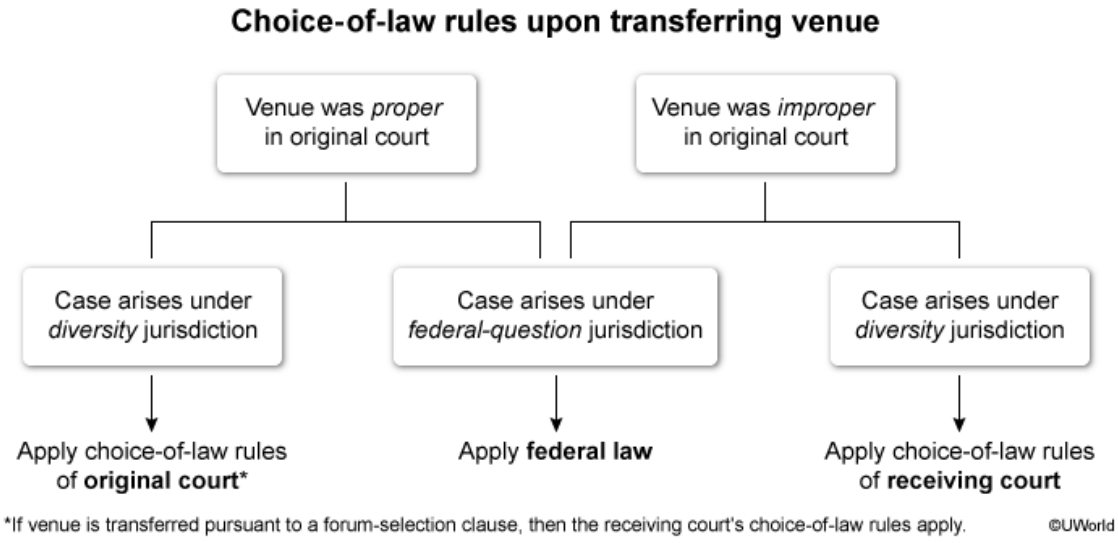
Upon transfer, the receiving court applies the forum state's choice-of-law rules when (1) venue was improper in the original court and (2) subject-matter jurisdiction arises under diversity jurisdiction.

References

- 28 U.S.C. § 1391 (venue).

- 28 U.S.C. § 1406 (transfer when venue is improper).
- 14D Charles Alan Wright et al., Federal Practice and Procedure § 3827 (4th ed. 2020) (explaining that the choice-of-law rules of the receiving court apply upon transfer when venue was improper in the original court).

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A man filed a federal diversity action against a bus company, seeking damages for injuries he had sustained in an accident while riding a bus owned by the company. The man demanded a jury trial.

After the parties' attorneys examined the prospective jurors and exercised their challenges, six jurors and two alternate jurors were chosen. During the trial, two jurors became ill and were replaced by the alternate jurors. At the conclusion of the trial, a third juror also became ill, and the court excused that juror.

The parties' attorneys stipulated to the return of a verdict from a five-person jury. The jury then deliberated and returned a verdict for the company. The man timely filed a motion for a new trial, arguing that the five-person jury was not large enough to return a verdict.

Should the court grant the motion?

A. No, because the court properly excused the three jurors due to illness.

B. No, because the parties stipulated to a verdict from a jury of fewer than six jurors.

C. Yes, because there must be at least six jurors on a federal civil jury.

D. Yes, because there must be at least 12 jurors on a federal civil jury.

Explanation:

Under Federal Rule of Civil Procedure (FRCP) 48, a **jury must begin** with **at least 6** and no more than 12 **members**. Each juror must participate in the verdict unless excused for good cause (eg, illness, family emergency). And **unless the parties stipulate otherwise**, the **verdict** must be unanimous and **returned by at least 6 jurors**. A court should grant a party's motion for a new trial if any of these requirements is not met.

Here, the jury began with 6 members and 2 alternates. During the trial, 2 jurors were excused for illness (good cause) and replaced by alternates, and a third juror was also excused for illness at the conclusion of the trial. This left 5 jurors to return a verdict. And though a verdict normally requires at least 6 jurors, the parties stipulated to a 5-person jury **(Choice C)**. Therefore, the court should deny the man's motion for a new trial.

(Choice A) Even if jurors are properly excused for good cause, at least 6 jurors must return a verdict unless the parties stipulate otherwise.

(Choice D) FRCP 48 requires that a jury begin with a minimum of 6 jurors—not 12 (which is the maximum).

Educational objective:

FRCP 48 requires that a jury begin with at least 6 and no more than 12 members. The verdict must be unanimous and returned by a jury of at least 6 members—unless the parties stipulate otherwise.

References

- Fed. R. Civ. P. 48 (number of jurors and verdict).
- Fed. R. Civ. P. 47(c) (excusing a juror for good cause).

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Jury pool summoned

6-12 jurors impaneled

Unanimous verdict returned



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A plaintiff brought a diversity action in State A federal court for breach of contract and negligence. The jury returned a verdict in favor of the plaintiff and awarded her damages. The court entered judgment accordingly. The defendant moved for a new trial on the ground that the jury awarded excessive damages.

Federal common law applies a "shock the conscience" test in a review of an allegedly excessive jury verdict. However, State A law applies a much more rigorous "materially deviates" test to prevent excessive awards.

What body of law should the federal court apply to rule on the defendant's motion for a new trial?

A. Federal law, because the case was brought in federal court.

B. Federal law, because the issue is procedural.

C. State law, because a federal court sitting in diversity must apply state law.

D. State law, because the issue is substantive.

Explanation:

Federal courts sitting in diversity must apply state law to substantive issues and federal law to procedural issues **(Choices A & C)**. However, there are instances **when it is unclear** whether an issue is substantive or procedural—as seen here with review of a jury verdict. A court must then determine if a **federal law *directly* addresses** the issue. Federal law encompasses federal constitutional provisions, statutes, and rules—but not federal common law. As a result, **no direct federal law** applies here.

In such a case, the ***Erie*analysis** must be used to decide if a federal court should supplant state law with federal common law. Under this analysis, the issue will be **considered substantive** and **state law** will therefore **apply if** it is outcome determinative AND there is no countervailing federal policy interest. State law is **outcome determinative** if the failure to apply state law would result in:

- **forum-shopping** – litigants will be encouraged to sue in federal court to take advantage of benefits not afforded in state court *or*
- **inequitable administration of the laws** – the application of substantially different rules in federal and state court would cause unfair outcomes.

Here, failure to apply State A's test will result in forum-shopping because plaintiffs will want to take advantage of the federal courts' less rigorous test. It will also cause inequity because higher awards will be allowed to stand in federal court for the same harm. As a result, the state law is outcome determinative. And since there is no federal policy that justifies not applying the State A test, whether a jury verdict is excessive is a *substantive* issue. Accordingly, State A's test should be used to determine this issue **(Choice B)**.

Educational objective:

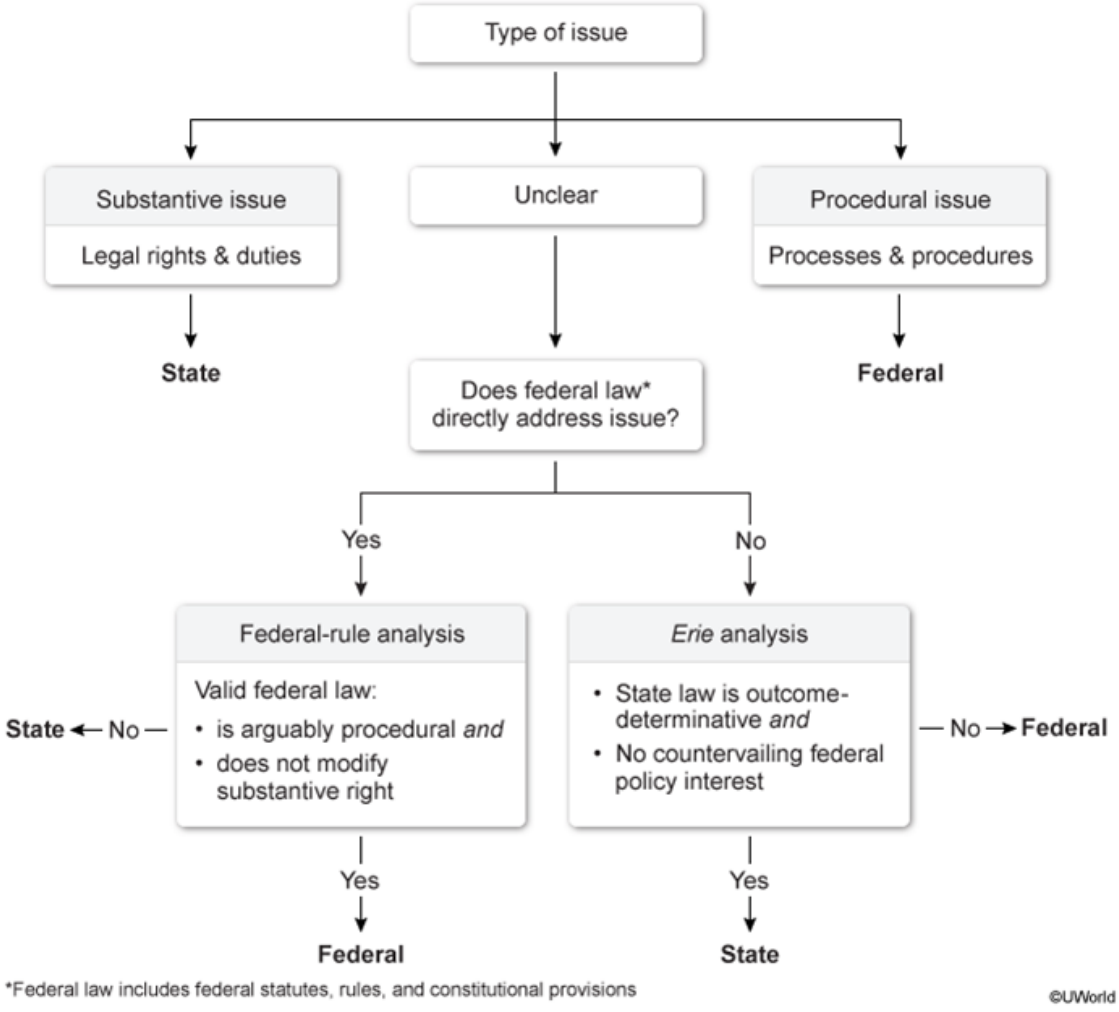
The *Erie* analysis is used when it is unclear if an issue is procedural or substantive and no direct federal law applies. Under *Erie*, state law applies if (1) it is outcome determinative—ie, forum-shopping or inequitable administration of the laws would result if it is not applied—and (2) there is no countervailing federal policy interest.

References

- Gasperini v. Ctr. for Humanities, Inc., 518 U.S. 427–30 (1996) (explaining that a state law test to examine the excessiveness of jury verdicts is outcome determinative).

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Choice of law in diversity cases



*Federal law includes federal statutes, rules, and constitutional provisions

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A motorist sued a police officer in a federal district court for using excessive force during an arrest in violation of a federal statute. The officer moved for summary judgment on the ground that he was immune from suit. The district court entered an order denying the motion and ruling that the officer was not immune from suit as a matter of law. The officer immediately filed a notice of appeal.

Does the appellate court have jurisdiction to hear the appeal?

A. No, because the appeal was not certified by the district court.

B. No, because the district court's decision on immunity is final.

C. Yes, because a contrary decision on appeal could terminate the action.

D. Yes, because an order denying immunity to a government official is an appealable collateral order.

Explanation:

Examples of collateral orders

District court orders:

- denying state 11th Amendment immunity
- denying government official/employee immunity
- vacating attachment of vessel
- refusing to require security bond pursuant to state law
- remanding action to state court based on abstention

A **final judgment** generally must be entered before an **appellate court can acquire jurisdiction** over a case. A final judgment is a decision that fully resolves a dispute on the merits and leaves nothing for the court to do but enforce the judgment. An order denying summary judgment (as seen here) is *not* final because it merely determines that there is some dispute of material fact—it does not fully resolve the underlying claim. As a result, these orders are typically not appealable.

However, the **collateral-order doctrine** provides a narrow exception to the final-judgment rule. Under this doctrine, an interlocutory order will be characterized as **final and immediately appealable** if three elements are met:

- The order **conclusively resolves** an **important issue** (the officer's immunity).
- That issue is **separate from the merits** of the underlying claim (whether the officer used excessive force).
- The order **cannot be effectively reviewed** on appeal **from a final judgment** (the officer's claim of immunity will be ineffective once the case has gone to trial).

Therefore, the court's order denying the police officer immunity constitutes a collateral order over which the appellate court has jurisdiction to hear an immediate appeal.

(Choice A) An interlocutory order can be immediately appealed in limited circumstances—including when there is a statutory right to appeal (eg, order granting, modifying, or denying a preliminary injunction), the district court certifies the appeal, or the collateral-order doctrine applies (as seen here).

(Choice B) The district court's decision on immunity is not final because it can be immediately challenged on appeal under the collateral-order doctrine.

(Choice C) The fact that a contrary appellate decision could terminate the action does not provide a basis for an immediate appeal. Instead, the collateral-order doctrine authorizes the appeal at this stage.

Educational objective:

The collateral-order doctrine allows an immediate appeal from an interlocutory order that (1) conclusively resolves an important issue that (2) is separate from the merits of the claim and (3) cannot be effectively reviewed on appeal from a final judgment—eg, an order denying a claim of governmental immunity.

References

- 28 U.S.C. § 1291 (final-judgment rule).
- Cohen v. Beneficial Indus. Loan Corp., 337 U.S. 541, 545–46 (1949) (establishing the collateral-order doctrine).
- Plumhoff v. Rickard, 572 U.S. 765, 771–72 (2014) (explaining that an order denying government immunity is immediately appealable under the collateral-order doctrine).

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A patient from State A sued a doctor from State B in a State A federal court for medical malpractice that allegedly occurred in State B. At the conclusion of trial, the jury found in favor of the patient and awarded him $3,000,000 in damages. The court entered a judgment consistent with the verdict. Fifteen days later, the patient brought an action to enforce the judgment in the same federal court.

The Federal Rules of Civil Procedure impose an automatic 30-day stay on all final judgments awarding damages. State A law, in contrast, imposes a 14-day stay on all final judgments awarding damages and provides that the law of the state where the injury occurred must be applied to all malpractice claims. However, State B law imposes a 21-day stay on all final judgments awarding damages and provides that State B law must be applied to all tort claims.

Should the federal court enter an order to enforce the judgment?

A. No, because the Federal Rules of Civil Procedure impose a 30-day stay.

B. No, because the Federal Rules of Civil Procedure modify a substantive right.

C. Yes, because State A substantive law imposes a 14-day stay.

D. Yes, because State B substantive law imposes a 21-day stay.

Explanation:

When a federal court's subject-matter jurisdiction is based on **diversity**, the court must apply **state law** to **substantive** issues and **federal law** to **procedural** issues. When it is **unclear** whether an issue is substantive or procedural, the court must determine if a valid **federal law** (ie, federal rule, statute, or constitutional provision) ***directly* addresses** the issue. If so, federal-rule analysis provides that **federal law applies** if it is arguably procedural and does not modify a substantive right.

FRCP 62 directly imposes an automatic 30-day stay on a final judgment entered in federal court that awards damages. This valid rule* is arguably procedural and does not modify a substantive right because the rule regulates the *process* of enforcing a judgment—not a party's *right* to a judgment **(Choice B)**. As a result, the federal court should apply this *federal* rule. And since only 15 days have passed since the judgment was entered, the court should not enforce the judgment.

*No FRCP has ever been found unconstitutional or invalid. This is likely because the Supreme Court reviews and sends proposed rules to Congress before they are enacted.

(Choices C & D) Neither State A nor State B law applies to the length of the stay since this issue is procedural in nature. Additionally, there is no need to apply State A's choice-of-law rules because they are only necessary to determine which state's substantive law applies.

Educational objective:

To determine whether an issue is substantive or procedural, federal-rule analysis applies if a valid federal law directly addresses the issue. Under federal-rule analysis, a federal court sitting in diversity must apply that federal law so long as the law is arguably procedural and does not modify a substantive right.

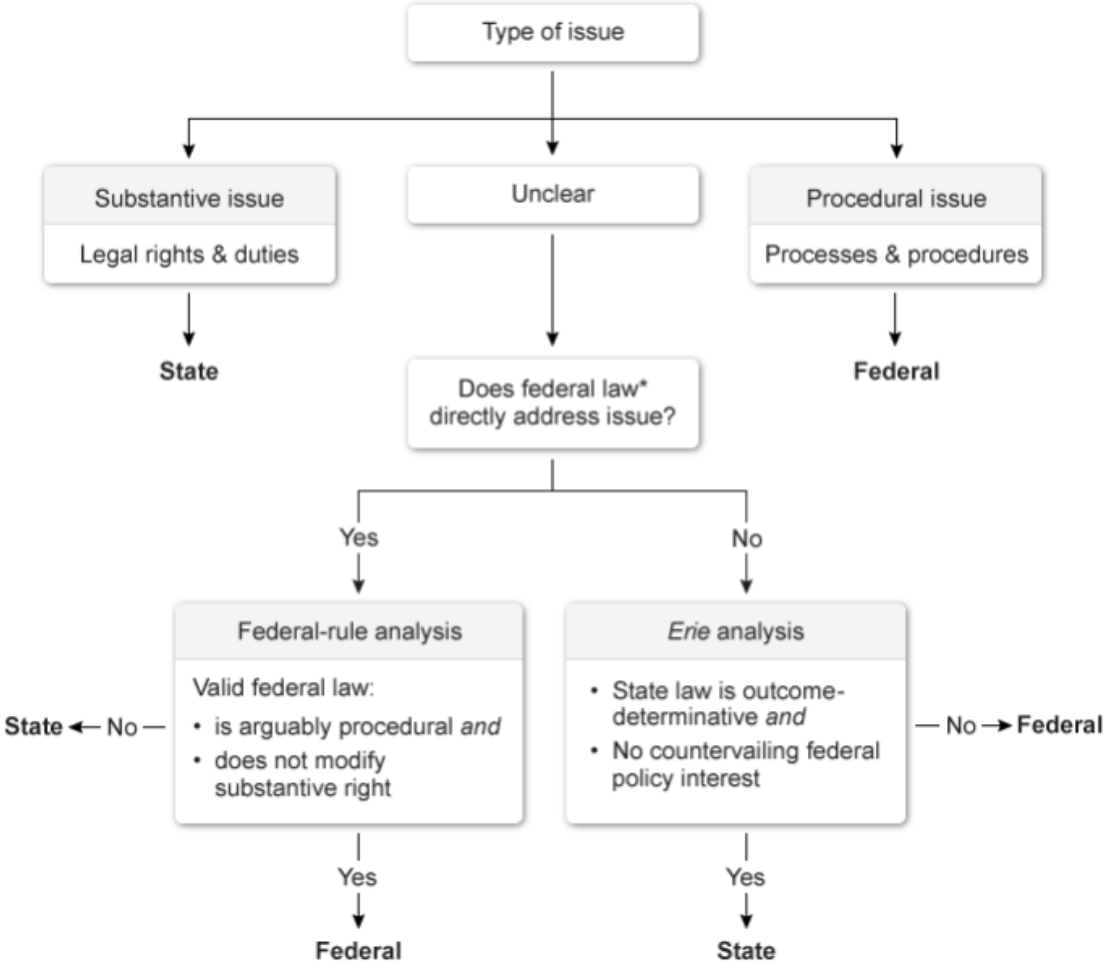
FRCP = Federal Rule of Civil Procedure.

References

- Burlington N. R.R. Co. v. Woods, 480 U.S. 1, 4–5 (1987) (explaining federal-rule analysis).

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Choice of law in diversity cases



*Federal law includes federal statutes, rules, and constitutional provisions

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A man sued a company in a state court in State A. The man claimed that the company negligently manufactured the man's lawn mower and that this defect caused the man serious injuries. The company admitted that it negligently manufactured the lawn mower but alleged that the man was contributorily negligent, which serves as a complete bar to recovery in State A. The jury returned a verdict in favor of the man, and the court entered judgment.

Two months later, a woman brought a federal diversity action in State B asserting the same claim against the same company. The woman moved for summary judgment, arguing that the prior state-court judgment established the company's negligence under the rules of preclusion.

Is the federal court likely to grant the woman's motion for summary judgment?

A. No, because the parties are different and the company's negligence was not actually litigated.

B. No, because the prior judgment was entered by a state court.

C. Yes, because claim preclusion (res judicata) establishes the company's negligence.

D. Yes, because the jury determined that the company negligently manufactured the lawn mower.

Explanation:

The rules of preclusion mitigate the expense of multiple lawsuits, conserve judicial resources, and minimize the possibility of inconsistent judgments. **Claim preclusion** achieves these goals by barring *identical* parties from relitigating identical claims after the entry of a valid final judgment on the merits. Here, the parties in each action are *different* because the man sued the company in the first action and the woman has sued the company in the second action. As a result, claim preclusion does not apply **(Choice C)**.

In contrast, **issue preclusion** bars the relitigation of issues that were **actually litigated**, determined, and essential to a valid final judgment in a prior lawsuit. An issue is actually litigated when it is **submitted to the trier of fact** for determination—**not merely** stipulated, conceded, or **admitted**. Here, the company *admitted* that it negligently manufactured the lawn mower in the first action, so issue preclusion cannot be asserted in the second action. Therefore, the woman's motion for summary judgment will likely be denied.

(Choice B) The fact that the prior judgment was entered by a state court is irrelevant. That is because *all* courts must give full faith and credit to state court judgments.

(Choice D) Because the company admitted to its negligence, that issue was not submitted to the jury for determination. Instead, the court would have instructed the jury that the only issue for it to decide was whether the man was contributorily negligent.

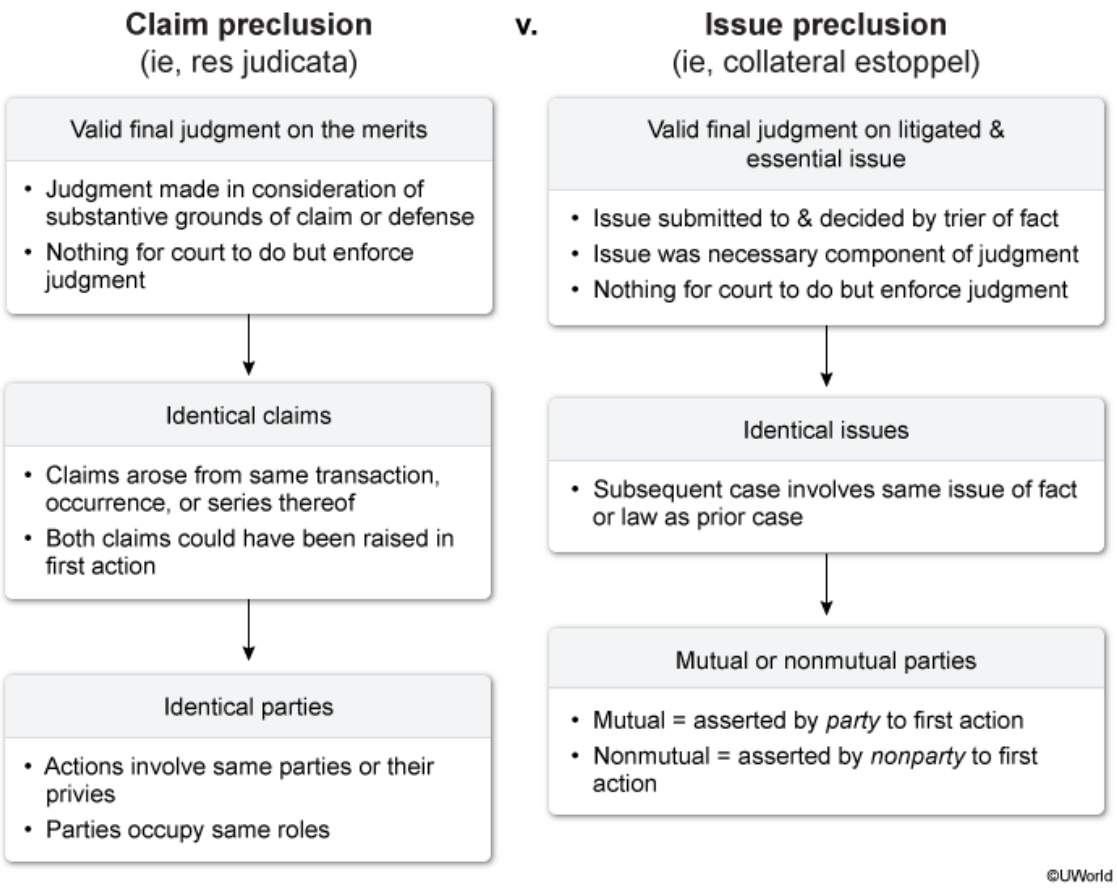
Educational objective:

Claim preclusion (ie, res judicata) precludes identical parties from relitigating identical *claims* after the entry of a valid final judgment on the merits. Issue preclusion (ie, collateral estoppel) precludes the relitigation of *issues* that were actually litigated, determined, and essential to a valid final judgment.

References

- Restatement (Second) of Judgments § 17 (Am. Law Inst. 1982) (defining claim preclusion).
- Restatement (Second) of Judgments § 27 (Am. Law Inst. 1982) (defining issue preclusion).

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Claim preclusion
(ie, res judicata)
v.
Issue preclusion
(ie, collateral estoppel)
Valid final judgment on the merits
• Judgment made in consideration of substantive grounds of claim or defense
• Nothing for court to do but enforce judgment
Identical claims
• Claims arose from same transaction, occurrence, or series thereof
• Both claims could have been raised in first action
Identical parties
• Actions involve same parties or their privies
• Parties occupy same roles
Valid final judgment on litigated & essential issue
• Issue submitted to & decided by trier of fact
• Issue was necessary component of judgment
• Nothing for court to do but enforce judgment
Identical issues
• Subsequent case involves same issue of fact or law as prior case
Mutual or nonmutual parties
• Mutual = asserted by party to first action
• Nonmutual = asserted by nonparty to first action
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Before the close of evidence in a federal negligence trial, the defendant submitted a proposed jury instruction on contributory negligence. Before instructing the jury, the judge informed the parties of the instructions she would give, which did not include the defendant's proposed contributory-negligence instruction but did include the court's own instruction on contributory negligence. Neither party objected, either then or after the judge had given the instructions. The jury returned a verdict for the plaintiff, and the judge entered judgment on the verdict.

The defendant would like to appeal the verdict on the ground that the judge should have instructed the jury using the defendant's proposed instruction on contributory negligence.

Has the defendant preserved the issue for appeal?

A. No, because the defendant failed to object after the judge gave the instructions to the jury.
B. No, because the defendant failed to object after the judge informed the parties of the instructions she would give.
C. Yes, because the defendant submitted a proposed instruction on contributory negligence.
D. Yes, because the judge's failure to give the defendant's contributory-negligence instruction amounted to a ruling on the instruction.

Explanation:

To **challenge a jury instruction** on appeal (ie, to preserve error), a party must raise the issue at trial. This can be done at the **close of evidence** (or otherwise at the court's direction) by:

- filing a **written request** for the jury instruction that the party would like the court to give *and*
- **obtaining a definitive ruling** on that request from the court **on the record**.

This can also be done after the court has informed the parties of its proposed instructions (but before it has instructed the jury and before final arguments) by clearly identifying the matter objected to, and the grounds for the objection, on the record.

Here, the defendant proposed a jury instruction on contributory negligence before the close of evidence. But the defendant never obtained a *definitive* ruling on that proposal from the court on the record (eg, "Your request is denied"). Instead, the judge merely informed the parties of the instructions she would give, which did not include the defendant's proposed instruction **(Choice D)**. And since the defendant failed to object *before* the judge instructed the jury, this issue was not preserved for appeal **(Choice A)**.

(Choice C) Submitting a proposed jury instruction only preserves the issue for appeal when the court definitively rules on that request on the record—which the court failed to do here.

Educational objective:

A jury-instruction error is preserved for appeal when a party raises the issue (1) at the close of evidence by filing a written request for the proposed instruction and obtaining a definitive court ruling on the record OR (2) before the court instructs the jury by clearly identifying, and stating the grounds for, the objection on the record.

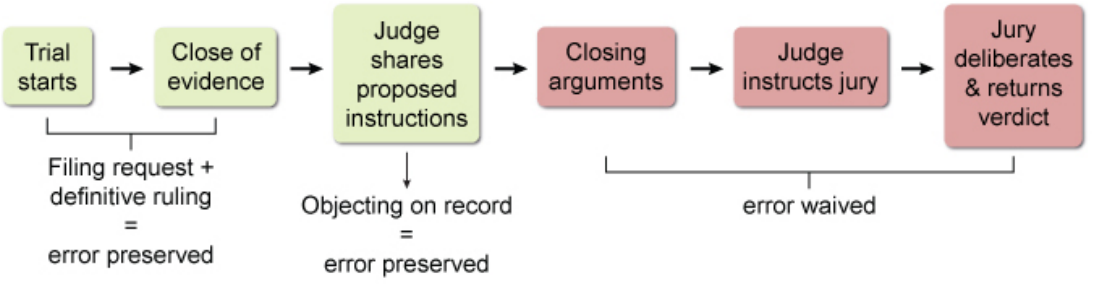
References

- Fed. R. Civ. P. 51 (preserving error regarding requests for, and objections to, jury instructions).

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Preserving error in jury instructions



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Before the close of evidence in a federal defamation trial, the plaintiff and the defendant each submitted proposed jury instructions on the elements of defamation. Before the trial judge instructed the jury and the parties gave their closing arguments, the trial judge informed the parties of the instructions she would give, which did not include the plaintiff's proposed instructions but did include the defendant's instructions. The plaintiff objected, but the judge overruled the objection. The judge then instructed the jury before the parties gave their closing arguments. The plaintiff objected again, which the judge overruled. The jury returned a verdict for the defendant, and the judge entered judgment on the verdict.

The plaintiff has appealed the verdict on the ground that the trial judge erred when she instructed the jury before closing arguments.

Is the appellate court likely to find that the trial judge erred?

A. No, because the trial judge may instruct the jury before closing arguments.

B. No, because the trial judge must instruct the jury before closing arguments.

C. Yes, because the trial judge must instruct the jury after closing arguments.

D. Yes, because the trial judge must instruct the jury before the close of evidence.

Explanation:

In a jury trial, the court must provide **jury instructions** that advise jurors on their deliberation procedures and the applicable law. Federal Rule of Civil Procedure 51 sets forth the following requirements for instructing the jury:

- The trial court must **inform the parties** of its proposed instructions **before it instructs the jury** and the parties give their **closing arguments**.
- The trial court must give the parties an **opportunity to object** on the record and outside the presence of the jury **before the instructions and closing arguments** are delivered to the jury.
- The trial court may **instruct the jury** at any time **before the jury is discharged**—ie, released from its duties in the case.

Here, the trial court informed the parties of its proposed instructions and gave them an opportunity to object before it instructed the jury and before closing arguments. And since the trial court has discretion to instruct the jury at any time prior to discharge, it properly instructed the jury before closing arguments **(Choice C)**. Therefore, the trial court did not abuse its discretion and the appellate court is unlikely to find that the trial court erred.

(Choice B) A trial court may, but is not required to, instruct the jury prior to the parties' closing arguments.

(Choice D) The parties generally must submit their proposed jury instructions before the close of evidence. However, the trial court need not instruct the jury before this time.

Educational objective:

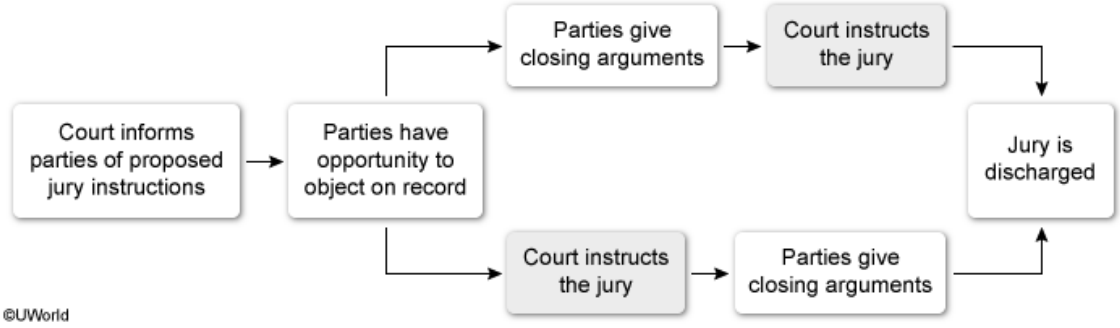
In a jury trial, a court (1) must inform the parties of its proposed instructions before instructing the jury and closing arguments, (2) must allow the parties to object on the record and outside the jury's presence before the instructions and closing arguments are delivered, and (3) may instruct the jury at any time before it is discharged.

References

- Fed. R. Civ. P. 51(b) (court requirements for providing jury instructions).

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Timeline for instructing the jury



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An 18-year-old sued the manufacturer of the e-cigarettes he had vaped for the previous two years in an appropriate federal district court for $1 million. The teenager claimed that the e-cigarettes caused him to develop a serious lung disease. The teenager also alleged that the manufacturer knew the risks posed by e-cigarettes but failed to disclose these risks to its users.

After a trial, the jury returned a verdict in favor of the teenager for $1 million in compensatory damages and $20 million in punitive damages. The judge entered a final judgment in accordance with the jury's verdict the same day.

Three weeks later, the manufacturer filed a motion for remittitur to reduce the amount of punitive damages, arguing that the damages award was excessive and violated the due process clause of the Fourteenth Amendment. The district court denied the motion, and the manufacturer appealed that ruling on due process grounds.

Is the federal appellate court likely to affirm the district court's denial of the motion for remittitur?

A. No, because the judge abused his discretion.

B. No, because the punitive damages awarded were excessive.

C. Yes, because the judge had no authority to alter the jury's award of damages.

D. Yes, because the motion for remittitur was untimely filed.

Explanation:

Altering jury's award of damages

(FRCP 59(e))

Type of alteration	Definition	Applicability
Remittitur	Defendant's request to *reduce* jury award of *excessive* damages	Plaintiff must be offered choice between: • reduced damages *or* • new trial on damages
Additur	Plaintiff's request to *increase* jury award of *inadequate* damages	Never allowed in federal court

FRCP = Federal Rule of Civil Procedure.

A losing party may file a **motion for remittitur** within **28 days** of the entry of a final judgment to request that the trial judge **reduce** an allegedly **excessive jury award** of damages **(Choice C)**. Here, the manufacturer timely filed its motion for remittitur of the jury's punitive damages award three weeks (21 days) after the trial judge entered a final judgment **(Choice D)**. Although this motion was denied, the manufacturer can appeal that ruling.

A ruling on a motion for remittitur is typically discretionary and reviewed by an appellate court for abuse of discretion. But when that ruling is **challenged on constitutional grounds**—eg, due process—it presents an issue of law that is **reviewed de novo (Choice A)**. A review of the constitutionality of a punitive damages award requires an examination of three factors:

- The degree of reprehensibility of the defendant's misconduct
- The size of the award in comparison to the statutory penalties for comparable misconduct
- The **ratio of punitive damages** to **compensatory damages** (this factor receives great weight)

Although the Supreme Court has never identified a precise unconstitutional ratio, it stated in *State Farm Mut. Ins. Co. v. Campbell* that the ratio generally **cannot exceed 9 to 1**. Here, the jury awarded the teenager $20 million in punitive damages compared to $1 million in compensatory damages—a 20-to-1 ratio. Therefore, the appellate court will likely conclude that the punitive damages were unconstitutionally excessive and reverse the district court's denial of the motion for remittitur.

Educational objective:

Appellate courts apply the de novo standard of review to conclusions of law—eg, that punitive damages were not unconstitutionally excessive. Punitive damages are almost always unconstitutional when the ratio of punitive to compensatory damages is greater than 9 to 1.

References

- Fed. R. Civ. P. 59(e) (motion to amend judgment).
- Cooper Indus., Inc. v. Leatherman Tool Grp., Inc., 532 U.S. 424, 435 (2001) (requiring de novo review of punitive damages awards).
- State Farm Mut. Ins. Co. v. Campbell, 538 U.S. 408, 425 (2003) (holding that punitive damages are likely unconstitutional if they exceed a 9-to-1 ratio).

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A car manufacturer produced a car that was sold nationwide. Problems with the car's brakes allegedly caused several accidents and injuries. Two individual buyers of the car each filed a class action, in different states, against the manufacturer, asserting the same products liability claims on behalf of all buyers nationwide. One class action was filed in federal court and the other was filed in state court.

The parties in the federal action reached a court-approved settlement, and the court entered judgment dismissing the action with prejudice.

The manufacturer's attorney has moved to dismiss the state court action on the basis of res judicata (claim preclusion).

Should the state court look to federal or state law to decide the effect of the judgment?

A. Federal law, because the judgment was entered in federal court.
B. Federal law, because the judgment was the result of a nationwide action governed by the federal class action rule.
C. State law, because the judgment is being asserted in a state court.
D. State law, because there is no federal common law and preclusion is a common law doctrine.

Explanation:

The doctrine of **res judicata** (ie, claim preclusion) provides that a valid final judgment on the merits precludes a party from litigating an identical claim against the same party in a second action. The court presiding over the second action must decide the **judgment's preclusive effect** by applying the correct law:

- If the judgment was entered in ***state*** **court**, then that **state's law** applies to the second action.
- If the judgment was entered in ***federal*** **court**, then **federal law** applies to the second action.

Here, a judgment dismissing the class action with prejudice (ie, on the merits) was entered in federal court. As a result, the state court presiding over the pending action should look to federal law to determine the preclusive effect of the federal court's final judgment.*

*Pursuant to federal common law, a federal court sitting in diversity will apply the law of the state in which the court sits.

(Choice B) The applicable claim-preclusion law depends on which court entered the judgment—not the law the judgment was based on. Therefore, the fact that the judgment was the result of a nationwide action governed by the federal class action rule (ie, FRCP 23) is irrelevant.

(Choice C) The court in which the judgment was entered (not asserted) determines the applicable law for evaluating the judgment's preclusive effect. Here, judgment was entered in federal court so federal law applies.

(Choice D) Federal common law does exist and includes the doctrine of claim preclusion.

Educational objective:

If a valid final judgment on the merits was entered in state court, then the court presiding over a subsequent action involving the same claim and parties must apply that state's claim-preclusion law to the second action. But if judgment was entered by a federal court, then federal law applies.

FRCP = Federal Rule of Civil Procedure

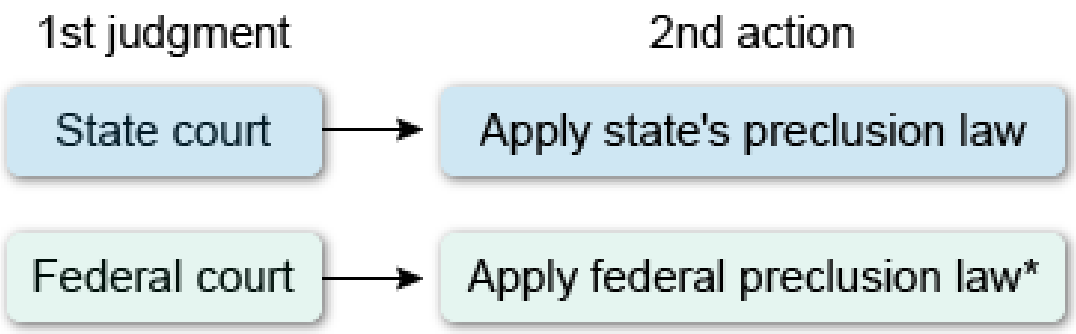
References

- Semtek Int'l Inc. v. Lockheed Martin Corp., 531 U.S. 497, 508 (2001) (holding that federal common law governs the preclusive effect of a judgment entered by a federal court).

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Choice of law for preclusion



*Federal court sitting in diversity will likely apply the law of the state where it sits

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A plaintiff from State A sued a defendant from State B for allegedly breaching a contract formed and executed in State B. Suit was filed in a federal district court in State A for $250,000 in damages. The defendant moved to dismiss the action for improper venue. A hearing was held so the parties could make arguments and present evidence of proper venue. During the hearing, the parties' arguments drifted beyond venue and into the more substantive aspects of their action, including the existence of a valid contract. After the hearing, the federal court granted the defendant's motion and entered a judgment dismissing the action based on improper venue. When announcing its judgment, the court mentioned that based on the arguments it heard at the hearing, it had doubts as to whether the parties formed a valid contract.

The plaintiff subsequently sued the defendant in a state court in State B on the same breach-of-contract claim. The defendant filed an answer in which it asserted the defense of res judicata (claim preclusion).

Is the defendant likely to succeed on this defense?

A. No, because the judgment was entered by a federal court and the second lawsuit was filed in a state court.

B. No, because the judgment was not on the merits.

C. Yes, because the actions involve the same parties and the same claim.

D. Yes, because the judgment was entered after a hearing in which both parties presented evidence.

Explanation:

After a valid final judgment on the merits of a claim has been entered, the defense of **res judicata** (ie, claim preclusion) can be raised if the same parties raise an identical claim in a subsequent action. A **final judgment** is **on the merits** when it is based on the ***substantive*** **elements** of a claim or defense, rather than technical or procedural grounds. Therefore, judgments ***not*** **on the merits** include dismissals based on:

- lack of **subject-matter jurisdiction**—ie, a court's authority to hear a particular type of case
- lack of **personal jurisdiction**—ie, a court's authority over the parties before it
- invalid **party joinder**—ie, adding parties to a suit
- improper **venue**—ie, the geographical location of the court that will hear a suit

Here, the federal court in State A made an oral comment regarding the merits of the plaintiff's action, but it entered a final judgment dismissing the action for improper venue. Therefore, the final judgment was *not* on the merits and the defense of res judicata does not apply in the second action—even though it involves the same parties and the same claim **(Choice C)**.

(Choice A) A state court must give full faith and credit to a prior judgment entered by a competent federal court. So had the federal judgment been a final judgment on the merits, the State B court would have been required to give the judgment preclusive effect.

(Choice D) The fact that the judgment was entered after a hearing in which both parties presented evidence is irrelevant. The determining factor is whether the hearing resolved the parties' dispute on a procedural or technical ground (*not* on the merits) OR on the *substantive* elements of a claim or defense (on the merits).

Educational objective:

Under res judicata (ie, claim preclusion), identical parties cannot relitigate identical claims after the entry of a valid final judgment on the merits. A judgment on the merits is based on the substance of a claim or defense—not a technical or procedural ground (eg, lack of jurisdiction, invalid party joinder, improper venue).

References

- Restatement (Second) of Judgments § 17 (Am. Law Inst. 1982) (defining claim preclusion).
- Restatement (Second) of Judgments § 20 (Am. Law Inst. 1982) (explaining that claim preclusion does not apply to a dismissal based on a procedural ground).

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Claim-preclusion requirements

Valid final judgment on the merits

- Made in consideration of substantive (not technical) grounds of claim or defense
- Leaves nothing for court to do but enforce judgment



Identical claims

- Claims arose from same transaction, occurrence, or series thereof
- Both claims could have been raised in first action



Identical parties

- Involves same parties or those in privity
- Parties occupy same role in both actions*

*Parties need not occupy the same role if a party violates the first court's compulsory counterclaim rule.

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In a federal court diversity action by a beneficiary against an insurance company on an insurance claim, a question arose regarding whether the court should apply a presumption that, where both husband and wife were killed in a common accident, the husband died last.

What body of law determines whether this presumption should be applied?

A. Federal statutory law.

B. The federal common law.

C. The law of the state whose substantive law is applied.

D. Traditional common law.

Explanation:

When a federal court's subject-matter jurisdiction is based on **diversity jurisdiction** (as seen here), the court must apply:

- **federal procedural law** – for issues regarding **processes and procedures** (eg, to determine the deadline for filing an answer) *and*
- **state substantive law** – for issues regarding **legal rights and duties** (eg, to determine the elements of a claim or affirmative defense).

The presumption at issue here states that, where both husband and wife were killed in a common accident, the husband died last. Since this suit concerns the beneficiary of an insurance claim, the presumption affects a legal right (ie, whether the plaintiff is a rightful beneficiary). Therefore, applicability of the presumption is a substantive issue that must be determined by state law—not federal law **(Choices A & B)**. The federal court will then look to the choice-of-law rules of the state where the court sits to determine which state's substantive law applies.

(Choice D) A federal court hearing a diversity case must apply the current substantive law of the appropriate state—not traditional common law.

Educational objective:

In a federal diversity action, the court must apply (1) federal procedural law for issues regarding remedies and procedures and (2) state substantive law for issues regarding legal rights and duties.

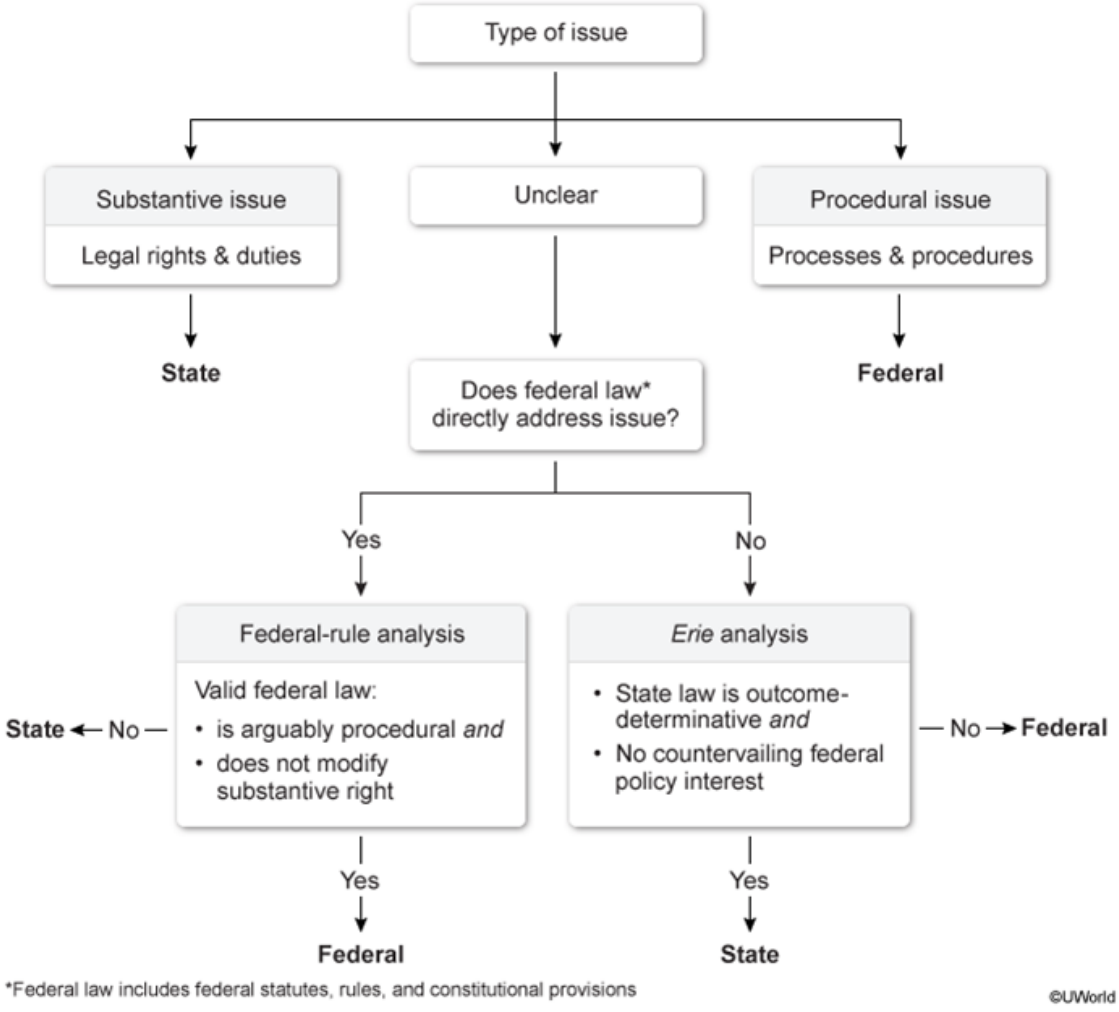
References

- 28 U.S.C. § 1652 (federal court must apply state substantive law in diversity cases).

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Choice of law in diversity cases



*Federal law includes federal statutes, rules, and constitutional provisions

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A football team entered into a 10-year lease with a city for use of the city's athletic stadium. Five years into the lease, the team threatened to leave the stadium and move to another city.

The city sued the team in federal court, seeking a permanent injunction to prevent the team from breaching its lease and leaving. In its answer, the team included a counterclaim seeking $10 million in damages for losses caused by the city's alleged failure to properly maintain the stadium, as the lease required. The team demanded a jury trial on the counterclaim.

The city moved to try its claim for a permanent injunction before the trial on the team's counterclaim. The team objected and moved that the jury trial of its counterclaim be held before the trial of the city's injunction claim.

How should the court rule on the parties' motions?

A. The court should first hold a jury trial of the team's counterclaim, and then a nonjury trial of the issues remaining in the city's claim.

B. The court should first hold a nonjury trial of the city's claim, and then a jury trial of the issues remaining in the team's counterclaim.

C. The court should first hold a nonjury trial of the city's claim without giving binding effect to its findings or conclusions in the later jury trial of the team's counterclaim.

D. The court should schedule a jury trial of both the city's claim and the team's counterclaim.

Explanation:

Right to jury trial in civil case

Right
- **Legal claim** – seeks monetary remedy to compensate for loss (eg, tort/contract damages)

AND

- **> $20 in controversy**

No right
- **Equitable claim** – seeks nonmonetary remedy (eg, injunction, specific performance) since legal remedy is inadequate

OR

- **≤ $20 in controversy**

The Seventh Amendment guarantees the **right to a jury trial** in civil cases where the amount in controversy exceeds 20 dollars. But this right only **applies to legal claims** (eg, the team's $10 million counterclaim)—**not equitable claims** (eg, the city's permanent injunction claim). And when, as here, a case involves both legal and equitable claims that share **common issues of fact** (eg, obligations under the stadium lease), the court must **first** hold a **jury trial on the legal claim (Choice B)**. The judge must then hold a **nonjury trial on the equitable claim**, relying on the jury's findings of fact on the legal claim to do so **(Choices C & D)**.

Educational objective:

When a case involves legal and equitable claims that share common fact issues, the court should hold a jury trial on the legal claim before holding a nonjury trial on the equitable claim.

References

- U.S. Const. amend. VII (right to a jury trial).
- Beacon Theatres v. Westover, 359 U.S. 500, 510–11 (1959) (stating that legal claims must be decided by a jury before the court determines related equitable claims).

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An employee brought a federal diversity action against her former employer for negligence. Before the close of evidence, the parties submitted proposed jury instructions. Prior to the parties' closing arguments, the judge informed the parties of the instructions she would give, provided them an opportunity to object, and instructed the jury.

During the employer's closing argument, the employee repeatedly yelled out, "That's a lie!" After several warnings, the judge ordered the bailiff to remove the employee from the courtroom. At the conclusion of the employer's closing argument, the employer has requested that the judge instruct the jury to disregard the employee's outbursts.

What argument has the best chance of persuading the court to give this jury instruction?

A. The employee's conduct was plain error that affected the employer's substantial rights.
B. The employer could not have reasonably anticipated this issue by the close of evidence.
C. The judge did not set a deadline for jury-instruction requests.
D. The parties may request jury instructions at any time before the jury is discharged.

Explanation:

Jury instructions

(FRCP 51)

Requests Party:

- must file request by close of evidence unless earlier, reasonable deadline set by court
- may file request after close of evidence when:
  - request relates to issue that party could not have reasonably anticipated by deadline *or*
  - court permits late submission related to any issue

Instructions Court:

- must inform parties of proposed instructions before instructing jury & closing arguments
- must allow parties to object on record & outside jury's presence before instructing jury & closing arguments
- may consider objection made after court instructs jury if instruction constituted plain error
- may instruct jury at any time before discharge

Objections Party:

- must distinctly state objection & its grounds on record
- must object at court-appointed time or promptly after learning of proposed instruction

FRCP = Federal Rule of Civil Procedure.

Jury instructions advise jurors on their deliberation procedures and the applicable law. These instructions can be formulated by the court or the parties. FRCP 51 allows each party to **request** specific jury instructions **before or at the close of evidence** unless the court sets an earlier, reasonable deadline.* Additionally, a request may be **filed *after* the close of evidence** if:

- the request relates to an **issue** that the party could **not have reasonably anticipated** by the deadline *or*
- the **court permits** a late submission that relates to any issue.

Here, the employer requested *after* the close of evidence that the judge instruct the jury to disregard the employee's outbursts during the employer's closing argument. As a result,

the employer's best argument to persuade the court to give this instruction is that the employer could not have reasonably anticipated this issue by the close of evidence.

*To request a jury instruction, a party generally must file a written request with the court and furnish it to every other party. Some courts allow verbal requests, but they are highly disfavored.

(Choice A) When a party fails to preserve an error by objecting at trial, the error can only be reviewed via posttrial relief or appeal if it is a plain error. However, the employer is not seeking posttrial relief or an appeal, so this is not the best argument.

(Choice C) When a trial judge does not set a deadline for jury-instruction requests, the default deadline is the close of evidence. Since that deadline has already passed, this argument is unlikely to persuade the court.

(Choice D) The *court* may instruct the jury at any time before the jury is discharged—ie, released from its duties in the case. However, the parties must file their requests for jury instructions before or at the close of evidence unless an exception applies (as seen here).

Educational objective:

A party may request specific jury instructions after the close of evidence when (1) the instruction relates to an issue that could not have been reasonably anticipated by the deadline or (2) the court grants permission.

References

- Fed. R. Civ. P. 51(a) (jury-instruction requests).

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A woman approached a stop sign at a four-way intersection and applied her brakes, which failed. The woman drove into the intersection and was hit by a truck, causing her to sustain severe injuries. The woman then brought a diversity action against the brake manufacturer in a federal court in State A for negligence. The manufacturer filed an answer to the woman's complaint, asserting the affirmative defense of contributory negligence. The jury returned a verdict for the woman, specifically determining that the manufacturer had negligently designed the brakes and that the woman was not negligent. The court then entered a final judgment pursuant to the verdict.

Five months later, a man who purchased the same type of brakes was involved in an accident caused by brake failure. He filed a negligence action against the manufacturer in the State A federal court. The man argued that the judgment in the first action bound the court on the issue of whether the manufacturer negligently designed the brakes.

State A permits nonmutual issue preclusion.

Should the court give preclusive effect to the judgment entered in the first action?

A. No, because the determination that the manufacturer negligently designed the brakes was not essential to the judgment.

B. No, because the man was not a party to the first action.

C. Yes, because the man could not have joined the first action.

D. Yes, because the jury determined that the manufacturer negligently designed the brakes.

Explanation:

Issue preclusion (ie, collateral estoppel) **bars** the **relitigation of issues** of fact or law that were actually litigated, determined, and **essential** to a valid final judgment in a prior lawsuit. An issue is essential if it provided a **clear and necessary component** of the **ultimate decision** or, stated differently, if the final judgment depended on the determination of that issue. Conversely, when multiple issues were determined in a prior action, issues that were contrary to the final judgment are *not* essential.*

Here, the parties in the first action actually litigated and the jury determined that the manufacturer negligently designed the brakes and that the woman was not negligent. Based on these determinations, the court entered a valid final judgment against the manufacturer. And since the final judgment depended on a determination of the manufacturer's negligence, the court in the second action should give preclusive effect to the judgment entered in the first action **(Choice A)**.

*The requirement that the issue be essential to the judgment stems from the concern that the fact finder will not use sufficient care in deciding nonessential issues.

(Choice B) The man may assert issue preclusion even though he was not a party to the first action. That is because State A permits nonmutual issue preclusion, which allows nonparties from the first action to assert issue preclusion against parties from the first action.

(Choice C) The man could not have joined the first action because his accident had not yet occurred. If he could have, the court may have barred his offensive use of collateral estoppel—ie, when a plaintiff asserts collateral estoppel against a defendant based on an issue decided in a previous case with a different plaintiff. However, courts have *broad discretion* to determine whether offensive collateral estoppel should be allowed.

Educational objective:

Issue preclusion prevents the relitigation of issues that were actually litigated, determined, and essential to a valid final judgment in a prior lawsuit. An issue is essential when it provided a clear and necessary component of the ultimate decision, and an issue that was contrary to the final judgment is not essential.

References

- Restatement (Second) of Judgments § 27 cmt. h (Am. Law Inst. 1982) (explaining when the determination of an issue is essential to a judgment).
- 18 Charles Alan Wright et al., Federal Practice and Procedure § 4421 (3d ed. 2020) (describing when an issue is and is not essential to a final judgment for purposes of issue preclusion).

- Parkland Hosiery Co., Inc. v. Shore, 439 U.S. 322, 326–31 (1979) (discussing the development of nonmutual issue preclusion and the offensive use of collateral estoppel).

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Issue preclusion
(ie, collateral estoppel)

Valid final judgment on litigated & essential issue

- Issue submitted to & decided by trier of fact
- Issue was necessary component of judgment
- Nothing for court to do but enforce judgment



Identical issues

- Subsequent case involves same issue of fact or law as prior case



Mutual or nonmutual parties

- Mutual = asserted by *party* to first action
- Nonmutual = asserted by *nonparty* to first action

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In the first two weeks of a four-week bench trial in federal court, the plaintiff had called six witnesses to testify. Before the defense had an opportunity to call its own witnesses, the judge presiding over the case suddenly died from a heart attack.

How is the case likely to proceed?

A. A new judge will take over, and the plaintiff's witnesses must testify again in the new judge's presence.
B. A new judge will take over upon certifying familiarity with the record and determining that the case may be completed without prejudice.
C. A new trial will be ordered.
D. The case will be dismissed without prejudice.

Explanation:

When a **judge** presiding over a hearing or trial is **unable to proceed** (as seen here), another judge may take over so long as this **successor judge**:

- certifies that he/she is **familiar with the record** *and*
- determines that the case may be **completed without prejudice** to the parties.

When the successor judge takes over a hearing or bench trial, witnesses who previously testified need only testify again in the successor judge's presence when (1) their testimony is material and disputed, (2) they can do so without undue burden, and (3) a party so requested. Therefore, the plaintiff's witnesses will only need to testify again if these requirements are satisfied—which cannot be determined under these facts **(Choice A)**.

(Choice C) In the event a judge is incapacitated and cannot proceed, a new trial will be ordered only if the successor judge cannot certify familiarity with the record OR proceeding with the case will prejudice the parties (both of which are extremely rare).

(Choice D) When a case is dismissed without prejudice, the plaintiff may sue the defendant on the same claim in the future—ie, the dismissal is *not* an adjudication on the merits. However, a case will not be dismissed due to the incapacitation of the judge.

Educational objective:

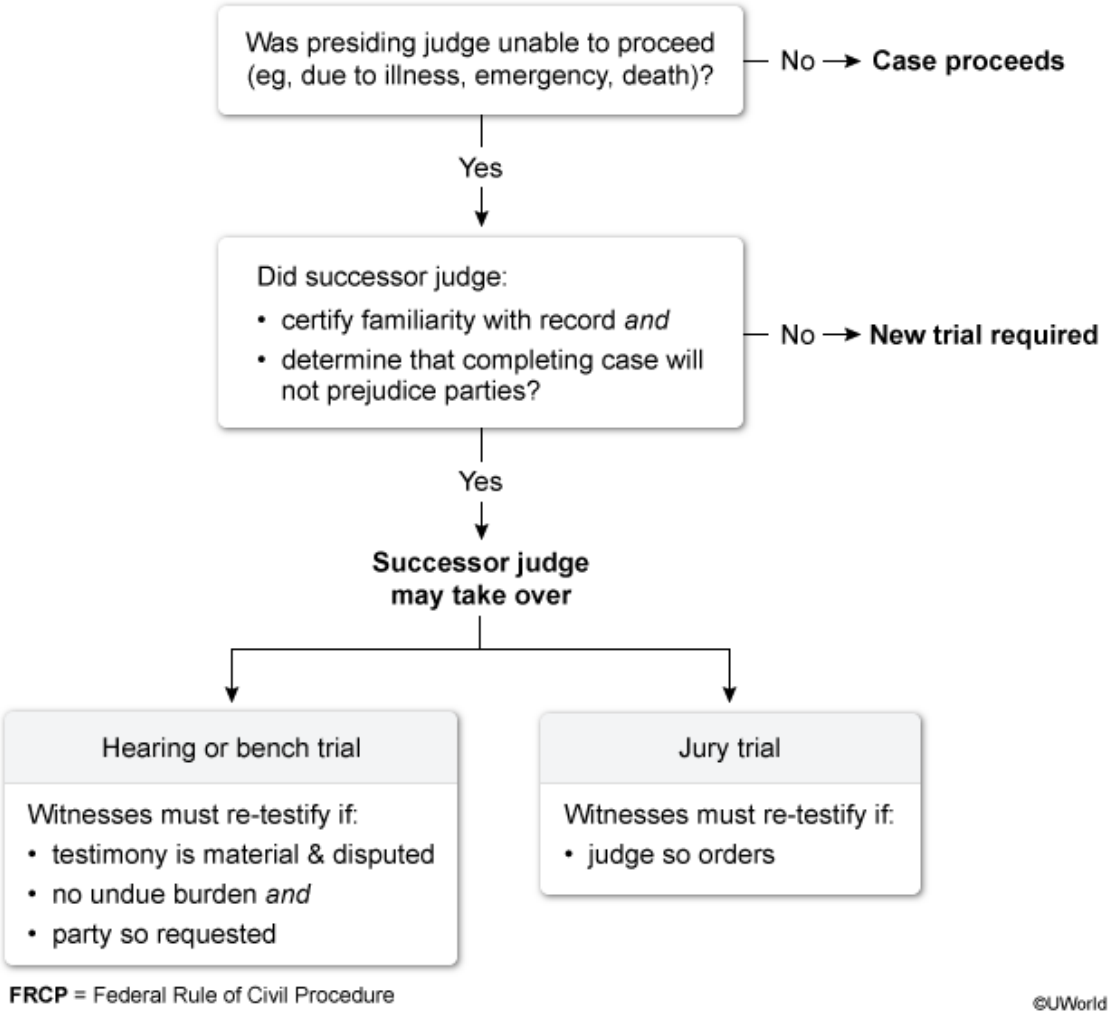
A successor judge may take over upon certifying familiarity with the record and determining that the case may be completed without prejudice to the parties. Otherwise, a new trial will be ordered.

References

- Fed. R. Civ. P. 63 (judge's inability to proceed).

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Effect of judge's inability to proceed
(FRCP 63)



FRCP = Federal Rule of Civil Procedure

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A partnership registered in State A sued a former employee domiciled in State A in a federal court in State A. The partnership claimed that the employee breached the noncompete provision of her contract, which resulted in a $100,000 loss in revenue for the partnership. The partnership's members are all domiciled in State B.

The summons and complaint were served at the employee's apartment, where the process server handed the documents to the employee's 17-year-old roommate. The roommate neglected to give the documents to the employee, so the employee did not file an answer or any other response.

Thirty days later, the partnership asked the court clerk to enter the employee's default, and the clerk did so. The partnership then applied to the court for the entry of a default judgment. Upon receiving notice of the default-judgment hearing, the employee filed a motion to set aside the entry of default. In the motion, the employee argued that the noncompete provision was invalid.

If the court grants the employee's motion, what is the most likely explanation?

A. The clerk erred by entering the employee's default.

B. The court lacks subject-matter jurisdiction over the case because the parties are not diverse.

C. The employee provided good cause for failing to timely respond.

D. The employee was improperly served with process because the process server delivered process to the employee's roommate.

Explanation:

A default occurs when a defendant fails to timely serve an answer, which is generally due within 21 days after the defendant is served with process.* When the plaintiff shows this failure to the court clerk, the clerk must enter the defendant's default into the record of the case (as the clerk did here) **(Choice A)**. However, a federal court can **set aside** an **entry of default for good cause**, which exists when:

- the defendant's failure to timely respond was the result of **excusable neglect**
- the defendant presented a meritorious defense *and*
- the plaintiff would **not be substantially prejudiced** if the case is reopened.

Here, the employee's failure to timely respond was the result of excusable neglect because the roommate did not give the employee the summons and complaint. The employee then presented a meritorious defense by arguing that the noncompete provision was invalid. Reopening the case would not substantially prejudice the partnership since it can still pursue its claim. Therefore, if the court grants the employee's motion to set aside the entry of default, the most likely explanation is that the employee provided good cause for failing to timely respond.

*If the defendant files a pre-answer FRCP 12 motion, the defendant must serve an answer within 14 days after notice of the court's denial of the motion. A default occurs if the defendant fails to serve an answer by this deadline.

(Choice B) The court does have subject-matter jurisdiction based in diversity. The amount in controversy is $100,000 (exceeds $75,000), and the parties are citizens of different states (ie, diverse) because the employee is domiciled in State A and the partnership's members are domiciled in State B.

(Choice D) A defendant-individual in the U.S. can be properly served with process by leaving the summons and complaint at the defendant's dwelling with a resident of suitable age and discretion—eg, the employee's 17-year-old roommate.

Educational objective:

A federal court may set aside an entry of default for good cause, which exists when (1) the failure to timely respond was the result of the defendant's excusable neglect, (2) the defendant presented a meritorious defense, and (3) the plaintiff would not be substantially prejudiced if the case is reopened.

References

- Fed. R. Civ. P. 55(c) (setting aside a default or a default judgment).
- 10A Charles Alan Wright et al., Federal Practice and Procedure § 2696 (4th ed. 2020) (explaining when a federal court will set aside an entry of default).

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A gallery contracted with an owner of a painting to display the painting for five years, at which time the gallery agreed to return the painting to the owner. During the fifth year of the contract, the gallery agreed to loan the painting to a foreign businesswoman without obtaining the owner's permission. The businesswoman took the painting and has not been heard from since.

When the owner learned that the gallery no longer possessed the painting, the owner sued the gallery in federal court for breach of contract. At the conclusion of trial, the court entered judgment in favor of the owner for $100,000, the market value of the painting when the parties entered the contract.

The owner believed that the court should have awarded him $350,000, the market value of the painting when the contract ended. To recover this amount, the owner sued the gallery in federal court for conversion. The gallery has moved to dismiss this action on the basis of res judicata (claim preclusion).

Is the court likely to grant the gallery's motion?

A. No.

B. Yes, because the issue of whether the gallery failed to return the painting to the owner was actually litigated and necessarily decided.

C. Yes, because the owner violated the election-of-remedies doctrine.

D. Yes, because the owner's actions involve identical claims between the same parties.

Explanation:

The doctrine of **res judicata** (ie, claim preclusion) provides that a valid final judgment on the merits **precludes** identical parties from **relitigating identical claims**. Claims are identical if they (1) arise from the **same transaction, occurrence, or series** thereof *and* (2) **could have been raised** in the **first action** because the claim existed and could have been joined. This is true even if the claims are labeled differently.

Here, the federal court in the first action entered a final judgment in the owner's favor for the gallery's breach of contract. The owner has now sued the gallery for conversion (identical parties). The breach of contract and conversion claims arise from the same transaction or occurrence because:

- the facts are related in time, space, origin, and motivation (the gallery loaning the owner's painting to the businesswoman without the owner's permission)
- the facts form a convenient trial unit (the same evidence applies to both claims) *and*
- the treatment of the facts as a unit conforms to the parties' expectations (the parties were aware of these facts at the time of the first action).

The conversion claim existed at the time of the first action and could have been joined in that action, so the claims are identical. Therefore, the federal court in the second action is likely to grant the gallery's motion to dismiss based on res judicata **(Choice A)**.*

*The first judgment was in favor of the owner (plaintiff), so the owner's conversion claim merges with the judgment and is extinguished. Had the judgment been in favor of the gallery (defendant), the owner's claim would be barred by the judgment and extinguished.

(Choice B) Claim preclusion applies even if the first action was not actually litigated (eg, entry of a default judgment). In contrast, the related doctrine of issue preclusion prohibits the relitigation of issues that were actually litigated, determined, and essential to a valid final judgment.

(Choice C) The election-of-remedies doctrine was a common law rule that forbade plaintiffs from asserting alternative or inconsistent remedies. However, this doctrine does not apply in federal court.

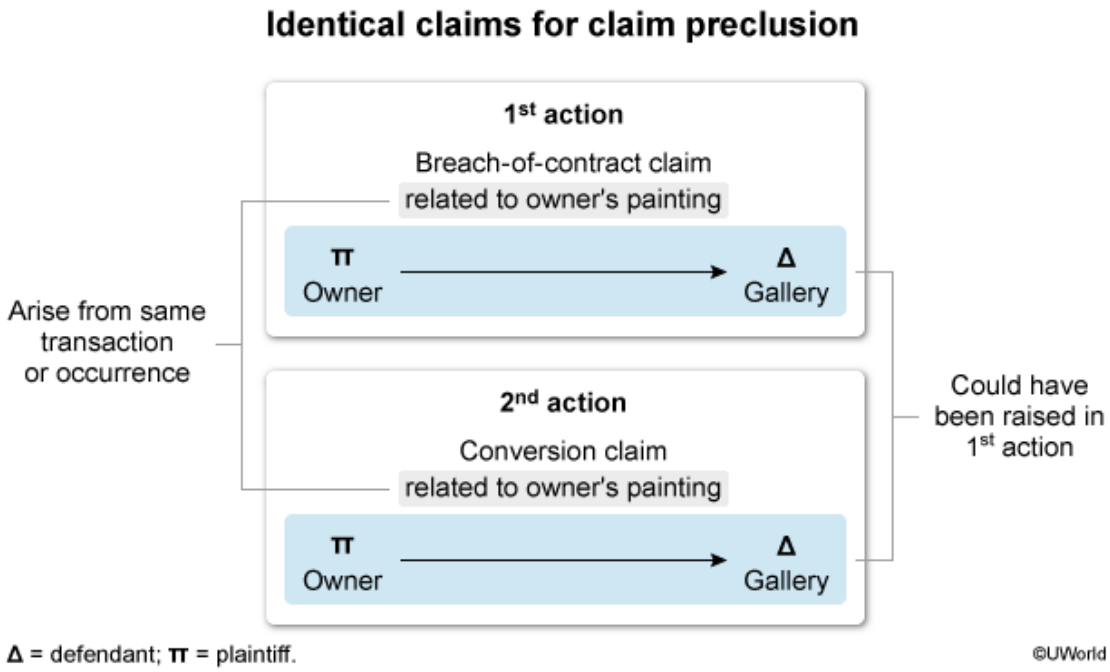
Educational objective:

Under claim preclusion, a valid final judgment on the merits precludes identical parties from relitigating identical claims. Claims are identical if they (1) arise from the same transaction, occurrence, or series thereof and (2) could have been raised in the first action.

References

- Restatement (Second) of Judgments §§ 24–25 (Am. Law Inst. 1982) (defining identical claims for claim preclusion).

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After a federal trial in which the jury awarded the plaintiff $100,000 in compensatory damages and $7 million in punitive damages, the defendant moved for a new trial on the ground that the verdict was not supported by the evidence and also that the punitive damages award was unconstitutionally excessive. The trial court, after reviewing the evidence, denied the motion on the condition that the plaintiff accept a reduced punitive damages award of $1 million, which the plaintiff did.

The defendant now wants to appeal.

Which of the following principles governs the appellate court's review?

A. The trial court cannot weigh the evidence in ruling on a motion for a new trial.
B. The trial court must give the plaintiff the minimum amount that the jury could have awarded under the evidence.
C. The trial court's decision to reduce the punitive damages award is reviewed de novo.
D. The trial court's reduction of the punitive damages award improperly invaded the province of the jury.

Explanation:

Appellate standards of review

Standard	Level of review	Applicability
De novo	• No deference • Reverse if reasonably believe trial judge misinterpreted law	Pure legal issues
Clear error	• High deference • Reverse if no reasonable judge would have made finding	Factual issues in *bench* trials
Substantial evidence*	• High deference • Reverse if no reasonable jury would have made finding	Factual issues in *jury* trials
Abuse of discretion	• High deference • Reverse if decision was unreasonable/arbitrary	Discretionary rulings by judge

*Courts may also reverse if there is insufficient/no evidence.

A party may move for a new trial on the ground that the finder of fact (typically the jury) awarded an excessive amount of damages. If the trial court rules that the amount was excessive, it must give the opposing party the option to choose between a new trial on damages or a reduced amount of damages set by the court (ie, remittitur). Here, the plaintiff accepted a reduced punitive damages award, which led the court to properly deny the defendant's motion for a new trial.

If an appeal is filed, the appellate court will review the trial court's ruling under the appropriate standard of review. A ruling on a **motion for a new trial** is typically discretionary and reviewed for **abuse of discretion**. Under this standard or review, the trial court's **discretionary rulings** are given **high deference** and will be reversed only if unreasonable or arbitrary.

However, a ruling challenged on **constitutional** grounds presents a pure legal issue that is **reviewed de novo**. Under this standard of review, a trial court's **conclusions of law** are given **no deference** and will be reversed if the appellate court reasonably believes that the trial court misinterpreted the law. Since the defendant challenged the punitive damages award as unconstitutionally excessive, the trial court's decision to reduce that award is reviewed de novo.

(Choice A) A trial court *may* weigh the evidence in ruling on a motion for a new trial.

(Choice B) When reducing the amount of damages that the jury awarded, a trial court has discretion to award any (not just the minimum) amount the jury could have awarded under the evidence.

(Choice D) A federal trial court has the power to reduce a jury's excessive damages award because the jury has already determined the damages and the court is simply trimming the excess.*

*In contrast, a trial court does not have the power to increase a jury's inadequate damages award (ie, additur) because it would allow the court to award damages that were not found by the jury.

Educational objective:

A ruling on a motion for a new trial is generally discretionary and reviewed on appeal for abuse of discretion. However, when such a ruling is challenged on constitutional grounds, the ruling presents a pure legal issue that is reviewed de novo.

References

- Fed. R. Civ. P. 59 (motion for a new trial).
- Cooper Indus., Inc. v. Leatherman Tool Grp., Inc., 532 U.S. 424, 435 (2001) (requiring de novo review of punitive damages awards).

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A customer brought a diversity action against a company in federal court. The customer's complaint demanded an injunction and monetary damages. At the conclusion of trial, the jury returned a verdict in favor of the customer for $100,000 and the judge awarded the customer an injunction. That same day, the district court determined that the verdict was reasonable and entered a final judgment consistent with these awards. The judgment did not include language about when the judgment could be enforced.

The company believed that the verdict was excessive and that the injunction was burdensome. Ten days after entry of the judgment, the company filed a motion for remittitur and, in the alternative, a motion for new trial. The company also directed its employees to continue engaging in the enjoined activity until further notice. Fifteen days after entry of the judgment, the customer sought to enforce the injunction and execute the damages portion of the judgment.

Which of the following actions is the court most likely to take?

A. Enforce the customer's injunction.

B. Execute the customer's damages award.

C. Grant the company's motion for new trial.

D. Grant the company's motion for remittitur.

Explanation:

Stay of enforcement/execution

(FRCP 62)

Most final judgments	Automatic 30-day stay unless court orders otherwise
Certain orders	No stay, unless court orders otherwise, for order that: • grants injunction or receivership *or* • directs accounting in patent-infringement action

FRCP = Federal Rule of Civil Procedure.

Under Federal Rule of Civil Procedure 62, most **final judgments** are **automatically stayed** for **30 days**. This means that the judgment cannot be enforced or executed during the time in which posttrial motions or a notice of appeal can be filed. However, an automatic stay **does not apply** to orders (1) granting an **injunction or receivership** or (2) directing an accounting in a patent-infringement action. These orders can therefore be enforced and executed during this time period unless otherwise ordered by the court.

Here, the final judgment entered by the district court awarded the customer damages and an injunction. The damages award is subject to the automatic 30-day stay, so the court is not likely to execute the damages award 15 days after entry of the judgment **(Choice B)**. However, the injunction is not subject to the automatic 30-day stay, so the court is likely to enforce the injunction.

(Choices C & D) A party may move for a new trial within 28 days after the entry of a final judgment, as the company did here. A new trial can be granted on several grounds, including excessive or inadequate damages. If a verdict is excessive, then the court may offer a reduction of the verdict (ie, remittitur). However, the court here already determined that the verdict of $100,000 was reasonable—not excessive.

Educational objective:

Most final judgments are automatically stayed for 30 days unless the court orders otherwise. However, this rule does not apply to orders (1) granting an injunction or receivership or (2) directing an accounting in a patent-infringement action. These orders can be enforced and executed immediately.

References

- Fed. R. Civ. P. 62 (stays).

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At the conclusion of a federal civil trial, a 10-person jury returned a verdict in favor of the plaintiff for $22 million. Immediately after reading the verdict, the court polled the jurors individually to see if the verdict was unanimous. Every juror except for two stated that he or she agreed with the verdict.

After the poll was completed, the defendant moved for a new trial. The court denied the motion and directed the jurors to deliberate further. The plaintiff objected on the record. After two hours, the jury returned a verdict in favor of the defendant. The court polled each juror again, and every juror stated that he or she concurred in the verdict. The court entered a final judgment consistent with the verdict.

The plaintiff appealed, arguing that the trial court abused its discretion by polling the jurors and directing them to deliberate further after returning the first verdict.

Is the appellate court likely to overturn the judgment?

A. No, because a trial court's discretionary decisions on issues pertaining to the jury are unreviewable.
B. No, because the trial court had the power to poll the jury members and direct them to deliberate further.
C. Yes, because the first verdict was overwhelmingly in favor of the plaintiff.
D. Yes, because the trial court should have ordered a new trial when the jury failed to return a unanimous verdict.

Explanation:

Unless otherwise stipulated, a jury must reach a **unanimous verdict**. To **determine** whether a verdict is unanimous, the court may **poll the jurors individually** after a verdict is returned but before the jury is discharged. This must be done upon a party's request, or the court may do so on its own initiative (ie, sua sponte). If the poll reveals that the verdict is ***not* unanimous**, the court can either **order a new trial** OR direct the jury to **deliberate further**—as the court did here **(Choice D)**. Therefore, the appellate court will likely affirm this judgment.

(Choice A) An appellate court may review a trial court's discretionary decisions on all issues (including issues pertaining to the jury) for abuse of discretion. Under this highly deferential standard of review, the trial court's ruling will only be reversed if it was clearly arbitrary or unreasonable. Since the trial court reasonably directed the jury to deliberate further, it did not abuse its discretion.

(Choice C) The fact that the first verdict was overwhelmingly in favor of the plaintiff is irrelevant because the verdict must be unanimous in the absence of a stipulation. Since there is no indication that the parties stipulated to a non-unanimous verdict, the trial court had the power to direct the jury to deliberate further.

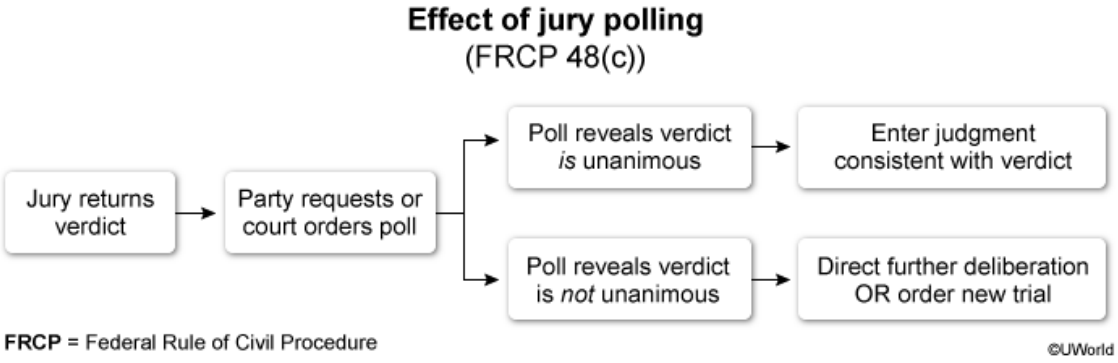
Educational objective:

A court must on a party's request, or may on its own initiative, poll the jurors individually after a verdict is returned but before the jury is discharged. If the poll reveals that the verdict is *not* unanimous, the court can (1) direct the jury to deliberate further or (2) order a new trial.

References

- Fed. R. Civ. P. 48(c) (polling jurors).

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A man from State A sued a woman from State B in a federal district court for negligence to recover $100,000. In her answer denying liability, the woman requested a jury trial. The case proceeded to trial.

Before the judge instructed the jury, the man moved for judgment as a matter of law. The judge denied this motion. On March 1, the jury returned a verdict in favor of the woman, and the judge entered a final judgment consistent with the verdict that same day.

On March 21, the man filed a renewed motion for judgment as a matter of law. On April 15, the judge entered an order denying that motion. On May 1, the man filed a notice of appeal with the clerk of the district court.

Does the appellate court have jurisdiction to hear the appeal?

A. No, because the man did not file the notice of appeal with the clerk of the appellate court.
B. No, because the man failed to file the notice of appeal within 30 days of the entry of final judgment.
C. Yes, because the man preserved the renewed motion for judgment as a matter of law.
D. Yes, because the man timely filed the notice of appeal with the proper clerk.

Explanation:

A **notice of appeal** must be **filed** with the district court clerk **within 30 days** after the district court **enters final judgment** to allow an appellate court to acquire jurisdiction over the case.* But if a party files a posttrial motion within 28 days after the entry of final judgment, then the notice of appeal need not be filed **until 30 days** after the court enters an **order disposing of that motion**.

Here, the district court entered a final judgment against the man on March 1. The man timely filed a renewed motion for judgment as a matter of law (JMOL) within 28 days after entry of final judgment—on March 21. The judge denied this motion on April 15. The man then timely filed a notice of appeal with the clerk of the district court within 30 days after the denial—on May 1. Therefore, the appellate court has jurisdiction to hear this appeal **(Choice B)**.

*The time to file the notice of appeal is extended to 60 days if one of the parties is the United States, a federal agency, or a federal officer or employee sued in an official capacity.

(Choice A) A notice of appeal must be filed with the clerk of the *district* court, not the appellate court.

(Choice C) A party can file a renewed motion for JMOL within 28 days after the entry of final judgment only if the party moved for JMOL before the case was submitted to the jury (as seen here). However, the fact that the man preserved the renewed motion for JMOL does not grant the appellate court jurisdiction.

Educational objective:

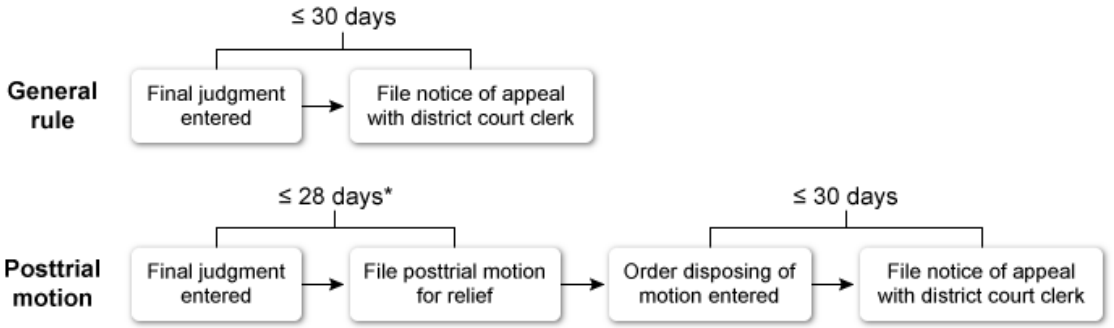
A notice of appeal must be filed with the district court clerk within 30 days after the entry of final judgment unless a posttrial motion is filed within 28 days after final judgment is entered. In that case, the notice of appeal must be filed within 30 days after the court enters an order disposing of the motion.

References

- 28 U.S.C. § 2107 (timing of appeal).
- Fed. R. App. P. 4 (notice of appeal).

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Deadline to file a notice of appeal



*Posttrial motion for attorney's fees must be made ≤ 14 days.

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A tire manufacturer sued its competitor in federal district court for infringing the patent on the manufacturer's best-selling tire design. The manufacturer sought compensatory damages as well as preliminary and permanent injunctions. After a pretrial hearing on the preliminary injunction, the court concluded that the manufacturer presented considerable evidence that it would suffer irreparable harm without the injunction and had a reasonable chance to succeed on the merits of its case. The court then issued the preliminary injunction.

The competitor immediately filed a notice of appeal with the clerk of the district court, arguing that the court improperly granted the preliminary injunction.

What action will the appellate court likely take with respect to the competitor's appeal?

A. Affirm the issuance of the preliminary injunction because the district court did not abuse its discretion.

B. Dismiss the appeal because the competitor did not file the notice of appeal with the clerk of the appellate court.

C. Dismiss the appeal because the district court has not yet entered a final judgment.

D. Overturn the issuance of the preliminary injunction because the district court's decision was clearly erroneous.

Explanation:

Under the final-judgment rule, an appeal cannot be taken before a final judgment has been entered except in limited circumstances. One circumstance arises when a district court rules on a request for a **preliminary injunction**—as seen here **(Choice C)**. Since rulings on preliminary injunctions are **discretionary**, they are reviewed under the highly deferential **abuse-of-discretion standard**. This means the appellate court will only reverse the district court's ruling if it was **clearly arbitrary or unreasonable**.

A preliminary injunction may be granted if it is established that:

- the movant is likely to succeed on the merits
- the movant is likely to suffer irreparable harm in the absence of relief
- the balance of equities is in the movant's favor *and*
- the injunction is in the best interests of the public.

Since the district court granted the preliminary injunction after the manufacturer presented considerable evidence supporting the above-listed elements, the court did not abuse its discretion in granting the preliminary injunction. Therefore, the appellate court will likely affirm the district court's decision.

(Choice B) Most appeals are initiated by filing a notice of appeal with the clerk of the *district* court (as seen here). Only certain interlocutory appeals (eg, appeals certified by a district court) require that a notice of appeal be filed with the clerk of the *appellate* court.

(Choice D) The clearly-erroneous standard is used to review factual findings in a bench trial—not a district court's discretionary rulings in a pretrial hearing (as seen here). Under that standard, the district court's factual findings will only be reversed if no reasonable judge would have made such a finding.

Educational objective:

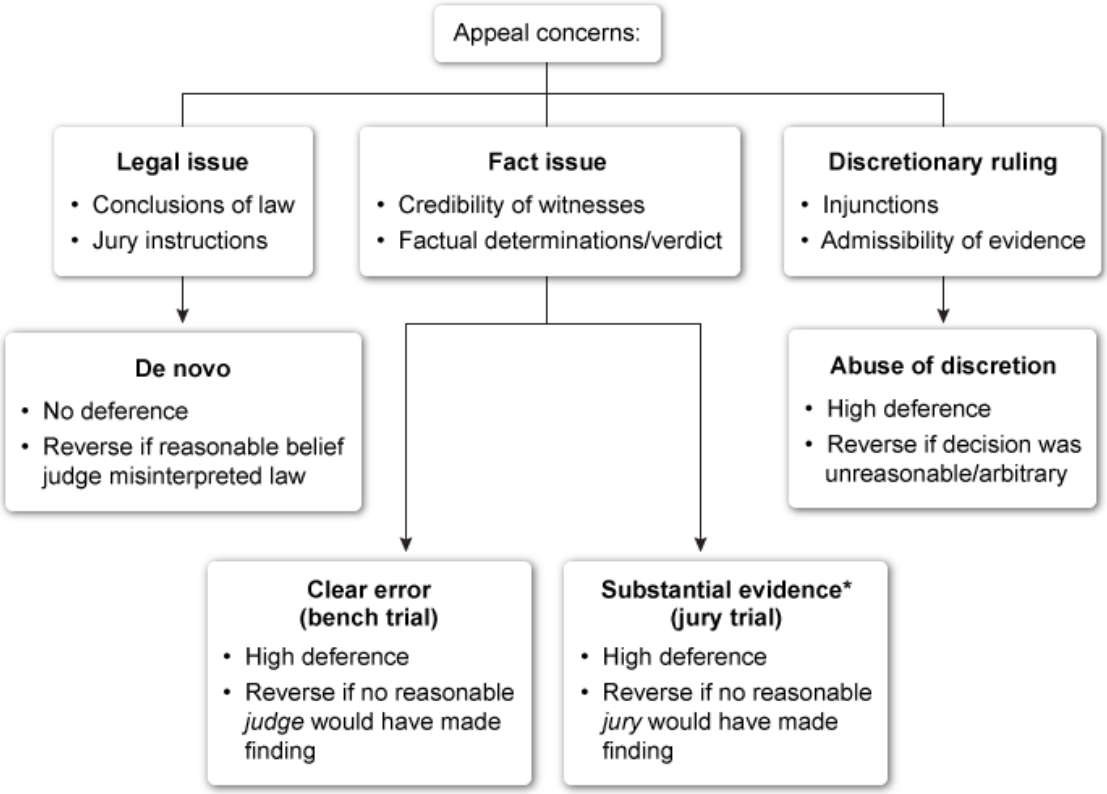
An appellate court uses the abuse-of-discretion standard when reviewing a district court's discretionary rulings—eg, the grant or denial of a preliminary injunction. This is a highly deferential standard under which the appellate court will only reverse the district court's ruling if it was clearly arbitrary or unreasonable.

References

- Ashcroft v. Am. Civil Liberties Union, 542 U.S. 656, 664–66 (2004) (explaining that abuse-of-discretion review applies to preliminary injunctions and setting forth the traditional requirements to obtain a preliminary injunction).

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Appellate standards of review



*Courts may also reverse if there is insufficient or no evidence. Due to this split of authority, this concept is unlikely to be tested.

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Two days before his home was to be sold at a foreclosure sale, a homeowner obtained a temporary restraining order (TRO) in federal court that prevented his lender from proceeding with the sale for 14 days or until a preliminary injunction hearing could take place, whichever was sooner. When a preliminary injunction hearing could not be scheduled within the original 14-day period, the court extended the TRO for another 30 days.

The lender appealed the court's order extending the TRO. The homeowner has moved to dismiss the appeal.

Is the appellate court likely to dismiss the appeal?

A. No, because a TRO is immediately appealable.
B. No, because the 30-day extension makes the TRO equivalent to a preliminary injunction and therefore appealable.
C. Yes, because a TRO is not appealable under the interlocutory appeals statute.
D. Yes, because there is no final judgment from which an appeal may be taken.

Explanation:

Final-judgment rule

Rule Appeal only allowed after final judgment

- If multiple claims/parties, final judgment as to fewer than all claims/parties appropriate if court expressly determines no justifiable reason for delay

Exceptions Interlocutory appeals* concerning:

- **I**njunction (grant/denial)
- **C**ertification by district court
- **C**lass action certification
- **A**ppointment of receiver
- **A**dmiralty case
- **C**ollateral-order doctrine
- **B**ankruptcy cases (certain orders)
- **M**andamus (petition for writ)
- **P**atent infringement order (only accounting left)

Mnemonic: **I**n **C**ertain **C**ircumstances, **A**n **A**ppeal **C**an **B**e **M**ade **P**rematurely

*Appeal from trial court ruling that occurs before entry of final judgment.

*Appeal from trial court ruling that occurs before entry of final judgment

The **final-judgment rule** bars federal appellate courts from hearing an appeal until the federal district court has entered a final judgment—ie, a judicial decision that fully resolves the dispute on the merits and leaves nothing for the court to do but enforce the judgment. But the **interlocutory appeals statute** (28 U.S.C. § 1292) provides **exceptions** to this rule that allow an **immediate appeal** in limited circumstances.

One of those circumstances arises when a district court grants or denies a **preliminary injunction**—ie, a court order entered before or during trial that commands or prohibits a specified action while the case is before the court. In contrast, a **temporary restraining order** (TRO)—ie, a court order that commands or prohibits specified action for 14 days or until a preliminary injunction hearing can take place (whichever occurs first)—is *not* immediately appealable under this statute **(Choice A)**.

But when a TRO is **extended beyond 14 days** (as seen here), it becomes **equivalent to a preliminary injunction**. As a result, the extended TRO is **immediately appealable** even though there is no final judgment **(Choices C & D)**. Therefore, the appellate court is *unlikely* to dismiss the lender's appeal of the order extending the TRO.

Educational objective:

The interlocutory appeals statute allows certain orders to be appealed before the entry of a final judgment—eg, the grant or denial of a preliminary injunction. A temporary restraining order extended beyond 14 days is equivalent to a preliminary injunction and is immediately appealable under this statute.

References

- 28 U.S.C. § 1292 (exceptions to final judgment rule).
- Fed. R. Civ. P. 65 (preliminary injunctions and temporary restraining orders).
- Sampson v. Murray, 415 U.S. 61, 86–88 (1974) (holding that a temporary restraining order extended beyond its time limit is the equivalent of a preliminary injunction).

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A woman from State A sued a pharmaceutical company incorporated and with its principal place of business in State B in federal district court for $1 million in damages. The woman alleged that the company engaged in deceptive marketing by failing to disclose all the health risks associated with one of its drugs. She claimed that this contributed to her becoming addicted to the drug, which led to severe medical complications.

The case was tried to the court. The woman presented evidence to support her claim and immediately after, the company moved for a judgment on partial findings. The judge announced her findings of fact and conclusions of law from the bench and explained that the woman had failed to present legally sufficient evidence to establish the causation element of her claim. Specifically, the judge did not believe that the woman's witnesses concerning that element were credible and discounted their testimony. The judge then granted the company's motion and entered a judgment in favor of the company.

Were the judge's actions proper?

A. No, because the judge acted improperly when she discounted the testimony of the witnesses.

B. No, because the judge failed to state her findings and conclusions in writing.

C. Yes, because a judgment on partial findings may be entered at any time during trial.

D. Yes, because the woman had an opportunity to be fully heard on her claim.

Explanation:

When a case is tried to the court (ie, a **bench trial**), a party can file a motion for **judgment on partial findings** in lieu of a motion for judgment as a matter of law (JMOL). This motion requests that the court enter a partial finding against the nonmovant ***after*** the nonmovant has been **fully heard on the issue**. If that finding resolves a claim or defense, the court may enter a judgment on partial findings. The court must provide factual findings and legal conclusions (orally or in writing) on the record in support of that judgment **(Choice B)**.

Here, the judge announced her findings and conclusions on the company's motion for judgment on partial findings from the bench (ie, on the record). The judge found that the woman's witnesses were not credible, so the woman did not have legally sufficient evidence to establish the causation element of her claim. And since the woman had been fully heard on her claim, the court acted properly in entering the judgment on partial findings.*

*The woman can still challenge the judge's decision on appeal. The appellate court will review the judge's factual findings for clear error (high deference) and the judge's conclusions of law de novo (no deference).

(Choice A) As the fact finder in a bench trial, a judge may consider the credibility of witnesses and the weight of the evidence to determine if they are sufficient to render a decision for the movant before entering a judgment on partial findings.** Therefore, the judge acted properly when she discounted the testimony of the woman's witnesses after assessing their credibility.

**In contrast, the court may not evaluate the credibility of witnesses or the weight of the evidence when considering an initial or renewed motion for JMOL.

(Choice C) A judgment on partial findings can be entered only *after* the nonmovant has had an opportunity to be fully heard. So had the company moved for a judgment on partial findings *before* the woman presented her case, the court could not have considered the motion.

Educational objective:

In a bench trial, a judge may enter a partial finding against the nonmovant after the nonmovant has been fully heard on the issue. If that finding resolves a party's claim or defense, the court may then enter a judgment on partial findings.

References

- Fed. R. Civ. P. 52(c) (judgment on partial findings).

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Jury trial **v.** **Bench trial**



Jury acts as finder of fact.
Judge acts as interpreter of law.



Judge acts as finder of fact
and interpreter of law.

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A man brought a federal diversity action against his former business partner for breach of contract seeking $100,000 in damages. The business partner moved to dismiss for lack of personal jurisdiction. After the court denied the motion, the business partner filed and served an answer in which she denied the man's claim. Ten days later, the man filed and served a jury demand, which the business partner moved to strike.

Is the court likely to grant the motion to strike?

A. No, because the man properly demanded a jury trial.

B. No, because the right to a jury trial extends to civil claims.

C. Yes, because the jury demand was untimely filed.

D. Yes, because the man failed to assert the jury demand in a pleading.

Explanation:

All civil litigants (plaintiffs and defendants) have the constitutional right to a jury trial for any legal claim where the amount in controversy exceeds $20 (as seen here). However, a party waives this right if a proper demand is not made. Under FRCP 38, a party may properly **demand a jury trial** by:

- **serving** the other parties with a written jury demand **within 14 days after the last pleading** (usually the defendant's answer) is served *and*
- **filing** the demand with the court within a **reasonable time after service** of the demand.*

Here, the man filed and served his written jury demand 10 days after being served with the business partner's answer. Since the demand was timely and properly made, the court is unlikely to strike it **(Choice C)**.

*A jury trial demand is treated as a request that a jury decide all issues unless the party specifies otherwise. If so specified, another party may serve a jury trial demand for any other issue within 14 days after service of the original demand or a shorter time ordered by the court.

(Choice B) Parties have a jury trial right for legal claims—ie, claims seeking a monetary remedy to compensate for a loss (eg, damages). But this right does not extend to equitable claims—ie, claims seeking a nonmonetary remedy (eg, injunction).

(Choice D) A jury trial demand may, but need not, be included in a pleading. The demand can also be made in a separate, stand-alone document (as seen here).

Educational objective:

Any party may secure the right to a jury trial on any legal claim by (1) serving the other parties with a written jury demand no later than 14 days after the last pleading is served and (2) filing the demand with the court within a reasonable time after serving it.

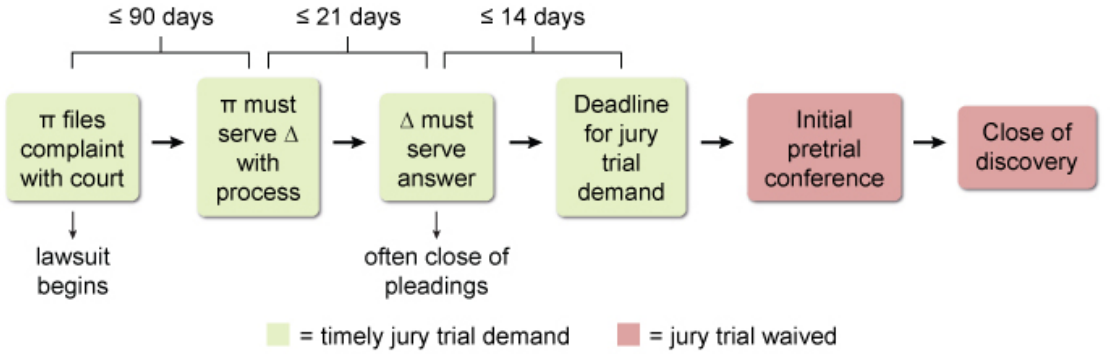
FRCP = Federal Rule of Civil Procedure.

References

- Fed. R. Civ. P. 38(b) (jury trial demand).

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Jury trial demand timeline



π = plaintiff; Δ = defendant

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A man was apprehended for illegally crossing the U.S. border. The man was held at a detention facility for over a month before the government realized that he was a U.S. citizen. After he was released, the man filed a complaint in federal court against the government under a federal statute that waives the federal government's immunity in these types of suits. The man sought $100,000 in damages and demanded a jury trial.

At the close of evidence at trial, the government and the man both submitted proposed jury instructions. The court decided to hear the parties' closing arguments before ruling on which instructions to use. Both parties made their closing arguments. The court then informed the parties outside the jury's presence of its proposed instructions, which differed significantly from the instructions proposed by the parties. Both parties objected on the record.

Did the court err in providing its proposed jury instructions in this manner?

A. No, because the court has complete authority to decide when and how to provide jury instructions.

B. No, because the court need not to inform the parties of its proposed instructions until after closing arguments.

C. Yes, because the court failed to inform the parties of its proposed instructions and give them an opportunity to object before closing arguments.

D. Yes, because the court failed to instruct the jury before closing arguments.

Explanation:

Jury instructions

(FRCP 51)

Requests Party:

- must file request by close of evidence unless earlier, reasonable deadline set by court
- may file request after close of evidence when:
  - request relates to issue that party could not have reasonably anticipated by deadline *or*
  - court permits late submission related to any issue

Instructions Court:

- must inform parties of proposed instructions before instructing jury & closing arguments
- must allow parties to object on record & outside jury's presence before instructing jury & closing arguments
- may consider objection made after court instructs jury if instruction constituted plain error
- may instruct jury at any time before discharge

Objections Party:

- must distinctly state objection & its grounds on record
- must object at court-appointed time or promptly after learning of proposed instruction

FRCP = Federal Rule of Civil Procedure.

In a jury trial, the court must provide **jury instructions** that advise jurors on their deliberation procedures and the applicable law. The court has the ultimate authority to decide when and how to provide jury instructions so long as it complies with the requirements of Federal Rule of Civil Procedure (FRCP) 51 **(Choice A)**. Under FRCP 51, the court:

- may **instruct the jury** at any time **before the jury is discharged**—ie, released from its duties in the case
- must **inform the parties** of its **proposed instructions before** it **instructs the jury** and the parties give their **closing arguments** *and*

- must give the parties an **opportunity to object** on the record and outside the presence of the jury **before** the **instructions and closing arguments** are delivered to the jury.

Here, the court properly informed the parties of its proposed instructions and gave them an opportunity to object before it instructed the jury. But the court erred in failing to do so before closing arguments **(Choice B)**. As a result, the parties could not tailor their closing arguments to the applicable law provided in the court's jury instructions.

(Choice D) The court did not err in failing to instruct the jury before the parties gave their closing arguments because a court may instruct the jury at any time before the jury is discharged. Instead, the court erred in failing to inform the parties of its proposed instructions and give them an opportunity to object before closing arguments.

Educational objective:

In a jury trial, a court (1) may instruct the jury at any time before the jury is discharged, (2) must inform the parties of its proposed instructions before instructing the jury and closing arguments, and (3) must allow the parties to object on the record and outside the presence of the jury before the instructions and closing arguments are delivered.

References

- Fed. R. Civ. P. 51(b) (court requirements for providing jury instructions).

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A woman brought a diversity action against her former employer in a federal district court in State A. In her complaint, the woman alleged that she contracted a lung disease at work due to her employer's negligence. The employer moved to dismiss the woman's action for failure to state a claim. The court granted the motion because State A does not recognize claims for occupational diseases. The woman appealed.

While the woman's appeal was pending, the highest state court in State A issued a ruling that, for the first time, recognized claims for occupational diseases.

Is the appellate court likely to overturn the dismissal?

A. No, because federal law permits a dismissal for failure to state a claim.

B. No, because State A did not recognize claims for occupational diseases at the time the action was dismissed.

C. Yes, because the district court committed clear error when it dismissed the action.

D. Yes, because the recent ruling by State A's highest court controls.

Explanation:

All federal courts sitting in diversity must apply federal law to procedural issues and state law to substantive issues. Issues concerning the elements of a claim or defense are clearly **substantive** and therefore determined by **state law**. Since the elements of a claim or defense are a pure legal issue, the appellate court will review the district court's interpretation of state law **de novo**.

Under this standard of review, the appellate court gives no deference to the district court's interpretation and decides the issue anew. However, the appellate court **must follow** any **rulings issued** by the **state's highest court** while the **appeal was pending**.

Here, the district court properly applied State A law when it dismissed the woman's action for failure to state a claim because State A did not recognize her claim at that time. However, while the appeal was pending, the highest state court in State A issued a ruling that recognized the woman's claim. Since the appellate court must follow that ruling, it will likely overturn the dismissal of the woman's action **(Choice B)**.

(Choice A) Federal law provides *procedural* devices to dismiss an action for failure to state a claim. However, a federal court must apply state substantive law to determine if a claim was adequately stated. As a result, State A law governs whether the woman adequately stated a claim for relief.

(Choice C) A district court's *factual findings* in a bench trial are reviewed for clear error. Under this highly deferential standard of review, a district court's findings of facts will only be reversed if no reasonable judge would have made such a finding. But here, this pure *legal issue* will be reviewed de novo.

Educational objective:

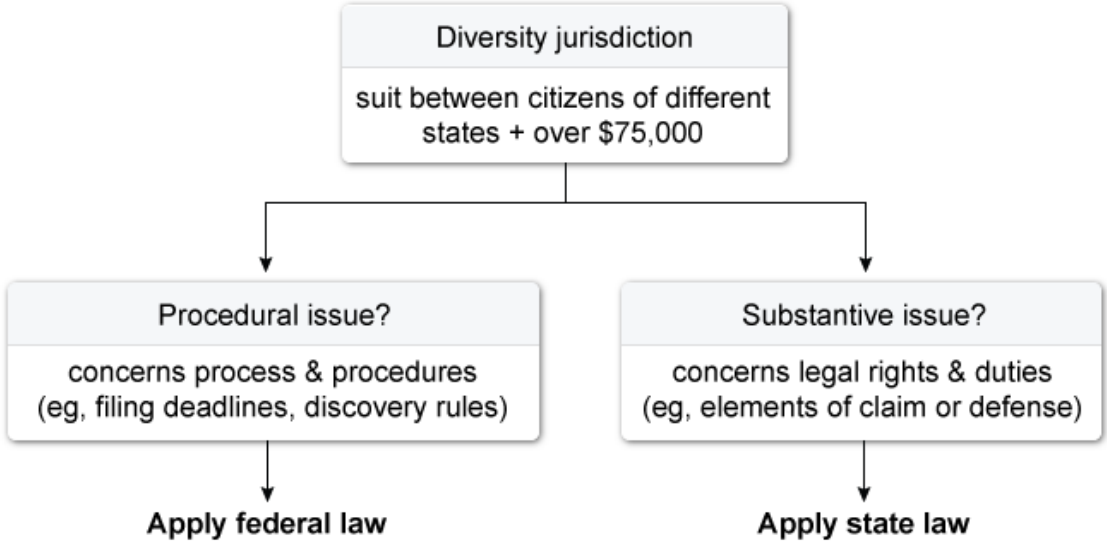
Federal courts sitting in diversity must apply federal law to procedural issues and state law to substantive issues (eg, the elements of a claim or defense). An appellate court reviewing a district court's interpretation of state law must follow any rulings issued by the state's highest court while the appeal was pending.

References

- Vandenbark v. Owens-Ill. Glass Co., 311 U.S. 538, 543 (1941) (holding that federal appellate courts must follow any rulings issued by the state's highest court while the appeal was pending).

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Choice of law



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A truck driver from State A and a bus driver from State B were involved in a collision in State B that injured the truck driver. The truck driver filed a federal diversity action in State B based on negligence, seeking $100,000 in damages from the bus driver.

What law of negligence should the court apply?

A. The court should apply the federal common law of negligence.
B. The court should apply the negligence law of State A, the truck driver's state of citizenship.
C. The court should consider the negligence law of both State A and State B and apply the law that the court believes most appropriately governs negligence in this action.
D. The court should determine which state's negligence law a state court in State B would apply and apply that law in this action.

Explanation:

When a federal court's subject-matter jurisdiction is based on **diversity jurisdiction**, the dispute is between citizens of different states. As a result, the court must determine which state's substantive law applies to the case. If no federal rule, federal statute, or constitutional provision controls the substantive issue, then the court must follow the **choice-of-law rules** of the **state where the court sits**.

Here, the federal court in State B has diversity jurisdiction over this negligence case. There is no federal law on negligence. Therefore, the court must use the choice-of-law rules of the state where the court sits (State B) to determine which state's (State A's or State B's) negligence law a court in State B should apply.

(Choice A) There is no federal common law of negligence, so federal courts must adhere to state law on this substantive matter.

(Choice B) The court cannot simply select the law of the truck driver's state of citizenship. Instead, the court must look to the choice-of-law rules of the state where the court sits to determine which competing state's substantive law should apply to this case.

(Choice C) If the court were to review the negligence law of both states and select the law the court found most appropriate, then the court would be erroneously developing its own federal choice-of-law rules.

Educational objective:

In a federal diversity action where no federal substantive law applies, a federal court must look to the choice-of-law rules of the state where the court sits to determine which state's substantive law to follow.

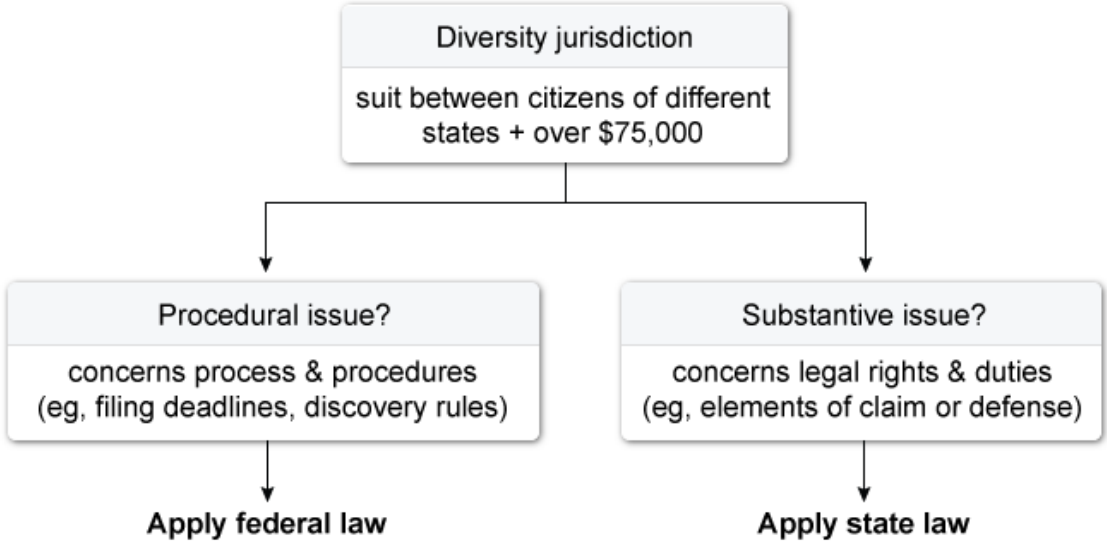
References

- Klaxon Co. v. Stentor Elec. Mfg. Co., 313 U.S. 487, 496–97 (1941) (explaining that a federal court hearing a diversity case must apply the choice-of-law rules of the state in which the court sits).

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Choice of law



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A former secretary sued a large corporation in an appropriate federal district court for violating the federal sex discrimination statute. The secretary seeks to recover $1 million and properly requested a jury trial.

During voir dire to seat a six-person jury, potential jurors revealed several facts about themselves. An elderly woman stated that she did not believe that female employees fired for discriminatory reasons deserve compensation because "people blame everything on sex." A contractor explained that he did not want to serve on the jury because he really wanted to get back to work. A man revealed that he is the brother of the defendant's lawyer. A businesswoman said that she owned stock in a retirement fund that she did not think contained any of the corporation's stock, but she could not be 100% certain.

If the secretary's counsel seeks to strike each of these potential jurors from serving on the jury, which potential juror can only be stricken with a peremptory challenge?

A. The businesswoman.

B. The contractor.

C. The elderly woman.

D. The man.

Explanation:

Challenges to potential jurors

(FRCP 47)

	Number allowed	Basis for disqualification
Peremptory	3 per party*	• Any basis other than race, ethnicity, or gender • No explanation needed
For cause	Unlimited	• For bias or lack of impartiality—eg: – relationship with party – financial stake in party

FRCP = Federal Rule of Civil Procedure.

*When a civil action involves multiple plaintiffs or defendants, the court may grant each side (1) three peremptory challenges or (2) more than three peremptory challenges that each side's parties exercise separately or jointly.

In all federal civil cases where the amount in controversy exceeds $20, the Seventh Amendment guarantees the **right to a jury trial**. To select the jury, the court, the parties, or the parties' attorneys may **question the potential jurors** about their **backgrounds and potential biases**. During this **voir dire** process, each party can **strike potential jurors** from service through:

- **challenges for cause** – to strike a potential juror based on his/her **inability** to serve as a **fair and impartial** finder of fact (eg, financial stake in a party, bias, relation to party or party's counsel) *and*
- **peremptory challenges** – to strike a potential juror **for any reason**—except for race, ethnicity, or gender—without an explanation.

Here, the secretary's attorney can successfully challenge three of the four potential jurors for cause. The businesswoman may have a *financial stake* in the corporation through her retirement fund stock **(Choice A)**. The elderly woman displayed a clear *bias* by stating that she did not believe that female employees fired for discriminatory reasons deserve compensation because "people blame everything on sex" **(Choice C)**. And the man is the *brother* of the defendant's attorney **(Choice D)**.

However, the contractor's statement that he did not want to serve on the jury because he wanted to get back to work reveals no basis for a challenge for cause. This response may cause the secretary's counsel concern as to whether the contractor will take jury service seriously but does not show that he will be unable to serve fairly and impartially. Therefore,

the secretary's counsel must use a peremptory challenge to strike the contractor. And since there is no indication of a racial, ethnic, or gender-based motive for the challenge, it should succeed.

Educational objective:

During jury selection in a federal civil action, each party may strike potential jurors from service through (1) challenges for cause—to strike a potential juror for bias or lack of impartiality—and (2) peremptory challenges—to strike a potential juror for any reason (except race, ethnicity, or gender) without explanation.

References

- Fed. R. Civ. P. 47 (jury-selection process).

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An administrator brought a federal diversity action on behalf of a deceased woman's estate against a farmer to quiet title to 200 acres of land. The jury returned a verdict for the farmer, and the court entered judgment. The beneficiary of the woman's estate then sued the farmer in federal court contesting ownership of the land. The farmer has moved to dismiss the beneficiary's action on the basis of collateral estoppel (issue preclusion).

Should the court grant the farmer's motion?

A. No, because the beneficiary was not a party to the action between the administrator and the farmer.

B. No, because the claims are not sufficiently identical.

C. Yes, because the beneficiary's interests were adequately represented in the administrator's action.

D. Yes, because the farmer was a party to the first action.

Explanation:

Exceptions to rule against nonparty preclusion

Issue preclusion may be asserted against nonparty who:

- agreed to be bound by judgment
- had substantial legal relationship with party (eg, bailor–bailee)
- was adequately represented by party with same interests (eg, class action)
- assumed control over case (eg, insurer–insured)
- attempts to relitigate through proxy *or*
- was sued under special statutes that bar relitigation & satisfy due process

Collateral estoppel (ie, issue preclusion) is a defense that **bars the relitigation of issues** that were actually litigated, determined, and essential to a valid final judgment. This defense can be asserted against parties to the first action or their privies. But it typically **cannot be asserted against a *nonparty*** to the first action because the nonparty would be deprived of the opportunity to fully and fairly litigate his/her claims and defenses.

However, one **exception** arises when the **nonparty's interests** were **adequately represented in the first action** by a party with the same interests. For example, a beneficiary is adequately represented in a suit involving an administrator of an estate since the administrator represents the interests of the estate and the beneficiaries in that suit.

Here, the administrator of the woman's estate brought the first quiet title action against the farmer, and a final judgment was entered in the farmer's favor. The beneficiary of the woman's estate then filed a second quiet title action against the farmer contesting ownership of the same land. Although the beneficiary was not a party to the first action, the administrator adequately represented the beneficiary's interest in the land **(Choice A)**. Therefore, the court should grant the farmer's motion to dismiss the beneficiary's action.

(Choice B) Claim preclusion bars identical *claims*, while issue preclusion (asserted here) bars subsequent cases that involve the same *issues of fact or law* as a prior action.

(Choice D) For collateral estoppel to apply, the party *against* whom it is asserted (here, the beneficiary) must have been a party to the first action—absent an exception. But whether the party *asserting* collateral estoppel (here, the farmer) was a party to the first action is irrelevant.

Educational objective:

Collateral estoppel bars the relitigation of issues that were actually litigated, determined, and essential to a valid final judgment and can be asserted against a nonparty to the first

action in limited situations—eg, when the nonparty's interests were adequately represented in the first action by a party with the same interests.

References

- Taylor v. Sturgell, 553 U.S. 880, 893–95 (2008) (listing the exceptions to the rule against nonparty preclusion).
- 18A Charles Alan Wright et al., Federal Practice and Procedure § 4454 (3rd ed. 2020) (explaining that issue preclusion can be asserted against a nonparty when he/she was adequately represented in the first action).

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A builder brought a federal diversity action against a homeowner for breach of contract, seeking $115,000 in damages. The homeowner answered and counterclaimed for $93,000 in damages for breach of warranty. Four weeks later, when the homeowner had not received any responsive pleading from the builder, the homeowner moved for entry of default and a default judgment on the counterclaim. After the clerk entered default, the homeowner asked the clerk to enter a default judgment.

May the clerk enter a default judgment?

A. No, because only the court can enter a default judgment under these circumstances.

B. No, because the builder's time to respond has not expired.

C. Yes, because the builder has failed to defend himself against the counterclaim.

D. Yes, because the damages the homeowner seeks are a sum certain.

Explanation:

A **default** generally occurs when a defendant fails to timely serve an answer to a plaintiff's complaint. However, it can also occur when a **plaintiff fails to timely answer** a defendant's **counterclaim within 21 days** after it was served. When this failure is shown to the court clerk, the clerk must enter the default into the record. Since the builder has failed to respond to the homeowner's counterclaim four weeks after it was asserted, the clerk properly entered the builder's default **(Choice B)**.

A default judgment can then be sought from the clerk or the court. The **clerk may enter** a **default judgment** only when:

- the claim is for a **sum certain** or a sum that can be made certain by calculation
- the request for default judgment **includes an affidavit** establishing the amount due
- the **defaulting party failed to appear**—ie, did not file a motion or otherwise act before the court—*and*
- the defaulting party is **not legally incompetent or a minor**.

Here, the homeowner's $93,000 counterclaim is for a sum certain and there is no indication that the builder is legally incompetent or a minor. However, there is no indication that the homeowner included an affidavit in the request, and the builder appeared before the court by filing his complaint. This means that only the court, not the clerk, can enter a default judgment under these circumstances **(Choice D)**.*

*Since the builder has appeared in the action, the court may enter a default judgment if the builder is served with written notice of the homeowner's application for default judgment at least seven days before a hearing on the matter.

(Choice C) The fact that the builder failed to timely defend himself against the homeowner's counterclaim allows the clerk to enter the builder's *default* into the record. However, the clerk may not enter a *default judgment* since the homeowner failed to include an affidavit in the request and the builder has appeared in the action.

Educational objective:

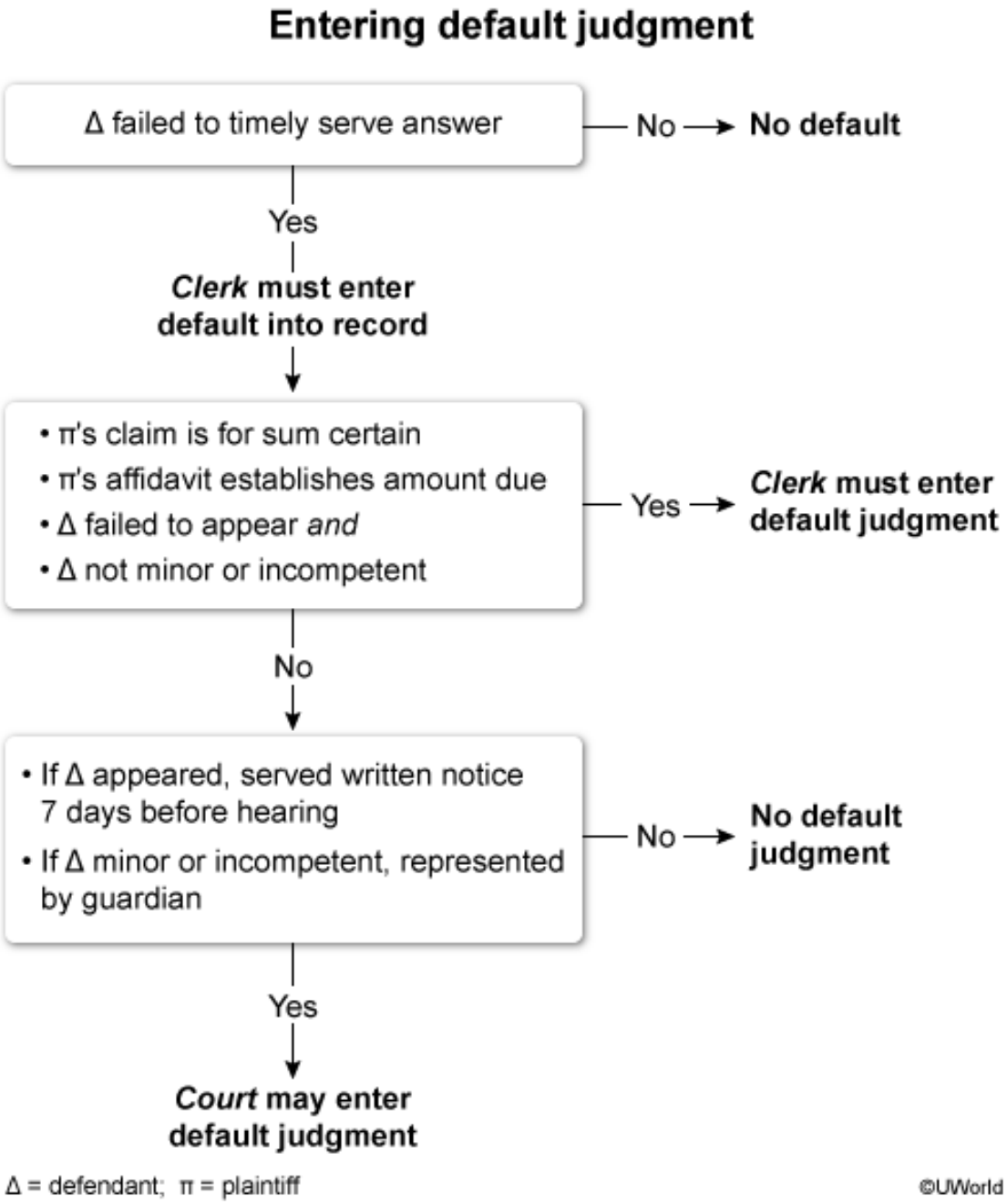
A clerk may enter a default judgment when (1) the claim is for a sum certain, (2) the request includes an affidavit establishing the amount due, (3) the defaulting party failed to appear, and (4) the defaulting party is not legally incompetent or a minor. Otherwise, only the court may enter a default judgment.

References

- Fed. R. Civ. P. 55 (default judgments).
- 10A Charles Alan Wright et al., Federal Practice and Procedure § 2683 (4th ed. 2020) (explaining when a court clerk may enter a default judgment).

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A firm incorporated and headquartered in State A sued its competitor from State B in a State A state court. The firm sought $100,000 for the competitor's defamatory statements about the firm's business practices. The complaint did not include a jury demand. Under State A law, a party must request a jury trial in its initial pleading or the right to a jury is waived.

Fifteen days after the competitor served its answer, the competitor removed the case to federal court on the basis of diversity jurisdiction. Ten days after being served with the notice of removal, the firm served a written demand for a jury trial.

Which of the following findings will the court likely make regarding the firm's demand?

A. The firm preserved its right to a jury trial by asserting a legal claim in the complaint.
B. The firm preserved its right to a jury trial by timely serving its demand for a jury.
C. The firm waived its right to a jury trial by failing to assert the demand in state court.
D. The firm waived its right to a jury trial by serving the demand more than 14 days after service of the competitor's answer.

Explanation:

All civil litigants in federal court have the constitutional right to a jury trial for any legal claim in which the amount in controversy exceeds $20. A party generally preserves this right by demanding a jury trial within 14 days after the last pleading (usually the defendant's answer) is served. However, in an **action removed from state to federal court**, a party **preserves this right** by either:

- **demanding** a jury trial **in state court *before* removal** *or*
- **serving** a jury trial demand within **14 days *after* filing** or **being served** with the **notice of removal**—so long as all necessary pleadings (ie, the complaint and answer) had been served before removal.*

Here, the firm did not demand a jury trial in state court before the competitor removed the case to federal court. However, the complaint and answer were served before removal and the firm timely served its demand for a jury trial 10 days after being served with the competitor's notice of removal. As a result, the federal court will likely find that the firm preserved its jury trial right **(Choices C & D)**.

*If the necessary pleadings were not served before removal, then the general deadline for demanding a jury—ie, 14 days after the last pleading is served—applies.

(Choice A) The firm has the right to a jury trial because its complaint asserted a legal claim—ie, a claim that seeks a monetary remedy—in which the $100,000 amount in controversy far exceeds the $20 threshold. However, the firm may only exercise this right if it made a timely demand.

Educational objective:

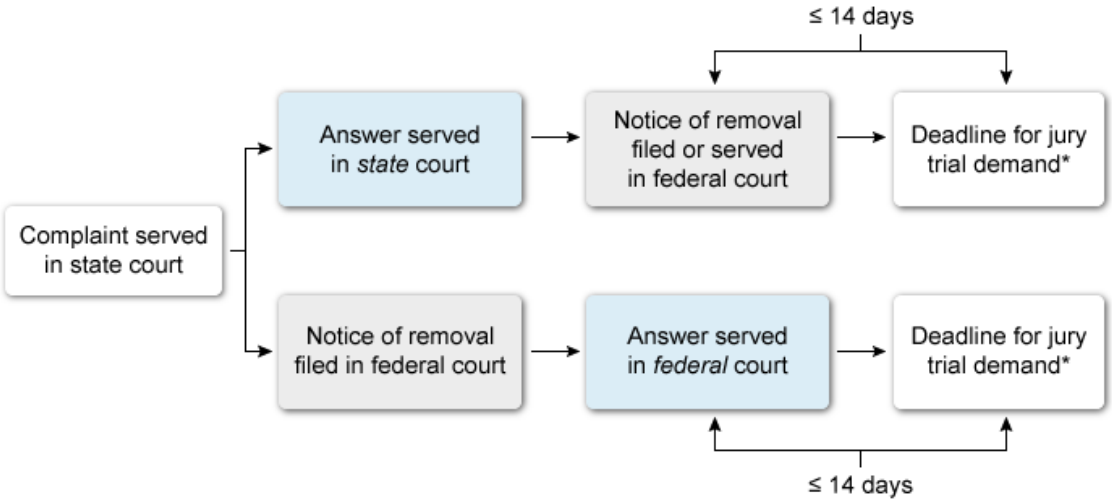
In a removal action, a party preserves its right to a jury trial by (1) demanding a jury in state court before removal or (2) serving a jury trial demand within 14 days after filing or being served with the notice of removal, so long as all necessary pleadings had been served before removal.

References

- Fed. R. Civ. P. 81(c)(3) (jury trial demand in removal action).
- 9 Charles Alan Wright et al., Federal Practice and Procedure § 2319 (3d ed. 2020) (explaining how to properly demand a jury trial in an action removed from state to federal court).

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Jury trial demand in removal action



*If the forum state does not require a jury trial demand, the parties need not make such a demand unless the court orders them to do so.

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An individual investor purchased stock through a company's stock offering. When the price of the stock plummeted, the investor sued the company in a state court in State A, claiming that the company's offering materials had fraudulently induced him to purchase the stock and seeking $25,000 in damages.

A university that had purchased the company's stock through the same offering sued the company in federal court in State B, claiming that the offering materials violated federal securities laws and seeking $1 million in damages.

The individual investor's suit proceeded to trial. The state court ruled that the company's offering materials contained false information and awarded the investor a $25,000 judgment. The university immediately moved for partial summary judgment in its federal action against the company, arguing that the state court judgment bound the federal court on the issue of whether the company's offering materials contained false information.

Neither State A nor State B permits nonmutual issue preclusion.

Should the court grant the university's motion?

A. No, because State A does not permit nonmutual issue preclusion.
B. No, because the federal court sits in a state that does not permit nonmutual issue preclusion.
C. Yes, because federal law permits nonmutual issue preclusion.
D. Yes, because the issue of whether the materials contained false information was actually litigated and necessarily decided.

Explanation:

Issue preclusion (ie, collateral estoppel) precludes subsequent litigation of the *same* issue actually litigated, determined, and necessary to a valid final judgment issued on an earlier claim. There are two types of issue preclusion:

- **Mutual** – issue preclusion in second action **asserted by *parties*** to the first action against other parties to the first action
- **Nonmutual** – issue preclusion in second action **asserted by *nonparties*** to the first action against parties to the first action

The court will look to the court that entered the first judgment to determine which issue-preclusion rule applies to the second action. A judgment entered by a *federal* court means *federal* preclusion law applies,* while a judgment **entered by a *state* court** means that ***state's* preclusion law applies**.

Here, the state court in State A entered the first judgment, so State A's preclusion law applies to the second action in federal court. State A does not permit nonmutual issue preclusion. As a result, the university (a nonparty to the first action) cannot argue that the state court judgment bound the federal court on the same issue. The federal court should therefore deny the university's motion for partial summary judgment.

*A federal court sitting in diversity will generally apply the preclusion law of the state in which it sits unless the state law is incompatible with federal interests.

(Choice B) A judgment's preclusive effect is determined by the law of the forum that entered the judgment (here, State A)—not the forum where the second court sits (here, State B).

(Choice C) Although federal law permits nonmutual issue preclusion, the State A law prohibiting nonmutual issue preclusion applies.

(Choice D) The issue of whether the company's materials contained false information was actually litigated and necessarily decided in the first action. But since State A does not permit nonmutual issue preclusion, the university cannot assert it in the second action.

Educational objective:

Issue preclusion can be asserted by parties to the first action (mutual) OR by nonparties to the first action (nonmutual) against parties to the first action. If the first action was decided by a state court, then that state's issue-preclusion rule applies.

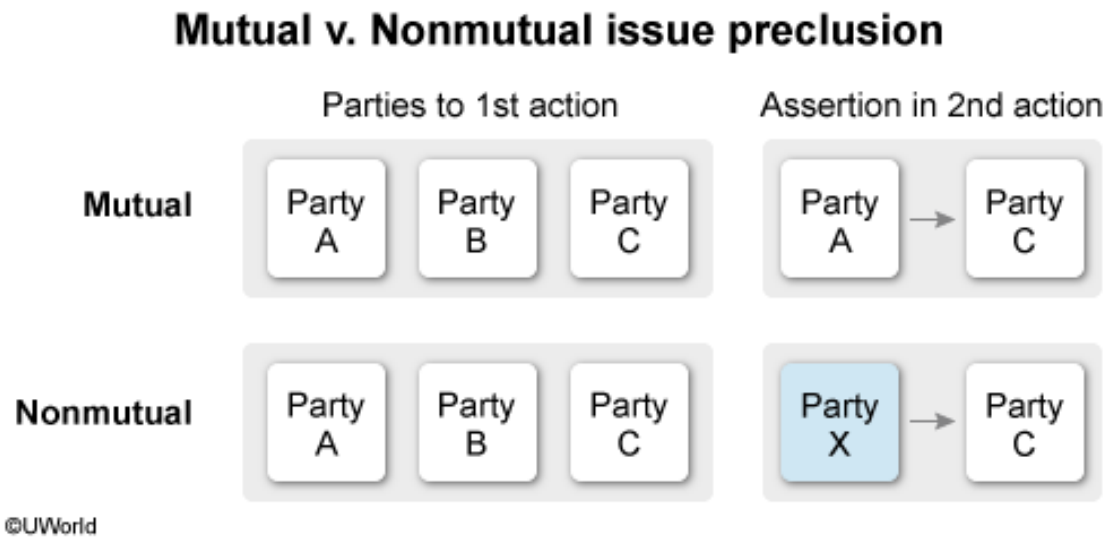
References

- Allen v. McCurry, 449 U.S. 90, 96 (1980) (stating that federal courts must give the same preclusive effect to state court judgments that courts in the judgment-rendering state would apply).

- 47 Am. Jur. 2d Judgments § 549 (2020) (explaining mutual and nonmutual estoppel).
- 28 U.S.C. § 1738 (full faith and credit statute).

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A man was charged in a state court in State A with involuntary manslaughter for causing the death of a pedestrian while driving under the influence of alcohol. The jury found the man guilty, and the court entered a judgment of conviction.

The pedestrian's family has now filed a wrongful death action against the man in a federal district court in State B. The family has moved for partial summary judgment, arguing that the state court judgment binds the federal court on the issues of whether the man breached his duty and caused the pedestrian's death.

State A permits nonmutual issue preclusion. However, State B prohibits nonmutual issue preclusion.

Should the federal court grant the family's motion?

A. No, because the prior judgment was entered by a state court.

B. No, because the state court action involved a criminal prosecution while the federal court action involves a civil claim.

C. Yes, because the issues of whether the man breached his duty and caused the pedestrian's death were actually litigated and necessarily decided in the state court action.

D. Yes, because the state court judgment is the law of the case.

Explanation:

Issue preclusion (ie, collateral estoppel) precludes the relitigation of **issues** that were **actually litigated, determined, and necessary** to a valid final judgment in a prior civil action OR criminal prosecution **(Choice B)**. There are two types of issue preclusion:

- **Mutual** – when issue preclusion is **asserted by *parties*** to the first action against other parties to the first action
- **Nonmutual** – when issue preclusion is **asserted by *nonparties*** to the first action against parties to the first action

To determine which preclusion rule applies, the second court will look to the law of the forum that entered the first judgment. Here, the State A state court entered judgment in the prior criminal prosecution, so the State B federal court should now apply State A's preclusion law in this wrongful death action. Since State A permits nonmutual issue preclusion, the family (nonparty to the first action) may assert issue preclusion against the man (party to the first action).

In the criminal prosecution, the jury found the man guilty of involuntary manslaughter—ie, an unintentional killing with criminal negligence. This means that the issues of whether the man breached a duty and caused the pedestrian's death were actually litigated and necessarily decided in the first action. Therefore, the federal court should grant the family's motion for partial summary judgment on these issues.*

*The family cannot obtain full summary judgment because it still must prove damages, which were not actually litigated or necessarily determined in the criminal prosecution.

(Choice A) A court must give full faith and credit to federal *and* state court judgments. Therefore, the fact that the prior judgment was entered by a state court is irrelevant.

(Choice D) The law-of-the-case doctrine prohibits the relitigation of legal issues decided at a previous stage of the *same* case. This doctrine does not apply here since the criminal prosecution and the wrongful death action are two different cases.

Educational objective:

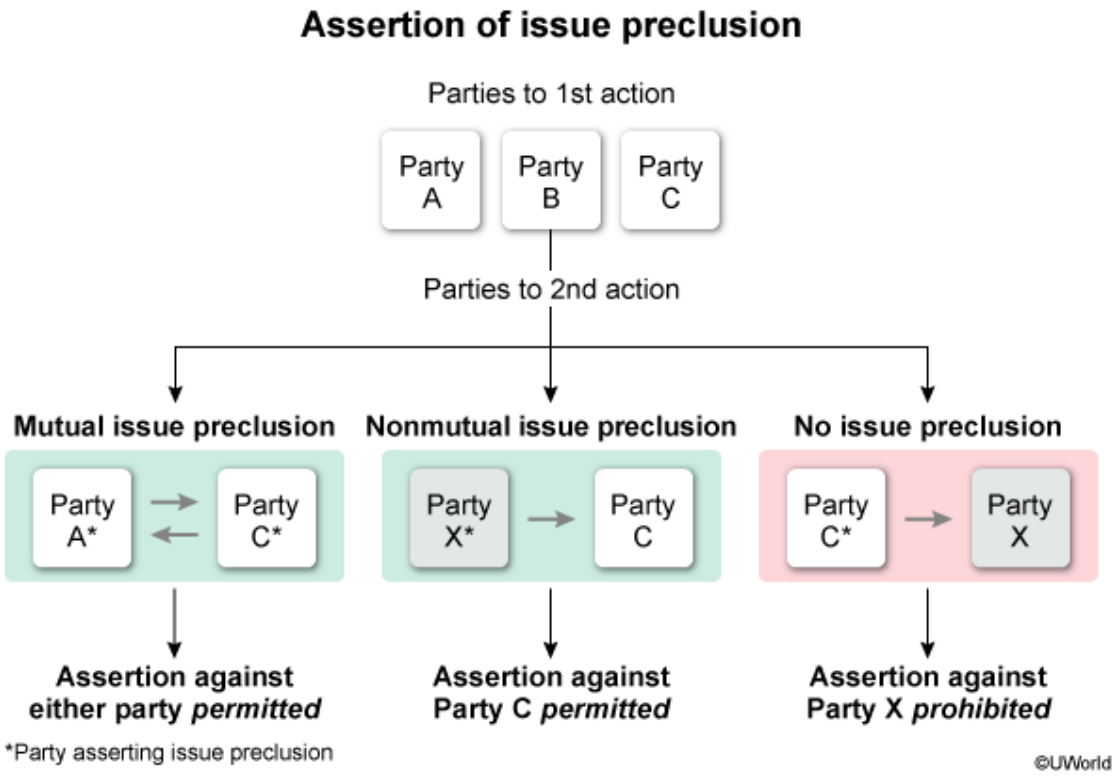
Issue preclusion bars the relitigation of issues that were actually litigated and necessarily determined by a valid final judgment in a prior civil action or criminal prosecution. The second court will look to the law of the forum that entered the first judgment to determine if mutual or nonmutual issue preclusion applies in the subsequent action.

References

- Restatement (Second) of Judgments § 85 (Am. Law Inst. 1982) (explaining the effect of a criminal judgment in a subsequent civil action).

- 18B Charles Alan Wright et al., Federal Practice and Procedure § 4474 (2d ed. 2020) (describing how nonparties to a criminal prosecution may assert issue preclusion against a party to the prosecution in a later civil action).

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A writer and a publisher entered into a contract in which the publisher agreed to pay the writer royalties from the sale of her book at a set percentage. At the end of the first year of the contract, the writer received a royalty check for an amount that she believed was lower than agreed.

The writer sued the publisher in state court for breach of contract. The writer claimed that the contract set the royalty percentage at 7%. However, the publisher claimed that the contract only required 4% royalties due to a condition precedent. The jury returned a verdict in favor of the writer, and the court entered a judgment consistent with the verdict.

At the end of the second year of the contract, the writer received another royalty check for an amount she again believed was low. She sued the publisher in a federal court for breaching the same contractual provision. The publisher has asserted the defense of claim preclusion (res judicata) in its answer.

Is the federal court likely to give preclusive effect to the state court judgment?

A. No, because the judgment was entered by a state court.

B. No, because the second action involves a different claim.

C. Yes, because both actions involve identical claims between the same parties.

D. Yes, because the first action was actually litigated.

Explanation:

Under the doctrine of **claim preclusion** (ie, res judicata), a valid final judgment on the merits precludes identical parties from relitigating identical claims. **Claims are identical** if they (1) arise from the **same transaction, occurrence, or series** thereof and (2) **could have been raised** in the **first action**. To determine whether claims arise from the same transaction or occurrence, courts consider the following factors:

- whether the facts are related in time, space, origin, or motivation
- whether the facts form a convenient trial unit *and*
- whether treatment of the facts as a unit conforms to the parties' expectations or business usage.

Here, the state court entered a final judgment in favor of the writer for the publisher's year-one breach of the contract. The writer then sued the publisher in federal court for the publisher's year-two breach. Although both claims arise from the same contractual provision, the writer's claim for her year-two royalties did not exist at the time of the first action. Therefore, the claims are *not* identical, and the federal court is unlikely to give preclusive effect to the state court judgment **(Choice C)**.

(Choice A) The fact that a state court entered the judgment in the first action is irrelevant because *all* courts must give full faith and credit to state court judgments.

(Choice D) Claim preclusion applies even if the first action was *not* actually litigated (eg, when a default judgment was entered). In contrast, the related doctrine of issue preclusion (ie, collateral estoppel) applies only when issues that were *actually litigated*, determined, and essential to a valid final judgment are raised in a subsequent action.

Educational objective:

Claim preclusion (ie, res judicata) provides that a valid final judgment on the merits precludes identical parties from relitigating identical claims. Claims are identical if they (1) arise from the same transaction, occurrence, or series thereof and (2) could have been raised in the first action.

References

- Restatement (Second) of Judgments § 24 (Am. Law Inst. 1982) (defining identical claims).
- Lawlor v. Nat'l Screen Serv. Corp., 349 U.S. 322, 327–28 (1955) (holding that claim preclusion only applies to claims that existed at the time of the first action).

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Claim-preclusion requirements

Valid final judgment on the merits

- Made in consideration of substantive (not technical) grounds of claim or defense
- Leaves nothing for court to do but enforce judgment



Identical claims

- Claims arose from same transaction, occurrence, or series thereof
- Both claims could have been raised in first action



Identical parties

- Involves same parties or those in privity
- Parties occupy same role in both actions*

*Parties need not occupy the same role if a party violates the first court's compulsory counterclaim rule.

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A patient domiciled in State A sued a surgeon domiciled in State B in a federal court in State A, alleging claims for malpractice. The surgeon moved to dismiss the action for lack of personal jurisdiction. The court denied the motion and set discovery cutoff and trial dates.

The surgeon has appealed the denial of the motion.

Should the appellate court hear the merits of the surgeon's appeal?

A. No, because the appellate court lacks jurisdiction over the appeal.

B. No, because the district court's decision on jurisdiction is final.

C. Yes, because a contrary appellate decision could terminate the action.

D. Yes, because the surgeon's personal-jurisdiction challenge raises a constitutional question.

Explanation:

Final-judgment rule

Rule Appeal only allowed after final judgment

- If multiple claims/parties, final judgment as to fewer than all claims/parties appropriate if court expressly determines no justifiable reason for delay

Exceptions Interlocutory appeals* concerning:

- **I**njunction (grant/denial)
- **C**ertification by district court
- **C**lass action certification
- **A**ppointment of receiver
- **A**dmiralty case
- **C**ollateral-order doctrine
- **B**ankruptcy cases (certain orders)
- **M**andamus (petition for writ)
- **P**atent infringement order (only accounting left)

Mnemonic: **I**n **C**ertain **C**ircumstances, **A**n **A**ppeal **C**an **B**e **M**ade **P**rematurely

*Appeal from trial court ruling that occurs before entry of final judgment.

*Appeal from trial court ruling that occurs before entry of final judgment

28 U.S.C. § 1291 limits **appellate jurisdiction** to appeals from a **final judgment**—ie, a decision that **fully resolves a dispute** on the merits and leaves nothing for the district court to do but enforce the judgment. This rule promotes judicial efficiency and avoids undue delay caused by multiple appeals. Therefore, absent specific exceptions, an appeal must be dismissed for lack of jurisdiction if no final judgment has been entered.

Here, the district court's denial of the surgeon's motion to dismiss for lack of personal jurisdiction is not a final judgment. That is because the denial did not fully resolve the dispute by deciding whether the surgeon is liable for malpractice. And since a denial of this motion is not excepted from the final-judgment rule, the appellate court lacks jurisdiction to hear the merits of the surgeon's appeal.

(Choice B) The district court's decision on jurisdiction is *not* final and can be challenged in an appeal from a final judgment.

(Choice C) Although a contrary appellate decision—ie, a decision that personal jurisdiction is lacking—could terminate the action, an appeal at this stage is premature because the district court has not issued a final judgment.

(Choice D) The fact that the surgeon's personal-jurisdiction challenge raises a constitutional question does not give the appellate court jurisdiction to hear the appeal at this time. Instead, the appellate court will decide all contested issues—constitutional and otherwise—in one appeal after a final judgment is issued.

Educational objective:

The final-judgment rule bars federal appellate courts from hearing an appeal until the district court has entered a final judgment—ie, a decision that fully resolves the dispute on the merits and simply requires the district court to enforce the judgment.

References

- 28 U.S.C. § 1291 (final-judgment rule).
- Lauro Lines s.r.l. v. Chasser, 490 U.S. 495, 497 (1989) (defining final judgment).

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A 50-year-old man was set to marry a 25-year-old woman when the woman called off the wedding two days before it was set to take place. The man had spent over $200,000 on the lavish ceremony, reception, and honeymoon. He sued the woman in federal court to recover half of this amount.

During voir dire, the man's attorney attempted to use all three of his peremptory challenges to exclude three potential jurors who were 25 years old. The woman's attorney objected. The man's attorney explained that he was striking the three potential jurors based on their age.

If the court believes the attorney's justification for the peremptory challenges, will it strike those potential jurors?

A. No, because civil litigants are entitled to only one peremptory challenge.
B. No, because the age of the potential jurors does not reveal any bias or lack of impartiality.
C. Yes, because peremptory challenges can be used for any reason.
D. Yes, because peremptory challenges can be used to strike potential jurors based on their age.

Explanation:

Challenges to potential jurors

(FRCP 47)

	Number allowed	Basis for disqualification
Peremptory	3 per party*	• Any basis other than race, ethnicity, or gender • No explanation needed
For cause	Unlimited	• For bias or lack of impartiality—eg: – relationship with party – financial stake in party

FRCP = Federal Rule of Civil Procedure.

*When a civil action involves multiple plaintiffs or defendants, the court may grant each side (1) three peremptory challenges or (2) more than three peremptory challenges that each side's parties exercise separately or jointly.

Voir dire is the stage in a jury trial when the court, parties, or attorneys question potential jurors about their backgrounds and potential biases. During this process, each party may **strike potential jurors** from serving on the jury through:

- ***three* peremptory challenges**, which can be used to strike a potential juror for any reason (other than race, ethnicity, or gender) without explanation **(Choices A & C)** *and*
- ***unlimited* challenges for cause**, which can be used to strike a potential juror for bias or lack of impartiality **(Choice B)**.

Here, the man's attorney attempted to use all of his *peremptory* challenges to exclude three potential jurors. He explained that he was striking the jurors based on their age. If the court believes this justification—ie, there is no indication that the challenges are based on race, ethnicity, or gender—then the court will strike the three potential jurors.

Educational objective:

During jury selection, each party is entitled to (1) three peremptory challenges to strike a potential juror for any reason (other than race, ethnicity, gender) without an explanation and (2) an unlimited number of challenges for cause to strike a potential juror for bias or lack of impartiality.

References

- Fed. R. Civ. P. 47(b) (peremptory challenges).

- 28 U.S.C. § 1870 (jury challenges).
- J.E.B. v. Alabama, 511 U.S. 127, 143 (1994) (explaining that peremptory challenges may be used to remove potential jurors based on their age).

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A man who owned riverfront property sued an upstream factory in federal court for polluting the river, seeking injunctive relief and $250,000 in damages. The factory moved for summary judgment on the ground of res judicata (claim preclusion), arguing that the man had sued on and lost an identical claim one year before. The court denied the motion.

The factory has asked its attorney's advice as to whether it may appeal the court's denial of summary judgment in order to avoid an expensive trial.

What advice should the attorney give?

A. The factory may appeal if the appellate court finds that the case involves a controlling question of law upon which the courts are divided.

B. The factory may appeal if the trial court certifies that there is no just reason for delay.

C. The factory may not appeal because the denial of summary judgment is a collateral order.

D. The factory may not appeal until after a trial on the merits or other disposition resulting in a final judgment.

Explanation:

Final-judgment rule

Rule Appeal only allowed after final judgment

- If multiple claims/parties, final judgment as to fewer than all claims/parties appropriate if court expressly determines no justifiable reason for delay

Exceptions Interlocutory appeals* concerning:

- **I**njunction (grant/denial)
- **C**ertification by district court
- **C**lass action certification
- **A**ppointment of receiver
- **A**dmiralty case
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- **P**atent infringement order (only accounting left)

Mnemonic: **I**n **C**ertain **C**ircumstances, **A**n **A**ppeal **C**an **B**e **M**ade **P**rematurely

*Appeal from trial court ruling that occurs before entry of final judgment.

*Appeal from trial court ruling that occurs before entry of final judgment

A party may only **appeal**, absent limited exceptions, after the district court has entered a **final judgment**—ie, a decision that **fully resolves a dispute** on the merits and leaves nothing for the court to do but enforce the judgment. This rule is designed to promote judicial efficiency and avoid unnecessary delays in the litigation process.

Here, the court's denial of the factory's motion for summary judgment based on claim preclusion is not a final judgment. That is because the denial did not fully resolve the dispute on its merits by deciding whether the factory polluted the river and what relief (if any) to award the man. Therefore, the attorney should advise the factory that it may not appeal until after a trial on the merits or other disposition resulting in a final judgment.

(Choice A) A *district* court can certify (ie, approve) an issue for appeal before a final judgment when (1) there is a substantial difference of opinion on the controlling question of law and (2) an appeal will materially advance the ultimate termination of litigation. Only then will an *appellate* court decide whether to hear the appeal.

(Choice B) When an action involves *multiple* claims or parties (not seen here), a district court may enter final judgment as to fewer than all claims or parties if it expressly

determines that there is no just reason for delay. A party may then appeal that judgment without waiting for a final judgment to be entered on all claims in the action.

(Choice C) The denial of summary judgment is not a collateral order—ie, a district court order that conclusively resolves an important issue that is (1) separate from the merits of the claim and (2) effectively unreviewable on appeal from a final judgment. That is because an appellate court can easily (and routinely does) review the denial of summary judgment on appeal.

Educational objective:

Absent limited exceptions, an appellate court can only hear appeals from a final judgment—ie, a decision that fully resolves a dispute on the merits.

References

- 28 U.S.C. § 1291 (final-judgment rule).
- Lauro Lines s.r.l. v. Chasser, 490 U.S. 495, 497 (1989) (defining final judgment).
- Ortiz v. Jordan, 562 U.S. 180, 184 (2011) (explaining that almost all orders denying summary judgment are interlocutory orders that do not qualify as final judgments subject to immediate appeal).

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The parents of a deceased teenager sued the manufacturer of an energy drink in federal court, alleging that their teenager had a heart attack and died after ingesting the energy drink. The parents further alleged that the manufacturer knew the drink could result in a heart attack but failed to disclose this risk in violation of federal law. The manufacturer denied the parents' allegations. Both parties demanded a jury trial.

At the conclusion of the trial, the judge instructed the jury to provide written answers to specific questions about each factual issue but to refrain from finding in favor of a party. The manufacturer objected to this procedure.

Is this procedure permissible?

A. No, because the jury must apply the law to its findings of fact and return a verdict in favor of a party.

B. No, because this procedure violates the manufacturer's constitutional right to a jury trial.

C. Yes, because the judge may apply the law and enter a judgment consistent with the jury's answers.

D. Yes, because the judge may ask for the jury's advice on factual issues before deciding the case herself.

Explanation:

Types of jury verdicts

(FRCP 49)

General verdict	• Jury finds in favor of, and awards any damages to, particular party • No statement on jury's findings of fact
General verdict with answers	• Jury finds in favor of, and awards any damages to, particular party • Jury answers questions on specified factual issues
Special verdict	• Jury answers questions on specified factual issues • Judge applies law to jury's answers & enters appropriate judgment

FRCP = Federal Rule of Civil Procedure

At the conclusion of a jury trial, the jury will issue a verdict that determines the factual issues in the case. There are **three types of verdicts**—general verdicts (most common), general verdicts with answers, and special verdicts—and the **judge has complete discretion** to choose which verdict to use. A **special verdict** requires that:

- the **jury answer questions** in writing on specified **factual issues** *and*
- the **judge apply the law and enter a judgment** consistent with those answers.

The purposes of a special verdict are to prevent the jury's view of the correct result from interfering with its factual findings and to identify the bases for the jury's decision. Therefore, the judge permissibly instructed the jury to provide written answers to specific questions about each factual issue but to refrain from finding in favor of a party **(Choice A)**.

(Choice B) The Seventh Amendment guarantees civil litigants the right to a jury trial when the amount in controversy exceeds $20 and a party makes a timely jury trial demand. A special verdict does not violate this constitutional right because the jury still determines the factual issues in the case.

(Choice D) The judge cannot ask for the jury's *advice* on factual issues before deciding the case because the jury is the *decider* of fact. Once the jury has decided the issues of fact, the judge may apply the law and enter an appropriate judgment.

Educational objective:

In a jury trial, the judge has complete discretion to decide which verdict to use—general verdict, general verdict with answers, or special verdict. A special verdict requires that (1)

the jury answer questions in writing on specified factual issues and (2) the judge apply the law and enter a judgment consistent with those answers.

References

- Fed. R. Civ. P. 49(a) (special verdicts).

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A patent holder brought a patent infringement action, which involves triable jury issues, in federal court against a licensee of the patent. The patent holder believed that a jury would be more sympathetic to his claims than a judge and asked his lawyer to obtain a jury trial.

What should the lawyer do to secure the patent holder's right to a jury trial?

A. File and serve a complaint that includes a jury trial demand.
B. File and serve a jury trial demand at the close of discovery.
C. File and serve a jury trial demand within 30 days after the close of the pleadings.
D. Make a jury trial demand at the initial pretrial conference.

Explanation:

Under Federal Rule of Civil Procedure 38, a party may **demand a jury trial** on any triable jury issue by:

- **serving** the other parties with a written jury trial demand **no later than 14 days after the last pleading** directed to that issue is served *and*
- **filing** the jury trial demand with the court within a **reasonable time after service** of the demand.*

The demand can be **included in a pleading** or set forth in a separate document. And the right to a jury trial is waived if the above requirements are not met. The lawyer here can therefore secure a jury trial by including the jury trial demand in a filed and served complaint—ie, the pleading that starts a case.

*A proper jury trial demand may be withdrawn later, but only with the other parties' consent.

(Choice B) Discovery is a pretrial phase of a lawsuit during which the parties are compelled to disclose information related to the case. Since this is a lengthy process that often continues more than 14 days after the last pleading is served, a jury trial demand filed and served at the close of discovery would likely be untimely.

(Choice C) A jury trial demand must be served within 14 (not 30) days after the last pleading directed to the triable issue is served. And the demand would be even more untimely if the last pleading concerning the triable issue was served before pleadings closed.

(Choice D) An initial pretrial conference is typically held several weeks after the pleadings have closed, so a jury trial demand made at that conference would likely be untimely.

Educational objective:

A party may secure the right to a jury trial on any triable jury issue by (1) serving the other parties with a written jury trial demand no later than 14 days after the last pleading directed to the issue is served and (2) filing the jury trial demand with the court within a reasonable time after service of the demand.

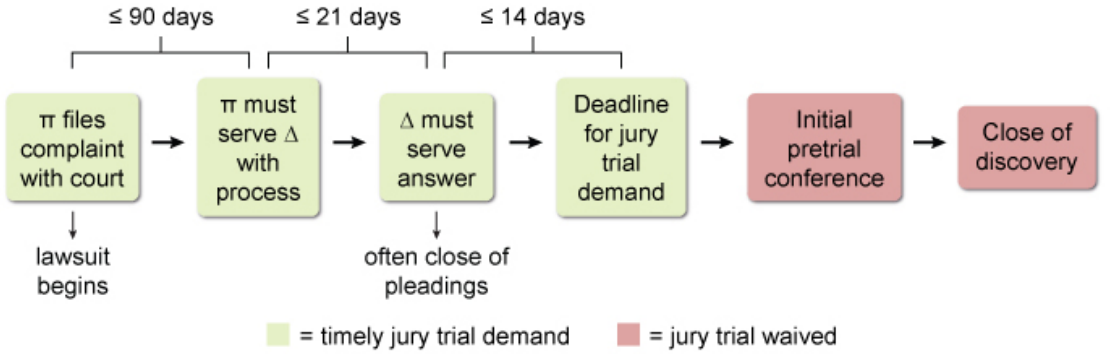
References

- Fed. R. Civ. P. 38 (jury trial demand).

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Jury trial demand timeline



π = plaintiff; Δ = defendant

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A company incorporated and headquartered in State A sued a plumber domiciled in State B in a federal court in State A, alleging that the plumber had negligently installed pipes in a manner that resulted in $250,000 in damage to the company's headquarters building. In response to the complaint, the plumber filed a motion to dismiss for lack of personal jurisdiction. The court denied the motion. Thereafter, the plumber did not file an answer or any other response to the company's action.

Sixty days after the court's order denying the motion to dismiss, the company asked the clerk to enter the plumber's default, and the clerk did so. The company applied to the court for the entry of a default judgment and notified the plumber three days before the default-judgment hearing. After an ex parte hearing in which the court received evidence on the damages amount, the court entered a default judgment for the full amount sought. Ten days later, the plumber filed a motion to set aside the default judgment.

Is the court likely to grant the plumber's motion?

A. No, because the court could fix the amount of damages without hearing the plumber's evidence.

B. No, because the plumber failed to defend against the company's action for default judgment.

C. Yes, because the plumber was not given adequate notice of the hearing on the company's application for the entry of a default judgment.

D. Yes, because the State A federal court lacked personal jurisdiction over the plumber as a State B citizen.

Explanation:

Under Federal Rule of Civil Procedure (FRCP) 55, there are two steps for securing a default judgment—ie, a judgment entered when the defendant has failed to timely serve an answer. The first step requires that the **court clerk** enter a **default on the record** once it is shown that the defendant failed to timely serve an answer—due within 14 days after an FRCP 12 motion (eg, challenging personal jurisdiction) is denied.

The second step requires that a default judgment be entered by the clerk *or* the court. The **court** may enter a **default judgment** even if:

- the plaintiff's claim is *not* for a sum certain
- the defendant is a minor or legally incompetent *or*
- the defendant has **appeared by filing a motion** (as seen here) or otherwise acting before the court.

But if the defendant has appeared, the defendant must be **served with written notice** of the plaintiff's application for default judgment at least ***seven* days before a hearing** on the matter. Here, the company notified the plumber of its application only *three* days before the hearing. Therefore, the entry of default judgment was improper, and the plumber's motion to set aside that judgment will likely be granted.

(Choice A) The court could have fixed the amount of damages—which could be made certain by calculation—without hearing the plumber's evidence had he received proper notice.

(Choice B) Although the plumber failed to defend against the company's action for default judgment, he had made an appearance by filing a motion to dismiss. As a result, he was entitled to seven days' notice.

(Choice D) Although the plumber is a State B citizen, the State A federal court had personal jurisdiction because the plumber's minimum contacts with State A—working on the company's building—gave rise to the claim.

Educational objective:

To obtain a default judgment against a defendant who has appeared before the court, the plaintiff must serve the defendant with written notice of the default-judgment application at least seven days before a hearing on the matter.

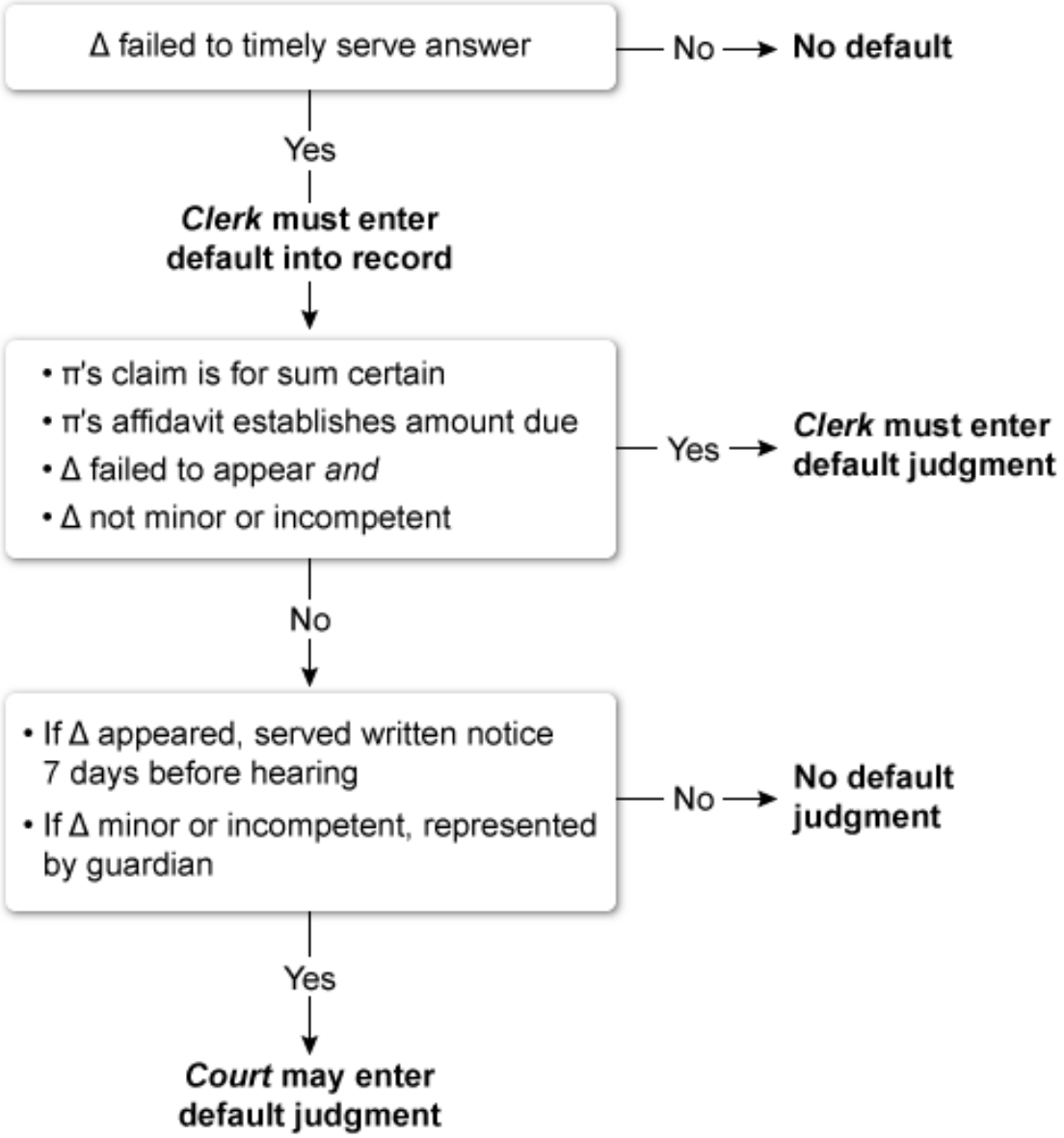
References

- Fed. R. Civ. P. 55 (default judgments).

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Entering default judgment



Δ = defendant; π = plaintiff

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A man brought a diversity action against a woman in a federal court in State B for conversion. The man claimed that the woman stole several historic artifacts from his home in State A and sold them to a pawn shop in State B.

State A law requires that conversion be proven by a preponderance of the evidence, and its choice-of-law rules for all tort claims provide that a court must apply the law of the state where the injury occurred.

State B law requires that conversion be proven by clear and convincing evidence, and its choice-of-law rules provide that, in conversion actions, a court must apply the law of the state where the property was taken.

What body of law governs the burden of proof in this action?

A. Federal common law.

B. Federal statutory law.

C. State A law.

D. State B law.

Explanation:

Examples of procedural & substantive issues

Procedural (processes & procedures)	• Filing deadlines • Court rules & procedures • Discovery practices • Rules of evidence
Substantive (legal rights & duties)	• Elements of claim or defense • Burdens of proof • Statutes of limitations

When a federal court's subject-matter jurisdiction is based on **diversity jurisdiction** (as seen here), the court must apply **federal law** to **procedural issues** and **state law** to **substantive issues**. Certain issues are clearly substantive, including the elements of a claim or defense, the statute of limitations, and the applicable burden of proof. As a result, state law—not federal statutory or common law—governs the burden of proof in the man's conversion action against the woman **(Choices A & B)**.

However, the federal court must still determine *which* state's law governs by applying the **choice-of-law rules** of the **state** where the **court sits**. Here, the federal court sits in State B, so it must apply State B's choice-of-law rules. Those rules provide that a court must apply the law of the state where the property was taken. Since the historic artifacts were allegedly stolen in State A, State A's law governs the burden of proof in this action **(Choice D)**.

Educational objective:

In a federal diversity action, the court must apply federal law to procedural issues and state law to substantive issues. To determine which state's substantive law applies, a federal court must apply the choice-of-law rules of the state where it sits.

References

- Bank of Am. Nat'l Tr. & Sav. Ass'n v. Parnell, 352 U.S. 29, 34 (1956) (holding that a federal court sitting in diversity must apply state law to the substantive issue of burden of proof).
- Klaxon Co. v. Stentor Elec. Mfg. Co., 313 U.S. 487, 496–97 (1941) (explaining that a federal court sitting in diversity must apply the choice-of-law rules of the state in which it sits).

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While a consumer was using a product at home in State A, the product malfunctioned. The consumer sued the manufacturer of the product for $100,000 in damages in a federal district court in State A on a products liability claim. The manufacturer wants to transfer venue to a federal district court in State B, the state in which it is incorporated and has its principal place of business. The manufacturer believes that State B's products liability laws afford greater protections to defendants.

State A's choice-of-law rules require the application of State A's products liability laws. State B's choice-of-law rules require the application of State B's products liability laws.

Is the manufacturer likely to succeed in having State B's products liability laws apply upon transfer?

A. No, because State A's products liability laws will apply upon transfer.

B. No, because State B is an improper venue.

C. Yes, because State A is an improper venue.

D. Yes, because State B's choice-of-law rules require the application of State B's products liability laws.

Explanation:

A federal court with proper venue can **transfer a case** to another federal judicial district where venue is proper for the convenience of the parties and witnesses and in the interest of justice. Proper venue exists where:

- any defendant resides, so long as all defendants reside in the same state
- a substantial portion of the events occurred or the property at issue is located *or*
- any defendant is subject to the court's personal jurisdiction—but only if neither of the above provisions applies.

Here, venue is proper in State A because the product malfunction and injury (substantial events) occurred there **(Choice C)**. Venue is also proper in State B since the manufacturer is incorporated and has its principal place of business (residence) there **(Choice B)**. As a result, the case may be transferred from the federal district court in State A to the federal district court in State B—so long as it is convenient for the parties and witnesses and in the interest of justice.

Upon transfer, the **receiving court must apply** the appropriate choice-of-law rules to determine which state's substantive laws govern the action. The **original court's choice-of-law rules** apply when (1) **proper venue** existed in the **original court** *and* (2) subject-matter jurisdiction arises under **diversity jurisdiction**. Diversity jurisdiction exists when the opposing parties are citizens of different states and the amount in controversy exceeds $75,000.

Here, the consumer's products liability action arises under diversity jurisdiction because she is a citizen of State A while the manufacturer is a citizen of State B, and the amount in controversy is $100,000. And since venue was proper in the State A federal district court, State A's choice-of-law rules apply. Under these rules, State A's products liability laws govern the action, so the manufacturer is unlikely to succeed in having State B's products liability laws apply upon transfer **(Choice D)**.

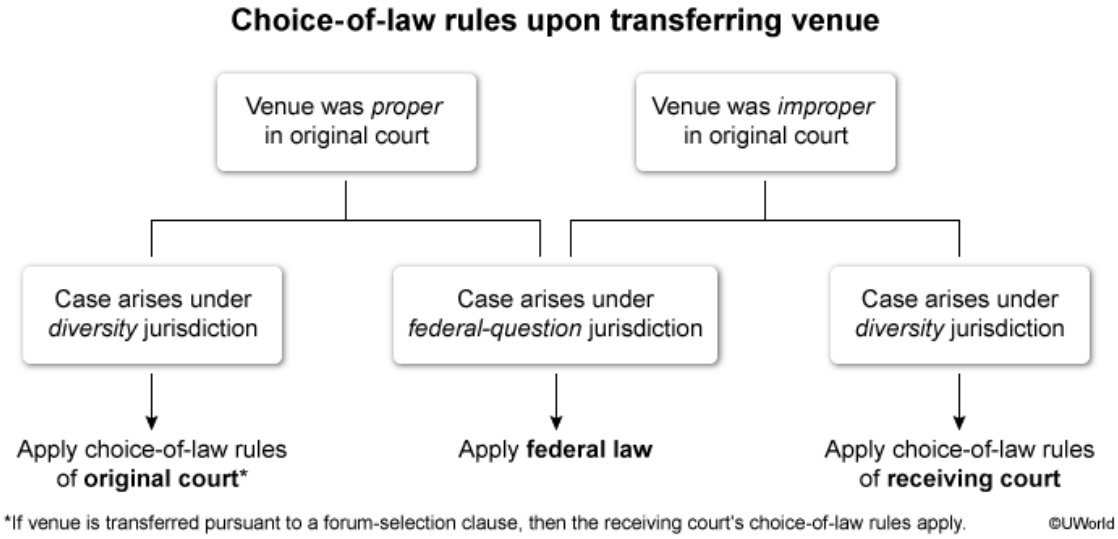
Educational objective:

When venue is transferred between federal districts, the original court's choice-of-law rules apply when (1) proper venue existed in the original court and (2) subject-matter jurisdiction arises under diversity jurisdiction.

References

- Ferens v. John Deere Co., 494 U.S. 516, 531 (1990) (holding that the original court's choice-of-law rules apply upon transfer when venue was proper in the original court and the action arises under diversity jurisdiction).

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Ten months after surgery in a hospital, a patient who had suffered complications from the surgery sued the surgeon and the hospital in federal court for medical malpractice, seeking $750,000 in damages. Timely personal service was made on the surgeon and the hospital. Three months later, during discovery, the patient learned that the hospital was owned by a national health-care company and moved to amend the complaint to substitute the company for the hospital.

The company moved to dismiss, arguing that the forum state had enacted a one-year statute of limitations for medical malpractice actions and that the company had been served after the limitations period had expired. The company also noted that the state's highest court has interpreted the limitations statute as forbidding any relation back of amendments adding parties in medical malpractice actions. The patient argued that the Federal Rules of Civil Procedure control, and that they allow relation back under the circumstances of this case.

Which law governs whether relation back will be permitted under these circumstances?

A. Federal law, because the Federal Rules of Civil Procedure govern over conflicting state rules that deny relation back.

B. Federal law, because the state law on relation back is common law and federal courts are bound only by state statutory law.

C. State law, because statutes of limitation are substantive and state law controls substantive matters.

D. State law, because the Federal Rules of Civil Procedure authorize the use of state law for relation back.

Explanation:

When a federal court's subject-matter jurisdiction is based on **diversity**, the court must apply **state law** to **substantive issues** and **federal law** to **procedural issues**. When it is **unclear** whether an issue is substantive or procedural, the court must determine if a valid **federal law** (ie, federal rule, statute, or constitutional provision) **directly addresses** the issue. If so, federal-rule analysis provides that the **federal law governs** over a conflicting state law if the federal law is arguably procedural and does not modify a substantive right.

FRCP 15 directly addresses whether an amended pleading relates back to the date on which the original pleading was filed. This valid rule* is arguably procedural and does not modify a substantive right because it regulates the manner and means of a lawsuit (ie, the filing of a pleading)—not the parties' legal rights (ie, what they may sue for). As a result, this *federal* rule governs whether the patient's amended complaint substituting the company as the defendant relates back to the date that the original complaint was filed.

*No FRCP has ever been found unconstitutional or invalid. This is likely because the Supreme Court reviews and sends proposed rules to Congress before they are enacted.

(Choice B) Federal courts sitting in diversity are bound by both state statutory law and common law.

(Choice C) Statutes of limitation are substantive issues governed by state law. However, whether an amended pleading relates back to avoid the expiration of a statute of limitations is a procedural issue governed by FRCP 15.

(Choice D) FRCP 15 provides that an amended pleading relates back if the state statute-of-limitations law allows relation back. However, FRCP 15 provides other avenues for relation back that govern if the state statute of limitations is silent about or prohibits relation back.

Educational objective:

Under federal-rule analysis, a federal court sitting in diversity must apply a valid federal law that is arguably procedural and does not modify a substantive right. FRCP 15 governs the procedural issue of whether an amended pleading relates back to the date that the original pleading was filed.

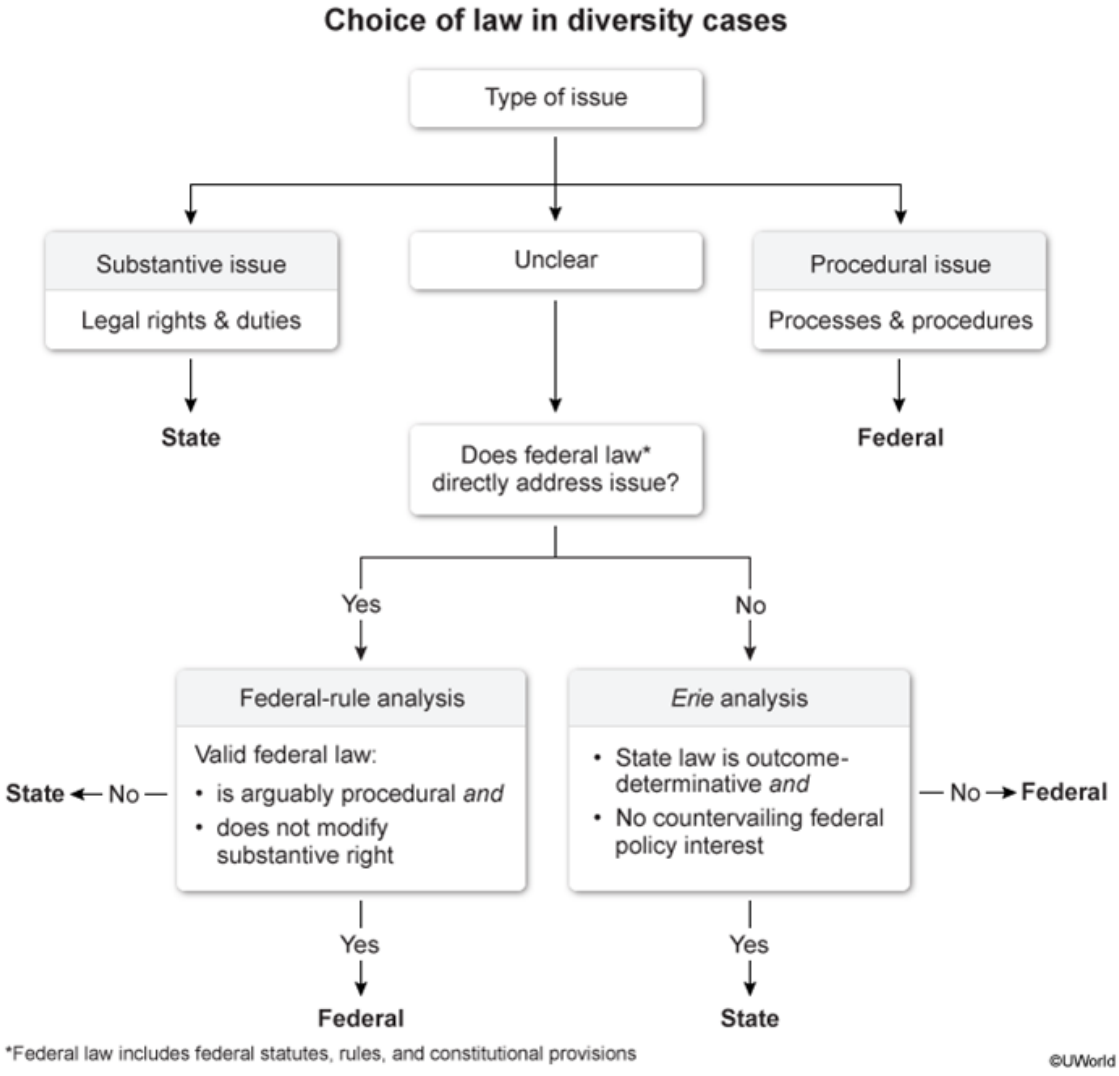
FRCP = Federal Rule of Civil Procedure.

References

- Hanna v. Plumer, 380 U.S. 460, 471 (1965) (establishing the federal-rule analysis).
- Burlington N. R.R. Co. v. Woods, 480 U.S. 1, 4–5 (1987) (discussing the federal-rule analysis).
- Fed. R. Civ. P. 15 (providing the "relation back" rule for federal court).

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A man brought a diversity action against a pharmaceutical company in a federal district court in State A. In his complaint, the man alleged that the company violated State A's false advertising law. The company moved to dismiss the man's action for failure to state a claim on the ground that the false advertising law does not apply to advertising by pharmaceutical companies.

Several lower state courts in State A have recognized the company's defense. The highest state court in State A has never ruled or noted in dicta whether this defense is valid. Based on the lower state courts' decisions, the federal district court ruled that the company's defense applies and granted its motion to dismiss. The man appealed.

State A law permits a federal district court to certify an unsettled question of state substantive law to the state's highest court for clarification.

Is the federal appellate court likely to overturn the dismissal?

A. No, because the federal district court properly relied on the rulings issued by the state's lower courts.

B. No, because the federal district court's decision was not clearly erroneous.

C. Yes, because the federal district court abused its discretion when it dismissed the action.

D. Yes, because the federal district court failed to certify the issue to the highest state court in State A.

Explanation:

Federal courts sitting in diversity must apply state law to substantive issues, including the validity of a defense (as seen here). A federal court interpreting state substantive law must follow the rulings issued by the **state's highest court**. If the state's highest court has ***never* definitively ruled** on the issue, the **federal court must predict** how the state's highest court would rule by looking to other sources of law. **Priority** is given in the following order:

1. dicta in related decisions by the state's highest court
2. rulings issued by the **state's lower courts** (ie, intermediate appellate courts and trial courts)
3. other **persuasive authority** (eg, rulings issued in other jurisdictions, restatements, public policy)

Here, State A's highest court has never ruled or noted in dicta whether the company's defense is valid, so the federal district court may look to rulings issued by the state's lower courts. Since several lower state courts in State A have recognized the company's defense, the federal district court properly relied on these rulings in dismissing the case. Therefore, the federal appellate court is unlikely to overturn the dismissal.

(Choices B & C) A federal district court's interpretation of a state's substantive law involves a pure legal issue that is subject to the *de novo* standard of review. A district court's findings of fact in a bench trial are subject to clearly erroneous review, and its discretionary rulings (eg, admissibility of evidence) are subject to abuse of discretion review.

(Choice D) A federal district court may, but is *not required* to, certify a question of unsettled state law to the state's highest court for clarification if certification is permitted by the state.

Educational objective:

A federal court sitting in diversity must interpret state substantive law pursuant to decisions issued by the state's highest court. When no such decisions exist, the federal court should prioritize other sources of law in this order: (1) dicta by the state's highest court, (2) rulings by the state's lower courts, (3) other persuasive authority.

References

- Stoner v. N.Y. Life Ins. Co., 311 U.S. 464, 467 (1940) (holding that lower state court decisions control in a federal diversity action if the state's highest court has not ruled and no evidence exists that it would rule differently).
- 32A Am. Jur. 2d Federal Courts §§ 351–52 (2020) (explaining that a federal court must determine how a state's highest court would rule on a substantive issue when the issue has not been ruled on by that court).

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A student at a private university sued the university in federal court for negligence after he fell from scaffolding in a university-owned theater building. At trial, after briefing from both parties, the court permitted the jury to hear testimony that there had been several previous accidents in the same building. The jury found for the student, and the university appealed. One of the university's arguments on appeal is that the testimony about the previous accidents should have been excluded as irrelevant and highly prejudicial.

Which standard of review applies to this argument?

A. Abuse of discretion.

B. Clearly erroneous.

C. De novo.

D. Harmless error.

Explanation:

Appellate standards of review

Standard	Level of review	Applicability
De novo	• No deference to trial judge's legal determination • Reverse if reasonably believe trial judge misinterpreted law	Pure legal issues, eg: • conclusions of law • content of jury instructions
Clear error	• Highly deferential to trial judge's factual findings • Reverse if no reasonable judge would have made this finding	Factual issues in *bench* trials, eg: • credibility of witnesses • factual determinations
Substantial evidence	• Highly deferential to jury's factual findings • Reverse if no reasonable jury would have made this finding	Factual issues in *jury* trials, eg: • credibility of witnesses • jury's verdict
Abuse of discretion	• Highly deferential to trial judge's discretionary decisions • Reverse only if decision was unreasonable/arbitrary	Discretionary rulings by judge, eg: • grant/denial of new trial • admissibility of evidence

A party can challenge a final judgment on **appeal** by alleging that the trial court erred. The **standard of review** used by the appellate court depends on the error alleged. A trial court's **discretionary rulings** are reviewed for **abuse of discretion**. Under this highly deferential standard, the trial court's ruling will only be reversed if it was **clearly arbitrary or unreasonable**. That is because the trial court is best suited to understand the circumstances surrounding the discretionary ruling.

Trial courts regularly make discretionary rulings on the admissibility of evidence—as the trial court did here by allowing the jury to hear testimony regarding the previous accidents. One of the university's arguments is that this testimony should have been

excluded as irrelevant and highly prejudicial. Since this argument challenges the trial court's discretionary ruling, abuse-of-discretion review applies.

(Choice B) The clearly-erroneous standard of review is used to review a trial court's factual findings in a bench trial—not discretionary rulings in a jury trial (as seen here). This standard gives great deference to the trial court, so a factual finding will only be reversed if no reasonable judge would have made such a finding.

(Choice C) An appellate court reviews pure legal issues under a de novo standard of review, which allows the appellate court to decide the issue anew without deferring to the lower court's legal interpretation. Evidentiary rulings are not pure issues of law because the trial court must apply the applicable legal rule to the facts.

(Choice D) Harmless error is a conclusion reached by an appellate court when it determines that an erroneous evidentiary ruling did not affect a party's substantial rights. It is not the standard of review that the appellate court applies to determine whether the evidence was erroneously admitted in the first instance.

Educational objective:

The abuse-of-discretion standard of appellate review applies to a trial court's discretionary rulings—eg, whether to admit evidence. Under this highly deferential standard, the appellate court will only reverse a clearly arbitrary or unreasonable ruling.

References

- Gen. Elec. Co. v. Joiner, 522 U.S. 136, 141 (1997) (stating that "abuse of discretion is the proper standard of review of a district court's evidentiary rulings").

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A business owner sued a federal agency in federal district court, claiming that the agency's recent regulation requiring businesses to report the race and gender of all employees was unconstitutional. The business owner sought a permanent injunction to prevent the agency from enforcing the regulation. At the end of a bench trial, the district court entered a final judgment in favor of the business owner, granting a permanent injunction. Forty-five days later, the federal agency filed a notice of appeal with the clerk of the district court.

How is the federal appellate court likely to proceed?

A. The appellate court will hear the merits of the appeal, because a notice of appeal may be filed within 60 days of the entry of final judgment when a federal agency is a party to the suit.

B. The appellate court will hear the merits of the appeal, because the district court's grant of an injunction is appealable under the interlocutory-appeals statute.

C. The appellate court will refuse to hear the merits of the appeal and will dismiss it, because a notice of appeal of an injunction must be filed within 10 days of the entry of final judgment.

D. The appellate court will refuse to hear the merits of the appeal and will dismiss it, because the federal agency did not file the notice of appeal with the clerk of the appellate court.

Explanation:

A party may challenge an adverse federal district court ruling, finding, or conclusion by appealing to the federal appellate court encompassing that district. The party must generally file **a notice of appeal** with the district court clerk **within 30 days** after the entry of final judgment. However, the time to file a notice of appeal is **extended to 60 days if** one of the **parties is** (1) the **United States**, (2) a **federal agency**, or (3) a **federal officer or employee** sued for conduct that relates to government duties.

Here, a federal agency is a party to the suit, so the time to file a notice of appeal is extended to 60 days. This means that the federal agency timely filed its notice of appeal with the clerk of the district court 45 days after final judgment was entered. Therefore, the appellate court will hear the merits of the appeal.

(Choices B & C) An appeal is typically allowed only after a final judgment. However, the interlocutory-appeals statute provides certain exceptions to this final-judgment rule—one of which permits the immediate appeal of a preliminary injunction if the application is made within 10 days of the trial court's ruling. But this statute is inapplicable here because this *permanent* injunction constitutes a final judgment—not a temporary ruling.

(Choice D) A notice of appeal must be filed with the clerk of the district court—not the appellate court.

Educational objective:

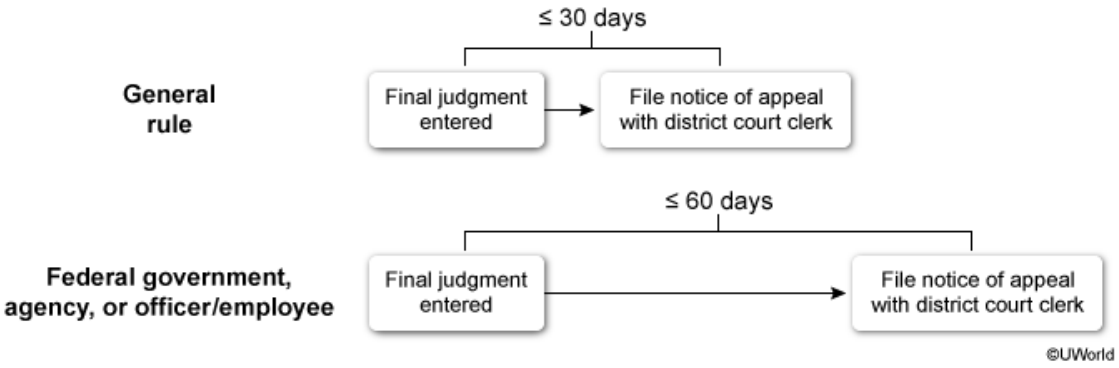
The time to file a notice of appeal with the district court clerk is extended to 60 days after the entry of final judgment if one of the parties is the United States, a federal agency, or a federal officer or employee sued for conduct related to government duties.

References

- 28 U.S.C. § 2107 (timing of appeal).
- Fed. R. App. P. 4 (notice of appeal).

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Deadline to file a notice of appeal



A construction contractor brought a breach-of-contract claim in federal court against a homeowner who had hired the contractor to build an apartment over an existing garage. The action turned on the scope of the work covered by the contract. The contractor and the homeowner were the only witnesses at the bench trial, and they strongly disagreed about the scope of the work. At the end of the trial, the judge stated findings of fact on the record but never issued a written opinion. Neither party objected to the findings. The judge found in favor of the homeowner, and the contractor appealed.

Is the appellate court likely to overturn the findings?

A. No, because the appellate court must give due regard to the trial judge's opportunity to determine witness credibility.

B. No, because the contractor failed to object to the findings when the judge stated them in open court.

C. Yes, because a judge must set forth findings of fact in a written opinion or memorandum of decision.

D. Yes, because there were disputed issues of fact at trial.

Explanation:

In a **bench trial**, the **judge** acts as both the **finder of fact** and **interpreter of the law**. As a result, Federal Rule of Civil Procedure (FRCP) 52 requires that the judge provide those factual findings and legal conclusions on the record (orally or in writing) after the close of evidence. The appellate court can then review the trial judge's decision under the following standards:

- **de novo** (no deference) – where a judge's **conclusions of law** (eg, elements of a claim) will be **reversed if** the appellate court reasonably believes that the judge **misinterpreted** the applicable law
- **clear error** (high deference) – where a judge's **findings of fact** (eg, witness credibility) will be **reversed only if** they were **clearly erroneous** such that *no* reasonable judge would have made them

Under clear-error review, the appellate court must give due regard to the trial judge's opportunity to determine witness credibility because the judge is the one who heard the witnesses' testimony. As a result, the appellate court will likely affirm the trial judge's findings of fact in this suit.

(Choice B) FRCP 52 allows a party to challenge a trial judge's factual findings on appeal even if no objection was made on the record at the bench trial (as seen here). This is an exception to the general rule requiring a party to formally object at trial to preserve an issue for appeal.

(Choice C) In a bench trial, a judge may set forth findings of fact in a written opinion or memorandum of decision but is not *required* to do so. The findings need only be stated on the record—orally or in writing.

(Choice D) A judge is responsible for resolving disputed issues of fact in a bench trial. Therefore, the presence of such disputes is not a basis to overturn the judge's findings.

Educational objective:

In a bench trial, the judge serves as the finder of fact *and* the interpreter of law. An appellate court reviews the judge's findings of fact for clear error (high deference) and conclusions of law de novo (no deference).

References

- Fed. R. Civ. P. 52(a) (findings of fact and conclusions of law).
- United States v. U.S. Gypsum Co., 333 U.S. 364, 394–95 (1948) (explaining clear-error appellate review).

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Jury trial **v.** **Bench trial**



Jury acts as finder of fact.
Judge acts as interpreter of law.



Judge acts as finder of fact
and interpreter of law.

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A drunken man confronted a heavyweight boxer in a bar, and a fight ensued. During the melee, the boxer struck the man's head and the man instantly died. The boxer was convicted of manslaughter and sentenced to 15 years in prison.

While the boxer was serving his sentence, the man's spouse brought a wrongful death suit against the boxer in federal court. The spouse sought $10 million in damages for loss of future income and loss of companionship. The boxer was served with process while in prison, but he did not respond. Thirty days later, the spouse asked the clerk to enter the boxer's default, and the clerk did so. The spouse then applied to the clerk to enter a default judgment.

May the clerk enter a default judgment?

A. No, because the boxer was not given notice of the spouse's application for the entry of default judgment.

B. No, because the spouse did not seek a sum certain or attach an affidavit showing the amount due.

C. Yes, because the boxer failed to appear.

D. Yes, because the clerk may set damages at the amount demanded in the complaint.

Explanation:

Federal Rule of Civil Procedure 55 provides a two-step process for a plaintiff to secure a default judgment. First, the clerk must enter the defendant's default into the record once the plaintiff shows that the defendant failed to timely serve an answer—as the boxer failed to do within 21 days after being served with process. Second, the court or the clerk may enter a **default judgment**. However, the **clerk is *prohibited*** from doing so if any of the following apply:

- The **defendant has appeared**—ie, filed a motion or otherwise acted before the court.
- The defendant is **legally incompetent** or a **minor**.
- The plaintiff's claim is ***not* for a sum certain** (ie, a specified or set amount) or sum that can be made certain by calculation.
- The plaintiff **failed to include an affidavit** establishing the amount due.

Here, the boxer did not appear, and there is no indication that he is legally incompetent or a minor. However, the spouse's request for $10 million is *not* a sum certain and cannot be made certain by calculation. That is because the man's future earning potential and the value of his companionship are not specified or set amounts. Additionally, the spouse failed to attach an affidavit showing the amount due. Therefore, the clerk may not enter a default judgment **(Choice C)**.*

*The court may still enter a default judgment after the judge conducts a hearing to determine the proper amount of damages to award.

(Choice A) Had the boxer appeared, he would have been entitled to written notice at least seven days before the court conducted a hearing on the entry of default judgment.

(Choice D) The clerk may set damages at the amount demanded in the complaint when the claim is for a sum certain and an attached affidavit establishes the amount due—neither of which is seen here.

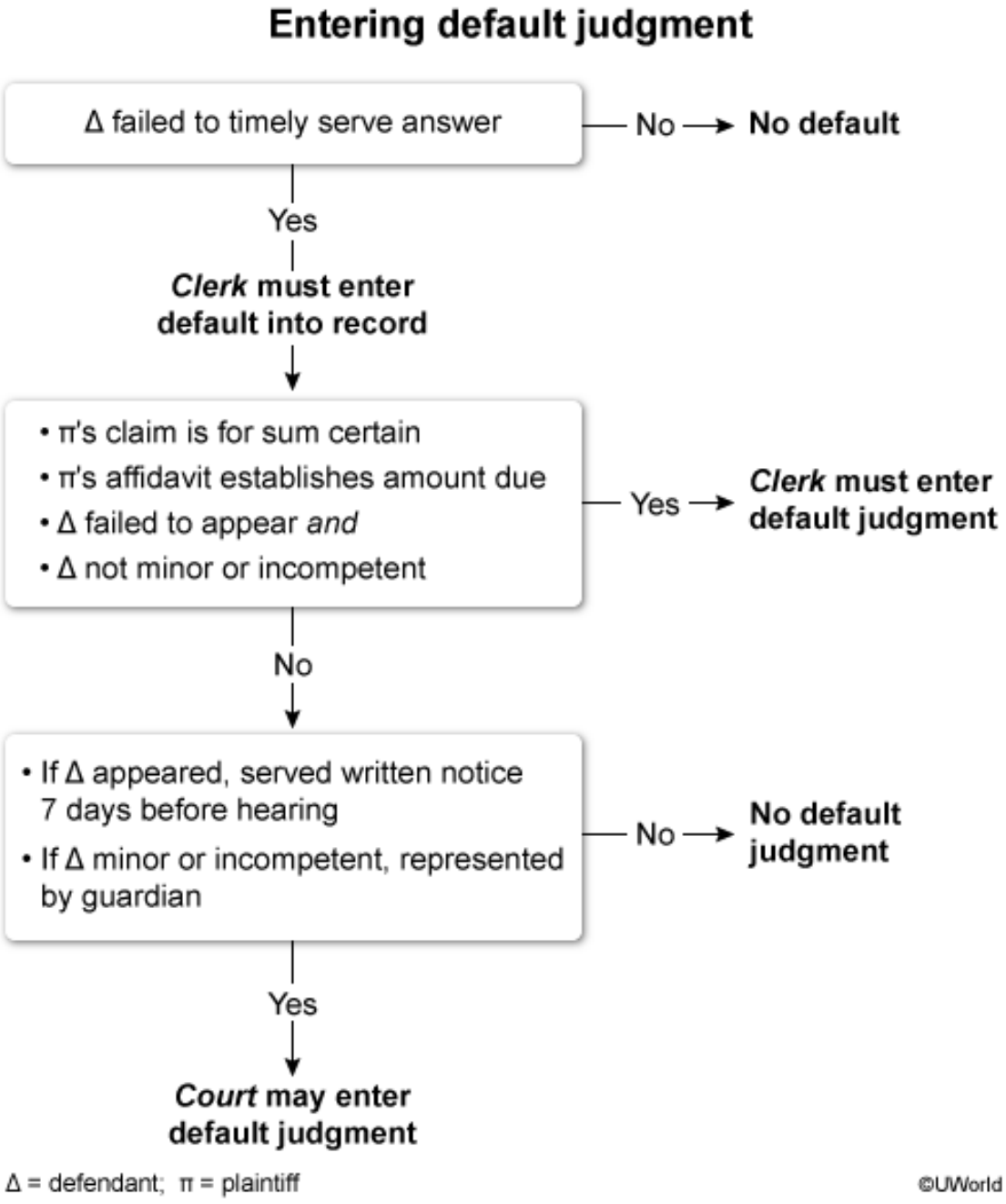
Educational objective:

A default judgment may be entered by the clerk of the court unless: (1) the defendant has appeared, (2) the defendant is legally incompetent or a minor, (3) the plaintiff's claim is not for a sum certain or a sum that can be made certain by calculation, or (4) the plaintiff failed to include an affidavit establishing the amount due.

References

- Fed. R. Civ. P. 55 (default judgments).
- 46 Am. Jur. 2d Judgments § 260 (2019) (explaining sum certain).

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A plaintiff sued a defendant in a federal district court for allegedly violating a recently enacted federal statute. The defendant moved to dismiss the plaintiff's complaint for failure to state a claim. The district court denied the defendant's motion, basing the ruling on a provision of the statute that has been interpreted differently by several district courts. In the written order denying the motion, the district court stated that "there is a substantial difference of opinion on the controlling question of law and an immediate appeal may materially advance the ultimate termination of this litigation."

Forty days after the district court entered this order, the defendant applied to the federal appellate court to hear the appeal of the order.

May the appellate court consider this appeal?

A. No, because only a final judgment can be appealed.

B. No, because the application for appeal was untimely.

C. Yes, because an appellate court must consider an appeal if it is certified by the lower court.

D. Yes, because an immediate appeal is required to avoid protracted and expensive litigation.

Explanation:

Appellate courts may only hear appeals from a **final judgment**—ie, a decision that fully resolves a dispute on the merits and leaves nothing for the court to do but enforce the judgment—absent limited **exceptions**. One exception to this final-judgment rule arises when the **district court certifies** an interlocutory appeal by stating in a **written order** that:

- there is a **substantial difference of opinion** on the **controlling question of law** *and*
- an appeal may **materially advance** the **ultimate termination** of the litigation.

The party seeking an appeal must then **apply** to the appellate court **within *10* days** after the district court enters the order, and the appellate court will decide whether to hear the appeal **(Choices A & C)**.* Since the defendant here did not file an application for appeal until 40 days after the district court entered its order certifying the interlocutory appeal, the application was untimely. Therefore, the appellate court cannot hear this appeal.

*An application for such an appeal will stay (ie, halt) the proceedings in the district court if the district or appellate court so orders.

(Choice D) The fact that an immediate appeal may avoid protracted and expensive litigation is not a basis for an interlocutory appeal. In fact, allowing interlocutory appeals may increase the cost of litigation if the litigants pursue repeated appeals instead of filing one appeal after final judgment is entered.

Educational objective:

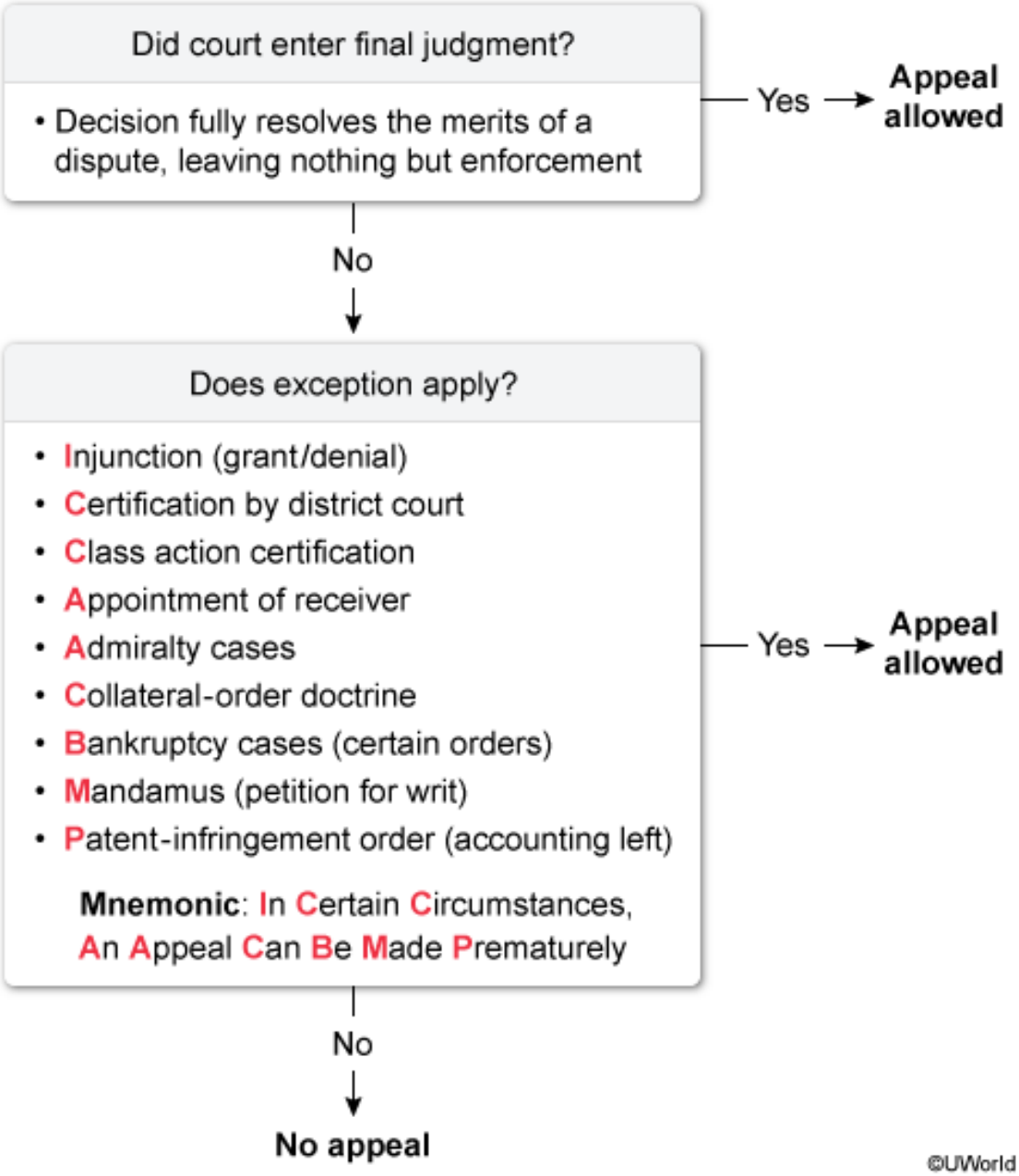
A district court may certify an order for appeal if it states in writing that (1) there is a substantial difference of opinion on the controlling question of law and (2) an appeal may materially advance the ultimate termination of the litigation. The application to the appellate court must be made within 10 days after the entry of the order.

References

- 28 U.S.C. § 1291 (final-judgment rule).
- 28 U.S.C. § 1292(b) (district court certification).
- Liberty Mut. Ins. Co. v. Wetzel, 424 U.S. 737, 745 (1976) (explaining that an application for appeal based on a district court's certification must be made within 10 days after the entry of the order).

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Final-judgment rule



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An investor sued a company's chief executive officer (CEO) for federal securities fraud in a federal court. The investor properly served process on the CEO, but the CEO did not file an answer or any other response.

Thirty days after service of process, the investor asked the clerk of the court to enter the CEO's default, which the clerk promptly did. The investor then submitted to the clerk a request for default judgment that included an affidavit stating that the CEO defrauded her of $100,000. The clerk entered a default judgment for this amount. Twenty days later, the CEO learned of the default judgment and immediately filed a motion to set it aside because he was abroad when the default judgment was entered.

How will the court likely rule on the CEO's motion?

A. Deny the motion, because a court may not set aside an entry of a default judgment.
B. Deny the motion, because the clerk properly entered the default judgment.
C. Grant the motion, because only a judge may enter a default judgment.
D. Grant the motion, because the CEO was not notified of the request for default judgment.

Explanation:

A default refers to a defendant's failure to timely serve an answer to a lawsuit, which is generally due within 21 days after the defendant is served with process. When the plaintiff shows this failure to the court clerk, the clerk must enter the defendant's default into the record of the case (as seen here). The default can then be entered as a default judgment by the clerk *or* the court **(Choice C)**. The **clerk *must* enter** a **default judgment** when:

- the plaintiff's claim is for a **sum certain**—ie, a specified or set amount—or a sum that can be made certain by calculation
- the plaintiff's request for default judgment includes an affidavit establishing the amount due
- the defendant **failed to appear**—ie, did not file a motion or otherwise act before the court—*and*
- the defendant is not legally incompetent or a minor.

Here, the investor filed an affidavit that claimed the CEO defrauded her of $100,000—a sum certain. And since the CEO failed to appear and is not legally incompetent or a minor, the clerk properly entered a default judgment. Therefore, the court will likely deny the CEO's motion to set aside the default judgment.

(Choice A) A court may set aside the clerk's entry of *default* for good cause. And a court may set aside a default *judgment* for any reason justifying relief from a final judgment—none of which apply here.

(Choice D) If the defendant previously appeared before the court, the plaintiff must serve the defendant with written notice of the application for default judgment seven days before a hearing on the matter. But here, the CEO failed to appear, so no such notice was required.

Educational objective:

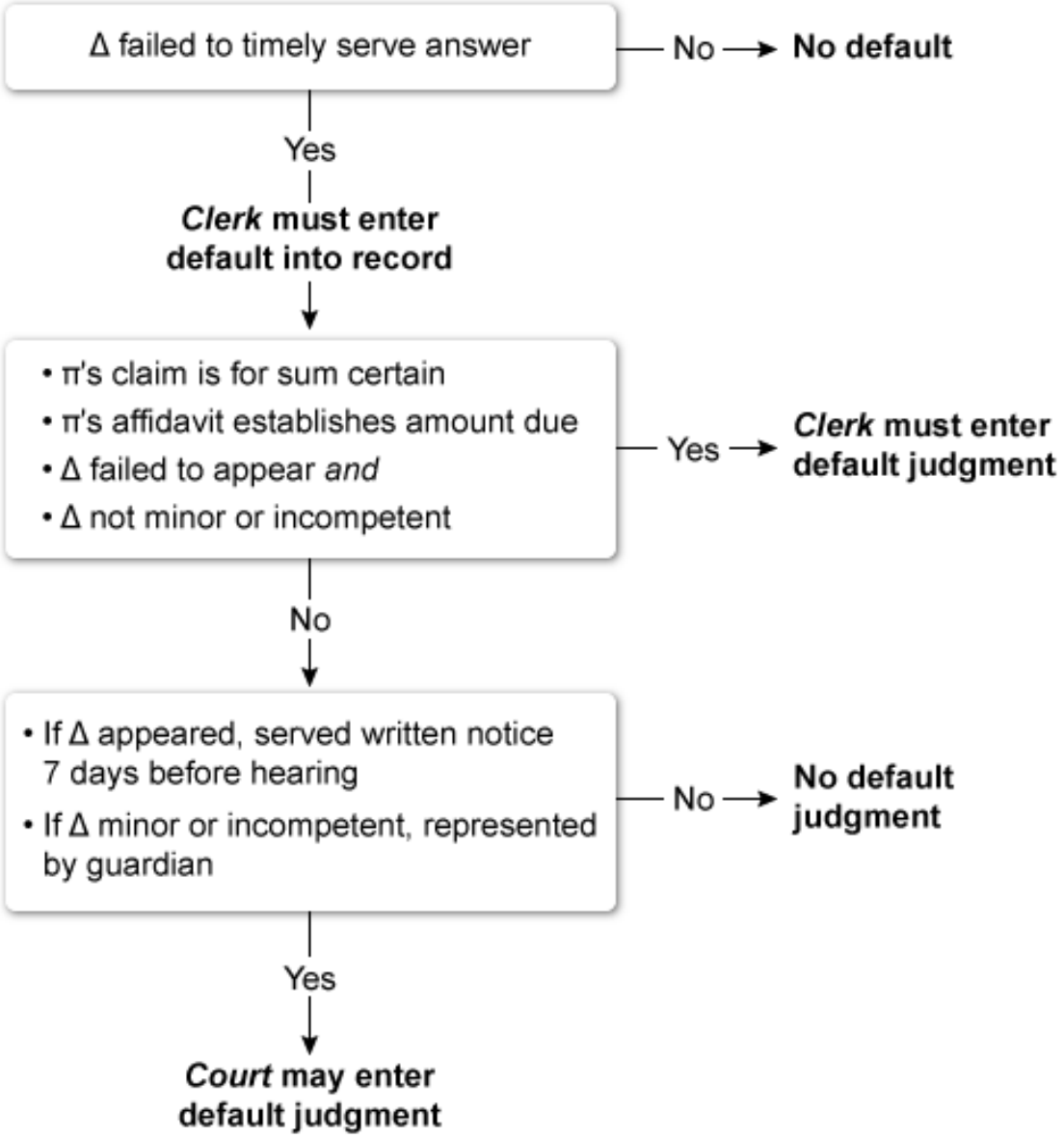
A court clerk must enter a default judgment when (1) the plaintiff's claim is for a sum certain, (2) the plaintiff's request for default judgment includes an affidavit establishing the amount due, (3) the defendant failed to appear, and (4) the defendant is not legally incompetent or a minor.

References

- Fed. R. Civ. P. 55 (default judgments).

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Entering default judgment



Δ = defendant; π = plaintiff

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A member of Congress fired a female employee because he believed that male employees are better workers. The female employee sued the member of Congress in federal court to recover monetary damages. She claimed that the termination of her employment constituted sex-based discrimination in violation of the Fifth Amendment. No federal statute authorizes an employment discrimination claim for damages against a member of Congress.

The member of Congress has moved to dismiss the female employee's suit for failure to state a claim upon which relief can be granted.

Is the court likely to grant the motion?

A. No, because the federal court may fill a gap in a federal statutory scheme.

B. No, because the female employee's claim presents an implied cause of action.

C. Yes, because the female employee's claim is not explicitly authorized by a federal statute.

D. Yes, because the member of Congress filed the motion before filing his answer.

Explanation:

Implied causes of action for damages

SCOTUS precedent	**Implied cause of action recognized***
Bivens v. Six Unknown Fed. Narcotics Agents	Fourth Amendment claim for unlawful search & seizure
Davis v. Passman	Fifth Amendment due process claim for sex-based employment discrimination
Carlson v. Green	Eighth Amendment cruel & unusual punishment claim for failure to provide medical treatment

SCOTUS = Supreme Court of the United States.

*SCOTUS has not recognized implied cause of action for damages in the last 40 years.

A federal court generally may award damages against a federal official only if expressly authorized by statute. But in the **absence of authorization**, federal common law may imply that **damages are recoverable** in rare instances involving unconstitutional conduct.

These implied causes of action (ie, *Bivens* actions) are disfavored because Congress can best determine the liability of federal officials. As a result, SCOTUS has recognized only **three *Bivens* actions**:

- A **Fourth Amendment** claim for an **unlawful search and seizure**
- A **Fifth Amendment** due process claim for **sex-based employment discrimination**
- An **Eighth Amendment** cruel and unusual punishment claim for **failure to provide medical treatment**

Here, no federal statute explicitly authorized the female employee's claim for damages against the member of Congress, who is a federal official. But since a Fifth Amendment sex-based employment discrimination claim is a recognized *Bivens* action, the female employee presented a claim upon which damages can be granted. Therefore, the federal court will likely deny the member's motion **(Choice C)**.

(Choice A) A federal court may use federal common law to fill a gap in a federal statutory scheme (eg, by interpreting statutory terms). But since no federal statute is on point here, there is no gap to fill.

(Choice D) The defense of failure to state a claim upon which relief can be granted may be raised at any time before the end of trial without being waived (as seen here). However, the

member's motion should be denied since the female employee asserted a *Bivens* action upon which damages can be granted.

Educational objective:

The following implied causes of action permit the recovery of damages against a federal official: (1) a Fourth Amendment claim for unlawful search and seizure, (2) a Fifth Amendment claim for sex-based employment discrimination, and (3) an Eighth Amendment claim for failure to provide medical treatment.

References

- Bivens v. Six Unknown Named Agents of the Bureau of Fed. Narcotics, 403 U.S. 388, 389 (1971) (establishing implied causes of action for certain constitutional violations by federal officials).
- Davis v. Passman, 442 U.S. 228, 248–49 (1979) (holding that an implied cause of action exists to recover damages against a member of Congress who violated the Fifth Amendment).

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A plaintiff residing in State A sues her former employer for $3 million, alleging employment discrimination in violation of federal law, breach of her employment contract, and infringement of her patent. The suit is filed in a federal court located in State B, which is the employer's state of incorporation and principal place of business.

Under State B's choice-of-law rules, State B law applies to all state substantive law claims.

What substantive law should the federal court apply to the plaintiff's various claims?

A. The court should apply federal law to all three claims.
B. The court should apply State B law to all three claims.
C. The court should apply State B law to the breach of contract claim and federal law to the employment discrimination and patent claims.
D. The court should apply State B law to the employment discrimination and patent claims and federal law to the breach of contract claim.

Explanation:

Choice of law in federal court

Type of jurisdiction	Applicability	Substantive issues	Procedural issues
Federal question	• Claim arises under U.S. Constitution, federal law, or treaty	Apply federal law	
Diversity	• Amount in controversy > $75,000 AND • Parties are citizens of different states	Apply state law*	Apply federal law

*Federal court must follow choice-of-law rules of state where it sits.

A party may join multiple claims against an opposing party in federal court (as seen here). This ensures judicial efficiency since a party does not need to file separate lawsuits for each claim. But the court must have **subject-matter jurisdiction** over each claim, which generally arises under either:

- federal-question jurisdiction – when the claim arises under the U.S. Constitution, a treaty, or a federal law (eg, federal statute, patent law) *or*
- diversity jurisdiction – when the claim arises under state law (eg, breach of contract), the amount in controversy exceeds $75,000, and the parties are citizens of different states.

When a claim arises under **federal question** jurisdiction, the court must apply ***federal* law** to **procedural and substantive** issues. Here, the court has federal question jurisdiction over the plaintiff's employment discrimination and patent infringement claims since they arise under federal law. Therefore, the State B federal court should apply federal substantive law to these claims **(Choices B & D)**.

But when a claim arises under **diversity** jurisdiction, the court must apply **federal procedural law** and ***state* substantive law**. To determine which state's substantive law applies, the court must follow the choice-of-law rules of the state where it sits. Here, the court has diversity jurisdiction over the breach of contract claim since it arises under state law, the amount in controversy is $3 million, and the parties are citizens of different states. Therefore, the court must follow State B's choice-of-law rules and apply State B substantive law to this claim **(Choices A & D)**.

Educational objective:

Federal courts must apply federal procedural and substantive law to claims arising under federal question jurisdiction. And they must apply federal procedural law—but state substantive law based on the choice-of-law rules of the state where they sit—to claims arising under diversity jurisdiction.

References

- Fed. R. Civ. P. 18 (joinder of claims).
- 28 U.S.C § 1652 (federal court must apply federal substantive law to claims arising under federal law but state substantive law to claims arising under state law).

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A bank sued a borrower in federal district court for violating the terms of a mortgage agreement between the two parties. The borrower filed an answer that denied the bank's claim and contained a counterclaim alleging that the bank had engaged in predatory lending in violation of a federal statute. Neither party demanded a jury trial.

At the close of evidence, the judge orally stated his findings of fact and conclusions of law on the record. He found that the overwhelming evidence established that the borrower failed to make her monthly mortgage payments on several occasions during the past year. Based on this fact, the judge concluded that the borrower violated the terms of the mortgage agreement. The judge also concluded that the evidence was insufficient for him to find that the bank engaged in predatory lending. The judge then entered a written final judgment in favor of the bank.

The borrower properly filed an appeal challenging the judge's finding that she had failed to make the mortgage payments.

How will the appellate court likely rule?

A. Affirm the judgment, because the judge is the final arbiter of facts in the absence of a jury.
B. Affirm the judgment, because there was no clearly erroneous finding of fact.
C. Reverse the judgment, because a jury must determine issues of fact.
D. Reverse the judgment, because the findings of fact and conclusions of law were not in writing.

Explanation:

Appellate standards of review

Standard	Level of review	Applicability
De novo	• No deference to trial judge's legal determination • Reverse if reasonably believe trial judge misinterpreted law	Pure legal issues, eg: • conclusions of law • content of jury instructions
Clear error	• Highly deferential to trial judge's factual findings • Reverse if no reasonable judge would have made this finding	Factual issues in *bench* trials, eg: • credibility of witnesses • factual determinations
Substantial evidence	• Highly deferential to jury's factual findings • Reverse if no reasonable jury would have made this finding	Factual issues in *jury* trials, eg: • credibility of witnesses • jury's verdict
Abuse of discretion	• Highly deferential to trial judge's discretionary decisions • Reverse only if decision was unreasonable/arbitrary	Discretionary rulings by judge, eg: • grant/denial of new trial • admissibility of evidence

The Seventh Amendment right to a jury trial is waived when, as here, no written jury demand is served on the other parties within 14 days after service of the last pleading related to the jury issue. The parties must then proceed with a **bench trial**, during which the **judge** serves as the **finder of fact** and **interpreter of the law (Choice C)**. And after the close of evidence, the judge must provide—orally or in writing—findings of fact and conclusions of law on the record **(Choice D)**.

However, the trial judge is *not* the final arbiter of the law or facts **(Choice A)**. That is because an appellate court can review the trial judge's decision:

- for **clear error** (high deference) – where a judge's **findings of fact** will be reversed only if they were clearly erroneous such that no reasonable judge would have made them *or*
- **de novo** (no deference) – where a judge's **conclusions of law** will be reversed if the appellate court reasonably believes that the judge misinterpreted the applicable law.

And since there was overwhelming evidence that the borrower failed to make her monthly mortgage payments on several occasions, this finding of fact by the district court judge was not clearly erroneous. Therefore, the appellate court will likely affirm the district court's judgment.

Educational objective:

In a bench trial, the judge serves as the finder of fact and interpreter of law. On appeal, the judge's findings of fact are reviewed for clear error (high deference), while its conclusions of law are reviewed de novo (no deference).

References

- Fed. R. Civ. P. 52(a) (findings of fact and conclusions of law).

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A woman filed a class action on behalf of thousands of individuals against an insurance company in a federal court in State A. The individuals sought to recover $20 million in statutory penalties for the company's failure to pay claims within the time specified by State A law. The company moved to dismiss the case based on a State A statute that prohibits class actions seeking statutory penalties against insurance companies.

Will the federal court likely grant the company's motion to dismiss?

A. No, because a state cannot prohibit class actions.

B. No, because maintenance of a class action in federal court is a procedural issue governed by federal law.

C. Yes, because the federal court must apply State A substantive law, and State A prohibits this type of class action.

D. Yes, because there is no federal common law pertaining to class action requirements.

Explanation:

A federal court sitting in diversity must apply **state law** to **substantive** issues and **federal law** to **procedural** issues. When it is **unclear** whether an issue is substantive or procedural, the court must determine if a valid **federal law** (ie, federal statute, rule, or constitutional provision) ***directly*** **addresses** the issue. If so, then pursuant to the federal-rule analysis, **federal law applies** if it is arguably procedural and does not modify a substantive right.

FRCP 23 directly addresses whether a class action can be maintained in federal court. This valid rule* is arguably procedural and does not modify a substantive right **(Choice C)**. That is because it regulates the manner and means of a lawsuit (ie, who may join the suit)—not the parties' legal rights (ie, what they may sue for). As a result, the court will apply this *federal* rule and likely deny the company's motion to dismiss based on the State A statute prohibiting this type of class action.

*No FRCP has ever been found unconstitutional or invalid. This is likely because the Supreme Court reviews and sends proposed rules to Congress before they are enacted.

(Choice A) States can prohibit class actions in state courts. But federal courts must follow FRCP 23 to determine if a class action can be maintained in federal court.

(Choice D) Although there is no federal common law pertaining to class action requirements, FRCP 23 provides such requirements.

Educational objective:

Under federal-rule analysis, a federal court sitting in diversity must apply a valid federal law that directly addresses an issue so long as the law is arguably procedural and does not modify a substantive right.

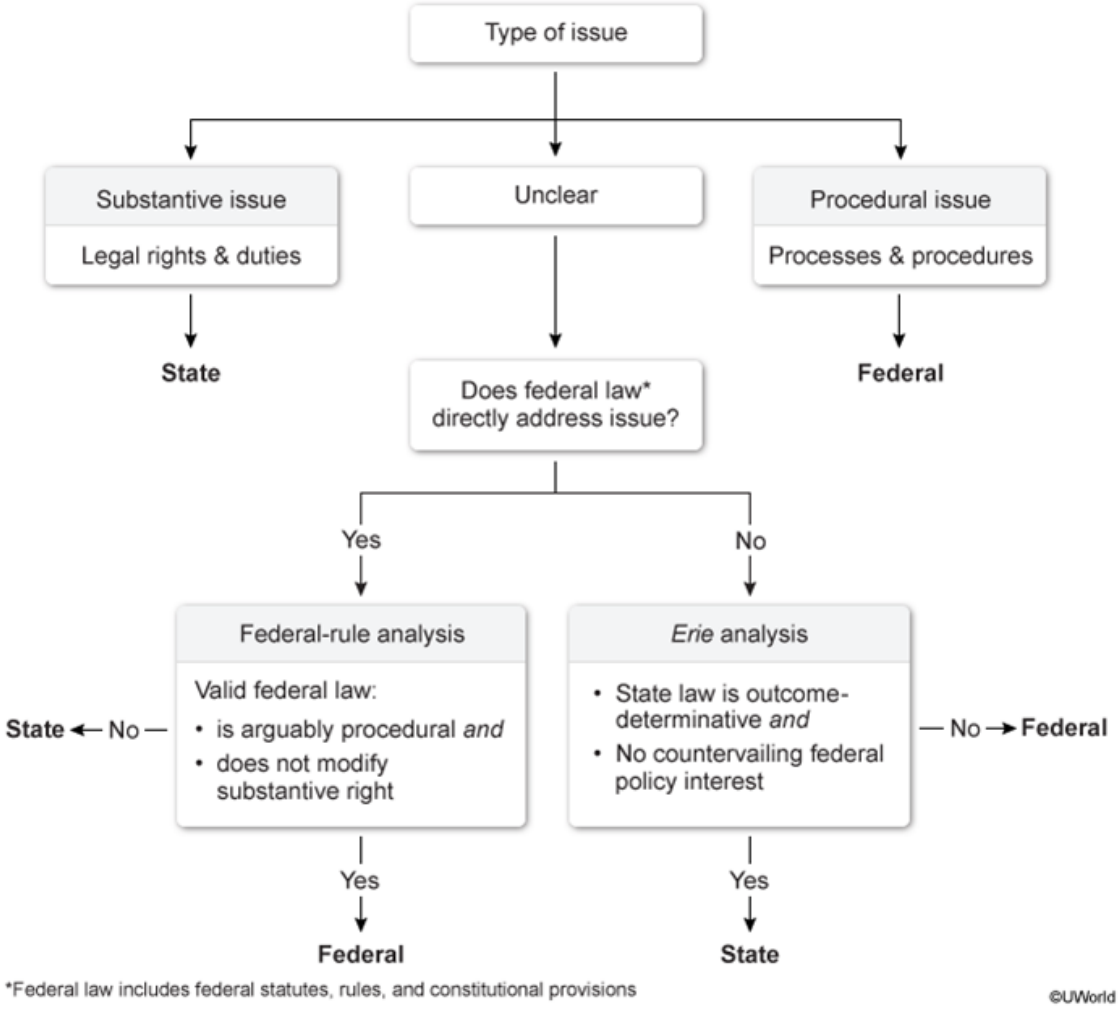
FRCP = Federal Rule of Civil Procedure.

References

- Shady Grove Orthopedics Assocs., P.A. v. Allstate Ins. Co., 559 U.S. 393, 407–08 (2010) (explaining that class actions in federal court are governed by FRCP 23 and not state law).
- Fed. R. Civ. P. 23 (class actions).

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Choice of law in diversity cases



*Federal law includes federal statutes, rules, and constitutional provisions

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Hundreds of consumers filed a class action against an automotive company in a federal district court for allegedly violating a federal statute prohibiting price-fixing. Over the company's objection, the district court entered an order certifying the consumers as a class. Twelve days later, the company filed with the appellate court a petition for permission to appeal the district court's certification order.

Does the appellate court have jurisdiction to hear the appeal?

A. No, because the appeal was not timely filed.

B. No, because the order is not a final judgment.

C. Yes, because certifying a class is a collateral order.

D. Yes, because the order certified the consumers as a class.

Explanation:

Final-judgment rule

Rule Appeal only allowed after final judgment

- If multiple claims/parties, final judgment as to fewer than all claims/parties appropriate if court expressly determines no justifiable reason for delay

Exceptions Interlocutory appeals* concerning:

- **I**njunction (grant/denial)
- **C**ertification by district court
- **C**lass action certification
- **A**ppointment of receiver
- **A**dmiralty case
- **C**ollateral-order doctrine
- **B**ankruptcy cases (certain orders)
- **M**andamus (petition for writ)
- **P**atent infringement order (only accounting left)

Mnemonic: **I**n **C**ertain **C**ircumstances, **A**n **A**ppeal **C**an **B**e **M**ade **P**rematurely

*Appeal from trial court ruling that occurs before entry of final judgment.

*Appeal from trial court ruling that occurs before entry of final judgment

Appellate courts only have **jurisdiction** to hear appeals from a **final judgment** unless an exception applies. Federal Rule of Civil Procedure (FRCP) 23(f) provides such an exception for orders granting or denying class action certification. A petition to appeal this order must be filed with the appellate court clerk **within *14* days** after the order is entered.* Since the company filed its petition *12* days after the district court entered its order certifying the consumers as a class, the appellate court has jurisdiction to hear the appeal **(Choices A & B)**.

*The time to file a petition for appeal of the order granting or denying certification is extended to 45 days if one of the parties is the United States, a federal agency, or a federal officer or employee sued in an official capacity.

(Choice C) A collateral order conclusively resolves an important issue that is (1) separate from the merits of the claim and (2) effectively unreviewable on appeal from a final judgment. Certifying a class is not a collateral order because an appellate court can review and remedy an improper certification after a final judgment has been entered. Instead, FRCP 23(f) provides the basis for the exception.

Educational objective:

An appellate court has jurisdiction to hear an appeal from an order granting or denying class action certification if the petition for such an appeal is filed with the clerk of the appellate court within 14 days after the order is entered.

References

- Fed. R. Civ. P. 23(f) (appealing class action certification).

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A bakery incorporated and headquartered in State A had a dispute with a mill incorporated and headquartered in State B over the quality of the flour the mill had delivered to the bakery. The bakery sued the mill in a federal court in State A for breach of contract, seeking $100,000 in damages.

The contract between the bakery and the mill contained a clause designating State B courts as the sole venue for litigating disputes arising under the contract. Under precedent of the highest court in State A, forum-selection clauses are unenforceable as against public policy; under U.S. Supreme Court precedent, such clauses are enforceable.

The mill has moved to transfer the case to a federal court in State B, citing the forum-selection clause in the parties' contract and asserting the facts that the flour was produced in State B and that the majority of likely witnesses are in State B.

Is the court likely to grant the mill's motion?

A. No, because State A law treats forum-selection clauses as unenforceable.

B. No, because the mill should have instead filed a motion to dismiss for improper venue.

C. Yes, because federal common law makes the forum-selection clause controlling.

D. Yes, because federal law governs transfers of venue, and it would be more convenient for the witnesses and parties to litigate the claim in State B.

Explanation:

Venue

Proper venue (28 U.S.C. § 1391)	Case may be brought in any federal district where: • any defendant resides, if defendants all reside in same state • substantial part of events giving rise to claim occurred or property at issue is located • any defendant is subject to court's personal jurisdiction (if neither of the above provisions applies)
Transfer from proper venue (28 U.S.C. § 1404)	When venue is proper, district court may transfer case to any other proper venue for convenience of parties/witnesses & in interest of justice
Transfer or dismissal from improper venue (28 U.S.C. § 1406)	When venue is improper, district court must either: • dismiss case • transfer case to proper venue (if interest of justice requires)

A federal court's subject-matter jurisdiction is based on diversity when the amount in controversy exceeds $75,000 and the parties are citizens of different states. In a **diversity action**, the court must apply:

- **state substantive law** – for issues regarding **legal rights and duties** (eg, to determine the elements of a claim or affirmative defense) *and*
- **federal procedural law** – for issues regarding **remedies and procedures** (eg, to determine venue, sufficiency of pleadings, or rules of discovery).

Here, the State A federal court has diversity jurisdiction since the amount in controversy ($100,000) exceeds $75,000 and the bakery and mill are citizens of different states (States A and B, respectively). Therefore, the court must determine what law to apply. Since State A law treats forum-selection clauses as unenforceable, the court could not transfer the case if state law applied. However, transfer of venue is a *procedural* issue that is governed by federal law **(Choice A)**.

Federal law allows a district court to **transfer venue** for the **convenience of parties and witnesses**, and in the interest of justice, to (1) any federal district to which all the parties have consented or (2) another proper venue. Venue is proper in any district where:

- any **defendant** **resides**, if all defendants reside in the same state

- a substantial part of the **events that gave rise to the suit occurred** or property at issue is located *or*
- any defendant is subject to the court's personal jurisdiction (if neither of the above provisions applies).

Here, venue in State A was proper since the flour that gave rise to this suit was delivered to the bakery there **(Choice B)**. But it would be more convenient to litigate the claim in State B, where the flour was produced and most witnesses are located. And since venue would also be proper in State B (where the only defendant resides), the court is likely to grant the mill's motion to transfer.

(Choice C) Although forum-selection clauses are enforceable under Supreme Court precedent (ie, federal common law), federal statutory law supersedes federal common law. Therefore, the federal statute governing transfer of venue (28 U.S.C. § 1404) controls.

Educational objective:

In a federal diversity action, the district court must apply state substantive law (eg, elements of a claim or defense) and federal procedural law (eg, venue—the district where a federal case can be heard).

References

- 28 U.S.C. § 1652 (state law determines substantive issues in federal diversity cases).
- 28 U.S.C. § 1391 (proper venue).
- Stewart Org., Inc. v. Ricoh Corp., 487 U.S. 22, 32 (1988) (holding that 28 U.S.C. § 1404 governs whether a district court should give effect to a forum-selection clause and transfer a case).
- 28 U.S.C. § 1404(a) (transfer of venue).

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A woman brought a diversity action against a man in a federal district court in State A to recover damages for an accident that occurred in State B. The woman hired a process server, who delivered a copy of the summons and complaint to the man's wife at their home. The man filed an answer in which he moved to dismiss the woman's action for improper service of process.

Laws in State A and State B require that service of process be personally delivered to the defendant, and their choice-of-law rules provide that a court must apply the law of the state where the injury occurred.

Should the court grant the man's motion to dismiss?

A. No, because the man waived this defense by failing to assert it in a pre-answer motion.

B. No, because the man was served in accordance with federal law.

C. Yes, because the man was not served in accordance with State A law.

D. Yes, because the man was not served in accordance with State B law.

Explanation:

Choice of law in federal court

Type of jurisdiction	Applicability	Substantive issues	Procedural issues
Federal question	• Claim arises under U.S. Constitution, federal law, or treaty	Apply federal law	
Diversity	• Amount in controversy > $75,000 AND • Parties are citizens of different states	Apply state law*	Apply federal law

*Federal court must follow choice-of-law rules of state where it sits.

A federal court sitting in diversity must apply **state law** to substantive issues and **federal law** to **procedural issues**. Procedural issues include filing deadlines, discovery rules, and service-of-process requirements. Therefore, federal law (not state law) governs service of process **(Choices C & D)**. FRCP 4(e) provides that a plaintiff can **properly serve process** on a defendant-individual in the United States by:

- following the rules of the state where the court sits or service is made
- having process delivered to the defendant personally (or to an agent authorized to receive process) *or*
- having process delivered to the defendant's dwelling and left with a resident of suitable age and discretion.

Here, the process server delivered a copy of the summons and complaint to the man's wife at their home. The wife is of suitable age and discretion since she is old enough to possess the limited capacity necessary to comprehend the situation. Therefore, service of process was proper under federal law, and the court will likely deny the man's motion to dismiss the woman's action.

(Choice A) Under FRCP 12(h), a defendant waives an improper-service-of-process defense if it is not asserted in a pre-answer motion or the defendant's answer—whichever occurs first. Here, the man did not waive this defense because he asserted it in his answer and no pre-answer motion had been filed.

Educational objective:

In a federal diversity action, the court must apply state law to substantive issues and federal law to procedural issues. Therefore, federal service-of-process rules always apply in federal court.

FRCP = Federal Rule of Civil Procedure

References

- Miss. Publ'g Corp. v. Murphree, 326 U.S. 438, 444–45 (1946) (explaining that serving process is a procedural issue that is governed by federal law).
- Fed. R. Civ. P. 4(e) (service of process on an individual located in the United States).

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A farm employee sued four pesticide companies in a federal district court. The employee claimed that his exposure to the pesticide manufactured by one of these companies caused him to suffer a terminal illness.

The companies filed a joint motion to dismiss the claim on the ground that the employee did not allege which company manufactured the pesticide to which he was exposed. The court denied the companies' motion, concluding that the employee did not need to specifically allege which company manufactured the pesticide because market-share liability applied. The court also informed the parties that all requests for jury instructions must be filed by the start of trial. Neither side filed a request by the deadline.

At the close of evidence, the companies filed a request that the court use the companies' jury instructions on market-share liability. The court denied the companies' request on the ground that the companies filed their request too late.

Did the court properly deny the companies' request?

A. No, because although the companies did not submit their request by the deadline, they could not have reasonably anticipated that market-share liability would be an issue.

B. No, because the companies submitted their request at the close of evidence.

C. Yes, because only the court may formulate jury instructions.

D. Yes, because the companies did not submit their request by the deadline and should have reasonably anticipated that market-share liability would be an issue.

Explanation:

Jury instructions

(FRCP 51)

Requests Party:

- must file request by close of evidence unless earlier, reasonable deadline set by court
- may file request after close of evidence when:
  - request relates to issue that party could not have reasonably anticipated by deadline *or*
  - court permits late submission related to any issue

Instructions Court:

- must inform parties of proposed instructions before instructing jury & closing arguments
- must allow parties to object on record & outside jury's presence before instructing jury & closing arguments
- may consider objection made after court instructs jury if instruction constituted plain error
- may instruct jury at any time before discharge

Objections Party:

- must distinctly state objection & its grounds on record
- must object at court-appointed time or promptly after learning of proposed instruction

FRCP = Federal Rule of Civil Procedure.

A court must provide **jury instructions** that advise the jurors on their deliberation procedures and the applicable law. These instructions can be formulated by the court or the parties **(Choice C)**. Each party can **request** specific jury instructions before or at the close of evidence *unless* the court sets an **earlier, reasonable deadline**—eg, by the start of trial (as seen here) **(Choice B)**.* Additionally, a request may be **filed after** the **close of evidence** if:

- the request relates to an **issue** that the party could **not have reasonably anticipated** by the deadline *or*
- the **court permits** a late submission that relates to any issue.

Here, the companies filed no jury instructions by the deadline set by the court. And the companies should have reasonably anticipated that market-share liability would be an

issue. That is because the court concluded that market-share liability applied to this case when it denied the companies' motion to dismiss **(Choice A)**. Therefore, the court properly denied the companies' jury-instruction request on market-share liability.

*To request a jury instruction, a party generally must file a written request with the court and furnish it to every other party. Some courts allow verbal requests, but they are highly disfavored.

Educational objective:

A party must request specific jury instructions at the close of evidence unless an earlier, reasonable deadline is set by the court. A request can be filed after the close of evidence only when (1) the instruction relates to an issue that could not have been reasonably anticipated by the deadline or (2) the court grants permission.

References

- Fed. R. Civ. P. 51(a) (jury-instruction requests).

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A computer company fired one of its female employees from her sales position for failing to meet her sales quotas.

The female employee sued the company in federal court, alleging that the company violated a federal law that prohibits sex discrimination in the workplace. Specifically, the female employee claimed that she failed to meet her quotas because the company did not introduce her to potential sales leads or provide her training opportunities in the same way that it did for its male employees. The company conceded that it did not provide the female employee these opportunities but argued that the federal law did not apply to these actions.

After discovery but before trial, the female employee filed a motion for summary judgment. The trial court granted the motion based on its conclusion that the federal law did apply to the company's actions.

The company appealed the trial court's grant of summary judgment.

On appeal, what standard of review will the appellate court apply?

A. Abuse of discretion.

B. Clear and convincing.

C. Clearly erroneous.

D. De novo.

Explanation:

Appellate standards of review

Standard	Level of review	Applicability
De novo	• No deference to trial judge's legal determination • Reverse if reasonably believe trial judge misinterpreted law	Pure legal issues, eg: • conclusions of law • content of jury instructions
Clear error	• Highly deferential to trial judge's factual findings • Reverse if no reasonable judge would have made this finding	Factual issues in *bench* trials, eg: • credibility of witnesses • factual determinations
Substantial evidence	• Highly deferential to jury's factual findings • Reverse if no reasonable jury would have made this finding	Factual issues in *jury* trials, eg: • credibility of witnesses • jury's verdict
Abuse of discretion	• Highly deferential to trial judge's discretionary decisions • Reverse only if decision was unreasonable/arbitrary	Discretionary rulings by judge, eg: • grant/denial of new trial • admissibility of evidence

A party can **appeal** an adverse **final judgment** issued by the trial court. The **standard of review** used to review that judgment depends on the issues in dispute. **Pure legal issues** are reviewed **de novo**, which allows the appellate court to decide the issue anew **without deferring** to the lower court's legal interpretation. And the judgment will be reversed if the appellate court reasonably believes that the lower court misinterpreted the law.

A final judgment is the last decision issued by a court that settles the parties' rights and resolves all issues in dispute. This includes summary judgments, where a judgment is entered without a full trial because (1) there is no genuine issue of material fact and (2) the moving party is entitled to judgment as a matter of law. As a result, a grant of summary judgment is a pure legal issue that the appellate court will review de novo.

(Choice A) A trial court's discretionary (not purely legal) rulings are reviewed for abuse of discretion. Under this highly deferential standard, the trial court's decision will only be reversed if it was clearly arbitrary or unreasonable.

(Choice B) "Clear and convincing" is an evidentiary burden of proof—not an appellate standard of review—that is often used in civil suits involving fraud, child custody, and restraining orders. It requires the party with this burden to show that its contention is highly or substantially likely to be true.

(Choice C) The clearly-erroneous standard of review is used to review the trial court's *factual* (not legal) findings in a bench trial. This standard gives great deference to the trial court, so the court's factual finding will only be reversed if no reasonable judge would have made such a finding.

Educational objective:

The de novo standard of review applies to pure legal issues—eg, grant of summary judgment. Under this standard, no deference is given to the trial court's legal interpretations, and its ruling will be reversed if the appellate court reasonably believes that the trial court misinterpreted the law.

References

- Fed. R. Civ. P. 56 (summary judgment).
- Borchardt Rifle Corp. v. Cook, 684 F.3d 1037, 1041–42 (10th Cir. 2012) (holding that de novo review applies to appellate review of trial court's summary judgment decision).

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A motorcyclist and her friend collided with an automobile at an intersection. The motorcyclist sued the automobile driver in a state court in State A to recover for damages to her motorcycle and personal injuries. The friend did not join this suit. The jury returned a verdict for the automobile driver, specifically finding that she was not negligent. The court entered a final judgment consistent with the verdict.

Three months later, the friend brought a diversity action in a federal court in State B against the automobile driver to recover damages for the personal injuries he sustained in the collision. The automobile driver defended on the ground that the prior judgment established that she was not negligent.

State A permits mutual and nonmutual issue preclusion. State B permits only mutual issue preclusion.

Is the automobile driver likely to succeed in her defense?

A. No, because State B does not permit nonmutual issue preclusion.

B. No, because the friend was not a party to the first action.

C. Yes, because State A permits nonmutual issue preclusion.

D. Yes, because the jury specifically found that the automobile driver was not negligent.

Explanation:

Issue preclusion (ie, collateral estoppel) is a defense that bars the relitigation of issues that were actually litigated, determined, and essential to a valid final judgment. There are two types of issue preclusion:

- **Mutual** – which **allows *parties*** from the first action to assert issue preclusion in the second action
- **Nonmutual** – which **allows *nonparties*** from the first action to assert issue preclusion in the second action

Both types of issue preclusion ***can* be asserted** against ***parties* to the first action** or their privies, absent limited exceptions. However, they ***cannot* be asserted** against a ***nonparty* to the first action** because it would deprive that party of the opportunity to fully and fairly litigate his/her claims and defenses.

Here, the motorcyclist sued the automobile driver in the first action. The jury specifically found that the automobile driver was not negligent, and the court entered a judgment in her favor. The friend then sued the automobile driver in the second action. Since the friend was not a party to the first action, the automobile driver cannot assert issue preclusion against him **(Choice D)**. Therefore, this defense is unlikely to succeed.

(Choices A & C) Since the judgment was entered by a state court in State A, the federal court in State B must apply State A's preclusion law. Although State A allows nonmutual issue preclusion, it cannot be asserted *against* the friend since he was not a party to the first action.

Educational objective:

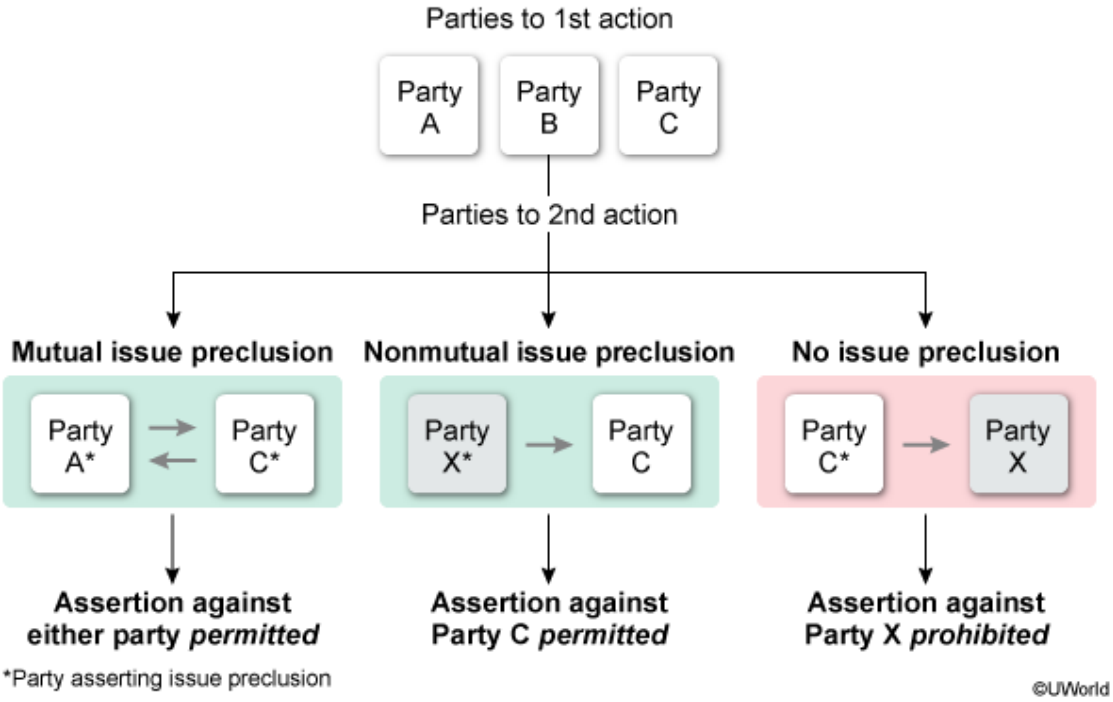
Issue preclusion (ie, collateral estoppel) bars the relitigation of issues that were actually litigated, determined, and necessary to a valid final judgment. This doctrine can only be asserted against parties to the first action because they have had an opportunity to fully and fairly litigate their claims/defenses.

References

- Restatement (Second) of Judgments § 27 (Am. Law Inst. 1982) (defining issue preclusion).
- Taylor v. Sturgell, 553 U.S. 880, 893 (2008) (stating that a nonparty is not bound by a judgment because each person has the due process right to have his/her day in court).

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Assertion of issue preclusion



A man took skydiving lessons over the course of several days. During the man's first solo jump out of an airplane without being attached to an instructor, the man panicked and ripped his backpack containing the parachute. The man was not able to release his parachute and died upon impact.

The man's estate brought a diversity action in federal court against the skydiving company requesting $3 million in damages. The estate demanded a jury trial. At the conclusion of trial, the judge gave the jury a verdict form that instructed the jury to determine which party should prevail and to answer specific questions related to each factual issue. When asked whether the man was contributorily negligent, the jury answered "Yes." When asked to give the percentage of the man's negligence, the jury answered "0%." The jury awarded the man's estate $3 million.

The applicable law requires damages to be reduced by the percentage of the plaintiff's contributory negligence.

What action should the court take upon receiving the jury's verdict and answers?

A. Direct the jury to further consider its answers and verdict.

B. Disregard the jury's verdict and enter a judgment that is equitable.

C. Enter a judgment in favor of the man but reduce the amount awarded based on the evidence.

D. Enter a judgment in favor of the man for $3 million.

Explanation:

General verdict with answers

(FRCP 49(b))

Answers *consistent* with verdict	Judge must enter judgment consistent with verdict & answers
Answers *inconsistent* with verdict	Judge must: • order new trial • direct jury to further consider its answers & verdict *or* • disregard verdict & enter judgment consistent with answers
Answers *inconsistent* with each other & verdict	Judge must: • order new trial *or* • direct jury to further consider its answers & verdict

FRCP = Federal Rule of Civil Procedure.

The presiding judge in a jury trial has the discretion to choose which type of verdict to use—a general verdict, special verdict, or general verdict with answers. If the judge selects a **general verdict with answers** and the jury's **answers are *inconsistent*** with **each other** and the **verdict**, the judge must order a new trial or direct the **jury to further consider** its answers and verdict.

Here, the judge selected a general verdict with answers by instructing the jury to determine which party should prevail and answer specific questions related to the factual issues in the case. The jury found that the man was contributorily negligent and 0% negligent (inconsistent answers). The jury also awarded the man the full amount demanded with no reduction for his negligence, despite finding him contributorily negligent (answer inconsistent with verdict). Therefore, the court should direct the jury to further consider its answers and verdict **(Choice D)**.

(Choice B) When the jury's answers are inconsistent with the verdict, the judge may disregard the verdict and enter a judgment consistent with the answers. But a judge cannot enter a judgment that he/she thinks is equitable (ie, fair) because the jury is responsible for determining the factual issues.

(Choice C) A court may alter an allegedly excessive award of damages through remittitur, which gives the winning party a choice between a reduction in damages or a new trial on damages. However, the jury must first return a consistent verdict.

Educational objective:

A general verdict with answers requires that the jury decide which party should prevail and answer specific questions on each factual issue. If the answers are inconsistent with each other and the verdict, the judge must either order a new trial or direct the jury to further consider its answers and verdict.

References

- Fed. R. Civ. P. 49(b) (general verdict with answers).

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A plaintiff brought a class action in federal court against a nationwide grocery-store chain for violating a federal disability-rights statute that requires public buildings to be wheelchair-accessible. The plaintiff sought an injunction requiring the grocery chain to modify the entrances to its stores to comply with the statute. The plaintiff demanded a jury trial.

The statute is silent on the right to a jury trial. The grocery chain does not want a jury trial.

What is the grocery chain's strongest argument that the plaintiff is not entitled to a jury trial?

A. Class actions are so complex as to be outside the jury's competence to decide.

B. Disability-rights claims did not exist at common law when the Seventh Amendment was adopted.

C. The remedy the plaintiff seeks is primarily equitable in nature.

D. The statute is silent on the right to a jury trial.

Explanation:

Right to jury trial in civil case

Right
- **Legal claim** – seeks monetary remedy to compensate for loss (eg, tort/contract damages)

AND

- **> $20 in controversy**

No right
- **Equitable claim** – seeks nonmonetary remedy (eg, injunction, specific performance) since legal remedy is inadequate

OR

- **≤ $20 in controversy**

The Seventh Amendment guarantees the **right to a jury trial** in federal civil cases where the amount in controversy exceeds 20 dollars.* This right **applies only to *legal* claims**—ie, claims that seek a **monetary remedy** to compensate for loss (eg, damages). It does **not apply to *equitable* claims**—ie, claims that seek a nonmonetary remedy (eg, injunction). Therefore, the grocery-store chain's strongest argument that the plaintiff is not entitled to a jury trial is that the injunction the plaintiff seeks is primarily equitable in nature.

*The Seventh Amendment right to a jury trial does not apply to state civil cases because this right has never been incorporated against the states through the Fourteenth Amendment due process clause.

(Choice A) A jury is considered competent to decide class actions and other complex cases. As a result, the right to a jury trial cannot be defeated simply because the case is complex.

(Choice B) The right to a jury trial depends on the type of relief sought, not whether the asserted claim existed at common law when the Seventh Amendment was adopted.

(Choice D) The Seventh Amendment preserves the right to a jury trial in statutory actions that provide for claims analogous to claims tried at common law in which legal/monetary relief is sought. This is true even if the statute is silent on the right to a jury trial.

Educational objective:

The Seventh Amendment right to a jury trial applies to federal civil cases when the amount in controversy exceeds 20 dollars and a party asserts a *legal* claim (ie, a claim seeking a monetary remedy). However, this right does not apply when a party asserts an *equitable* claim (ie, a claim seeking a nonmonetary remedy).

References

- U.S. Const. amend. VII (right to a jury trial).
- Feltner v. Columbia Pictures Television, Inc., 523 U.S. 340, 347–48 (1998) (explaining that the Seventh Amendment right to a jury trial only applies in legal, not equitable, actions).

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A plaintiff brought a diversity action against a defendant in a federal district court for negligence. The defendant demanded a jury trial. At the close of evidence, both parties submitted proposed jury instructions to the court. The court denied these submissions and informed the parties of its proposed instructions. The plaintiff objected, stating that the court's proposed instructions materially misstated the law. The court overruled this objection and delivered its proposed instructions to the jury. The jury returned a verdict in favor of the defendant, and the plaintiff appealed.

On appeal, the plaintiff has argued that the court improperly denied her proposed jury instructions and that the contents of the court's jury instructions materially misstated the law.

What standard(s) of review should the appellate court apply to these arguments?

A. Abuse-of-discretion review as to both arguments.

B. Abuse-of-discretion review as to the denial of the woman's proposed instructions and de novo review as to the contents of the court's jury instructions.

C. De novo review as to both arguments.

D. De novo review as to the denial of the woman's proposed instructions and abuse-of-discretion review as to the contents of the court's jury instructions.

Explanation:

An appellate court will review a district court's jury instructions under the following standards:

- **Abuse of discretion** (high deference) – where the district court's **discretionary decisions** (eg, the *creation* of jury instructions) will be reversed if they were unreasonable or arbitrary
- **De novo** (no deference) – where a district court's **conclusions of law** (eg, the *contents* of jury instructions) will be reversed if the appellate court reasonably believes that the court misinterpreted or misstated the law

The woman's first argument is that the district court improperly denied her proposed jury instructions. Since a district court has broad discretion to decide what language to use in its instructions to the jury, this discretionary ruling should be reviewed for abuse of discretion **(Choices C & D)**.

However, the instructions given to the jury must correctly state the governing law. And since the woman's second argument is that the contents of the court's jury instructions materially misstated the law, this legal issue should be reviewed de novo **(Choices A & D)**

Educational objective:

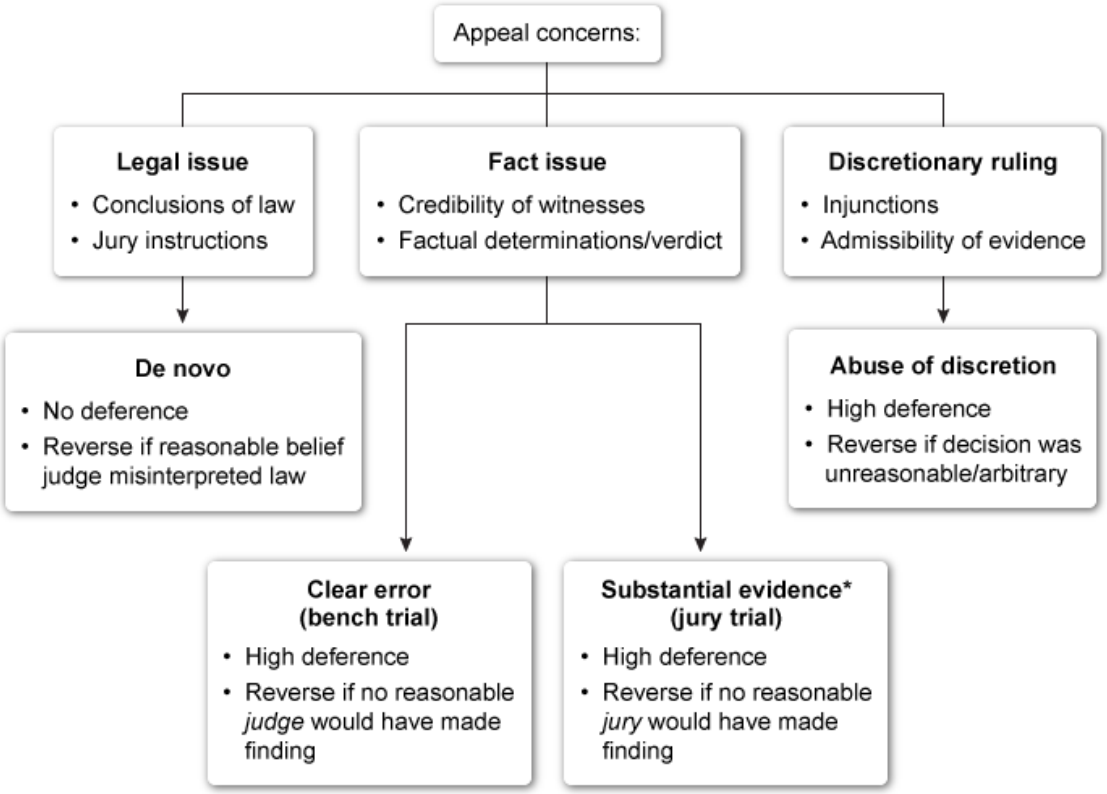
On appeal, a district court's discretionary decisions (eg, *creation* of jury instructions) are reviewed for abuse of discretion while its conclusions of law (eg, *contents* of jury instructions) are reviewed de novo.

References

- Crowley v. EpiCept Corp., 883 F.3d 739, 747 (9th Cir. 2018) (explaining that abuse-of-discretion review applies to the creation of jury instructions and de novo review applies to whether the jury instructions correctly state the law).

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Appellate standards of review



*Courts may also reverse if there is insufficient or no evidence. Due to this split of authority, this concept is unlikely to be tested.

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A man was injured when a military drone crashed into his house in State A. The drone was manufactured for the U.S. government by a company incorporated and headquartered in State B pursuant to the government's design specifications.

The man filed a diversity action against the company in federal court in State A to recover $100,000 in damages. The man claimed that the drone was defectively designed. In its answer, the company asserted a defense that a manufacturer of military equipment for the U.S. government cannot be held liable for injuries caused by defectively designed equipment. The company's defense is not explicitly authorized by a federal statute, but many federal courts in other jurisdictions have recognized this defense as federal common law.

State A law allows all manufacturers to be held liable for their defectively designed products.

Should the federal court look to federal law or state law to decide if the company can validly assert this defense?

A. Federal law, because the man filed the suit in federal court.
B. Federal law, because the uniquely federal interest at stake significantly conflicts with state law.
C. State law, because the company's defense is not explicitly authorized by a federal statute.
D. State law, because there is no federal common law on this issue.

Explanation:

Applicability of substantive federal common law

Implied cause of action	Allows recovery of damages against federal official for violation of Fourth, Fifth, or Eighth Amendment
Diversity actions	Governs substantive issues when uniquely federal interest significantly conflicts with operation of state law
Gap-filling	Fills gaps in federal statutory / regulatory scheme
Statutory interpretation	Interprets federal statutes, federal regulations, or U.S. Constitution

A **federal court sitting in** diversity (as seen here) almost always applies state law to substantive issues (eg, elements of a defense). However, in **extremely limited circumstances**, federal common law governs substantive issues. Federal common law consists of rules of law created by federal courts in judicial decisions instead of by Congress in statutes. In a diversity action, **substantive federal common law applies** when a uniquely federal interest significantly conflicts with the operation of state law.

In *Boyle v. United Technologies Corp.*, SCOTUS held that protecting military-equipment manufacturers from liability is a uniquely federal interest. That is because imposing liability on such manufacturers would adversely affect their contracts with the federal government (eg, by increasing costs). This uniquely federal interest significantly conflicts with State A's law that allows all manufacturers to be held liable for defectively designed products. As a result, the court should look to federal common law to decide if the company's defense is valid.

(Choice A) The fact that the man filed suit in federal court does not automatically mean that federal law applies. In the vast majority of diversity actions filed in federal court, state law governs substantive issues.

(Choice C) Although the company's defense is not explicitly authorized by a federal statute, federal common law recognizes this defense. And since State A's law significantly conflicts with the uniquely federal interest posed by this defense, federal common law governs the defense's applicability.

(Choice D) There *is* federal common law on this issue because many federal courts have recognized the company's defense.

Educational objective:

A federal court sitting in diversity must generally apply state law to substantive issues. However, federal common law governs substantive issues in the rare instance when a uniquely federal interest significantly conflicts with the operation of state law.

SCOTUS = Supreme Court of the United States.

References

- Boyle v. United Technologies Corp., 487 U.S. 500, 506–07 (1988) (holding that federal common law governs a defense in a diversity case because a uniquely federal interest significantly conflicts with state law).
- 32A Am. Jur. 2d Federal Courts § 364 (explaining that federal courts may create federal common law when a significant conflict exists between a unique federal interest and state law).

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A woman sued a landlord in an appropriate federal district court under a federal statute that prohibits landlords from discriminating against a potential tenant based on familial status. Her complaint included a request for $10,000. The woman claimed that the landlord denied her rental application because she had two young children. The woman also included a demand for a jury trial in her complaint. No law would have prohibited the woman from occupying the apartment.

Under the federal statute, the plaintiff has the burden to establish a prima facie case that the defendant unlawfully discriminated against the plaintiff. If the plaintiff meets this burden, then the defendant must provide a nondiscriminatory reason why the plaintiff was not selected as a tenant. If the defendant does so, the burden shifts back to the plaintiff to show that the defendant's purported reason was a mere pretext for discrimination.

At the end of the trial, the woman demanded that all factual issues be submitted to the jury. She also requested that the jury return its verdict with answers to specific questions relating to each of those issues. The landlord consented to this type of verdict.

The judge gave the jury a proper verdict form that asked the jury to answer the specific questions that the woman had requested and to determine which party should prevail. The jury returned a verdict in favor of the woman and awarded her $10,000 in damages. In its answers to the specific questions, the jury indicated that the woman had presented sufficient evidence that the landlord discriminated against her. It also found that the landlord had a nondiscriminatory reason for denying the woman's application and that this reason was not a pretext for discrimination.

Which action would be IMPROPER for the judge to take?

A. Direct the jury to further consider its answers and verdict.

B. Enter a judgment in favor of the landlord.

C. Enter a judgment in favor of the woman.

D. Order a new trial.

Explanation:

General verdict with answers

(FRCP 49(b))

Answers *consistent* with verdict	Judge must enter judgment consistent with verdict & answers
Answers *inconsistent* with verdict	Judge must: • order new trial • direct jury to further consider its answers & verdict *or* • disregard verdict & enter judgment consistent with answers
Answers *inconsistent* with each other & verdict	Judge must: • order new trial *or* • direct jury to further consider its answers & verdict

FRCP = Federal Rule of Civil Procedure.

A **verdict** is the **jury's determination of factual issues** in a case. There are three types of verdicts—general verdicts, special verdicts, and general verdicts with answers—and the judge has the discretion to choose which verdict to use. Here, the judge asked the jury to return a **general verdict with answers** when he instructed them to (1) **find in favor of**, and award damages to, a **particular party** and (2) **answer specific questions** on each factual issue.

If the jury's answers and verdict are **consistent**, the judge must enter a **judgment consistent** with those determinations. But when, as here, the jury's answers (no pretext for discrimination) and verdict (in favor of the woman) are **inconsistent**, the judge must:

- order a **new trial**
- direct the jury to **further consider** its answers and verdict *or*
- **disregard the jury's verdict** and enter a **judgment consistent with the answers** provided.

This means that the judge cannot enter a judgment consistent with the jury's verdict and find in favor of the woman **(Choices A, B & D)**.

Educational objective:

A general verdict with answers requires that the jury decide which party should prevail and provide answers to questions on each factual issue. If the verdict and answers are inconsistent, the judge must (1) order a new trial, (2) direct the jury to further consider its answers and verdict, or (3) enter a judgment consistent with the answers.

References

- Fed. R. Civ. P. 49(b) (general verdict with answers).

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A plaintiff sued a defendant in a federal district court. The defendant filed an answer denying the plaintiff's allegations and asserting several affirmative defenses. After reviewing the defendant's answer, the court concluded that the affirmative defenses were not warranted by existing law. The court issued an order to show cause on the defendant's attorney to explain why sanctions should not be imposed.

At the show-cause hearing, the defendant's attorney failed to provide a nonfrivolous argument for modifying or reversing the existing law. The court ordered the defendant's attorney to pay a $3,000 fine to the court and struck all affirmative defenses from the defendant's answer.

At the conclusion of trial, the jury returned a verdict in favor of the plaintiff, and the court entered judgment accordingly. The defendant's attorney immediately appealed the order of sanctions.

Will the appellate court likely overturn the sanctions?

A. No, because the district court did not abuse its discretion.

B. No, because the district court did not commit clear error.

C. Yes, because the district court abused its discretion.

D. Yes, because the district court committed clear error.

Explanation:

FRCP 11(b) requires that all claims, defenses, and legal contentions be warranted by existing law or supported by a nonfrivolous argument for modifying or reversing that law. A court has the discretion to impose sanctions on a law firm, attorney, or party if they violate this rule. Since the **imposition of sanctions** is a **discretionary ruling**, it is reviewed on appeal under the highly deferential **abuse-of-discretion standard**. This means that the appellate court will only reverse the ruling if it was **clearly arbitrary or unreasonable**.

Here, the district court believed that none of the affirmative defenses in the defendant's answer were warranted by existing law. At the show-cause hearing, the defendant's attorney failed to provide a nonfrivolous argument for modifying or reversing that law. As a result, the district court did not abuse its discretion by fining the attorney $3,000 and striking the affirmative defenses from the defendant's answer **(Choice C)**.

(Choices B & D) The clearly-erroneous standard is used to review factual findings in a bench trial—not a district court's discretionary imposition of sanctions (as seen here). Under that standard, the district court's factual findings will only be reversed if no reasonable judge would have made such a finding.

Educational objective:

An appellate court uses the abuse-of-discretion standard when reviewing a district court's discretionary rulings (eg, the imposition of sanctions). Under this highly deferential standard, the appellate court will only reverse a clearly arbitrary or unreasonable ruling.

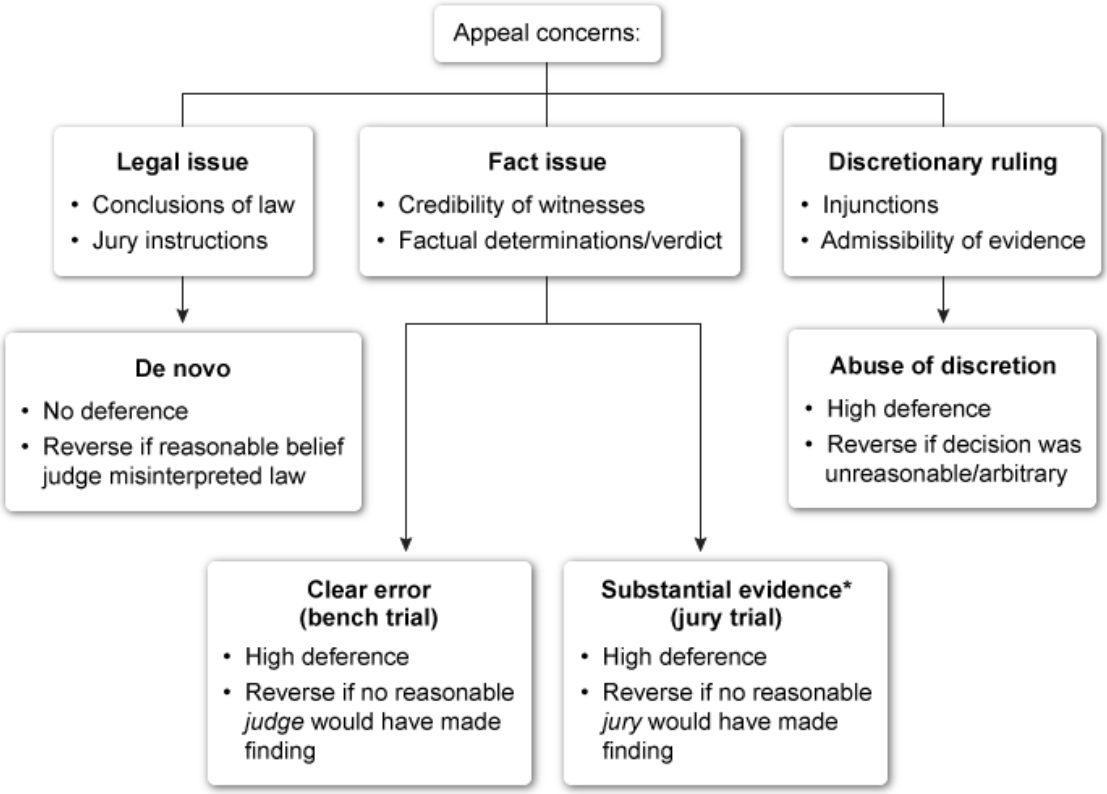
FRCP = Federal Rule of Civil Procedure

References

- Fed. R. Civ. P. 11 (representations to the court & sanctions for violating this rule).
- Cooter & Gell v. Hartmax Corp., 496 U.S. 384, 405 (1990) (holding that the abuse-of-discretion standard applies to an appellate review of a district court's imposition of sanctions).

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Appellate standards of review



*Courts may also reverse if there is insufficient or no evidence. Due to this split of authority, this concept is unlikely to be tested.

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A manufacturer sued a buyer in federal court for failing to make timely payments under the parties' sales contract. The case was tried to the court solely on documentary evidence. Immediately after the close of the evidence, the judge announced from the bench, "Judgment shall be entered for the manufacturer," and judgment was so entered. The buyer has appealed the judgment.

What is the buyer's best argument for persuading the appellate court to reverse the judgment?

A. The judgment is clearly erroneous because it was based solely on documentary evidence.

B. The manufacturer was required to file proposed findings and conclusions before the trial court ruled.

C. The trial court erred because it announced the judgment without giving the parties an opportunity to submit proposed findings and conclusions.

D. The trial court erred by not providing findings and conclusions.

Explanation:

In a case tried to the court (ie, a **bench trial**), the judge serves as both the finder of fact and interpreter of the law. As a result, Federal Rule of Civil Procedure (FRCP) 52(a) **requires** that the **judge provide factual findings and legal conclusions** (orally or in writing) on the record after the close of evidence. This allows the parties and the appellate court to have a clear understanding of the judge's reasoning. If a judge fails to provide these required findings and conclusions, the appellate court should reverse the trial court's judgment.

In this bench trial, the judge announced, "Judgment shall be entered for the manufacturer," immediately after the close of evidence. However, the judge failed to provide the required factual findings and legal conclusions. As a result, that is the buyer's best argument to persuade the appellate court to reverse the judgment.

(Choice A) Factual findings in a bench trial will only be reversed on appeal if they were clearly erroneous because no reasonable judge would have made them. However, a judgment based solely on documentary evidence is not clearly erroneous. That is because such evidence can provide strong support for the judge's findings—especially in a breach-of-contract case (as seen here).

(Choices B & C) The parties are *not* required to file proposed findings and conclusions but may do so if the trial court allows. Additionally, a trial court does *not* need to give the parties an opportunity to submit proposed findings and conclusions.

Educational objective:

In a bench trial, the judge *must* provide factual findings and legal conclusions on the record (orally or in writing) after the close of evidence. Failure to do so will result in a reversal of the judgment on appeal.

References

- Fed. R. Civ. P. 52(a) (findings of fact and conclusions of law).

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Jury trial **v.** **Bench trial**



Jury acts as finder of fact.
Judge acts as interpreter of law.



Judge acts as finder of fact
and interpreter of law.

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An executive signed an employment contract with a steel plant. The contract contained a noncompete clause that prohibited the executive from working for any of the steel plant's competitors for one year after leaving the plant. The contract also contained a nondisclosure clause that prohibited the executive from disclosing the steel plant's trade secrets and other confidential information. On September 1, 2015, the executive left the steel plant. On August 1, 2016, she began working for one of the steel plant's competitors.

On April 1, 2018, the steel plant filed a complaint against the executive in a federal court for breaching the noncompete clause. On November 1, 2018, the steel plant discovered that the executive divulged its trade secrets to its competitor when she began working there. The steel plant immediately filed a motion with the court to amend its complaint to add a claim for infringement of trade secrets against the executive.

The applicable statute of limitations for each claim is two years from the date the violation allegedly occurred. The laws that establish these statutes of limitations do not mention whether relation back is allowed for these claims.

Should the federal court allow the steel plant to amend its complaint to include the trade secrets claim?

A. No, because the executive did not consent to the amendment.
B. No, because the statute of limitations for the claim has expired.
C. Yes, because a federal court should freely allow amendments to pleadings when justice so requires.
D. Yes, because the amended claim arises from the transaction and occurrence set out in the original pleading.

Explanation:

An amended pleading filed after the statute of limitations has expired is permitted only when the **relation-back doctrine** applies. This doctrine treats the amendment as if it were filed on the same date as the original pleading—ie, the amendment "relates back" to the date of the original pleading. An amendment that asserts a **new claim** relates back when:

- the **statute of limitations** for the new claim **allows** relation back (not seen here) *or*
- the **claim arises** out of the **conduct or occurrence** set forth in the **original pleading**.

Here, the steel plant filed a motion to amend its complaint to add a trade secrets claim *after* the statute of limitations had expired on August 1, 2018. But this claim relates back to the date the steel plant filed its claim for breach of the noncompete clause—*before* the statute of limitations expired. That is because both claims arise from the executive's contract with the steel plant and her employment with the competitor. Therefore, the federal court should allow the steel plant to amend its complaint to include the trade secrets claim **(Choice B)**.

(Choices A & C) The executive's (ie, opposing party's) consent is unnecessary because a federal court can permit amendments to pleadings without the defendant's consent and should do so when justice requires. But if consent is not given, any amendment *must* be filed before the statute of limitations expires or relate back to the date of the original pleading (as seen here).

Educational objective:

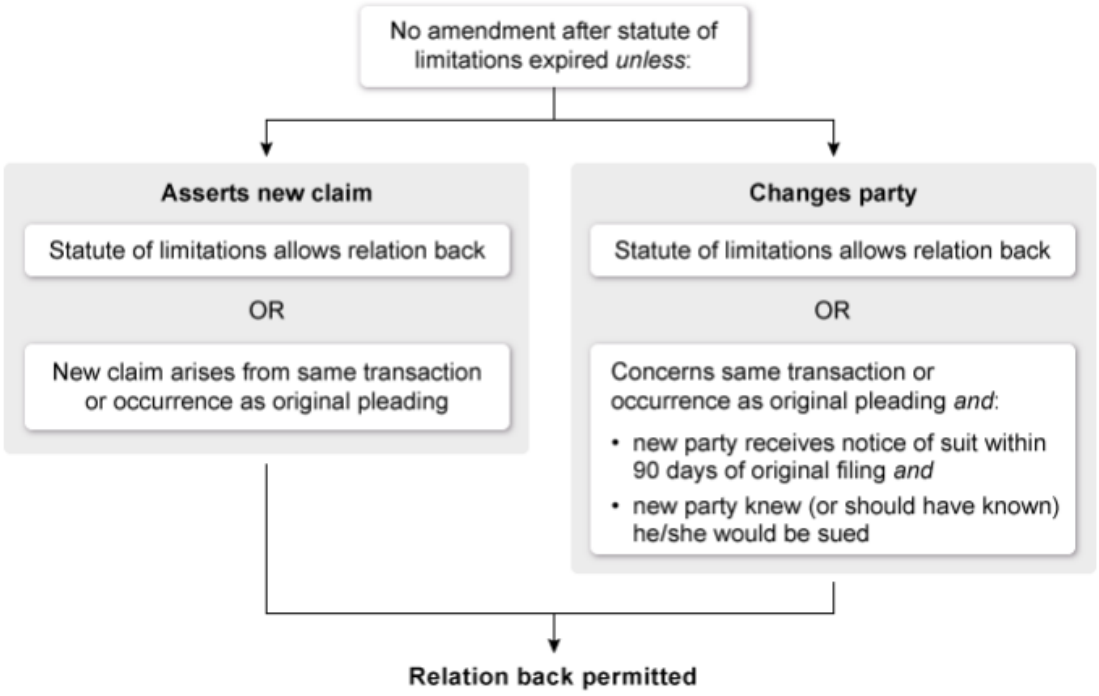
The relation-back doctrine allows an amended pleading to assert a new claim after the statute of limitations has expired when (1) the applicable statute of limitations allows relation back or (2) the claim arises out of the same conduct or occurrence as the original pleading.

References

- Fed. R. Civ. P. 15(c) (relation back of amended pleadings).

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Relation-back doctrine
(FRCP 15(c))



FRCP = Federal Rule of Civil Procedure.

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An employee brought a federal diversity action against his former employer, a chemical manufacturing company, seeking damages for injuries sustained on the job. During discovery, the employee's attorney served the company with notice of a written deposition she intended to conduct of one of the company's former managers. The employee's attorney attached the questions she intended to have the court officer ask the manager at the deposition. Eight days later, the company sent the manager and the employee the questions it wanted the officer to ask the manager on cross-examination. The employee's attorney served written objections to the form of the cross-examination questions four days after they were served. Twelve days later, the employee's attorney served the questions she wanted the officer to ask on redirect. Six days after service of the redirect questions, the company served its objections to the redirect questions and the questions it wanted the officer to ask on recross-examination.

Which of the following events was untimely?

A. Service of the cross-examination questions.

B. Service of the objections to the form of the cross-examination questions.

C. Service of the redirect-examination questions.

D. Service of the recross-examination questions.

Explanation:

A **written deposition** is a method of discovery in which an officer asks a deponent questions and records the responses under oath and outside of court. The party requesting the deposition must serve the deponent and all other parties with written notice and a copy of the questions to be asked on direct examination (direct questions). The other parties may then serve the deponent and all other parties with **responsive questions** as follows:

- **Cross-questions** – questions to be asked during cross-examination must be **served within 14 days after** service of the **notice and direct questions** (here, they were timely served 8 days later) **(Choice A)**.
- **Redirect questions** – questions to be asked during redirect must be **served within 7 days after** service of the **cross-questions** (here, they were untimely served 12 days later).
- **Recross-questions** – questions to be asked during recross must be **served within 7 days after** service of the **redirect questions** (here, they were timely served 6 days later) **(Choice D)**.

Therefore, service of the redirect-examination questions in this case was untimely.

(Choice B) A party must serve any written objections to the form of a question within the time required for serving a responsive question. This means that objections to the company's cross-questions were due at the same time as the redirect questions—7 days after service of the cross-questions. Therefore, the employee's attorney timely served written objections to the form of the cross-questions 4 days after they were served.

Educational objective:

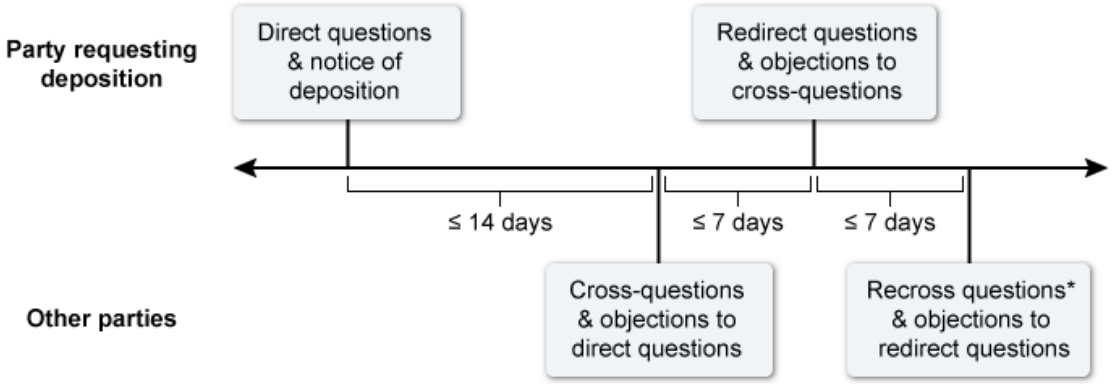
For a written deposition, (1) cross-questions must be served within 14 days after service of direct questions, (2) redirect questions must be served within 7 days after service of cross-questions, and (3) recross-questions must be served within 7 days after service of redirect questions. Objections are due at the same times.

References

- Fed. R. Civ. P. 31 (depositions by written questions).
- Fed. R. Civ. P. 32 (objections to form of questions in written depositions).

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Service of questions and objections in written depositions



*Objections to recross questions must be served ≤ 7 days after service of recross questions.

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A pharmaceutical retailer sued a drug manufacturer in federal court for antitrust and unfair-competition violations under federal and state law. After the parties completed discovery, the retailer submitted a pretrial narrative statement designating a broad set of facts and issues to be tried. The manufacturer disputed the statement and submitted a much narrower one. At the final pretrial conference, the court entered its final order, ruling in favor of the retailer's broader statement as the one the court would read to the jury during voir dire and would use to define the facts and issues to be tried.

The manufacturer's attorney is concerned that trying many of the facts and issues listed in the pretrial order would reveal litigation strategies important in other actions pending against the manufacturer.

What is the best way for the manufacturer's attorney to seek relief from the court's ruling on the pretrial statement?

A. Appeal from the final pretrial order, arguing that it is overbroad on its face.

B. Object in the trial court and appeal any adverse ruling on the objection.

C. Object in the trial court and file a motion to delay the trial.

D. Object in the trial court and move to modify the order to prevent manifest injustice.

Explanation:

A federal district court judge may hold one or more pretrial conferences with the parties' attorneys or unrepresented parties. At these conferences, the judge has broad discretion to address and act on a wide range of issues to help expedite litigation, improve the trial's quality, and facilitate settlement. At the **final pretrial conference**, the judge will enter a final pretrial order that **formulates a plan for trial**.* The court may **modify this order** only to **prevent manifest injustice**.

Here, the federal district court entered its final order at the final pretrial conference. In that order, the court adopted the retailer's broad narrative statement to use during voir dire and to define the facts and issues to be tried. Since the manufacturer's attorney wants to narrow this narrative statement, the best way to seek relief is to object in the trial court and move to modify the order to prevent manifest injustice.

*A final pretrial conference must be held as close to the start of trial as is reasonable and must be attended by at least one attorney who will conduct the trial for each party or by any unrepresented party.

(Choice A) Under the final-judgment rule, an appeal cannot be taken before a final judgment has been entered unless limited exceptions apply. A final pretrial order is not a final judgment and none of the exceptions apply, so an immediate appeal is unjustified.

(Choice B) The manufacturer's attorney must move to modify the order at the trial court level to preserve the issue for appeal, where the order will be reviewed for abuse of discretion. A mere objection will not suffice.

(Choice C) A motion to delay the trial will not help the manufacturer's attorney seek relief from the final pretrial order. Instead, the attorney should move to modify the order to prevent manifest injustice.

Educational objective:

At the final pretrial conference, a federal district court judge will issue a final pretrial order that formulates a plan for trial. The court may modify this order only to prevent manifest injustice.

References

- Fed. R. Civ. P. 16(e) (final pretrial conference and orders).
- 6A Charles Alan Wright et al., Federal Practice and Procedure § 1527.1 (3d ed. 2020) (explaining how a party can modify or seek relief from a pretrial order).

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A patient suffered severe complications from a surgery on his leg. The patient hired an attorney to file a negligence lawsuit in federal court against the surgeon who performed the operation.

Which of the following does the patient's attorney NOT need to include in the complaint?

A. A demand for the relief the patient seeks.
B. A detailed statement of the claim showing that the patient is entitled to relief.
C. A short and plain statement showing the grounds for the court's subject-matter jurisdiction.
D. The attorney's address, phone number, and email address.

Explanation:

A **complaint** is the initial pleading that starts a civil action and states the basis for the plaintiff's claim. A complaint filed in federal court must contain all of the following:

- **Caption** with the court's name, a title, the parties, a file number, and a designation as a "complaint"
- **Short and plain statement** showing the grounds of the court's subject-matter jurisdiction **(Choice C)**
- ***Short and plain* statement** of the **claim** showing that the plaintiff is entitled to relief
- **Demand for the relief** (ie, remedy) the plaintiff seeks **(Choice A)**
- **Signature, address, phone number, and email address** of the plaintiff's attorney (or unrepresented plaintiff) **(Choice D)**

The statement of the claim need only contain enough facts for a court to plausibly infer that a claim for relief exists. Detailed, specific facts are unnecessary unless the claim alleges fraud or mistake (neither of which applies here). Therefore, the patient's attorney need not include in the complaint a detailed statement of the claim showing that the patient is entitled to relief.

Educational objective:

A complaint filed in federal court must contain (1) a caption with the court, title, and parties, (2) a short and plain statement of the court's jurisdiction, (3) a short and plain statement of the claim showing that the plaintiff is entitled to relief, (4) a demand for relief, and (5) the attorney's or unrepresented plaintiff's signature and contact information.

References

- Fed. R. Civ. P. 8–11 (pleading requirements).

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UNITED STATES DISTRICT COURT
for the
Northern District of Texas
Dallas Division

John Smith, Plaintiff,	)	Case No. 9:87-cv-6543-O
– v. –	)	
Jane Doe, Defendant.	)	JURY TRIAL DEMANDED

COMPLAINT FOR CIVIL NEGLIGENCE

I. Basis for Jurisdiction

1. Diversity jurisdiction exists because Plaintiff is a citizen of Minnesota, Defendant is a citizen of Texas, and the amount in controversy is $100,000.

II. Statement of Negligence Claim

2. On October 1, 2019, Plaintiff was driving southbound on Red Street.

3. At approximately the same time, the Defendant was driving northbound on Red Street.

4. Defendant negligently swerved across the center lane and hit Plaintiff's automobile, causing Plaintiff to suffer severe personal injuries.

III. Demand for Relief

5. The Plaintiff seeks $100,000 in compensatory damages.

Dated this 12th day of December 2019.

/s/ Bob T. Schmoe

Bob T. Schmoe
Bar No. 7654321
Benson, Dean & Wasson, P.C.
1600 UWorld Avenue
Dallas, TX 12345
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A pedestrian was struck in a crosswalk by a truck and severely injured. The pedestrian brought a federal diversity action against the driver of the truck, alleging the following in the complaint: "On January 15, 2019, on Broad Street in City A, located in State B, the defendant negligently drove a motor vehicle, striking the plaintiff. As a result, the plaintiff was physically injured, lost wages or income, suffered physical and mental pain, and incurred medical expenses of $100,000."

The truck driver has moved to dismiss the action for failure to state a claim, arguing that the complaint lacks sufficient detail.

Is the court likely to grant the motion?

A. No, because the complaint alleges facts showing plausible entitlement to relief.

B. No, because the pedestrian has not had an opportunity to conduct discovery.

C. Yes, because the complaint fails to allege facts showing probable entitlement to relief.

D. Yes, because the complaint uses the term "negligently," which is a legal conclusion.

Explanation:

Specificity of pleadings

Claim	Pleading requirements
General rule	• Complaint – short & plain statement of claim showing plaintiff is entitled to relief • Answer – short & plain statement of admissions, denials, defenses & claims against other parties
Fraud/mistake/mental condition	• Malice, intent, knowledge, or other mental condition may be alleged generally • Circumstances giving rise to fraud/mistake must be stated with particularity
Conditions precedent	• Assertion that conditions precedent occurred may be alleged generally • Denial that conditions precedent occurred must be stated with particularity
Damages	• General damages may be alleged generally • Special damages must be specifically stated

A **complaint** is the pleading that **starts a civil lawsuit** and states the **basis for the plaintiff's claim**. It generally must contain a **short and plain statement** of the claim showing that the plaintiff is entitled to relief.* The statement of the claim need only contain enough facts for a court to ***plausibly* infer** that a **claim for relief** exists. A court may dismiss a complaint for failure to state a claim if the complaint does not satisfy this low standard.

Here, the pedestrian's complaint sets forth that the truck driver negligently struck the pedestrian on a particular date (January 15, 2019) and at a specific location (Broad Street in City A, located in State B). It then lists the damages that the pedestrian seeks to recover. Therefore, the complaint alleges facts showing plausible entitlement to relief, and the court will likely deny the truck driver's motion to dismiss for failure to state a claim.

*Detailed, specific facts are unnecessary unless the claim alleges fraud or mistake (neither of which applies here).

(Choice B) Discovery is the pretrial phase of a lawsuit that occurs after the pleading phase in which the parties are compelled to disclose information related to the case. Although the pedestrian has had no opportunity to conduct discovery, the court will deny the truck driver's motion because the complaint sets forth a plausible claim for relief.

(Choice C) Plausible entitlement to relief is a lower standard than probable entitlement to relief. The higher standard of probable entitlement is only used in situations where a preliminary injunction is sought (not seen here).

(Choice D) A plaintiff can state legal conclusions in a complaint. Therefore, the fact that the pedestrian's complaint uses the legal term "negligently" does not render the complaint defective.

Educational objective:

A complaint must generally contain a short and plain statement of the claim showing that the plaintiff is entitled to relief. The statement of the claim need only contain enough facts for a court to plausibly infer that a claim for relief exists.

References

- Fed. R. Civ. P. 8 (complaint requirements).
- Bell Atl. Corp. v. Twombly, 550 U.S. 544, 555–56 (2007) (holding that a complaint must contain a short and plain statement containing enough facts for the court to plausibly infer that a claim for relief exists).

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A woman from State A purchased a luxury motorhome online and wired the dealership a deposit for $80,000. The dealership is incorporated and headquartered in State B. When the dealership shipped the motorhome to the woman, she discovered that it failed to meet the contract specifications and refused to accept delivery. The woman then permanently moved to State C.

The woman sued the dealership in a federal court in State C for breach of contract to recover her deposit. The dealership moved to dismiss for lack of personal jurisdiction and improper venue. The court granted the motion on both grounds and dismissed the action.

The woman immediately filed the same breach-of-contract claim in a federal court in State B. The dealership filed a motion to dismiss, arguing that the dismissal of the first action precludes the second action.

Is the court likely to grant the motion?

A. No, because a dismissal does not operate as an adjudication on the merits.

B. No, because the first action was dismissed without prejudice.

C. Yes, because the dealership obtained a court order to dismiss the first action.

D. Yes, because the first action was involuntarily dismissed.

Explanation:

Voluntary v. Involuntary dismissal

(FRCP 41)

	Process	**Effect**
Voluntary dismissal	π may dismiss suit without court order when: • notice of dismissal filed before Δ serves answer or summary judgment motion *or* • all parties sign stipulation of dismissal π may request court order to dismiss suit unless: • Δ's counterclaim cannot be independently adjudicated	Dismissal *without* prejudice unless: • π previously dismissed federal or state action based on same claim *or* • notice or stipulation states otherwise
Involuntary dismissal	Δ may move to dismiss suit if π failed to: • prosecute own action *or* • comply with rules or court order Δ may move to dismiss suit via: • pre-answer motion • judgment on the pleadings *or* • summary judgment	Dismissal *with* prejudice unless: • court order states otherwise *or* • based on lack of jurisdiction, improper venue, or failure to join required party

FRCP = Federal Rule of Civil Procedure; **π** = plaintiff; **Δ** = defendant.

A **suit can be dismissed** in two ways:

- **Voluntary** dismissal – when the ***plaintiff*** **moves** to dismiss the suit
- **Involuntary** dismissal – when the ***defendant*** **moves** to dismiss the suit (as seen here)

An **involuntary dismissal** generally results in an adjudication on the merits **(Choice A)**. This means that the plaintiff's action is dismissed ***with*** **prejudice**, which precludes the plaintiff from suing the same defendant on the same claim in the future (ie, claim preclusion).

However, an involuntary dismissal based on **lack of jurisdiction**, **improper venue**, or **failure to join** an indispensable party is ***without*** **prejudice** (as seen here). This means that the dismissal is not an adjudication on the merits and does not trigger claim preclusion, so the woman can assert the same claim against the dealership in the State B federal court **(Choice D)**. Therefore, the court will likely deny the dealership's motion to dismiss the second action.

(Choice C) Whether the court entered an order dismissing the action would be relevant in a voluntary dismissal analysis to determine whether the dismissal was with or without prejudice. However, it is irrelevant in an involuntary dismissal analysis because such dismissals always require a court order.

Educational objective:

An involuntary dismissal is generally with prejudice, which precludes the plaintiff from suing the same defendant on the same claim in the future. However, an involuntary dismissal based on lack of jurisdiction, improper venue, or failure to join a required party is without prejudice.

References

- Fed. R. Civ. P. 41(b) (involuntary dismissal).
- 9 Charles Alan Wright et al., Federal Practice and Procedure § 2373 (4th ed. 2020) (explaining the effect of an involuntary dismissal for lack of jurisdiction, improper venue, or failure to join a required party).

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A manufacturer sued its competitor for patent infringement in a federal district court. On February 1, the manufacturer served the competitor with a summons and complaint. The day after the competitor was served with process, the competitor filed and served an answer. On February 28, the manufacturer delivered to the competitor a request to produce certain documents within the next 15 days. The competitor did not respond to the request for production or produce the requested documents by March 15. As a result, the manufacturer filed a motion to compel a written response to the request for production on April 1, the day after the parties' initial planning conference.

Will the federal court likely grant the manufacturer's motion?

A. No, because a request for production is not permitted less than 30 days after service of process.

B. No, because the competitor's response is not due until 30 days after the initial planning conference.

C. Yes, because the competitor failed to produce the requested documents by the 15-day deadline.

D. Yes, because the competitor's response was due 30 days after the request for production was delivered.

Explanation:

A **request for production** is a method of discovery used to compel an opposing party to produce and allow inspection of documents, electronically stored information, tangible things, and land. Such a request is permitted 21 days after service of process but is typically not made until the parties have held an initial planning conference **(Choice A)**. When the request is **served *after* the initial planning conference**, the party receiving the request must serve a **response** in writing **within 30 days of service**.

However, FRCP 26(d) allows a party to deliver an "early" request for production before the initial planning conference. When the request is **delivered *before* the initial planning conference**, a **response** is not **due** until **30 days *after* the conference**.* That is because the early request is considered served at the initial planning conference.

Here, the competitor was served with process on February 1, which is when the manufacturer delivered the summons and complaint. On February 28, the manufacturer delivered to the competitor a request to produce certain documents within 15 days. However, this request was delivered *before* the initial planning conference on March 31, so the competitor has until April 30 to respond to the manufacturer's request. Therefore, the court will likely deny the manufacturer's motion to compel.

*The parties may stipulate to, or the court may order, a different deadline to serve a response to a request for production—regardless of whether the request for production is delivered before or served after the initial planning conference.

(Choice C) The parties may stipulate to discovery deadlines that are shorter or longer than those set by the federal rules. However, one party cannot unilaterally amend a discovery deadline—as the manufacturer attempted to do here.

(Choice D) The competitor's response was due 30 days after the initial planning conference—not 30 days from when the request for production was delivered.

Educational objective:

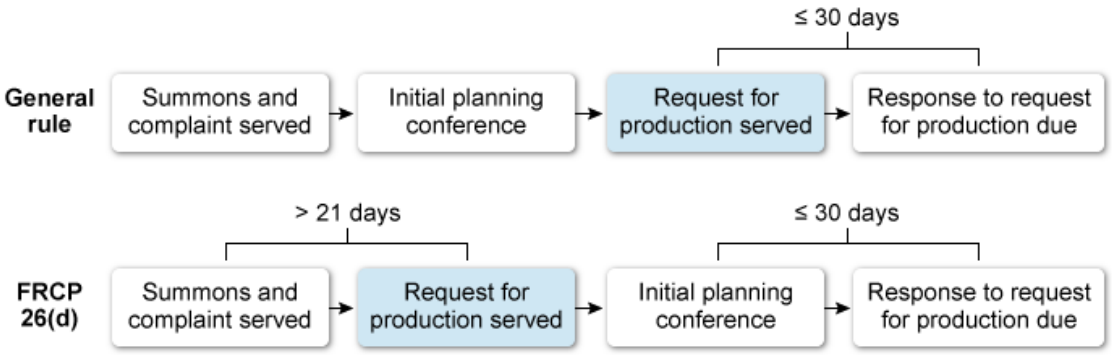
A request for production can be served *before* the parties hold an initial planning conference, and the other party must respond to that request in writing within 30 days after that conference. If the request for production is served *after* the conference, then the response is due within 30 days after the request is served.

References

- Fed. R. Civ. P. 26(d)(2) (timing of request for production or inspection).
- Fed. R. Civ. P. 34 (request for production or inspection).

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Deadline to respond to request for production



FRCP = Federal Rule of Civil Procedure

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A distributor brought a diversity action against a manufacturer in a federal court for breach of contract. During discovery, the distributor's attorney signed and served a request that the manufacturer produce every contract that the manufacturer entered during the past 50 years. The manufacturer's attorney objected in writing to the request, arguing that the request was unduly burdensome and inconsistent with the relevant case law.

The distributor's attorney filed a motion to compel the manufacturer to produce the requested documents. After a hearing on the motion, the trial judge concluded on the record that she agreed with the manufacturer's objections. The judge then ordered the distributor to pay the reasonable expenses incurred by the manufacturer related to the request and hearing.

At the conclusion of trial, the jury returned a verdict for the distributor, and the judge entered judgment on the verdict. The distributor has appealed the award of sanctions.

Is the appellate court likely to overturn the sanctions?

A. No.

B. Yes, because the jury entered a verdict in favor of the distributor.

C. Yes, because the manufacturer did not request the sanctions.

D. Yes, because the trial judge should have issued the sanctions against the distributor's attorney, not against the distributor directly.

Explanation:

Discovery certifications

(FRCP 26(g))

Every discovery disclosure, request, response & objection must be signed by attorney (or unrepresented party), thereby certifying that:

- disclosure is complete & correct *or*
- request, response, or objection is:
  - consistent with existing law or supported by nonfrivolous argument to extend, modify, or reverse existing law or to establish new law
  - not made for improper purpose (eg, harass, cause unnecessary delay, needlessly increase cost of litigation) *and*
  - reasonable & not unduly burdensome or expensive

FRCP = Federal Rule of Civil Procedure.

Discovery is the pretrial phase of a lawsuit during which the parties make required disclosures and seek information through various discovery requests, including requests for production. Every disclosure, request, response, or objection must be signed by an attorney or unrepresented party. By signing, the **attorney or party certifies** to the best of the person's knowledge that (1) the **disclosure is complete and correct** or (2) the **request, response, or objection is**:

- **consistent with existing law** or supported by a nonfrivolous argument to extend, modify, or reverse existing law or to establish new law
- **not made for any improper purpose**, such as to harass, cause unnecessary delay, or needlessly increase the cost of litigation *and*
- reasonable and **not unduly burdensome or expensive**.

A **violation** of these rules, without substantial justification, requires the court to impose **appropriate sanctions** on the signer, the party on whose behalf the signer acted, or both. Sanctions may include an order to **pay reasonable expenses**, including attorney's fees, caused by the violation.

Here, the trial judge determined that the request for production signed by the distributor's attorney was unduly burdensome and inconsistent with the relevant case law. As a result, the judge had the authority to order the distributor (party on whose behalf the attorney acted) to pay the manufacturer's reasonable expenses **(Choice D)**. Therefore, the appellate court will likely uphold, not overturn, the sanctions.

(Choice B) Sanctions may be imposed on a party or its attorney for improper behavior even if that party ultimately prevails on the merits of the case (as seen here).

(Choice C) The fact that the manufacturer did not request sanctions is irrelevant because a court may impose sanctions on its own initiative (ie, sua sponte).

Educational objective:

A court must impose appropriate sanctions on an attorney, party, or both when a discovery disclosure, request, response, or objection is improperly certified. Sanctions may include an order to pay reasonable expenses, including attorney's fees, caused by the violation.

References

- Fed. R. Civ. P. 26(g) (certification of discovery requirements).
- 8A Charles Alan Wright et al., Federal Practice and Procedure § 2052 (3d ed. 2020) (explaining what sanctions may be issued for improper discovery certification).

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A manufacturer sued its competitor in federal district court for allegedly violating the manufacturer's patent. The competitor filed an answer that claimed the patent was invalid and asserted a counterclaim for damages. During a bench trial, the competitor presented overwhelming evidence showing that the manufacturer's chief executive officer (CEO) had used deceptive methods to obtain the patent. At the close of evidence, the judge issued findings of fact and conclusions of law, and the court entered judgment in favor of the competitor.

The competitor was worried that the manufacturer would declare bankruptcy and be unable to pay the judgment, so the competitor moved to amend its counterclaim to add the manufacturer's CEO as a party. It also requested that the court alter the judgment to require the CEO to pay the judgment in the event the manufacturer files for bankruptcy. The district court immediately granted the competitor's motion, and the CEO appealed.

The applicable statute of limitations governing the competitor's counterclaim has yet to expire.

Is the appellate court likely to affirm the district court's action?

A. No, because the district court violated the CEO's due process rights by not allowing him to respond to the counterclaim.

B. No, because the manufacturer did not consent in writing to the competitor's amendment.

C. Yes, because the applicable statute of limitations for the competitor's counterclaim against the CEO has not expired.

D. Yes, because the CEO should have been aware of the pending lawsuit.

Explanation:

Under FRCP 15, a party may **amend** his/her pleading (eg, counterclaim) with the opposing party's written consent or the **court's permission** before, during, or after trial. The court's permission should be freely granted when **justice so requires** and the amendment will ***not* violate due process**. In *Nelson v. Adams USA, Inc.*, the Supreme Court held that a court violates due process when it allows a new party to be added in an amended pleading but does not permit the new party to respond.*

Here, the district court permitted the competitor to amend its counterclaim to add the manufacturer's CEO as a party. The court then violated the CEO's due process rights by not giving him an opportunity to respond before altering the judgment to hold him personally liable in the event the manufacturer declares bankruptcy. Therefore, the appellate court will likely reverse and remand to give the CEO an opportunity to respond.

*Under FRCP 15(a), a new party may respond within the time remaining to respond to the original pleading or within 14 days after being served with the amended pleading—whichever is later.

(Choice B) The manufacturer did not need to consent in writing to the competitor's amendment. That is because a federal court can permit amendments to pleadings without the opposing party's consent and should do so when justice requires—so long as the amendment complies with due process (not seen here).

(Choice C) Although the applicable statute of limitations has not expired, the court violated the CEO's due process rights by amending the counterclaim and altering the judgment without allowing him a chance to respond.

(Choice D) The fact that the CEO should have been aware of the pending lawsuit does not change the due process requirement that he be given an opportunity to respond to the competitor's amended counterclaim.

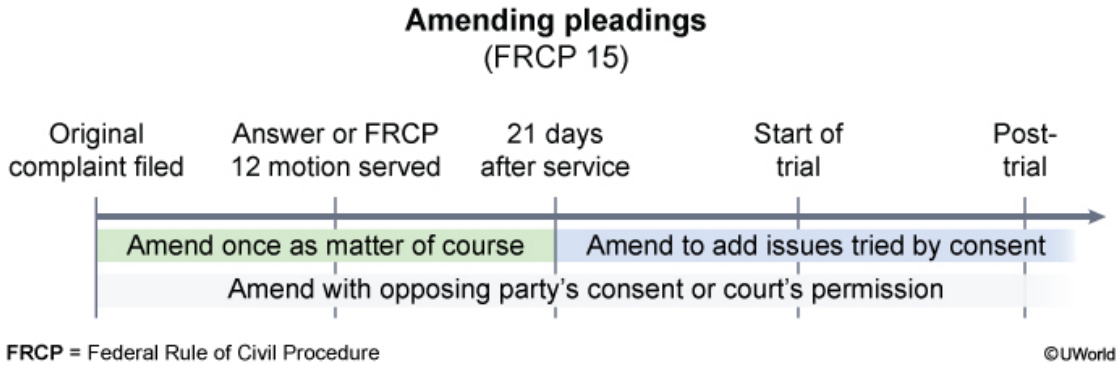
Educational objective:

A court should freely allow parties to amend their pleadings when justice so requires and due process will not be violated. When a court grants a party's motion to amend a pleading to add a new party, due process requires that the new party be given an opportunity to respond.

References

- Fed. R. Civ. P. 15(b) (amending pleadings during and after trial).
- Nelson v. Adams USA, Inc., 529 U.S. 460, 465–67 (2000) (explaining that due process requires that a new party be given an opportunity to respond to an amended pleading).

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The owner of a food processing plant sued a food preservative company in federal court for federal antitrust violations. During discovery, the owner's lawyer served the company with notice of a written deposition of the company. The notice stated the company's name and address and provided the name and address of the officer before whom the deposition would be taken.

The company refused to attend the written deposition. The owner moved for sanctions.

The company is likely to succeed in defeating the owner's motion on which of the following grounds?

A. The owner failed to designate an individual from the company to answer the questions.
B. The owner failed to include a subpoena with the notice.
C. The owner failed to obtain the court's leave before serving the company with the notice.
D. The owner failed to reasonably describe the matters to be examined.

Explanation:

Contents for written notice of deposition*

Type	Similar contents	Unique contents
Oral	• Deponent's name & address (if known) OR general description to identify deponent or group to which deponent belongs (if name unknown)	• Time & place of deposition • Method of recording
Written	• If deponent is organization, matters for examination described with reasonable particularity	• Officer's name / descriptive title & address • Copy of deposition questions

*Must be served on party deponent to compel his/her attendance.

A **deposition** is a method of discovery in which a deponent (party or nonparty) is examined under oath and outside court. There are two types of depositions:

- Oral depositions (most common) – in which the parties' attorneys question and cross-examine the deponent as they would at trial and an officer records that testimony
- Written depositions – in which an officer asks the deponent questions submitted by the parties and then records the deponent's responses

To compel a party deponent's attendance at either deposition, the deposing party must serve the party deponent with **written notice**.* If the **party deponent is an organization**, the notice must **describe the matters** for examination **with reasonable particularity** and satisfy all other notice requirements. Based on the matters identified for examination, the organization must then designate one or more individuals to testify on its behalf. If the deponent fails to attend the deposition, the court may impose sanctions.

Here, the owner served the company with notice of a written deposition, but the company did not attend. However, the notice was *deficient* because it failed to reasonably describe the matters for examination. As a result, the company is likely to defeat the owner's motion for sanctions on this ground.

*The deposing party must also serve a copy of the written notice on the other parties and, for written depositions, on the officer before whom the deposition will be taken.

(Choice A) The company, not the owner, must designate an individual(s) to answer the deposition questions.

(Choice B) A subpoena is required to compel a nonparty deponent's attendance, but a party deponent (eg, the company) can be compelled to attend through written notice.

(Choice C) A party may conduct a deposition without the court's leave or the parties' stipulation unless (1) the deposition exceeds the 10-deposition maximum, (2) the deposition is sought before the initial planning conference, or (3) the deponent was already deposed in the case. None of these exceptions apply here.

Educational objective:

To compel a party deponent's attendance at a deposition, the deposing party must serve the deponent with written notice. When the deponent is an organization, the notice must describe the matters for examination with reasonable particularity. The organization must then designate one or more individuals to testify on its behalf.

References

- Fed. R. Civ. P. 31 (depositions by written questions).
- Fed. R. Civ. P. 30(b)(6) (notice requirements for deposing an organization).

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A construction company bought lumber from an out-of-state supplier. The lumber was supposed to be pressure-treated, which renders the lumber resistant to rot and termites. The construction company used the lumber to build its headquarters, and after one year, the lumber began to show signs of rot and termites.

The construction company sued the supplier for breach of contract in a federal district court.

Which method of discovery should the construction company use to most efficiently identify the supplier's employees who might have information about how the lumber was treated?

A. Interrogatories.

B. Oral deposition.

C. Request for production of documents.

D. Subpoena.

Explanation:

Methods of discovery

Depositions	• Written or oral examination of party or witness under oath • 10 per party
Interrogatories	• Written questions served on party • Serve up to 25 • Written responses due within 30 days of service
Request for production	• Request served on party (or subpoena served on nonparty) to produce & allow inspection of documents, electronic information, tangible items, or land • No limit • Written response due within 30 days of service
Requests for admission	• Requests served on other party to admit truth of facts within scope of discovery • No limit • Written response due within 30 days of service
Physical/mental exams	• Order by court or parties' agreement for physical or mental examination of party if those conditions are in controversy

Interrogatories are **written questions** served by one party on another party that may inquire about any facts, opinions, and contentions within the scope of discovery. One of the primary purposes of interrogatories is to **ascertain facts and information** that might lead to other evidence, and the main benefit of interrogatories is that they are **simple and inexpensive**. Therefore, interrogatories are the most efficient way for the construction company to identify the supplier's employees who might have information about the lumber's treatment.

(Choice B) A deposition is a written or oral examination of a party or nonparty under oath and outside of court. Oral depositions are useful to question potential witnesses because their answers can be used at trial if they are inconsistent with the witnesses' trial testimony or the witnesses are unavailable to testify. But an oral deposition is time-consuming and expensive, so it is not the most efficient method to identify potential witnesses.

(Choice C) A request for production is used to make another party produce and allow inspection of documents, electronically stored information, tangible things, or land in their control. Here, the supplier may have documents that show which employees treated the lumber. But the more efficient method to obtain this information is through interrogatories since they place the burden on the responding party (eg, the supplier) to find the answer.

(Choice D) A subpoena is a written court order that can be used in conjunction with other discovery methods to *compel* a person to appear in court, take part in a deposition, or produce documents in the person's possession. But it would not be useful here since the company is trying to *identify* potential witnesses.

Educational objective:

Interrogatories are written questions served by one party on another party that may inquire about any matter within the scope of discovery. This simple and inexpensive method of discovery is primarily used to identify facts and information that might lead to other evidence—eg, the identity of potential witnesses.

References

- Fed. R. Civ. P. 33 (interrogatories).

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An engaged couple broke up one month before their planned wedding. Upon the breakup, the man asked the woman to reimburse him for the costs associated with the wedding and to return the engagement ring that had belonged to his great-grandmother. The woman, who had moved to another state after the breakup, refused to return the ring.

The man sued the woman in a federal district court to recover the expenses and the engagement ring, which totaled over $100,000. He seeks to possess the ring pending the outcome of the litigation on the merits.

Which of the following provisional remedies would most likely accomplish the man's goal?

A. Garnishment.

B. Receivership.

C. Replevin.

D. Temporary restraining order.

Explanation:

Provisional remedies*

Preliminary injunction	Court order commanding or prohibiting specified action while the case is pending
Temporary restraining order	Court order commanding or prohibiting specified action for 14 days or until preliminary-injunction hearing can take place (whichever occurs first)
Attachment	Seizure of person's property to secure or satisfy future judgment
Replevin	Seizure of personal property in defendant's possession that is transferred to plaintiff's possession pending outcome of suit
Garnishment	Court order directing third party to hold indebted party's assets (eg, wages) until further judicial notice
Receivership	Appointment of neutral third party to manage & administer disputed assets/property

*A federal court can issue any provisional remedy provided under the law of the state where the court is located.

Provisional remedies are temporary remedies issued *before* trial that are designed to maintain the status quo until a final judgment is rendered. Such remedies include, but are not limited to, the following:

- Garnishment – a court order directing a third party (eg, bank or employer) to hold onto an indebted party's assets (eg, employee's wages) until the court provides further notice (**Choice A)**
- Receivership – a court order appointing a neutral third party (ie, receiver) to manage and administer disputed assets and/or property (often used against companies in bankruptcy proceedings) **(Choice B)**
- Temporary restraining order – a court order commanding or prohibiting specified action for 14 days or until a preliminary-injunction hearing can take place—whichever occurs first
- **Replevin** – a court order **seizing property possessed by the defendant** and **transferring it to the plaintiff** pending the outcome of the lawsuit

Here, the man (plaintiff) seeks to possess his great-grandmother's ring for the duration of his suit against the woman (defendant). Since a court order of replevin would force the woman to physically turn over the ring to the man pending the outcome of the litigation—not just for 14 days or until a preliminary-injunction hearing occurs—replevin would best accomplish the man's goal **(Choice D)**.

Educational objective:

Provisional remedies are temporary remedies that maintain the status quo until a final judgment is issued. Replevin is a provisional remedy that allows the court to seize property possessed by the defendant and transfer it to the plaintiff pending the outcome of the lawsuit.

References

- Fed. R. Civ. P. 64 (provisional remedies).

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A man filed a class action in federal court against an insurance company on behalf of thousands of individuals nationwide. The complaint asserted that the insurance company denied these individuals' legitimate claims pursuant to a company policy that violates federal law. The insurance company denied the allegations.

After the parties held an initial planning conference, the man served the insurance company with 25 interrogatories. One of the interrogatories asked the company to list its net profits over the past five years. The interrogatories stated that they were to be answered within 30 days after service.

What is the insurance company's best response to the interrogatory about its net profits?

A. Serve an objection on the ground that interrogatories may only be served on individuals, not companies.

B. Serve an objection on the ground that the interrogatories exceed the number allowed without permission from the court or an agreement between the parties.

C. Serve an answer identifying the specific documents that contain information about the company's net profits and provide the man's attorney an opportunity to inspect and copy those documents.

D. Serve an answer identifying the specific documents that contain information about the company's net profits and provide the man's attorney an opportunity to inspect, but not copy, those documents.

Explanation:

Interrogatories

(FRCP 33)

Questions	• Written questions that inquire about facts, opinions & contentions within scope of discovery • Limit of 25 interrogatories unless stipulated by parties or ordered by court
Responses	• Must answer each interrogatory fully & separately in writing, under oath & signed by responding party • Objections must be specific & signed by responding party's attorney • Due within 30 days of service
Production of records	• May answer by specifying business records from which answer may be derived if: – burden of deriving answers is substantially same for interrogating & responding party *and* – responding party allows interrogating party to examine & copy records

FRCP = Federal Rule of Procedure.

Interrogatories are a method of discovery in which one party serves another party with written questions that inquire about facts, opinions, and contentions within the scope of discovery. The responding party must serve answers within 30 days after being served with the interrogatories.* The responding party may also **answer** an interrogatory **by specifying business records** from which the answer may be derived **if**:

- the **burden** of deriving the answer is **substantially the same** for the interrogating or responding party *and*
- the responding party provides the interrogating party with an **opportunity to examine and copy** such records.

Here, one of the man's interrogatories asked the insurance company to list its net profits over the past five years, which can easily be derived from the company's business records. As a result, the company can respond by (1) serving an answer identifying the specific documents that contain this information and (2) providing the man's attorney an opportunity to inspect and copy those documents.

*The parties may stipulate, or the court may order, a shorter or longer time to respond.

(Choice A) Interrogatories may be served on companies that are parties to the suit. Interrogatories served on a corporation, partnership, association, or government entity must be answered by an officer or agent.

(Choice B) A party may serve up to 25 interrogatories on any other party without the court's permission or an agreement between the parties (as seen here).

(Choice D) The company must provide the man's attorney an opportunity to inspect *and* copy the documents that contain the information about the company's net profits.

Educational objective:

A party may respond to an interrogatory by specifying business records from which the answer may be derived if (1) the burden of deriving the answer is substantially the same for the interrogating or responding party and (2) the responding party provides the interrogating party with an opportunity to examine and copy such records.

References

- Fed. R. Civ. P. 33 (interrogatories).

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A politician from State A sued a newspaper located in State B in a federal court in State A for $200,000. The politician claimed that the newspaper invaded his privacy by publishing his federal income tax records.

During a deposition in State B, the politician's attorney asked the reporter who wrote the article to reveal the name of the source who supplied the records. The reporter, who resides in State A, refused to answer the question to preserve an alleged privilege. At the conclusion of the deposition, the politician's attorney filed a motion in the federal court in State B to compel the reporter to answer the question. After a hearing, the court held that no privilege existed and ordered the reporter to reveal the source. The reporter refused to comply with the court order. The court held the reporter in contempt and sentenced him to jail until he reveals the source.

Was the federal court's action proper?

A. No, because a federal court cannot sentence a person to jail for violating a court order in a civil case.

B. No, because only a federal court in State A may order the reporter to reveal his source and impose sanctions.

C. Yes, because a deponent must answer every question at a deposition.

D. Yes, because the reporter failed to comply with the court's order.

Explanation:

Sanctions for violating discovery order

(FRCP 37(b))

Court location	Sanctions allowed
Where deposition occurred	• Hold in contempt of court
Where suit is pending	• Direct that certain facts be construed against violator • Prohibit violator from offering certain evidence • Strike pleadings in whole or in part • Stay further proceedings until order is obeyed • Hold in contempt of court* • Dismiss claims in whole or in part • Issue default judgment against violator • Order payment of reasonable expenses (eg, attorney's fees) caused by violation

FRCP = Federal Rule of Civil Procedure.

*Cannot be imposed for failing to comply with order for physical or mental examination.

When a deponent fails to answer a question at a deposition, Federal Rule of Civil Procedure 37 allows the party conducting the deposition to file a motion to compel a response.* When the deponent is a party, the motion must be filed in the court where the lawsuit is pending. But when the **deponent is a nonparty** (as seen here), the motion must be filed in the **federal district where the deposition occurred**. The court may then grant the motion and order the deponent to respond.

If the deponent **refuses to comply** with the court's order, the court may impose **sanctions**—eg, hold the deponent in criminal or civil **contempt of court**. The purpose of criminal contempt is to *punish* the violator by imposing a fixed monetary fine or jail sentence. The purpose of civil contempt is to *coerce* compliance with the court order by imposing a fine or jail sentence that lasts until the violator complies (eg, reveals a source) **(Choice A)**. And since the reporter here refused to comply with the court order, the court properly held him in civil contempt.

*A motion to compel can also be filed when an opposing party fails to make a required disclosure, answer an interrogatory, or produce a document.

(Choice B) Since the reporter is not a party in this suit, the federal court in State B (where the deposition occurred) may order him to reveal his source and impose sanctions.

(Choice C) A deponent must answer every question at a deposition unless refusing to answer is necessary to (1) enforce a court-ordered limitation, (2) present a motion to terminate or limit the deposition, or (3) preserve a privilege.

Educational objective:

When a nonparty fails to answer a deposition question, the court where the deposition occurred can order the nonparty to answer the question. If the nonparty fails to obey this order, the court can sanction the nonparty by holding him/her in criminal or civil contempt of court.

References

- Fed. R. Civ. P. 37(a)–(b) (motion to compel & sanctions).

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A doctor from State B performed surgery on a man from State A and implanted a device in the man's lower spine. The device was manufactured by a corporation incorporated and with its principal place of business in State C. Following the surgery, the device fell apart inside the man's back and caused him to suffer severe injuries.

The man sued the corporation in a federal district court in State B for $250,000. The corporation filed a pre-answer motion to dismiss the man's suit for failing to join the doctor as a required party. The corporation claimed that the doctor improperly installed the device and, therefore, is jointly and severally liable for the man's injuries.

Will the court likely grant the corporation's motion to dismiss?

A. No, because the corporation must file an answer before it can make this motion.

B. No, because the doctor is not a required party to the suit.

C. Yes, because it is inequitable to proceed without the doctor.

D. Yes, because joining the doctor to the suit is not feasible.

Explanation:

Under Federal Rule of Civil Procedure (FRCP) 19, an absent party *must* be joined (ie, added) to a suit in certain circumstances. This **required-joinder rule** provides a three-step process for determining whether joinder is necessary. The **first step** requires the court to determine whether the **absent party** is a **required** (ie, indispensable) party because:

- **complete relief cannot be granted** to the existing parties without that party's presence
- the party's absence will subject existing parties to a substantial risk of **multiple or inconsistent obligations** *or*
- the party's absence will **prejudice** his/her **ability to protect an interest** related to the suit.

Potential tortfeasors facing joint and several liability are *not* required parties. Joint and several liability allows a plaintiff to obtain complete relief from any one of the tortfeasors. That tortfeasor is not subject to multiple or inconsistent obligations because the tortfeasor may sue any absent tortfeasor for contribution. The absent tortfeasor can then protect its interests in the contribution suit. As a result, the doctor is not a required party in the man's suit, and the court will likely deny the corporation's motion to dismiss.*

*If the corporation seeks to add the doctor because he is allegedly liable to the corporation for all or part of the man's claim, it should add the doctor to the suit through third-party practice (ie, impleader).

(Choice A) FRCP 12 allows a defendant to make several motions before filing his/her answer—including a motion to dismiss for failing to join a required party (as seen here).

(Choices C & D) The second step in the required-joinder rule considers whether it is feasible to join the required party, and the third step considers whether it is equitable to proceed without the required party. However, these steps need only be considered if the absent party is a required party (not seen here).

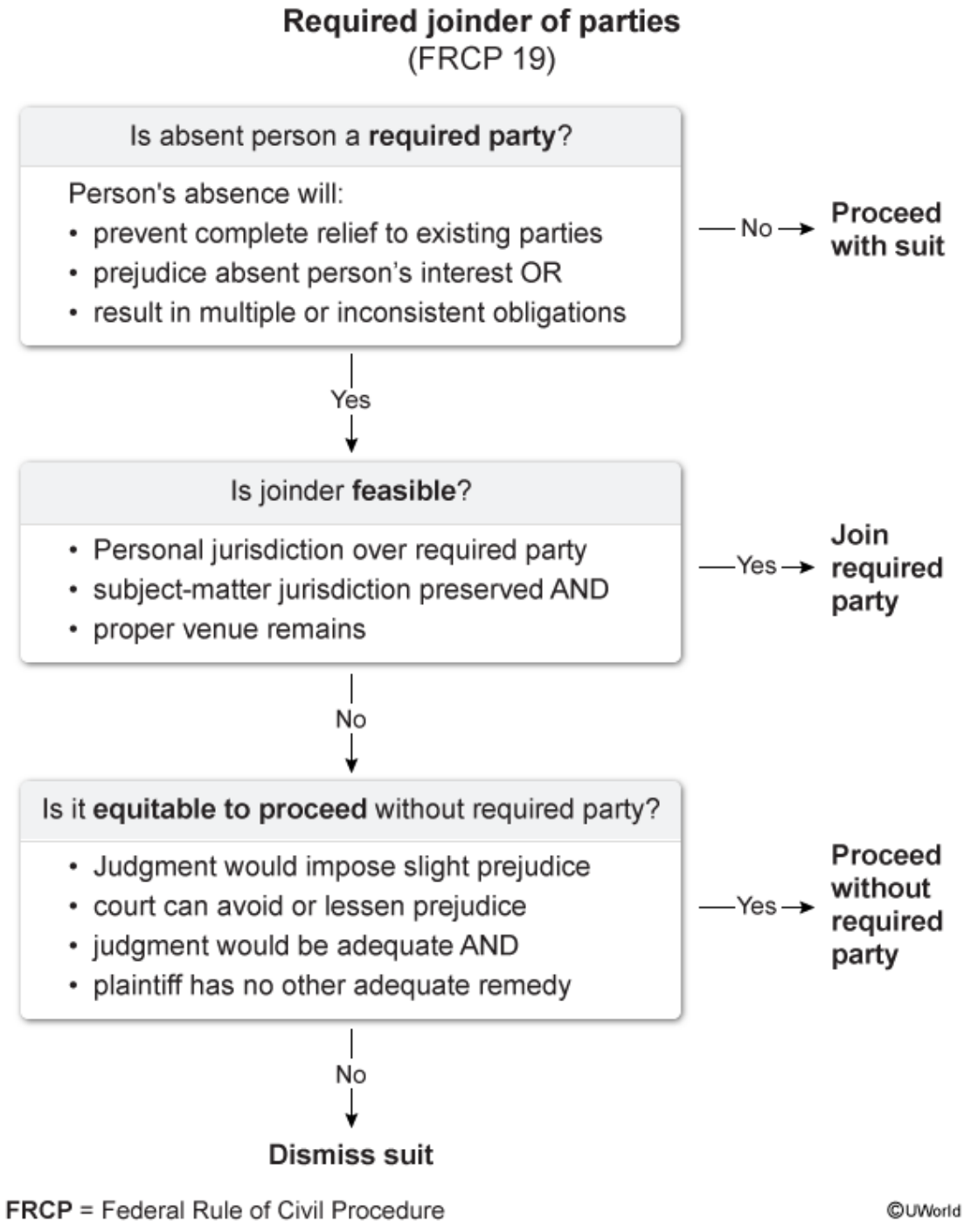
Educational objective:

Alleged tortfeasors facing joint and several liability are not required parties because (1) complete relief can be granted in their absence, (2) the tortfeasors in the suit will not be subjected to multiple or inconsistent obligations, and (3) the absent tortfeasors can adequately protect their interests in a future action.

References

- Fed. R. Civ. P. 19 (required joinder of parties).
- Temple v. Synthes Corp., Ltd., 498 U.S. 5, 7–8 (1990) (explaining that joint tortfeasors are not required parties).

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A motorcyclist from State A, who suffered severe injuries in an automobile collision with a driver from State B, filed a complaint against the driver in federal court. In her complaint, the motorcyclist sought to recover special damages for her medical expenses by requesting that the driver pay "my medical expenses." Fifteen days after being served with process, the driver filed a motion for a more definite statement. The motion alleged that the complaint failed to state with specificity the medical expenses incurred by the motorcyclist and set forth the details that needed to be included.

Will the driver likely succeed on his motion for a more definite statement?

A. No, because claims for damages may be alleged generally.

B. No, because the driver has yet to conduct discovery.

C. No, because the driver must file an answer before he can make this motion.

D. Yes, because the motorcyclist failed to specifically state her claim for special damages.

Explanation:

Specificity of pleadings

Claim	Pleading requirements
General rule	• Complaint – short & plain statement of claim showing plaintiff is entitled to relief • Answer – short & plain statement of admissions, denials, defenses & claims against other parties
Fraud/mistake/mental condition	• Malice, intent, knowledge, or other mental condition may be alleged generally • Circumstances giving rise to fraud/mistake must be stated with particularity
Conditions precedent	• Assertion that conditions precedent occurred may be alleged generally • Denial that conditions precedent occurred must be stated with particularity
Damages	• General damages may be alleged generally • Special damages must be specifically stated

A complaint is a pleading that initiates the plaintiff's lawsuit. It generally must contain a short and plain statement of the claim showing that the plaintiff is entitled to relief. However, there are **special pleading requirements** for certain claims, including compensatory damages. There are two main types of compensatory damages:

- **General damages** – the natural and necessary results of a wrongful act that **do *not* have a fixed value** and may be **alleged *generally*** (eg, pain and suffering)
- **Special damages** – the natural, but not necessary, results of a wrongful act that ***have* a fixed value** and must be ***specifically* stated** (eg, medical expenses)

When a complaint includes claims for special damages that do not contain the requisite specificity, the defendant may file a motion for a more definite statement that identifies the pleading's defects and the details needed to cure them.

Here, the motorcyclist's complaint sought to recover *special* damages for her medical expenses by requesting that the driver pay "my medical expenses." But the motorcyclist failed to *specifically* state her medical expenses—eg, "the accident caused me to suffer medical expenses totaling $100,000." Therefore, the driver will likely succeed on his motion for a more definite statement.

(Choice A) Claims for *general* damages may be alleged generally. But the motorcyclist's claim is for *special* damages, which must be specifically stated (not seen here).

(Choice B) Discovery is the pretrial phase of the lawsuit during which the parties are compelled to disclose information related to the case. Although the driver will likely learn more about the motorcyclist's medical expenses when discovery later occurs, this does not excuse the motorcyclist's failure to state her claim for medical expenses with the requisite specificity.

(Choice C) FRCP 12 allows a defendant to make several motions before filing an answer—including a motion for a more definite statement (as seen here).

Educational objective:

General damages (eg, pain and suffering) *do not* have a fixed value and may be alleged generally in a complaint. Special damages (eg, medical expenses) *do* have a fixed value and must be specifically stated in the complaint.

FRCP = Federal Rule of Civil Procedure.

References

- Fed. R. Civ. P. 9(g) (pleading special damages).
- Fed. R. Civ. P. 12(e) (filing a motion for a more definite statement).
- 22 Am. Jur. 2d Damages §§ 42–43 (2022) (defining general and special damages).

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A customer brought a federal diversity action against a corporation. During discovery, the customer requested information that was stored on hard drives at the corporation's headquarters. The corporation informed the customer that the hard drives had been wiped clean when the corporation switched over to a new information technology firm a few months before the customer filed suit. The customer moved for sanctions.

After a hearing, the court found that the corporation negligently failed to preserve the information contained in the hard drives, but that the corporation did not act intentionally to prevent the customer from accessing the information. The court also found that the information cannot be obtained by any other means and that the loss of this information prejudices the customer's claim.

Based on those findings, what action should the court take?

A. Enter a default judgment in favor of the customer.

B. Instruct the jury at trial that it must presume that the lost information was unfavorable to the corporation.

C. Permit the parties to present evidence at trial regarding the loss of information.

D. Prohibit the corporation from seeking discovery in the lawsuit to put the parties at a similar disadvantage.

Explanation:

Sanctions may be appropriate if a party failed to preserve **electronically stored information** (ESI) that:

- should have been preserved in the **anticipation or conduct of litigation**
- is lost because the party **failed** to take **reasonable steps to preserve** it *and*
- **cannot be replaced** or restored through additional discovery.

If the court finds that the party intentionally deprived the requesting party of the ESI, the court may:

- presume that the lost ESI was unfavorable to the party that failed to preserve it
- instruct the jury that it may *or* must presume the lost ESI was unfavorable to that party **(Choice B)** *or*
- dismiss the action or enter a default judgment against that party **(Choice A)**.

These sanctions are not available here because the corporation acted negligently—not intentionally. As a result, the court should only **order measures** that are no greater than necessary to **cure the prejudice** caused to the customer—eg, allow the parties to present evidence at trial regarding the loss of the ESI.

(Choice D) It is unlikely that a court would prohibit a party from seeking discovery as a form of sanction as that would frustrate the purpose of discovery—ie, to uncover facts, narrow the issues in dispute, and otherwise prepare both parties for trial.

Educational objective:

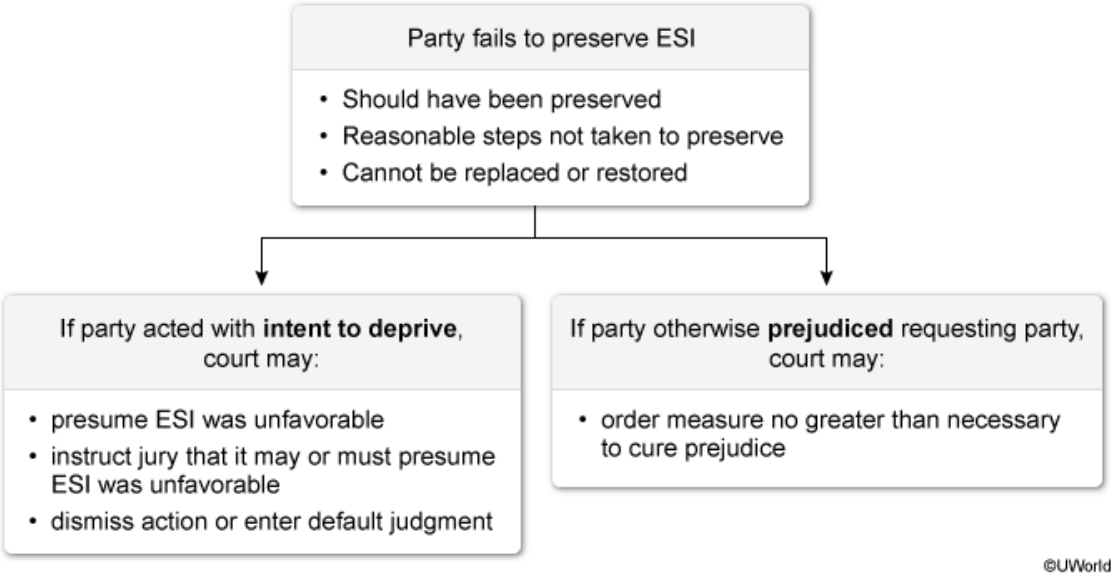
A court may order measures no greater than necessary to cure prejudice caused by a party's failure to preserve electronically stored information that (1) should have been preserved in the anticipation or conduct of litigation, (2) is lost because the party failed to take reasonable steps to preserve it, and (3) cannot be replaced or restored.

References

- Fed. R. Civ. P. 37(e) (failure to preserve electronically stored information).

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Sanctions for failure to preserve electronically stored information (ESI)



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A consumer filed a class action in federal court on behalf of millions of users of a social media site for $100 million, claiming that the corporation that owns the site shared the users' data without their consent. The court certified the class action after determining that common questions of law and fact predominated and that the class action was the best method to fairly and efficiently adjudicate the dispute. Notice was sent by email to users of the social media site, informing them of their right to opt out of the class action. However, due to a technical error, a certain group of users was never sent the notice. The class eventually reached a settlement with the corporation, and the court entered an order dismissing the class action with prejudice.

Two months later, the group of users who never received notice of the first class action filed an identical class action against the same corporation in federal court. The corporation moved to dismiss.

How will the court likely rule on the corporation's motion?

A. Deny the motion, because email is not an appropriate means to send notice of a class action.

B. Deny the motion, because the group had no opportunity to opt out of the first class action.

C. Grant the motion, because notice of the first class action was appropriately provided under the circumstances.

D. Grant the motion, because the first class action was dismissed with prejudice.

Explanation:

Adequate notice for class action

Contents Notice must clearly & concisely state in plain language:

- nature of action
- definition of class
- claims, issues, or defenses
- class member may appear through attorney
- court will exclude member who opts out of class
- time & manner for opting out *and*
- binding effect of class judgment

Delivery Court must provide notice by most practical means—including individual notice to reasonably identifiable members

Costs Plaintiff bears cost of notifying members of class action

A federal court has the power to certify (ie, authorize) the following types of class actions:

- Prejudicial risk – separate actions would create a risk of (1) inconsistent decisions regarding the parties or (2) impairing absent class members' interests

- **Common question** – common questions of law or fact predominate over individual questions, and a class action is the best method to fairly and efficiently adjudicate the dispute (as seen here)

- Final equitable relief – injunctive or declaratory relief is appropriate because the opposing party's actions generally apply to the whole class

In a "common question" class action, **adequate notice must be provided** to all class members because they have the **right to opt out** of the class action and sue on their own behalf.* Notice must be provided by the most practical means under the circumstances, including U.S. mail, email, or other reasonable means. A **class member** who **receives notice** but **fails to opt out *cannot* pursue a subsequent suit** involving the same claim.

Here, notice of the first class action against the corporation was appropriately provided by email to users of the social media site **(Choice A)**. However, a group of users never received this notice due to a technical error and had no opportunity to opt out of the first class action. As a result, the group may pursue a subsequent class action against the corporation involving the same claim, and the court will likely deny the corporation's motion to dismiss **(Choice C)**.

*In "prejudicial risk" and "final equitable relief" class actions, notice is not required because class members do not have a right to opt out. Instead, a court has the discretion to provide notice and an opportunity to opt out of such class actions.

(Choice D) The court order dismissing the first class action with prejudice means that the members of that class action cannot sue on the same claim in the future. However, it does not prevent the group from asserting the same claim since the group was not provided with notice and had no opportunity to opt out.

Educational objective:

In a "common question" class action, adequate notice must be provided to all class members because they have the right to opt out of the class action. A class member who receives such notice but fails to opt out cannot pursue a subsequent suit involving the same claim.

References

- Fed. R. Civ. P. 23(c)(2) (notice requirements for "common question" class action).
- 7AA Charles Alan Wright et al., Federal Practice and Procedure § 167; 1786 (3d ed. 2020) (explaining the notice requirements for a "common question" class action).

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A software developer left her company to open her own software firm. The developer and her new employees immediately began contacting the company's clients in violation of her noncompete agreement with the company.

The company filed a diversity action in federal court against the developer. The complaint requested damages and preliminary and permanent injunctions. After a hearing at which both parties were present, the court granted a preliminary injunction that prohibited "[the developer] and her employees from contacting any of [the company's] clients pending the outcome of the case." The court also explained why the injunction was issued. The developer and her employees received copies of the preliminary injunction the following day.

Are the employees bound by the preliminary injunction?

A. No, because the employees are not parties to the lawsuit.

B. No, because the preliminary injunction violates due process.

C. Yes, because the employees received actual notice of the preliminary injunction.

D. Yes, because the preliminary injunction specifically mentioned the employees.

Explanation:

Preliminary injunction

Grounds* Movant establishes that:

- movant is likely to succeed on merits
- movant is likely to suffer irreparable harm in absence of relief
- balance of equities favors movant *and*
- injunction is in public's best interests

Contents Order granting injunction must:

- state reasons for issuance
- reasonably describe prohibited or commanded acts *and*
- state terms specifically

Effect Binds the following persons who receive actual notice of order:

- parties
- parties' officers, agents, employees & attorneys *and*
- anyone in active concert or participation with above-listed persons

*Movant also must provide bond to pay costs & damages if nonmovant was wrongfully enjoined.

A **preliminary injunction** is a temporary court order that commands or prohibits certain actions while the case is pending before the court. It **binds** any of the following persons who receive **actual notice** of it:

- The **parties** to the case
- Those parties' **officers, agents, *employees*, and attorneys**
- Any person who is in **active concert or participation** with the aforementioned persons

Since the developer's *employees* received copies of the preliminary injunction, they are bound by it **(Choice A)**.

(Choice B) Due process protects persons against unfair deprivation of life, liberty, or property. Only *public* employees who are terminable for cause (as opposed to at-will employees) have a property interest in their jobs. And even if the employees here had such a property interest, the injunction's prohibition against contacting the company's clients would not deprive them of that interest.

(Choice D) The employees are not bound merely because they are mentioned in the preliminary injunction. Instead, they are bound because they received actual notice of it.

Educational objective:

A preliminary injunction binds the following persons who receive actual notice of it: (1) the parties, (2) their officers, agents, employees, and attorneys, and (3) any person in active concert or participation with the aforementioned persons.

References

- Fed. R. Civ. P. 65(d) (persons bound by preliminary injunction).

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Hundreds of same-sex couples domiciled across the country initiated a class action in a federal district court against a health insurance company. The suit alleged that the insurance company violated a federal statute by charging the couples higher insurance premiums solely because they were in a same-sex relationship. The suit sought an injunction to stop the insurance company's discriminatory premiums as well as individualized monetary damages of $5,000 to $20,000 for each couple.

The district court entered an order certifying the suit as a "final equitable relief" class action after it determined that injunctive relief was appropriate because the insurance company's actions applied generally to the whole class. The insurance company immediately appealed the certification order.

Is the federal appellate court likely to overturn the certification order?

A. No, because subject-matter jurisdiction exists over the class action.

B. No, because the district court has not entered a final judgment.

C. Yes, because the amount-in-controversy requirement was not satisfied.

D. Yes, because the class action seeks individualized monetary damages.

Explanation:

A federal appellate court applies the abuse of discretion standard when reviewing a district court's discretionary certification order authorizing a **class action** to proceed. Class action certification is proper if the case satisfies four prerequisites (shown above) and is one of the following types of class actions:

- Prejudicial risk – when separate actions would create a risk of (1) inconsistent decisions regarding the parties or (2) impairing absent class members' interests
- Common question – when common questions of law or fact predominate over individual questions and a class action is the best method to resolve the dispute
- **Final equitable relief** – when **injunctive or declaratory relief** is appropriate because the opposing party's actions **generally apply to the whole class**

A certified "final equitable relief" class action is **valid if** the suit also seeks ***incidental* monetary damages**. Such damages flow from liability to the class and do not require individualized determinations (eg, statutorily mandated damages). In contrast, a certified "final equitable relief" class action is **invalid if** the suit also seeks ***individualized* monetary relief** (as seen here).* Therefore, the district court abused its discretion in certifying the couples' suit as a "final equitable relief" class action, and the certification order will likely be overturned.

*A certified "final equitable relief" class action that seeks individualized monetary relief may violate due process because, unlike in "common question" class actions, class members are not entitled to notice or an opportunity to opt out and pursue individual suits.

(Choices A & C) Subject-matter jurisdiction exists through federal-question jurisdiction, which has no amount-in-controversy requirement, because this class action arises under a federal statute. However, this action was improperly certified since it contains individualized monetary claims.

(Choice B) The final-judgment rule bars a federal appellate court from hearing an appeal until the district court has entered a final judgment—absent limited exceptions. One such exception is an appeal of a district court's order granting or denying class action certification (as seen here).

Educational objective:

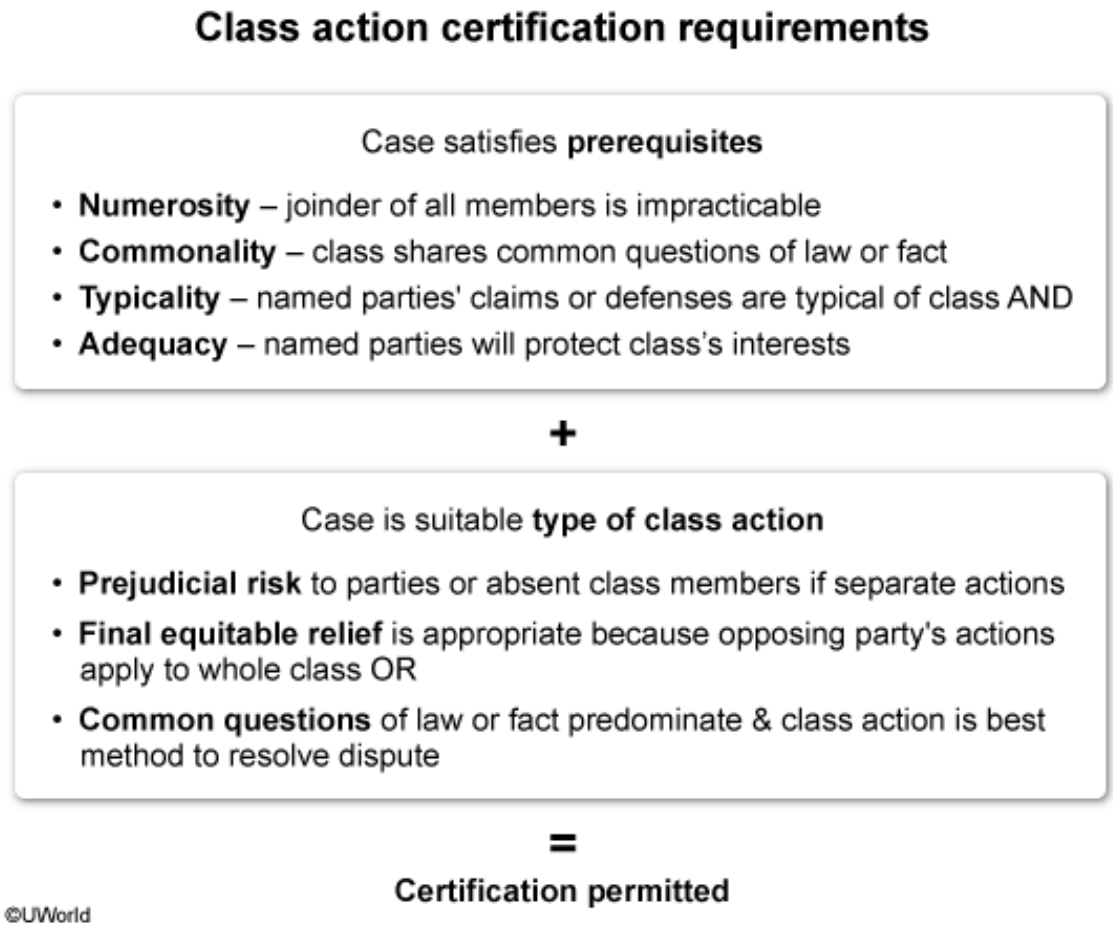
A suit may be certified as a "final equitable relief" class action when injunctive or declaratory relief is appropriate because the opposing party's actions generally apply to the whole class. Certification of such a class action is appropriate even if it also seeks incidental monetary damages—but not individualized monetary relief.

References

- Fed. R. Civ. P. 23(a)–(b) (class action certification requirements).

- Wal-Mart Stores, Inc. v. Dukes, 564 U.S. 338, 360–62 (2011) (explaining that certification of a "final equitable relief" class action is invalid when the class members seek individualized monetary relief).

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An entrepreneur from State A sued a company incorporated and headquartered in State B in federal court in State B to recover $100,000 in damages. The entrepreneur alleged that the company breached their contract by disclosing confidential information supplied by the entrepreneur's consultant, a U.S. citizen who resides in a foreign country. The company denies receiving this information from the consultant.

The entrepreneur asked the consultant to voluntarily attend a deposition or submit an affidavit, but he refused. The entrepreneur then moved for, and the court issued a subpoena requiring, the consultant's appearance at a deposition in State B. The consultant was served with the subpoena by mail in accordance with an international agreement signed by the foreign country. The subpoena contained the contents required by federal rules and stated that the consultant must pay his own expenses to attend the deposition.

What is the consultant's best argument that he does not need to comply with the subpoena?

A. The consultant's testimony is unnecessary in the interest of justice.
B. The court lacks authority to issue a subpoena for a person in a foreign country.
C. The entrepreneur failed to pay the consultant's travel and attendance expenses.
D. The entrepreneur used an improper method to serve the subpoena.

Explanation:

A **subpoena** is a written court order that generally commands a person to testify at a trial, hearing, or deposition. Federal courts have the authority to subpoena **U.S. citizens in a foreign country*** (eg, the consultant) pursuant to special rules governing the issuance and service of such subpoenas **(Choice B)**. Such a subpoena is **validly issued when it**:

- contains the required contents (as seen here)
- is issued from the court where the action is pending (as seen here) *and*
- seeks testimony that is (1) **necessary in the interest of justice** and (2) **impractical to obtain** in an admissible form without the witness's personal appearance.

Here, the consultant's testimony about the disclosure of confidential information is necessary in the interest of justice because it is the basis for the entrepreneur's breach-of-contract claim **(Choice A)**. And it is impractical to obtain this testimony without the consultant's appearance because he refused to voluntarily attend a deposition or submit an affidavit. As a result, the subpoena was validly issued.

The entrepreneur then had to validly serve the subpoena on the consultant by:

- using a method of service that the federal rules allow for service of process **in a foreign country** (eg, pursuant to an international agreement) *and*
- **paying** the consultant's **travel and attendance expenses**.

Here, the consultant was served with the subpoena by mail. This is a proper method of service since an international agreement signed by the foreign country permits such service **(Choice D)**. However, the subpoena was invalidly served because the entrepreneur failed to pay the consultant's travel and attendance expenses. As a result, this is the consultant's best argument that he does not need to comply with the subpoena.

*A federal court may not issue subpoenas to foreign citizens in foreign countries since they owe no allegiance to the U.S.

Educational objective:

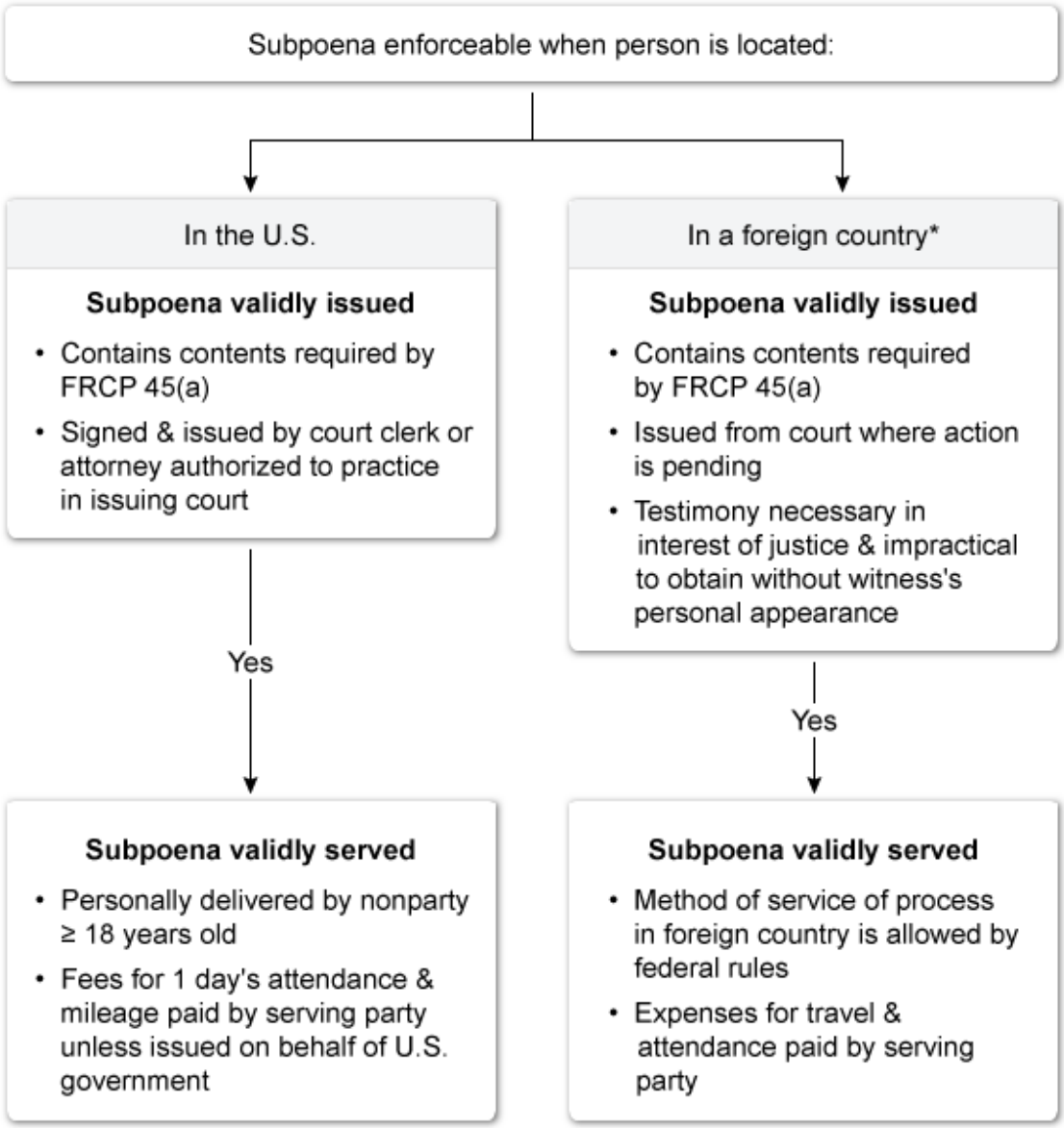
Federal courts can subpoena U.S. citizens in a foreign country when their testimony is necessary in the interest of justice and impractical to obtain by other means. Such subpoenas are validly served when the serving party (1) uses a method of service allowed by the federal rules and (2) pays the citizen's attendance and travel expenses.

References

- 28 U.S.C. § 1783 (subpoena of person in foreign country).
- 9A Charles Alan Wright et al., Federal Practice and Procedure § 2462 (3d ed. 2020) (explaining the requirements to issue and serve subpoenas to U.S. citizens in foreign countries).

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Subpoenaing person in the U.S. or foreign country



*A non-U.S. citizen may be subpoenaed in the U.S. but not in a foreign country.
FRCP = Federal Rule of Civil Procedure.

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A plaintiff brought a diversity action against a defendant in federal court. During discovery, the plaintiff orally deposed the defendant. Upon completion of that deposition, the plaintiff sought to depose the defendant again, which would be the tenth deposition taken by the plaintiff in the case.

The plaintiff served the defendant with written notice stating the time and place of the deposition. Upon receipt of the notice, the defendant's attorney called the plaintiff's attorney to tell him that the defendant would not appear at the deposition. The plaintiff's attorney demanded that the defendant appear as noticed. Neither the defendant nor the defendant's attorney appeared at the deposition. The plaintiff's attorney has moved for sanctions.

Is the court likely to impose sanctions?

A. No, because the defendant had already been deposed in the action.

B. No, because the plaintiff failed to serve a subpoena to compel the defendant's attendance.

C. Yes, because the defendant received written notice of the deposition.

D. Yes, because the plaintiff is entitled to take up to 10 depositions.

Explanation:

Leave of court for oral or written deposition

Court's leave* or parties' stipulation required to conduct deposition when:

- deposition exceeds 10-deposition limit
- deposition sought before parties' initial planning conference *or*
- deponent already deposed in action

*Leave of court is always required when deponent is in prison.

An **oral deposition** is a method of discovery in which the deposing party conducts an oral examination of another party or nonparty (deponent) under oath and outside of court. To compel the attendance and testimony of a party deponent, the deposing party must provide the party deponent with written notice. If the party deponent fails to attend, the federal court may impose sanctions.

Notice may be provided and the deposition conducted **without the court's leave** (ie, permission) or the **parties' stipulation *unless***:

- the deposition **exceeds the 10-deposition limit** (which includes both oral and written depositions)
- the deposition is **sought before** the parties' initial planning conference* *or*
- the **deponent was already deposed** in the action.

Here, the plaintiff sought to conduct an oral deposition of the defendant after the defendant had already been deposed in the action. Since the plaintiff failed to obtain the court's leave and the parties did not stipulate to the second deposition, the plaintiff's written notice to the defendant was improper **(Choice C)**. As a result, the defendant was *not* required to attend the deposition, and the court is unlikely to impose sanctions.

*Leave of court or the parties' stipulation is not required for an oral deposition conducted before the initial planning conference if the deposing party certifies (and provides supporting facts) in the notice that the deponent is expected to leave the U.S and be unavailable for examination.

(Choice B) A subpoena is required to compel a *nonparty* deponent's attendance at an oral deposition. But a *party* deponent can be compelled to attend through written notice.

(Choice D) Although the plaintiff was entitled to take up to 10 depositions, leave of court or a stipulation between the parties was required before the plaintiff could depose the defendant a second time.

Educational objective:

A party may provide notice of and conduct an oral deposition without the court's leave or the parties' stipulation *unless* (1) the deposition exceeds the 10-deposition limit, (2) the deposition is sought before the initial planning conference, or (3) the deponent was already deposed in the case.

References

- Fed. R. Civ. P. 30(a) (when court's leave or parties' stipulation required for oral deposition).

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A company incorporated in State A and with its principal place of business in State B sued its former employee from State C in a federal district court in State A for allegedly embezzling $80,000. During a deposition of the employee in State B, the company's attorney asked the employee whether he stole the money. The employee's attorney objected and directed the employee not to answer to preserve his Fifth Amendment privilege against self-incrimination. The company's attorney thinks this privilege does not apply because she believes that the statute of limitations has run on any criminal proceedings that could be brought against the employee for his conduct.

How should the company's attorney proceed?

A. Adjourn the deposition and file a motion with the federal court in State B to compel the employee to answer.

B. Adjourn the deposition and file a motion with the federal court in State C to compel the employee to answer.

C. Proceed with the deposition and then file a motion with the federal court in State A to compel the employee to answer.

D. Proceed with the deposition and then file a motion with the federal court in State B to compel the employee to answer.

Explanation:

Depositions

Type	Procedure	Objections	Answers
Oral (most common)	• Questions asked by attorneys • No notice of questions • Responses recorded by officer	Concisely stated on record	Answer required unless: • enforcing court-ordered limitation • presenting motion to terminate or limit *or* • preserving privilege
Written	• Questions asked by officer • Notice of questions required • Responses recorded by officer	Served in writing	

A deposition is a method of discovery in which a party conducts a written or oral examination of another (ie, the deponent) under oath and outside of court. In an **oral deposition**, the parties' attorneys question the deponent. Like at a trial, any **objections** to these questions must be stated on the record or they may be waived. But unlike a trial, a judge is not present to rule on any objections. As a result, the objection is noted, the examination proceeds, and the **deponent must answer** the questions **unless** refusing to answer is necessary to:

- enforce a court-ordered limitation (eg, an order limiting the deposition's scope)
- present a motion to terminate or limit the deposition (eg, to prevent unreasonable annoyance or embarrassment of the deponent) *or*
- **preserve a privilege** (eg, privilege against self-incrimination)—as seen here.

The questioning party may adjourn or complete the deposition before **filing a motion to compel** a response. If the deponent is a ***nonparty***, the motion must be filed where the **deposition occurred**. But if the deponent is a ***party*** (as seen here), it must be filed where the **lawsuit is pending**. Therefore, the company's attorney should proceed with the deposition and file a motion in State A federal court to compel the employee's answer **(Choices A, B & D)**. The judge will then assess the merits of the employee's privilege claim and decide if a response is required.

Educational objective:

When a deponent refuses to answer a question at a deposition, the questioning party may file a motion to compel a response. When the deponent is a nonparty, that motion must be filed in the district where the deposition occurred. But when the deponent is a party, the motion must be filed where the lawsuit is pending.

References

- Fed. R. Civ. P. 30(c)(2) (objections at depositions).
- Fed. R. Civ. P. 37(a)(2)–(3) (motion to compel deposition answer).

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A plaintiff filed an action in federal district court and served the defendant with the summons and complaint. The defendant moved to dismiss the complaint for failure to state a claim.

Instead of opposing the motion to dismiss, the plaintiff voluntarily dismissed the action and filed a new action alleging the same claims and addressing the pleading defects outlined in the defendant's motion to dismiss. The defendant moved to dismiss the second action, and the plaintiff voluntarily dismissed the second action instead of filing opposition papers.

The plaintiff has filed a third action asserting the same claims and new allegations that are responsive to the defendant's second motion. The defendant has moved to dismiss the third action; the plaintiff opposes the motion.

Is the court likely to grant the defendant's motion?

A. No, because the plaintiff has promptly and diligently attempted to address the pleading defects.

B. No, because the plaintiff voluntarily dismissed each previous action before the defendant filed an answer or moved for summary judgment.

C. Yes, because the plaintiff failed to seek a court order dismissing the second action.

D. Yes, because the plaintiff's previously dismissed actions asserting the same claims operate as an adjudication on the merits.

Explanation:

Under Federal Rule of Civil Procedure 41(a), a **plaintiff** may **voluntarily dismiss** a suit without a court order by filing (1) a stipulation of dismissal signed by all the parties or (2) a notice of dismissal before the defendant serves an answer or a summary judgment motion. Here, no court order was required since the plaintiff voluntarily dismissed the first and second actions before an answer or summary judgment motion was filed **(Choice C)**.

A **voluntary dismissal** is generally entered *without* prejudice. This means that the plaintiff can sue the defendant on the same claim in the future. However, a voluntary dismissal is ***with* prejudice** and operates as an **adjudication on the merits** when stated in an order, notice, or stipulation of dismissal OR the **two-dismissal rule** applies. This rule applies when the plaintiff:

- voluntarily dismissed the **first action** in federal or state court **without a court order** *and*
- voluntarily dismissed the **second action** based on the **same claim** in federal court by filing a **notice of dismissal**.

Here, the plaintiff likely dismissed both actions by a notice of dismissal since there is no indication that the court issued an order or the parties signed a stipulation. Since these actions asserted the same claims, the second dismissal operated as an adjudication on the merits. Therefore, the court will likely grant the defendant's motion to dismiss the third action.

(Choice A) The fact that the plaintiff has promptly and diligently attempted to address the pleading defects raised by the defendant does not affect the application of the two-dismissal rule.

(Choice B) Although the plaintiff voluntarily dismissed each previous action before the defendant filed an answer or moved for summary judgment, the two-dismissal rule still bars the third action.

Educational objective:

Under the two-dismissal rule, a voluntary dismissal of a second action operates as an adjudication on the merits when the plaintiff voluntarily dismissed (1) the first action in federal or state court without a court order *and* (2) the second action based on the same claim in federal court by filing a notice of dismissal.

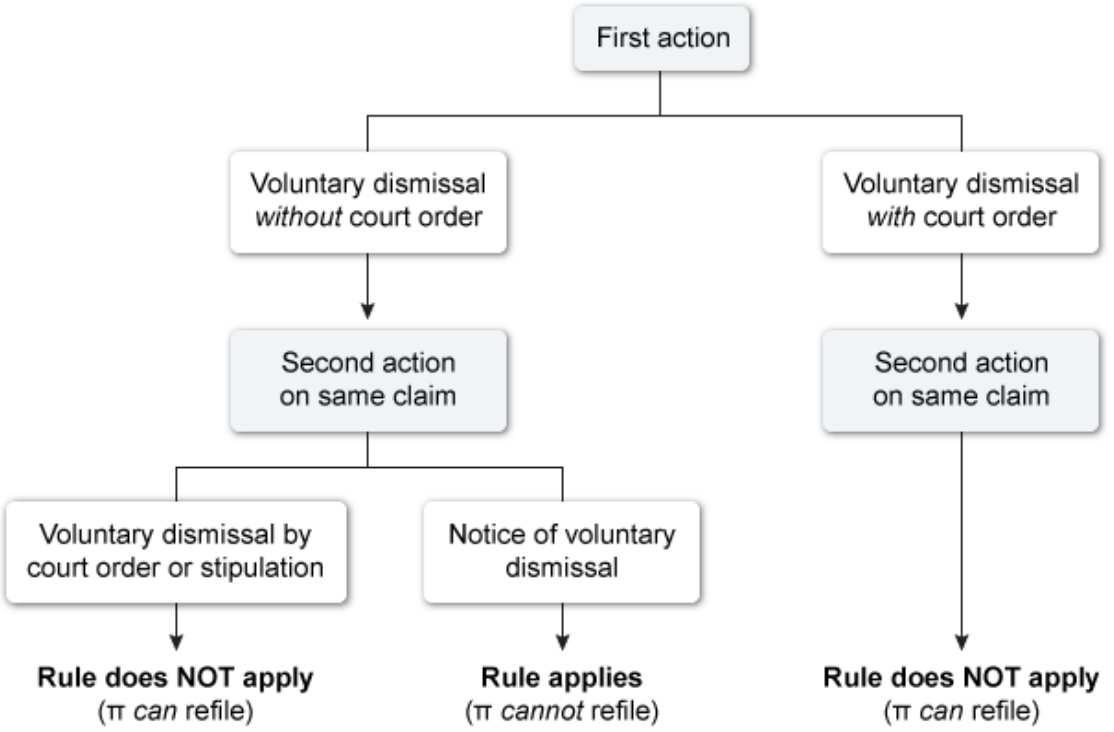
References

- Fed. R. Civ. P. 41(a) (voluntary dismissals).

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Two-dismissal rule on voluntary dismissals



π = plaintiff

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An electrician and a plumber filed separate diversity actions against a construction company in which they both claim that the company failed to pay them the amount specified in their contracts. The company defended on the ground that the electrician and plumber failed to complete their work on time. The electrician served a request for admission on the company, requesting that the company admit that it repeatedly denied contractors such as the electrician access to the construction site. The company did not respond to the request.

Forty-five days after the electrician's request was served, the plumber asked the court during a pretrial conference to enter an order conclusively establishing the fact that the company repeatedly denied contractors access to the construction site. The plumber relied on the company's failure to timely respond to the electrician's request for admission.

Is the court likely to enter the order?

A. No, because the construction company has sixty days to respond to the electrician's request for admission.

B. No, because the plumber cannot rely on the construction company's failure to respond to the request for admission in the electrician's action.

C. Yes, because the construction company's failure to respond to the electrician's request for admission within 30 days after service is treated as an admission.

D. Yes, because the court has the authority to enter orders at pretrial conferences that will expedite litigation.

Explanation:

In a **request for admission**, a party requests that another party **admit the truth about matters** within the scope of discovery that relate to facts, the application of law to facts, opinions about either, or the genuineness of documents. The party served with such a request must **serve a written response** within *30* days that:

- **admits** the matter
- **specifically denies** the matter in whole or in part
- **explains** why the matter **cannot be admitted or denied** *or*
- **objects** that the matter falls outside the scope of discovery.

A party's **failure to adequately respond** within **30 days results in** the matter being admitted and **conclusively established** in the pending action. However, it does not serve as an admission for any other purpose and **cannot be used** against the party **in another proceeding**.

Here, the electrician and the plumber filed separate actions against the construction company. The electrician then served the company with a request to admit that it repeatedly denied contractors access to the construction site. The company's failure to respond within 30 days after the request was served results in the matter being established in the electrician's action **(Choice A)**. However, the plumber cannot rely on the company's failure to respond in the electrician's action, so the court is unlikely to enter the plumber's requested order **(Choice C)**.

(Choice D) At a pretrial conference, a federal court has broad authority to consider matters and enter appropriate orders that will help expedite litigation, improve the trial's quality, and facilitate settlement. Here, an order establishing that the company repeatedly denied contractors access to the construction site would be improper since the plumber cannot rely on the company's failure to respond in the electrician's action.

Educational objective:

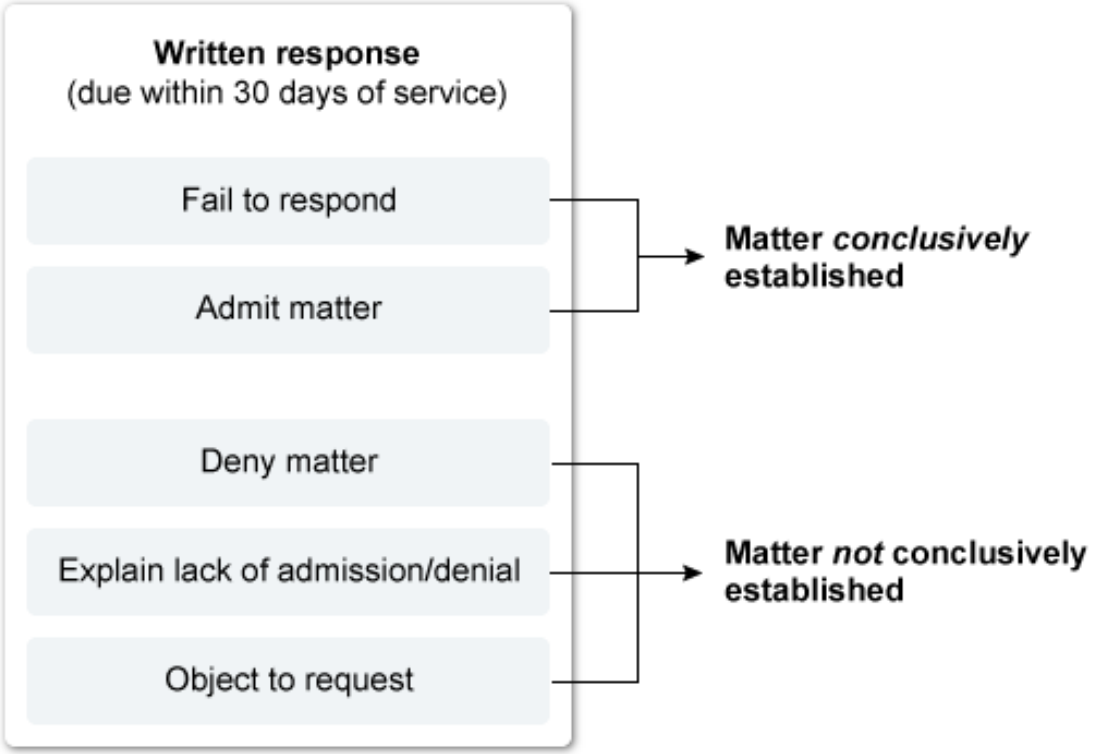
A party's failure to adequately respond to a request for admission within 30 days after the request is served results in the matter being admitted and conclusively established in the pending action. However, it does not serve as an admission for any other purpose and cannot be used against the party in another proceeding.

References

- Fed. R. Civ. P. 36 (requests for admission).
- 8B Charles Alan Wright et al., Federal Practice and Procedure § 2264 (3d ed. 2020) (explaining the effect of failing to respond to a request for admission).

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Effect of response to request for admission
(FRCP 36)



FRCP = Federal Rule of Civil Procedure.

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During an interview, a company's chief executive officer (CEO) made a prepared statement denying that the company was in merger talks with one of its competitors. After the interview aired, the company's stock price dropped, and an investor sold his stock in the company at a great loss. Two weeks later, the company announced that it was merging with its competitor.

The investor filed a lawsuit against the company in an appropriate federal court based on misrepresentation. After the parties held their initial planning conference, the investor requested that the company produce all documents and data related to the CEO's prepared statement and the subsequent announcement of the merger. In response, the company carefully screened its records and produced approximately three million documents, including electronically stored information. It also produced a privilege log of documents withheld. After production, the company realized that it had inadvertently produced 102 potentially privileged documents.

The company immediately notified the investor of the inadvertent disclosure, provided a basis for its privilege claim, and asked that the documents be immediately returned. The investor, who disputed the company's privilege claim, immediately isolated the documents from the rest of the production but refused to return them.

The investor has presented the documents and the parties' privilege arguments to the court for a determination of the privilege claim. A hearing was scheduled to be held in 15 days. In response, the company promptly moved for an injunction that would require the investor to immediately return the documents to the company and destroy any copies in his possession before the hearing.

How should the court rule on the company's motion?

A. Deny the motion, because the company has waived attorney-client privilege by disclosing the documents to a third party.
B. Deny the motion, because the investor promptly sequestered the documents and presented the information to the court.
C. Grant the motion, because the investor has failed to return the documents.
D. Grant the motion, because the party that produced the privileged information determines whether it is returned, sequestered, or destroyed.

Explanation:

When privileged information is **inadvertently produced**, FRCP 26(b)(5)(B) permits the producing party to **promptly notify** the receiving party of the disclosure and **provide the basis** for the privilege claim. After being notified, the **receiving party must**:

- promptly **return, sequester, or destroy** the information and any copies
- **not use or disclose** the information until the privilege claim is resolved *and*
- take **reasonable steps** to retrieve information already disclosed to others.

This rule gives the receiving party the option to return, sequester, or destroy the documents at issue because the rule contemplates that the receiving party may dispute the privilege claim. In this situation, sequestering the documents achieves the purpose of the rule—protecting the potentially privileged information—while enabling the receiving party to present the documents and the disputed privilege claim to the court for resolution.

Here, the investor properly sequestered the documents and presented the parties' privilege dispute to the court for resolution. Therefore, the court will likely deny the company's motion for an injunction requiring the investor to immediately return and destroy the purportedly privileged documents before a hearing on the privilege claim.*

*However, the investor may still have to return or destroy the documents if the court later determines that they are in fact privileged.

(Choice A) An inadvertent disclosure does not waive the privilege so long as the disclosing party took reasonable steps to prevent disclosure—eg, carefully screened its records and produced a privilege log—and promptly rectified the disclosure (as seen here).

(Choice C) Since the investor sequestered the privileged documents, he is not required to immediately return them to the company.

(Choice D) The party that *received* (as opposed to produced) the privileged information determines whether it is returned, sequestered, or destroyed when disputing the producing party's privilege claim.

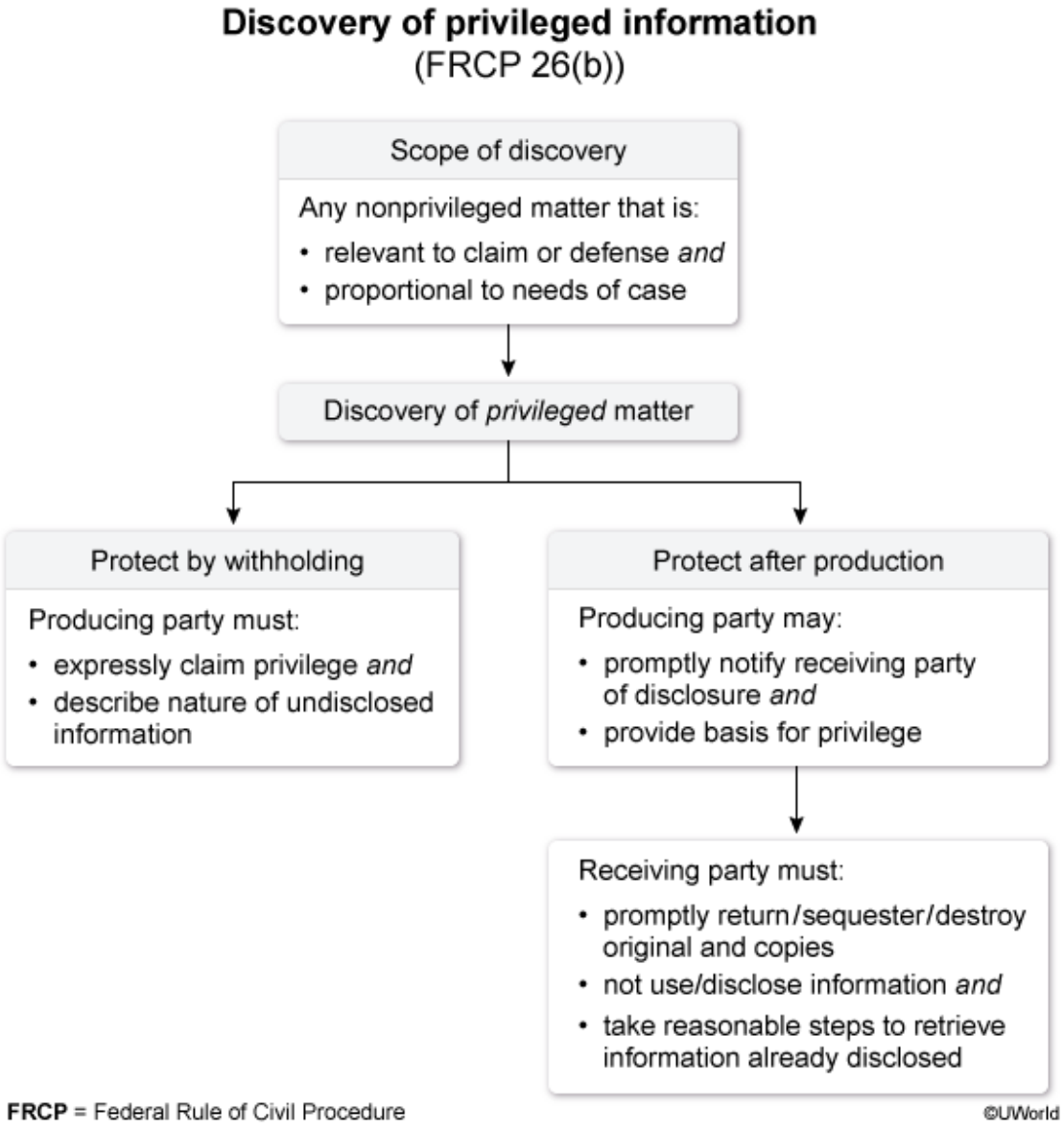
Educational objective:

After being notified that privileged information was produced, the receiving party must (1) promptly return, sequester, or destroy the information and any copies, (2) not use or disclose the information until the claim of privilege is resolved, and (3) take reasonable steps to retrieve information already disclosed.

References

- Fed. R. Civ. P. 26(b)(5) (production of privileged materials).
- Fed. R. Evid. 502(b) (describing inadvertent disclosure).

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A pedestrian sued an out-of-state driver in a federal district court for allegedly hitting the pedestrian in a crosswalk, which the pedestrian claims resulted in $1 million in medical expenses, lost wages, and pain and suffering. The driver filed an answer denying liability.

Which of the following must the pedestrian automatically provide the driver without waiting for a discovery request?

A. A copy of the pedestrian's medical bills for her alleged injuries.

B. A copy of the pedestrian's medical insurance agreement.

C. A list of the cases in which the pedestrian has been a witness over the previous four years.

D. The name of a witness who knows about the driver's past car accidents.

Explanation:

Required discovery disclosures

(FRCP 26(a))

Type	Required disclosures	Time to disclose
Initial disclosures*	• Persons with relevant information • Items in party's possession that support claim/defense • Computation of damages & supporting material • Relevant insurance policies	• ≤ 14 days after initial planning conference • ≤ 30 days after post-conference service or joinder • As court orders or parties stipulate
Expert testimony	• Identity of expert witnesses • Expert's written report • If no report, subject matter & summary of testimony	• ≥ 90 days before trial • ≤ 30 days after disclosure to rebut evidence • As court orders or parties stipulate
Pretrial disclosures*	• Testifying witnesses • Deposition testimony to be used at trial • Documents/exhibits to be used at trial	• ≥ 30 days before trial • As court orders

FRCP = Federal Rule of Civil Procedure.

*Does not apply to evidence used solely for impeachment.

Under Federal Rule of Civil Procedure 26(a), parties are **required** to make **initial disclosures**, disclosures of expert testimony, and pretrial disclosures even without a discovery request. A party must initially disclose:

- the name, address, and phone number of persons with relevant information that the party may use to support a claim or defense
- all documents, electronically stored information, and tangible things in the party's possession that the party may use to support a claim or defense
- any insurance agreement with a company that may be liable for all or part of any judgment *and*

- a **computation of damages** and the **materials on which it was based**.

All of this information must be disclosed within 14 days after the initial planning conference or by a date set by the court or parties.* Here, since part of the pedestrian's damages are based on her medical expenses, she must provide the driver with a copy of her medical bills without waiting for a discovery request.

*If a party is added after the initial planning conference, initial disclosures must be made within 30 days after service or joinder of that party.

(Choice B) The pedestrian does not need to provide a copy of her health insurance agreement because her insurance company will not be liable. Instead, the driver must provide his automobile insurance agreement because his insurance company may be liable for the pedestrian's damages.

(Choice C) A testifying expert witness (not seen here) must disclose a written report that lists the cases in which the witness has testified over the past four years. But this is only required if the witness (1) is a specially hired expert or (2) regularly gives expert testimony as part of his/her employment duties with the party.

(Choice D) Testimony from a witness who knows about the driver's past driving habits may be used to impeach the driver's trial testimony. But initial disclosures do not apply to witnesses or evidence used solely for impeachment.

Educational objective:

A party's initial disclosures must include (1) persons and items that the party may use to support a claim or defense, (2) any insurance agreement with a company that may be liable, and (3) a computation of damages and the materials on which it was based.

References

- Fed. R. Civ. P. 26(a)(1) (required initial disclosures).

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A woman's house burned down after the wiring in her refrigerator sparked and started a fire. The following week, the woman received adequate notice that a class action had been filed in federal court against the manufacturer of the refrigerator for damages caused by the refrigerator's faulty wiring system. The woman did nothing when she received the notice and was not named as a class representative.

The court certified the class action after determining that common questions of law and fact predominated and that the class action was the best method to fairly and efficiently adjudicate the dispute. During discovery, the named class representatives reached a proposed settlement with the manufacturer. At a hearing, the woman objected to the proposed settlement on the ground that it was inadequate to cover the damage to her house. Despite her objection, the court approved the settlement after concluding that it was fair, reasonable, and adequate.

The woman then sued the manufacturer in another federal court to recover damages for the remaining damage to her house. The manufacturer moved to dismiss this suit.

Is the court likely to grant the manufacturer's motion?

A. No, because the woman objected to the proposed class action settlement.

B. No, because the woman was not a named representative in the class action.

C. Yes, because the court certified the class action.

D. Yes, because the woman failed to opt out of the class action.

Explanation:

Federal Rule of Civil Procedure 23 recognizes three types of class actions: prejudicial risk, final equitable relief, and common question. Here, the court certified (ie, authorized) a **"common question" class action** against the manufacturer because it determined that (1) common questions of law and fact predominated and (2) the class action was the best method to fairly and efficiently adjudicate the dispute.

In "common question" class actions, **adequate notice must be provided** to all class members because they have the **right to opt out** of the class action and sue on their own behalf.* If a **class member fails to opt out**, he/she **cannot pursue an individual suit** involving the same claim. Instead, that class member is bound by any resulting final judgment or court-approved settlement, compromise, or voluntary dismissal.

Here, the woman failed to opt out of the class action because she did nothing after receiving adequate notice of the class action. This means that she is bound by the court-approved settlement and barred from asserting an individual suit against the manufacturer. Therefore, the court will likely grant the manufacturer's motion to dismiss her suit.

*In "prejudicial risk" and "final equitable relief" class actions, notice is not required because class members do not have a right to opt out. Instead, a court has the discretion to provide notice and an opportunity to opt out of such class actions.

(Choice A) A class member who objects to a proposed settlement shows that his/her interests diverge from those of the class. As a result, an objection allows the class member to *appeal* if the court approves the proposal—but not to file an individual suit.

(Choice B) Named class representatives *and* unnamed class members alike are bound by a court-approved settlement except for those members who opted out of the class action (not seen here).

(Choice C) The fact that the court certified the class action allowed the class action to proceed in federal court. However, it does not provide a basis for dismissing the woman's suit.

Educational objective:

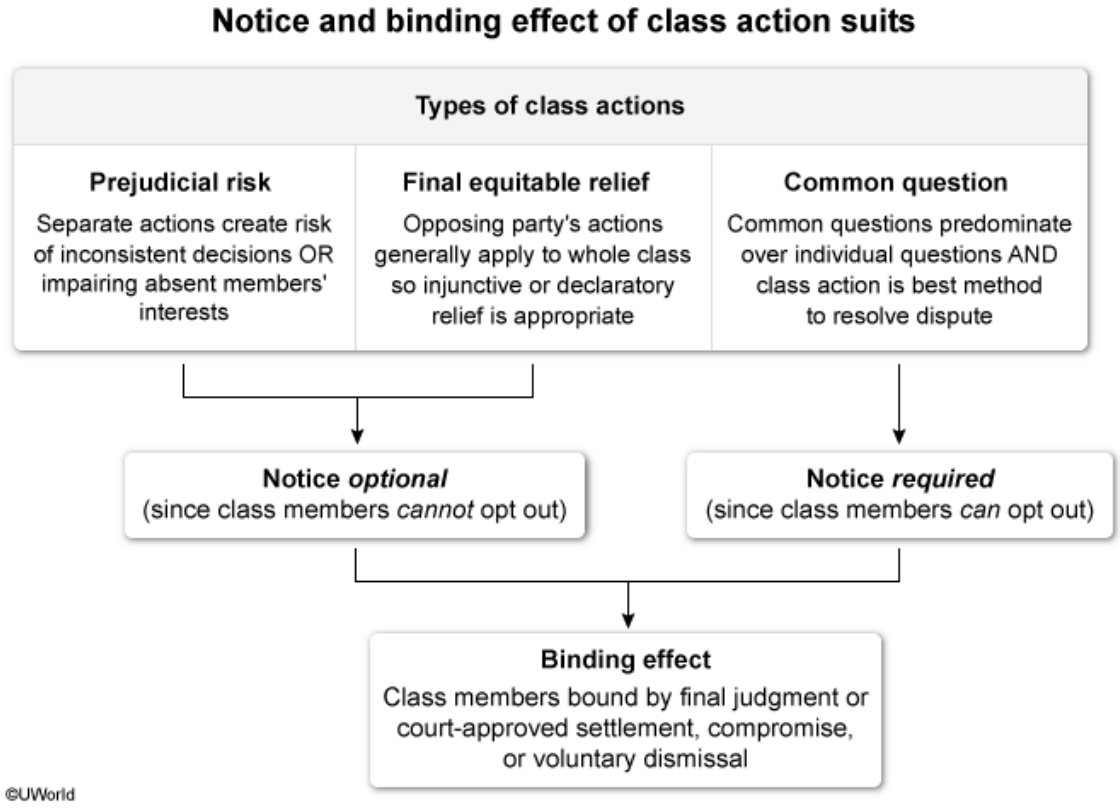
A class member must opt out of a "common question" class action to pursue an individual suit involving the same claim. Otherwise, the class member is bound by any final judgment or court-approved settlement, compromise, or voluntary dismissal of the class action.

References

- Fed. R. Civ. P. 23(c)(2) (notice requirements for "common question" class action).

- Matsushita Elec. Indus. Co., Ltd. v. Epstein, 516 U.S. 367, 378–79 (1996) (explaining that class members who fail to opt out of a class action are bound by a resulting court-approved settlement agreement).

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A company sued a competitor in federal court, alleging that the competitor stole the company's trade secrets regarding its 3D printing technology. The company is concerned that discovery will lead to disclosure of its other trade secrets.

What is the most efficient strategy for the company to protect these trade secrets from disclosure?

A. Assert that its trade secrets are privileged.

B. File a motion for an ex parte temporary restraining order.

C. Obtain a stipulation that limits the scope of discovery.

D. Withhold information relating to its trade secrets.

Explanation:

Discovery stipulations

(FRCP 29)

Depositions Parties may stipulate that depositions be taken:

- before any person
- at any time or place
- on any notice
- in any manner

Other discovery procedures Parties may stipulate to modifications:

- limiting scope of discovery
- expanding limits set by other rules
- extending time to complete particular requests*

FRCP = Federal Rule of Civil Procedure.

*Court approval required if extension would interfere with deadlines for completing all discovery, hearing a motion, or trial.

Parties can use various methods of discovery to obtain nonprivileged information that is relevant and proportional to the needs of the case. The **broad scope** of **discovery** requires disclosure of **evidence that could be used at trial** *as well as* **information that may lead to** the discovery of **such evidence**. As a result, it is possible that discovery could lead to the disclosure of the company's other trade secrets.

To protect that information from disclosure, the company could confer with the competitor to reach an **agreement** that **modifies discovery rules and procedures**. FRCP 29 allows the parties to **stipulate** to modifications that:

- **expand the limits** imposed by rules governing discovery (eg, increase the number of interrogatories above 25)
- **extend the time** to complete particular discovery requests (eg, allow more than 30 days to respond to a request for production) *or*
- **limit the scope** of discovery (eg, bar discovery of certain materials—as the company seeks to do here).

A stipulation would be **more efficient and less expensive** than pursuing a motion to obtain a court order to modify the scope of discovery. Therefore, a stipulation is the most efficient strategy to prevent disclosure of the company's other trade secrets.

(Choice A) Trade secrets are *not* privileged, so this assertion could not be used to protect that information.

(Choice B) The company could file a motion for an ex parte temporary restraining order (TRO) to protect its other trade secrets from disclosure. But that would not be the most *efficient* strategy since an ex parte TRO generally remains in effect for only 14 days or until a preliminary-injunction hearing can take place—whichever occurs first.*

*An ex parte TRO automatically remains in effect for 14 days unless that time period is (1) shortened by the court or (2) extended by the court for good cause or based on the adverse party's consent.

(Choice D) Since the company's other trade secrets are likely discoverable, they cannot be withheld without a stipulation or court order that limits the scope of discovery.

Educational objective:

Discovery stipulations between the parties are an efficient way to modify discovery rules and procedures. They can be used to (1) expand the limits imposed by discovery rules, (2) extend the time to complete particular discovery requests, or (3) limit the scope of discovery.

References

- Fed. R. Civ. P. 29 (discovery stipulations).
- 23 Am. Jur. 2d Depositions and Discovery § 10 (2019) (explaining stipulations regarding discovery).

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An employee from State A sued his former company in a federal court in State A for discrimination in violation of federal employment law.

The employee served an officer of the company with a subpoena to attend a deposition in the city where the employee now resides. The city is 175 miles away from the company's headquarters in State B and 200 miles away from where the officer resides in State A. The officer performs all her employment duties at the company's headquarters.

Must the officer comply with the subpoena?

A. No, because the city is located 200 miles away from the officer's residence.

B. No, because the city is located in a different state than the company's headquarters.

C. Yes, because the city is located 175 miles away from the company's headquarters.

D. Yes, because the city is located in the state where the officer resides.

Explanation:

Place of compliance for subpoenas

(FRCP 45(c))

Trial, hearing, or deposition Subpoena may command person's attendance:

- within 100 miles of where person resides, is employed, or regularly transacts business *or*
- within state where person resides, is employed, or regularly transacts business when person is:
  - party or party's officer *or*
  - commanded to attend trial & would not incur substantial expense

Other discovery Subpoena may command:

- production of documents, tangible things, or ESI within 100 miles of where person resides, is employed, or regularly transacts business *and*
- inspection of premises at place to be inspected

FRCP = Federal Rule of Civil Procedure; **ESI** = electronically stored information

A **subpoena** is a written court order that commands a person to attend a trial, hearing, or deposition OR to produce documents or things in his/her possession. Federal Rule of Civil Procedure 45(c) limits a subpoena's reach, so it may **command attendance** at a trial, hearing, or deposition:

- **within 100 miles** of where the subpoenaed person resides, is employed, or regularly transacts business *or*
- **within the state** where the subpoenaed person **resides**, is **employed**, or regularly **transacts business** if he/she is a **party or a party's officer** (or a person commanded to attend trial who would not incur substantial expense).

Here, the subpoena commanded an *officer* of the company (defendant) to attend a deposition in the State A city where the employee resides. The city is 175 miles away from where the officer regularly transacts business (the company's headquarters) and 200 miles away from the officer's State A residence. But since the city where the deposition will occur is in the state where the officer resides, the subpoena may command her attendance at the deposition **(Choices A & C)**. Therefore, the officer must comply with the subpoena.

(Choice B) The city where the deposition will occur is located in a different state (State A) than the company's headquarters (State B)—where the officer performs all her

employment duties. However, the subpoena can still command the officer's attendance since she resides in State A.

Educational objective:

A subpoena can compel attendance at a trial, hearing, or deposition *within 100 miles* of where the subpoenaed person resides, works, or transacts business. It can also compel attendance of the parties and their officers—and persons commanded to attend trial who would not incur substantial expense—*within the state* where the person resides, works, or transacts business.

References

- Fed. R. Civ. P. 45(c) (place of compliance for subpoena).

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A symphony was scheduled to perform a famous songwriter's music at a concert in 10 days. After a disagreement with the symphony's conductor, the songwriter told the conductor that he could no longer use her songs. The conductor stated that he was going to proceed with the concert as planned.

The songwriter filed a verified complaint against the conductor and the symphony in a federal district court for copyright infringement. The songwriter also moved for a temporary restraining order (TRO) to stop the concert from proceeding. The songwriter did not provide notice to the defendants but argued that the court should immediately issue an ex parte TRO.

How will the federal district court likely rule on the songwriter's motion?

A. Deny the motion, because notice must be given to an opposing party before a court may issue a TRO.

B. Deny the motion, because the songwriter's attorney failed to certify in writing why the defendants need not be notified.

C. Grant the motion, because an ex parte TRO is justified under the circumstances.

D. Grant the motion, because federal courts have exclusive jurisdiction over claims based on copyright infringement.

Explanation:

Preliminary relief

(FRCP 65)

Type		Required contents	Effect
Preliminary injunction **Temporary restraining order**	Notice of hearing	• State reasons issued • Reasonably describe acts restrained or required • Specify terms	Persons bound upon receiving actual notice of order: • parties to the case • parties' officers, agents, employees & attorneys • anyone in active concert/participation with above persons
	Ex parte (no notice)	Above requirements plus: • date & hour issued • why injury is irreparable • why issued without notice • promptly filed with clerk & entered into record	

FRCP = Federal Rule of Civil Procedure.

A **temporary restraining order** (TRO) is a court order that commands a party to do or stop doing a specified action for 14 days or until a preliminary-injunction hearing can take place—whichever occurs first. This preserves the parties' status quo until the court can fully consider the issue at a hearing. Unlike a preliminary injunction, a TRO may be **issued without notice** to the nonmovant (ie, ex parte). But to prevent abuse and protect the rights of all involved, a federal court can issue an ex parte TRO only if:

- the movant files an **affidavit or verified complaint** containing specific facts showing that he/she will suffer **immediate and irreparable harm** before the nonmovant can be heard *and*

- the movant's attorney **certifies** in writing any efforts made to give notice and the **reasons why notice** should **not be required (Choice A)**.*

Here, even if the songwriter's verified complaint specifically shows that she will suffer immediate and irreparable harm, the songwriter's attorney failed to certify in writing why

the defendants need not be notified. As a result, an ex parte TRO is *not* justified under the circumstances, and the court will likely deny the songwriter's motion **(Choice C)**.

*Additionally, a federal court will issue a preliminary injunction or TRO only if the movant provides security (eg, a bond) sufficient to pay the costs and damages if the nonmovant is improperly restrained.

(Choice D) Although federal courts have exclusive jurisdiction over copyright infringement claims, this does not provide a basis to grant a TRO.

Educational objective:

A temporary restraining order can be issued without notice only if (1) the movant files an affidavit or verified complaint that specifically shows he/she will suffer immediate and irreparable harm and (2) the movant's attorney certifies in writing any efforts made to give notice and why notice is not required.

References

- Fed. R. Civ. P. 65(b) (requirements for an ex parte TRO).
- 11A Charles Alan Wright et al., Federal Practice and Procedure § 2952 (3d ed. 2020) (explaining the process for issuing an ex parte TRO).

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A plaintiff from State A sued a defendant from State B in a federal court in State B. The plaintiff claims that the defendant breached a provision of their contract, which resulted in $100,000 in damages. The defendant filed and served an answer denying liability.

Three months later, the plaintiff stopped performing his duties under the contract. The defendant would now like to assert a claim against the plaintiff for breach of contract for $80,000.

What is the best way for the defendant to pursue her claim?

A. File a new suit in the same court.

B. File a reply.

C. File an amended answer as a matter of course.

D. Move for leave to file a supplemental answer.

Explanation:

Amended v. Supplemental pleading

(FRCP 15)

Amended pleading	• Asserts transaction, occurrence, or event that arose *before* pleading to be amended was filed • Amend by right, with opposing party's written consent, or by leave of court • Supersedes pleading to be amended
Supplemental pleading	• Asserts transaction, occurrence, or event that arose *after* pleading to be supplemented was filed • Supplement by leave of court • Does not supersede pleading to be supplemented

FRCP = Federal Rule of Civil Procedure

Parties can modify their pleadings in two ways:

- **Amended pleadings** – to set forth a transaction, occurrence, or event that **arose *before*** the pleading to be amended was filed
- **Supplemental pleadings** – to set forth a transaction, occurrence, or event that **arose *after*** the pleading to be supplemented was filed

Here, the plaintiff allegedly breached his contractual duties three months *after* the defendant filed and served her answer. Therefore, the best way for the defendant to pursue a counterclaim for breach of contract is to move for leave (ie, permission) to file a supplemental answer that sets forth that claim. The court will then determine whether to allow the supplemental pleading.

(Choice A) The defendant *could* file a new suit against the plaintiff in the same court, but this would likely be more time-consuming and expensive than filing a supplemental answer in the pending action. Therefore, this is not the best way for the defendant to pursue her breach-of-contract claim.

(Choice B) Filing a reply is not the best way for the *defendant* to assert her counterclaim against the plaintiff. That is because a reply is typically a response made by the *plaintiff* to the defendant's answer and is permitted only when the court orders one (not seen here).*

*A reply can also be a response by the defendant to a plaintiff's counterclaim answer, a third-party answer, or a crossclaim answer—none of which is seen here.

(Choice C) An amended answer would have been proper had the defendant's breach-of-contract claim arisen *before* she filed her original answer. And even if it had, she could not have amended her answer as a matter of course—ie, without the court's permission or the plaintiff's written consent. That is because more than 21 days have elapsed since her answer was served.

Educational objective:

An amended pleading is used to set forth a transaction, occurrence, or event that arose *before* the pleading to be amended was filed. In contrast, a supplemental pleading is used to set forth a transaction, occurrence, or event that arose *after* the pleading to be supplemented was filed.

References

- Fed. R. Civ. P. 15 (amended and supplemental pleadings).
- 61A Am. Jur. 2d Pleading § 669 (2019) (explaining the difference between an amended and supplemental pleading).

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A mail clerk domiciled in State A slipped and fell on ice that had formed near the loading dock of the building in State B where the clerk's State B employer leased space for its headquarters. The building was owned and operated by a State C corporation. As a result of the fall, the clerk was injured and the employer's expensive computer he was carrying was badly damaged.

The clerk sued the building owner for negligence in a federal district court in State B, seeking $100,000 in personal-injury damages. The employer has filed a timely motion to intervene, asserting an $80,000 negligence claim against the building owner for the damage to its computer.

Is the court likely to grant the employer's motion to intervene?

A. No, because although the employer has an interest in the clerk's action, that interest is not likely to be impaired in the employer's absence.

B. No, because the clerk chose not to join the employer as a co-plaintiff in his action.

C. Yes, because the employer is an indispensable party.

D. Yes, because the employer's claim shares common questions of law and fact with the clerk's action.

Explanation:

Intervention

(FRCP 24)

Intervention of right	• On timely motion, court *must* permit intervention when either: – nonparty's interest in case not adequately represented by existing parties & deciding case may impair nonparty's ability to protect that interest – federal statute gives *unconditional* right to intervene
Permissive intervention	• On timely motion, court *may* permit intervention when either: – nonparty's claim or defense shares common question of law or fact with main action – federal statute gives *conditional* right to intervene • Court must consider whether intervention will unduly delay or prejudice adjudication of original parties' rights

FRCP = Federal Rule of Civil Procedure.

A **nonparty can join** a case to protect his/her interest by timely filing a **motion to intervene** under Federal Rule of Civil Procedure (FRCP) 24.* There **are two types** of intervention:

- **Intervention of right** – the court *must* permit an intervention when (1) the nonparty's **interest is inadequately represented** by the existing parties and (2) deciding the case may **impair** the nonparty's **ability to protect** that interest.
- **Permissive intervention** – the court *may* permit an intervention when the nonparty's claim or defense shares a **common question of law or fact** with the main action. But a court may deny permissive intervention if it would unduly delay or prejudice the adjudication of the original parties' rights.

Here, the employer timely moved to intervene in the clerk's action against the building owner. Although the employer's interest (property-damage claim) is inadequately represented by the existing parties, deciding the clerk's personal-injury action is not likely to impair the employer's ability to protect its interest (no intervention of right). But since both actions are based on the owner's alleged negligence (common questions of law and fact), the court will likely allow the employer to *permissively* intervene **(Choice A)**.

*To determine if a motion to intervene is timely filed, the court considers (1) the length of time the movant knew or should have known about its threatened interest, (2) the prejudice to the parties if intervention is permitted, and (3) the prejudice to the movant if intervention is denied.

(Choice B) The clerk's decision to exclude the employer as a co-plaintiff does not affect the employer's ability to intervene.

(Choice C) Under FRCP 19, an indispensable party must be joined in a lawsuit. But the employer is not an indispensable party because the employer's absence would not affect the court's ability to provide relief to the clerk or the employer's ability to protect its related property interest.

Educational objective:

Intervention *must* be permitted when the nonparty's interest is inadequately represented and deciding the case may impair his/her ability to protect that interest (ie, intervention of right). And intervention *may* be permitted when the nonparty's claim or defense shares a common question with the main action (ie, permissive intervention).

References

- Fed. R. Civ. P. 24 (intervention).

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On March 1, 2017, a woman tripped and fell on a cruise ship, sustaining severe injuries. On February 28, 2018, she brought a diversity action in federal court against the entity she believed owned the cruise ship. The entity was served with process the same day. The entity immediately forwarded the complaint to the office of legal counsel for the corporation that owned the cruise ship.

Two weeks later, the entity filed and served its answer in which it denied ownership of the cruise ship. The entity explained that it was merely a ticketing agency with a name similar to the corporation that owned the ship.

The next day, the woman amended her complaint to substitute the corporation that owned the cruise ship as the defendant and had process served on the corporation. The corporation immediately moved to dismiss the suit, arguing that the statute of limitations had expired.

The applicable statute of limitations for the claim is one year from the date the accident allegedly occurred. The law establishing this statute of limitations does not mention relation back.

Should the court grant the corporation's motion to dismiss?

A. No, because the amended complaint relates back to the date the original complaint was filed.
B. No, because the woman may freely amend her complaint once as a matter of course.
C. Yes, because the amended complaint was filed after the statute of limitations expired.
D. Yes, because the applicable law does not mention relation back.

Explanation:

An **amended complaint** filed **after** the statute of limitations has expired is prohibited unless the **relation-back doctrine** applies. This doctrine treats the amended complaint as if it were filed on the same date as the original complaint. An amendment that **changes a defendant** "relates back" only if the statute of limitations allows (not seen here) OR when:

- the amendment concerns the **same transaction or occurrence** as the original complaint
- the new party **received notice** of the suit **within 90 days** after the original complaint was filed *and*
- the new party **knew or should have known** that the **suit would have been brought** against it but for a mistake concerning the proper party's identity.

Here, the woman's amended complaint concerns the same cruise ship accident. The corporation that owns the cruise ship received notice when the ticketing agency forwarded the complaint. And the corporation should have known that the suit would have been brought against it but for the woman's mistake about its identity. As a result, the amendment relates back to the date the original complaint was filed on February 28, 2018—*before* the statute of limitations expired. Therefore, the corporation's motion to dismiss should be denied **(Choices C & D)**.

(Choice B) A party may amend its complaint once as a matter of course—ie, without the court's permission or the opposing party's written consent—within 21 days after being served with an answer. But the amendment must be filed (or relate back to an original pleading filed) before the statute of limitations expires.

Educational objective:

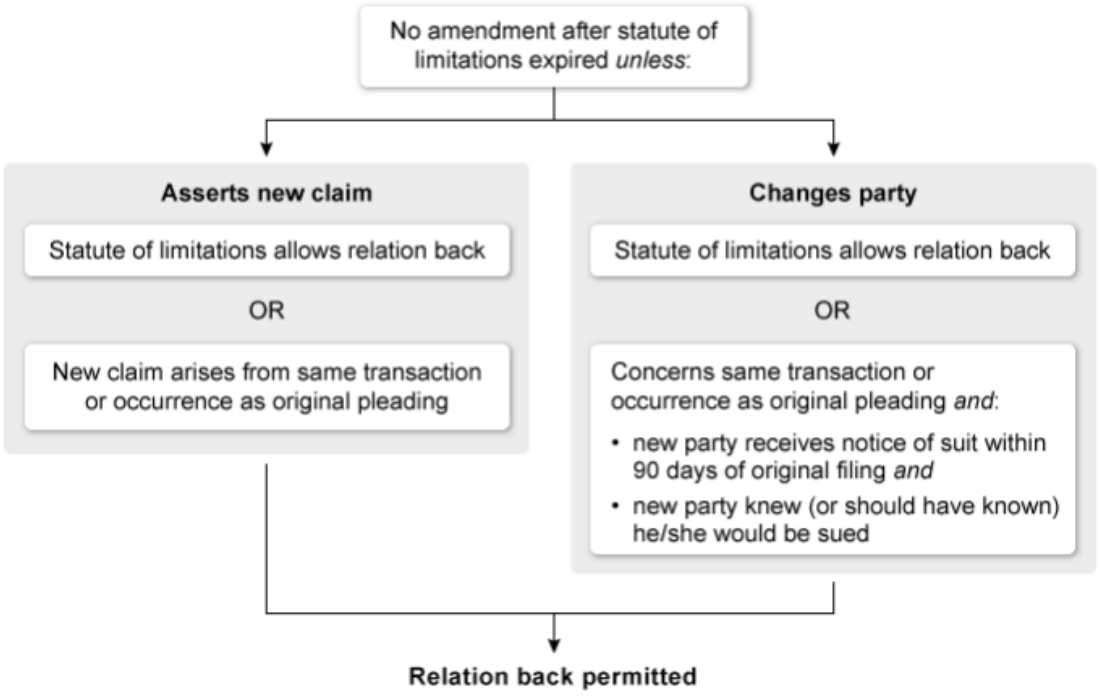
An amended complaint will "relate back" to the date of the original complaint if (1) the same occurrence is at issue, (2) the new party received notice of the suit within 90 days after the original complaint was filed, and (3) the new party knew or should have known the suit would have been brought but for a mistake about its identity.

References

- Fed. R. Civ. P. 15(c) (relation back of amended pleadings).
- Krupski v. Costa Crociere S.p.A, 560 U.S. 538, 557 (2010) (holding that the relation-back doctrine applies when a company should have known that it would have been sued had the plaintiff not made a mistake).

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Relation-back doctrine
(FRCP 15(c))



FRCP = Federal Rule of Civil Procedure.

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A franchisee sued a franchisor in a federal court in State A for breach of contract. The franchisee is domiciled in State B, and the franchisor's headquarters and principal place of business are in State A. The franchisee's complaint included one line about subject-matter jurisdiction that stated: "The court has subject-matter jurisdiction over this suit." In response, the franchisor filed a motion to dismiss for lack of subject-matter jurisdiction.

Upon reviewing the motion and the complaint, the judge issued an order to show cause to the franchisee's attorney to explain why the attorney should not be sanctioned for failing to adequately plead subject-matter jurisdiction. At the show-cause hearing, the franchisee's attorney arrived with an amended complaint to substitute for the original complaint. The judge accepted the amended complaint and denied the franchisor's motion to dismiss. The judge also imposed sanctions against the franchisee's attorney in the amount of $2,000, payable to the court.

The case proceeded, the jury returned a verdict in favor of the franchisee, and the judge issued a final judgment consistent with the verdict.

The franchisee's attorney then filed an appeal related to the court's imposition of sanctions.

What is the appellate court's likely response?

A. Affirm the order imposing sanctions.
B. Vacate the order imposing sanctions, because the judge accepted the amended complaint.
C. Vacate the order imposing sanctions, because the judge acted sua sponte.
D. Vacate the order imposing sanctions, because the judge failed to allow 21 days to pass before imposing sanctions.

Explanation:

Representations to court

(FRCP 11(b))

Every pleading, motion, or other document filed must be signed by attorney (or unrepresented party), thereby certifying that:

1. document is presented for proper purpose—not to harass, cause unnecessary delay, or needlessly increase cost of litigation
1. claims, defenses & legal contentions are warranted by existing law or by nonfrivolous argument for revising or establishing law
2. factual assertions have or will have evidentiary support *and*
3. factual denials are warranted by evidence or reasonably based on belief/lack of information

FRCP = Federal Rule of Civil Procedure.

A court can impose sanctions on a law firm (default), attorney, or party if the court finds that they violated one of the provisions of Federal Rule of Civil Procedure (FRCP) 11(b)—shown above. Sanction proceedings can be initiated by:

- an **opposing party's motion** – which **requires** that party to serve the motion on the violator but **refrain from filing** it with the court for **21 days** to allow the violation to be corrected (ie, **safe-harbor rule**) *or*
- on the **court's own initiative** (ie, sua sponte) – which requires the judge to issue an order to show cause on the violator but does ***not* require** the judge to apply the **safe-harbor rule**.

Here, the franchisee's complaint simply alleged that the federal court "has subject-matter jurisdiction over this suit." The complaint did not include the *grounds* supporting this assertion as required by FRCP 8—eg, by providing the facts that established subject-matter jurisdiction. This means that the franchisee's jurisdictional claim was not warranted by law and violated FRCP 11(b)(2). As a result, the judge had the authority to initiate sanction proceedings sua sponte and impose sanctions after the show-cause hearing **(Choices C & D)**.

Such sanctions should be sufficient to deter the violator's conduct in the future—eg, a $2,000 fine payable to the court (as seen here). However, the sanctions order can be appealed. The appellate court will then review the sanctions order for abuse of discretion, thereby giving great deference to the trial court's ruling and only reversing that ruling if it was unreasonable or arbitrary. Therefore, the appellate court will likely affirm the order imposing sanctions.

(Choice B) The judge's acceptance of the amended complaint does not negate the judge's power to sanction the attorney for his deficient original complaint.

Educational objective:

A court can impose sanctions for violating Federal Rule of Civil Procedure 11(b). Sanction proceedings can be initiated by (1) an opposing party, who must give the violator 21 days to correct the violation, or (2) the court, which need not give the violator time to do so.

References

- Fed. R. Civ. P. 11(c) (sanctions for violating this rule).
- Cooter & Gell v. Hartmarx Corp., 496 U.S. 384, 405 (1990) (establishing that abuse of discretion is appropriate appellate standard of review for Fed. R. Civ. P. 11 sanctions).

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A tech company sued a software firm in a federal district court for allegedly violating federal antitrust laws.

The tech company employs a developer who regularly provides expert testimony for the company in litigation. The developer is advising the company in its suit against the firm, but the company is not going to call the developer as an expert witness in this case. Instead, the company hired an economist to testify as an expert witness about the economic impact caused by the software firm's anticompetitive behavior.

Whom must the tech company disclose to the software firm at least 90 days before trial without waiting for a discovery request?

A. Neither the economist nor the developer.

B. Only the economist.

C. Only the developer.

D. Both the economist and the developer.

Explanation:

Required discovery disclosures

(FRCP 26(a))

Type	Required disclosures	Time to disclose
Initial disclosures*	• Persons with relevant information • Items in party's possession that support claim/defense • Computation of damages & supporting material • Relevant insurance policies	• ≤ 14 days after initial planning conference • ≤ 30 days after post-conference service or joinder • As court orders or parties stipulate
Expert testimony	• Identity of expert witnesses • Expert's written report • If no report, subject matter & summary of testimony	• ≥ 90 days before trial • ≤ 30 days after disclosure to rebut evidence • As court orders or parties stipulate
Pretrial disclosures*	• Testifying witnesses • Deposition testimony to be used at trial • Documents/exhibits to be used at trial	• ≥ 30 days before trial • As court orders

FRCP = Federal Rule of Civil Procedure.

*Does not apply to evidence used solely for impeachment.

Parties must disclose certain information during discovery to facilitate litigation. Most of this information is disclosed in response to an opposing party's discovery requests. But three types of **disclosures are required** without such requests: initial disclosures, pretrial disclosures, and disclosure of **expert witness testimony**. This requires that the parties disclose the **identity** of all expert witnesses **expected to *testify*** at trial AND provide either:

- a written report for any witness who was specially hired to provide expert testimony or who regularly gives expert testimony as part of his/her employment duties with the party *or*
- a summary of the subject matter, facts, and opinions of the testimony for all other expert witnesses (eg, treating physicians).

A party must disclose this information at least **90 days before trial** unless otherwise ordered by the court or stipulated by the parties.*

Here, the tech company hired the economist to testify at trial as an expert witness about the economic impact of the software firm's anticompetitive behavior. As a result, the company must disclose the economist's identity at least 90 days before trial without waiting for a discovery request **(Choices A & C)**. A written report must also be included since the economist was specially hired to provide this expert testimony.

Since the developer regularly gives expert testimony as part of her employment with the tech company, she also would have needed to provide a written report if she was going to testify in this case. However, the developer is only advising the company and is not going to testify. Therefore, the company does not need to disclose the developer's identity **(Choices C & D)**.

*If a party intends to rebut an opposing party's expert witness, expert witness disclosure is required within 30 days after the opposing party discloses its expert witness information.

Educational objective:

A party must disclose the identity of an expert witness expected to testify at trial and provide a written report or summary to the opposing party at least 90 days before trial.

References

- Fed. R. Civ. P. 26(a)(2) (required disclosure of expert witnesses).

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A consumer from State A filed a $100,000 products liability action in federal court against a manufacturer incorporated and with its principal place of business in State B. The consumer claimed that a flaw in the manufacturer's product had resulted in severe injuries to the consumer. In its answer, the manufacturer asserted a third-party complaint against the product designer, also incorporated and with its principal place of business in State B. Believing that the consumer had sued the wrong defendant, the manufacturer claimed both that the designer was solely responsible for the flaw that had led to the consumer's injuries and that the manufacturer was not at fault.

The designer is aware that the manufacturer did not follow all of the designer's specifications when making the product.

Which of the following arguments is most likely to achieve the designer's goal of dismissal of the third-party complaint?

A. The court does not have subject-matter jurisdiction over the third-party complaint, because both the manufacturer and the designer are citizens of State B.

B. The manufacturer failed to obtain the court's leave to file the third-party complaint.

C. The manufacturer's failure to follow the designer's specifications caused the flaw that resulted in the consumer's injuries.

D. The manufacturer's third-party complaint failed to state a proper third-party claim.

Explanation:

A defendant may **add a nonparty** to a suit through third-party practice (ie, impleader). However, the **third-party complaint** must be **based on *derivative* liability**—ie, it must assert that the **nonparty is liable to the defendant** for all (ie, indemnity) or part (ie, contribution) of the plaintiff's claim. A third-party complaint should therefore be dismissed if it asserts that the nonparty is *directly* liable to the plaintiff or liable to the defendant for another claim.

Here, the defendant-manufacturer's third-party complaint against the nonparty-designer asserts that the plaintiff-consumer sued the wrong party. Since the manufacturer is claiming that the designer is solely responsible for the consumer's injuries—ie, *directly* liable to the consumer—the best argument to dismiss the third-party complaint is that it fails to state a proper third-party claim.

(Choice A) The court *has* subject-matter jurisdiction over the third-party complaint through supplemental jurisdiction because it (1) shares the same facts as the consumer's claim, (2) does not destroy diversity between the *consumer* and *manufacturer*, and (3) is made by a defendant.

(Choice B) A defendant must obtain the court's leave (ie, permission) to file a third-party complaint if more than 14 days have passed since the defendant served his/her original answer. But since this third-party complaint was asserted *within* the manufacturer's answer, leave of court was not required.

(Choice C) An argument that the manufacturer failed to follow the designer's specifications is a factual allegation. But the truth of this allegation is irrelevant because the court will accept a *complaint's* factual allegations as true and ignore the opposing party's (designer's) allegations when assessing if the complaint states a proper claim.

Educational objective:

Third-party practice (ie, impleader) allows a defendant to add a nonparty who may be liable to the defendant for all or part of the plaintiff's claim (ie, derivative liability).

References

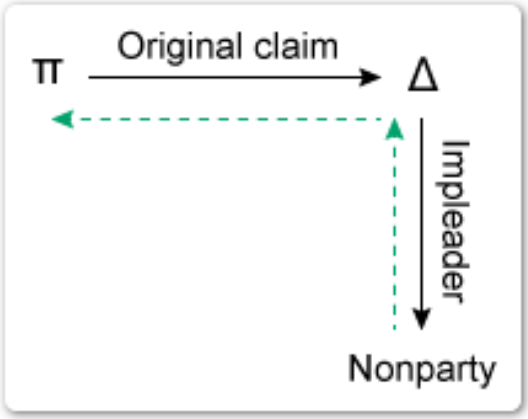
- Fed. R. Civ. P. 14 (third-party practice).

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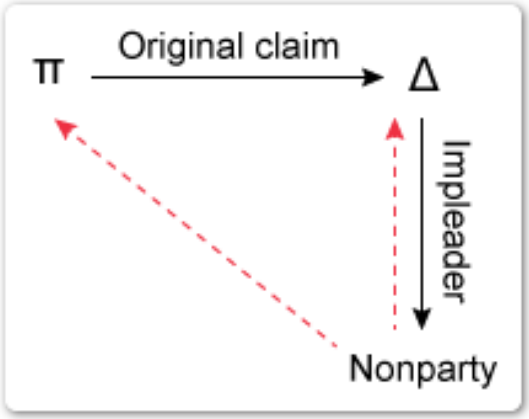
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Third-party practice
(impleader)

Proper
(derivative liability)



Improper
(direct or alternative liability)



π = plaintiff; Δ = defendant

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A man from State A and a woman from State B started a fashion business together in State A. After a year of working together, the man and the woman began to have different opinions on how the business should operate. The woman was also concerned that the man used dress designs from his previous employer, thereby risking a lawsuit from the former employer. They tried to figure out a solution to wind down the business without involving lawyers but failed.

The woman sued the man in federal district court, seeking $2 million for breach of contract. During discovery, the woman served a subpoena on the man's former employer seeking copies of the employer's dress designs. The employer is worried that disclosing these designs will reveal his trade secrets.

What is the most efficient action the employer can take to prevent disclosure of his trade secrets?

A. Claim privilege over the dress designs.

B. File a motion to quash the subpoena.

C. Intervene in the case.

D. Request a temporary restraining order.

Explanation:

Quashing or modifying subpoenas

(FRCP 45(d)(3))

Required Court *must* quash or modify subpoena that:

- fails to allow reasonable time to comply
- requires person to comply beyond geographical limits
- requires disclosure of privileged or protected matter *or*
- subjects person to undue burden

Permitted Court *may* quash or modify subpoena that requires disclosing:

- unretained expert's opinion or information that (1) does not describe occurrences in dispute & (2) results from expert's study not requested by party
- trade secret or confidential research, development, or commercial information

FRCP = Federal Rule of Civil Procedure.

A **subpoena** is a written court order that compels a **person** (party or nonparty) to appear in court or at a deposition OR to **produce documents or items** in his/her possession.* Under Federal Rule of Civil Procedure 45(d), a person subjected to a subpoena may file a motion to **modify or quash** that subpoena. A court *may* grant the motion if the subpoena **requires disclosure** of:

- an unretained expert witness's opinion or information that (1) does not describe specific occurrences in dispute and (2) results from the expert's independent study instead of a party's request *or*
- trade secrets or other confidential research, development, or commercial information.

Here, the woman served a subpoena on the man's former employer (nonparty) to produce copies of his dress designs. Since the employer is concerned that disclosure will reveal his trade secrets and a motion is relatively cost-effective, the most efficient action to prevent disclosure is to file a motion to quash the subpoena.

*A person commanded to produce documents or items need not appear in person at the place of production or inspection unless also commanded to appear for a deposition, hearing, or trial.

(Choice A) In general, trade secrets are not privileged. If they were, the court would be required to modify or quash a subpoena compelling the disclosure of that privileged information.

(Choice C) A nonparty may intervene (ie, join) and fully participate in a pending suit to protect his/her interests. But here, the employer does not have an interest in the pending suit other than the subpoena, and he can efficiently protect this interest by filing a motion to quash.

(Choice D) A temporary restraining order (TRO) is a court order that preserves the status quo of the parties until there is an opportunity to hold a full hearing on an application for a preliminary injunction. But since the employer is not a party to the suit and a TRO provides only a temporary solution, it is not the most efficient action.

Educational objective:

A court may modify or quash a subpoena that requires disclosing (1) an unretained expert's opinion or information that does not describe specific occurrences in dispute and results from the expert's independent study instead of a party's request or (2) trade secrets or other confidential research, development, or commercial information.

References

- Fed. R. Civ. P. 45(d)(3) (modifying or quashing a subpoena).

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A husband and wife from State A divorced. As part of their divorce settlement, the husband agreed to keep the wife as the sole beneficiary of his employer-sponsored life insurance policy worth $100,000. A court entered this settlement agreement as part of its divorce decree.

The husband remarried and moved with his second wife to State B. The husband then revised his life insurance policy to name the second wife as the sole beneficiary.

When the husband later died, the first and second wife each filed claims with the life insurance company to recover the proceeds from his policy. The insurance company, which is incorporated and has its principal place of business in State B, wants to avoid paying the proceeds twice.

If the insurance company files suit in federal district court, what procedure should the insurance company use to avoid double liability?

A. Class action.

B. Intervention.

C. Rule interpleader.

D. Statutory interpleader.

Explanation:

Interpleader is a procedure used when multiple persons claim an interest in the **same property** (ie, the stake)—like the wives claiming an interest in the same life insurance proceeds here. It allows the possessor of the stake (ie, **stakeholder**) to avoid multiple liability by **joining the claimants** to litigate the ownership of the stake among themselves. There are two types of interpleader with distinct subject-matter jurisdiction requirements that must be met before a federal court can hear the dispute:

- **Rule interpleader** – requires that (1) the action involve a federal question *or* (2) the amount in controversy exceed **$75,000** and ***complete* diversity** exist between the stakeholder and the claimants—ie, they must be citizens of different states
- **Statutory interpleader** – requires an amount in controversy of at least **$500** and ***minimal* diversity** between the claimants—ie, at least two claimants are citizens of different states

Here, rule interpleader is unavailable because the insurance company (stakeholder) from State B is not completely diverse from the wives (claimants) from States A and B **(Choice C)**. But subject-matter jurisdiction exists under statutory interpleader because the wives are diverse and the amount in controversy exceeds $500. Therefore, the insurance company should use statutory interpleader to avoid paying the proceeds twice.

(Choice A) A certified class action allows named parties to sue or be sued on behalf of similarly situated unnamed parties. One requirement for certification is that the class be so numerous that joinder of all members is impracticable, which is not met by the two wives here.

(Choice B) A nonparty may intervene (ie, join) and participate in a pending suit to protect his/her interests. But here, there would be no need for the insurance company to intervene since it would protect its interests as a party to the suit if one is filed.

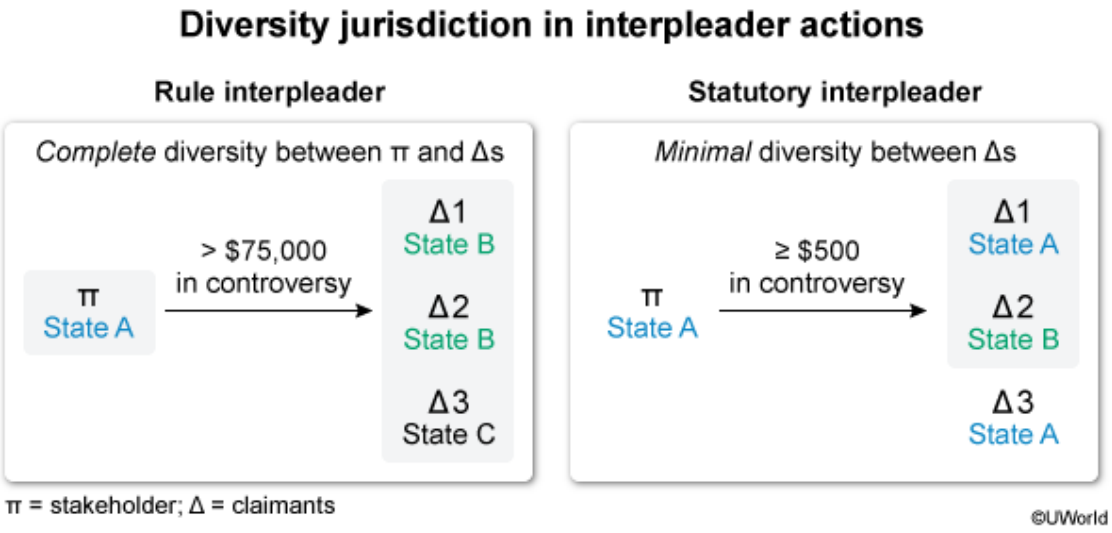
Educational objective:

Diversity jurisdiction for rule interpleader requires complete diversity between the stakeholder and the claimants and an amount in controversy that exceeds $75,000. But statutory interpleader only requires minimal diversity between the claimants and an amount in controversy of at least $500.

References

- Fed. R. Civ. P. 22 (rule interpleader).
- 28 U.S.C. §§ 1335, 1397, 2361 (statutory interpleader).
- State Farm Fire & Cas. Co. v. Tashire, 386 U.S. 523, 530–31 (1967) (explaining the minimal diversity requirements for statutory interpleader).

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A defendant sued in federal court seeks information from a nonparty witness.

Which of the following discovery devices can the defendant use to obtain this information?

A. Interrogatory.

B. Mental exam.

C. Oral deposition.

D. Request for admissions.

Explanation:

Methods of discovery

Depositions	• Written or oral examination of party or witness under oath • 10 per party
Interrogatories	• Written questions served on party • Serve up to 25 • Written responses due within 30 days of service
Request for production	• Request served on party (or subpoena served on nonparty) to produce & allow inspection of documents, electronic information, tangible items, or land • No limit • Written response due within 30 days of service
Requests for admission	• Requests served on other party to admit truth of facts within scope of discovery • No limit • Written response due within 30 days of service
Physical/mental exams	• Order by court or parties' agreement for physical or mental examination of party if those conditions are in controversy

Discovery is the pretrial phase of a lawsuit during which the parties can obtain information related to the case from other parties and nonparties through various methods. A **deposition** is a discovery method in which a party conducts a written or oral **examination of a party or *nonparty*** under oath and outside of court. Therefore, the defendant can use an oral deposition to get information from the nonparty witness—and, if necessary, can obtain a subpoena to compel the nonparty's attendance.

(Choice A) Interrogatories are written questions served on another *party* that may inquire about any matter within the scope of discovery—but they cannot be served on a nonparty.

(Choice B) A court can only order a physical or mental exam of a *party* by a suitably licensed or certified examiner if that party's physical or mental condition is in controversy.

(Choice D) A request for admissions is a discovery method in which a party requests that another *party* admit the truth of specified facts within the scope of discovery. But this method cannot be used against a nonparty.

Educational objective:

During discovery, the parties can use various methods to obtain information and evidence concerning the case from other parties and nonparties. A deposition is a discovery method

in which a party conducts a written or oral examination of a party or nonparty under oath and outside of court.

References

- Fed. R. Civ. P. 30–31 (depositions).

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A homeowners' association sued a federal agency in a federal district court to enjoin the agency from issuing a license to a fracking company to drill near the homeowners' association's neighborhood. An environmental group that owns a park in the neighborhood seeks to join and fully participate in that case to obtain the same remedy as the homeowners' association.

What action should the environmental group take to achieve its goal?

A. File a motion to intervene as a matter of right.

B. File a motion to join as an indispensable party.

C. File a motion to permissibly intervene.

D. File an amicus brief.

Explanation:

Intervention

(FRCP 24)

Intervention of right	• On timely motion, court *must* permit intervention when either: – nonparty's interest in case not adequately represented by existing parties & deciding case may impair nonparty's ability to protect that interest – federal statute gives *unconditional* right to intervene
Permissive intervention	• On timely motion, court *may* permit intervention when either: – nonparty's claim or defense shares common question of law or fact with main action – federal statute gives *conditional* right to intervene • Court must consider whether intervention will unduly delay or prejudice adjudication of original parties' rights

FRCP = Federal Rule of Civil Procedure.

The environmental group (nonparty) seeks to fully participate in the suit between the homeowners' association and the federal agency. A **nonparty can join** and fully participate in a pending suit to protect his/her interest by filing a **motion to intervene** under Federal Rule of Civil Procedure (FRCP) 24. There are two types of intervention:

- **Intervention of right** – the court *must* permit intervention when (1) the nonparty's **interest is inadequately represented** by the existing parties and (2) deciding the case may **impair** the nonparty's **ability to protect** that interest
- **Permissive intervention** – the court *may* permit intervention when the nonparty's claim or defense shares a **common question of law or fact with the main action***

The environmental group likely cannot intervene as a matter of right since the homeowners' association will adequately represent the group's interest in its park **(Choice A)**. This is because both entities seek to enjoin the federal agency from issuing a fracking license near the neighborhood. But since both claims share common questions of law and fact, the group should file a motion to permissibly intervene in the case.

*Intervention is also allowed when a federal statute gives a person an unconditional or conditional right to intervene (not seen here).

(Choice B) Only a *party* may file an FRCP 19 motion to join an indispensable party. But the group is not indispensable because (1) complete relief can be provided to the existing

parties, (2) the group can protect its park through future litigation, and (3) no threat of inconsistent obligations exists since the entities seek the same remedy.

(Choice D) An amicus (ie, friend-of-the-court) brief is a legal document filed by a nonparty that provides the court with relevant information to help it decide the disputed issues. But amicus briefs do not allow the nonparty to fully participate in the case and are most commonly filed in appeals.

Educational objective:

A nonparty may intervene (1) as a matter of right, if the nonparty's interest is inadequately represented and a decision may impair the nonparty's ability to protect that interest or (2) permissively, if the nonparty's claim or defense shares a common question of law or fact with the main action.

References

- Fed. R. Civ. P. 14 (intervention).

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A woman died with a life insurance policy worth $50,000. The woman had named "my son" as the sole beneficiary of the policy proceeds. The woman's three sons, two of whom are domiciled in State A and one of whom is domiciled in State B, individually filed claims with the insurance company to recover the proceeds of the woman's policy. The insurance company, which is incorporated and has its principal place of business in State B, brought a statutory-interpleader action in federal court against all three sons. The sons have moved to dismiss for lack of subject-matter jurisdiction.

Will the court likely grant the sons' motion to dismiss?

A. No, because federal courts have exclusive jurisdiction over actions involving life insurance policies.

B. No, because there is minimal diversity between the sons and the amount-in-controversy requirement is satisfied.

C. Yes, because the amount in controversy does not exceed $75,000.

D. Yes, because there is not complete diversity between the insurance company and the sons.

Explanation:

An **interpleader action** is available in federal court when multiple persons claim an interest in the same property (known as the "stake"). This action allows the possessor of the stake (the "stakeholder") to avoid multiple liability by joining the claimants to litigate the stake's ownership among themselves. There are two types of interpleader, each with **distinct subject-matter jurisdiction requirements** that must be satisfied before a court can hear the dispute:

- **Rule interpleader** requires an amount in controversy that exceeds **$75,000** and ***complete* diversity** between the stakeholder and the claimants—ie, they must be citizens of different states.*
- **Statutory interpleader** requires an amount in controversy of at least **$500** and ***minimal* diversity** between the claimants—ie, at least two claimants must be citizens of different states.

Here, the insurance company filed a statutory-interpleader action in federal court against the three sons. The amount-in-controversy requirement is satisfied because the policy is worth $50,000. Additionally, minimal diversity exists between the claimants since two sons are domiciled in State A while one son is domiciled in State B. Therefore, the court has subject-matter jurisdiction over the action and will deny the sons' motion to dismiss.

*Subject-matter jurisdiction can also be established in a rule-interpleader action if the claim presents a federal question (not seen here).

(Choice A) Federal and state courts *share* jurisdiction over both state and federal law claims unless the Constitution or Congress expressly provides federal courts with exclusive jurisdiction. Actions involving life insurance policies are not actions over which federal courts have exclusive jurisdiction.

(Choice C) For most federal civil actions arising from state law, including rule-interpleader actions, subject-matter jurisdiction requires an amount in controversy that exceeds $75,000. However, statutory-interpleader actions only require an amount in controversy of at least $500.

(Choice D) *Rule* interpleader requires complete diversity between the stakeholder and the claimants, but *statutory* interpleader only requires minimal diversity between the claimants.

Educational objective:

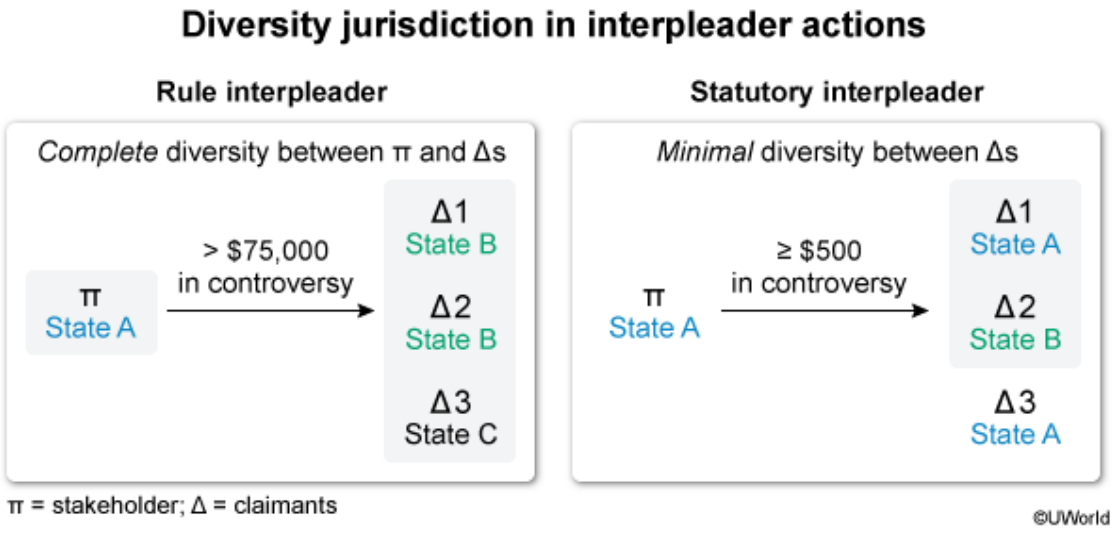
Subject-matter jurisdiction for statutory interpleader requires an amount in controversy of at least $500 and minimal diversity between the claimants—ie, at least two claimants must be citizens of different states.

References

- Fed. R. Civ. P. 22 (rule interpleader).

- 28 U.S.C. § 1335 (statutory interpleader).
- 7 Charles Alan Wright et al., Federal Practice and Procedure § 1710 (3d ed. 2020) (explaining the subject-matter jurisdiction requirements for rule and statutory interpleader).

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A woman sued a large company in federal court for violating federal environmental laws. During discovery, the woman's attorney requested that the company produce all electronically stored information (ESI) pertaining to the company's carbon dioxide production but did not specify the form in which this ESI was to be produced. The company provided a written response confirming that it would produce the requested documents.

One month later, the company sent the woman's attorney thousands of documents, emails, spreadsheets, and other files in their ordinarily maintained electronic forms. The attorney did not have the software necessary to access all of the produced ESI, so he sent the company a request for the production of the same ESI that specified the form in which it should be produced. The company refused.

The attorney filed a motion with the federal court to compel the company to produce the ESI again in the specified form.

Is the court likely to grant the motion?

A. No, because the company may choose to produce the ESI in any form.
B. No, because the company produced the ESI in forms in which they are ordinarily maintained.
C. Yes, because the attorney is unable to access the ESI through his software.
D. Yes, because the attorney may specify the form in which the ESI is to be produced.

Explanation:

Request for production

(FRCP 34)

Request	• Must describe each item with reasonable particularity • Must specify reasonable time, place & manner of production • May specify form in which ESI is to be produced
Response	• Must state that production or inspection will be permitted as requested OR specify grounds & reasons for objections • Due within 30 days of service
Production	• Must produce documents as kept in usual course of business OR organize & label to correspond to categories in request • Must produce ESI in ordinarily maintained or reasonably usable form (if form not specified in request) • Need not produce same ESI in more than one form

FRCP = Federal Rule of Civil Procedure; **ESI** = electronically stored information

A **request for production** is a method of discovery used to compel an opposing party to produce and allow inspection of documents, electronically stored information (ESI), tangible things, and real property. Such a request:

- **must describe** with reasonable particularity **each item** to be produced or inspected
- **must specify** a reasonable **time, place, and manner** for the production or inspection *and*
- ***may* specify the form** in which **ESI** is to be produced.

If a request for ESI does **not specify a form** for production, the producing party **must produce ESI in** its **ordinarily maintained or reasonably usable** form **(Choice A)**. However, the producing party need not produce the same ESI in more than one form.

Here, the attorney's first request for production did not specify the form in which the ESI was to be produced. As a result, the company properly produced its various ESI in their ordinarily maintained forms. And since the company need not produce the ESI in multiple forms, it does not need to comply with the attorney's second request. Therefore, the court is unlikely to compel production.

(Choice C) The company is not required to reproduce the ESI merely because the attorney cannot access it through his software. That is because the attorney could have specified the form in his original request for production.

(Choice D) The attorney could have specified the form in which the ESI was to be produced in his *original* request for production—but not after the company produced the ESI in its ordinarily maintained form.

Educational objective:

A party requesting production of electronically stored information (ESI) may specify the form in which it is to be produced. If no form is specified, the producing party must produce ESI in its ordinarily maintained or reasonably usable form but need not produce the same ESI in more than one form.

References

- Fed. R. Civ. P. 34(b) (requesting & producing electronically stored information).

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A homeowner brought a diversity action against a mining company in federal court for negligence, claiming that the company's negligent mining practices caused extensive damage to her property. Forty-five days before trial, the homeowner sent the company the evidence that she plans to use at trial, including a witness whose testimony she intends to present by deposition. The homeowner also attached a transcript of the pertinent depositions. Twenty-one days later, the company objected to the use of the deposition testimony on the ground that it is inadmissible hearsay.

Should the court hear the merits of the company's objection?

A. No, because the company failed to object at least 30 days before trial.

B. No, because the company failed to object within 14 days after the homeowner disclosed the deposition testimony she intended to use at trial.

C. Yes, because the company objected within 30 days after the homeowner disclosed the deposition testimony she intended to use at trial.

D. Yes, because the homeowner failed to disclose the deposition testimony at least 90 days before trial.

Explanation:

During discovery, parties must **automatically disclose** certain information through required disclosures. This includes **pretrial disclosures**, which must contain the following:

- The name, address, and phone number of **each witness**, separately identifying witnesses expected to testify at trial and those who may be called if the need arises
- The designation of witnesses whose testimony will be presented by **deposition**, including a **transcript** of the pertinent parts of a deposition that was not taken stenographically (ie, by shorthand)
- All **documents and exhibits**, separately identifying items expected to be offered as evidence and those that may be offered if the need arises

These must be disclosed **at least 30 days before trial**. Any **objections** to the use at trial of deposition testimony, documents, or exhibits must be made **within 14 days after the disclosures**.* An objection not made within this time is waived unless (1) excused by the court for good cause or (2) the objection is based on relevance.

Here, the homeowner timely disclosed 45 days before trial the witness whose deposition testimony she intends to present at trial and attached the deposition transcript. The company *untimely* objected 21 days later to the use of the deposition testimony at trial. There is no indication that the company's untimely objection is excused by good cause, and the objection is based on hearsay—not relevance. Therefore, the company waived its objection, and the court should not hear the merits of the objection **(Choice C)**.

*A court may also set different deadlines for the parties to make pretrial disclosures and object to such disclosures.

(Choice A) Pretrial disclosures, not objections to such disclosures, must be made at least 30 days before trial. Objections to pretrial disclosures must instead be made within 14 days after the disclosures.

(Choice D) Expert witness testimony, not pretrial disclosures, must be disclosed at least 90 days before trial.

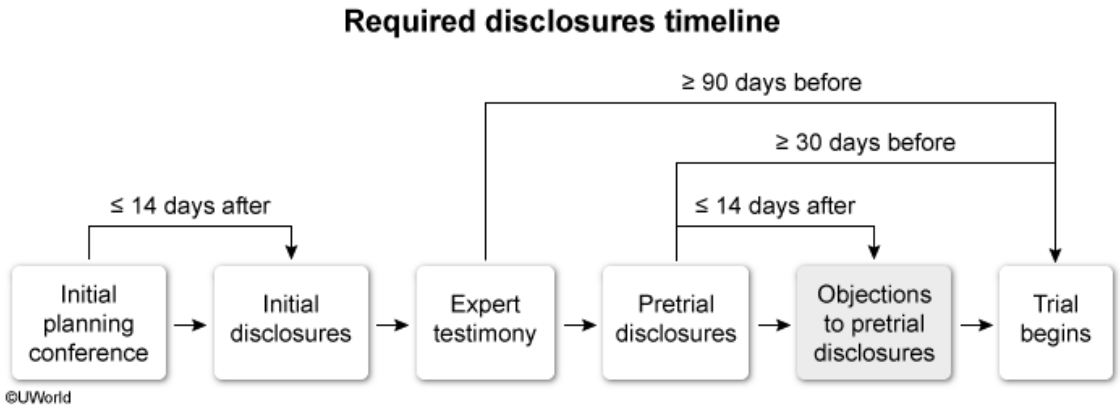
Educational objective:

Pretrial disclosures must be made at least 30 days before trial. Objections to the use at trial of disclosed deposition testimony, documents, or exhibits must be made within 14 days after the disclosures or such objections are generally waived.

References

- Fed. R. Civ. P. 26(a)(3) (pretrial disclosures).
- 8A Charles Alan Wright et al., Federal Practice and Procedure § 2054 (3d ed. 2020) (explaining when pretrial disclosures and objections to such disclosures must be made).

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A sailor filed a diversity action against a defendant in a federal district court to recover damages for injuries sustained in a boating accident. The district court ordered the attorneys for both parties to attend the first pretrial conference, but the sailor's attorney failed to appear. This was the first and only hearing that the attorney failed to attend. As a result, the district court entered an order dismissing the sailor's action with prejudice. The court also ordered the sailor to pay the expenses incurred by the defendant for attending the conference. The sailor immediately appealed.

What is the sailor's best argument for persuading the appellate court to reverse the dismissal?

A. The dismissal was unreasonable because the attorney had not shown a pattern of noncompliance or disobedience.

B. The dismissal was unwarranted because the sailor was also ordered to pay the defendant's expenses.

C. The district court committed clear error when it dismissed the case before trial.

D. The district court may sanction a party only when it fails to obey a pretrial order.

Explanation:

Pretrial conferences are designed to improve the quality of trial, facilitate settlement, and expedite litigation. To underscore the importance of these conferences, a federal court typically ***must* order*** a party and/or attorney to **pay the other party's reasonable expenses** when the party or attorney:

- **failed to attend** a pretrial conference
- was **substantially unprepared** for the conference
- did **not participate** in good faith in the conference *or*
- **failed to obey** a pretrial **order**.

In addition to ordering the payment of expenses, the **court *may* impose sanctions** on the noncompliant party or attorney **(Choice B)**. The court has discretion to decide which sanction to impose, but the sanction must be **reasonable under the circumstances**—ie, the punishment must fit the violation. Otherwise, an **arbitrary or unreasonable sanction** will be **reversed on appeal** for abuse of discretion.

Here, the district court dismissed the sailor's action with prejudice because the sailor's attorney failed to attend the initial pretrial conference. Dismissal of an action is one of the *harshest* sanctions and is appropriate to punish a pattern of disobedience or noncompliance (not seen here). Therefore, the sailor's best argument to reverse the dismissal is that this sanction was unreasonable under the circumstances.

*A court should not order the payment of the other party's reasonable expenses when (1) the noncompliance was substantially justified or (2) the payment would be unjust.

(Choice C) A district court's factual findings in a bench trial are reviewed for clear error and will only be reversed if no reasonable judge would have made such a finding. But here, the district court's discretionary decision to sanction the sailor's attorney and dismiss the sailor's action with prejudice before trial will be reviewed for abuse of discretion.

(Choice D) A district court may sanction a party if it failed to attend, did not participate in good faith in, or was substantially unprepared for a pretrial conference—not just when it failed to obey a pretrial order.

Educational objective:

A federal court must order the payment of the other party's reasonable expenses and may impose reasonable sanctions on any attorney or party who (1) failed to attend a pretrial conference, (2) was substantially unprepared for the conference, (3) did not participate in good faith in the conference, or (4) failed to obey a pretrial order.

References

- Fed. R. Civ. P. 16(f) (pretrial conference sanctions).

- 6A Charles Alan Wright et al., Federal Practice and Procedure § 1531 (3d ed. 2020) (explaining when sanctions are appropriate for failure to comply with pretrial conference or order).

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Sanctions for noncompliance with pretrial conference or order
(FRCP 16)

Sanctionable conduct

- Failure to attend pretrial conference
- Substantially unprepared for conference
- No good-faith participation in conference
- Failure to obey pretrial order



Required sanction

Payment of *reasonable expenses* unless:

- noncompliance substantially justified *or*
- award of expenses is unjust



Permissible sanctions

- **D**ismiss action in whole or in part
- **S**trike pleadings in whole or in part
- **H**old in contempt of court
- **I**ssue default judgment

A bicyclist sued the drivers of two cars in a federal district court after all three were involved in an accident. In her answer, the first driver denied liability and alleged that the second driver caused the accident by running a red light. The first driver also seeks to assert a claim against the second driver to recover damages for the injuries she suffered in the accident.

May the first driver include this claim in her answer?

A. No, because the first driver must first implead the second driver.

B. No, because the first driver must obtain the bicyclist's permission before asserting the claim.

C. Yes, because the claim arises from the accident that gave rise to the bicyclist's claim.

D. Yes, because the first driver may assert as many claims as she has against the second driver.

Explanation:

A **crossclaim** is a claim for relief asserted **against a coparty**—eg, a defendant against a codefendant (as seen here). Crossclaims are **permissive** (not compulsory) and can only be asserted if they **arise from the same transaction or occurrence** as another claim in the lawsuit **(Choice D)**. Here, the first driver's claim against the second driver arises from the *same* accident as the bicyclist's claims against both drivers. Therefore, the first driver may assert that crossclaim in her answer.

(Choice A) Impleader (ie, third-party practice) allows—but does not require—a defendant to add a *nonparty* who may be liable to the defendant for all (ie, indemnity) or part (ie, contribution) of the plaintiff's claim. But since the bicyclist included the second driver in the suit, impleader is unnecessary.

(Choice B) A party asserting a crossclaim (first driver) against a coparty (second driver) does *not* need permission from the opposing party (bicyclist).

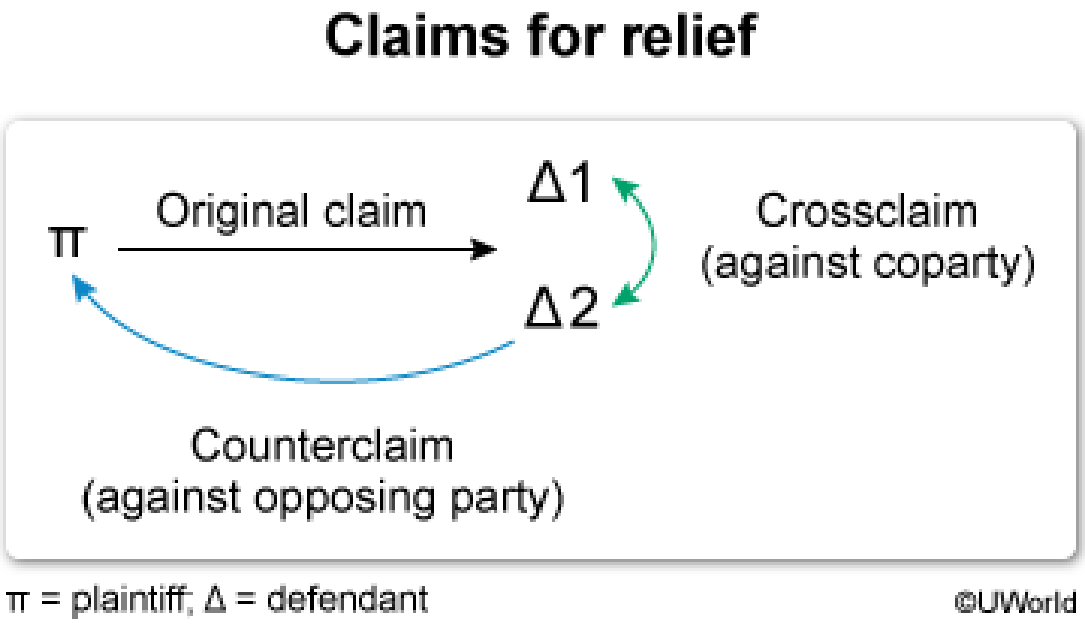
Educational objective:

A crossclaim is a permissive claim for relief against a coparty that can only be asserted if it arises from the same transaction or occurrence as another claim in the suit.

References

- Fed. R. Civ. P. 13(g) (crossclaim).

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A group of neighbors sued a power plant in a federal court for allegedly contaminating the river that flows through their properties. In its answer, the power plant included a counterclaim for defamation. The power plant claimed that the neighbors maliciously spread false information that it had contaminated the river.

One week before the start of trial, the judge and the parties had a final pretrial conference. At the conference, the judge ordered a separate trial for the power plant's defamation claim, decided that the river contamination trial would proceed first, and established that each party would get five days to present evidence in each trial as this was the customary time allotted in the jurisdiction. The power plant objected to each of these orders.

At the river contamination trial, the jury found in favor of the neighbors and awarded them $3 million in damages. As a result of this trial, the judge dismissed the power plant's defamation counterclaim.

The power plant appealed, arguing that the trial judge's orders during the pretrial conference were invalid.

How is the federal appellate court likely to rule?

A. Affirm all three orders.
B. Reverse the trial judge's order requiring a separate trial on the counterclaim.
C. Reverse the trial judge's order allowing each side just five days to present evidence.
D. Reverse the trial judge's order to hear the river contamination trial before the defamation trial.

Explanation:

Pretrial conferences

(FRCP 16(c))

Purpose	Matters for consideration
Expedite litigation	• Eliminate frivolous claims & defenses • Obtain admissions & stipulations • Set timeline for summary judgment & dispose of pending motions • Schedule discovery, pretrial briefs & future conferences
Improve quality of trial	• Amend pleadings • Refer matters to magistrate or master • Require separate trial for different claims • Adopt special procedures for complex/unusual legal issues • Rule on admissibility of evidence • Avoid cumulative evidence & limit expert testimony • Establish order & time limit for presentation of evidence
Facilitate settlement	• Facilitate just, speedy & inexpensive resolution

FRCP = Federal Rule of Civil Procedure.

Under Federal Rule of Civil Procedure 16, a federal district court judge may hold one or more **pretrial conferences** to help expedite litigation, improve the trial's quality, and facilitate settlement. At these conferences, the **judge has broad discretion** to address and act on a **wide range of issues**, including:

- **requiring separate trials** of a claim, counterclaim, crossclaim, third-party claim, or other issue **(Choice B)**
- determining the **order** in which the **separate trials will be heard (Choice D)** *and*
- establishing a reasonable **time limit to present evidence** at trial **(Choice C)**.

On appeal, these discretionary orders are reviewed for abuse of discretion. Under this standard of review, the appellate court gives great deference to the district court judge and will only reverse an unreasonable or arbitrary order.

Here, the district court judge had authority to issue the pretrial conference orders, and there is no indication that those orders were unreasonable or arbitrary. Therefore, the appellate court will likely affirm all three orders.

Educational objective:

During pretrial conferences, a trial judge has wide discretion to issue orders—eg, (1) requiring separate trials for different claims, (2) deciding the order of trials, and (3) establishing a reasonable time limit to present evidence. On appeal, such orders are reviewed for abuse of discretion and will only be reversed if unreasonable or arbitrary.

References

- Fed. R. Civ. P. 16 (pretrial conferences).

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A pedestrian filed a federal diversity action against a motorcyclist, alleging that the motorcyclist ran a stop sign and hit the pedestrian in a crosswalk outside of a bar.

During discovery, the pedestrian's attorney interviewed a bartender who was working at the bar on the night the accident occurred. The bartender told the attorney that the motorcyclist drank four bottles of beer and two shots of tequila in the hour immediately preceding the accident. The attorney wrote down the bartender's statements in a document.

The motorcyclist requested that the pedestrian produce all documents related to the case, including statements by potential witnesses. In response, the pedestrian's attorney produced several documents and a privilege log of the documents withheld. The privilege log included a description of the document containing the bartender's statements. The motorcyclist filed a motion to compel production of this document.

Should the court grant the motorcyclist's motion?

A. No, because the document is inadmissible at trial.

B. No, because the motorcyclist can obtain the information in the document by other means.

C. Yes, because the document does not contain the attorney's opinions or legal theories.

D. Yes, because the motorcyclist has a right to receive all materials containing information relevant to the case.

Explanation:

Work product

(FRCP 26(b)(3))

Type	Definition	Discoverability
Ordinary	Materials created in anticipation of litigation that contain factual information related to case	Not discoverable unless requesting party: • has substantial need for materials *and* • cannot obtain information without undue hardship
Opinion	Materials created in anticipation of litigation that contain attorney's mental impressions, conclusions, opinions, or legal theories	Not discoverable unless: • material concerns attorney's alleged fraudulent/illegal conduct (rare)

FRCP = Federal Rule of Civil Procedure.

During **discovery**, a party can use various methods (eg, request for production) to obtain nonprivileged information that is (1) relevant to any party's claim or defense and (2) proportional to the needs of the case. As a result, a party generally cannot obtain **privileged information**—including materials prepared by or for an attorney in anticipation of litigation (ie, work product) **(Choice D)**. **Work product** falls into one of two categories:

- Ordinary – materials containing factual information related to the case (eg, a document containing a witness's statements—as seen here)
- Opinion – materials containing the attorney's mental impressions, conclusions, opinions, or legal theories (eg, a document containing the attorney's trial strategy)

Opinion work product is almost never discoverable.* And **ordinary work product** is only **discoverable if** the requesting party shows that it (1) has a **substantial need** for the materials and (2) cannot obtain the information contained therein without **undue hardship**—eg, the witness dies before the requesting party can interview him/her.

Here, the motorcyclist cannot demonstrate a substantial need for the document or undue hardship in obtaining the information contained therein. That is because the motorcyclist can easily obtain this information by other means—eg, by having his attorney interview or

depose the bartender. Therefore, the court should deny the motorcyclist's motion to compel production of the document.

*Most courts have held that opinion work product is only discoverable in the rare instance when the materials show that the attorney committed fraud or another crime.

(Choice A) The document's *admissibility* at trial has no effect on whether it is *discoverable* because the scope of discovery includes inadmissible information and materials.

(Choice C) The document is not *opinion* work product because it does not contain the attorney's impressions, conclusions, opinions, or legal theories. However, it is *ordinary* work product that is not subject to discovery.

Educational objective:

Ordinary work product is any material prepared by or for an attorney in anticipation of litigation that contains factual information related to the case. These materials are protected from discovery unless the requesting party shows that it (1) has a substantial need for the materials and (2) cannot obtain the information without undue hardship.

References

- Fed. R. Civ. P. 26(b)(3) (work product and trial-preparation materials).
- Hickman v. Taylor, 329 U.S. 495, 511–12 (1947) (explaining the importance of protecting work-product materials from disclosure and when such materials may need to be disclosed).

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A man asked his attorney whether he had a legal basis to challenge a rate increase proposed by his electric utility company. The attorney said that he did and filed a federal action seeking a declaratory judgment that the proposed increase would violate federal law.

Soon thereafter, the court issued an order requiring the man and his attorney to show cause why they should not be sanctioned under Rule 11 and required to pay a monetary penalty to the court for filing a frivolous complaint. The order cited several recent judicial decisions holding that rate increases such as the one proposed do not violate federal law.

May the court impose this monetary sanction on the man?

A. No, because the court cannot impose a monetary sanction under Rule 11 without a motion seeking such a sanction.

B. No, because the man is represented by an attorney.

C. Yes, because the action is not warranted by existing law.

D. Yes, because the court issued a show-cause order before imposing any sanction.

Explanation:

Common FRCP 11 sanctions

Monetary*	• Order fine payable to court • Order payment of opposing party's attorney's fees & other expenses
Nonmonetary	• Strike pleading, motion, or other document • Admonish, reprimand, or censure offending party, attorney, or law firm • Require participation in training/seminar • Refer issue to disciplinary authorities (eg, state legal ethics committee)

FRCP = Federal Rule of Civil Procedure.

*Cannot be imposed on represented party for violation of FRCP 11(b)(2).

Every pleading, motion, or other document filed with the court must be signed by an attorney or an unrepresented party. This signature certifies that the document complies with the **provisions of FRCP 11(b)**:

1. The document is presented for a proper purpose—not to harass, cause unnecessary delay, or needlessly increase the cost of litigation.

2. All claims, defenses, and legal contentions are **warranted by existing law** or by a **nonfrivolous argument** for revising or establishing law.

3. All factual assertions have or will have evidentiary support.

4. All factual denials are warranted by evidence or are reasonably based on a belief or a lack of information.

A court can impose sanctions for violations of these provisions but **cannot impose a monetary sanction** on a **party represented by an attorney** for a **violation of FRCP 11(b)(2)**.

Here, the man sought a declaratory judgment that the electric utility company's proposed rate increase would violate federal law even though several recent judicial decisions have held that such increases do not do so. The court issued an order requiring the man and his attorney to show cause why it should not impose monetary sanctions on them for filing a frivolous complaint in violation of FRCP 11(b)(2). But since the man is represented by an attorney, the court may not impose the monetary sanction on the man **(Choice C)**.*

*The court may still impose a monetary sanction on the man's attorney or the attorney's law firm.

(Choices A & D) A court may impose sanctions on its own initiative (ie, sua sponte) if it previously issued an order to show cause on the alleged violator. Although the court properly issued a show-cause order before imposing a sanction, a monetary sanction cannot be imposed against the man for an alleged violation of FRCP 11(b)(2) since he is represented by an attorney.

Educational objective:

A court cannot impose a monetary sanction on a party represented by an attorney for violating FRCP 11(b)(2). This provision requires that all claims, defenses, and legal contentions be warranted by existing law or by a nonfrivolous argument for revising or establishing law.

References

- Fed. R. Civ. P. 11(c) (sanctions for violating this rule).

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A woman from State A contracted with a builder from State B to construct her new home in State A for $500,000. The builder ordered all the necessary materials, including drywall, and built the home to the woman's specifications.

After one year, the drywall throughout the home began to crumble and give off an awful odor. The home became uninhabitable. The woman sued the builder for breach of contract in a federal district court in State A. The builder believes that the drywall supplier from State B should reimburse him for any damages he may owe the woman. The builder has yet to file his answer.

What is the most efficient action the builder can take to seek reimbursement from the supplier?

A. File a crossclaim against the supplier.

B. File a motion to join the supplier as an indispensable party.

C. File a separate lawsuit against the supplier.

D. File a third-party complaint against the supplier.

Explanation:

Ways to add parties

Required joinder	Requires addition of necessary party to suit
Permissive joinder	Allows addition of nonessential party to suit
Intervention	Allows nonparty whose interests may be affected to join suit
Impleader	Allows defendant to add nonparty who may be liable to defendant for all or part of asserted claim to suit
Interpleader	Allows possessor of property to force persons who claim ownership of property to resolve dispute in single suit
Class action	Allows party to represent interests of entire class of similarly situated individuals

Impleader (ie, third-party practice) allows a defendant to **add a nonparty** to a suit who may be **liable to the defendant** for all or part of the plaintiff's claim. This means that the nonparty would reimburse the defendant for any damages paid to the plaintiff. To initiate impleader, the defendant can file a **third-party complaint** (1) within **14 days of serving** his/her **original answer** *or* (2) after this deadline **with the court's permission**.

Here, impleader is appropriate since the builder (defendant) believes that the supplier (nonparty) should reimburse the builder for any damages he may owe the woman (plaintiff) in the pending suit. Since the builder has not yet filed an answer, the court's permission is not required. Therefore, the most efficient way for the builder to seek reimbursement is to file a third-party complaint against the supplier.

(Choice A) A crossclaim is a claim for relief asserted against a *coparty*—eg, a defendant against a codefendant. But here, the builder seeks relief from the supplier—a *nonparty*. As a result, the builder cannot file a crossclaim to obtain relief from the supplier.

(Choice B) The supplier is not an indispensable party and should not be joined as such. That is because the supplier's absence will not (1) prevent the existing parties from obtaining complete relief, (2) prejudice the supplier's interest, or (3) subject an existing party to multiple or inconsistent obligations.

(Choice C) The builder could file a separate lawsuit against the supplier. But since this would be more costly and time-consuming than filing a third-party complaint in the pending action, it is not the most *efficient* way for the builder to seek reimbursement.

Educational objective:

A defendant may add a nonparty to a suit by filing a third-party complaint alleging that the nonparty is liable to the defendant for all or part of the plaintiff's claim. The defendant need only obtain the court's leave if more than 14 days have passed since the defendant served his/her original answer.

References

- Fed. R. Civ. P. 14 (third-party practice).

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The attorney for a plaintiff in an action filed in federal district court served the defendant with the summons, the complaint, and 25 interrogatories asking questions about the defendant's contentions in the case. The interrogatories stated that they were to be answered within 30 days after service.

The defendant is likely to succeed in obtaining a protective order on which of the following grounds?

A. Interrogatories are only proper to discover facts, not contentions.

B. Interrogatories may not be served until an answer to the complaint is filed.

C. Interrogatories may not be served until the parties have conferred to arrange for initial disclosures and prepare a discovery plan.

D. The interrogatories exceed the number permitted without permission from the court or an agreement between the parties.

Explanation:

Methods of discovery

Depositions	• Written or oral examination of party or witness under oath • 10 per party
Interrogatories	• Written questions served on party • Serve up to 25 • Written responses due within 30 days of service
Request for production	• Request served on party (or subpoena served on nonparty) to produce & allow inspection of documents, electronic information, tangible items, or land • No limit • Written response due within 30 days of service
Requests for admission	• Requests served on other party to admit truth of facts within scope of discovery • No limit • Written response due within 30 days of service
Physical/mental exams	• Order by court or parties' agreement for physical or mental examination of party if those conditions are in controversy

Except in limited circumstances,* a party **may not seek discovery** (including interrogatories) **until** the parties have held an **initial planning conference**—ie, a meeting where the parties arrange for initial disclosures and prepare a plan for discovery. If a discovery request is **submitted before** this conference is held (as seen here), the court would likely **grant a protective order**. This shields the served party from the undue burden of responding to that request, especially since the disclosure of the requested information will likely be arranged at the initial planning conference.

*Discovery may be sought before an initial planning conference (1) in a proceeding exempt from initial disclosures or (2) if permitted by a court order, the parties' stipulation, or a procedural rule.

(Choice A) Interrogatories are written questions (served by one party on another party) that may inquire about any matter within the scope of discovery—including facts, opinions, *and* contentions that pertain to the case.

(Choice B) Interrogatories may be served after an initial planning conference has been held—not when an answer to the complaint has been filed.

(Choice D) A party may serve up to 25 interrogatories on any other party without the court's permission or an agreement between the parties (as seen here).

Educational objective:

Discovery requests generally cannot be served until the parties have held an initial planning conference to arrange for initial disclosures and prepare a discovery plan.

References

- Fed. R. Civ. P. 26(d) (timing of discovery).
- Fed. R. Civ. P. 33 (interrogatories).

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A plastic surgeon left her business partner to open her own plastic surgery clinic in a neighboring state. The business partner brought a diversity action against the plastic surgeon in federal court for violating a noncompete clause in the partnership agreement. The business partner properly filed an ex parte application for a temporary restraining order (TRO) that would prohibit the plastic surgeon from operating her new clinic. After a hearing at which only the business partner was present, the court properly issued the ex parte TRO, finding that the partner would be immediately and irreparably harmed by the loss of goodwill caused by the plastic surgeon's violation of the noncompete clause. The TRO was served on the plastic surgeon the next day.

One week later, the business partner moved to convert the TRO into a preliminary injunction. He requested that the court grant the motion immediately without providing notice to the plastic surgeon.

Will the court grant the business partner's request?

A. No, because notice must be given to an opposing party before a court may issue a preliminary injunction.

B. No, because the partner's attorney failed to certify in writing why the plastic surgeon need not be notified.

C. Yes, because the ex parte TRO had expired and was no longer in effect.

D. Yes, because the partner will suffer immediate and irreparable harm if the request is not granted.

Explanation:

Preliminary relief

(FRCP 65)

Type		Required contents	Effect
Preliminary injunction **Temporary restraining order**	Notice of hearing	• State reasons issued • Reasonably describe acts restrained or required • Specify terms	Persons bound upon receiving actual notice of order: • parties to the case • parties' officers, agents, employees & attorneys • anyone in active concert/participation with above persons
	Ex parte (no notice)	Above requirements plus: • date & hour issued • why injury is irreparable • why issued without notice • promptly filed with clerk & entered into record	

FRCP = Federal Rule of Civil Procedure.

A **temporary restraining order** (TRO) is a court order that commands a party to do or stop doing a specified action for 14 days or until a preliminary-injunction hearing can take place—whichever occurs first. A **court may issue** a TRO ***without* notice** to the adverse party (ie, ex parte). But when a party **attempts to convert** a TRO into a **preliminary injunction**, the adverse party ***must* receive notice**. Therefore, the court will deny the business partner's request because the plastic surgeon did not receive notice of the preliminary-injunction hearing.

(Choice B) The business partner's attorney must certify in writing why the plastic surgeon need not be notified when applying for an ex parte TRO—not a preliminary injunction. That is because, unlike an ex parte TRO, a preliminary injunction may be issued only after the adverse party has received notice of the preliminary-injunction hearing.

(Choice C) An ex parte TRO automatically remains in effect for 14 days unless that time period is (1) shortened by the court or (2) extended by the court for good cause or the adverse party's consent. Here, the TRO was seven days old when the business partner

moved to convert it into a preliminary injunction. Since there is no indication that the TRO was to last fewer than 14 days, it had not expired and was still in effect.

(Choice D) Although the business partner will suffer immediate and irreparable harm if his motion to convert the TRO into a preliminary injunction is denied, the court cannot grant a preliminary injunction on that basis alone. Even if it could, the motion cannot be granted because the plastic surgeon did not receive notice of the hearing.

Educational objective:

A court may issue a temporary restraining order without providing notice to the adverse party (ie, ex parte). However, the adverse party must receive notice before the court can convert a TRO into a preliminary injunction.

References

- Fed. R. Civ. P. 65(a) (preliminary injunction).

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An injured pedestrian filed a diversity action in federal court against a truck driver. The truck driver filed an answer in which he denied liability and asserted an affirmative defense that the pedestrian was contributorily negligent. The truck driver did not assert any counterclaims against the pedestrian in his answer. Thirty days later, the pedestrian seeks to file a pleading to respond to the allegations in the truck driver's answer. The court has not yet issued any orders in the case.

May the pedestrian file a response?

A. No, because the pedestrian did not file a reply within 14 days after the answer was filed.

B. No, because the truck driver did not assert a counterclaim and the court did not order a reply.

C. Yes, because due process allows the pedestrian to file a reply.

D. Yes, because the truck driver asserted an affirmative defense.

Explanation:

Types of pleadings

(FRCP 7)

Complaint	Plaintiff's assertion of cause of action, court's jurisdiction & demand for relief
Answer	Response to complaint, counterclaim, crossclaim, or third-party complaint that asserts admissions, denials, affirmative defenses & other claims
Third-party complaint	Party's assertion that nonparty is liable for damages party may owe in original suit based on legal theory (eg, indemnity, contribution)
Reply	Response to answer (only required if court ordered)

FRCP = Federal Rule of Civil Procedure.

Federal Rule of Civil Procedure 7(a) lists the **pleadings allowed** in federal court. The most common pleadings are the plaintiff's complaint against the defendant and the defendant's answer in response to that complaint. A **plaintiff** may also **respond** to the defendant's answer by **filing**:

- an **answer**, but only if the defendant asserted a counterclaim *or*
- a **reply**, but only in the rare instance that the **court orders** it.

Here, the truck driver did not assert a counterclaim in his answer, and the court did not order a reply. Therefore, the pedestrian may not respond to the allegations in the truck driver's answer. Instead, the pedestrian's nonresponse is automatically treated as a denial of the affirmative defense alleged in the truck driver's answer.

(Choice A) Had the court ordered a reply, the pedestrian would have needed to serve it within 21 days after being served with the court order—not within 14 days after the answer was filed.

(Choice C) Due process does not allow the pedestrian to file a reply. The pedestrian may only do so pursuant to a court order (not seen here).

(Choice D) The truck driver asserted an affirmative defense (not a counterclaim) alleging that the pedestrian was contributorily negligent. As a result, the pedestrian may not file an answer to respond to the affirmative defense.

Educational objective:

A plaintiff may respond to a defendant's answer by filing (1) an answer if the defendant asserted a counterclaim or (2) a reply if the court orders it.

References

- Fed. R. Civ. P. 7(a) (pleadings).
- 61A Am. Jur. 2d Pleading § 365 (2019) (explaining the permissibility of a reply in federal court).

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A company located in State A filed a lawsuit against its distributor located in State B in a federal district court. The company's complaint asserted a breach of contract claim for $60,000 and a negligence claim for $30,000. These claims arose from different facts.

May the federal court hear these claims in a single suit?

A. No, because neither claim satisfies subject-matter jurisdiction on its own.

B. No, because the claims arose out of different facts.

C. Yes, because the claims were properly joined, and the federal court has diversity jurisdiction.

D. Yes, because the claims were properly joined, and the federal court has supplemental jurisdiction.

Explanation:

Amount in controversy

(aggregation of claims)

Procedural posture	**Claims asserted**	**Outcome**
One π v. one Δ	• Negligence – $40K • Battery – $60K	• Aggregation allowed • Amount in controversy = $100K
One π v. multiple Δs	• Negligence against Δ1 – $40K • Battery against Δ2 – $60K	• Aggregation *not* allowed unless Δs jointly liable • Amounts in controversy = $40K & $60K
Multiple πs v. one Δ	• π1 asserts negligence – $40K • π2 asserts battery – $60K	• Aggregation *not* allowed unless πs enforcing common or undivided interest • Amounts in controversy = $40K & $60K
	• π1 asserts negligence – $40K • π1 asserts breach of contract – $40K • π2 asserts battery – $60K	• Aggregation allowed for π1's claims • Aggregation *not* allowed for π2's claim • Amounts in controversy = $80K & $60K

π = plaintiff; **Δ** = defendant.

Federal Rule of Civil Procedure (FRCP) 18 allows a party to **join** (ie, add) **as many claims** as it has **against an opposing party** in a **single lawsuit**—even if the claims arise from different facts or occurrences* (as seen here) **(Choice B)**. But like all disputes in federal court, a suit involving multiple claims must **satisfy subject-matter jurisdiction**. This can be established through either:

- federal-question jurisdiction – when a claim arises under the U.S. Constitution, a treaty, or a federal law (not seen here) *or*
- diversity jurisdiction – when the opposing parties are citizens of different states and the amount in controversy exceeds $75,000.

The amount in controversy refers to the amount demanded in the plaintiff's complaint (excluding costs and interest). To meet the required amount, a single plaintiff may aggregate (ie, combine) joined claims asserted against a single defendant.

Here, the company and the distributor are citizens of different states (States A and B, respectively). The company properly joined a breach of contract claim for $60,000 and a negligence claim for $30,000, even though they arise from different facts. And though neither claim individually satisfies the amount-in-controversy requirement, they can be aggregated to $90,000 to meet that requirement since both claims are asserted against the distributor. Therefore, the federal district court has diversity jurisdiction and can hear both claims in a single suit **(Choice A)**.

*FRCP 42 allows a federal court to order separate trials of claims for convenience, to avoid prejudice, or to expedite and economize.

(Choice D) A federal court may exercise supplemental jurisdiction to hear certain claims that do not independently satisfy federal-question or diversity jurisdiction. But there is no need for supplemental jurisdiction here since the court has diversity jurisdiction over the aggregated claims.

Educational objective:

A party may join as many claims as it has against an opposing party in federal court—even if the claims arise out of different facts or occurrences—provided subject-matter jurisdiction is satisfied.

References

- Fed. R. Civ. P. 18 (joinder of claims).
- 28 U.S.C. § 1332 (diversity jurisdiction).

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A miner sued a coal company in a federal district court to recover damages for severe injuries he sustained during a mining explosion. Sixty days prior to trial, the company's attorney interviewed a forklift operator who witnessed the incident. The operator stated that he saw the miner violate several safety protocols leading up to the explosion.

At trial, the company sought to have the forklift operator testify to support its contributory negligence defense. The miner's attorney objected and moved for sanctions on the ground that the company had failed to disclose the operator's identity prior to trial. The company's attorney stated that she did not disclose the operator's identity because the miner's attorney never made a formal request.

The district court then sanctioned the company by (1) prohibiting the operator from testifying, (2) informing the jury of the company's nondisclosure, and (3) ordering the company to pay the miner's reasonable expenses. After the jury returned a verdict for the miner, the company appealed the sanctions.

How should the appellate court rule?

A. Affirm all the sanctions.

B. Affirm the sanction ordering the company to pay the miner's reasonable expenses but reverse the other sanctions.

C. Affirm the sanction prohibiting the operator from testifying at trial but reverse the other sanctions.

D. Reverse all the sanctions.

Explanation:

Parties are required to make initial disclosures, disclosures of expert testimony, and pretrial disclosures without waiting for a discovery request. Such required disclosures are designed to prevent surprises at trial. As part of their pretrial disclosures, parties must disclose the identity of witnesses who may testify at trial. Since the company intended to call the forklift operator as a witness, it was required to disclose his identity as part of its pretrial disclosures. However, the company failed to do so.

To underscore the importance of such disclosures, a court has wide discretion to impose sanctions on a party who **fails to make required disclosures**. The most common sanction is to **prohibit** the **use of the undisclosed information unless** the nondisclosure was **substantially justified or harmless**. In addition to or in lieu of this sanction, the court may:

- order the payment of the opposing party's reasonable expenses, including attorney's fees, caused by the nondisclosure
- inform the jury of the party's failure to disclose *and*
- impose any other appropriate sanction (except for contempt of court).

Here, the company provided no justification for its failure to disclose the forklift operator's identity, and this nondisclosure was harmful to the miner since he had no time to prepare for the operator's testimony. As a result, the court did not abuse its discretion in prohibiting the operator from testifying, informing the jury of the nondisclosure, and ordering the company to pay the miner's reasonable expenses. The appellate court should therefore affirm all the sanctions **(Choices B, C & D)**.

Educational objective:

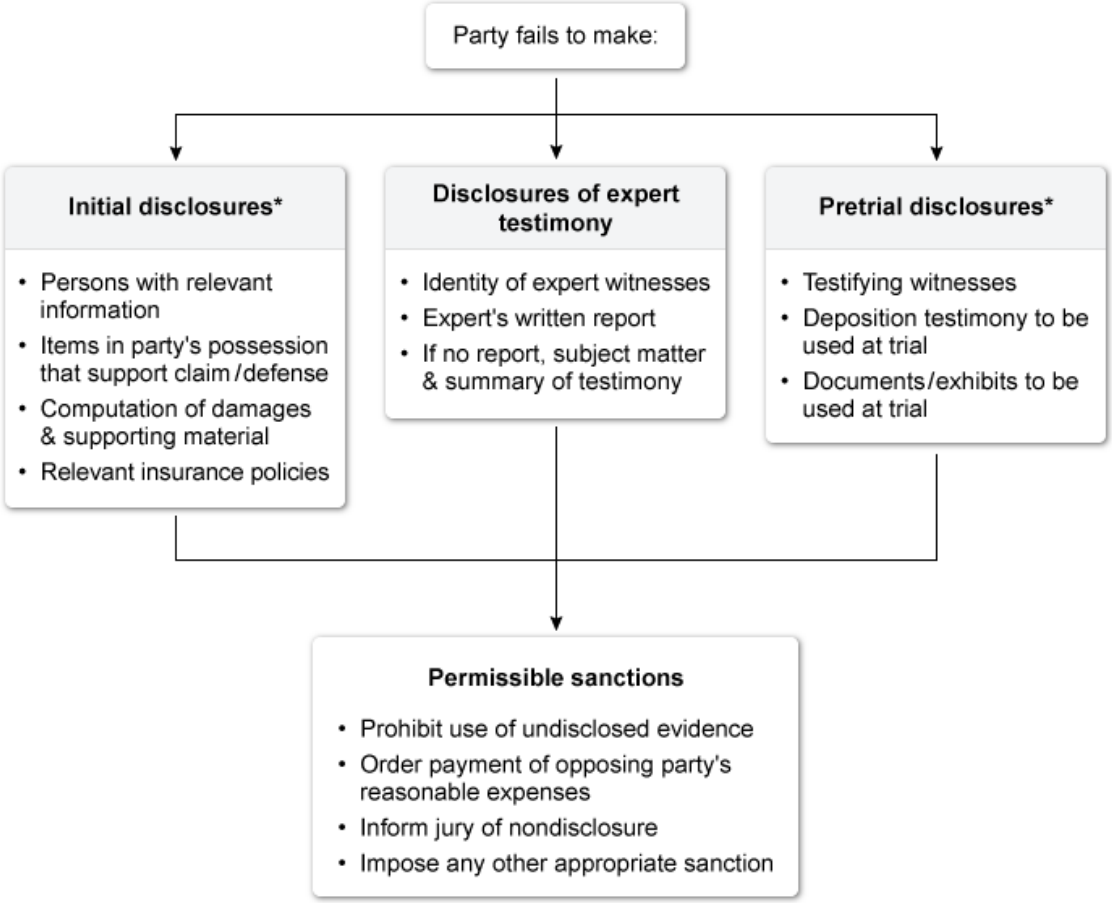
A court may impose the following sanctions on a party who fails to make required disclosures: (1) prohibit the use of the undisclosed evidence, (2) order the payment of the opposing party's reasonable expenses, (3) inform the jury of the nondisclosure, and (4) impose any other appropriate sanction (except for contempt of court).

References

- Fed. R. Civ. P. 26(a) (mandatory-disclosure requirements).
- Fed. R. Civ. P. 37(c)(1) (sanctions for failure to make mandatory disclosures).
- 8B Charles Alan Wright et al., Federal Practice and Procedure § 2289.1 (3d ed. 2020) (explaining when sanctions are appropriate for failure to make required disclosures).

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Sanctions for failure to make required disclosures



*Does not apply to evidence used solely for impeachment.

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A pharmaceutical company sued its competitor for patent infringement in federal court. The competitor's attorney hired a pharmacist to examine the case and testify as an expert at trial. The pharmacist studied the case and submitted an initial draft of her report to the attorney. After reading the draft report, the attorney noticed that certain facts and data were missing. To correct this issue, the attorney emailed the pharmacist and provided additional facts and data to include in the report. The pharmacist then revised her report based on this additional information.

After receiving this revised report from the competitor's attorney, the pharmaceutical company served a request for production on the attorney to produce the email exchanged with the pharmacist.

Must the attorney produce the email?

A. No, because attorney communications with expert witnesses are privileged.

B. No, because the contents of the email are discoverable through interrogatories served on the pharmacist.

C. Yes, because a draft of an expert report is discoverable.

D. Yes, because the email contained facts and data that the pharmacist relied on to revise her report.

Explanation:

Discovery of expert materials

(FRCP 26(b)(4))

Nontestifying expert	• Facts known or opinions held by expert *not* discoverable unless: – relate to court-ordered physical/mental examination *or* – exceptional circumstances make it impracticable to obtain information by other means
Testifying expert	• Facts known & opinions held by expert discoverable through deposition • Drafts of expert reports & disclosures *not* discoverable • Communications between attorney & expert *not* discoverable unless: – relate to expert's compensation *or* – identify facts, data, or assumptions provided by attorney that expert considered in forming opinions

FRCP = Federal Rule of Civil Procedure.

Parties can use various discovery methods, including requests for production, to obtain nonprivileged information that is relevant to any claim or defense and proportional to the needs of the case. Materials held by an expert witness **expected to testify** at trial are **discoverable** with **two exceptions**:

- Drafts of expert reports or disclosures
- **Privileged attorney-expert communications**

All attorney-expert communications are privileged unless they (1) relate to the **expert's compensation** *or* (2) **identify facts, data, or assumptions provided by the attorney** that the expert **considered or relied on** in forming his/her opinions.

Here, the competitor's attorney hired the pharmacist to examine the case and testify as an expert at trial. After reading the pharmacist's draft report, the attorney emailed the pharmacist and provided her with additional facts and data that were missing in the draft. The pharmacist then relied on those facts and data to revise her report, so the email is *not* a privileged communication **(Choice A)**. Therefore, the attorney must produce the email.

(Choice B) Interrogatories are a discovery request in which a party serves written questions on another *party* that inquire about any matter within the scope of discovery. However, interrogatories may not be served on a *nonparty* such as an expert

expected to testify at trial. Therefore, the contents of the email are not discoverable through interrogatories served on the nonparty pharmacist.

(Choice C) Drafts of expert reports are *not* discoverable. Therefore, the attorney would not be required to produce the email on this basis.

Educational objective:

All attorney-expert communications are privileged unless they (1) relate to the expert's compensation or (2) identify facts, data, or assumptions provided by the attorney that the expert considered or relied on in forming his/her opinions.

References

- Fed. R. Civ. P. 26(b)(4) (discovery of expert materials).

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A musician sued a political candidate in a federal court for federal copyright infringement. The complaint requested damages and a preliminary injunction to stop the candidate from using the musician's songs at his political rallies. Notice of a hearing on the preliminary injunction was provided to both parties. After the hearing was conducted, the judge granted the musician's request for a preliminary injunction and stated the reasons for doing so. In addition, the injunction reads as follows:

"The political candidate and any person working or volunteering to put on a rally for the candidate may not play any of the musician's songs. The political campaign is directed to distribute this injunction to all persons, including workers, independent contractors, and volunteers, who are involved in the candidate's rallies. A fine of $1,000 per violation will be assessed against anyone who fails to adhere to this injunction."

At the candidate's next rally, a volunteer who had received a copy of the preliminary injunction nonetheless played the musician's song.

Is the volunteer subject to the monetary fine for violating the preliminary injunction?

A. No, because the volunteer did not receive notice of the hearing.

B. No, because the volunteer is not a party in the musician's suit against the candidate.

C. Yes, because the injunction is in the best interests of the public.

D. Yes, because the injunction reasonably described the prohibited acts.

Explanation:

Preliminary injunction

Grounds* Movant establishes that:

- movant is likely to succeed on merits
- movant is likely to suffer irreparable harm in absence of relief
- balance of equities favors movant *and*
- injunction is in public's best interests

Contents Order granting injunction must:

- state reasons for issuance
- reasonably describe prohibited or commanded acts *and*
- state terms specifically

Effect Binds the following persons who receive actual notice of order:

- parties
- parties' officers, agents, employees & attorneys *and*
- anyone in active concert or participation with above-listed persons

*Movant also must provide bond to pay costs & damages if nonmovant was wrongfully enjoined.

A **preliminary injunction** is a temporary court order that is issued before or during trial to **prohibit or command** a **specified action** while a **case is pending** before the court. A preliminary injunction can only be granted after notice of the hearing to the adverse party, and it **must contain** all of the following:

- The **reasons** why it was granted
- A reasonable description of the **prohibited or commanded acts**
- The **specific terms** (eg, persons bound, penalties for noncompliance)

Additionally, **actual notice** of the preliminary injunction must be provided to **any person bound by it**, including (1) the parties, (2) their officers, agents, employees, and attorneys, and (3) persons in active concert or participation with the parties or their subordinates. Only persons who receive this notice can be held in contempt of court (eg, charged a monetary fine) for violating the injunction.

Here, the judge issued a preliminary injunction and stated the reasons why it was granted. The injunction bound the candidate and all persons working or volunteering on his behalf (specific terms) to stop playing the musician's songs (prohibited acts). And since the volunteer received a copy of the injunction (actual notice), the volunteer is subject to the monetary fine for violating the preliminary injunction.

(Choice A) The volunteer had to receive actual notice of the *injunction* to be subject to it, but the volunteer did not need to receive notice of the *hearing* since the candidate was the adverse party in this suit.

(Choice B) Although the volunteer is not a party in the musician's suit against the candidate, the volunteer worked on the candidate's behalf and received actual notice of the injunction. As a result, the volunteer is bound by the injunction.

(Choice C) The injunction may be in the public's best interests because the enforcement of copyright laws protects intellectual property rights. But that alone is not a basis to enforce the injunction against the volunteer.

Educational objective:

A preliminary injunction must contain (1) the reasons why it was issued, (2) a reasonable description of the prohibited or commanded acts, and (3) its specific terms.

References

- Fed. R. Civ. P. 65(d) (required contents and scope of preliminary injunction).

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A fisherman from State A repeatedly trespassed across a homeowner's property in State B to fish in a publicly owned lake. After one of the fisherman's trips across the homeowner's property, the homeowner discovered that her $80,000 marble statue had been destroyed. The homeowner filed a lawsuit in a federal court in State B to enjoin the fisherman from trespassing and to recover for the damage to her statue.

During discovery, the homeowner interviewed a former friend of the fisherman. The friend said that the fisherman had bragged about trespassing across the homeowner's property and accidently knocking over a marble statue on one occasion. The homeowner expects the fisherman to testify at trial that he did not know he was trespassing and never saw the statue. To impeach the fisherman's anticipated testimony, the homeowner intends to call the friend to testify. The homeowner does not want to disclose the friend's identity to the fisherman.

What is the homeowner's strongest argument to accomplish her goal?

A. The fisherman could have discovered this evidence on his own.

B. The fisherman will have a full and fair opportunity to cross-examine the friend.

C. The friend's testimony will be used solely to impeach the fisherman's testimony.

D. The homeowner's failure to disclose the friend as a witness is harmless.

Explanation:

Required discovery disclosures

(FRCP 26(a))

Type	Required disclosures	Time to disclose
Initial disclosures*	• Persons with relevant information • Items in party's possession that support claim/defense • Computation of damages & supporting material • Relevant insurance policies	• ≤ 14 days after initial planning conference • ≤ 30 days after post-conference service or joinder • As court orders or parties stipulate
Expert testimony	• Identity of expert witnesses • Expert's written report • If no report, subject matter & summary of testimony	• ≥ 90 days before trial • ≤ 30 days after disclosure to rebut evidence • As court orders or parties stipulate
Pretrial disclosures*	• Testifying witnesses • Deposition testimony to be used at trial • Documents/exhibits to be used at trial	• ≥ 30 days before trial • As court orders

FRCP = Federal Rule of Civil Procedure.

*Does not apply to evidence used solely for impeachment.

Federal Rule of Civil Procedure 26(a) requires parties to automatically make initial disclosures, disclosures of expert testimony, and pretrial disclosures. **Pretrial disclosures** *must* include:

- the **name, address, and phone number of each witness**—separately identifying witnesses expected to testify and those who may be called if the need arises
- the **deposition testimony** that will be used at trial *and*
- all **documents and exhibits**—separately identifying items expected to be offered as evidence and those that may be offered if the need arises.

The purpose of pretrial disclosures is to avoid surprises at trial regarding *substantive* evidence—ie, evidence offered to help prove a material fact or issue. As a result, these requirements **do *not* apply to impeachment evidence**—ie, evidence used solely to discredit a witness and not to prove a material fact or issue. Therefore, the homeowner's strongest argument to avoid disclosing the friend's identity is that his testimony will be used solely to impeach the fisherman's testimony.

(Choices A & B) The fact that the fisherman could have discovered this evidence on his own and will have a full and fair opportunity to cross-examine the friend does not provide grounds for nondisclosure. Instead, the homeowner can withhold the friend's identity only if his testimony will be used solely for impeachment.

(Choice D) Failure to identify a witness in pretrial disclosures bars the nondisclosing party from using that witness's testimony in a motion, hearing, or trial—unless the failure to disclose was substantially justified or is harmless. But if the witness's testimony will be used only for impeachment purposes, the rules for pretrial disclosures do not apply and there is no need to show that the nondisclosure is harmless.

Educational objective:

A party's pretrial disclosures must include (1) the name, address, and phone number of each witness, (2) deposition testimony that will be used at trial, and (3) all documents and exhibits. But these requirements do not apply to witnesses and evidence that will be used solely for impeachment.

References

- Fed. R. Civ. P. 26(a)(3) (required pretrial disclosures).

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An employee brought a diversity suit against his employer in federal district court for intentional infliction of emotional distress. The employee claimed that the employer repeatedly engaged in conduct that caused the employee to suffer severe emotional distress that has resulted in physical manifestations. During discovery, the court issued a valid order compelling the employee to submit to a mental and physical examination by a licensed medical professional chosen by the employer. The employee refused to submit to the examination.

The employer's attorney has moved for sanctions against the employee.

Which of the following sanctions, if any, may the court order?

A. None, because the employee has the right to choose the person who conducts the examination.
B. None, because a court cannot compel a person to submit to a mental examination.
C. Hold the employee in contempt of court.
D. Stay the proceeding until the order for examination is obeyed.

Explanation:

Sanctions for violating discovery order

(FRCP 37(b))

Court location	Sanctions allowed
Where deposition occurred	• Hold in contempt of court
Where suit is pending	• Direct that certain facts be construed against violator • Prohibit violator from offering certain evidence • Strike pleadings in whole or in part • Stay further proceedings until order is obeyed • Hold in contempt of court* • Dismiss claims in whole or in part • Issue default judgment against violator • Order payment of reasonable expenses (eg, attorney's fees) caused by violation

FRCP = Federal Rule of Civil Procedure.

*Cannot be imposed for failing to comply with order for physical or mental examination.

During discovery, the **court where the lawsuit is pending** may **order a party** to undergo a **mental or physical examination** by a suitably licensed or certified examiner **(Choice B)**. This court order is valid when:

- that party's mental or physical condition is in controversy
- the motion for the order is based on good cause *and*
- the order provides notice by specifying the time, place, manner, conditions, and scope of the exam, as well as the person(s) who will perform it.

If the **party fails to comply** with such a court order, as the employee did here, FRCP 37 allows the court to **impose certain sanctions** (see table above). Such sanctions include staying the proceeding until the order is obeyed.*

*Instead of or in addition to such sanctions, the court must order the noncompliant party, his/her attorney, or both to pay the other party's reasonable expenses (including attorney's fees) unless the noncompliance was substantially justified or the fees would be unjust.

(Choice A) The party to be examined does not have the right to choose who will perform the mental or physical examination. Instead, the party requesting the examination may choose the examiner unless the examined party has a valid objection. In that case, the court will appoint the examiner.

(Choice C) The court where the lawsuit is pending may generally hold a party in contempt of court for failing to comply with a court order that compels discovery. However, a party *cannot* be held in contempt for failing to comply with a discovery order that requires the party to undergo a mental or physical examination (as seen here).

Educational objective:

A federal court may impose an FRCP 37 sanction on a party who fails to comply with a court order requiring a mental or physical examination, including staying the proceeding until the order is obeyed. But the court cannot hold the noncompliant party in contempt of court for such a violation.

References

- Fed. R. Civ. P. 35 (physical and mental exams).
- Fed. R. Civ. P. 37(b) (sanctions for noncompliance with court's discovery order).
- 8B Charles Alan Wright et al., Federal Practice and Procedure § 2238 (3d ed. 2020) (explaining what sanctions may be issued against a party who fails to undergo a court-ordered mental or physical examination).

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A dispute arose between a woman and a man over who was entitled to insurance policy proceeds held by a company incorporated and headquartered in the northern district of State A. The woman resides in the southern district of State A, and the man resides in the eastern district of State B.

The company filed a statutory interpleader action against the woman and the man in a federal court in the eastern district of State B. The company posted a bond of $50,000, which represents the amount of the disputed insurance policy proceeds. The woman and the man were served with process at their respective homes. The woman has moved to dismiss the action, claiming that the federal court has no subject-matter jurisdiction over the claim, lacks personal jurisdiction over her, and is not a proper venue.

Is the court likely to grant the woman's motion?

A. No.

B. Yes, because the court lacks personal jurisdiction over her.

C. Yes, because the parties lack complete diversity of citizenship.

D. Yes, because venue is improper.

Explanation:

Rule interpleader v. Statutory interpleader

Requirements	**Rule interpleader**	**Statutory interpleader**
Subject-matter jurisdiction	• C*omplete* diversity between stakeholder & claimants + amount in controversy >$75,000 *or* • Claim arises under U.S. Constitution, treaty, or federal law	• *Minimal* diversity between claimants + amount in controversy ≥$500
Personal jurisdiction	• Consent • Service of process • Specific jurisdiction • General jurisdiction	• Nationwide service of process
Venue	Any district where: • any claimant resides, if all reside in *same* state • property located/events occurred *or* • any claimant is subject to personal jurisdiction (if neither of above applies)	Any district where • any claimant resides, even if claimants reside in *different* states
Deposit	Not required	Deposit property with court or post bond

The company has filed a **statutory interpleader** action in federal court. This action, like rule interpleader, is available when multiple persons claim an interest in the same property (ie, the stake). It allows the possessor of the stake (ie, the stakeholder) to avoid multiple liability by joining the claimants to litigate the ownership of the stake among themselves. However, a statutory interpleader action must satisfy ***special* requirements** for:

- subject-matter jurisdiction – requires an amount in controversy of **at least $500** and minimal diversity of citizenship between at least two claimants
- personal jurisdiction – exists over any claimant who is **served with process** anywhere **within the U.S.** *and*

- venue – proper in any judicial district **where any claimant resides**, even if the claimants reside in different states.

Here, the court has subject-matter jurisdiction since the disputed proceeds are $50,000 and the woman and the man are citizens of States A and B, respectively. Personal jurisdiction exists over the woman because she was served with process in State A **(Choice B)**. And venue is proper since the man resides in the eastern district of State B—where the court is located **(Choice D)**. Therefore, the court will likely deny the woman's motion.

(Choice C) *Rule* interpleader actions based on diversity jurisdiction require complete diversity between the stakeholder and the claimants. However, *statutory* interpleader actions (as seen here) only require minimal diversity between the claimants.*

*Subject-matter jurisdiction can also be established in a rule interpleader action if the claim presents a federal question.

Educational objective:

For statutory interpleader actions, subject-matter jurisdiction requires an amount in controversy of at least $500 and minimal diversity between two or more claimants. Personal jurisdiction exists over any claimant who was served with process anywhere in the U.S. Venue is proper in any judicial district where any claimant resides.

References

- 28 U.S.C. §§ 1335, 1397, 2361 (statutory interpleader).

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A distributor brought a diversity action against a manufacturer in federal district court for breach of contract. The district court ordered the parties' attorneys to attend a pretrial conference to obtain admissions and stipulations about the facts in the case. When the conference started, the manufacturer's attorney announced that his client had not authorized him to make admissions or stipulations. The district court canceled the conference as a result. This was the third time the court had to cancel a pretrial conference due to the attorney's failure to obtain authorization to make admissions or stipulations on behalf of his client.

After the conference, the district court issued an order that struck one of the manufacturer's affirmative defenses and required the manufacturer to pay the attorney's fees incurred by the distributor for attending the pretrial conference. At the conclusion of trial, the manufacturer appealed the order.

Is the appellate court likely to reverse the district court's order?

A. No, because the district court has absolute discretion to issue sanctions.

B. No, because the order was reasonable under the circumstances.

C. Yes, because the district court is limited to requiring the manufacturer to pay the distributor's attorney's fees.

D. Yes, because the manufacturer did not authorize the attorney to make admissions or stipulations.

Explanation:

A federal district court may order the attorneys and any unrepresented parties to attend one or more **pretrial conferences**. These conferences are designed to improve the trial's quality, facilitate settlement, and expedite litigation (eg, by obtaining admissions and stipulations). To promote those goals, a district **court *may* impose reasonable sanctions** on any **party or attorney** who:

- **failed to attend** a pretrial conference
- was **substantially unprepared** to participate in the conference
- did **not participate in good faith** in the conference *or*
- **failed to obey** a pretrial order.

Here, the manufacturer's attorney was substantially unprepared to participate in the pretrial conference because he failed to obtain the manufacturer's authorization to make admissions and stipulations. This led the district court to strike one of the manufacturer's affirmative defenses. This sanction was reasonable since this was the third time the court had to cancel a pretrial conference due to the attorney's failure to obtain such authorization **(Choice C)**.

Additionally, a **court *must* order** a noncompliant party and/or attorney to **pay the other party's reasonable expenses**, including attorney's fees, unless (1) the noncompliance was substantially justified or (2) the payment would be unjust. The attorney's unpreparedness was *not* substantially justified because he should have obtained the manufacturer's authorization before the conference **(Choice D)**. And since there is no indication that awarding attorney's fees would be unjust, the appellate court will likely affirm the order.

(Choice A) Although the district court has discretion to decide which sanctions to impose, this discretion is not absolute. The reason is that an appellate court has the power to reverse a district court's arbitrary or unreasonable sanction as an abuse of discretion (not seen here).

Educational objective:

A federal court *may* issue reasonable sanctions against any party or attorney who is substantially unprepared to participate in a pretrial conference. Additionally, a court *must* order the payment of the opposing party's reasonable expenses unless (1) noncompliance was substantially justified or (2) the payment would be unjust.

References

- Fed. R. Civ. P. 16(f) (pretrial conference sanctions).
- 6A Charles Alan Wright et al., Federal Practice and Procedure § 1531 (3d ed. 2020) (explaining when sanctions are appropriate for failure to comply with pretrial conference and/or order).

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Sanctions for noncompliance with pretrial conference or order
(FRCP 16)

Sanctionable conduct

- Failure to attend pretrial conference
- Substantially unprepared for conference
- No good-faith participation in conference
- Failure to obey pretrial order



Required sanction

Payment of *reasonable expenses* unless:

- noncompliance substantially justified *or*
- award of expenses is unjust



Permissible sanctions

- **D**ismiss action in whole or in part
- **S**trike pleadings in whole or in part
- **H**old in contempt of court
- **I**ssue default judgment

A corporation brought a patent infringement action in federal court against a manufacturer. The corporation alleged that the manufacturer infringed on the corporation's patent for a shoe design. During discovery, the corporation sent the manufacturer a request to "produce all electronic documents relating to the production of the shoe." The corporation did not specify the form in which the documents were to be produced.

The manufacturer produced one year's worth of electronic documents relating to the production of the shoe, but it argued that it could not produce any documents beyond this time because they had been deleted from its server. The corporation filed a motion to compel the production of the documents. In response to the motion, the manufacturer established that recovering the electronic documents would be unduly burdensome and costly because they could be recovered only if the manufacturer hired an expensive data-recovery firm.

How should the court rule on the corporation's motion to compel?

A. It should deny the motion, because the corporation failed to specify the form in which the electronic documents should be produced.

B. It should deny the motion, if the manufacturer provides a meritorious defense to the claim.

C. It should grant the motion, if the corporation demonstrates that it will prevail on the merits of the case.

D. It should grant the motion, if the corporation shows good cause for the production.

Explanation:

During discovery, parties can use various methods to compel disclosure of information related to the case. A **request for production** is a discovery method used to compel an opposing party to produce and allow inspection of documents, **electronically stored information (ESI)**, tangible things, and real property.

A party generally must produce ESI in the form specified in the request or, if no form is specified, then in the ESI's ordinarily maintained or usable form. If ESI is not produced, the requesting party may file a motion to compel production. The **producing party** must then **show that** the ESI is **not reasonably accessible** due to **undue burden or cost**. If this is established, the court will order the production of ESI only if the **requesting party shows good cause** for the production.

Here, the corporation filed a motion to compel the production of the manufacturer's electronic documents related to the shoe design at issue. The manufacturer established that retrieving the documents that had been deleted from its server would be unduly burdensome and costly because it would have to hire an expensive data-recovery firm. However, if the corporation shows good cause for the production, the court should grant the corporation's motion to compel.

(Choice A) A party requesting the production of ESI may, but is not required to, specify the form in which the ESI is to be produced.

(Choices B & C) In opposing a motion to compel discovery, the producing party (the manufacturer) need not provide a meritorious defense. Additionally, the requesting party (the corporation) does not need to show that it will prevail on the merits. Instead, the focus is on whether the discovery at issue should be produced.

Educational objective:

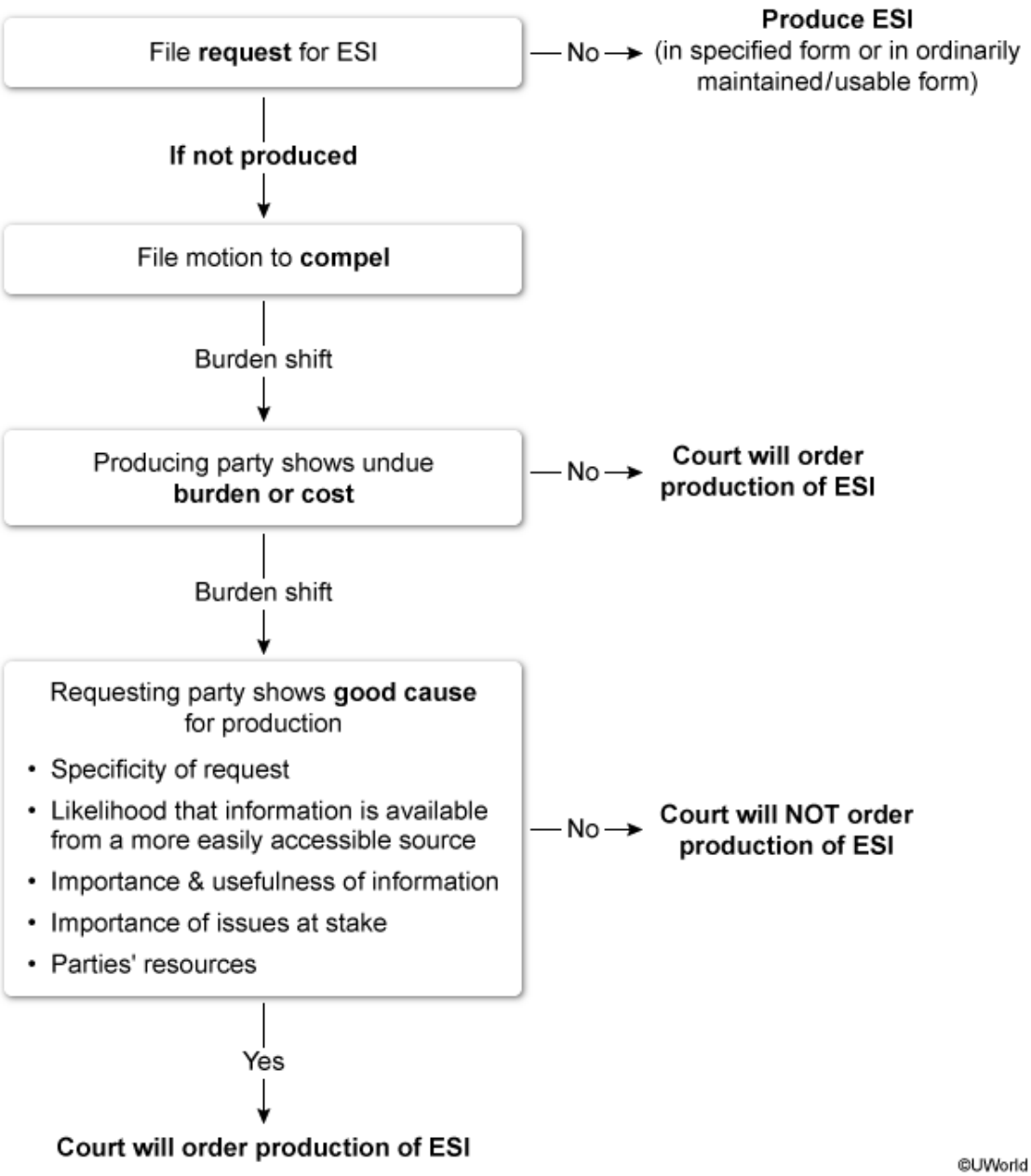
In response to a motion to compel the production of electronically stored information (ESI), the producing party must show that the ESI is not reasonably accessible due to undue burden or cost. If shown, the court will order the production of the ESI only if the requesting party demonstrates good cause for the production.

References

- Fed. R. Civ. P. 26(b)(2)(B) (limitations on electronic discovery).
- 8 Charles Alan Wright et al., Federal Practice and Procedure § 2008.2 (3d ed. 2020) (explaining the procedure for inaccessible ESI).

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Production of electronically stored information (ESI)



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A woman bought a piece of farmland in the state where she resides. Three years after this purchase, a man informed her that he held a mortgage against the farmland and that she must pay him.

The woman then filed a quiet title action in an appropriate federal court in the state where the farmland is located. The man was properly served with the complaint and summons.

The day after receiving the complaint and summons, the man called the woman and informed her that he co-owns the mortgage on the farmland with his brother. Both the man and his brother live in another state.

What is the easiest action the woman can take to join the man's brother in the suit?

A. File a motion for compulsory joinder.
B. Immediately file and serve an amended complaint listing both siblings as defendants.
C. Move the court for permission to join the other sibling.
D. Voluntarily dismiss the case and refile a complaint naming both siblings as defendants.

Explanation:

Under Federal Rule of Civil Procedure (FRCP) 19, a person must be **joined** as a party to a lawsuit in certain situations. Here, for example, the brother is likely a required party in the woman's quiet title action since his absence could prejudice his mortgage interest. And though the woman failed to name him in her complaint, FRCP 15 allows a party to **amend a pleading** once as a **matter of course**—ie, without the court's permission or the opposing party's written consent. But this must be done **within 21 days after**:

- **serving** that **pleading** if a responsive pleading is *not* required *or*
- **being served** with a **responsive pleading or FRCP 12 motion** (whichever occurs first) if a responsive pleading *is* required.

A defendant is required to file and serve an answer in response to the plaintiff's complaint. And since the man has not yet filed an answer (or FRCP 12 motion), the woman can amend her complaint without the court's permission or the man's written consent **(Choice C)**. Therefore, the easiest way the woman can join the brother in the suit is to immediately file and serve an amended complaint listing both siblings as defendants.

(Choice A) Compulsory (ie, required) joinder makes it mandatory to include all necessary parties in a lawsuit—eg, co-owners of property in a quiet title action. Therefore, a *defendant* would file a motion for compulsory joinder to add any necessary parties, while a *plaintiff* would simply amend the complaint (as seen here).

(Choice D) A plaintiff may voluntarily dismiss a suit if the plaintiff wants to file it in a different court or has reached a settlement with the defendant. But the plaintiff need not dismiss a complaint to add another party.

Educational objective:

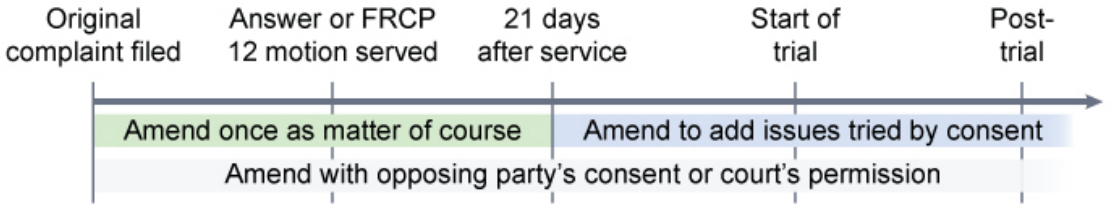
A party can amend a pleading once as a matter of course within 21 days (1) after serving that pleading *or* (2) if a responsive pleading is required, after being served with a responsive pleading or motion under Federal Rule of Civil Procedure 12.

References

- Fed. R. Civ. P. 15(a) (amending complaint before trial).
- Fed. R. Civ. P. 19 (required joinder of parties).

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Amending pleadings
(FRCP 15)



FRCP = Federal Rule of Civil Procedure

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On July 1, 2015, a man was seriously injured when the helicopter he was piloting crashed. The man's attorney diligently investigated and determined that a valve malfunction caused the crash. The attorney contacted the helicopter distributor and requested the name of the company that manufactured the valve in the man's helicopter. The helicopter distributor mistakenly gave the attorney the name of the wrong valve manufacturer.

On June 1, 2017, the man sued the helicopter distributor and the valve manufacturer in federal court to recover $5 million in damages. On January 3, 2018, the name of the valve manufacturer that actually manufactured the valve in the man's helicopter was revealed during discovery. The same day, the man moved to amend his complaint to substitute the correct valve manufacturer as the defendant. The correct valve company did not receive notice of the man's suit until this time.

The applicable statute of limitations provides: "Any personal injury action shall be brought within two years from the date the alleged injuries occurred. A complaint may be amended to properly name a defendant not identified until after the complaint has been filed if the complaint was filed within the designated limitations period."

May the man amend his complaint?

A. No, because the correct valve manufacturer did not receive timely notice of the suit.

B. No, because the statute of limitations has expired.

C. Yes, because the amendment concerns the same transaction asserted in the original pleading.

D. Yes, because the amendment is permitted under the relation-back doctrine.

Explanation:

A pleading (eg, complaint) cannot be **amended after** the **statute of limitations** has expired unless the **relation-back doctrine** applies. Under this doctrine, an amendment is treated as if it were filed on the same date as the original pleading so that the amendment "relates back" to the date of the original pleading. An amendment that **changes a party** relates back if the applicable **statute of limitations allows**.

Here, the statute of limitations on the man's personal-injury claim expired on July 1, 2017—two years after his alleged injury. He moved to amend his complaint on January 1, 2018—six months after the statute of limitations had expired. But the applicable law allows relation back when the plaintiff made a mistake as to the proper defendant's identity. Therefore, the amendment "relates back" to the date the man's original complaint was filed on June 1, 2017—*before* the statute of limitations expired—and the man may amend his complaint **(Choice B)**.

Had the applicable statute of limitations been *silent* about relation back, the amendment would still relate back if:

- the amendment concerned the same transaction or occurrence as the original pleading **(Choice C)**
- the new party received notice of the suit within 90 days after the original pleading was filed **(Choice A)** *and*
- the new party knew or should have known that the suit would have been brought against it but for a mistake concerning the proper party's identity (as seen here).

But this analysis is unnecessary since the applicable law *does* allow relation back under these circumstances.

Educational objective:

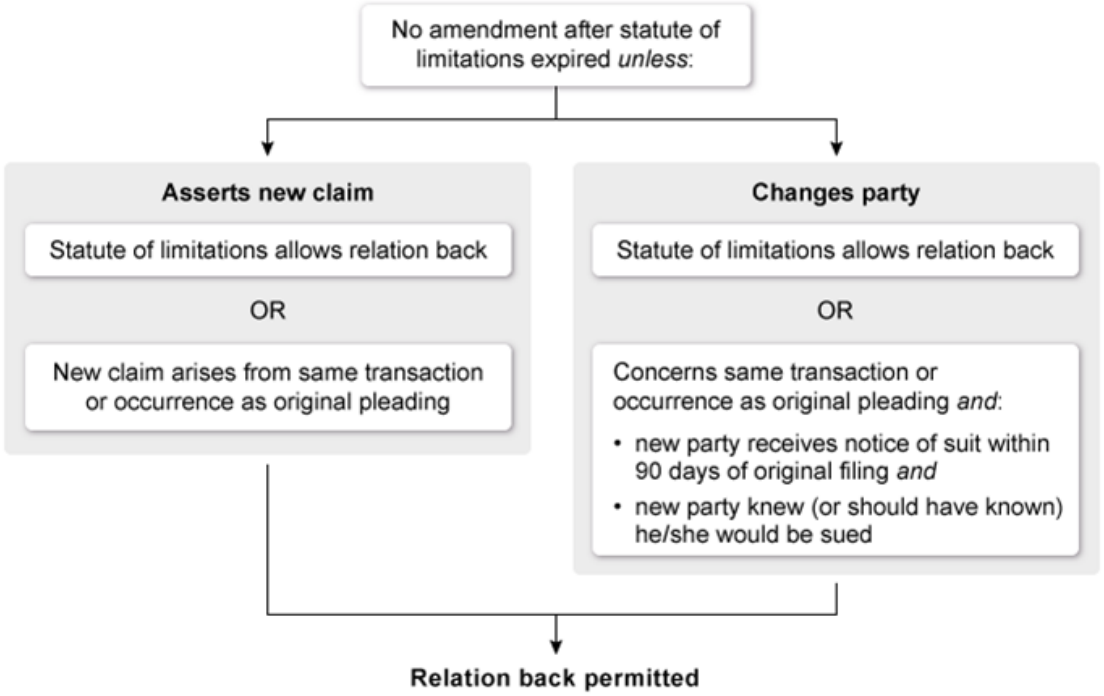
An amended pleading that changes a party to a lawsuit after the statute of limitations has expired will "relate back" to the date of the original pleading if the statute of limitations allows.

References

- Fed. R. Civ. P. 15(c) (relation back of amended pleadings).

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Relation-back doctrine
(FRCP 15(c))



FRCP = Federal Rule of Civil Procedure.

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A man brought a diversity action against a retail store in federal district court for injuries he sustained from a fall in the store. The man alleged that the store allowed its entryway to become slippery from a pipe that leaked water.

Sixty days before trial, the store sent the man its pretrial disclosures, which included a spreadsheet containing the names, addresses, and telephone numbers of the witnesses whom the store expected to testify at trial. Due to a formatting problem, one of the testifying witnesses was omitted from the spreadsheet. The store discovered the omission the following day. Twenty-one days before trial, the store sent the man's attorney an amended spreadsheet containing the testifying witness's information. This was the first time the man's attorney had heard of the testifying witness.

The man's attorney argues that the witness should be excluded from testifying at trial.

Which of the following arguments is most likely to achieve the man's goal of preventing the witness from testifying at trial?

A. The parties did not stipulate that pretrial disclosures could be amended before trial.
B. The store failed to timely correct its pretrial disclosures.
C. The store never obtained the court's leave before correcting its pretrial disclosures.
D. The store's initial pretrial disclosures were untimely filed.

Explanation:

Required discovery disclosures

(FRCP 26(a))

Initial disclosures*	• Persons with relevant information • Items in party's possession that support claim/defense • Computation of damages & supporting material • Relevant insurance policies
Expert testimony	• Identity of expert witnesses • Expert's written report • If no report, subject matter & summary of testimony
Pretrial disclosures*	• Testifying witnesses • Deposition testimony to be used at trial • Documents/exhibits to be used at trial

FRCP = Federal Rule of Civil Procedure.

*Does not apply to evidence used solely for impeachment.

During discovery, certain information must be **automatically disclosed** through required disclosures. This includes **pretrial disclosures**, the purpose of which is to avoid surprise at trial regarding substantive evidence. Therefore, pretrial disclosures must, at a minimum, identify the witnesses expected to testify and the evidence expected to be offered at trial.

If a party learns that its disclosures were **materially incomplete or incorrect**, it must **supplement or correct** them **in a *timely* manner** unless the other parties were made aware of that information during discovery or in writing.* Timeliness is generally evaluated based on how soon the supplemental/corrected information was disclosed after it became available to the disclosing party. Failure to timely supplement generally results in exclusion of the omitted witness or evidence at trial.

Here, the store learned that its pretrial disclosures were materially incomplete because they omitted a testifying witness. The store was required to and did correct those disclosures because the man's attorney had no knowledge of the omission. But waiting nearly 40 days after discovering the mistake before doing so was likely untimely. Therefore, arguing that the correction was untimely will most likely prevent the witness from testifying.

*A party also must supplement or correct any incomplete or incorrect initial disclosures, disclosures of expert testimony, and responses to interrogatories, requests for production, and requests for admission.

(Choices A & C) Neither the court's leave (ie, permission) nor the parties' stipulation is required for a party to supplement or correct its pretrial disclosures.

(Choice D) Pretrial disclosures must be made at least 30 days before trial. Therefore, the store's disclosures were timely submitted 60 days before trial.

Educational objective:

A party must timely supplement or correct pretrial disclosures when (1) the party learns that its disclosures were materially incomplete or incorrect and (2) the other parties have not been made aware of the supplemental or corrected information during discovery or in writing.

References

- Fed. R. Civ. P. 26(e) (supplementing disclosures and responses).
- 8A Charles Alan Wright et al., Federal Practice and Procedure § 2049.1 (3d ed. 2020) (explaining a party's duty to supplement or correct initial disclosures, expert testimony, pretrial disclosures, and certain discovery responses).

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A landowner sued a company in a federal district court in State A for violating a federal environmental statute. The landowner alleged that the company dumped chemicals into a stream, which polluted the groundwater near his home. The company denied the landowner's allegation and sought to prove that its waste system prevents chemicals from being dumped into the stream. The company's attorney signed and issued a subpoena that required the engineer who designed the waste system to testify at trial. The engineer was personally served with the subpoena, which contained the contents required by the federal rules. The courthouse where the engineer will testify is 81 miles away from where she resides.

The engineer has asked her attorney's advice as to whether she must comply with the subpoena and testify at trial.

What advice should the engineer's attorney give?

A. The engineer must comply with the subpoena if the company's attorney is authorized to practice in State A's federal court.

B. The engineer must comply with the subpoena if the landowner signed it.

C. The engineer need not comply with the subpoena because she is not a party to the suit.

D. The engineer need not comply with the subpoena because the courthouse is located more than 75 miles from where she resides.

Explanation:

Subpoena requirements

(FRCP 45(a))

Contents

- Must state (1) court from which subpoena issued, (2) title of action & civil-action number, (3) time & place for performance & (4) person's rights & duties *and*
- Must command person to:
  - attend & testify at hearing, trial, deposition*
  - produce documents, electronically stored information, things *and/or*
  - permit inspection of premises

Issuance Subpoena must issue from court where action is pending by court clerk *or* attorney authorized to practice law in issuing court

Service Subpoena served in U.S. must:

- be personally delivered by nonparty who is at least 18 years old *and*
- if attendance is required, include fees for one day's attendance & mileage unless issued on behalf of federal government/agency/officer

*Subpoena commanding attendance at deposition must also state method for recording testimony.

FRCP = Federal Rule of Civil Procedure.

A **subpoena** is a written court order that generally commands a person (party or nonparty) to attend and testify at a trial, hearing, or deposition. A subpoena is **valid and enforceable when** it:

- **contains the contents** required by the federal rules (see image above)
- is **signed and issued by** the court clerk or an **attorney** who is **authorized to practice law** in the court **where the action is pending*** *and*
- is **properly served** in the U.S. through personal delivery by a nonparty who is at least 18 years old.

Practicing attorneys may issue subpoenas in their capacity as officers of the court because this eases the court's administrative burdens.

Here, the engineer was properly served with a subpoena containing the contents required by the federal rules. The company's attorney had the power to sign and issue that subpoena without the court clerk's participation if the attorney was authorized to practice law in State A's federal court. The attorney was presumably authorized to do so since the attorney is

representing the company in the action pending before that court. Therefore, the engineer's attorney should advise her to comply with the subpoena and testify at trial.

*This means that parties representing themselves without the assistance of an attorney (ie, pro se litigants) must always request that the court clerk issue their subpoenas.

(Choice B) The opposing party (landowner) need not sign a subpoena for it to be effectively issued.

(Choice C) Subpoenas can be served on parties and nonparties, so the engineer must comply if the subpoena was validly issued and served.

(Choice D) A subpoena may command a person's attendance at a trial, hearing, or deposition within 100 miles (not 75 miles) of where that person resides, is employed, or regularly transacts business. Since the courthouse where the trial will occur is within 100 miles of where the engineer resides, the subpoena may command her attendance.

Educational objective:

A subpoena is valid and enforceable when it (1) contains the contents required by the federal rules, (2) is signed and issued by the court clerk or an attorney authorized to practice law in the court where the action is pending, and (3) is properly served.

References

- Fed. R. Civ. P. 45(a) (subpoena form and contents requirements).
- 9A Charles Alan Wright et al., Federal Practice and Procedure § 2453 (3d ed. 2020) (explaining the requirements to issue a subpoena).

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A dancer at an adult entertainment establishment sued her employer in a federal district court for allegedly creating a hostile work environment and engaging in sexual harassment in violation of federal law. The dancer alleged that the employer constantly pressured her to engage in sexual intercourse, but she repeatedly refused his advances.

At the dancer's deposition, the employer's attorney asked the dancer about her sexual history with the employer. The dancer denied having any sexual relations with the employer. In an effort to embarrass the dancer, the employer's attorney asked about her general sexual history. The dancer's attorney objected, directed the dancer not to answer the question, and immediately suspended the deposition.

The next day, the dancer's attorney filed a motion in the court where the dancer's suit was brought for a protective order to prevent the employer from asking the dancer about her general sexual history. The dancer's attorney did not confer or attempt to confer with the employer's attorney before filing the motion.

Is the court likely to grant the protective order?

A. No, because the dancer did not answer the deposition question.

B. No, because the dancer's attorney made no attempt to confer with the employer's attorney.

C. Yes, because the dancer will suffer irreparable harm if the questioning is allowed to continue.

D. Yes, because the motion was properly filed in the court where the action is pending.

Explanation:

Protective orders

(FRCP 26(c))

Requirements	• Good cause – to protect parties & persons from annoyance, embarrassment, oppression, undue burden, or undue expense • Certification – movant conferred or attempted to confer in good faith with party seeking discovery to resolve dispute without court action
Filing	• In court where action is pending or where deposition will occur
Possible contents	• Forbid, limit, or specify terms for discovery • Prescribe alternative discovery method • Designate persons who may be present during discovery • Require that discovery be sealed & opened only on court order

FRCP = Federal Rule of Civil Procedure.

A **protective order** is a court order issued to protect a party or other person from whom discovery is sought from annoyance, embarrassment, oppression, undue burden, or undue expense. A court will grant a protective order if the movant (1) shows **good cause** for the order and (2) **certifies** that he/she **conferred or attempted** to confer **in good faith** with the party seeking discovery to resolve the matter without court action. The purpose of the conference requirement is to save judicial time and resources by limiting the court's involvement in discovery.

Here, there is good cause to issue a protective order because the employer's attorney asked about the dancer's general sexual history to embarrass her. However, the dancer's attorney made no attempt to confer with the employer's attorney before filing the motion. As a result, the dancer failed to satisfy her duty to confer, and the court will likely *deny* her motion for a protective order.

(Choice A) A protective order can be granted regardless of whether the movant answered the deposition question. But the motion will likely be denied here since the dancer did not make a good-faith attempt to resolve the matter without court action.

(Choice C) Irreparable harm must be shown to obtain a temporary restraining order—not a protective order. A temporary restraining order is sought to prevent immediate and irreparable harm to the movant by keeping the status quo until the court can hold a hearing on the issue. In contrast, a discovery protective order is sought to limit the scope of discovery and prevent abuse.

(Choice D) A motion for a protective order may be filed in the court where the deposition will be taken *or* where the action is pending (as seen here). But since the dancer failed to confer with the employer before filing such a motion, the court cannot grant it.

Educational objective:

A court will grant a protective order if the movant (1) shows good cause for the order and (2) certifies that he/she conferred or attempted to confer in good faith with the party seeking discovery.

References

- Fed. R. Civ. P. 26(c) (protective orders).
- Fed. R. Civ. P. 30(d)(3) (moving to terminate or limit deposition).

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A plaintiff sued a defendant in a federal district court for negligently causing an accident in which the plaintiff suffered severe injuries. The defendant answered the complaint and denied liability.

The plaintiff served a request for admission on the defendant. The plaintiff requested that the defendant admit that the defendant failed to stop at the intersection where the collision occurred. The defendant did not respond to the request. At the final pretrial conference two months later, the plaintiff claims that the defendant's failure to stop at the intersection should be deemed conclusively established at trial.

Is the plaintiff correct?

A. No, because the defendant denied liability in his answer to the complaint.

B. No, because the defendant did not admit that he failed to stop at the intersection.

C. Yes, because the defendant failed to respond to the request for admission.

D. Yes, but only if the plaintiff demonstrates by a preponderance of the evidence that the defendant failed to stop at the intersection.

Explanation:

A request for admission seeks to expedite litigation and decrease costs by alleviating the need to prove undisputed matters at trial. In this method of discovery, a party requests that another party **admit the truth about matters** within the scope of discovery that relate to facts, the application of law to facts, opinions about either, or the genuineness of documents. The party served with the request must then **serve a written response*** within 30 days that:

- **admits** the matter
- **specifically denies** the matter in whole or in part
- **explains** why the matter **cannot be admitted or denied** *or*
- **objects** that the matter falls outside the scope of discovery.

An admission or a **failure to adequately respond** within 30 days **results in** the matter being admitted and **conclusively established** in the action unless the admission is later withdrawn or amended.

Here, the plaintiff requested that the defendant admit that he failed to stop at the intersection where the collision occurred. The defendant did not admit this fact, but he failed to respond before the final pretrial conference that took place two months after the request was served. As a result, the plaintiff is correct that the defendant's failure to stop at the intersection should be deemed conclusively established at trial **(Choice B)**.

*Alternatively, a party served with a request for admission may move for a protective order or ask for an extension of time to respond to the request.

(Choice A) The defendant's denial of liability in the answer to the complaint does not serve as a denial to the plaintiff's request for admission.

(Choice D) To prevail at trial, the plaintiff must prove each element of negligence by a preponderance of the evidence. But the plaintiff need not satisfy this burden to conclusively establish a fact in a request for admission. The plaintiff simply needs to show that the defendant failed to respond to the request (as seen here).

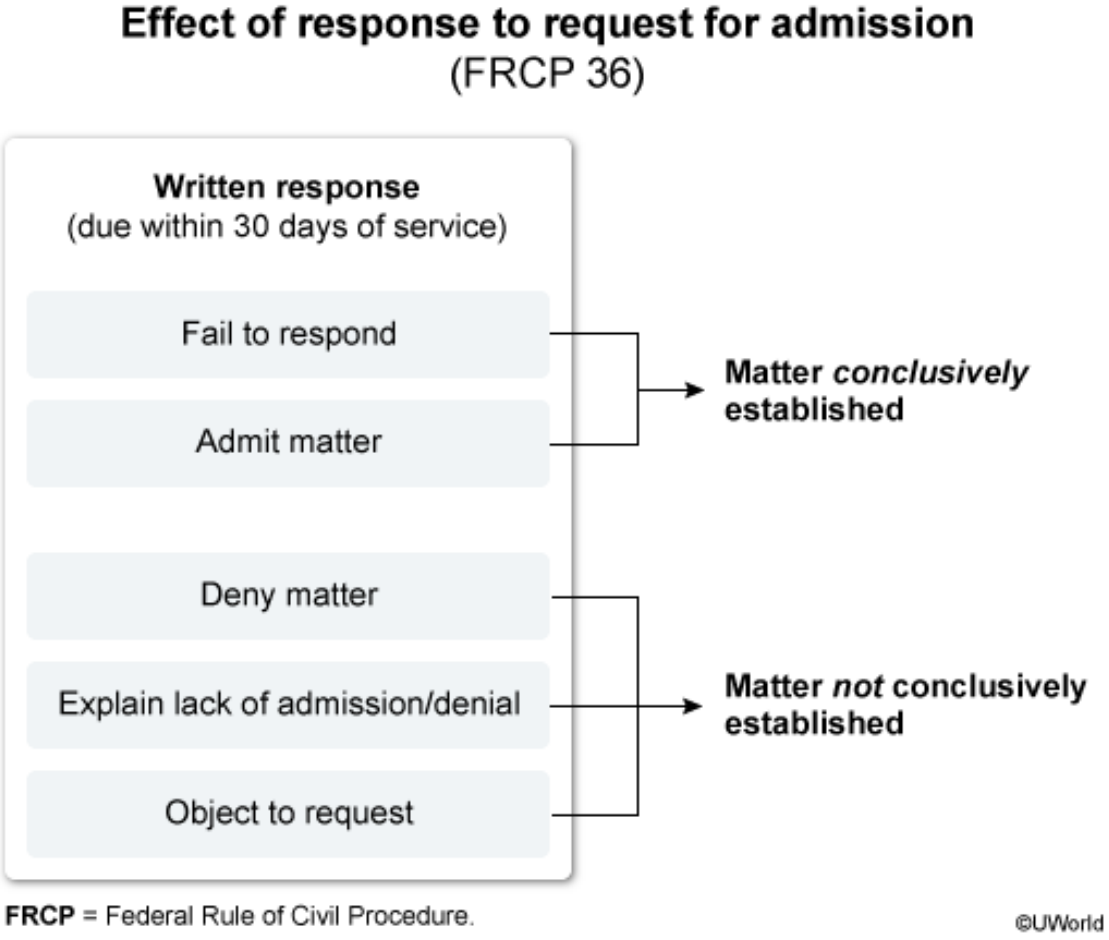
Educational objective:

A party's admission or failure to adequately respond to a request for admission within 30 days after being served with the request results in the matter being conclusively established in the action.

References

- Fed. R. Civ. P. 36 (requests for admission).
- 8B Charles Alan Wright, Arthur R. Miller & Richard L. Marcus, Federal Practice and Procedure § 2259 (3d ed. 2020) (responses to requests for admissions).

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A purchaser of a luxury car sued the car's manufacturer in a state court in State A. The purchaser claimed that the steering wheel was defective and caused a car accident resulting in over $300,000 in damages. Before the manufacturer responded, the purchaser filed a notice of dismissal.

Two weeks later, the purchaser filed a complaint in a federal court in State B against the manufacturer for the same claim. The manufacturer filed an answer that included a motion to dismiss for lack of venue. The purchaser did not oppose this motion, but she did file a stipulation of dismissal signed by both parties.

One month later, the purchaser filed a complaint in a federal court in State C alleging the same claim asserted in the prior actions. The manufacturer moved to dismiss the suit, arguing that the purchaser was precluded from bringing this suit a third time.

Will the court likely grant the manufacturer's motion to dismiss?

A. No, because a voluntary dismissal is with prejudice only when specified in a court order.

B. No, because the second action was dismissed by a stipulation signed by both parties.

C. Yes, because the purchaser failed to obtain a court order to dismiss the second action.

D. Yes, because the second dismissal occurred in federal court.

Explanation:

A **plaintiff** may voluntarily dismiss a suit for any reason. A **voluntary dismissal** is generally *without* prejudice, which allows the plaintiff to sue the defendant again on the same claim. But a voluntary dismissal is ***with* prejudice** and operates as an **adjudication on the merits** when specified in a court order, notice, or stipulation OR the **two-dismissal rule** applies **(Choice A)**. This rule applies when:

- the plaintiff's **first action** was **voluntarily dismissed** without a court order in state or federal court *and*
- the plaintiff brought a **second action** on the same claim **in federal court** and filed a **notice of voluntary dismissal**.*

Here, the purchaser dismissed the first action by a notice of dismissal and then dismissed the second action asserting the same claim by a stipulation in federal court. However, the second dismissal did not operate as an adjudication on the merits because it was dismissed by the parties' signed stipulation—not a notice of voluntary dismissal. Therefore, the two-dismissal rule does not apply, and the court will likely deny the manufacturer's motion to dismiss the purchaser's third action.

*The two-dismissal rule's purpose is to prevent the plaintiff from harassing the defendant by perpetually filing and dismissing the same claim. Since a court order or stipulation does not pose this risk, the rule does not apply when the second action is dismissed by these methods.

(Choice C) A voluntary dismissal without a court order is permitted when the plaintiff files (1) a notice of dismissal before the defendant serves an answer or a summary judgment motion or (2) a stipulation of dismissal that has been signed by all parties (as seen here).

(Choice D) The two-dismissal rule requires that the second dismissal occur in federal court and be pursuant to a *notice of voluntary dismissal*. But here, the second dismissal was pursuant to the parties' *signed stipulation*, so this rule does not apply.

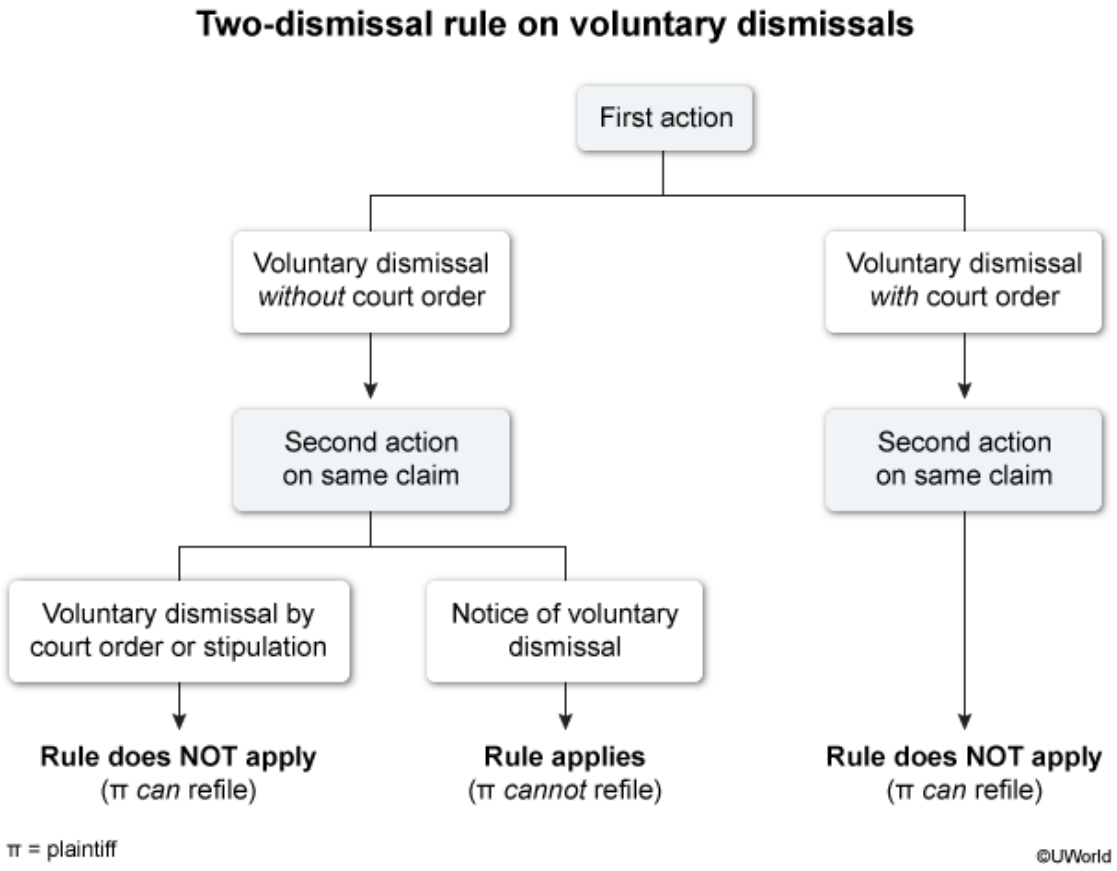
Educational objective:

Under the two-dismissal rule, a voluntary dismissal operates as an adjudication on the merits when the plaintiff (1) voluntarily dismissed an action in federal or state court without a court order and (2) filed a notice of voluntary dismissal in a second action on the same claim in federal court.

References

- Fed. R. Civ. P. 41(a) (voluntary dismissals).
- 24 Am. Jur. 2d Dismissal, Discontinuance, and Nonsuit § 95 (2019) (explaining that the two-dismissal rule does not apply when the second action was dismissed by the parties' stipulation).

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A farmer sued a seed supplier in federal district court for allegedly selling the farmer's patented seeds without the farmer's permission. The supplier filed and served an answer denying liability, and the court entered a scheduling order with discovery deadlines.

Over the next year, the supplier repeatedly tried to contact the farmer through phone calls, regular mail, and email. The supplier also sent several discovery requests to the farmer. The farmer never responded to the supplier, made no discovery requests, and failed to adhere to the discovery deadlines. The supplier wants to end this litigation and prevent the farmer from suing her on the same claim in the future.

Which action will best achieve the supplier's goals?

A. Move for a voluntary dismissal with prejudice.

B. Move for a voluntary dismissal without prejudice.

C. Move for an involuntary dismissal with prejudice.

D. Move for an involuntary dismissal without prejudice.

Explanation:

Voluntary v. Involuntary dismissal

(FRCP 41)

	Process	**Effect**
Voluntary dismissal	π may dismiss suit without court order when: • notice of dismissal filed before Δ serves answer or summary judgment motion *or* • all parties sign stipulation of dismissal π may request court order to dismiss suit unless: • Δ's counterclaim cannot be independently adjudicated	Dismissal *without* prejudice unless: • π previously dismissed federal or state action based on same claim *or* • notice or stipulation states otherwise
Involuntary dismissal	Δ may move to dismiss suit if π failed to: • prosecute own action *or* • comply with rules or court order Δ may move to dismiss suit via: • pre-answer motion • judgment on the pleadings *or* • summary judgment	Dismissal *with* prejudice unless: • court order states otherwise *or* • based on lack of jurisdiction, improper venue, or failure to join required party

FRCP = Federal Rule of Civil Procedure; **π** = plaintiff; **Δ** = defendant.

Under Federal Rule of Civil Procedure (FRCP) 41, a **suit can be dismissed** in two ways:

- **Voluntary** dismissal – when the ***plaintiff*** **moves** to dismiss the suit
- **Involuntary** dismissal – when the ***defendant*** **moves** to dismiss the suit

A defendant can move for an involuntary dismissal under FRCP 41* if the plaintiff failed to prosecute the action or comply with a rule or court order—just as the farmer (plaintiff) did here. Therefore, the supplier (defendant) can move for an involuntary dismissal **(Choices A & B)**.

An **involuntary dismissal** under **FRCP 41** operates as an adjudication on the merits unless the court orders otherwise. This means that the plaintiff's action is dismissed ***with* prejudice**, which **precludes** the plaintiff from **suing the defendant** on the **same claim in the future**. The supplier should therefore move for an involuntary dismissal *with* prejudice to end the suit and prevent the farmer from suing her again on the same claim **(Choice D)**.

*A defendant may also move for an involuntary dismissal through other rules (eg, pre-answer motion to dismiss under FRCP 12). An involuntary dismissal based on lack of jurisdiction, improper venue, or failure to join a required party is without prejudice.

Educational objective:

A defendant can move for an involuntary dismissal if the plaintiff failed to prosecute the case or comply with a rule or court order. If the motion is granted, the case will be dismissed *with* prejudice (unless the court states otherwise) to prevent the plaintiff from suing the defendant on the same claim in the future.

References

- Fed. R. Civ. P. 41(b) (involuntary dismissal).

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A woman and her wife believed that a company providing credit scores intentionally lowered their scores because they are a same-sex couple. The couple's lawyer discovered 10 other individuals who had their credit scores lowered by the same company. These individuals claim that their scores were lowered based on their race.

The lawyer filed suit in federal court on behalf of the couple and the 10 other individuals against the company for violating a federal statute. One provision of the statute forbids racial discrimination and another provision prohibits sexual-orientation discrimination. The couple are the only plaintiffs named in the complaint. The lawyer moved to certify the case as a class action.

Which of the following would be an invalid argument for the company to challenge class action certification?

A. The class does not share common questions of law or fact.

B. The class is not numerous.

C. The company does not discriminate against any class when calculating credit scores.

D. The named couple's claim is not typical of the class.

Explanation:

Certification requirements for class action

(FRCP 23)

Prerequisites	• Numerosity: class is so numerous that joinder of all members is impracticable • Commonality: class shares common questions of law or fact • Typicality: claims or defenses of named parties are typical of class AND • Adequacy: named parties will fairly & adequately protect class's interests
Case suitable for class action	• Separate actions would create risk of (1) inconsistent decisions regarding parties or (2) impairment of absent class members' interests • Injunctive or declaratory relief is appropriate because opposing party's actions generally applied to whole class OR • Common questions of law or fact predominate over individual questions & class action is superior method to resolve dispute

FRCP = Federal Rule of Civil Procedure

A **class action** is a suit filed by one or more named plaintiffs as class representatives on behalf of similarly harmed unnamed plaintiffs.* All actions filed by a purported class representative **require certification** by the court at the earliest practical time. Plaintiffs seeking class action certification must establish—and the defendant can challenge certification on—all of the following **prerequisites**:

- **Numerosity** – the class is so numerous that joining all the members as named plaintiffs is impracticable (usually met when there are over 40 members) **(Choice B)**
- **Commonality** – the class shares common questions of law or fact **(Choice A)**
- **Typicality** – the named plaintiffs' claims are typical of the claims of the class **(Choice D)**
- **Adequacy** – the named plaintiffs will fairly and adequately protect the interests of the class

However, the argument that the company does not discriminate against any class when calculating credit scores goes toward the merits of the case—not class action

certification. Since the court will *not* consider the merits of the underlying action when determining whether to certify a class, this is an invalid argument to challenge certification.

*A class action may also be asserted against named defendants on behalf of similarly situated unnamed defendants, but this procedure is extremely rare.

Educational objective:

A party seeking class action certification must establish four prerequisites: numerosity, commonality, typicality, and adequacy. A court deciding whether to certify a class action will not consider the merits of the underlying case.

References

- Fed. R. Civ. P. 23(a) (prerequisites for class action certification).
- 32A Am. Jur. 2d Federal Courts § 1476 (2019) (explaining that a court will not examine a case's merits when deciding class action certification).

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A consumer filed an action against a bank in state court alleging improper deduction of fees from a checking account. Before the bank filed its answer, the consumer voluntarily dismissed the action without prejudice.

One month later, the consumer filed a suit alleging the same claims against the bank in federal court. The bank moved to dismiss the action for lack of personal jurisdiction. Instead of challenging the bank's assertion, the consumer dismissed the action by filing a notice of dismissal.

Two weeks later, the consumer sued the bank in a federal court located in another state on the same claims asserted in the previous two actions. The bank moved to dismiss this suit.

All the actions were filed within the applicable statute of limitations.

Should the court grant the bank's motion to dismiss?

A. No, because the consumer filed all the actions within the applicable statute of limitations.

B. No, because the first dismissal occurred in state court.

C. Yes, because the consumer failed to obtain a court order before dismissing the second suit.

D. Yes, because the second dismissal operated as an adjudication on the merits.

Explanation:

Federal Rule of Civil Procedure 41 allows a plaintiff to **voluntarily dismiss** a suit for any reason. A voluntary dismissal without a court order is permitted when (1) the parties signed a stipulation of dismissal or (2) the plaintiff unilaterally filed a notice of dismissal before the defendant served an answer or a summary judgment motion. Therefore, the consumer did not need a court order to dismiss the first or second action since he filed a notice of dismissal before the bank filed an answer or moved for summary judgment **(Choice C)**.

Most voluntarily dismissals are *without* prejudice, thereby allowing the plaintiff to sue the defendant on the same claim in the future. However, a voluntary dismissal is ***with* prejudice** and operates as an **adjudication on the merits** when specified in a court order, notice, or stipulation of dismissal OR the **two-dismissal rule** applies. This rule applies when the plaintiff:

- voluntarily dismissed the **first action** in federal *or* state court **without a court order** *and*
- voluntarily dismissed the **second action** based on the **same claim** in federal court by filing a **notice of dismissal**.

Here, the consumer voluntarily dismissed the first action in state court. He then dismissed the second action in federal court by filing a notice of dismissal. Since these actions asserted the same claims, the second dismissal operated as an adjudication on the merits. Therefore, the court will likely grant the bank's motion to dismiss the third action **(Choice B)**.

(Choice A) Although the consumer filed all the actions within the statute of limitations, the two-dismissal rule precludes the third action.

Educational objective:

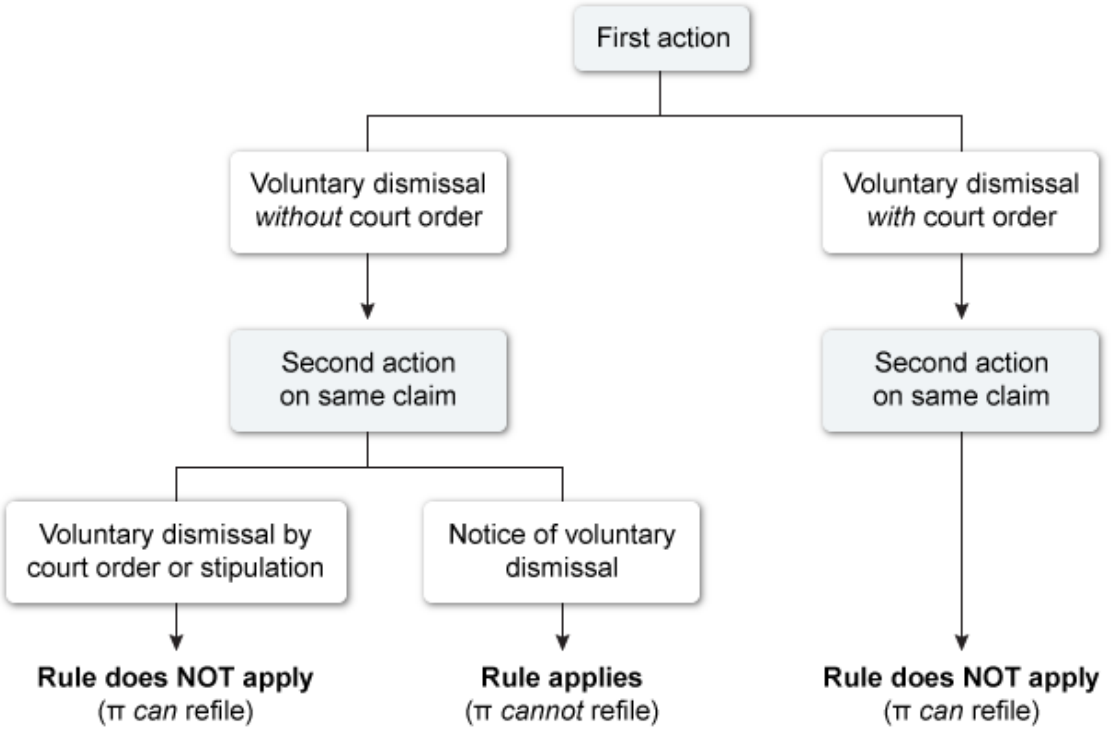
A voluntary dismissal is with prejudice when stated in a court order, notice, or stipulation OR the two-dismissal rule applies. This rule applies when the plaintiff voluntarily dismissed (1) the first action in federal or state court without a court order and (2) the second action based on the same claim in federal court by filing a notice of dismissal.

References

- Fed. R. Civ. P. 41(a) (voluntary dismissals).

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Two-dismissal rule on voluntary dismissals



π = plaintiff

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A police officer pulled over a speeding driver and administered a breathalyzer test. The driver failed this test, and the officer peacefully took him into custody. These events were recorded on the officer's dashboard and body cameras.

Six months later, the driver sued the officer in a federal court, claiming that she violated a federal civil rights statute that prohibits police officers from using excessive force. The driver claimed that the officer slammed him against the car and repeatedly punched him in the face while making the arrest.

The officer vehemently believes that the driver has no evidence to support his contention and is only pursuing the suit to harass her. The officer filed an answer denying the driver's allegations and served the driver with a motion for sanctions to recover attorney's fees incurred in filing the answer. Immediately thereafter, the officer filed the motion for sanctions with the court.

Is the court likely to grant the officer's motion for sanctions?

A. No, because the judge did not issue an order to show cause.

B. No, because the officer did not wait 21 days before filing the motion with the court.

C. Yes, because the driver has no evidence to support the facts asserted in his complaint.

D. Yes, because the officer believes that the driver filed the suit to harass her.

Explanation:

Common FRCP 11 sanctions

Monetary*	• Order fine payable to court • Order payment of opposing party's attorney's fees & other expenses
Nonmonetary	• Strike pleading, motion, or other document • Admonish, reprimand, or censure offending party, attorney, or law firm • Require participation in training/seminar • Refer issue to disciplinary authorities (eg, state legal ethics committee)

FRCP = Federal Rule of Civil Procedure.

*Cannot be imposed on represented party for violation of FRCP 11(b)(2).

Federal Rule of Civil Procedure (FRCP) 11 requires that every pleading, motion, or other document filed with the court be signed by an attorney or an unrepresented party. This **signature certifies** the following to the court:

1. The document is **presented for a proper purpose**—not to harass, cause unnecessary delay, or needlessly increase the cost of litigation.

2. All claims, defenses, and legal contentions are **warranted by existing law** or by a nonfrivolous argument for revising or establishing law.

3. All **factual assertions have** or will have **evidentiary support**.

4. All **factual denials** are **warranted by evidence** or are reasonably based on a belief or a lack of information.

Here, the officer believes that the driver filed the complaint to harass her and has no evidence to support the facts asserted in his complaint—both violations of FRCP 11 **(Choices C & D)**. These violations can subject a law firm (default), attorney, or party to **sanctions**, including a court order to pay the opposing party's attorney's fees. Sanction proceedings can be initiated:

- on the **court's own initiative** (ie, sua sponte) – which requires the judge to issue an order to show cause to the alleged violator *or*

- by a **party's motion** – which **requires** the party to serve the motion on the alleged violator but **refrain from** filing it for **21 days after serving it** to allow any violation to be corrected (ie, **safe-harbor rule**).

Here, the officer served the driver with a motion for sanctions to recover attorney's fees incurred in filing the answer. However, the officer filed the motion with the court immediately thereafter instead of waiting 21 days before filing it. Therefore, the court will likely deny the officer's motion for sanctions.

(Choice A) The judge need not issue an order to show cause when sanction proceedings are initiated by a party's motion (as seen here).

Educational objective:

A party cannot file a motion for sanctions until 21 days after serving that motion on the alleged violator. This safe-harbor rule gives a violator time to correct the violation.

References

- Fed. R. Civ. P. 11 (sanctions).

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An employer believed that a former employee had disclosed the employer's trade secrets. As a result, the employer sued the employee in federal court for infringement of trade secrets. The employer sought to conduct an oral deposition of the employee. The employer's attorney sent the employee's attorney written notice of the deposition. On the day of the deposition, the employee and the employee's attorney arrived at the designated location, but the employer and the employer's attorney failed to attend.

What should the federal court do upon request?

A. Award the employee the reasonable expenses of attending the deposition.

B. Dismiss the employer's claim against the employee.

C. Enter a protective order that prohibits a future deposition of the employee.

D. Hold the employer in contempt of court.

Explanation:

A deposition is a discovery method in which a party conducts a written or oral examination* of someone (deponent) under oath and outside of court. The party seeking to conduct an **oral deposition** (deposing party) must provide notice to all other parties. When the deponent is a party, such notice compels the attendance of the party.

If parties that were given notice attend a deposition and the **deposing party does not attend**, then the deposing party is **liable** for the **reasonable expenses of attendance** (including attorney's fees) incurred by the parties that attended. The federal court should therefore, upon request, award the employee the reasonable expenses of attending the deposition.

*An oral deposition is preferred and more common because an attorney can question the deponent in real time and adjust his/her questions based on the deponent's answers.

(Choice B) A court may impose sanctions (eg, dismissing a claim) on a party who fails to attend his/her own deposition. But here, sanctions are unwarranted because the employer failed to attend the employee's deposition—not its own.

(Choice C) A protective order is a court order issued to protect a person from whom discovery is sought from annoyance, embarrassment, oppression, undue burden, or undue expense. Here, there is no indication that any such harm will result from a future deposition, so the court is unlikely to issue a protective order.

(Choice D) A court may hold a *nonparty* deponent in contempt of court for failing to comply with a subpoena that compels his/her attendance at a deposition (not seen here).

Educational objective:

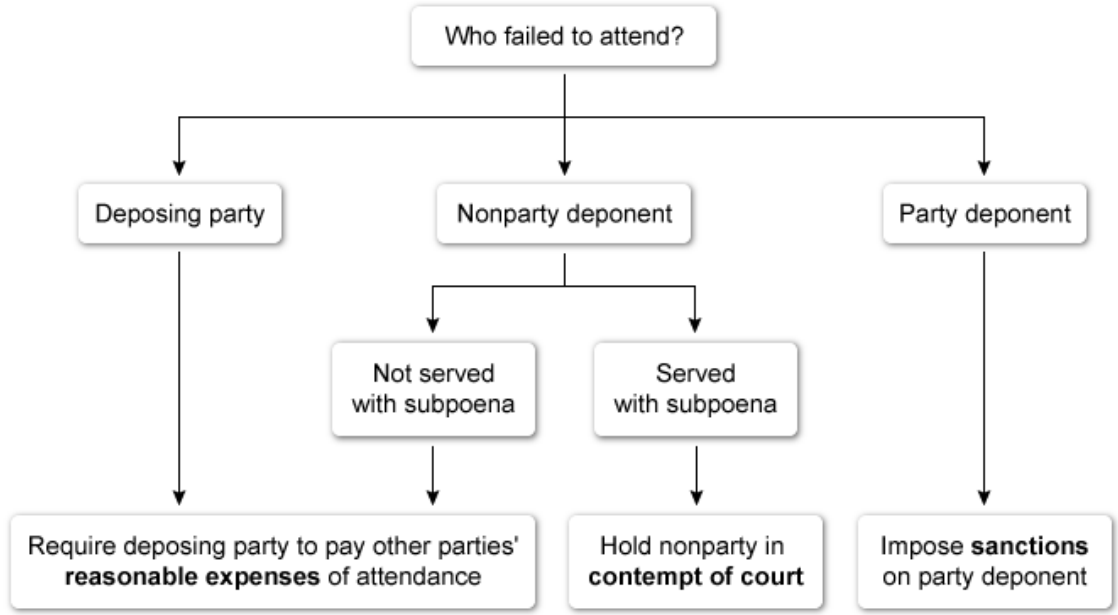
A deposing party must provide notice of an oral deposition to all other parties. If parties that were given notice attend a deposition and the deposing party does not attend, then the deposing party is liable for the reasonable expenses of attendance, including attorney's fees, incurred by the parties that attended.

References

- Fed. R. Civ. P. 30(g) (failure to attend deposition or serve subpoena).

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Remedies for failure to attend oral deposition



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A woman sued the manufacturer of her hip implant in federal court, claiming that she developed neurological and other health symptoms as a result of her exposure to the implant's material.

During discovery, the woman's attorney hired a doctor as an expert to assess the woman's case. The doctor evaluated the woman, reviewed her medical records, and concluded that the hip implant was not the cause of the woman's symptoms. After sharing this conclusion with the woman's attorney, the doctor was paid for the time spent assessing the woman's case. The woman's attorney did not retain the doctor's services for trial.

The manufacturer's attorney then served a subpoena on the doctor to take her deposition. The woman's attorney moved to quash the subpoena.

How will the court likely rule on the motion?

A. Deny the motion, because the doctor has evidence relevant to the case.

B. Deny the motion, because the woman's attorney hired the doctor as an expert.

C. Grant the motion, because the doctor is not a party in the case.

D. Grant the motion, because the facts known and opinions held by the doctor are privileged.

Explanation:

Discovery of expert materials

(FRCP 26(b)(4))

Nontestifying expert	• Facts known or opinions held by expert *not* discoverable unless: – relate to court-ordered physical/mental examination *or* – exceptional circumstances make it impracticable to obtain information by other means
Testifying expert	• Facts known & opinions held by expert discoverable through deposition • Drafts of expert reports & disclosures *not* discoverable • Communications between attorney & expert *not* discoverable unless: – relate to expert's compensation *or* – identify facts, data, or assumptions provided by attorney that expert considered in forming opinions

FRCP = Federal Rule of Civil Procedure.

Discovery is the pretrial phase of a lawsuit during which the parties can use various methods (eg, depositions) to **obtain nonprivileged information** that is (1) relevant to any party's claim or defense and (2) proportional to the needs of the case. Information held by an **expert witness** expected to testify at trial is generally nonprivileged and discoverable. But facts known and opinions held by an expert ***not* expected to testify** are **privileged** and not discoverable **unless**:

- that information relates to a **court-ordered physical or mental examination** *or*
- **exceptional circumstances** make it impracticable to obtain that information by other means—eg, a party dies and cannot be evaluated.

Here, the woman's attorney hired the doctor as an expert to assess the woman's case but not to testify at trial. Since no court-ordered examination took place and no exceptional circumstances exist, the facts known and opinions held by the doctor are privileged and not discoverable. Therefore, the court will likely grant the motion to quash the subpoena **(Choice B)**.

(Choice A) Although the doctor has evidence relevant to the case and favorable to the manufacturer, this evidence is privileged.

(Choice C) The fact that the doctor is not a party does not preclude her from being deposed. That is because a party can depose any party or nonparty to obtain *nonprivileged* information relevant and proportional to the needs of the case.

Educational objective:

The facts known and opinions held by an expert not expected to testify at trial are privileged and not discoverable unless (1) the information relates to a court-ordered physical or mental examination or (2) exceptional circumstances make it impracticable to obtain that information by other means.

References

- Fed. R. Civ. P. 26(b)(4) (discovery of expert witnesses).

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A homeowner from State A sued a mortgage lender in a federal court located in State A. The mortgage lender is incorporated and maintains its principal place of business in State B. The homeowner's complaint alleged that the lender charged her an interest rate on her home loan that exceeded the maximum rate allowed under a federal statute. The homeowner requested $250,000 in damages and a release from the mortgage.

The mortgage lender filed a pre-answer motion to dismiss the homeowner's suit for failure to state a claim, which the court denied. The lender then filed an answer and moved to dismiss the suit for failure to join a required party. The lender claims that the homeowner's husband must be joined in the suit because he cosigned the mortgage and his name is on the deed to the home. The homeowner and her husband have been separated for five years, and he permanently resides in State B.

Should the court grant the mortgage lender's motion to dismiss for failure to join a required party?

A. No, because although the husband is a required party, joining him to the suit is feasible.
B. No, because the lender waived this defense by failing to assert it in the pre-answer motion.
C. Yes, because joining the husband to the suit would destroy proper venue.
D. Yes, because joining the husband to the suit would destroy subject-matter jurisdiction.

Explanation:

Under Federal Rule of Civil Procedure (FRCP) 19, an absent party *must* be joined (ie, added) to a suit in certain circumstances. This **required (ie, compulsory) joinder** rule provides a process for determining whether joinder is necessary. The **first step** in this process considers whether the absent party is a **required party** because:

- **complete relief cannot be granted** without that party's presence
- the party's absence will subject the other parties to a **substantial risk** of **multiple or inconsistent obligations** *or*
- the party's absence will **prejudice** his/her **ability to protect an interest** related to the lawsuit—as seen with the husband here because he cosigned the mortgage and his name is on the deed.

The **second step** considers whether it is **feasible to join** the required party. When it is feasible to join the required party, the court will deny the motion to dismiss for failure to join the party and instead order that the party be joined to the suit. Here, it *is* feasible to join the husband because:

- the court can obtain personal jurisdiction over him because the suit arises from his ownership of the home in State A (ie, minimum contacts with State A)
- subject-matter jurisdiction will be preserved after joinder because the homeowner's suit is based on a federal statute (ie, arises from federal-question jurisdiction) **(Choice D)** *and*
- proper venue will remain because the home is located in State A **(Choice C)**.

Therefore, the court should deny the lender's motion to dismiss.

(Choice B) Under FRCP 12(h), a defendant waives certain defenses that are not asserted in a pre-answer motion or an answer, whichever occurs first. But a defense based on failure to join a required party can be asserted at *any* time before the end of trial, so it was not waived by failing to assert it in the pre-answer motion.

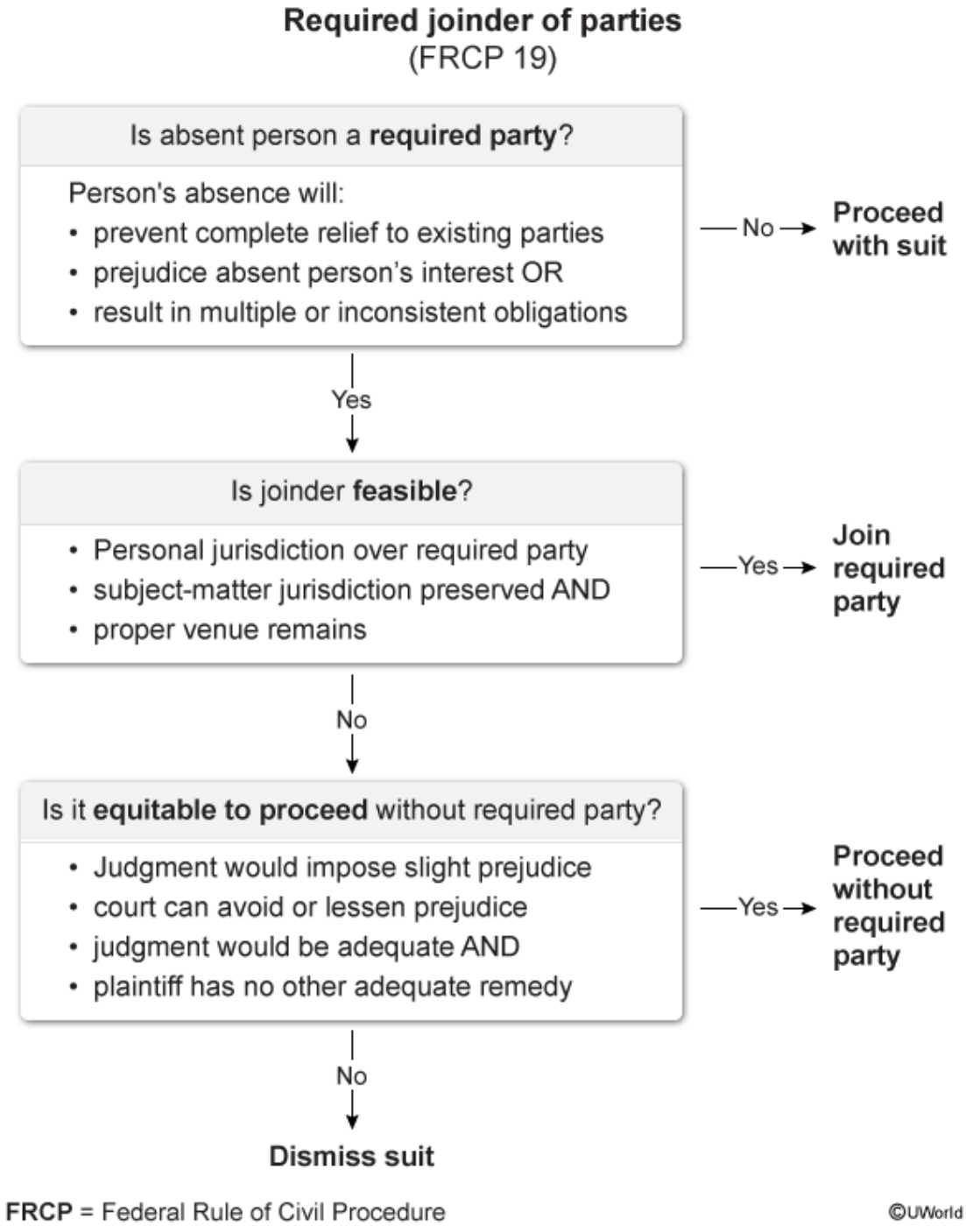
Educational objective:

A required party must be joined in a suit when feasible—ie, when (1) the court can obtain personal jurisdiction over the required party, (2) subject-matter jurisdiction will be preserved after joinder, and (3) proper venue will remain.

References

- Fed. R. Civ. P. 19 (required joinder of parties).

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A man sued his supervisor in a federal district court for sexual harassment in violation of federal law. During discovery, the man's attorney served the supervisor with a request to admit that the supervisor made derogatory jokes about the employee at a company party. The supervisor admitted to making the jokes. The man's attorney has now filed a motion with the district court for permission to take the depositions of 15 employees who will testify to hearing the supervisor make the derogatory jokes at the company party.

If the court denies the man's motion, what is the likely explanation?

A. The company did not designate the employees to testify on its behalf.

B. The court may not alter the 10-deposition limit.

C. The depositions would be unreasonably cumulative and duplicative.

D. The employees cannot be deposed because they are not parties in the suit.

Explanation:

Limitations on discovery

(FRCP 26(b)(2))

Permissible Court *may* alter limits upon:

- number of depositions, interrogatories, or requests for admission *and*
- length of oral depositions

Required Court *must* limit discovery that:

- is unreasonably cumulative or duplicative
- is obtainable from more convenient, less burdensome, or less expensive source
- contains information that party had ample opportunity to obtain *or*
- is outside scope of discovery

FRCP = Federal Rule of Civil Procedure.

Discovery is the pretrial phase of a lawsuit during which the parties can use various methods to compel disclosure of information related to the case. Information is within the scope of discovery if it is relevant to any party's claim or defense, proportional to the needs of the case, and not privileged. Although the scope of discovery is broad, a federal court ***must* limit** the frequency or extent of discovery pursuant to a party's motion or on its own initiative when the discovery sought:

- is **unreasonably cumulative or duplicative**
- can be **obtained** from a more convenient, less burdensome, or less expensive **alternative source**
- contains information that the party has had **ample opportunity to obtain** by other means *or*
- is **outside the scope** of discovery.

Here, the man seeks to take the depositions of employees who will testify that they heard the supervisor make derogatory jokes about the man. This nonprivileged information is within the scope of discovery since it is relevant and proportional to the man's sexual harassment claim. However, the depositions would be unreasonably cumulative and duplicative because the supervisor *admitted* to making the jokes in response to the man's request for admission. Therefore, this is the likely explanation if the court denies the man's motion.

(Choice A) An organization (eg, the company) that has been served with proper written notice of a deposition must designate individuals to testify on its behalf. However, such a designation is irrelevant here since the company is not a deponent in the case.

(Choice B) A federal court may alter the 10-deposition limit if a party requests the court's leave (ie, permission).*

*Leave of court is also required when (1) the deposition is sought before the initial planning conference, (2) the deponent has already been deposed in the case, or (3) the deponent is in prison.

(Choice D) A party may depose any other party or nonparty—including the employees.

Educational objective:

A court must limit the frequency or extent of discovery when the discovery sought (1) is unreasonably cumulative or duplicative, (2) can be obtained from a more convenient, less burdensome, or less expensive source, (3) contains information that the party has had time to obtain by other means, or (4) is outside the scope of discovery.

References

- Fed. R. Civ. P. 26(b)(2)(C) (required limitations on discovery).

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A designer sued a clothing store in a federal district court for selling clothes that featured the designer's trademarked designs without the designer's permission. As the trial approached, the judge ordered the parties' attorneys to attend a final pretrial conference.

Which of the following can the judge NOT do at the conference?

A. Decide which party has the burden of proof.

B. Establish a time limit for each party's presentation of evidence.

C. Limit each party's use of expert testimony.

D. Rule on the admissibility of evidence.

Explanation:

Pretrial conferences

(FRCP 16(c))

Purpose	**Matters for consideration**
Expedite litigation	• Eliminate frivolous claims & defenses • Obtain admissions & stipulations • Set timeline for summary judgment & dispose of pending motions • Schedule discovery, pretrial briefs & future conferences
Improve quality of trial	• Amend pleadings • Refer matters to magistrate or master • Require separate trial for different claims • Adopt special procedures for complex/unusual legal issues • Rule on admissibility of evidence • Avoid cumulative evidence & limit expert testimony • Establish order & time limit for presentation of evidence
Facilitate settlement	• Facilitate just, speedy & inexpensive resolution

FRCP = Federal Rule of Civil Procedure.

Federal Rule of Civil Procedure 16 permits a judge to order the attorneys and any unrepresented parties to attend one or more **pretrial conferences**. These conferences are designed to expedite litigation, improve the trial's quality, and facilitate settlement. During these conferences, the **judge has broad discretion** to consider and act on a wide range of issues, including:

- establishing a **time limit** for each party's **presentation of evidence (Choice B)**
- **limiting** each party's use of **expert testimony (Choice C)** *and*
- **ruling** on the **admissibility of evidence (Choice D)**.

However, the judge may *not* decide which party has the burden of proof. That is because a plaintiff (here, the designer) always has the burden to prove each element of the claim, often by a preponderance of the evidence.

Educational objective:

During pretrial conferences, the judge has broad discretion to act on a wide range of issues—eg, (1) establish a time limit for each party's presentation of evidence, (2) limit each

party's use of expert testimony, and (3) rule on the admissibility of evidence. However, the judge may not decide which party has the burden of proof.

References

- Fed. R. Civ. P. 16 (pretrial conferences).

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A pedestrian from State A sued a driver from State B in a federal court in State B to recover $85,000 in damages. The pedestrian alleged that the driver ran a red light and hit the pedestrian in a crosswalk. Prior to trial, the driver's attorney disclosed that he intended to call a witness to testify that the traffic light facing the driver was green when the pedestrian entered the crosswalk. To verify whether the witness is truthful, the pedestrian's attorney sent the witness interrogatories.

The witness failed to respond to any of the interrogatories. After attempting to confer with the witness and the driver's attorney, the pedestrian's attorney filed a motion to compel the witness to respond to the interrogatories. The driver's attorney opposed the motion.

How should the court rule on the pedestrian's motion to compel?

A. The court should deny the motion and award the driver reasonable expenses incurred in opposing the motion.

B. The court should deny the motion but not award the driver reasonable expenses incurred in opposing the motion.

C. The court should grant the motion and award the pedestrian reasonable expenses incurred in making the motion.

D. The court should grant the motion but not award the pedestrian reasonable expenses incurred in making the motion.

Explanation:

FRCP 37 allows a party to file a **motion to compel** a discovery response or disclosure. **Interrogatories** are a method of discovery in which a party serves **written questions** on another party that inquire about any matter within the scope of discovery. However, interrogatories may **not be served on nonparties**. As a result, the nonparty witness need not respond to the pedestrian's interrogatories, and the court should deny the pedestrian's motion to compel those responses **(Choices C & D)**.

When ruling on a motion to compel, the court may **award reasonable expenses** associated with the motion based on the following scenarios:

- If the **motion is granted**, the court **must award the movant** the reasonable expenses incurred in making the motion unless an exception applies.
- If the **motion is granted in part and denied in part**, the court **may apportion** the reasonable expenses as it sees fit.
- If the **motion is denied**, the court **must award the nonmovant** the reasonable expenses incurred in opposing the motion unless the motion was substantially justified or the award would be unjust.*

Here, the pedestrian's motion to compel was not substantially justified since the pedestrian's attorney should have known that interrogatories may not be served on nonparties. And an award of reasonable expenses would be fair because the motion wasted legal and judicial resources. Therefore, the court should deny the pedestrian's motion to compel and award the driver reasonable expenses incurred in opposing the motion **(Choice B)**.

*Before awarding expenses, the court must give the parties an opportunity to be heard. Additionally, the court may issue a protective order when it denies a motion in whole or in part.

Educational objective:

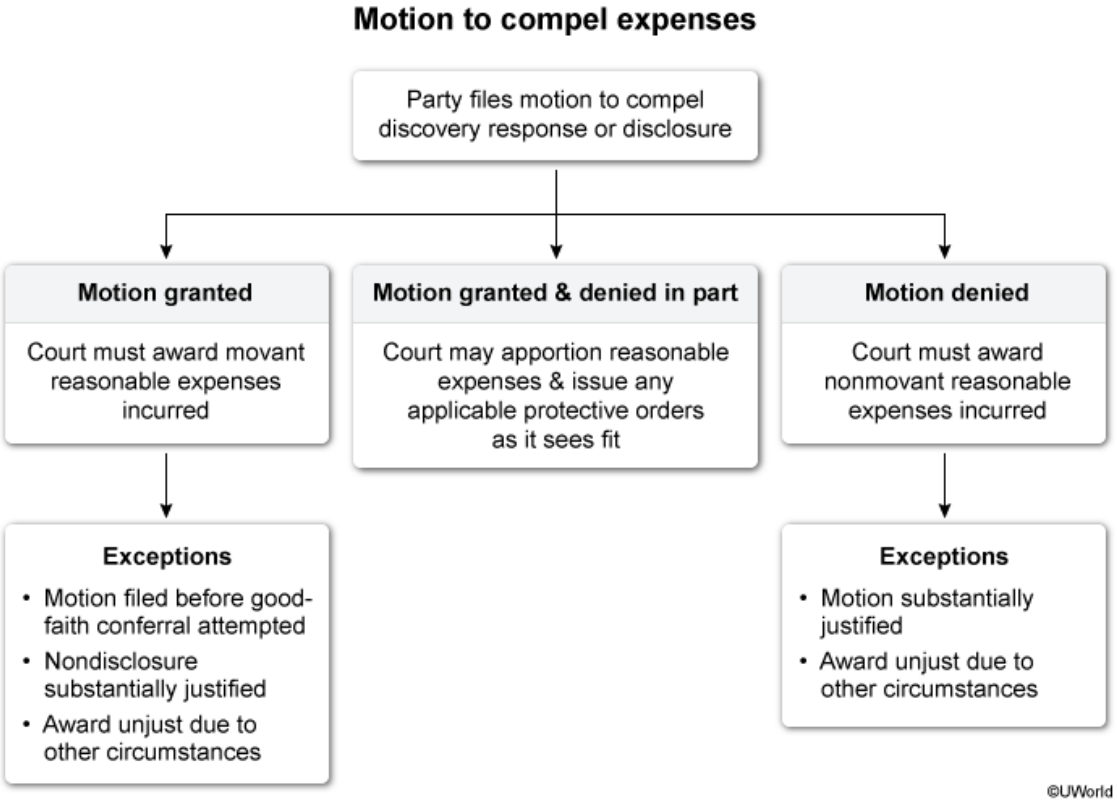
If a court denies a motion to compel, it must award the nonmovant the reasonable expenses incurred in opposing the motion unless the motion was substantially justified or the award would be unjust. If the motion is granted, the court must award the movant's expenses. If it is granted in part and denied in part, expenses may be apportioned.

FRCP = Federal Rule of Civil Procedure.

References

- Fed. R. Civ. P. 33 (interrogatories).
- Fed. R. Civ. P. 37(a)(5) (motion to compel expenses).
- 8B Charles Alan Wright et al., Federal Practice and Procedure § 2288 (3d ed. 2020) (explaining how a court should award expenses in ruling on a motion to compel).

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A pedestrian domiciled in State A was crossing a street in State B when he was hit by a car driven by a citizen of a foreign country. Both the pedestrian and the driver suffered injuries.

The pedestrian filed a negligence action against the driver in a federal district court in State B, seeking $100,000 in damages. The driver believes that the pedestrian was crossing the street illegally and is therefore responsible for the accident. The driver seeks an attorney's advice on how best to respond to the action. Assume that State B is a contributory negligence state.

How should the attorney advise the driver to respond?

A. File an answer raising the affirmative defense of contributory negligence and asserting a counterclaim for negligence, seeking damages for the driver's injuries.

B. File an answer raising the affirmative defense of contributory negligence and move for judgment on the pleadings.

C. Move to dismiss for lack of personal jurisdiction, because the driver is not a citizen of State B.

D. Move to dismiss for lack of subject-matter jurisdiction, because the driver is not a U.S. citizen.

Explanation:

Contents of answer

Required	• Admissions & denials • Motions not waived • Affirmative defenses • Compulsory counterclaims
Permitted	• Permissive counterclaims • Crossclaims

A defendant must file an answer in response to a plaintiff's lawsuit unless the suit is dismissed (eg, when the court grants a Rule 12(b) motion).* An **answer must include** the following items or else they are waived:

- **Admissions or denials** for each allegation
- **Motions** that have not already been waived
- **Affirmative defenses**—ie, assertions that can negate or reduce liability even if every element of the opposing party's claim is proven (eg, contributory negligence)
- **Compulsory counterclaims**—ie, claims asserted **against an opposing party** in response to that party's earlier claim that (1) arise from the **same transaction or occurrence** as the earlier claim *and* (2) do not require adding another party over whom the court cannot acquire jurisdiction

Here, the driver has an affirmative defense based on the pedestrian's contributory negligence in illegally crossing the street. The driver also has a compulsory counterclaim because his injuries arose out of the *same* accident as the pedestrian's claim and no additional party is required. Therefore, the attorney should advise the driver to file an answer raising the affirmative defense and the compulsory counterclaim seeking damages for his injuries.

*The defendant must also serve the answer on the plaintiff. If the plaintiff is represented by an attorney, service must be made on the plaintiff's attorney unless the court orders otherwise.

(Choice B) A court can enter judgment on the pleadings when the undisputed material facts in the pleadings establish that the movant is entitled to judgment as a matter of law. But here, the material facts are disputed since each party claims that the other party was responsible.

(Choice C) Although the driver is not a State B citizen, the court has personal jurisdiction because the driver's minimum contacts with State B—driving on its roads—gave rise to the pedestrian's claim.

(Choice D) Subject-matter jurisdiction based on diversity exists in a suit involving a foreign citizen if (1) he/she is not a permanent resident living in the same state as the opposing party and (2) the amount in controversy exceeds $75,000. Here, both requirements are satisfied.

Educational objective:

An answer must include (1) admissions and denials, (2) motions that have not been waived, (3) affirmative defenses, and (4) compulsory counterclaims.

References

- Fed. R. Civ. P. 8(c) (affirmative defenses).
- Fed. R. Civ. P. 13(a) (compulsory counterclaims).

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A patient brought a diversity action against a doctor in federal court for medical malpractice. The patient alleges that the doctor negligently administered medication to the patient after surgery, which caused further complications. During discovery, the patient's attorney sent the doctor 30 requests for admission. One request stated, "Please admit that the medication administered to the patient poses a higher risk to individuals in the patient's age group." The doctor served a written response 21 days later, in which she specifically denied that the medication poses a higher risk to such individuals.

The case proceeded to trial. The patient offered several of the doctor's records into evidence that demonstrated the doctor knew at the time she prescribed the medication that it was unsafe for individuals in the patient's age group. At the conclusion of trial, the jury returned a verdict for the patient, specifically finding that the patient proved that the medication is unsafe for individuals in the patient's age group. The patient then moved for sanctions against the doctor to pay the reasonable expenses incurred in proving this matter.

Is the court likely to grant the patient's motion?

A. No, because the patient's motion for sanctions after the jury returned its verdict was untimely.

B. No, because the requests for admission exceeded the number allowed.

C. Yes, because requests for admission are proper to obtain the truth about facts.

D. Yes, because the patient proved that the matter was true.

Explanation:

Request for admission

- Definition – request served on other party to admit truth of facts, application of law to facts, opinions, or genuineness of documents
- Limit – none
- Response – written response due within 30 days of service

Requests for admission allow a party to ask another party to admit the truth about matters within the scope of discovery relating to facts, the application of law to facts, opinions about either, or the genuineness of documents. This discovery method seeks to expedite litigation and decrease costs by alleviating the need to prove undisputed matters at trial.

If the responding party **fails to admit a matter** that is **later proven true**, then the requesting party can move for the responding party to **pay reasonable expenses incurred**, including attorney's fees, in making that proof. The court *must* grant this motion unless one of these conditions applies:

- The court had sustained a prior objection to the request.
- The admission sought was of no substantial importance.
- The responding party reasonably believed that it would prevail on the matter.
- Another good reason existed for the failure to admit.*

Here, the doctor responded to the patient's request for admission by denying that the medication poses a higher risk to individuals in the patient's age group. However, the jury found that the patient proved that this matter was true. And since none of the above conditions apply, the court is likely to grant the patient's motion.

*Courts have found a good reason when the responding party could not reasonably obtain information that would allow it to admit that the matter was true.

(Choice A) The requesting party may move for sanctions after the matter that the responding party failed to admit is proven true. Therefore, the motion here was timely because it was made after the jury's verdict found that the patient's claim that the medication posed a higher risk to individuals in the patient's age group was true.

(Choice B) The requests for admission did not exceed the number allowed since a party may serve an *unlimited* number of requests for admission.

(Choice C) Requests for admission are proper to obtain the truth about facts. But the reason that the patient's motion will be granted is that he proved the medication is unsafe for individuals in his age group—a fact the doctor denied.

Educational objective:

A party that fails to admit a matter later proven true must generally pay the reasonable expenses incurred in making that proof.

References

- Fed. R. Civ. P. 37(c)(2) (sanction for failure to admit).
- 8B Charles Alan Wright et al., Federal Practice and Procedure § 2290 (3d ed. 2020) (explaining the process to obtain a sanction for failure to admit).

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A woman from State A sued a man from State B in a federal district court in State B for intentional infliction of emotional distress and sought $80,000 in damages. The woman claimed that the man's actions caused her to suffer post-traumatic stress disorder. The man wishes to subject the woman to a mental examination by a licensed psychiatrist of his own choosing before trial.

Which is true about the prospect of a mental examination?

A. A federal district court in State A may order the woman to undergo a mental examination because that is where the woman resides.

B. Only the federal district court in State B may order the woman to undergo a mental examination because that is where the lawsuit is pending.

C. The examining psychiatrist is entitled to receive the woman's prior psychiatric records because he cannot conduct a complete examination without this information.

D. The woman is entitled to choose who will perform the examination because the party to be examined always has this right.

Explanation:

Physical & mental examinations

(FRCP 35)

Examination requirements*	• Party's mental or physical condition is in controversy • Motion for court order based on good cause • Court order issued where suit is pending provides notice specifying time, place, manner, conditions, scope & person performing exam
Examiner's reportrequirements	• In writing & detail all findings (eg, diagnoses, conclusions & test results) • Deliver to examined party upon request
Effects of examination	• By requesting & receiving report, examined party waives any privilege concerning testimony about condition • After delivering report, party who sought exam may request & must receive previous reports of examined party's condition

FRCP = Federal Rule of Civil Procedure.

*Requirements unnecessary if parties stipulate to exam.

During discovery, the **court where the lawsuit is pending** may **order** a party to undergo a **mental or physical examination** by a suitably licensed or certified examiner. This court order is valid when:

- that party's mental or physical **condition is in controversy**—ie, a physical injury or mental disorder is the subject of a claim or defense in the suit
- the motion for the order is based on **good cause**—eg, the information sought *cannot* be easily attained by other means—*and*
- the order provides **notice** by specifying the time, place, manner, conditions, scope, and person who will perform the exam.

Here, the woman's mental condition is in controversy since she claims that the man caused her to suffer post-traumatic stress disorder. There also is good cause for a mental examination because the man likely cannot obtain information about her true mental condition by other means. But since the suit is pending in the federal district court in State B, only that court may order the woman to undergo a mental examination **(Choice A)**.

(Choice C) The examining *psychiatrist* is not entitled to receive the woman's prior psychiatric records before conducting the examination. Instead, such records need only be disclosed to the *man* if he requests them after the woman requests and receives a copy of the psychiatrist's report.

(Choice D) The party to be examined does not possess an absolute right to choose who will perform the examination. Instead, the party requesting the examination may choose the examiner unless the examined party has a valid objection. In that case, the court will appoint the examiner.

Educational objective:

The court where a lawsuit is pending may order a physical or mental examination of a party when (1) that party's mental or physical condition is in controversy, (2) the motion for the order is based on good cause, and (3) the order provides notice specifying the time, place, manner, conditions, scope, and person to perform the exam.

References

- Fed. R. Civ. P. 35 (physical and mental exams).
- Schlagenhauf v. Holder, 379 U.S. 104, 118–19 (1964) (explaining the "in controversy" and "good cause" requirements for a mental or physical examination of a party during discovery).

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An insurance company from State A paid out $500,000 to a dentist from State B after she filed a claim for property damage allegedly caused by a spontaneous fire. After further investigation, however, the insurance company concluded that the dentist intentionally set the fire to recover the insurance money.

The insurance company sued the dentist in a federal court in State B to recover the $500,000 it had paid her. In its complaint, the insurance company claimed that the dentist "intentionally devised a plan to defraud the insurer and obtain money by false pretenses."

The dentist filed a pre-answer motion to dismiss the complaint for failure to state a claim on which relief may be granted.

Will the dentist likely succeed on her motion to dismiss?

A. No, because the complaint contains a short and plain statement of the claim showing that the insurance company is entitled to relief.

B. No, because the dentist must file an answer before she can make this motion.

C. Yes, because a federal court cannot hear claims based on fraud.

D. Yes, because claims based on fraud must be stated with particularity.

Explanation:

Specificity of pleadings

Claim	Pleading requirements
General rule	• Complaint – short & plain statement of claim showing plaintiff is entitled to relief • Answer – short & plain statement of admissions, denials, defenses & claims against other parties
Fraud/mistake/mental condition	• Malice, intent, knowledge, or other mental condition may be alleged generally • Circumstances giving rise to fraud/mistake must be stated with particularity
Conditions precedent	• Assertion that conditions precedent occurred may be alleged generally • Denial that conditions precedent occurred must be stated with particularity
Damages	• General damages may be alleged generally • Special damages must be specifically stated

A complaint is the pleading that **starts a civil lawsuit** and states the **basis for the plaintiff's claim**. It generally must contain a short and plain statement of the claim showing that the plaintiff is entitled to relief. However, Federal Rule of Civil Procedure (FRCP) 9(b) sets forth different pleading requirements for a complaint alleging **mistake or fraud** (as seen here) or mental conditions. Such complaints:

- may **allege *generally*** the defendant's malice, intent, knowledge, or other mental condition—eg, stating that the defendant acted intentionally—*but*
- must **state with *particularity*** the **circumstances** giving rise to the claim—eg, specifying the time, place, and nature of the alleged fraud.

Here, the insurance company's complaint alleged that the dentist "intentionally devised a plan to *defraud* the insurer and obtain money by false pretenses." But it failed to state the circumstances giving rise to the fraud claim, like when and how the dentist set fire to her office **(Choice A)**. As a result, the complaint failed to state a claim on which relief may be granted, and the dentist will likely succeed on her motion to dismiss.*

*However, the court will likely allow the insurance company to amend its complaint to correct the defect since amendments are liberally allowed in federal court.

(Choice B) FRCP 12 allows a defendant to make several motions before filing his/her answer—including a motion to dismiss for failure to state a claim on which relief may be granted (as seen here).

(Choice C) Federal courts can hear most state law claims—including fraud claims—when their subject-matter jurisdiction is based on diversity jurisdiction. The only state law claims that may not be heard in federal court are those involving probate matters (eg, authenticating wills) or domestic relations (eg, issuing divorces).

Educational objective:

A complaint must contain a short and plain statement of the claim showing that the plaintiff is entitled to relief. When a complaint alleges mistake, fraud, or a mental condition, (1) the defendant's intent or other mental condition may be alleged *generally* but (2) the circumstances giving rise to the claim must be stated with *particularity*.

References

- Fed. R. Civ. P. 9(b) (heightened pleading standards).

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Two women filed a joint complaint in federal court against their employer for allegedly violating a federal law that prohibits workplace discrimination against pregnant women.

The complaint alleged that the women applied for promotion to two, newly opened supervisor positions when they were six and seven months pregnant, respectively. The women claimed that their employer told each of them separately that he was denying them the promotion because they would miss work as a result of their pregnancies. The complaint also alleged that the women were fired from their positions shortly after these meetings. One woman seeks to be reinstated to her former position, while the other woman requests $100,000 in damages.

The employer denied these allegations and filed a motion asking the court to sever the women's claims.

How will the court likely rule on the employer's motion?

A. Deny the motion, because the women are required parties to the lawsuit.
B. Deny the motion, because the women's claims arise out of the same series of occurrences and share common questions of law and fact.
C. Grant the motion, because the women requested different relief.
D. Grant the motion, because trying both women's claims together would prejudice the employer.

Explanation:

Joinder of parties

Compulsory joinder (FRCP 19)	Person *must* be joined in lawsuit—provided subject matter jurisdiction is preserved—if absence will: • prevent court from granting complete relief to existing parties • prejudice absent person's interest *or* • subject existing party to multiple or inconsistent obligations
Permissive joinder (FRCP 20)	Person *may* be joined in lawsuit if: • claims by or against person arise out of same transaction/occurrence *and* • common question of fact or law will arise

FRCP = Federal Rules of Civil Procedure.

The employer's motion to sever the women's complaint should be granted if their claims regarding workplace discrimination were improperly joined. Under Federal Rule of Civil Procedure (FRCP) 20—the **permissive joinder** rule—**multiple persons** *may* be **joined as plaintiffs** or defendants in the **same suit** if:

- the claims asserted by or against the joined parties **arise out of the same** transaction, occurrence, or **series of transactions or occurrences** *and*
- the action will involve a **common question of law or fact** among all joined parties.

Here, the claims asserted by both women stem from their mutual employer's alleged discrimination (same series of occurrences). Their claims are based on the same federal statute (common question of law) and the same allegation that they were denied a promotion and fired because they were pregnant (common question of fact). Therefore, the women were properly joined as plaintiffs, and the employer's motion to sever will likely be denied.

(Choice A) The women are *not* required parties to the lawsuit under FRCP 19. This is because the women could separately sue the employer without (1) preventing the court from granting them complete relief, (2) prejudicing the absent woman's interest, or (3) subjecting the parties to multiple or inconsistent obligations.

(Choice C) Parties need not seek (or defend against) the same relief to be joined. Therefore, the fact that the women requested different relief is not a basis for severing their joint complaint.

(Choice D) FRCP 20(b) allows a judge to take protective measures (eg, ordering separate trials) when the joinder of parties would cause an opposing party embarrassment, delay,

expense, or other prejudice. But this can only be done when the claims by or against the joined parties do not concern the opposing party (not seen here).

Educational objective:

Permissive joinder of parties is appropriate when (1) the claims asserted by or against the joined parties arise from the same transaction, occurrence, or series thereof and (2) a common question of law or fact will arise among them.

References

- Fed. R. Civ. P. 20 (permissive joinder of parties).

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A bank loaned a borrower $20,000 to buy a car. The borrower signed a promissory note to pay back the loan over the course of four years. After six months of payments, the borrower stopped paying because he heard a report that the bank was fined by a federal agency for systematically misrepresenting the terms in its loans.

The borrower sued the bank in a federal court for misrepresentations in the loan paperwork in violation of federal law. The bank believes that the borrower has breached the terms of the promissory note and seeks to recover the remaining balance due, which amounts to $18,000.

In addition to denying the borrower's allegations in its answer, what should the bank do?

A. Assert a compulsory counterclaim for breach of contract.

B. Assert a compulsory crossclaim for breach of contract.

C. Assert a permissive counterclaim for breach of contract.

D. Assert a permissive crossclaim for breach of contract.

Explanation:

Here, the borrower (plaintiff) sued the bank (defendant) for misrepresentations in the loan paperwork. The bank now seeks to recover $18,000 from the borrower in the same suit. The bank can do so by asserting a **counterclaim**—ie, a claim for relief asserted **against an *opposing party*** in response to that party's earlier claim. There are **two types** of counterclaims:

- **Compulsory** – one that (1) arises from the **same transaction or occurrence** as the opposing party's claim and (2) does not require adding a party over whom the court cannot acquire jurisdiction, which ***must* be asserted** in the **pending lawsuit** or it is waived
- **Permissive** – **all other counterclaims**, which ***may* be asserted** in the **pending lawsuit** or future litigation

Since the bank's and borrower's claims arise from the *same* loan and no other party is required, the bank's counterclaim is *compulsory* **(Choice C)**. As a result, it must be asserted in the bank's answer.

(Choices B & D) A crossclaim is a claim for relief asserted against a *coparty* (eg, a defendant against a codefendant). This type of claim is always permissive (not compulsory) and can only be asserted if it arises from the same transaction or occurrence as another claim in the lawsuit. Here, since the bank and borrower are *opposing* parties, the bank's proper claim for relief is a counterclaim.

Educational objective:

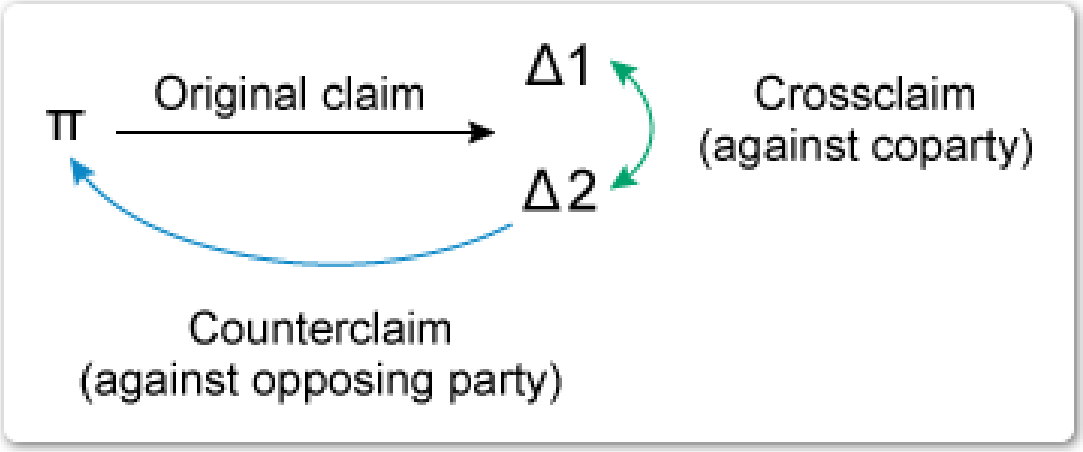
A counterclaim is a claim for relief asserted against an *opposing* party in response to that party's earlier claim. A counterclaim is compulsory when it (1) arises from the same transaction or occurrence as the opposing party's claim and (2) does not require adding another party over whom the court cannot acquire jurisdiction.

References

- Fed. R. Civ. P. 13 (compulsory and permissive counterclaims).

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Claims for relief



π = plaintiff; Δ = defendant

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A plaintiff filed a diversity action in federal district court against a defendant. The day after the defendant was served with process, the defendant filed and served an answer.

When must the parties confer to develop a discovery plan?

A. At least 21 days before a scheduling conference is held or a scheduling order is due.
B. At least 30 days before a scheduling conference is held or a scheduling order is due.
C. Within 21 days after the defendant's answer was served.
D. Within 30 days after the defendant's answer was served.

Explanation:

Initial conference

(FRCP 26(f))

Timing	• Confer at least 21 days before scheduling conference is held or scheduling order is due
Conference content	• Consider basis of claims & defenses • Consider settlement possibilities • Make or arrange for required disclosures • Discuss preservation of discoverable information • Develop proposed discovery plan
Discovery plan* content	• What discovery may be needed • Schedule for discovery • Modifications to scope of discovery • Timing of required disclosures • Issues about electronically stored information or privilege • Orders court should issue

FRCP = Federal Rule of Civil Procedure

*Due within 14 days after conference

Under Federal Rule of Civil Procedure 26(f), the parties must hold an **initial conference** to **plan for discovery**. During the conference, the parties should:

- consider the nature and basis of their claims and defenses
- consider the possibilities for prompt settlement
- make or arrange for required disclosures
- discuss any issues about preserving discoverable information *and*
- develop a proposed discovery plan.

The initial conference **must be held** as soon as practicable, but **at least *21* days before** a **scheduling conference** is held or the judge's **scheduling order** is due **(Choice B)**. If a party fails to confer in good faith, the court may order the party or his/her attorney to pay the opposing party's reasonable expenses, including attorney's fees.

(Choices C & D) A defendant may amend its answer once as a matter of course—ie, without the court's permission or the opposing party's written consent—within 21 days of serving it.

Educational objective:

The parties must hold an initial conference to plan for discovery. The conference must be held as soon as practicable and at least 21 days before a scheduling conference with the court is held or the judge's scheduling order is due.

References

- Fed. R. Civ. P. 26(f) (initial conference).

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A plaintiff obtained an ex parte temporary restraining order (TRO) in a federal civil action and posted a bond the same day. One day later, the plaintiff served the defendant with copies of the summons and complaint, the TRO, and supporting documents. The court scheduled a hearing on the preliminary injunction to occur 14 days after the TRO had been issued.

Two days before the hearing, the plaintiff moved to extend the TRO and postpone the hearing for one week on the ground that its principal witness would be unavailable to testify on the scheduled day due to a planned vacation. The defendant opposed the motion and moved to dissolve the TRO.

Is the court likely to grant the defendant's motion to dissolve the TRO?

A. No, because a TRO can be extended once for 14 days.

B. No, because the plaintiff posted a bond and its principal witness's testimony is critical to the hearing.

C. Yes, because the plaintiff's principal witness's vacation is not good cause to extend the TRO.

D. Yes, because the TRO will expire before a rescheduled hearing can be held.

Explanation:

Temporary restraining orders

(FRCP 65(b))

Obtaining Movant must provide:

- specific facts in affidavit or verified complaint clearly showing immediate & irreparable injury, loss, or damage
- written certification by movant's attorney of efforts to give notice & reasons why it should not be required *and*
- security to pay costs & damages sustained by wrongfully restrained party

Extending Limited to 14 days or until preliminary-injunction hearing can take place unless:

- opposing party consents to extension *or*
- good cause exists

Dissolving

- Party moving to dissolve order must give two days' notice
- Court must hear & decide motion as promptly as justice requires

FRCP = Federal Rule of Civil Procedure.

A **temporary restraining order** (TRO) is a court order that commands a party to do or stop doing a specified action **for 14 days** or until a preliminary-injunction hearing can take place—whichever occurs first. Once this period expires, the court should dissolve the TRO unless it has already been **extended** because:

- the **opposing party consented** to the extension (not seen here) *or*
- there was **good cause**, which generally requires the movant to show that an unforeseeable event prevents the scheduled hearing from taking place.

Here, the witness's vacation was planned, so the witness's unavailability at the preliminary-injunction hearing was not a surprise. The plaintiff should have known the availability of its principal witness before seeking a TRO and planned accordingly. Since the plaintiff cannot provide good cause for extending the TRO and postponing the preliminary-injunction hearing, the court is likely to grant the defendant's motion to dissolve the TRO.

(Choice A) A TRO can be extended only if the opposing party consents or good cause exists. Therefore, it cannot be automatically extended once for 14 days.

(Choice B) A federal court will issue a TRO only if the movant provides security (eg, a bond) sufficient to pay the costs and damages if the nonmovant is improperly

restrained. However, the plaintiff's posting of a bond does not affect whether the court should extend the TRO. Additionally, the critical nature of the principal witness's testimony does not alone establish good cause needed to extend a TRO.

(Choice D) Had the plaintiff provided good cause, the court could have extended the TRO for a "like period," which cannot exceed the period provided in the initial order. Here, the initial TRO period was 14 days, so extending the TRO and postponing the hearing for a week would have been valid had good cause existed.

Educational objective:

A TRO generally applies for 14 days or until a preliminary-injunction hearing can take place—whichever occurs first. A court can extend a TRO beyond this time if (1) the opposing party consents or (2) the movant provides good cause.

References

- Fed. R. Civ. P. 65(b)(2) (extension of TRO).
- 11A Charles Alan Wright et al., Federal Practice and Procedure § 2953 (3d ed. 2020) (explaining how a TRO can be extended beyond 14 days).

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An employee, a citizen of State A, has sued his former employer, a corporation incorporated and with its headquarters in State B, in a federal district court in State A. The employee claims that the employer fired the employee because of his disability in violation of federal law. During discovery, the employee learned that the employer had previously been investigated for discriminatory practices. After the employer was served with process, the employee served the employer with a request to produce documents related to the discrimination investigation.

The employer failed to produce the requested documents at the initial planning conference. Sixty days later, the employer still had not responded or produced the documents. Without attempting to confer with the employer's attorney, the employee filed a motion in the federal court in State A to compel the employer to produce the requested documents. The employer was properly served with the motion.

The employer will likely succeed in defending against the motion to compel on which of the following grounds?

A. The employee did not serve the employer with a subpoena when he requested the documents' production.
B. The employee failed to include a certification of good-faith conferral with the motion.
C. The employee should have filed the motion in State B, where the employer is incorporated and headquartered.
D. The employer still has time to respond to the discovery request.

Explanation:

FRCP 37 allows a party to file and serve a **motion to compel** a required disclosure or a **response to a discovery request** (eg, request for production). This motion must include a certification that the movant has, in good faith, conferred or attempted to confer with the noncompliant party or nonparty (ie, **certification of good-faith conferral**).* The motion also must be **filed in the proper court**:

- A motion to **compel a party** must be filed with the court in which the **action is pending**.
- A motion to **compel a nonparty** must be filed in the court where the **discovery is or will be taken**.

Here, the employee properly filed the motion to compel the employer (defendant) to produce the requested documents in the federal court in State A—where the action is pending **(Choice C)**. However, the employee's attorney did not confer or attempt to confer with the employer's attorney before filing the motion to compel. As a result, no certification of good-faith conferral was included with the motion. Therefore, the employer will likely succeed in defending against the employee's motion on this ground.

*Good-faith conferral is required because the court wants the parties to resolve a discovery issue on their own before using judicial resources to do so.

(Choice A) A subpoena is required to obtain documents or things in a nonparty's possession. But since the employer is a party to the action, the employee was not required to serve the employer with a subpoena when he requested the documents' production.

(Choice D) The employer no longer has time to respond to the employee's request for production. That is because a response must be served in writing within 30 days after the parties' initial planning conference if a request for production was served before that conference (as seen here).

Educational objective:

A motion to compel must include a certification that the movant has, in good faith, conferred or attempted to confer with the noncompliant party or nonparty. A motion to compel a party must be filed with the court in which the action is pending, while a motion to compel a nonparty must be filed in the court where the discovery is or will be taken.

FRCP = Federal Rule of Civil Procedure.

References

- Fed. R. Civ. P. 37(a) (motion-to-compel requirements).
- 8B Charles Alan Wright et al., Federal Practice and Procedure § 2285 (3d ed. 2020) (explaining the requirements for a motion to compel required disclosures or discovery responses).

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Requirements for motion to compel disclosure or discovery response

Filing requirements

- Certification of good-faith conferral
- Filed in proper court
  - where action is pending (to compel party) *or*
  - where discovery is or will be taken (to compel nonparty)

Service requirement
(same for all other motions)

- Personal delivery
- Leave at office with clerk or in conspicuous place
- Leave at dwelling with resident of suitable age & discretion
- Mail to last known address
- File with court's electronic-filing system *or*
- Deliver by other means consented in writing

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A buyer from State A and a seller from State B entered into a contract in which the buyer agreed to purchase a parcel of State B land from the seller for $200,000. However, the seller did not disclose to the buyer that the seller co-owned the land with his mother, who is from State A. The seller's mother was never mentioned in the contract, and she never authorized the sale of the land. The buyer paid the seller $200,000 pursuant to the contract but was prevented from taking possession of the land by the seller's mother.

The buyer sued the seller in federal court in State B to obtain possession of the land. The seller has filed a motion to dismiss the buyer's lawsuit for failing to join the seller's mother in the action.

Should the court grant the seller's motion to dismiss the case?

A. No, because although the seller's mother is a required party to the lawsuit, dismissing the case would leave the buyer with no adequate remedy.

B. No, because the seller's mother is not a required party to the lawsuit.

C. Yes, because although the seller's mother is a required party to the lawsuit, joining her in the action would destroy subject-matter jurisdiction.

D. Yes, because although the seller's mother is a required party to the lawsuit, the State B federal court lacks personal jurisdiction over her.

Explanation:

Federal Rule of Civil Procedure 19—the **required (ie, compulsory) joinder** rule—provides a three-step process for determining whether an absent party *must* be joined in a lawsuit. The **first step** considers whether the absent party is a **required party** because:

- **complete relief cannot be granted** without that party's presence
- the party's absence will subject the other parties to a substantial risk of **multiple or inconsistent obligations** *or*
- the party's absence will impair his/her **ability to protect an interest** related to the lawsuit—as seen here with the seller's mother since she has a co-ownership interest in the land **(Choice B)**.

The **second step** considers whether it is **feasible to join** the required party. Joinder is feasible when:

- the court can obtain personal jurisdiction over the required party
- subject-matter jurisdiction remains after joinder *and*
- proper venue remains.

Here, the court can obtain personal jurisdiction over the seller's mother because the suit arises from her minimum contacts with State B—her ownership of State B land **(Choice D)**. But joining her as a party would destroy subject-matter jurisdiction because she and the buyer are both citizens of State A (no diversity) and the claim arises under state law (no federal question). Therefore, joinder is *not* feasible.

When joinder is not feasible, the **third step** considers whether **equity allows** the **action to proceed** without the required party or compels a dismissal. Here, dismissal is required—and the seller's motion should be granted—because:

- a judgment would **severely prejudice** the mother's interest in the land
- the court **cannot reasonably lessen or avoid** this prejudice
- in the mother's absence, the **judgment would be inadequate** since she could later sue to enforce her ownership rights *and*
- the buyer can **pursue an adequate remedy** by refiling this action in state court **(Choice A)**.

Educational objective:

A required party must be joined in a lawsuit when feasible—ie, when personal jurisdiction, subject-matter jurisdiction, and proper venue exist. If joinder is not feasible, the action must be dismissed if it would be inequitable to proceed without the required party.

References

- Fed. R. Civ. P. 19 (required joinder of parties).

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